Redington (India) Ltd. (REDINGTON)

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Call: Aug 2022

August 10, 2022
The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai – 400051.

Symbol: REDINGTON BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai — 400 001

Scrip: 532805

Dear Sir/Madam,
Sub: Earnings Call Transcript

This is further to our letter dated August 1, 2022, intimating the details of Investor/Analyst call on the audited financial results for the quarter ended June 30, 2022.

In this regard, we are enclosing herewith the transcript of conference call hosted on August 4, 2022. The same is available in the Company's website:
https://redingtongroup.com/india/financials -and-reports/

We request you to take this information on record.

Thanking you.

Very Truly Yours,

M. Muthukumarasamy
Company Secretary

"Redington (India) Limited
Q1 FY23 Earnings Conference Call"

August 04 , 2022

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 4th Augus t 2022 will prevail

MANAGEMENT : MR. RAJIV SRIVASTAVA – MANAGING DIRECTOR - REDINGTON (INDIA) LIMITED
MR. S. V. KRISHNAN – GLOBAL CHIEF FINANCIAL OFFICER - REDINGTON (INDIA) LIMITED

Moderator: Ladies and gentlemen , good morning and welcome to Redington (India) Limited Q1 FY23 Earnings Conference Call . As a reminder, all participant lines will b e in the listen -only mode and there will be an opportunity fo r you to a sk questions after the presentation concludes. Shoul d you need assistance during the conference, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that thi s conference is being recorded. I now hand the confer ence over to Mr. Rajiv Srivastava , Managing Director, Redingto n (India) Limited . Thank you and over to you Sir!

Rajiv Sriva stava : Good morning , everyone and welcome to our call for quarter one. You woul d have seen our numbers that were disseminated yesterday, and we are pleased to report another strong quarter of sales and operating margin growth. Redington achieved record revenue and operating margin for any first quarter of the year. As our cont inued in vestments in technology capabilities, partner relation ships and our comprehensive breadth of offering begins to pay off. You would have seen that on a global basis our revenues have grown by 25% this is on net accounting basis, on gross it will be 27%. Whi le EBITDA has grown 34% and PAT has grown 33% this actually poin ts to the fact that continuing demand or growing demand for supply chain orchestration is driving strong financial performance across our global business. We know that tech adoption ha s been at an accelerated pace acr oss pretty much eve ry segment o f the market that you can come across though there was a softening of consumer demand this quarter but apart from that across enterprises, across MSMEs, mid market and government educa tion tech demand h as been fairly robust and we continue to anticipate a reasonable demand environment and expect to sustain strong revenues and margins from our recently implemented operating improvements amidst the backdrop of geopolitical and financial u ncertainty.

We kno w that s hift to digital has been strong and continuin g in fact I had said this in the last call that shift to di gital as a matter either a growth shift or a survival paradigm for most companies right now including government and they improved efficiency, the y improv ed productivity and they allow you to do much more in your businesses. So, that is something which is playing out in a very good way, and we are trying to leverage to our advantage as much as we possibly can. Also, the fact that the economic enviro nment in the geographie s that we operate in has been fairly all right even though the global GDP growth or the global growth was guided down by IMF between last quarter and this quarter the growth was guided down from 4.1 to 2.9 but still in the economies and the geog raphies we are operat ing in every country has seen or has been guided a very positive GDP growth f or the rest of the year. But in that plays to our advantage also the fact that in most of the countries that w e are operating in the demand is led by inv estmen ts by governments, investments by organizations in those countries and also a huge amount of cons umption that is taking place in these countries, I think both of those are playing to our advantage right n ow and that is helping and supporting us. Jus t to le t you kn ow our g rowth has been fairly broad based this time, all the regions that we operate in India, Middle East, Africa, Turkey, and South Asia every region has pretty much played out in a goo d way, every region has contributed to the growth . Also, every region ha s contribut ed to and every product category we have had a broad -based growth by regi on and we had a broad -based growth by categories of products which is IT, whether it is volume or va lue, mobility, and our services portfolio. So, al l of that has turned ou t to be ext remely reasonable in this quarter, let me st ep back and stop over here yo u have seen the results and I am opening up to any questions or any comments that any of you might have. I have also got my Global Chief Financial Officer, S.V.Krishnan on the cal l with m e and our Financial Analyst Deepika on the call.

Moderator: Thank you very much . We will now begin the question -and-answer session. We have a first question from the line of Nitin Padmanabhan from Investec India. Please go ahead.

Nitin Padmanabhan : Good mo rning. Congratulations on the strong quarter. I have a quite a few qu estions while I will just ask two and come back in the queue. The first is, Redingt on has always

prioritized risk over growth and if you just look at the la ndscape over the next few quarte rs from your len s, do you think that growth plumbs risk at this poin t in time and is there any change in philosophy in terms of how you mange risks, that wa s the first question.

The second question is on obviously the wo rking capital which has gone up if you could give us some break down on receivables , inventory , payable s and what led to such a quick shift in working capital days.

The broad assumptio n was that it will be a little gradual but it 's been quite quick , just wanted to understand the conte xt there as well. Thank you.

Rajiv Srivastava : Let me give you a color to both the question and I am going to be also requesting our Global CFO , Krishnan to chip in after I have done that.

To the question about risk over growth or growth trunks risk, I think it is always going to be a very balanced sort of portfolio for us. We are a company which is very focused on what is going on in the market in every single geogr aphy, every single country we operate in we have to always assess the opportunity landscape and what it takes to get to that opportunity landscape and balance the two ou t. We are never going to be reckless beca use that is what has given us gr owth over the last so many, many years and we are going to be very outside in and maximize the context of the market opportunities that are coming in. Just to give you one exampl e of that Nitin, and like I said it is a great question becaus e it really play s

to the way in which we operate as an org anization. In the last quarter we started to see a shift from the wo rk from home and learn from home started to reduce whereas the consu mption in the offices small and medium enterpr ises, enterprise s, large customers, government education, schools and unive rsities all started to grow up and we had to shift a model and pivot a mode l to make sure we capitalize on that, now that is no risk st rategy but it is a maximizing the market opportunity from a gr owth perspective. So, we are always going to be bala nced . The re are countries right now in our portfolio which happen to have a higher r isk profile Nigeria, Kenya, Ghana, Egypt all of them and w e are making choices to make sure that we stay in the rig ht dire ction there ok, so, it is that from a risk versus growth perspective, we are very balanced but we are very,

very focused on maximi zing the market opportunities in a vey good way.
The second i s working capital has gone up, reall y it has gone up if you reca ll in the last conference that we had same tim e a quarter ago, we had guided that our working capital will stick in the range of 28 to 35 a nd right there it is and is sticking at the early par t of that curve . We know that the gl obal market right no w, wheth er the y are financial markets, geopolitical ec onomic landscape all of those are little disrupted right now. We do see that interest rates are hardening up, we see inflations going up, we see c ommodity prices are really high, we see supply chain is disrupte d all of these will contribute and then there are many equipments which are not getting supplied in time, so your supply and delivery for project orders is going to get hampered or going to ge t constrained a bit

so, the integrat ion is going to beco me chall enging . Given all of that, we understood that the working capital will go up, it will normalize somewhere and the way we have guided it s tays exa ctly right at the early part of that curve righ t now. We are pleased that we have seized as a situation and that is t he way it is playing out exactly the way we have said.
S V Krishnan: As you know the net working capital by the end of the quarter it was about 28 days split into debtor days of about 5 2 days, inventory days of about 32 da ys and creditor days of about 56 d ays. I want to ascribe one important rea son as to why there is spike in working capital as Rajiv alluded to you. In the enterprise space w hat we see is there are short shipments and since there are short shipments and the balance shipme nts ar e taking time becau se of the general shortages t hat we see in the industry. We had to store, we stocked and could not bill that has enabled us to incr ease our inventory days, so this is something whi ch very unique. We will continue for some time till the s

hortage situation goes away but there is no conc ern at all on this scenario and also as the enterprise performance, the IT value performance has been bett er as yo u know very well this also tends to i ncrease the debtor days and at the s ame time w e will also get higher creditor wh ich can cushion a bit in terms of increase in debtor days. As Rajiv said we are well within that range and we do not see any conce rn in th is.
Nitin Padmanabhan : Sure, that is h elpful and any change in provisions for the quarter? Tha t is all from my end.

S V Krishnan : Okay. S o the provisions for the reasons that I had stated had gone up in the case of inventory, inventory provision fo r the qu arter has been at about 0.55% which is mainly because of some of these pa rt shipments that had come in where we had t o provide for it, we had an option of changing the inventory provision model because we do not think these will be taken as a hit b ut we th ought it could be prudent not to make a change and we had gone ahead, so that has increased th e provision percentage for this quarter whi ch once the product gets sold it will get reversed. In the case of receivables , the provision percentage for thi s quarte r has been 18 bps 0.18% that is also slightly higher. I want to mention two important point s here, one in the case of India, in Q4 there was a provision that we had created last quarter and we knew the money will come but it is going to take time, a substa ntial portion of the money has been received in the current quarte r and the provision got rev ersed. There is a simila r transaction in our overseas business where while we are still confident in terms of collecting because of the aging that we shoul d provid e for it and that provision has added on to it so that the overall provision is about 18 bps Nitin.
Nitin Padmanabh an: Thank you so much and all the best.
Moderator: Thank you. The next question is from the line of Pranav Kshatriya from Edelweiss. Please go a head.
Pranav Kshatri ya: Thanks for the opportunity and c ongratulatio ns on a good set of numbers. My first question is regar ding the growth we were

anticipating some sort of slowing down growth in India mobility

segment but if I look at that is the one which has dri ven the gro wth in this quarter, so w hat has led to that because I was thinking th at we had this chan ge in GTM which should slow the grow th and your commentary also suggests that enterprise has driven the growth but the numbers suggest that India mobility is driving t he growth, that is m y first question.

second question is on th e sustainability on margin, if I look at the margin profile, margins are significantly higher considering there has been 18 basis point prov ision , what will be the su stainable level of margin given most o f the cost are now normalized or are there one off cost which you w ant to c all off because our last interaction suggested that you might be looking at investing more in creating capability and that is why we were expec ting the margins to go down and lastly working capital trajectory if yo u can comment on that? That is it from my side. Thank you.

Rajiv Srivastava : Okay, many questions, I think we covered the working capital, but we can give you more color to that. Let me give you a sense as to growth and is the growth driven by Indian mobi lity or driven by many other thing s. Growth is driven by mobility overall, clearly there is a mobility which has grown faster than any other part of the b usiness but our valu e part of the business has grown 30% which is a v ery, very, very signi ficant in serious g rowth, a value busines s is gen erally do not see such a huge amount of growth because that is a much more stable sort of product line and category but our value part of the business h as grown significantly. Then our c loud has grow n even faster than that, our cloud ha

s

grow n 48% an d it is equivalent to our mobility growth. I think that question that came up last time in the call and many of you h ad asked that ques tion about the impact o f Apple GTM and how is going to im pact the reve nues of Redington and all that. If you would recall , we had answered that question it wasn't Apple alone, it was Apple and Dell and Lenovo and Acer and everybody makes change s to the GTM and it is only fa ir I told you that it is only fair for them to make changes to the GTM to suit the mode l that they have and we as Redington have to do a variety of different things and make sure that we continue on our course of growth and th ere are many elements and your question there are many elem ents th at allow us to stay on the track of growth and also stay on the track of profitability. Sustainability of margins is one of a cause we are making investments, we made investments into our ma ny areas of technology, people, platform, last couple of qu arters we have been making and we will continue to acceler ate those investments because those are fundamental to our business and what we are doing in that space is we are ma king investments in tec hnology that allows us to become more productive and more e fficien t very straight -line sort of an equation.

We are ma king investments in shifting our business model from our pure play brick and mort ar to a more online or a customer choi ce model which is an omni channel model. We have made a shift towards the cloud p latfor m, we have got a very strong cloud platform where mo re than 11000 partners are transacting every month now and that is a very, very strong mode o f working. All of those are models which allow yo u to do more with much more

optimized operations . In the las t quarter we have set up a shared services which ha s consol idated the operations of Redington the entire country to enable us to become far more efficient and we generate more than three lakh invoices ev ery quarter, we process more than 3 lakh orders every qu arter and all of them is getting done now out of my on e single shared services center at the back end and how cool and efficient can that be. They are many, many, many such initiative s that enable you to become far more

optimized and efficient in your busi ness tha n othe rwise.
So, that is the way we see our trajec tory tha t is the reason of growth because the value has gone very significantl y, because cloud has grown significantly, becau se all our tech inve stments and efficiency investments happen to be cont inuously scaling up and growing up.
To give you a sense on whether they are sustainable or they are one off kind of a profit margin and a ll that. We are cranking ourselves to be very, very efficient, and very maniacal focus on our cost and we are also cran king ours elves to become more efficient, but we also have vi ew to wh ere the world is headed right now . We know for sure that the global supply chain, the global financial markets everythin g is disrupted. So, providing a guidance to you for the long run is going to be a very difficult task asked to do, we did extremely well in Q1, we have a good hold on where our Q2 i s headed and that is all that we can be as prudent business players in the market for a long time and as any reasonable business you would expe ct us to be very, very strongly and maniacally focused on deliv ering sh ort run in a very healthy way and having e very

single arrow in our armor to make sure that we have covered ourselves for the mid to long run.
So, I think those are the ways i n which we are trying to think of our business everything has to be in a g ood sust ainable way . You will continue to see us make more investments and not less and your question about working capital h aving gone up, we answered that Krishnan, do you want to add any thing more to that, please.
S V Krishnan: I think it was ans

wered c learly, in working capital I just want to make all of you know we are at it there is no need for concern and if ther e are any business related situation we will handle in the best po ssible manner, we will not leave any stone unturned as far as the efficienc y is con cerned and to the point on cost Pra nav, what I want you to know in spite of the additional cost that we are incurring towards the capability building , till if you see the inc rease i n cost is well within control, in a way of speaking what we had don e in Q1 is the bookish performance, revenue has grown strongly, gross margin has grown even at a better pace the ope x growth has been lower than both revenue and gross margin resulti ng in t he operating profit being better.
Rajiv Srivastava : And also to y our poin t the current environment will not al low you to make a very long -term prediction from that perspective. So, ou r range of working capital stays in that of 25 to 35 days.
Pranav Kshatriya : Thank you so much for all the answers. I will come back in t he queue . Wish all the very best.

Moderator: Thank you. The next question is from the line of Athreya from I-Thought PMS. Please go ahead.
Athreya : Good morning and thank you for the opportunity . Sir, I just want to know as to whether the mobility segment grew year -on year in the rest of world market or how is the performance there has been, that is my first question?
Rajiv Srivastava : Mobility grew in the rest of the world as well; mobility has grown by 24% in th e rest of the market.
Athreya : Sure sir, thank yo u. And in the past few quarters we had incorporated new subsidiaries in Bahrain, Jordan etc. etc. So, what is the medium -term perspective, how are we trying to grow in n ew geographies, and can you just talk about the new produc ts, the solar produc ts, and our AWS partnership as well?
Rajiv Srivas tava: Okay, again as been thanks so much and that i s a great ques tion pointing towards how are thinking about our bus iness and clearly our business has two or three dimensions o f growth. One is in a distri bution business you add more products, you w ill surely grow or you add more geographies you wil l grow or give combina tions of two in any geography you will grow. In countries like Jordan, Bahrain th ere are requirements that we m ust set up our busin ess expa nsions there and we are setting up our busin ess expansions,

you are absolutely right, Jordan is a subsidiary that we are looking at and there will be a few more countries where we will try and go to expand our reach and coverage. We understand the gam e well, we know how to set up a distributi on business in any of these

countries and we are us ing technology enablement to mak e sure that we can accelerate our penetration into these countries. The produc ts are similar, the pr oducts are the products that y ou get a contract for from any other brand s, so we try and do value, we try and do volume , we do an IT and mobility products in any of these countries for whichever products we start with getting a contra ct from a brand from a ve ndor and we start to penetrate in that market. So, that is the philosoph y, that is the growth paradigm right now, we are in the country that we are in , but we are looking to make sure that we can expand our coverage in a lot of the se other countries .

Athreya : Sure. Sir. Thank you s o much. And if it is possible for you to give some more color on the how our cloud business is working and is shaping up a nd our partn ership with AWS as well?

Rajiv Srivastava : Yes I am going to give you t hat, you had asked the question AWS and I was going to cov er th at and solar as well. Let me cover solar and then I will cover cloud, is that okay?

Athreya : Yes, sir sure thank you.

Rajiv Srivastava : Okay, now solar is a ver y strong business now, you know t hat globally there is a strong pitch

towards sustainable energy, ver y strong pitch towards g reen energy and India has made some significant commitments to world forum on sustainability of trying to make su re that 50% of the energy generated is green energy by 2030. So, I think tha t is a very, very strong commitment India ha s made , that pitches so lar to be of very, very strong deployment,

implementation and all the solar projects have to be done at a very, very fast pace. Because of that our solar business g rew more than 400% las t year and, in this quarter, Q1 it has grown abou t close to 190% sola r business in Q1. We do lots o f activities in solar, we do classic distribution of the solar panels, inve rters an d all the products that is going to the making of a solar plant. But we also have bit of advisory services over there, so w e are ex tremely diff erentiated, we are unique in t his space because we are the only organized distribution partner which also does co nsultancy and advisory services for whole range part ners who set up small an d big solar plants. So, that is one thing which is paying out, hopefully we can expand this business as we go forward because the geographies, we play in are litera lly the s unshine capital of the world. There is huge amount of poten tial pos sibility which exists there in the solar business .

You have poi nt about cloud, now cloud has been a very good story for us in Q1. In Q1 our cloud business across all the geogr aphies, count ries we operate in has grown by 48% and that is a very strong story, our managed services on cloud have grown by 62% and those are b oth very good out comes. We have struck a partnership with AWS for all the regions we operate in, India, Middle Ea st and Africa , they have got very strategic play our partnership with AWS and also with Google and Microsoft to resell their products but a lso scale up in trying to add competency and those competencies then allow us to do a lot more wi th our customers and partners. We move far more engage and enrich with our c ustomers and p artners , so this is a strategic collaboration agreement called SCA (Strat egic

Colla borati on Agreement) with Amazon Internet Services Private Limited, which allows us to offer the range of products, management platforms and services to our customers and par tners it ena bles us to become far more capable because w e have technical capabilities for ourse lves to deliver these products and services to our partners. We feel very good about the fact t hat the

world is headed in the direction of cloud and so are we.
Atrya: Sure sir. Thank you so much and all the best. Th at is it from my side.
Moderator: Thank y ou. The next question is from the line of Krish Mehta from Enam Holdings . Please go ahead.
Krish Mehta : Hi! Congratulations on a good quarter and thank you for t aking my questions. The first question I have is the f ollow up on the cloud business, if you co uld provide the margins for the cloud a nd cloud managed services for the quarter?
Rajiv Srivastava : The cloud product re -sale comes at a similar margin ratio it does not r eally give you a very, very huge, differenti ated margins , it will be in the range of 5-7-8% depending upon which product o f cloud you are selling and which brands of cloud you are selling and to which customer or which segment of the market th at goes in the range of 5 to 8 -9% and not mo re than that at a cloud product level. The se rvices are different ball game altogether Krish, and ser vices stretches from a very rudim entary fundamental entry level infrastructure services of provisioning which w ill give you a margin of 10 to 15% but if yo u scale up the services to the level of migra tion and platform in software as a service , then you star t to get in the

game of 25 -28-30-35-40%. Depending upon the complexity of services and we are building our cap abilities to do the entire rang

e
of services right now we maybe a less on the more complex services and a lot more on the entry level servi ces but we built capabilities now to deliver and deploy the more complex services of migration nature which will give us much , much higher margins.
S V Kri shnan: And just to add on to what Raj iv said, from working capital perspective either no requiremen t of wor king capital, so both the businesses re -sell and the services portion in terms of RO CE will be quite a ttractive .
Krish Mehta : Okay , thanks. My ot her question was on the net debt and cash balan ce if you could provide that for Q1?
Rajiv Srivastava : Can y ou repeat I missed your q uestion Please.
Krish Mehta : Could you provide the net debt and cash balance fo r the quart er?
Rajiv Srivastava : The net deb t figure end of Q1 is about Rs.744 Crores which is roughly about 0.1 times of negative net debt and the cash balance is about Rs. 1100 – Rs.1200 Crores.
Krish Mehta : Okay, thank you so much.
Moderator: Thank yo u. The next question is from the line of Aasim Bharde DAM Capital Advisors Limited . Please go ahead.
Aasim Bharde : Good morning. Just a couple of ques tions. Firstly, can you t alk about what should be a sustainable EBITDA margins for the consolidated Reding ton group g oing forward, would it hover at

level just shy of 3% maybe a little higher t he year after and what would keep margins at these leve ls, woul d it be more on the enter prise sales bit which bring its own working capital and higher interest cost or would it be more services orie nted?
Rajiv Srivastava : What did you mean by the second part of the question, first part was what will be the sustaina ble EBITDA margins and the second part of the question?
Aasim Bharde : And what would drive it basically, will it be m ore e nterprise hardwa re based that would keep it higher or ser vices also because services today is still just 1% of revenu e?
Rajiv Srivastava : Okay , all right . Good one, we had mentioned in the earlier pa rt of the call that guiding or projecting EB ITDA or any profit profile for the long run right now is going to build just the way the global market situation is evolving no w, just the w ay the current operating environment for us this, so we are not going to be projecting you but right now just so you know th at the way we are trying to balance out our operational efficiencies, cost and our product portfolio is helping us to stay in the range that we are in right now and Q2 seems to be on a good trac k so far. That is so much from our sustainab ility of long -term y ou got to be talking about how you guide long -term .

The second is the driver for the margin, and th ey are still think that drive a m argin, o ne clearly is what is said is services versu s non -services but you are right services ar e very small portion of what we do today it is about 1% of the overall revenue that we do so it is

always going to be a small p ortion , but a large part of a marg in is the mix of this, if our mix shifts fro m volume products to value and you saw in this quarter a volume growth 14% but value growt h 30%. If value continues to grow faster th an value inherently provides you a bet ter margin profile that is one . Second i s if a c loud business is going to be as good and as steady as it is happening right now i t will help us to continue to impro ve margins that is there.
The third is if our ProConnect and logistics business scales up it will continue to help us bring more margins. Our solar busines s inherently comes at a much higher gross margin than the other parts of the business, so I think margin is a pl ay of geograph y and a combination of mix of products that you end up doing and we are always trying to do whatever we can to manage the mix and t he geo p lay to get to the margin requirements that we have in the company, so that is how we are tr yi

ng to bala nce out .
Aasim Bharde : Okay. Just a follow up, how long do you anticipate the enterprise cycle to last from today?
Rajiv Srivastava : This is li ke you a sking me to crystal gaze, but I will and let me giv e you a sense of the crystal gazing on thi s. My sense is there is su ch a lot of adoption of technology and such a lot of digital transformation that is taking place across pretty much every sector of the bus iness right now. Governments are investin g and they know that if they had not invested duri ng the covid times , countries would hav e shut down, companies are in vesting because if they had not done that they would not have survived the two years of covid

down tim e and so people have got t o a point where business and technology have almost become i nseparable, earlier there used to be a time when GDP and technology growths were kind of intertwined and linked together but now we are at a point where digital growth has be en de linked from GDP growth and companies are using technology to either stabiliz e their operations or grow faster, get it a n ew product categories, do innovations, launch new territories and geography, so it has become pretty much absolu tely the most crucial thing for businesses to surv ive. If you take a look at adoption across the wo rld at a cloud and we know that companies like Amazon, Google, and M icrosoft in the cloud domain, they are growing about 35 -36% year -on-year at that level of high revenues $ 50 - $ 60 bill ion they co ntinue t o grow at about 30-35%, so the cloud adoption is fueling the growth for lots and lots of technology providers. Cloud adoption across the wo rld so far is sub 20%, global cloud adoption is about 15 to 18% of the workflow is put on cloud and I see the technology buying cycle of the enterp rise, customer vari ety and the mid -market SMB vari ety continuing in the future f or a much longer time, this cycle is here to stay for a b it.
Aasim Bharde : Okay, thanks for the detailed answer. Thanks.
Moderator: Thank y ou. The next question is from the lin e of Chintan S heth from Sameeksha Capital . Please go ahead.
Chintan Sheth : Thank you for the opportunity and a very good set of numbers, congratulations for t hat. Sir, two set of questions, one is on the

working capital , if I look at the past trend our net working capital typically builds up in Q1 and the n kind of tapers down by the e nd of the year, is that phenomena will likely to play o ut this year or do you see that it will be stabilized as you mentioned in your opening remark that we are still at a fringe of our guidance of 28 to 35 days, that is one and second on the bidding SISA group, I see that our South a nd South Asian market is trending towards loss, just want to clarify whether the net profit or prof itabilit y of that re gion has

kind of impacted during this quarter and what is the outlook there given the geopolitical issues in Sri Lanka, Bangladesh and in regions we are in , if you can provide that?
S. V. Krishnan: On working capital front , yes I agree with you in Q1 n ormally it will be higher not because of any othe r factor it is mainly on account of revenue being soft in Q1 but yo u would have seen in this quarter reven ue has been quite strong. But having said that the main reason for the spike in the working capital as I said is on account of the part shipments th at we are received in the IT value space which we think in about one or two quarters on ce the situation gets normalized this will also get normalized, so it is not just a normal Q1 phenomena on added to that is this point also.
With respect to SISA, SSA h as been de -growing we have spoken about it in the past , mainly because of the movement of the vendor model f rom offshore to onshore as far as the India part of the business which was a significant part of the SSA business in the past. That movement has

ena bled us to rethink even our own structure in terms of is this should be monitored centr ally out of India and

we looked at as one unit as SISA that is how we have gone ahead with this structure, so what you wi ll see overall now since it is an integrated uni t we can look at the growth in this form but more specifically to Sri L anka and Banglad esh, yes Sri Lanka is impacted a lot but our business in Sri Lanka is not quite significant and we are now playing a very safe game where our risks are covered is where we are participating otherwise it is not. However, Bangladesh and few o ther markets we think is looking very attractive and there are big opportunities, and we would want to do a deep dive in that space but I would want Raj iv also to add some point s.
Rajiv Sr ivastava : I think you have answered a lot. See our presence i n Sou th Asian market is on ly two or three countries, we just do Bangladesh, we do Sri Lanka and do a bit of Nepal as well and that is obvio usly Sri Lanka is a cautious appro ach right now go slow but Bangladesh is not challenged, I do not know from where your he ar that Bangladesh is in a difficult situation, Bangladesh they are obviously coming up with policy regulations and fram ework as they grow but it is a very happening ma rket and we are expan ding our operations and expanding our play in Bangladesh , we try t o do many, many different things on products, solutions, services, logistics and setting up in Bangladesh entity for our selves so that we can really mine the market , as the market starts to grow, it is in a very, very good situation. I have travelled to Ba ngladesh a f ew times and they are really looking very positive right now. Right now, we play in these countries, but they are obviously going to be pote ntial to play for us, in the other , little more mature economies of Singapore, Malaysia, Thaila nd, Philippines , Vietnam, Myanmar those kinds of

countries , so I think it is a huge potential that exi sts and we got to exploit that.
Chintan Sheth : Sure, and just a b it on Tu rkey, given the currenc y de-valuation happened with the past two years and we have still been able to manage both on the revenue growth as well profitability obviously revenue growth on rupee terms will look much better but the profitability is one aspect if you can provide more color to it how we are managing the situation there and wh at is the way forward there ?
Rajiv Srivastava : I was in turkey last week, I spent about 10 days in Turkey and Turke y is a very, very curious state, it is a great c ountry, gr eat people, great comme rce, good population, and thus technologically very enabl ed country and so bus inesses and gove rnments over there continue to use technology very efficiently and that contribut es to our growth that is how we have been going.
Chintan S heth : Sure, sir. I will join back in the queue. Thank you.
Moderator: Thank you . The next question is from the line of Rajeev Agrawal from Door darshi India Fund . Please go ahead.

Rajeev Agrawal : Thanks for taking my question. My first question i s, I think there has been concern ed about whether your margins, the gross margins, EBITDA margins that we have had in financial year 2022 will be sustainable. Based on the commentary so far it seems to me tha t you are saying not only those margin structure and that we will even be able to expand on it. Am I understanding this correctly?

Rajiv Srivastava : I do not think we have said we are expanding on it or we are maintaining . What, we said that we are t aking it in the near -term on a real near -term basis becaus e providing guidance in the long run will be a little challenging given the glob al operating environm ent right now, s o we are not going to guide from a long -term perspective. What we are suggesting to you and what are saying is we are maniacall y focused on ensuring

that every part o f a business is optimized to the core to the hilt to ensure that w e can continue to have the visibilit y of margins the way we have delivered in the past. So, we can only g row and the reason I am choosing this is because of the operati ng envir onment and so we can b uy it in terms of small time frame and we exactly said the same thing in Q1 as well and we de liver a very robust Q1, we are saying exactly the same thing in Q2 and so far Q2 is trending alright right now, like I said the con tinuing growing demand for supply chain orches tration we continue t o anticipate a reasonable demand environment in Q2 as well and we will take it quarter -by-quarter Rajeev, really that is the way our approach is right now . While fr om a fundamental building the com pany perspectiv e, capability creation , we are long - term foc used obviously and I gave you many examples of long - term f ocus on people, processes, technology , platform play all of that, that we are trying to do our business mo del orchestration that we are try ing to do. On t he operational intensit y we are very, very, very here in our focus to make sure that we deliver the right results .
.
Rajeev Agrawal: Right, and the question was really coming bec ause you are getting into new markets and into new areas which are seemed to be higher

margin as in your cloud and we are talking about solar and how are possibly consulting there is a much higher ma rgin maybe if you can elaborate on a few such areas which you are very bullish about and which may have better margin poten tial?
Rajiv Srivastav a: I think the way we have split ou r business; Rajeev is across three dimensions; one dimension i s focus on the core what we do well w e must co ntinue to orchestrate and do well and that is our bread and butter that is our more than 95% of our revenue. We got our business a cross three distinct types, one is always focused on the core, and core is about 97-98% of our business we have got t o make sure that the core continues to run as efficiently as possible that is one.
Seco nd is we expand that going to new geographie s to the question earlier which came in from Jordan and other places , we expand geograph ies, we expand product categories in those are as and the third is our foray into new product categories of the nature of tha t you are talking abo ut cloud, of the nature that yo u are talking about logistics and services and supply chain and of the nature th at you are talking about from a cloud perspect ive. Those are small businesses right now and as we scale you will se e that it will provide me a he dge around any down side to the business or there is no down side to any other on the core business it will provide me a lift in our margins. That is the way we are trying to play ourselves. We are orchestrating our portfolio to become more balanced, there are some parts of the business we will de liver much higher margins, some parts will be okay average as it goes, but

overall we hope to become a much better, much more rounded sort of an organization as we go forward. So, that is ho w we are trying to think of ourselves across those three dimen sions of product and

portfolio play.
Rajeev Agrawal: Great. Thank you very much.
Moderator: Thank you. The next ques tion is from the line of Sanjay Dam from Old Bridge Capital. Please go ahead.
Sanjay Dam : Just one questi on Raj iv, we possibly ended FY22 with ar ound Rs.1600 Crores of cloud revenues and keep growing at 45 to 50%, so if that continues should we be a Rs .5000 Cror e cloud business by FY 25, is there any reason that should not hap pen.
Rajiv Srivasta va: If you pla y it well there is every rea son that we can get to those kinds of numbers in the timeframe you are talking about or a year up and down.
Sanjay Dam : And R ajiv, the other question is that when you tal ked about the margin s in

the cloud business and the servi ces part as well, services very smal l I understand, basically cloud at the base starts at 5% kind of EBITDA margin and then according to the ki nd of comp lexity it goes up to 7 -8% and SaaS is about 25 to 40% range. So, b asically the EBITDA margin of this bu siness of a Rs.5000 Crores c loud business whenever it is one year up and down broadly should be the high single digit, would that be a good und erstanding ?
Rajiv Srivastava : We will have to do the mix , when do a Rs.5000 Crores cloud business and you do a 10 % of Rs.500 Crores of that as your services

business and the services comes at 25%, cloud busin ess comes anywhere between 5 to 9%, we will mo del that a nd we can let you know what the numbers look lik e and I am sure you can do it yourself as well. But look, directionally you hit the nail on the h ead, Sanjay that makes lot of sense. I f the cloud bu siness is the one which is growing across the world and we are pivoting our company on to a very stron g cloud sort of port folio. I think that is the way we will get to, your timelines maybe a bi t up and down but we are focusing ourselves to make sure that we have very strong portfolio on cloud across a variety of alli ance types and these global alliances are hyper scalers of the nature of Microsoft, Google and Amazon and then there are many other compani es which have cloud products, which have platform prod ucts like service, like service now, like Adob e, like sales force and then they a re players of the nat ure of Oracle and IB M which is Red Hat and many other companies of that nature which are SAP which are providi ng thems elves to cloud and we are very well aligned with each one of them, we understand t he game is changed. The game we can play at the partner or we can play at a product level but the game is dramatically different now it has to be played at the level of alliances in a very deep way to maximize , go to the market with the alliances to the cu stomers and that is winning proposi tion. So, the cheaper than just trying to sell can we get to Rs.5000 Crores, we will obviously get to that revenue. But the game is much de eper and broader because really the whole range of technology, innovation, and par tnerships to come in and play to ma ke sure that you can

scale it up in the r ight direction, in the right way not just a random focus on just the revenue number.
Sanjay Dam: Got it Raj iv and second question, i f you could tell us about the kind of investments, we did in FY 22 in the new bus iness and what you intend to do in FY 23? Thank you.
Rajiv Srivastava : Sanjay I could n ot hear your question, you might want to repeat that please?
Sanjay Dam: Sir, investm ents in the new business in all kinds of abili ties, people, system, processes to scale this business up and do it in the wa y you dominate your bread -and-butter business. How much did you spend in FY 22 and what are the investments going to be like in FY23? Thank you sir.
S V Krishnan: As we have d iscussed in the past Mr. Sanjay, th e investments are more in opex form than i n capex because we thought to build capabilities and many of the capability building in th ese new business initiatives are on talent and that is why you said when we

talked about the opex that those additional opex ' s are also part of
the current opex for which we may not be getting the return
immediately so me of these better returns will kick in only as we
move forward. If I need to co nsider even opex as part of the
investment it would be in the range of about Rs.60 to Rs.80 Crores
if I need to put a numbe r, Sanjay.
Sanjay Dam: Thank you so much and wish you all the best.

Moderator: Thank you. T he next question is from the line of Rishab h Choksey
from K R Choksey. Please go ahead.
Rishabh Choksey: Sir, I have two ques tions. I wanted to a sk that how much you r clo

ud
business has grown year -on-year and your trade payables has
grown increasing ly since la st five years. Can you give me the answer
for that sir? Thank you very much.
Rajiv Srivastava : Rishabh, your question wasn' t audible at al l, I could not hear a word.
Rishabh Choksey: Sir, your trade payables has be en increasing at an immense pace in
the last fi ve years. Can you please expl ain that and my second
question is how much of your cloud business grown year -on-year?
Thank you very much.
S V Krish nan: On the trade payable there are two factors that are attach ed
towards the trade payable. One is as our ent erprise business or IT
volume business keeps going up generally , since the working
capital deployment there in the for m of inv entory and receivabl e
days being more our AP days also tend ot be more. Second , we
have also consciously spoken to many of t he vendo rs in terms of
increasing the credit days where there is a requirement , take the
help of outside financial institution s where it can get exte nded.
These are few options that we have to make sure that our AP days
are better, I think that should conti nue. Hav ing said that you r
second question Raj iv said was not clear to us so if you can repeat,
please.

Rishabh Choksey: My second question was how much is a cloud business grown year -
on-year?
Rajiv Srivastava : 48%.
Rishabh Choksey: Sir sorry for may sm all ques tion can I squeeze in, any measure you
are taking to reduce our trade payables?
Rajiv Srivastava : No, we are not ta king any measures.
S V K rishnan: Our objective is to keep that as high as possible, we would f eel
happy if the trade payable days c overs ou r AR days in the past t here
were challenges, but we could achi eve it in the last few quarters.
Our objective is always to make sure AR days is covered by creditors
days.
Rishabh Choksey: Thank you so much.
Mode rator: Thank you. The next question is from th e line o f Sangeeta
Purushottam from Cogito Advisors. Please go ahea d.
Andrey Purushottam : I am Andrey here, I had two ques tion one is in
terms of the working capital cycle, how do you compare with the
pre-covid era and my second question is could you gi ve us a sense
of the seasonality of your sales in terms of a break up of sales into
Q1 -Q2-Q3-Q4 in a typical year patte rn so that I can understand the
quarter -on-quarter mild de -growth better?
Rajiv Srivastava : Our seasonality of business is H1 versus H 2 is alw ays in the range
of 45 -47 to 53 in that range, so 47 -53 will be the seasonality of
business that we have got.

Andr ey Purushottam : Okay, the first question was how does your
working capital cycle compares wi th the pre -covid era?
Rajiv Srivastava : Right now, it is much be tter tha n pre -covid, pre -covid was muc h
higher, pre -covid we were in the range of 40 -45 on the workin g
capital days right now it is 28 days, so it is about 40% better than
pre-covid.
Andrey Purushottam : Okay, thank you.
Moderator: Thank you. Ladies and gen tlemen, due to time constraint that wa s
the last question for today . I would now like to hand the con ference

over to the mana gement for closing comments.
Rajiv Srivastava : Thanks so much ever yone. These questions are always very insightful they keep us in a goo d space because we tend to mak e sure that we are covered in our business from all sid es and giv es us a very, very hel pful in the manner in which you project and present your questions to us, so that is very helpful and thank you so much. Like you s aid we h ad a very strong Q1 record rev enue and opening margin for any first quarter of the ye ar and tha t is a great story , then the great pla ce to be in and it seems that our sustained investmen ts in technology capabilities, partner relationsh ips and our compreh ensive breadth of offerings is paying out. We understand the way the global enviro nment is p lay

ing out right now and we can only assure you that we are very, very cognizant of every single movement that is taking place in all the countri es that we operate in and that enables us to b e cautious, that enables us to maximize the opportuniti es, that e nables us to mitigate the risk wherever they

arise and do our business in a prudent way and Q1 i s the reflection of that. Thank you so much for j oining the call tod ay and I hope to talk to yo u as we go forward in the next quarters. Thank you and have a gre at day.
Moderator: Thank you. On behalf of Redington (India) Limited, that concludes this confer ence. Thank you for joining with us and y ou may now disconnect your li nes.

Call: Sep 2022

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September 20, 2022

The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai – 400051.

Symbol: REDINGTON BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai — 400 001

Scrip: 532805

Dear Sir/Madam,

Sub: Investor Me et Transcript

This is further to our letter dated September 14, 2022 , regarding invest or meet presentation and recording. In this regard, we are enclosing herewith the transcript of investor meet held on September 14, 2022 . The same will also be available in the Company's website at https://redingtongroup.com/india/ financials -and-reports/
For Redington Limited

M Muthukumarasamy
Company Secretary

"Redington Limited - Investor Meet 2022"

September 1 4, 2022

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 14th September 2022 will prevail

MANAGEMENT MR. RAJIV SRIVASTAVA – MANAGING DIRECTOR ,
REDINGTON LIMITED
MR. S. V. KRISHNAN – GLOBAL CHIEF FINANCIAL
OFFICER , REDINGTON LIMITED

AND SENIOR MANAGEMENT TEAM OF REDINGTON
LIMITED.

Moderator : Good evening, everyone. Thank you so much for meeting us today at Redington's Investor Conference 2022. We extend a very warm welcome to each one of you. My name is Himani, and it is a pleasure to host such an exclusive event. To speak about our business i nsights and strategy, we also have our global leadership team present here. Now I would like to call upon Mr. Rajiv Srivastava, MD Redington, to speak about the strategy way forward. Thank you so much.

Rajiv Srivastava : Good evening. Himani, thanks so much. Good evening, and a very warm welcome to all of you. It's so good to be face -to-face after such a long time. I think we're doing this almost after 4 years or maybe a little more than that. We always used to release the se conferences earlier and then pandemic happened. So, obviously, we couldn't do that and thank you for being patient with us and thank you for covering us during the pandemic as well. Can I make a request, if you can -- this light is really coming directl y in the eye.

But thank you for covering us. Thank you for engaging with us, and thank you for doing everything around our messaging during the pandemic time. And this is a restart of sorts. So, we are restarting the whole engagement, face -to-face one more time, and I really want to give a big thank you and a warm round of applause to all of you for being with us during this journey. I know this is a very aware group. You all know what's going on in the market. You all know what's going on with Redington, b ut also in the industry as part of the industry. So, you are very aware group and I thought it was a good time to meet up with you. We need to understand what's happening, how you're perceiving us, how you're seeing us. I've had engagements with all of you or with a lot of you on the investor calls and a lot of probing on the investor calls is very insightful. So, I always look forward to these kind of engagements as the personal learning experience to know exactly what you think about us and how we are per ceived and how we can really take the company forward.

So, there's no real reason of doing this investor conference today. And what we're doing is I'm hoping to have a very interactive session today. We've got a whole global leadership team, which I will j ust introduce to you in a minute. And then the way we are structuring this discussion is between Krishnan, our Global Chief Financial Officer; and myself, we will take you through the slide deck that we've got over here. There are portions on which I can d raw upon the expertise of my global leadership team as well. And then we can go on for question and answers, but you feel free to raise your hand and ask any questions any or clarifications or give or make a point at any point in time on any side that you want to.

Okay. With that, let me just go through and just cover to you as to what we're going to talk today. There will be a bit of a thing about Redington, who we are, some things about our financials and then a bit more about how we see the market, what we see our strategy as going to the market to capitalize, to maximize from our perspective, what kind of company we are trying to become from a capability perspective and so on and so forth. So, this is pretty much the agenda that we are trying to cover. B ut before I go any forward, like I said, let me introduce to you our global

leadership team. And when I call out the names, if all of you can just stand up by, and that will be great. This is S. V. Krishnan, he used to be the CFO of India earlier, but begi nning of this year, he took on the role of Global Chief Financial Officer for Redington India. We've got Sriram Ganeshan. Sriram was the CFO for Redington, Middle East and Africa on the Board of Redington Turkey, and he's relocated to India now, operates n ow o

ut of Chennai, and he is the
Global Chief Commercial Officer.

We got Serkan Kutlu. Serkan used to be managing strategy in Turkey earlier in our Turkey in Arena, and he's relocated to Dubai recently to be the Global Chief Strategy Officer for Redington. We got Soumitra Das. Soumitra joined us just a few months ago. He is the Global Chief HR Officer for Redington. We've got Ramesh Natarajan. Ramesh is the CEO for our India business, India and South Asia. We've got a few countries covered in South Asia. Th en we got Vishwanath. Vishwanath joined us recently a couple of months ago, probably beginning of this year and he is the CEO for Middle East and Africa. He is Ramesh's counterpart for Middle East and Africa. Then we got Kasturi Rangan. Kasturi is the Mana ging Director of ProConnect which is our logistics subsidiary, 100% owned by Redington. We got Serkan Celik. The picture is a little different for Serkan. Apologies for that. It doesn't show a beard there, but Serkan is a wise

man, that has a nice good bea rd. And Serkan runs Turkey Arena for us, where Redington has a 49% stake, but majority controlled and Serkan is the counterpart for Vis and Ramesh in that place.
Then we got Cem Borhan, Written as Cem but pronounced as Cem from a Turkey perspective. In Tur key we got 2 business units. Cem runs the other business unit, which is a 100% Redington company called Redington Turkey. So, Cem is based in Istanbul, as is Serkan. Then we got Malay Shankar. Malay joined us recently, a couple of months ago, maybe 3 month s ago. He joined us to be the CEO of our Logistics business, ProConnect. And then we got Deepak, the youngest entrant into the Redington family. Deepak joined less than a month ago maybe, yes. Is that right, Deepak? Yes, less than a month ago, he has joine d us to run our shared services.
So, thank you so much, all of you for being here and championing Redington for such a long period of time. Some new, some more recent, but overall extremely nice to have you guys.
And let me share with you who we are. And clearly, there are just 1 or 2 takeaways from this slide. We are a $8.4 billion running across 40 countries, a completely 100%. There is no promoter in the company. So, we are a completely professionally managed Bo ard governed company. That's who we are. There is no promoter. All the promoters in the company exited prior to 2016. And so this becomes a truly professional organization run by the leaders that you're seeing over here. We have a very accomplished Board. I'll just introduce you to the Board in just a minute. and the Board is run by a Chair of the Board, who is an Independent Director, a company which is AA+ rated from a long -term perspective by all the nominated trading agencies in the country.

And then la rgely what we would like to call ourselves is because of our presence in the geographies that we are, we are largely in emerging markets, multinationals. So, originating out of India initially going across to a lot of emerging markets, and I'm sure that I' ll make that clear to you in just a bit. And there's my apologies, I can't walk that side because what is happening is this session is getting live telecast as well. So, it's on the Zoom, I've been forced to be on the podium. So, I can't just move around a bit.
But let me give you a sense as to about our portfolio as well. And this is very interesting. We are a company which does pretty much anything and everything that you can conceive of in the technology world. We do the smallest accessory like a mouse o r a pen drive or something of that smallest nature. And then we do the highest end of the highest level of data center products that you can think of. And everything in between, PCs, notebooks, servers, storage, network, software, whatever you can conceive of or think of, we do in the technology world. And then we also do a whole rang

e of mobility products. Now I'll call them smartphones right now, but
there's much beyond smartphones because we've got a range of mobility and all mobility, you know that it's becoming extremely intelligent today. You have a watch, which is intelligent. All your biometrics parameters can be measured. You can send a mail on that. You can receive phone calls. So, very, very intelligent devices.
So, we do a whole range of all thes e products. Then we also do a bit of beyond products. We do consultancy and advisory services, and I'll talk to you about that in a minute. We do logistics, like I said, Malay and Kasturi are here. We do logistics services for Redington, but largely more than 85% of that business is from outside of Redington. And then we are also doing a whole range of products in the solar energy space. So, we are firmly in and pretty much the only distributor in the country and the only provider in the country as an organ ized green energy, sustainable energy player in the market today. So, this is pretty much a portfolio that we do. And we do software, we do annuity, we do subscriptions, the way in which you can sell today in a variety of different business models. And thi s is what I wanted to talk to you about, why are we an emerging market distributor. Because if you see our footprint, you would find that the footprint is all emerging markets. It is India, it is Middle East, Africa, it is Turkey, and it has got a few coun tries in South Asia. We don't do Southeast Asia in the traditional sense, which is Vietnam, Philippines and those kind of countries, we don't do, Malaysia, Indonesia, we don't do them. But we do Nepal, we do Bangladesh, we do Maldives, those kind of countr ies we do.
So, typically, a very strong emerging markets multinational players that we have and a good position in most of the geographies. We are a clear #1 or we are just at the shooting at #1 position in the one place that we are not number one right no w, and we will get to that position. I'm pretty certain that we'll get to that very soon. So, that's how we are structured and that's how we are present in all these countries. We have an in -country sales motion in most of these places that we are present in.

And just to give you a sense of who we are from a brand perspective, you'll find that we've got 290 brands that we deal with. So, that means pretty much everyone in the technology world, globally, global technology world, no matter where they originate from, whether it is U.S. or it is U.K. or it is other countries of Europe or Asia Pacific, China, Japan, wherever you can think of, K orea, you will find that Redington has a very strong story with them. And our go -to-market is extremely complex. At one end, we buy from all these 290 brands that I talked to you about. And the other end, we service customers through a variety of different kinds of partners that we've got. These partners can be the guys who just take title to goods and give it to the customers. These could be partners who put some integration wrap onto it. They do some services around it. They take it as a system integratio n partner or they take it as a subscription partner. So, that's one range of partnerships that we've got. And then we've got business model partnerships. So, whether they are online, offline, retail stores, large formats, Reliance Jio, whatever you can thi nk of and we deal with each one of them.

So, our go -to-market is immensely complex, but I think that's the beauty of who we are in the middle of such an exciting game plan. And I wanted to talk to you about the Board of Directors. So, our Board of Director s got our Chairman, Professor J. Ramachandran. He just retired. End of July, he retired from IIM Bangalore after being a Professor of Strategy for many, many years, and he's a very accomplished guy. He's done work with Harvard University, ma

ny other

univer sities in Europe as well. He writes papers, books, and he's on the Board of a few companies. So, he's a very accomplished person. Hariharan, the other guy who is in Singapore, he runs his own business. He used to be a Vice President in HP earlier many year s ago. Keith Bradley, he used to run Ingram in North America, and very recently. He shifts between Philippines and U.S. now. Ramaratnam, who was with Deloitte earlier from a consulting part. Anita, she was with many technology companies with Sun, with Cisc o, a whole range of companies and now she's based in Mumbai, and she's at capital market, but a human resources expert.

And then you see at the bottom, Krishnan and myself. On the right side, they are non -exec directors because Synnex is a big stakeholder in our company at 24%. And we've got 2 members from Synnex who are on the Board of Redington. One is David Tu, Tu Shu. You know Chinese have also got a Christian name, all Chinese they do have a Christian name. So, that is David Tu and then Chen, Yi -Ju, he r name is Evelyn Chen. So, she is the other one. So, there's 2 people who are Directors on the Board of Redington. Okay.

And this is a shareholding. You would find that there is Synnex, which is the largest, but there are two directors on the board from Sy nnex. Whole range of FIIs, mutual funds, open holding and fairly distributed, I would say. And when I do my calls, investor calls at the end of every quarter or when you're declaring your results for the quarter, we do get a fair amount of representation. We always have 150, 200 -odd people on the call from a variety of companies that you guys represent clearly, but many beyond as well, and that's always a very good and rich interaction.

I'm going to shift gears over here and invite Krishnan to take you thro ugh a few slides on our financials. So, after giving you a bit of a down or load down on how we are as a company from who we are as a company. Just Krishnan, if you can come up and take the financial slides here. And I'll just come back for the rest of the stuff.

S. V. Krishnan: Thanks, Rajiv. First of all, extremely happy to note that all of you have spent time to meet us and for also covering us on a continuous basis. Imagine how it is to talk about financial numbers to a set of august people who breathe financial numbers all the time, live with financial numbers. But all of you know the Redington story well and the numbers by heart because I keep telling the internal team members the tracking that you all have in terms of numbers are very difficult. It's very complex to understand. So, we have just kept a few slides on the financial numbers, but anything more that we can answer at the time of Q&A. These are, I mean, the broad financial numbers, the key metrics from the time we went IPO, I could think of th e time during the IPO when we had our merchant banker, Mr. Puranik and team and a couple of investors saying, you are already at about Rs. 8,000 crore and we had seen in the market the companies have long growth and higher growth, after IPO all this fizzle s out.

I mean would this be the case in the case of Redington? We said, no, the industry is very attractive and we are very well positioned. We will be able to grow at the same pace in the future. I just want to tell you 15 years down the line, you can see the numbers from Rs. 8,000 crore, Rs. 8,600 crore by FY '07 to Rs. 62,000 plus crore in the last financial year. In the last 5 years, you can see every year, we have added about Rs. 5,000 crore to our turnover. And revenue has grown by 7.5x in this 15 yea rs. EBITDA in the same time has grown by 9.5x and the profit after tax by

12.5x.
So, there has been a consistent growth. It's just not a point to point. This is something that has been a Redington history for the last 30 years. We have not had a degrowth i n any of the

key
metrics in any of these years. So, that's something that we had maintained even post IPO. And the most important thing that we always focus on and pride ourselves is we want to grow our EBITDA faster than the revenue, our profits faster th an the EBITDA. That's something that also been achieved over a period of time.
While we focus on the P&L, we also make sure that our balance sheet is also is in a proper shape. And we always strive to make sure that we create shareholder value. We have bee n very highly focused on it. And you can see and as I said, the profit after tax have gone up at 12.5x. Incidentally, in the same period, our market cap has gone up by 13x. We all used to read as part of our academics that valuation will run in parallel to profit. So, incidentally, we had seen it is similar over a much larger period. And we had been paying quite consistently dividends, and we used to have a 20% payout in the past. As our cash flow has improved, our debt equity situation has become much bett er.

We had declared last time, last year that our policy has changed to 40% payout. But still, if you see for the last 5 years, our payout percentage was about 38%. And the return ratios have also been quite kept well, you all would remember, we used to ha ve a philosophy of 20%, 20%, 20%; 20% growth in profits, the 20% return ratios and the 20% dividend payout in the earlier era. So, you can very clearly see that focus has enabled us to have better returns both at ROCE level as well as a return on equity le vel. And this is something which we are confident we should be able to maintain as we get into the future.
And as I've said, we always ensure the balance sheet hygiene. There is a saying, the top line is vanity, bottom line is sanity, the cash flow is real ity. And we truly follow this to the extent across Redington, the DNA. One of the important metrics is one component, at least of the working capital is something that each of the employees goaled on. Because we feel revenue is like a rubber ball. As you d rop it, it can come back. The profit is like a cork ball, the cash flow is like a glass ball. If you lose it, it's not going to come back. So, we focus on this. We have ensured that there is a consistent cash flow generation which can happen in this business by consistent reduction of working capital. There were a lot of focus in terms of making sure that the working capital that's deployed in the business is rationalized , is optimized and we have seen the results over a period of time.
It used to be 50-plus days, about 6, 7 years back. We had been consistently bringing it down. It had come down below 20 days in the last 2 years, mainly to do with the demand environment and the shortages in this industry. But as it gets normalized, we still think it wo uld range about 30 days, et cetera. So, we are very confident in terms of making sure the optimization of working capital, which will result in the positive cash flow coming in and which is what will make us invest more in the core business as well as for investment into the future.
And then we also make sure that our risks are addressed in a proper fashion. The 2 important risks in the distribution business is receivable risk and the inventory risk. You all need to know at any point in time, we have about Rs. 10,000 -odd crore of outstanding in the marketplace. So, it's not easy. It's like we are running like a mini bank across, as Rajiv said, 40 markets. So, you can imagine how difficult it is to give credit. If you have sold last year Rs. 62,000 crore, whi ch means Rs. 62,000 crore of loan, a sort of credit we had given to about 40,000 and odd channel partners across 40 markets and each of this at the same credit range between 15, 30, 60 days, we had collected back with a delinquency ratio of 10 bps over a p retty long period of time, right?
So, this is somet

hing that is because of the robust process and control that we have on our channel partners. Second, inventory management. You all know this is a very unique industry, the price moves only in one direction , which is southward. There is no other industry where you will see a phenomena like this, plus obsolescence is very high to the extent where we internally say, if you sit on stocks, it's like sitting on a time bomb, right?. So, it requires churn. You need to estimate the demand well. You need to order this thing properly, timely and then make sure it gets liquidated. And this is something that we had done it again and again and again over a period

of time, quite consistently to the extent where if you see our inventory provision, which is a consistent provisioning norm, it ranges between 4 to 5 bps. So, one way of looking at this

industry, it's a low -margin industry.
It's a 2% business. But what is important for you to know is the 2 important risks, the 2 c ritical risks has got managed on an average at about 15 bps, vis -a-vis 2%. So, this is something quite comfortable, I'm sure. While in the ecosystem across the globe, there are a lot of geopolitical tensions, a lot of new developments that are happening da y by day. We have continued the growth momentum as late as last quarter. We have grown our revenue by about 25% in Q1 year - on-year, and profits to be about 33% and maintain our return on capital employed and return on equity at about 20%. And this is somet hing that we would try to do as much as possible, and we are very well geared up in terms of making sure that these financial metrics are achieved.
So, with that, I would give it back to Rajiv. Thank you. If there are any questions, we can address in Q&A.
Rajiv Srivastava : Thanks, SVK. All right. I think let me move on to the other part of the presentation now as to what's happening? What are we seeing in the world of technology around us, what's changing and what is staying steady? And then how are we as a company gearing up or making the moves to ride the tech wave that exists today? And you'll find there is one thing which is really consistent and you can make this slide as a true slide for most parts of our journey is most part of the last 20, 25, 30 yea rs of our journey is the shift towards digital is going to impact pretty much every single aspect of who we are as individuals and who we are as organizations.
So, when you go to engage with consumers, all of us are dealing with changing lifestyles. A coup le of years ago, you weren't so addicted to your cell phones, but today, you wouldn't probably give it up for anything else. And there is so much of sharing of information or so much of hooking up that you have with that thing. But they're just one aspect of consumer, but consumers decide to work, live, work, whatever they do at any point in time from wherever they can, convenience becomes such a big thing. So, there's a shift in the way consumers are behaving these days. How you acquire customers has compl etely shifted and I know when I started my selling many years ago, it was only a physical face -to-face, handshake and then only the sales would start to happen. Not anymore, you're targeting and addressing customers in a very different way. You are engagin g with your own employees differently, no longer would you only have an HR team chasing the people for feedback or for anything else.
Now it's a very digital way in which HR or the leaders in the companies are engaging with the employees and how you delive r because your output or your ability to succeed with your customers depends upon the kind of experience you deliver to them. And that's the single biggest determinant across the world today of making more revenue growth, making profit growth, whatever you can think of as a growth parameter. So, delivering experience through an

operational excellence framework is something which is very big. And then today, innovation cannot happen unless you are digitally enabled.
Whether you have to design a house, you have to design a bridge, you have to design a gear, manufacture something, design a drug, whatever you can think of, whatever you can do as evolving something, even thoughts and ideas, you go and do a huge amount of research online to get some new thoughts and ideas and put together.
So, I think every single thing, every little tiny aspect of our lives today is governed or determined digitally today. And in that sense, some technology trends are more relevant than others, and I'm pickin g and choosing just 4 or 5, 5 of them over here. All of us we use hand phones, every single data that we use on our hand phones is kept somewhere in the cloud. So, if you have a Google mail, you have your bank transactions or you have a Paytm or any other Razorpay, UPI transaction, whatever you may think of, every single thing is on the cloud. Now rewind yourself back 10 years ago, this wasn't the case, okay? Maybe y our mail was there, but your financial transactions were much less or not there at all and so on and so forth. Your entire pictures and photos, your family and your albums, every single thing happens to be on the cloud.
So, that's for individuals. For com panies, the cloud can be on within the company or it can be outside as well. Now 5G, in my opinion, is going to be a big game changer. I was in Korea some couple of years ago, 3 years ago, I was in Korea before just before the pandemic. Korea is the countr y which is the best in terms of bandwidth connectivity, speeds as well as connectivity, okay? And they had rolled out 4 years ago, 3.5 years ago, they had rolled out the 5G networks. And I could physically see the power of what a 5G can do. A 5G network is a network with 0 latency, okay? You understand latency, right? When you and I speak on WhatsApp between Delhi and Mumbai, you'll find that sometimes you are missing something, right? There's a gap, there's a delay. And those kind of things don't happen on a 5G -enabled network.
So, what it does is it enables a huge amount of revolution, almost a revolution in remote health care, remote surgery. Huge amount of revolution in remote training and development in retail management in video and voice conferencing, any application that you can think of is going to

be revolutionized by 5G. So, whereas 5G today for us might become that when you go to buy a hand phone, we always ask a question, is it 5G enabled or not? And maybe that's pretty much what we think it is.

But life is going to be dramatically different as we go forward on the 5G network. Each one of you, when you do your transactions on your phone, you're always concerned that am I leaking my data? Or is my data protected? Or is my data getting compromised? Same for companies as well. When you go to your companies and ask the CIOs of your companies, you will find that there are hundreds of thousands of phishing attacks or pokes into your network, which happen on a daily basis, okay? And it's not an industry p henomenon or one single industry type

phenomena, any industry because people are phishing for data, people are phishing for information, both individual as well as corporate information.

We know that how much we have shifted from a physical transactions on money to a digital economy. We know UPI has gained traction at least 7, 8 times in the last 3 years, and that's something which is a reality. And we know that there are different ways in which tech is emerging right now, and we are trying to capitalize on that. And the significance of this for any company and significance of this for Redington clearly is, if you're not seized of this, you will not make the moves that kee

p you relevant to the market, okay? You will be pulled back, you will be going behind a nd the tech -dominated world, not keeping currency of technology is actually getting obsolete here. So, it's a very straight line equation for a company like us that we must do everything to capitalize on the trends that are taking place today.

And then whi le that is one dimension of trend, which is tech, but also the business models are changing, how many of you used to buy from going to retail shops and buying and have now shifted to buying online, okay? And I'm sure each one of you do a few transactions o nline for every kind of equipment or types of items that you buy for your home. The more commoditized the equipment, the more easier it is to buy online, okay? You do that all the time. And so the experience is determined by how you can get information abo ut a product and how you can execute a transaction. So, you go research online and go touch and feel offline and then come back and buy online or you research online first and then go and buy offline.

So, the customer journeys today have become completely discontinuous. It's very difficult to predict where the customer or the consumer is going to start upon. What is your vantage starting point? We don't know that. And so we got to make sure that we are always online, offline in a true omni channel sort of a world. People used to buy products as products by absolutely down payment for everything that you did and no longer you would want to get the best commercial deal available. And same for companies, companies used to buy downtime products, products while p aying a down payment on a capital expense basis, but it shifted to, okay, I need only a tiny bit of amount of information today. Help me if I can pay only for this. So, there are consumption models, we are shifting. And then there are all kinds of investme nts that are taking place on new technology, people are looking at diversification of product solutions and services. And the work location is a very interesting one.

And I'm sure all of you deal with it. I'm dealing with it. I mean, employees are finding it incredibly difficult to come back to the office or companies are finding it incredibly difficult to pull employees back to the office. That's the reality. And you can't grudge it because during the pandemic, all work happened. So, people say, look, here we are. We used to do everything offline. Why are you forcing us to come back to the office? And very difficult to find a counter argument to that. And you'll say, look, fine, okay, you don't want to come to office every day, but choose some days or the m anagers or the bosses will turn on and say, okay, find out some day or 2 in the week, can you do that?

So, what you're doing is you're enabling a work style and a lifestyle, which is a hybrid lifestyle, completely. It requires different kinds of devices. It requires different kinds of software setups, collaboration, all kinds of different techniques which are r equired as you talk about this. And so we said, look, what will help us succeed and survive in this environment. If you net out the tech trends and you net out the business model trends, we said how do we continue to grow and at a very fundamental level, v ery base level. There are only 2 ways in which growth happens, okay? One, the growth happens when you sell more to the same guy. So, you buy a smartphone, we sell you a cable. We sell you an accessory. We sell your screen guard. Or you find a new guy to sell to or find a new customer. Fundamentally, only these two, okay. In our distributed world of geography, it plays out in this way.

We gain market share, which means we find new customers to sell to. We find new business opportunities which is a combinatio n of both, more to the same guy or find a new guy to sell to. We do new geographies. So, we're find

ing new guys to sell to, and we are doing brand acquisitions. We have so many brands already, but we have gaps as well. And so we are making sure that we are trying to do all of that as we increase our sales. So, I think those are the elements that we are trying to do and how is the question, the how is the digital play that we talked about and I'll talk a bit more about how we are trying to become a more capa ble company to leverage our growth that we really need to do. And there are some qualitative parameters over here. We want to make sure that we are a leader in environment, social and governance metrics of any global standard that you can think of. And we hope to become the most admired company on the planet. Really, those are the things apart from the business objectives. Those are the things that we are going to be talking about.

And so you've got tech trends, you got business model trends, you got how we 're trying to think about the growth, what we are thinking about from a growth and how does growth happen for us. And then the last element is about what's our approach to business. And it couldn't get more simple than this, okay? You saw all the leaders o ver here who are a combination of global leaders and geography leaders, geography leaders, geo leaders as well. So, that's one Redington as a philosophy that we will do everything which is consistently leveraging on the global best practices. The other thi ng is that we aim to be the best provider, the biggest partner, biggest partner for every single tech provider and every single downstream partner in the geographies that we play in.

And then because we are pivoting and we talked about everything digital, we are pivoting a model to become the only digital distributor in the world. I mean the largest and the best digital distributor in the world, and that changes your business model like nothing else would. And the fourth is because the shift is happening in the buying behavior, buying partners are shifting from products to solutions services and everything in between, we must do whatever it takes to be able to provide products and as a service, as a subscription model to you. So, it's a very simple approach to us. So, in each one of these, there's a ton of work which is required on each one of them at the back end, but very simplistic 4 key parameters that we need to be thoughtful about.

And to get to that slide, get to that pitch about simplicity of approach and business, you've got to think about how will it happen, okay? And I've always had a very strong belief that companies survive in the long run not because of the products that they differentiate on, not because they build lots of good people who can co me and start to sell or come and start to service. But companies survive in the long run because they build deep capabilities. Those capabilities are extremely differentiated. Those stand you apart, okay? And we've got a few capabilities to talk to you abo ut. I'm not going to talk to you about all of this, but a few which are really material in the world of today. And the first one is people, okay? We do believe that we've put together a really second to none, an absolute best -in-class global leadership tea m, which has got very diverse experience, people who have domain. And you saw when I introduced people to you, there were some who are very new as fresh as 1 month, 3 months, 6 months old, and some who got the knowledge base and the experience of the organ ization they have built over so many years.

And it's a very healthy blend of inside and outside that is playing out for Redington today in a very, very strong way. And I believe there's a good hallmark of how we will take the company forward. We also belie ve creating a very, very strong high -performance organization. In the world of today, which is very unforgiving, you miss a step on t

ech, you get relegated. You miss a step on business trend, you get relegated. You miss anything in the market, any beat you miss in the market, you can really miss out. And that really means that we have to be a very outside and outward focused organization, which thrives and drives on high performance and has got a very good mix, ideal mix of people centricity with performanc e orientation. Those are the two things that we are very extremely focused on creating the high performance.

And then culture. If you think of companies, like I said earlier, a company can copy my products, a company can copy my incentive scheme, a company can copy whatever I've got in terms of programs and policies, the only thing that is not copyable is culture. And you take a look at history of companies which have survived over long periods of time, you will find that the one which has had a real nice, robust, solid culture, likable is the one which has delivered returns over a long period of time. And there are many, many companies, many, many things of that nature, some of them captured in great stories and books, but I'm sure you're familiar with all of them. And then apart from the cultural aspect of it, you really need to be thoughtful about who are your biggest assets in business. And we truly believe our biggest assets in business are the employees that we have. If they are happy, they will serve y ou well. If they're happy, they'll go and sell more. If they are nice and happy and well taken care of, they will make sure that customers have a good experience.

So, everything fits in very well in an employee -first approach and in no other approach. So, that's from a business or people perspective. Then we also believe the differentiator in the market or capability is going to be tech capability, okay? And we've got many vectors in this, many directions in which we have to take care of a tech capability. We deal with vendors, okay, 290 of them we deal with vendors. We deal with 40,000 partners. We deal with our own employees,

all the 5,000 employees that we've got, we deal with a whole range of other stakeholders that exist in and around the ecosystem that we operate in, which can be ISCs, which can be SIs, partners, people who don't necessarily do business with us, but we are obligated to engage with them, right? And you've got to make sure that every single journey, every single journey of this is digital ly enabled. That's how you become a digital company. You can't just do one part of the business and say, you are digitally super. We have to make sure that every single part of the journey is digitally enabled, and that's how you become a digital company.

And so we are doing a whole ton of projects in the company as we speak. This year, our investments in technology are really humongous. Maybe last 4 or 5 years, put together is we are making investments in technology in just this one year. So, I think that is as precious to us as possible. We talked about digital distribution in the world. Our attempt is to be really the number one digital technology distributor in the world. And that has many aspects and dimensions to it. What you do currently, okay? And wh at you will do in the future? And how do you enable an ecosystem where partners thrive on our platform. So, partners come to sell, customers come to buy and some others come to sell capabilities. And if you have a good way of trying to work this ecosystem and marry the three , capabilities of services, products and the customers buying requirements, you are extremely rich or your ability to serve those customers with a great experience is going to be very high. And that's what we are attempting and working o n. Our digital platform is live today. People can come and place orders. It is live for a B2B business, okay? In India, the way we are set up, I can't do a consumer digital B2C

business, I can't do yet.

We will in some time. But right now, we can do B2B an d our B2B platform is live and some of these functionalities have started to work for our customers. Guys, if you have any points to add at any point in time, you can talk about that.

Let me give you a sense on Logistic service. And this is our 100% owned company called ProConnect. ProConnect is a company which is largely a 3PL service provider. They do only 15%, 10% to 15% of the business is in -house Redington business. And the rest of the business, they got more than 150 warehouses in India, rest of the b usiness is all third -party business. We believe this is a huge asset for us. One thing which happened during the pandemic was that we saw the supply chain of the world, not only in India, the supply chain of the world was disrupted. It was disrupted in man y ways. You couldn't find containers. You couldn't find shipping lines. Costs were escalating, fuel costs were different. There was no adherence to any kind of timeliness to delivery. Every single parameter, which is really standing out in the logistics su pply chain world was broken.

And here we are sitting on an asset as powerful as that, that can really be a crown jewel. And supply chain has become very tech -dominated now, okay? Because every part of the chain has got to be information enabled and you hav e to get the information you want on whatever supply chain that we're trying to do so that you can plan your business, and we are a great ally in making sure that every business is supported by right availability of right products and right skills at the right time at the right location. And that's really our obligation to each one of you, and that's

what we try and do very strongly. So, I think it's a great story, and we're investing a ton of technology in our supply chain business to make sure that our cu stomers are served well.

Then this is the other one. This is the reason why Deepak has been hired in the company about a month ago. Look at a number of purchase orders that we manage. Look at the number of partners we manage, 40,000 partners, more than 100,000 invoices every quarter and end -to-end supply chain, which is from the time you make a code and the time you collect money. So, the entire go to ca sh process, which involves engaging with partners, vendors, customers, every single thing that you can think of. And if it is in a manual way, there is no hope in hell for us to be successful here or provide any experience. So, we automated this. So, we set up a separate company called RedServ Global Solutions Limited, RGS, which is providing services to in -house and to a very small number of customers, but this will scale up just the way ProConnect has scaled up to provide an 85 -15 outside inside. I'm sur e that this will also scale up over time to get to a good space where we can be very differentiated because the complicity of operations that we manage is humongous. And it is of great value to a lot of partners.

Why would an HLL not use that, which is a s imilar sort of a thing here. I'm just using an HLL as example, but anybody can use it. A bank can use this, okay. Anybody can use this because there's so much of gravitas so much goodness in efficiency of your operations today, okay? Then we acquired a com pany in Gulf, a company called Citrus Consulting. Now if you're trying to move from the world of products to solutions and services, then one of the essential cogs in the wheel is being able to provide consultancy or advisory services to your customers. An d this is a company with just exactly that, for a complete end -to-end back -end data center, consultancy and advisory to migration to cloud, to analytics, to data management and all of that, it does, it's a very strong company. We are engaged in a lot of it .

This is much less in India right now, largely in Mid

dle East and Africa and we are winning big in this space right now. And then cloud, I'll talk to you in a minute about why cloud is so critical and so important to us. But clearly, we will scale our clo ud business. That is the way in which the world is moving. That is the way in which you saw your own companies adopt applications or run applications during the last 2.5, 3 years of the pandemic time. Every company said, okay, a marketing manager gets up a nd says, look, I must go and do this target audience marketing with a target bunch of my customers, but I have to run an application. How do I do that? The traditional way would be go, call for a server storage application code. Somebody will develop code on that and then you go roll out, it takes 6 to 9 months to do all that versus you say call an application cloud company and say, look, let me put this on the cloud. Adobe comes in with their marketing application software. Amazon comes with a back -end dat a center, and you are up and running in a couple of weeks. So, that is so strong. That's the whole proposition of cloud. The world is moving towards that. Only about 12% to 15% of all workloads are on cloud today, okay?

So, think of it, 88% to 85%, 85% to 88% is an open field. And that's what we are attempting to do. How can we become a $1 billion cloud business in a very short time. And that's something that is important. And there's a genesis. If you see just the last year with just 779 you see in 2024 and you'll see 917 in 2025. In that 1 year, $138 billion is going to get added in the cloud services, okay? Whereas in the traditional services, 838 is becoming 868. So, it's about $30 billion, $31 billion. So, the investments are disproportionately in favor of cloud today, okay? And that's the reason why cloud is so important that if any company, like I said earlier, if you don't catch a trend in the tech world, you really can become obsolete. So, I think it's important for us to capture the trend. And these are the trends that are happening in cloud, okay? There is a focus on vertical industry. So, whether it is a financial services world, it requires a different kind of cloud architecture. If it is a manufacturing world, it requires a different kind of clou d architecture, retail industry, film and video, hospital, health care, everybody requires a very different kind of a nuanced thing.

And it's only important that we recognize this and make sure that we are playing in the right sort of space. And there are many solutions that are required. You do backup, you do disaster recovery. Ultimately, if everything is on the cloud, your companies don't need any server, so really you don't have a server in your company at all. It's all in the back end. We run it like that now. You have a cloud center and then you put everything else on the cloud. And you have a disaster recovery center because your applications are critical, you must never lose them. You disaster recover them on some other sites. So, it's a completely fail over fail safe sort of arrangement, both on cloud, think of it that way. So, it's like double the potential that is possible, okay?

And so what we did was, while we set up a huge team in the company to run the cloud business, we also realized that it's a highly tech -enabled business. Because it is complex, it requires many elements. It requires advisory, it requires products, it req uires services to be delivered and provisioned. So, how does it happen? Assuming your company is trying to use some software and you want it only for a month, okay? So, we'll tell an application provider or tell an Amazon or somebody, okay, I need this spa ce or this software only for one month, that's subscription. So, you pay when you use, don't pay when you're not using. Like I said, I do it all the time. I have a personal Zoom licensing, okay? I have a company license

as well. But when I host my family gathering, some of my friends gatherings, I use my license. And the months I know I'm going to

use them, I pay for that month and the months I don't use them, I don't pay. Same with LinkedIn, I'm a LinkedIn premier subscriber, use it for the months I used t o and don't use it for the month you don't use to. So, it's so convenient. And all of that, my platform can allow you to do that.
It can allow you to be as flexible as possible. It can allow you to demand and get what you want as services for your company, for individuals, for anything. And that's how the CloudQuarks platform is. It's a very strong platform. There are 11,000 partners who are registered on this platform in a time frame of 6 months. That's growth I haven't seen earlier and 6,000 -plus of them transacting today. And that, like I said, is a really incredible sort of a growth. I wanted to give

you a sense as to we talked about why cloud is important, but how it is relevant and how it's showing up in our revenues today. And this is my figures of la st year, not of this year. So, we've got $190 million of cloud products, which has now become an annual recurring revenue, okay, for which you don't have to keep working every time. So, the more you can get to an annual recurring revenue or you can get to a more revenue, which is assured at the beginning of your fiscal year, that much less you have to work on or you have to go and do something else and get some of the work to be done. So, I think that's the significance of this slide. It works through a whole range of hyperscalers like Amazon, Google, Microsoft, Oracle and IBM and everyone else here.
This is the other slide that I want to talk to you about. So, you saw that we got 250 to 290 brands. We've got that many brands, right? Okay. So, we carry them. We make sure that there is a revenue commitment to each one of them in some reasonable way, but you can't have a strategic relationship with every one of the m. And so only a top 15 with whom we want to have a global relationship. You want to make sure that these 15 get a pride of place, a really, really differentiated positioning and engagement between them and us to maximize because they are the movers and sh akers of the tech industry, okay? A lot of trends in the market are set by companies like Google and Microsoft and IBM and HP and Dell, those kind of companies, Apple, those kind of companies set the trends in the market. And so you've got to make sure tha t we've got a very deep strategic partnership going with them. We got those players. We've got 40 countries. We've got 35,000 -plus partners. We also work. Like I said, our GTM is extremely complex. So, what we also do is we also work with the system integr ation partners like Infosys, TCS, Wipro, Cognizant, Accenture and many other similar partners across the world, Hitachi and Mitsubishi and a whole bunch of those players, we can work with them. And then we work with the big 4. The big 4 like E&Y, Deloitte and KPMG and McKinsey, those kind of people who do a lot of work in our space. They advise, they consult, but they also do tons of work on the services sector. And we got pretty much our coverage is absolutely unparalleled because we work like I said, the GTM is so evolved and so complex, we work with pretty much every segment of the market. So, we would have a reasonable understanding and knowledge of what's changing, but also of what who is buying what and so we can align ourselves from that perspective.
All right. So, much for the tech pitch that I wanted to make to you or give you a sense as to how tech and Redington are blending together. How is Redington trying to capitalize on the evolving tech market through the capabilities that we are constructing in the company. And I'm just going to give you a sense as to our approach and I told you in the begin

ning that we are going to be
leading in ESG. Right now, I think we have a BBB rating on ESG from MSCI. There's a global rating. We are 60 and 580, Sriram? Yes. We are rated 60 on a list, which has got 580 companies. So, we are in the top 7%, 8% right now. No reason why we shouldn't become better. And so our drive is going to be towards improving ourselves on the ESG. We mentioned to you about how we are both governed and professionally managed. So, we always are very conscious of making sure that our governance levels are the highest, you cannot slip up on governance because our

model is so evolved and so distributed, that it kind of invites or opens itself u p to a whole range of holes and we've got to make sure that every single hole is plugged in from a process and a governance perspective. So, our governance is extremely, extremely complex and evolved from that perspective. We believe we have a very strong commitment to the communities we serve around us. We got a whole social conscious, lots and lots of work is going on in the communities around us, in education, in skill development and just lifting up the living in certain places, in some villages that we work in. We are working with those communities in those locations.
And then from an environment perspective, and I must admit there's a lot more we can do on the environment. Right now, like I said, we have a very strong solar energy business that allows us

to play a small role in ensuring clean and green energy, sustainable energy. But there can be many, many more such things that we can really do in the environment space, regenerating the environment, regenerating the water bodies, doing whatever we can to make sure that we are ourselves, green certified in every single aspect of what we do. So, I think that's our approach towards ESG. I'll just give you a sense of recognitions, and I'm sure this is something you can have a laundry list, but we have a ton of recognitions going just because the way we engage with our partners and vendors, they think we are a reasonable company to deal and to do business with. But the award which really soothes me, soothes me no end is this one, okay? And I think all of us w ould do whatever it takes to be recognized as a real company trusted by every single constituent that does business with us. Because trust is a single biggest barometer of people coming back to you, for your employees to be working with you, for your vendo rs to be engaging with you and doing business with you. For your partners to look up to you and believe in the fairness of your processes. And I'm really humbled that the relevant forces in the market, believe we are a company that is really up there from a trust perspective, and I really respect and I accept this with all humility and make sure that we are able to discharge our commitment towards this. That's all I wanted to talk to you about. I hope you've got a good sense of who we are and what's happeni ng in the market and how we are trying to sort of play our game. All my leadership team is here. We can have questions on geographies, territories or any function or anything that you can have or any comments to make, any advice, and I'm more than happy to pick up any advice, like I said, I recognize the power of this forum. You guys are extremely, extremely aware and knowledgeable and I'd love to take some knowledge back.

Participant : (Inaudible) (1:15:57) So, like buying these cloud platform and redistri buting it to SME clients or the guys who can't afford, let's say, complete cloud migration solution from a tech provider. Correct my understanding if I'm wrong.

Rajiv Srivastava : Totally right. And my apologies, I missed to introduce one very important per son on the team, Rakshit. Rakshit, you are around somewhere? Rakshit? Rakshit runs our cloud business, and I'll leave it to him to answer tha

t. And I'll reinforce your understanding. It's not 80%, it's probably more than that, which is a cloud resell today , okay? Like I talked to you about what is today and what directionally that we are headed to. But Rakshit, please go ahead.

Rakshit Bhatt : Good evening, everyone. So, I think a very interesting question. And your understanding in terms of reselling is abs olutely right. What do we do in the SMB, SME space for cloud adoption? Now when we connect with our partners, so Rajiv was mentioning about 2x partners and 5x customers, right? So, what are you doing? You are in a way influencing the partners to improve in the cloud consumption. Now what's happening is the partners are not only about reselling and consuming. These partners and the core to cloud business, what do you think about enterprise as a large SI player, right, their ecosystem is thriving on the techn ical presales ecosystem, right? And in cloud business in Redington, what do we do? We have the technical presales ecosystem for these partners who are playing in the SMB space.

And see the connection is as follows, then we are also linked with the hypersca lers, correct? So, 2 are Microsoft, 2 are AWS to improve on their market reach in India. It's not only about consuming. How will they consume if they don't implement? That is where Redington plays a role. And that is where there are programs we partner with hyperscalers in terms of you can speak about assessment to migration to modernize, right? That's the first part. The second part is the professional servi ces element of it, where in the professional service element, through the partner ecosystem, now in this forum, I can only state that there are a set of partners with whom we are working very, very closely in terms of looking at the co -sell model of servic es, right? What is there with them, what is not with them and how can Redington do it? That's the second part of it.

And then third part of it is the recurring customer base. So, there is a huge customer base. If I look at the Tier-2, Tier-3 cities in Indi a, who are really looking at managed service in a pay -as-you-go model. They can't afford people, but they can still afford a small aspect of services. That's what Redington cloud does today. I hope I answered your question.

Participant : (Inaudible) (1:19:1 8) onetime revenue or it is also a recurring revenue like once anybody has taken a cloud package or any cloud subscription through you? Whether your revenue will continue till the time the subscription continue or you can renew directly? And secondly, in terms of like the solution, is it a onetime solution like once you help a customer migrate to the cloud, and then over the period of time, he can run his affairs on his own. So, these 2 things also, if you can elaborate, that will be great.

Rakshit Bhatt : Very interesting questions. So, from a revenue model perspective, Rajiv kind of showed a glimpse about our ARR, right? So, within the ARR, so as it happens in every business, so there is a component of a banked revenue in it, right? So, in our business, it is about acquiring new

partners, new customers, it is also about retaining the current partners in those customer sets. So, one of the parameters for my teams across India is also about retaining customers, correct? So, that's on the distribution side. So, the subscription continues.
And we can have a wider discussion outside, no problem. So, if you look at the product lines of Microsoft or a product line for AWS, what happens is there are some of the business lines who

are easily shiftable, right? A partne r or a customer can easily shift. But there are service lines where the shift is not very easy. It requires a technology transition. So, both aspects are covered by our business. So, I would say, to answer your que

stion on the distribution on that side, there
is a bank revenue attached, the renewal factor is there and there is net new attached. So, all 3 combine to our new revenue pool, where we are looking our month -on-month or year o n year growth.
Now to the solutions side, a very interesting question. I will say that there are a certain set of solutions. Now my answer will be catering to India and the regions we cater to. And if you look at the maturity of the markets today, and as R ajiv said, right, it's only 12% to 15%, which are there on the cloud. And if you look at the enterprise customers, they are there. If you look at from an industry vertical perspective, let's look at the industry vertical, banking, finance, insurance, even in the BFSI, insurance is late, but banking and finance, banking has really gone up. Now what is my solution when I go to a banking industry, okay? Now think about working with AWS on one side and this big fintech platform on the other side. So, what will a fintech platform look at? A fintech platform will look at acquiring all the major banks in India. Where is Redington in this? Redington is enabling all this, one from a consumption perspective. Second, there are some of these fintech platforms who furthe r need in terms of their internally, they have become so huge, they still need to migrate at some aspect. So, there are solutions. So, my focus today, if you ask me what is my top focus, assessment, migration and cloud security. These are 3 answers. Am I t oo focused on modernization today? Absolutely, yes. But do I see too many leads in the Indian market today on the modernization aspects? No, in this space we play. I hope I answered your question. Thank you.
Participant : I have a few questions. Some of tho se questions got answered. But normally, when it comes to the Indian market, so an AWS or Microsoft, don't they directly deal with customers? Or is there a level of size of companies that they will deal with directly? Where does that cutoff comes where the y stop dealing directly where players like you come in? And are you the only player or are there any other competitors? So, can you name a few of them? So, that would be very interesting.
And similarly, if you see a geography like U.S., does this happen in U.S. also that there will be a set of customers that AWS or Microsoft will not deal with directly, and they will have a Redington kind of a company in the U.S.?
Rakshit Bhatt : Very interesting question again. So, let me put it this way. Now if you look at the big hyperscalers, the top 3, Microsoft, AWS, Google, let's talk about them. All 3 at the end of the day are selling cloud, public cloud. And within that public cloud, what you have at the back end is the data center. What they are also selling is avai lability of applications. What they are also selling is uptime, right? And now coming to your question, so why I was relating is, every cloud provider has a different model. Now the reason I bigged up on this kind of give you a view of how they sell is bec ause if you take Microsoft, so they have enterprise as a business line for

them, where they directly do with enterprise large -scale customers. So, their sales force or their account management team is focused on those large accounts.
But do they have the m arket reach, their sales coverage in a country like India? And when we talk about geo. So, you differentiate, how do we differentiate? So, enterprise, they do directly. I'll give you one more aspect. Even within enterprise, some of the enterprises are so l arge, those enterprises behave as different organizations within them. And there is a subset of those enterprises, which have no one to handle. So, I can just state in this forum that when we talk to Microsoft, we also talk about enterprises at a sub -enter prise level. As a cutoff, what happens is when it comes to ge

os. So, I'm talking about the Tier-2, Tier-3 cities in India. That is where
player like us come in, in terms of improving the market reach, in terms of taking the solution ideas.
Rajiv Srivastava : I think I can supplement. I used to work for Microsoft for a few years, not many years, a few

years in between and also HP for a long time. All of these companies, Microsoft, HP, Google, everybody has a list of accounts, list of customers. And they are really the largest of the large customers. I don't think they make a cutoff that I must handle 100. I think first cutoff for them is global accounts, okay? Accounts like Nestle or Citibank, those kind of accounts become really the large accounts f or any of these organizations.

So, their first cut off is Fortune 100, that becomes a direct engagement for them. Now you've got to separate engagement and fulfillment, okay? I may engage directly, but I may fulfill through a partner, which is what happens in most cases. So, most of these companies, they will cut off at 100, 150, 200 of the largest accounts in the world. If you take an ET 500 today in India, that's where they will cut off at a 500 or 300 or something like that and they won't go beyond that. Even in those accounts, now the selling motion is very complex because it depends upon who owns the account. If you are trying to go and sell, we are sitting in the Reliance Jio Center. If you're going and sell into a Jio, a Google may want to come and se ll it, but the account may be owned by TCS, right? And so then the whole orchestration becomes very different. But most companies try and have a direct relationship or engagement focus on the top 100 to 150 accounts in the countries.

Participant : So, the second part, who else is doing this in India?

Rajiv Srivastava : Who else is doing this in India? Companies like Ingram, Ingram is doing it in India. A distribution company, Ingram also is doing that in India. And yes, is there anybody else?

Rakshit Bhatt : So, from a compete perspective, we have Ingram, Tech Data is there, Crayon is there. So, they play in different markets at a different level. But I will not state who is the direct customer who's doing volume equivalent to us? But the only thing I c an state here is, if I talk about the hyperscalers today, and the information is there in public domain, we are in strategic tie -ups with the hyperscalers long term.

Participant : That is not exclusive, right?

Rakshit Bhatt : It's exclusive in India.

Partici pant: So, it's like in your agreement says that they will not tie -up with anyone else?

Rakshit Bhatt : No, it doesn't say that. But if I talk about the current fiscal, it's exclusive.

Participant : No, I'm just trying to think what exactly do you bring on th e table? There could be anyone standing up and saying that I'll do this for you, and I'll do it cheaper because let's say Redington is charging X, I'll give it to you 10% discount, let me do it. So, what exactly are you bringing on the table which differen tiates you?

Rakshit Bhatt : So, there are 2 parts. See, to the first question that was asked to us. If you talk about the distribution business, the question that you just asked me might be applicable to some extent, okay? In terms of you might say there is one company Redington who's offering X discount. I'll go to another organization which is offering Y discount. But when we talk about the space we are handling, the SMB and the SME space, these are not very low -ticket size numbers. Even these customers, t hey don't move and move out every day just for a 1%, 2%. There is a stickiness attached to it. So, that's why I was answering my question is that when we do distribution, we also do technical presales because there is a level of technology support that is going on in terms of cloud adoption.

So, a CTO or a CIO will not blend his decision on a 1%, 2%. H

e will blend his decision on what is the architecture capability that was brought on the table by Redington and enable. I hope that's one of the differentiate s I can really think of and that I apply daily.

Ramesh Natarajan : The question is we've got a lead advantage of over 7 years over the other competitors here in this country. Two, the base of customers and the base of partners that we have built as an ecosystem and has been relevant and sticky to us and who has probably g rown their businesses because of our collaboration with them for the last 7 years and more have bought a lot more time for anybody to catch up. So, we've got a leadership advantage here. And hence, there is a lot of investments by the hyperscalers for us t o try and grow our businesses in much more multiple times the next 3 and 5 years, which is where I think Rajiv talked about $1 billion cloud organization by a certain time frame, okay? So, that's the lead advantage, which differentiates us from the pace of ecosystem they've already built. So, I think they are on a catch -up mode. And I think in my observation, they are about 3 and 5 years behind or at least 3 and 4 years behind.

Rajiv Srivastava : But look, I would never tend to look at it as a competitive wo rld. What we said was globally, 12% to 15% of the migration has taken place on cloud. In India, it is a single -digit number. So, the market opportunity is 91%, 90 -plus percent. There is no hope and help for Redington to convert the market. No chance we can do it. And you figure out any industry you go to, you go to motorcycles, you go to scooters, lamp, shades, whatever industry you want to go to, there isn't one single and competition is good for the industry. We need it because it allows you to proliferat e the concepts. We are at a space right now where the concept of cloud selling has to get more and more and more and more proliferated. We need more Crayons. We need more Ingram Micro and we need more of Tech Datas to start to help us proliferate. Our diff erentiation will build. We are building the way you mentioned about making sure that we are technically sort of more capable.

And something that consumes me is just that point, how are we trying to become more relevant to our customers in the tech domain? That's all my thing is. Don't worry about Ingrams and Crayons because the market is so huge right now and whoever does a better job of capability creation is going to be the real winner in the marketplace. And that's who we are. That's exactly who we are. Nothing else we are trying to do, okay? Because the market size is right now, so early stage, so nascent and so huge that I think we need people to step up and say, "look, let me go and position cloud more and more to more and more customers." That helps a ll of us.

Participant : (Inaudible) (1:32:04) $190 million you showed as recurring revenues, right? So, that is recurring in the sense that for how long it is recurring and so that is only going to grow from here, right, $190 million?

Rajiv Srivastava : That is right. Recurring means it gets renewed every year. You still have to do the work of renewal because like I said, in subscription, somebody can say, I switch it off tomorrow. I don't want to buy it, and it can be off. So, the dynamics of the industry ar e a little different, okay? When you have a hardware product, you can't switch off because you have the product. So, you got to pay for it. But when you have a software product, like I said, I gave the example of Zoom for myself, I also have Adobe license similarly, okay? Then I can switch off and then somebody can't pay.

So, the way the industry works is, it works on a mechanism of trying to step up how to ensure customer stickiness and customer consumption, consumption and adoption rather. So, I consume, but I adopt as well. And so when it comes to the end of the ye

ar, I'm so dependent upon it that I must continue to use it. So, I think a lot of conversion, about 70% of conversion is automatic. The balance 30%, you've got to work for it. Some will get lost , okay, out of $190 million, maybe 15%, 20% will get lost. And so you got to find net new the way Rakshit was mentioning. So, you got to create net new. That's our last year revenue. This year is going to be a dramatically different number.

Participant : And in your presentation, you showed that since last 15 years, your revenue has grown at 14%, EBITDA at 16% and PAT at 18%. Do you feel that still the EBITDA and PAT growth will outpace revenue growth in future the way things are?

Rajiv Srivastava : I really hope so, yes.

Participant : And then most of the people feel that your margins are at peak.

Rajiv Srivastava : Look, that's a deeper sort of a question, and I don't want to trivialize or be very superficial about it. Margin is a combination of many things, just the way it is a combination of many things in your businesses and the businesses that you guys run. In ou r business also, margin is a combination of many things. It is a combination of all the cash things that you saw, all the operational excellence things that you saw. So, there is an operational excellence element to margin improvement, okay? When you're tr ying to grow your revenue and EBITDA and your PAT, you're getting operating leverage, which is going back. The more you can control your Opex, the better your operating leverage you can get, and so you can get that. So, there will be one part of the operat ional excellence element that keeps coming in because of that.

The second part of it comes in because of the business mix that you have. You have a business mix, some products in your business mix are less remunerative and less profitable. Some products ar e more remunerative and more profitable. My ProConnect business is more remunerative. My solar business is a double -digit gross margin business, whereas every other business is less than that. My services business will hopefully be a much, much, much more remunerative than anything else.

So, I think the way we have to think of ourselves today is how do I pivot my product portfolio and my geos, some geos are more profitable for me than other geos. So, we have to constantly think of ourselves as reverting acr oss the dimensions of product portfolio, operational excellence and geo coverage, which allows me to have a nice healthy blend. And that's the reason I said I really hope so that we can continue on it. If I continue to do exactly the same thing that I did forever, they'll be ahead.

Participant : So, services as a percentage right now is how much? For example, in cloud, I understand 10%

is services
Rajiv Srivastava : No, it's not. 10% is not services. Services right now about 2% or 3%, okay? It's not 10%. Our attempt is to get towards 10%. And once I shif t that, then you'll find a huge shift in margin profile. On an expanded cloud revenue a 10% of services revenue at a 30% gross margin, and you can do your calculations yourself. So, I think we've got a whole s ort of complex algorithm going behind our margin management.
Participant : I'll go ahead with the question. Sir, in the presentation, you talked about becoming #1 digital technology distribution company. So, what is number one? I mean, can you be a little s pecific, is it by revenue, market cap, profits or anything?
Rajiv Srivastava : I can't control market cap. So, it's largely by revenue and how we want to think of ourselves as a technology distributor. If you look around the globe, you'll find that hardly a ny distributor has such an intense focus on converting their business to a digitally denominated business, which

means, like I said, all the journeys that we've got, vendo

r, customer, partner, employees, all the journeys that we've got should become highly tech-enabled. And that's where you're trying to rush towards that make it so easy for every single stakeholder of ours to engage with us that they naturally start to do a lot more.
And there are many other things we have to do, it’s not only technology, we have to do engagement and relationships and all of that and capabilities. But we're trying to say that if you enable all these journeys in a very good way and continue to do all th e other capabilities that I talked to you about, hopefully, we'll be in a space that everybody will deal with us in a very digital manner because that's the way the world is moving right now.
Participant : So, I also want to understand how do you see this d istribution business in the medium to long term? I mean there are a lot of pushes and pulls in the sense we are seeing, as you said, omni channel and D2C and so on and so forth. So, we also had GTM change for one of the clients. So, in the medium to long t erm, how do you see this distribution space evolving? Do you think that this will present a lot more opportunities? Or you think that the adjacencies can scale up significantly like ProConnect and other businesses? Which will be the way to pivot your busin ess?
Rajiv Srivastava : I'll just give you an answer. I'm just making a note of 3 questions you asked. And all 3 of them are different, right? Each one of them is a little different. I'll give you a sense of your second question, which is online. Let me answer that as the first question. And I'll talk to you from a lot of experience on this because I used to run online business for HP for many years in the region. Apart from other GTMs and I also used to see the way consumer online behavior has evolved in countries of Southeast Asia and China and Japan and Australia.
Now for some reason, for some strange reason, Europe is not heavily dominated by online, okay? Neither is Australia. The country that adopted online the most was China, okay? And they use to buy products. Suddenly JD.com, Alibaba and Dudu, 3 companies, they came up. And overnight, everybody saw the business shift towards online. So, much so that in a very short time over 1.5 years or 2 years, the consumer PC business and the phone business shif ted to almost about 60% online, okay? And then at 60%, it stayed for a bit, and now it has come down to around 50 -odd percent. So, there is a plateauing of online. In India also, if you see, in 2014, when online started through Flipkart and Snapdeal at tha t point in time and then later on to Amazon, when it started, it went up a significant amount earlier. It was started small, about 15%, went up to about 45%, and it's come back to about 28% to 30%, okay? Every market has a plateauing effect of online. It i s not a one -way uncontrolled growth engine. And the reason for that is because each one of you in this room, you want choices of buying patterns. So, the model which will evolve and serve, and that's the reason we didn't say online, we said omni channel. The model which will continue to sustain and survive is an omni channel model, which allows customer choices, okay?

So, I'm less concerned about online because we play in the online world. My digital platform allows you to buy online. So, we are in a place where we are building capabilities, like I said, to give you the choices that you want, okay? So, that's one thing out of the way. The second point of yours about how the distribution business is evolving? And look, that question has been coming to me earl ier when I was not in this company and even now when I come in this company. And if you see with all the pulls and pressures of distribution, the pulls and pressures of distributions are disintermediation. Why should I give 2% to a dist ributor when I can s ell directly, okay? And y ou take a look at markets after markets after markets across the world, distribution business has only become stronger and stronger and strong er. Not one country has reduced dependence on distribution. Every country has only increa sed their dependence on distribution, which means there are inherent benefits of reach, customer centricity, partner management, marketing services, demand generation, whole range of things. Like I said, 290 brands, only 15 we can manage, the balance have to reach somehow.

How will those brands reach the market? They can't reach the market on their own. They can't create a high -cost infrastructure to reach the market. So, those are the reasons for which, the whole emphasis and the distribution business has continued to thrive and become stronger and stronger and stronger. In every product category you can think of, whether it is soaps, it is televisions, white goods, it is technology goods, it is phones, it is motorcycles, whichever you can think of. Hero Ho nda can go to customers directly, but they don't, right? I'm sure if I have to buy a bike, I can pay online and say, look, send me a bike, but I don't do that. Nobody does that, right?

So, you'll find that, that space, again, for reasons of reach and so ma ny reasons, so many value additions are there because of which the distribution business only continue to become stronger. In the part of world in which we exist, there are even more inherent reasons. And I think Krishnan explained it beautifully when he s aid, we are a mini bank extending Rs. 62,000 crore of credit every year. Find any other one who would take a bet on a partner in Lagos in Nigeria for selling $100,000 here. You won't find anyone. And there are many, many, many, many such reasons. Even in D elhi, you won't find. In Mumbai, we had a partner meet just before you guys came in, we had a partner meet and the discussion around that was, a lot of discussions from partners was, how can I get credit more. I can grow my business, but how do I get credi t more, okay?

And there are many such examples, reach, coverage, logistics, supply chain, expertise, technical, talking to getting building other expertise from us, knowledge, all of those, right? So, those are the ones. The adjacencies that you mentioned about are relevant, are real. And we've got to be very thoughtful and considered about what adjacencies can we play in? Our services is a natural adjacency. Some of the products in the tech world are natural adjacencies for us. And like I said, we do acces sories all the time. We do watches, we do wearables, hearables, all kinds of things we do. So, I think there's a whole ton of stuff that is possible in the adjacency world that we should be thoughtful about. And we are very, very, very focused on. One of t he growth factors for us is adding new brands and adding new products sort of thing.

Participant : Could you speak a little about direct -to-retail? I think the third point you mentioned on digital distribution. So, if you think of the business, you go throu gh sub distributors and then go to retail. And now we're thinking of direct -to-retail. So, if you could just give us some color on where are we on this initiative? And how are you thinking about executing on this?

Rajiv Srivastava : I'm going to defer that question to Ramesh. He is running a very strong initiative right now in India on D2R. So, Ramesh, all yours, man.

Ramesh Natarajan : Thank you. Good question. In the same lines of what Rajiv was talking about disaggregation, what value does any aggregator b ring to the table? And I think from the point of direct -to-retail, what makes data from the point of sale to be captured in relevance to the demography, in relevance to the product structure that keeps going in those markets, in relevance to the seasonalit y that gets to be brought in, in that area, your custom

er profiles, your buying patterns are certain elements today, which is compelling the OEMs, the alliances to work with this to get a direct -to-retail, which is far more digitally enabled so that a lot of these data getting captured as analytics throws back a lot of insights on your product design or your product costing or your demand forecast or your time to market , which is when direct -to-retail becomes a lot more smarter as against a 2 Tier-distribution structure.

Now there are 3 elements of class of retailers. Now if you look at brand exclusive retail store, they are far more evolved in terms of whatever we spoke on those 5, 6 parameters. And there are multi -brand stores who are obviously ev olving, still contributes close to about 50% to 60% of this market minus the large format, minus the direct -to-retail. See today, sub distributors or the second -tier-distributors just about brings in only credit. And mind you folks in the last 12 quarters when the market was wriggling for supplies, none of those Tier-2 really could get the capacity, and we were the ones who the Tier-3 or the point of sales that was looking out for stocks had to rely and depend upon. And hence, a lot more connect closer to t he customer if we can get across, that is making direct -to-retail a compelling proposition moving forward. Now we are as good in our today's model, catering to a good lot of Class A retailers because of the kind of financial processes they have, adequacies , capital adequacies they have. We're working towards a lot of fintech ecosystems coming across to us, helping us to make good the credit management for Class B and the Class C retailers, which is nothing, not only metro but it's also about the Tier-2, 3 a nd 4 markets. We're slowly getting there, a good lot of the top end of the

pyramid has been brought inside the direct -to-retail. In the next couple of quarters and year, we should be in a position to get a lot more into the ecosystem.
Rajiv Srivastava : Serkan, do you have any D2R in your country?
Serkan : On the online channel, we have a similar situation. And together with the increase of the online sellers, we are serving to the partners who is making the retail business on the online with the logistics se rvices, with the technical infrastructure services, and we help them to develop their businesses with the infrastructure that we provide them in the market. Just a few years ago, there

was not a channel, we call them marketplace players. There was not a ch annel like that. And last year, we made a $100 million revenue with this newborn distribution channels. So, together with the increase of the new go to ways to the markets, we are going directly to the partner sets to support them to develop their business es.
Rajiv Srivastava : Okay. Vish, anything from you?
Participant : So, if I can just follow up. So, you have the business wherein you go direct -to-retail, does it mean that in terms of working capital funding, that's done by NBFCs, right? That's what you would ideally do. And does that mean that what credit you would normally give a sub distributor , that sort of save s you on capital? Is that the end state? And the second thing is where are we on the journey? How many retailers do we have today? And how big i s that as a part of the overall business today?
Ramesh Natarajan : I think a good part of, as I said, Class A retailers is already on, not too sure what percentage of it, but it's a fair percentage, a double -digit percent is already on board. But the question of working capital, will it get reduced? Yes, it can get reduce d. And yes, it can also grow more depending upon the point of sales. But the whole advantage of direct -to-retail is the retailer doesn't need to have inventory in his stocks. He can obviously look at inventory just in time from us, okay, on a daily basis, having 2 shots of in

ventory, one in the morning and one in the evening.
So, predominantly, we're giving an advantage that direct -to-retail need not have retailers to stock huge amounts. You can probably look at it from 1, 2 and 3 days and be in a position to replenish the inventory on a regular scale. And that's what Serkan brought in, it’s mobile warehousing or city hubs that can help support the retailers around that space on everyday inventory dropdowns, everyday collections, which makes the direct -to-retail a lot more faster cycle turnarounds. And of course, it saves us. But what it might bring in a little higher cost, but that's exactly when you disaggregate one single layer, it helps us to try and make good that part of the cost in terms of serving the direct -to-retail market.
Participant : So, I'm just wondering with cloud migration and growth of hyperscalers, how do you all think about the risk of some of these large guys directly sourcing their enterprise IT needs from the brand without going to a dis tributor like you guys?
Rajiv Srivastava : They do it all the time. There are a lot of large accounts. They have a direct relationship, both engagement and fulfillment is direct. A lot of accounts have got that kind of a bank behavior. And that's existing i n the market. Like I said, the equilibrium of the ecosystem is 80 -20 indirect - direct. So, that's the way it is staying for many, many, many, many years in the last so many years, and it doesn't bother us because that part of the business, like I said, thei r contracts with a lot of global accounts of these not only hyperscalers, but any global provider like a Dell, HP, their contracts with global accounts may permit them to only sell and supply and manage them directly. And so they would be doing that. They will be forced to do that. In case the accounts

or the contracts are not like that, then it's okay for that brand to say, okay, fine, I have an indirect sort of motion in that account. But it's been happening, there is a nice healthy sort of a balance here.
Participant : Is there a way to get a sense of what percentage of revenues or what percentage of business which sells, let's say, server -specific equipment could be at risk if more move d to the hyperscalers who would just source directly? I mean is there a way to size that?
Rajiv Srivastava : I'm sure there's a way to size that. We wouldn't have done it yet, but there could be a way to size that as to the way the acceleration of adoption towards cloud is happening or will happen, we can project into the fut ure. We know the server industry, we can say how many part, what part of that server will go directly to hyperscalers. But think of it this way, a lot of these hyperscalers, not always they buy directly though and they don’t always buy the most branded stu ff. One thing which cloud has said is, would you know on which brand of server does your cloud infrastructure runs, you would not know. None of you would know, okay? So, in a way, it is de -branded the industry. The only brand you're worried about is what w orks with you on your access point. So,

you're worried about your laptop brand. You're worried about your phone brand. But your server brand you won't really worry about. And that's true for so many of these back -end data center cloud providers. They said, look, leave it to us, we will manage your infrastructure, the uptime of your infrastructure, leave it to us. And they don't necessarily buy direct all the time. They buy it through people like us. Amazon does that, so does Google, so does Microsoft, somet imes they buy directly, sometimes they buy indirectly. There are all kinds of motion. Like I said, it's a nice healthy sort of a good balance, the universe is steady.
Ramesh Natarajan : Rajiv, can I give an extension of that statement on your first question . The top end of the pyramid always, as we are

speaking about, gets to adopt technology faster. And hence, a lot of these listed accounts or named accounts are predominantly with the OEMs. But you always look at a customer triangle. If you take the top end of the pyramid, which contributes huge volumes, but look at the customer base between the mid -market and the lower end of the segment SMB, that is a real large set of customer bases, which is where we as Redington, play a larger role of bringing the tech adoption faster. It takes a long time for the SMB at the mid -markets to adopt. Look at the conventional technologies where we have been in the last servers, storage, networking, so on and so forth, the quantum of business which goes direct is probably as w hat Rajiv says about 20%, 25%. The base of mid -market in SMB is the large r 70%, which is being managed by us. The same story will hold good for cloud in some time to come.
Participant : Can I go ahead?
Rajiv Srivastava : There ’s one at the back. Yes.
Participant : Just wanted to understand what impact would it have? A lot of these laptops and hardware brands, they go direct -to-consumer. I ’m thinking about, say, Apple opening their own online

store in India, you already have Dell and IBM, and others do t he same thing, right? So, how does that impact your business? And secondly, even with Amazon, you have these stores that are storefronts for these brands. Again, how does that impact your distribution business?
Rajiv Srivastava : This happens every quarter, if not every month, yes. Some brand wakes up and says look, I must go direct to this route, disintermediate Redington, disintermediate Ingram, let me go direct. Apple did that last year, Lenovo did that, Dell did that, Acer, 4 brands last year. In some pa rt of their go -to-market model, disintermediated a distributor, okay? And they said let us go directly to some of these players.
And we should never grudge that because brands will do what makes sense for them, right? They ’re not wedded to Redington, they ’re not wedded to Ingram. They ’re not wedded to anybody else. They are wedded to themselves. They got to make themselves successful. If they find that one particular go -to-market has not been serviced well or served well or is not as remunerative as it should be, and they want to make a choice, we should respect that. And I would do exactly the same thing when I was on the other side, like I said, I ran HP for many years in India. I would do exactly that. I won ’t be sensitive to anything else because I would be sensitive to making sure t hat my business is healthy.
And what now and when I ’m on this side, I can ’t grudge that. So, the only thing we have to be doing or we have to be thoughtful about is what are the other strategies we are adopting in our business to mitigate the downside of a nybody taking some business away from me, okay? And I’ll talk to you in a bit about that, we are not a company which is dependent upon the largest of any brand for that matter, okay? We ’ve got to figure out our own strategies, our own roads, our own go -to-market approaches and our own market segments to continue to be healthy and happy. When these 4 brands went direct in some part of the GTM, okay, Apple, Dell, Lenovo and Acer, like I said, 4 brands went like that. Last year in India, we had what, a 20% gro wth over year, 21% growth in India. Because you could reimagine your GTM to continue to grow. And I think that’s the right way of playing it as well because I don ’t control every other company ’s GTM models. We control our own approaches to make sure that w e are always staying ahead of the curve and growing no matter what happens. And there ’s enough spaces in the marketplace.
S. V. Krishnan : Just to supplement this, some of these GTM changes will also be helpful for us, not necessarily –
Rajiv Srivastava : They will be helpful.
S. V. Krishn

an : -- every time that it has to be adverse for us.
Participant : Can you elaborate on that? I mean, why did you say it could be helpful?

S. V. Krishnan : I mean it is possible where some of the brands will change the GTM wher e they can reduce the number of distributors, the accounts which they are driving directly, for some reason, they did not find that to be useful or remunerative, they go through the distribution. It has happened and it has helped us, and it is part of the game like that is adversely impacting us. There is also vice versa that 's possible.
Ramesh Natarajan : The great part in time is that in the last about, let 's say, when demand was chasing supply over the pandemic times, with predictable payment cycles, ther e are some OEMs who went direct to certain GTMs. And come back to normalization times, I would have to admit that certain GTMs have come back to us. Now it 's all about how much predictable one can be on the cash flow. To that extent of margin, profitabilit y and working capital, it gets managed, failing which it obviously gets pushed back to the extent of how we can manage the working capital so it's far better on a large scale of economy, there 's an acute advantage that we bring to them as well.
Participant : And on your cloud business, you spoke about how you 're focused now on the services side, on cloud assessment, migration and services like that. But that seems to be more a large enterprise kind of service offering. So, I was curious that you said that yo ur focus on SMB and the large enterprises are anyway catered to directly or through system integrators with relationships globally. So, how should we think about this?
Rajiv Srivastava : You're answering that?
Rakshit Bhatt : So, I think, again, we spoke about enterprise and large SIs, right? But the question to ask here is, are the large SIs, do they have immense capability, right? And if you talk about migration, assessment, modernization, when we talk about large SIs, I think th ey are real well solid engine carved in, I come from a large SI, by the way, from experience.
So, where do we play a role? But let us ask us ourselves a question. Are the large SIs focusing in this space that we are running, the SMBs and the SME? Are they giving them the kind of service what they are giving to an enterprise today? As R.N. said, that space is not being catered to. If you look at the hyperscalers as well, there is where hyperscalers probably have started looking at Redington to play in that s pace. And that is where I say solutions .
Participant : But isn't it very difficult to (Inaudible) (2:01:01)
Serkan : I would like to add something here. There is a general misunderstanding about the cloud services. Everybody – not everybody, but lots of people think that when you migrate your systems to cloud, it is a kind of plug and play and everything is solved. It 's not like that, okay. You rent a place or a capacity from the cloud server, a storage area, but somebody has to run the system anyway. Somebody has to optimize the daily operations. Somebody has to look at the new security requirements of these cloud servic es, whether even if it is in the cloud.

And in the big enterprises, for the biggest ones, let 's say, the big guys like Amazon or Microsoft is going direct, okay. For the other enterprises, maybe they have some very good technical teams that they can manage their own cloud system. But for most of the SMBs and the enterprises, there is not that kind of a technical knowledge, and they need some services and our partners, in general, is the parties who is giving the services and they need our support or sometim es we give directly services or the education for the people in our partners, in the SMBs or the enterprises. So, there 's a huge area of the services. It 's

not only for the plug -and-play game, but not for the
big enterprises, very big enterprise maybe, but huge for the SMBs and the other enterprises.
Rajiv Srivastava : Look, I 'm really mindful of everybody 's time over here. We are on the time. Is there one last question that we can answer. I 'll try and wrap up after this one last question.
Participant : Couple of questions. Start with just on the services piece, actually. When you sort of say you build on technological presales capabilities and all those sort of things you work with the partners, generally, I 'm just trying to get a sense on, isn't that the case that your services arm in a way may end up competing with those service providers sitting on the partners or on the resellers part? I mean, where there is a line drawn between you guys and the service providers and the partners?
And als o, when you say you 're building technological presales capabilities, what does it take? For example, is that number of people you will hire are going to increase significantly? The certifications are going to increase significantly? I mean what does it tak e probably to build those capabilities to scale those capabilities?
And the last question is since you 're talking about cloud in India and cloud abroad as well, are the approaches or are the market segments really different or the approach is generally the same? For example, if you have to scale up 2x from here on, probably you will need X amount of people in India, X amount of people outside India. And hence, the approach largely remains the same. I mean, some color on that will be helpful.
Rajiv Srivastav a: Okay. I can give you a sense of each one of them right now, okay? First is, are you competing with your service providers in the customer bases that you are trying to play with, play around

in those. See, think of what a customer requires today. Till ye sterday, if you wanted to set up an IT setup, you would probably buy a server, storage, some software application and generally you do that. But today, when you talk of setting up any IT infrastructure, any set up, then you have a server, you have a storag e, you have network, you have cybersecurity, you have some applications on top of that, so on and so forth.

The number of elements that are required to manage a bill of material or a solution sale is far higher, okay? And lots of service providers will try and say, look, we can do all of it, but very few hardly and classic companies like ours, which are classic tech aggregators, if you will, because we 've got all the brands. We 've got all the products with ourselves. We are a classic

tech aggregator. So, that's one way of trying to think of it that, how it is a collaboration versus not a competition.

The space In the ma 'ket, like I said, and specifically in the services domain, if you want to think of cloud is sub 10% versus 90%, right? And tha ''s a huge amount of space which is open –- whichever customer you go to today, whichever partner you go to, or whichever partner takes you to a customer today, yo ''ll find that there are tons and tons over tons of open spaces. And let me give you a live example from your perspective.

You go to an HDFC, okay, HDFC Bank or you go to Mahindra & Mahindra or you go to any of those players, they would have one uber system integration partner who is working for them or with them. But then they got tons of small, small, small , small applications within their account which are not getting served by anyone, okay? And somebod ''s got to do them. So, there is going to be a coexistence or multiplicity of partners in every large account space since you refer to large accounts, i ''s multiplicity of partners in those large account space. So, i''s not that there's never going to be a competition, i ''s going to be who can uncover the opportunity and build deep technical domain

capabilities to solve for that specific space that yo ''ve go t. So, tha''s one thing.

Second is you talked about technology, technical presales, certification, capability and all it. I ''s a peopl ''s business. Services is a people 's business. You need to acquire the right talent and you need to equip that talent with the domain in which you need to serve, or you want to serve with your technical capabilities and competencies , and you need to make sure you're enhancing or upgrading their technical capabilities forever annually okay? Technology is not a static thing, right? It keeps upgrading. It's a people's business. And our job is to make sure we acquire the right talent, like I don't know if I've said that, we acquired lots and lots of people. In the last one year, we've acquired many, many people in the cloud part o f our business or in the services part of our business, which can help us go and sell and do services and management of services for these customers.

Between India and Middle East, is the approach same or different? It is similar. Similar approach because the engagement will be different because the customers are different types, the locations, the geographies are different, countries are different. The way you engage may be very different, but the competencies we are building is a cross -company competency framework. I can't build a different competency in every country because that will be incredibly expensive and not leverage on anything, and we'll be operationally extremely inefficient. So, we are building a technology capability just the way any other se rvice company would do, which allows me to serve multiple customers for the same kind of requirement across geographies and persons.

Participant : Sure. Just one follow -up on that. So, basically, I get that point of services being a people's business. But c an you give some color in terms of your hiring plans going forward to reach a certain scale because there is some linearity you agreed towards in the services business? And the second part is, is there a sort of a limit to which services business can be in terms of the

overall cloud reselling business? For example, if, let's say, you reach to a X scale $100 in a cloud business, services probably won't go beyond, let's say, $12 to $15 because of the inherent nature of or the character of that particular.

Rajiv Srivastava : No, we are not ambitious enough to get to 15 out of 100. We are ambitious to get to 10 out of 100. So, we're saying if we can get to 10% of our services of the overall cloud business being serviced, that's where our ambitions are right now, and then we'll see how it grows, and we'll recalibrate once we reach 10%. Because right now, like we said we are 2%, 3%. So, getting from 2%, 3% to 10% is like 3x to 4x or 5x. If it is 2, then we are getting to a 5x business. So, our ambitions are not that large.

Look, I think we are not constrained by how many we will acquire, okay? As we scale out, we will continue to acquire. I think that last year, we have built up a force of about 200 -odd people we've acquired in the technology part of our business, wh ich is a combination of technical sales and cloud services, right? Because you can't just do one. You have to make sure you're advising, consulting, proposing, all of that, right? In that's space we acquired that many people. We are not going to be constra ined by how many people will be required. We will be maniacally focused on getting to that percentage in our cloud business. Thanks so much.

Moderator : So, we have one question from an online participant. The question is on the cloud business. The question is, can we get more color on expected revenues for the next 3 to 5 years on the cloud business? The value -added portion, not the pass -through with the cloud providers? And what margins do you expect?

Rajiv Srivastava :

I think we put it on the slide where we want to be on the cloud business. We said we want to be $1 billion in the cloud business over the course of the next 5 years, hopefully, we should get there sooner than that, Rakshit. So, don't worry, I'm not setting any quota for you right now. But hopefully, we'll get to $1 billion very soon. The cloud business in the products revenue gets you a 5% to 7% gross margin. The cloud business in the services domain gets you a 30% gross margin. Those are the numbers that we can share right now. Okay.

All righ t. Thanks so much. Look, I'm just going to round it up with 2 slides for you but let me tell you one thing. It's been a fascinating discussion. Really fascinating because the depth of questions was absolutely -- and I've made a ton of notes over here, dept h of questions was absolutely great. You guys were probing on the aspects of business where we really need to be probed. And we really need to be up for scrutiny on those parts of the businesses, which are absolutely critical for us to get to on the servic es, on the cloud, on the transformations, on the changes in the market and really how Redington is trying to lift and shift our own game to be always ahead of the curve.

And I've got 2 slides to share with you. What is this slide? We talked a lot about tha t. Who are we going to be? What is our strategy going to be? And we said instead of trying to talk about

brands like Microsoft and Amazon and Dell and Google and HP and all of that, we are a tech first company, okay? We will always be ahead of the curve. We will always be doing whatever it takes to bring the latest technology into the market.

The thing that we are really focused on is making sure that latest tech finds its way into consumption and usage faster than ever before. There is a rate at which tech gets innovat ed much faster, and there is a much lower rate at which techs get adopted. The more we can bridge the gap between adoption and innovation, the better economic and social value we will be able to deliver to our customers and partners, okay? And that plays t o my point number one on driving innovation into market, bringing innovation to market faster.

The second is because all of you are driven by choices, you buy through a variety of choices. We got to make sure that we are always ahead of the curve on innova ting our products and services are delivered and consumed to our customers. So, whether it is online, off -line, omni channel, it is services model, it is Cap ex, Op ex, it is BNPL, whatever it maybe, you will find Redington as a willing and very capable lear ner and innovator in that space.

And the third is because we serve so many brands, we have an obligation to make sure we are doing more than just product positioning for them. And this is a range of services that we got to make sure we are always providing to them, a range of services on GTM, partner development, market development, whatever we can think of.

So, that's the business part of our strategy that we are trying to do. But there's a softer element to Redington, okay? And a softer element to Redingt on is this framework. And you heard me say talk earlier in one of my slides about trying to be the most admired company in the world, okay? We will get there eventually. And I'm hoping that we'll get this sooner than later. And the reason I'm saying so con fident that we'll get there is because we are focused on it. And it takes many dimensions to get there. It takes a dimension of business, which is about the financial performance, about leadership, about innovation, about the way you engage with your custo mers, partners and bringing thought leadership to the table.

And then there is a huge amount of cultural dimension to it which is about how we deal with our employees, and you heard me talk about employee -first culture and how we would d

eal with all of you and also with our partners and customers and vendors and other stakeholders that we've got, okay? And how do we come across as a company, we just got a real nice, good social conscious in that.

And the third piece is how authentic we are as a company? And how is it that we do what we say, and we say what we do as an organization? And if you take away one thing from our presentation today, take away this slide, this is a driver for us. There is a slide which really captures the ethos of Redington today, tha t we are focused maniacally on making sure that we get to a point where every employee wants to continue to work and deliver the best for

Redington. Every vendor wants to do business with us because we are so innovative and thoughtful and every partner wis hes to engage with us because we are a fair, nice, likable organization. That's what we are, and that's the slide that I really wanted to make sure that I showed you.

Thank you so much. It's been a long sort of a discourse with all of you. But I really lik e the interaction, and I appreciate the fact that you took time on the evening to come and engage with us. Thank you so much. Are we inviting everyone for dinner whatever? You want to come up?

Moderator : We would like to thank each one of you. Thank you so much. Have a wonderful time. Dinner will be open shortly. We invite you for the dinner. Thank you so much.

Call: Nov 2022

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November 7, 2022

The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai – 400051.

Symbol: REDINGTON BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai — 400 001

Scrip: 532805

Sir/Madam,
Subject: Earning s Call Transcript
This is further to our letter dated October 27 , 2022, intimating the details of Investor/Analyst call on the unaudited financial results for the quarter ended September 30, 2022.
In this regard, we are enclosing herewith the transcript of conference call hosted on November 3, 2022.
The same is available in the Company's website https://redingtongroup.com/india/financials -and-reports /
We request you to take this information on record.
Thanking you.
For Redington Limited

M. Muthukumarasamy
Company Secretar y

"Redington Limited
Q2 FY '23 Earnings Conference Call "
November 03, 2022

MANAGEMENT : MR. RAJIV SRIVASTAVA – MANAGING DIRECTOR – REDINGTON LIMITED
MR. S.V. KRISHNAN – GLOBAL CHIEF FINANCIAL OFFICER – REDINGTON LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Redington Limited Q2 FY '23 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the comp any as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajiv Srivastava, Managing Director. Thank you, and over to you, sir.

Rajiv Srivastava: Thank you so much. Good morning, and I hope you all can hear me clearly. And thanks so much for participating and joining early mo rning today on our conference call. On this call I've got my Global Chief Financial Officer and my Finance Manager on the call . Global Chief Financial Officer, S.V. Krishnan and Finance and Lead Analyst, it's Deepika on the call. I just wanted to give you a sense on how the quarter went by, what we see in the market as a preamble, and then we can open it up for question and answers from each one of you.

Just as a precursor or a statement, I just wanted to reiterate that we are really pleased to rep ort another strong quarter of sales and operating margin growth. We closed the quarter with a growth of 25% on revenue, EBITDA grew by 23% and PAT grew by 26%, all strong numbers supported by solid execution across businesses and geographies. And because o f that Redington continues to gain share and secure new opportunities in the markets that could really compete there. This is despite an evolving macroeconomic environment , despite of that, we remain well positioned to continue to grow our business profita bly by helping our customers and suppliers navigate an increasingly complex market.

Redington achieved record revenue and operating margin for the second quarter of the year, as our continued investment in improving our technology capability, in building d eeper partnerships with our vendors and partners and Tier 2 and Tier 3 partners making our breadth of offerings far more comprehensive than ever before. And also the weighting in business models , and all of the se investments in these four areas ha ve strategic playoff. This is the highest ever quarter two for us both from a top line and bottom -line perspective, first time ever that we've had two consecutive quarters of 25% -plus of growth. And just as an additional information, this has been the highest -ever growth , half yearly growth since the time we went public.

Now I just wanted to also let you know that this delivery has been really broad based with all our operating regions and various business units contributing to growth. All our theaters , India, Middle East and Africa, Turkey and South Asia have seen pretty robust growth and all the business we are in value categories and the volume categories, cloud , storage , etc. have all seen

very-very broad -based, very fundamental, very solid growth. The business benefited in the quarter as in next. You have seen global technology reports and global reports and the mobility consensus that said demand related to work -from -home and learn -from -home has been coming down, it has been subdued. In fact, the work -from -home and learn -from -home, which is a consumer market, a reflection of how the consumer trend is shaping up, has de -grown. And that has got balanced out by demand from enterprises, from mid -market, from S MB, and those three segments of enterprise mid -market and SMB have more than made up.

Back to office, the procurements related to data center, migration to cloud had been the new catalyst here , and in the area of data center migration, cloud, back to offic e, new technologies have been leading. New technologies of the nature of artificial intelligence, technologies around data capture and data analytics and data analysis for various companies, how you manage and utilize your data for insights, those are thin gs which have been really leading the way and t he thing that that will be the trend for us as well.

Our geographies, in which we operate in the Middle East, Africa, Turkey and the countries of South Asia, they are largely consumption and investment -driven. Most of the GDPs have shown a positive trend, though we have seen a slight softening going forward. And by virtue of the GDP showing a positive trend, one of the major spenders have also been government. And, like I said, it has been consumption -led, but clearly there has been some parameters which are not so favorable but very stable business environment that we've b een operating at.

You're also aware of the financial situation across the world , it is highly volatile and there are obvious headwinds. And let me call out a few. We've seen a very high inflation regime, high commodity prices, increase in interest rates, w hich means the cost of capital has gone up significantly. These impact demands because it makes less money in the hands of consumers and buyers and they also impact margins. We have seen currency devaluation in some of our operating countries; Egypt, Niger ia, Kenya, Ghana and some of the other ones, even India, for instance, and we've seen that happen in many countries, Sri Lanka and Bangladesh, all of it.

While there has been a delay in delivery of networking products , which has impacted the execution of large project business, sh ipping situation of technology products has eased considerably. It continues in the mobility products, but in the rest of the core information technology, which is PCs, servers, storage, it ha s eased significantly. And the networking products of the variety such as Cisco, Aruba those are the ones which continue to be impacted by the shorta ge and supply chain disruption.

We have seen a hardening of oil prices which possibly impacts a lot of countries we are operating in. So obviously, there have been some good and some not -so-good financial indicators and we expect because of the geography that we are covering, we expect these to balance out for us. We will continue to be ex tremely watchful and cautious over the next few quarters, because how the world is globally connected completely, but I think these are balancing out for us.

Let me also give you a peek into the future. As we project ourselves into the future, we do see or anticipate a continuation of a constrained demand environment in certain categories.

Categories would be access products, which are PCs and printers at home, work -from -home, learn -from -home, like I said earlier, but it will be better, the demand environme nt will be better, and categories like data centers, clouds, services, accessories and some mobility products will see an upswing. We therefore, expect to sustain a reasonable revenue and margins from our recently implemented operating environment improvements that we've created for ourselves, amidst the backdrop of whatever is going on in the world from a geopolitical and financial perspective.

So net -net, I think our strategic initiatives, our ability to execute in a tough market and that makes us extremely optimistic about the future. And one of the business ; I didn't talk about earlier was on the Proconnect our logistics business and that has seen a good turnover and the good stabilization and growth. So we can discuss in detail

about all the numbers through the questions that we might have, but this is just a commentary I wanted to paint to you, so that you get a context on what's driving our performance and how we foresee ourselves projection into the future.

So let me stop over here and open it up for questions.

Moderator: Thank you, very much. We will now begin the question -and-answer -session. Anyone, who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles . The first question is from the line o f Shalini Vasanta from DSP Mutual Fund. Please go ahead.

Vivek Ramakrishnan: This is Vivek Ramakrishnan. My question is on two issues. One, has the working capital cycle normalized? And it seems to be stable at this number. So is this the number that you e xpect to see continuing? The second question is, do you get a sense that there's still a lot of latent demand, in the sense that you really well laid out the shift from working from home to MSMEs and so on. Do you still feel that there is still latent dema nd and how do you read the situation?

Rajiv Srivastava: Let me answer both the questions and I can ask Krishnan to add to your working capital question also, but let me take it in reverse order, so that we can just get Krishnan also into th is discussion.

Look, like I said, demand of work -from -home and learn -from -home has come down, it's not

gone away, it's come down, and it will get balanced over the short run through a refresh cycle that is bound to happen very quickly because of the migration of operatin g system from Windows 10 to Windows 11.
So there is that interesting dynamic that is going to play -out that people will love to or try to upgrade the systems from a technology perspective, from Windows 10 to Windows 11. That will create one cycle of demand , may not be latent but it will force a demand towards the access products. The demand that is there on the hiring technology, because we are seeing a very rapid and aggressive moves made by MSMEs and by enterprises, government, education, all kinds of sectors, to shift their operating working styles to a more digital environment. I am refraining

myself from calling this as a digital transformation, that has many context , many connotation, but every company is trying to move towards a mo re digital working environment.
So that demand will continue. That demand will continue towards the creation of data centers at the back end. It will accelerate towards putting more applica tions and workloads on the cloud, it will continue towards more cybersecurity to be created for companies and f ar more capabilities to be created by more companies . We are seeing that interest ing dynamic play out. And that part of the bus iness will continue to be very -very robust.
So the drive updation that companies are seeking towards converting their environments to be more digital, and everything in digital in all the journeys with the customers, employees, partners, I think that journ ey is irreversible. And some companies will be faster on that curve than others, but that really is the one which is fueling the demand today in the enterprise, MSME, government and public sector markets. So that's something which is a good demand env ironment which we are seeing constantly and consistently across.
The working cycle, if you recall, on the last call we had guided you the working cycle will be stabilized somewhere in the range of 27 days, 28 days to 35 days, which is higher than the COVID times, but lower than the pre -COVID times, and that exactly is the way in which the working cycle has played out in this quarter. We are at 27

days which is right at the lower range
of our guidance that we've given and that's how we see it. The working ca pitals do have a tendency to increase because, like we said, the financial markets are the way they are, and that's basically went up to this level. But our guidance continues to be in this zone of 27 days to 28 days and 35 days. And Krishnan if you w ant to add something.
SV Krishnan Yes, Rajiv. I think you have explained it clearly Rajiv, just to supplement that, see, what we have observed while there is an increase in the AR, there is a good increase in AP which neutralizes the AR increase. So primarily the working capital increase is in the form of inventory days increases. And this again, if you go back to our last call, we had mentioned there is a very unique situation that's happening in the market, where in enterprise products, particularly where we are, we have got part shipments, we couldn't get the complete shipments because of some shortage of products or supply chain issues and we are not able to bill the customer and that's one of the reason why we have excess inventory.
Second, in the consumer business, specifically, where there is a softer demand, it has resulted in higher inventory getting build up, which we think over a period of time, I mean, both these issues will get resolved and we are quite confident we should be staying well within the range Rajiv mentioned.
Vivek Ramakrishnan: Sorry, if I can just sneak in one more question. Are the margins the same regardless of which channel, whether it's going into working from home or enterprise solutions, are your margins the same across both these channels?
Rajiv Srivastava: No, l ook, margins are driven by many things , not just the channel you're selling to, or the segment you are selling to. They are driven by the category of products you buy, whether you

buy it as a produc t or as a service or you buy as a capex or an opex, or what kind of integration you're acquiring. So depending upon the type of sale you make, the margins will get driven by that. Whenever there is a larger integration required, the margins are better. Whe never the products are high risk, the margins are better. Even when you sell to home, for a product that costs INR 30,000 will provide lower margin than a product that costs INR 60,000. So I think it is driven by a variety of factors. Our margin regime has stayed very consistent over the last couple of quarters and has turned out to be very well. So that's the way you'll have to think of how margins play -out.

Moderator: Thank you. The next question is from the line of Pranav Kshatriya from Nuvama. Please go ahead.

Pranav Kshatriya: My first question is regarding the sustainability of the growth. I mean, you did give some color on there are few moving parts, which are going up and going down, but we have not really seen this kind of growth for a long time. An d so can we expect this 25% kind of a growth sustain, because historically we have typically seen the low to mid -teen kind of a number on the growth side? So that's my first question. And if you can comment a bit on what led to 40% -odd growth in the RoW Co nsumer segment? And secondly, I would also like to understand how should we see the tax rate going forward. These are my two questions.

Rajiv Srivastava: I think a bit of the answer was there in your question, the sustainability of growth, whether you will sustain 25% or not is something that is hidden in your question that you're saying where there are world markets which are a little uncertain right now. And that's the way we see it. In the last quarter, there was a significant drop in the PC industry acr oss the world, the industry dropped by 15% and our volume business was much better than that. Our volume business was up 24%. The way you think about growth, the way we think about growth

for ourself , because
we also distribut ed in our operations . We think of growth across two or three dimensions. One is we obviously try and gain share in whichever market we are present in. So a bit of revenue growth in these kind of products come from share gain.

The second thing is, we expand the products to newer geographies, new countries, which is what we benefitted in the last quarter and that starts to help and deliver for the new produc ts. And the third we do is we add new categories of product in the same geographies and new geographies. All of these are starting to work out for us. I think there is a very concerted and a very focused growth strategy that placed out . Now, can we sustain 25% kind of a growth even if the markets dip a lot more and just by virtue of that everybody becomes that much more effective in the market. I think that's a moot question. We'll see how it plays out. But the only thing I can tell you is, two points. One, we are very focused on delivering a double -digit growth and we are focused very-very focused on outstripping the market growth by a factor. We will continue to grow faster than the market. And this sho uld obviously deliver a double -digit growth. If the market turns out to be better, we will do much better than the market.

So, in that one you have to play hard, as it is we have a very intact no matter what happens to the marke t, I'll continue to grow at 25%. That's a very hazard fo r us all and I won't be going in that zone, in that direction. But I can only tell you, the way we are trying to operate for ourselves

and execute our plan, we will do extremely – we will outstrip the market growth and we are focused on delivering double -digit grow th. I think that's from a growth perspective.

The second point of yours is about, what led to consumer growth in the market in Middle East? Look, Middle East has been a very different dynamic, quite often they have behaved differently versus the rest of t he market and clearly this quarter was a revelation for us from the perspective of how the growth has been placed in Middle East. There are two or three things happening. Middle East, if you see, UAE is one country which is really focused on modernizing it self and growing all the cities .

The second country which is similar and focuses on growing everywhere is Saudi Arabia. Africa has got a country like Nigeria, a country like Kenya and Ghana which are very focused on growth. We don't play in South Africa, which is also growing, but I'm just talking of the countries we are focused on, those are the countries which are growing very fast. And then there was an event, which obviously is happening right now in Qatar, which is the Soccer World Cup which is fueling a huge amount of demand for all kinds of technology and all kinds of non -technology products as well.

So I think, if you net it out in the way in which I am trying to talk to you about all the countries which are re ally, really focused on changing themselves, transforming themselves, there is a country transformation which is at play in a lot of countries in the Middle East and Africa and that really helped us.

So I think that's what led to our consumer growth being so high -- there. Turkey turned out to be better than what we had expected it to be earlier. So all those factors led to growth in the consumer in Middle East and Africa and like I said, our growth sustainability I already explained to you how we look at it.

SV Krishnan: For your third question Pranav, with respect to the tax rate on a sustainable basis, we have mentioned this before, I think on a sustainable basis you should take about 21%, 22% at a weighted average rate. This I would say from a short to medium -term, from medium to long term it could be at about 25%, 26%, the reason being the global minimum tax rate is expected to come up in

about two years time from now.
So if you look at in Q1, we were at about 21%. This quarter it is down, it's primarily because of the mix and also I mean, what we have seen in Turkey when we have a very significant depreciation of the currency, it impacts our tax rate, that hasn't happened in the current quarter and which is also one of the reasons why the t ax rates have been down in the current quarter. But otherwise, on a sustainable basis, for the next one to three years, you can take about 21%, 22%.
Moderator: The next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Pa dmanabhan: Rajiv, your voice is very muffled. I don't know if it's only for me, but it's very muffled on the call. So this is one. The question is on the -- and if you could just give some color on the enterprise segment, what proportion of the IT business right now is the enterprise segment and how that has sort of -- I think almost 100% of the incremental revenue is from the IT side on a sequential basis. So just wanted your thoughts on how that business is doing and how it will do going forward?
The seco nd is, some data points on provision for inventory and provision for receivables, how that has sort of moved on a sequential basis. Your thoughts on how the cost of debt is sort of playing for us. I'm sure we do a lot of commercial paper, 45 days, but how are the interest rates sort of moving for us and how do you anticipate the impact on a going -forward basis? And how much of that do you think will really flow through into the gross margin for an offset? Those are the questions.
Rajiv Srivastava: All right . There’s been many questions. Thanks so much. Let me start with the first one on how the IT and how the segments split of IT is working out and I'll let Krishnan talk about the provisions, cost of debt, interest rate, okay?
Nitin Padmanabhan: Rajiv, your voice is very muffled. I don't know if it's only for me. But very muffled.
Rajiv Srivastava: Okay. Is it any better now for you?
Nitin Padmanabhan: Yes, it is very clear now.
Rajiv Srivastava: Okay. All right. No problem. So let me do this. I was using han ds-free. My apologies. And in case you guys want me to repeat anything I can do that, but let me give you a certain -- a bit of color on the way the enterprise segment is working up. See, our split of our revenues in Q2 is IT portion, which is volume, valu e, cloud is about 74%. And within that, enterprise comes within that.
Our enterprise segment grown 15% and I'm just talking about -- and I'm splitting the enterprise segment into two now. The first enterprise segment for us is pure -play products of server , storage, network and software, those kind of varieties. And the second enterprise segment as I am treating is and I'm hoping going forward we can put more emphasis on that is going to be cloud because the whole world, the buying of technology, the way te chnology is getting consumed by people, it's so dramatically different from just a couple of years, it mandates us to have a segment like that.
Our value business in Q2 has grown 15%, our cloud business has grown 67% and both are fairly demarcated in the geo context. India has grown and so is Middle East, so is Africa and so is Turkey, okay, for both of these -- both enterprise products and the cloud products. Going forward, and to the earlier question that Pranav had asked about sustain and the question a bout latent demand in the market from Vivek, I had mentioned to you that there are many, many, many digital migration projects which are on right now.

Companies are focused on becoming more capable, on becoming more friendly and more consumer and customer -centric and they have realized that the only way you can manage this dynamic is by adopting more digitalizat

ion as opposed to putting more people behin d processes.
So that shift or transformation or conversion towards more digitalization, more capability leads us to believe that the value part of the business, which is products of the nature of server, storage and network and software will have a good ru n, and the cloud, because a lot of capabilities for -- and cloud has got many of the reasons why people are adopting cloud, will continue to get accelerated and adopted.
So I think those are the things -- that's the way in which we see the enterprise part of our

technology play out. Now, there is the volume products which go into enterprise. Okay. PCs and laptops, they are also fine, they are volume products, but they have a consumer segment, learn and work from home, and they have a commercial enterprise, government and that kind of a segment where people are buying for their offices that demand of refresh of technology.
See in the last three years what happened was when people go home, the technology refresh was drift, it did not happen at all. But now wh en people are coming back to the offices, they now suddenly realize that the equipment bought three, four, five years ago is no longer current and so they need to transfer that equipment to a more current technology. So there is a refresh cycle which is pl aying out. And the other one which I said earlier was there is a refresh cycle of the operating system from Windows 10 to 11. So I do anticipate fairly, stable fairly robust enterprise IT buying cycle.
Nitin Padmanabhan: Sure. Just a follow -up on that, qui ck one see, whatever you mentioned, both on products and on the cloud, for us it's slightly different, right. The cloud is more MSME and SME, right, mid - market, whereas the product, server, storage, volume products, enterprise, you could have a lot of larg e procurements there. So on the large procurement side, just wanted your thoughts on – is that because of the shortages that were there, are you basically seeing elevated order books and that sort of continuing in that space or -- and how long do you see t hat continuing?
Rajiv Srivastava: Yes. Look, like I said earlier, the shortage situation has got hugely moderated over the last two quarters. We s aw shortages in chip and a whole range of supply chain disruptions in servers and storage and networking. So all of those elements, all of those product categories were impacted by shortage, and all of those product categories are not anymore impacted by sho rtage. So server and storage and server, storage has gone out of the shorter cycle. The only product that continues to be in the shortage cycle or supply chain constraints is the networking products, products of the nature of Cisco, products of the nature of Aruba and those kind of products which continue to be on short supply.
Now in case you have a project which necessarily includes all the elements, those projects, and by virtue of that, those large procurements will undergo a delayed execution cycle, o kay. But in case you have projects which do not require every single component to be done simultaneously those projects are going through and there are many, many, many such projects which are still continuing to go through and some projects are obviously impacted, because of the mismatch, imbalance in the complete offering, bill of materials of a particular project delivery. So that

dynamic continues on the networking side, but otherwise, largely, like I said, it's been taken care of and addressed in serve r storage and also in PCs and printers.
Krishnan, you want to address the questions on provisions and cost of debt?
SV Krishnan: Yes, I'll do. I mean, provision for debtors perspective for the current quarter, we are at about 0.03%, I mean, much lower than our long -term average of about 0.1%, so it's about 3 bps for the current quarter. The provi

sion for inventory has been slightly at an elevated level of about 0.24%, which would normally be at about 6 bps and this increase is primarily on accoun t of the factors which I had said for the earlier query. On one hand, we have received part shipments and we are yet to bill. It is taking time for the rest of the BOMs to come in.
And since we have a very consistent provisioning methodology, we t hought we should continue to provide for it. Second is the inventory buildup in consumer, which also had impacted this provision percentage, which we think once the situation gets normalized, because eventually all these will get sold and there will be a r eversal happening at future quarters.
For your question, Nitin, on the interest rate, yes, interest rates have spiked across the board, across the markets and some of these increases are quite steep and I mean, we are able to manage.
To answer you in terms of our interest rate increase, we have seen about 2% interest rate increase overseas and about 1.5% interest rate increase in India. And these are weighted average. I mean we have multiple products and some of the loans we had – they closed it before, whi ch is also helping us.
But when we approach the CP market, as we speak now, we are still able to get at about 6%, sometimes even sub -6%. So that's something which – I mean, as we are now, we are quite okay.
The challenge is in Turkey where there is a sign ificant increase in the interest rate. So this is the actual market interest rate. If you go by what is declared by the central bank, it wouldn't be so, there is a big divergence between what was declared by the central bank and what's the real market rate and you'll be surprised, it's about 33%, 34%.
So that's where we have a challenge in terms of interest cost. But having said that, we are trying our best to realize it in the form of better margins and whatever profit that we have declared is in spite of that. Does that answer you, Nitin?
Nitin Padmanabhan: Yes sir. It does answer. And, historically, your ability to sort of pass this through and get it on

the gross margin level has been quite consistent. There may be lags but you usually do it. So that should sort of continue, right. That's a fair assumption.
SV Krishnan: Absolutely, you're perfectly right. Immediate passing on is not possible because some of these transactions, contracts will get structured before, but with a lag we will be abl e to recover. That's why I said we have not too highly missed out, but this is something which we need to be watchful, Nitin, considering our P&L is highly interest -sensitive.

Nitin Padmanabhan: Sure sir. Perfect. Just one quick last one. The question that Pranav had asked on the tax rate, actually our standalone tax rate has also gone down, right. Our effective tax rate on a sequential basis, it's around 8% TTR. Is there anything specific one -offs out there or?
SV Krishnan: Okay. I just need to check. Sorry. I mean, I don't know is it because of -- one second. I mean, I'm just thinking, but definitely I will come back to you. See, during the current quarter, we had the dividend income from overseas subsidiaries and whatever d ividends that we received from overseas and declared to our shareholders, it isn't subject to tax. So since it is part of the standalone listing profits, maybe the tax rate could be low. And generally, you will find about 24%, 25% being the tax rate in sta ndalone.
Moderator: Thank you. Ladies and gentlemen in order to ensure that management is able to address questions from all participants , please limit your questions to two per participant. The next question is from the line of Sanjay Parekh from Sohum As set Management.
Sanjay Parekh: Thank you for the opportunity and congratulations on a great set of number. So one in terms of character of the business, generally what I s

ee is that we have 2% net margins, we've turnaround almost as of now on this first ha lf, almost 12 times…
Moderator: Sorry to interrupt you Mr. Parekh, may we request you to speak a little louder?
Sanjay Parekh: Yes. Now is it fine?
Moderator: Yes. Please go ahead.
Sanjay Parekh: Okay. So in terms of character of the business, we have 2% n et margins, we turn around 12x, 13x. So we make 24% -plus ROE, which is great. But when we see the cash flow right, for a business of the scale at which we are, let's say, we do INR 80,000 crores this year, cash flow also would be very important. And first half, broadly, we've done 800 -plus cash profit, but working capital need has been INR 3,000 crores.
So what I'm trying to say is when you look at the business and in your presentations you've emphatically say the ROE, ROCs are good, which is very good. Bu t free cash generation as a part of your business at this scale, let's say, you go up INR 20,000 crores more I was just seeing -- and if your working capital needs are this, then yet you will not can raise -- I mean, generate cash flow. So how do you think about this business in terms of cash flow generation is the first question?
And the second question is -- I mean, you did allude in your initial remarks that globally there is a huge slowdown in this space. So a little more elaboration of how do we think about our -- I mean for us how do we pan out in the second half? That's it.
Rajiv Srivastava: SVK, you want to take the first couple of questions and I can…
SV Krishnan: Sure. I will do. Okay. See, Sanjay, I think your point is very valid. I mean, considering the operating profit, the churn that we have in terms of working capital. Obviously, it is a very highly

working capital -dependent balance sheet. I'll tell you, any g rowth rate north of 10%, 12% with the same working capital days in this business results in additional debt. So if the growth rates are more than 10%, 12%, we have to reduce the working capital days to generate the cash flow. That's the model, because it's working capital intensive.
But what I want to tell you here, in spite of the dynamics of this industry being what I have said, for the last six years we have consistently generated cash flow and quite significantly. You know very well, and I'm sure you'l l appreciate what I'm saying, when you have in the last two years about INR 3,600 crores, INR 3,700 cores of free cash flow generation, and I need to tell you, our calculation of free cash flow is after payment of dividends which generally many people don't do. That's the way we calculate the free cash flow.
When we have made a total profit of about INR 2,000 crores in this period and out of which about INR 1,000 crores or about INR 900 crores has been declared as dividends, you can imagine there will be a bounce -back, that was because of the steep working capital reduction which we had said is more one -time on account of what had happened during COVID period.

Now it is getting normalized and this is something which is expected. But moving forward, I mean, from a sustainability perspective, if the growth rate is north of 12%, either the working capital days has to come down or there will be an incremental dip, that's the nature of the business unless and until our operating profit percentage goes up, which in our view is unlikely in this business. Not sure whether I have answered your query, Sanjay.

Sanjay Parekh: Yes sir.

Rajiv Srivastava: Okay. So thanks Krishnan. And I can -- look, I won't be repeating a lot of what I said to the earlier question on growt h and how we're thinking of our growth from Pranav when he just asked, sustained growth of high levels or what it will be. There is a global slowdown, we see that and we mentioned then if you see all the reports of all IT companies across the world today, whether it is HP o

r it is Microsoft or Dell, whoever you see, everybody is guiding in a certain particular manner.

The PC industry, like I said, in calendar Q3, which is our fiscal Q2, PC industry went down by 15% and the whole industry went down by 9%. S o you see a global slowdown, but the way we manage our business of trying to expand categories, expand geographies and expand and gain share is the one that has helped us in the last couple of quarters despite a slowdown. And we hope to stay the course of navigating these environments to create strategies, which will help us to continue to grow, and these are the strategies where we have got to be stronger than ever before, customer centricity has to better than ever before.

Your experiences that will deliver to your partners and your customers have to be absolutely very differentiated. So we've got a few things lined up in our arsenal wh ich help us to continue to grow and that's the reason I said that earlier, we will grow faster than the market come what may and I'm hoping that's the way we see the market in this quarter. We will be in a double -digit

growth rate. So that's the way we pos ition ourselves and that's the way we structure and strategize for our growth.

SV Krishnan: Yes. Sorry, if I can pitch in. For the earlier question, Nitin, I had checked in parallel and lower tax rate in standalone is only because of dividend. O therwise, the normal tax rate is maintained.

Moderator: Thank you ; The next question is from the line of Chintan Sheth from Sameeksha Capital.

Chintan Sheth: Thank you for opportunity and congrats on the good set of numbers. Just two data points, because mo st of the questions have been answered. On the Brightstar, if you can provide first half and second quarter revenue number because that won't be a part of the base last year? And second, on the ProConnect profitability, if you can share some inputs on, the growth seems slightly muted, if you can comment on ProConnect and how we think, because given the enterprise is growing, we believe ProConnect will be complementary or beneficiary if the enterprise is firing up. So if you can address this?

Rajiv Srivastav a: Yes. Okay, no problem. We can address both those questions of yours. On the first question, on the Brightstar side, Chintan, Brightstar you know we acquired in December last year, so aggregate results of Brightstar from December last year, which is cale ndar year 2021, we started to aggregate/integrate as well. And this quarter, Brightstar is about INR 750 crores to INR 800 crores, Krishnan, are you can give that number but…

SV Krishnan: Yes. About close to INR 800 crores, Rajiv. And first half about INR 1,500 crores.

Rajiv Srivastava: Yes. So in that range, it is about less than 5% of our overall sort of revenue from that perspective. And going forward, from next year onwards, obviously, it will become a regular thing, which is differential this year, but it will be a regular thing from going forward as we go. And I'm hoping that -- sorry?

Chintan Sheth: Sorry. I was just asking how it is growing from its base previous year or is it growing or it has been flat on a YoY basis?

Rajiv Srivastava: Brightstar in Turkey -- I mean if you understand Turkey a little more, you will -- Turkey has got many other interesting dynamics at play, inflation being 100% and the capital and the interest rate has been 33%. You've got t o manage the business in a manner that you can stay afloat and you can still continue to make money in Turkey. So I think the Brightstar business for us has been stable, steady. We are not focusing on excessive growth there. It's very minor, it is a single -digit growth, so it is a very small sort of a growth number that we have from that side. So that's the way we are trying to manage that.

The question on ProConnect is also an interesting question. I think it's im

portant for us to get you -- now, ProConnec t is a very, very strategic part of Redington. It has delivered a revenue of close to INR 140 crores in the quarter gone by which is a 7% growth over the previous -- on a Y-o-Y basis. We believe ProConnect will become at least a 1,000 crore company in the next three years.

Okay, let me tell you why we're so bullish about it. One reason for bullishness is that the entire logistics and supply chain market globally is in focus and you're finding that a lot of such organizations are having very, very strong bus iness cycles right now because of supply chain market is so, so stressed and strained and the disruption that logistics companies are having a very -- could have a very good thrust.
So that's one thing which is there. But more from our perspective -- that's a market thing. More from the way we see ourselves in ProConnect and where we are trying to meet our investors. in ProConnect is very strong working on the fundamentals of the company, and those fundamentals are three or four.
One fundamental for ProCo nnect is building the highest levels of automation and technology intervention to make sure every part of the operations and business in ProConnect is digital and automated. You link your supply chain with the customer supply chain. Link your supply chain with your partner supply chain, so that you can map on both sides and you can be absolutely, absolutely automating. So we are shifting our game in ProConnect from a logistics provider to a logitech provider. Okay? Logistics technology provider. That's one very strong thing.
The second thing that we're focused on and building out is harmonizing our operations and automating our operations, so whatever we have, from a customer experience perspective, make sure that every single metric or measurement, every si ngle scorecard that we create in the logistics industry and you would know that logistics industry works on scorecard, it works on experience and that's something that we're very focused on and building it out as we speak.
The third thing that we are doing is we are creating niche for ourselves by becoming a very strong and very capable solutioning for logistics. Now logistics is not simple. If somebody wants to move some equipment from China to India, it can have multiple types of journeys and it will have multiple types of documentation, management, handling, CH A all kinds of things. So you need to have a very strong capability of being able to build right solutions for a complex logistics process end -to-end, from manufacture to delivery, or even pre -manuf acture to delivery and consumption is something additive too.
And the fourth thing that we're building out is on a very strong sales input. So I think we're creating a sales team. We've invested a lot on creating and building out leadership in sales leader ship across the country and that's what we do, are very bullish about it ProConnect and we see that as a very, very strategic part of continuing strategic part of the business.
Chintan Sheth: Sure. And lastly, if you can elaborate, because we were also hop ing that 5G will be likely to roll out maybe by end of this year, there are trials happening. So do you foresee this demand from 5G will start picking up from this year and that will also support some consumer demand further?
Rajiv Srivastava: Yes, I would caution you to think of 5G as a consumer demand. We always create 5G in a headset, handset. And so if my handset is 5G enabled, I will get a handset and that's something which is there, which will happen. Handsets which are 5G enabled will find favor to sell more than handsets which are not but that's the overall mobility procurement demand, much less than

anything else. Right? You got to be thoughtful about 5G from an applicatio

ns perspective. The
applications in 5G will create a v ery-very unique demand environment.
5G is a network, which is almost a zero , it is a zero legacy network, allows you to do things in real-time. So your innovation cycle, your creation cycle, your manufacturing, your training and development, your health ca re, hospitals, remote diagnostics, and remote operating procedures, all of those will be enabled by 5G in sometime to come in India and I've seen that operating across the world. We've traveled to many countries wherever it is working right now. I've seen it firsthand. So you have a very -very disruptive sort of a 5G environment, so an application play which will play out in some time, that will fuel a very strong demand for technology, both IT and mobility. So we're obviously very bullish as it plays out ov er the course of the next couple of quarters or years.
Moderator: Thank you. The next question is from the line of Krish Mehta from Enam Holdings. Please go ahead.
Krish Mehta: I have two questions. The first is if you could provide the revenue number for your cloud business and the cloud -managed services for this quarter ?
Rajiv Srivastava : Yes, I can give you the revenue number for cloud business and cloud -managed services for this

quarter. Our cloud business in Q2 FY '23 is INR 506 crores and our cloud -managed services INR 21 crores.
Krish Mehta: And I wanted to understand more on the demand outlook and mix in context to cyclicality for the business, like, given that there's been so many changing dynamics in terms of consumer demand versus enterprise demand, and as you said, on work -from -home and learn -from -home. How do you view the business also looking at the supply chain easing in the future, just in terms of cyclicality, say, in the next two, three years?
Rajiv Srivastava: Yes. I think it should stay or pretty much mirror the cyclicality that we're seeing in this year play out. This year is a more normal year. Last year, when we were entering into fiscal last year FY '23, we were -- FY '22 last year, we had -- if you recall there was the strains of COVID were still there in the month of April, May, June, continued into July, August and we had a bit of a disruption there at that point of time. But this year the conditions have been far more normal. The COVID health scare is a lot less, number one. Number two, the supply chains of the world are getting restored, even though expensive, but they're getting restored. Third is the commodity cycle which the prices had gone up and there was a shortage of commodities. While the prices continue to be high, at least the supply chain and commodities or the availability of commodities had got restored.
So I do see a much more normal sort of cyclical situation this year and continuing next year than it was the previous year. Now there are s ome shortages like network equipment, continues to be shortage. But I think in the course of the next one quarters or two quarters, we are hoping that that will also become completely normalized. So you will start to see the cycles of buying over the quart ers getting far more steady state and standard and mirroring the business cycles of

companies. The countries and companies have different business cycles. We will have to be cognizant of the fact that the procurement are not specific to the manufacturers. So for instance, if Turkey has a year -end in December, Turkey peaks in December. India has a year -end in March, India peaks in J -F-M quarter. Some of the countries, they have year -ends in June. And Australia, for i nstance, has a year -end in June, they are buying peaks in the quarters of April, May, June. So those get mirrored. That's what I meant by the cyclicality getting normalized through the operating environment of the country. And that's why we see no abnormal interventions anymore unless

there is something else which happens, which is completely out of whack, and we can't predict those kind of unforeseen situations. But otherwise, the intensity is going to be absolutely -absolutely normalized now.
Krish Mehta: And lastly, if I can just get a clarification on the accounts receivable provisioning for the quarter?
Rajiv Srivastava: There will be few. There will be few far and few between. It's not something, which is really - really -- it should not be much
Moderator: Thank you. The next question is from the line of Bhavin Shah from Sameeksha Capital. Please go ahead.
Bhavin Shah: So first of all, I agree with the other callers about the sound quality, and I think it was also an issue in previous calls, and I always thought it was my phone. So if you could , and I'm surprised your conference call moderator did not point it out. My question is just one. I mean I think the business is doing fantastic, happy shareholders. If you look at opportunities, would it -- in addition to what you're already doing, would it be any new geography, a new product line or more through acquisitions?
Rajiv Srivastava: Another great question. We can give you a very sort of direct answer on this. All possibilities are rig ht, right now. I've already answered the question on new geographies, how we think of our growth is taking the existing products to the new geography if we can sign the contracts with the vendors. So that's one very strong thing that how do you get into th e geography. -- There are many geos which are opening up now as we speak and we will be focused on thinking about expanding our footprint in those geographies, whether it is Southeast Asia, it is more countries in Africa, it is more countries in Middle East, it is more countries in Eastern Europe, those kind of places we are very -very focused on and I think we will continue to assess, evaluate our presence in those countries. That's one.
The second thing is more products, literally ye s, and that's partly driven by us, but partly also driven by the way the vendors are launching new products. If there is a new product which comes up, we will be more focused. But I think, the way you think of us, and we've said this in some of our earlier calls, and this is very sort of important thing for us.
We've got three pivots in our company. And everything that we do is in relation to those three pivots. The f irst pivot is technology. Whatever is the latest and the most recent and the best technolog y which matters to our customers, we will be focused on making sure that is brought here in the most rapid manner. Number one.

The second pivot of our organization is innovation. Wherever and whatever innovations are required in either products, solutions and services or in operating and business models, we will be at the forefront of that and if you see us , Over the course of last three quarters, you would have seen a very intense focus from us on shifting our business model from being a only brick -and-mortar provider, to becoming a much more omni -channel provider for products, solutions and services, from being a only completely capex -driven model to much more as a service operating expense model. The one that we resonate with this is the cloud portal that we launched, which allows us to build a very strong base of annuity in our business. So that's the second pivot, technology, innovation.

And the third pivot for us is partnerships. Whatever we can do in terms of partnerships with our vendors, bringing more brands into our customers' hands, bringing more solutions into the hands of a customer so that customer is going to become that much more efficient or working with creating enablement for our Tier 2 and Tier 3 partners, so that technolo gy reaches its intended use faster than ever before. And when you do that, you bring innovation to the cus

tomers faster,
you eliminate friction in technology.

That's what we stand for. We stand for bringing innovation to the customers faster than ever before, to reduce or limit the friction that people have in technology consumption, and that's what we are. So your question , All of this allows us to play in new geographies. Obviously, we do, expansion of products, absolutely certain. And this m eans that we need to complete the portfolio by acquiring like we did in Brightstar in Turkey last year, we will be absolutely agile and aware about that.

Bhavin Shah: So just one related question as far as new geographies are concerned. It would have to be outside of any sort of sister companies any other geographies sister companies operate, right? Sister companies meaning ultimately there is Synnex Taiwan and so on. U ltimately there is same owner at some level. So that's what I meant.

Rajiv Srivastava: Look, it's not a constrain t by a sister company or a non -sister company because we don't have a sister company at all, and I don't relate to that terminology at all. So we don't have a sister company, we operate independently as an organization. Synnex is an investor in our company, but they're not a promoter in that sense.

So I think you have to be thoughtful about those things. But we will go to the geographies that makes sense for us. And the way you choose geographies is on the basis of the potential opportunity or the gaps in that market. So if I go to -- let me give you an example. If I go to Indonesia, now my choice would be should I enter with PC, should I enter with servers, should I enter with storage.

And that depends upon a careful analysis of the gap that exists in the Indonesian market . And where we can make a quick win to establish ourselves. So I need to make different considerations on how and why, what takes you into a geography or takes you into a country versus anything

else. So I think we are more focused on ensuring that we have a meaningful value to add and we can capture the value that w e think we can add.

Moderator: Thank you. Ladies and gentlemen, this will be the last question for today which is from the line of Nisarg Vakharia from Revanta Fund Management. Please go ahead.

Nisarg Vakharia: Yes. I have a slightly broader question. If I look at your financia ls there's not a single year where the company has not grown its revenues. If you look at the financials over the last four to five years, there is not too much significant difference in mix in your customers in th e presentation that you mentioned. We've attributed the rise in EBITDA margins because of a premium customer like Apple, then Apple changed its strategy, go -to-market strategy. Despite all of that, the EBITDA margins are 100 basis points higher than what t hey have been historically over the last seven, eight, nine years.

Now on INR 60,000 crore s top line that makes a significant change in our financials. Just wanted to understand, is that now all the COVID one -offs have gone away, cycles have normalized, is this now the new sustainable EBITDA margin trend? I'm not specifically referring to 2.8%, but historically we have bottomed out at 1.8%, 1.9%. So is the bottom now higher from that level is my simple question?

Rajiv Srivastava: Yes, I can give you some co lor, I'm sure Krishnan can add to it. I think the point is extremely, extremely rich and valid. I do think that the bottoms of earlier times before COVID, you

probably were there at that point in time. I don't think we hit a bottom like that, but obviously, we will hit a number that will be different from what we have today also.
So, but the wider -- broader point on this topic for all of us, if there's any sort of recovery is the margins are a function of many other things. Okay. While a business mix in terms of product profiles may have been consistent,

but there is a significant shift w ithin each of those categories.
There is a shift in a product portfolio in value. We shift from products to cloud to services.
There is a shift in our product portfolio in the PC and access product side. PC, printers, and the supplies and consumables that we sell better. In the mobility, we sell largely mobility earlier.
Now we sell mobility and a whole range of accessories along with the mobility, which come with a different product profile.
We never had a solar product portfolio, we have a solar portfolio . We had very less limited smaller ProConnect portfolio in logistics, it continues to be small, but it's getting bigger all the time. So I think the mix situation is going to be different just because you operate in a very different product concept or prod uct portfolio environment. So I think that's how we see ourselves. Will it go back to the old times? I don't think so. And we will be somewhere in the zone. So Krishnan, you want to add more to it?
Nisarg Vakharia: Sorry. Just to interrupt, that's very hel pful. If I could just follow -up on that. You said that the product categories have changed which is contributing to higher EBITDA margins. These

product categories are essentially product categories that is a market share gain that we have acquired from ot her distributors or these are new product categories that the OEMs have launched themselves?
Rajiv Srivastava: Combination. The OEMs will keep launching all the new product categories. So we have to keep going and doing something new in the market, acquire new product categories. And so it's a combination of the two.
SV Krishnan: I think Rajiv you've answered it. I mean only point that if I can supplement see, definitely as we speak now, the EBITDA margins can even be better. The EBITDA margins which you see today is after the investments that we're making for the future, for which the returns will flow in the future years, future quarters. That's the reason why we have take n this period as a period of investment of building the capability, and which in our view is going to start giving us results even in terms of better margins and other factors.
Nisarg Vakharia: So when you say better margins, by what percentage or what is the --
Rajiv Srivastava: Krishnan and the team -- I just got to -- I'm so late for my other call. So apologies, I'll excuse myself, okay?
Nisarg Vakharia: Yes, just to press upon this point what is …
SV Krishnan: Yes. I will answer that. See, if you look at traditional operating margin it used to be about 2.2%, 2.3%. That's a sustainable margin percentage in the traditional sense, which had moved closer to 3% now. And what we think as we move forward, this should settle in between. So if I need to put a number about 2.5% 2.6%, this is where some of these investments in our view will start giving us the additional margin, but it will take time, because these investments are going to, I mean, be more, it'll have more gestation period, but def initely we are at it, and we will make sure the margins are better as we move forward.
Moderator: Ladies and gentlemen, as this was the last question for today, I would now like to hand the conference over to the management for closing comments.
SV Krishnan: So since Rajiv has left, I think we have had an excellent quarter in Q2 and that continues to be excellent when compared to what the growth that we have had in the previous period. There are certain challenges that are coming in the ecosystem, which we are v ery watchful and we will make sure that, we do our best like what we have done in the past. And I'm sure things will work out well and the investments that we are making will start giving us traction in the future quarters.
Extremely thankful for your cont inuous support. If there are any questions, which you couldn't ask in this call

, maybe we can connect later separately and we will be happy to address your queries. Thank you.

Moderator: Thank you. On behalf of Redington Limited, we conclude this con ference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

(no extractable text — likely a scanned image PDF)

Call: May 2023

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May 24, 2023

The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai – 400051.

Symbol: REDINGTON BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai — 400 001

Scrip: 532805

Sir/Madam,

Sub: Q4 - FY 2023 - Earnings Conference Call Transcript

This is further to our letter dated May 8, 2023, intimating the details of Investor/Analyst call on the audited financial results for the quarter and year ended March 31, 2023, held on May 17, 2023. No unpublished price sensitive information was shared/di scussed in the meeting/ call.
In this regard, we are enclosing herewith the transcript of the conference. The same is available in Company's website: https://redingtongroup.com/financial -reports/ .

We request you to take this information on record.

Thanking you

For Redington Limited

M Muthukumarasamy Company Secretary

Encl: a/a

"Redington Limited
Q4 FY '23 Earnings Conference Call "
May 17 , 202 3

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 17th May 2023 will prevail

MANAGEMENT : MR. RAJIV SRIVASTAVA – MANAGING DIRECTOR – REDINGTON LIMITED
MR. S.V. KRISHNAN – GLOBAL CHIEF FINANCIAL OFFICER – REDINGTON LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Redington Limited Q4 FY '23 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conf erence call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajiv Srivastava , Managing Director, Redington Limited. Thank you, and over to you, sir.

Rajiv Srivastava: Thank you so much, and I'm very happy that all of you could join us this morning. Along with me on the call is our Global Chief Financial Officer, Mr. S.V. Krishnan, and we have got Deepika, who is our Lead Analyst and Lead Investor Relations Manager for the country. I'm going to give you a bit of colour on what ha ppened in this quarter and the year and also a bit of a commentary on how we are seeing the industry shape up and what is Redington doing to maximize the opportunities in the market.

We are very pleased to report another strong quarter of sales and operating margin growth. At INR21,893 crores, our overall global revenues for Q4 have been the highest ever. And for any quarter, growing by a strong 26% Y -o-Y. And at INR590 crores, we have registered the highest ever Q4 operating profit, with a 15% growt h. Our PAT, obviously, is down 11%, and we will talk about that as well.

For the full year, our FY '23 revenue is INR79,500 plus crores, which is a growth of 27% year -on-year and an operating profit of INR2,261 crores, which is -- this is the highest ever revenue and operating profit, both in absolute number terms as well as in terms of growth for revenue and operating profit on a year -on-year basis. Supported by solid execution across businesses and geographies, Redington continues to gain share and secure new opportunities in the markets that we compete in.

We achieved record revenue and operating margins for the fourth quarter of the year as our continued investment in improving our technology capabilities, building deeper partner relationships, making ou r breadth of offerings more comprehensive than ever before and bringing in innovations in our business model , begin to pay off. This is the highest sale quarter for revenue and second highest level of operating margin, like I said earlier, first time ever in our history where we've had four consecutive quarters of 25% growth every quarter.

And just as an additional information, this has been the highest ever full year growth since the company started. When you compare this with what's going on in the market , you can really see the magnitude of what we have delivered right now. Redington's digital transformation has been

one of the key growth catalysts, as we transition from the role of a traditional distributor and aggregator, towards becoming a more holisti c technology solutions provider.

Currently, we are addressing the market demand for consumer devices and smartphones, for hybrid work and learn environment, as the world moves between work from home to work from office and learn from home to learn from sch ool and colleges, from your institution. We address the requirements of all of that. We address the requirements of SMB and enterprise technology solutions, including cloud infrastructure for server, storage, networking and security.

We are also responding to the emerging technolog

y requirements, which are fuelled by a
growing adoption of 5G, Internet of Things, EDGE computing and generative AI. While tech distribution has been a core value proposition. We have focused on building competencies and capabilit ies, to provide managed services for private and public cloud for security and for IT audit. Our initiative to ensure we are able to add more value -- provide more value to the customers we serve, thereby gaining share and accelerating our growth momentum.
As you will see from our results that our delivery has been really broad -based. It has been broad -based across all the operating regions that we have, all the operating businesses have contributed to the growth. Theatres like India, Middle East and Africa, Turkey and South Asia, all of them have been pretty robust . Just so you know, while I call out all the IT product , we had a very robust growth in our solar business as well, which is becoming even more important as the w orld turns towards more green and more sustainable energy.
And you will see our investments and you will see our engagement initiatives, getting far more aggressive in the space of renewable and sustainable energy. Business dynamics for the -- during the q uarter has been mixed. We know that tech demand related to work from home and learn from home has in fact subdued. In fact, demand from home has degrown. And I'm sure you would have followed the IDC results for the global PC industry, and that industry in Q1, which is JFM, which is Redington's Q4, has declined by 29%.
Smartphone shipments globally have declined by about 15% Y -o-Y. And in fact, if you map the PC industry and the smartphone industry, you see a trend which is the size of the industry today is pretty much what it was in 2014. So I think that's something which really we need to be navigating. But however, because we are a broad -based company, the demand has been very robust for data centre infrastructure products; servers, storage, networking, so ftware and security; and for cloud products too. So the phenomena of back to office, datacentre procurement, migration of applications to cloud have been the catalyst for our growth.
And hence, our improved engagement with enterprises, with mid -market, wit h SMB customers, and the partners who serve these customers have more than made up. And hence, we have grown our enterprise product category by more than 38%. We have grown cloud business by more than 61% in Q4. The same numbers for full year enterprise, f ull year 34% growth, cloud full year of 52% growth. So I think those are very, very strong, and I'm glad we made a third shift towards serving and managing more value -oriented customers.

These are very strong numbers indeed, and each one of them new techno logies are the ones which are meeting the growth for us. Our geography -- just to give you a bit of colour on the economic situation in the geographies we operate in, our geos are largely consumption and investment driven. Most of the GDPs for the countrie s we operate in, continue to show a positive growth trend, although the guidance for growth has been muted, just like in the rest of the world. So clearly, there is a negative to a stable business climate that operates in the environments in -
- geographies we are there .
Governments continue to be very major spenders, because it's largely investment and consumption driven economy. But let me also give you a bit of a readout on the financial situation across the world, which we see as continue to be driving caution volatile, and there are always headwinds. Let me call out a few of that. You have seen that the global GDP growth rates have been called down, and as per analysts, there is a 70% chance for recessi on in U.S. and U.K.
The global GDP growth has been called down from 3.6% to 2.6%, 2.7% depending upon which year he's calling out t

hesenumbers . Inflation seems to be high, though it is cooling off in most
parts of the world. Very high inflation regime, hig h commodity prices, increase in interest rates, the cost of capital has gone up significantly, and you will see this reflected in our -- in the results that we are reporting today. In fact, the borrowing rates across the world are the highest since Septemb er of 2007.
All of these factors which are leading to cost escalation impact demand, they impact margin, impact on profit before tax, profit after tax. And so the financial regime is demanding that we stay cautious and we play it out rightly. There has bee n a serious currency devaluation in a lot of developing countries, Egypt, Nigeria, Kenya, Ghana, Sri Lanka, Bangladesh. The good thing is a lot of these countries are all oil driven economies. Oil prices have been stable at relatively high levels, and that positively impacts a lot of countries we operate in.
You will see this reflected in the buying behaviour and supplying patterns of these countries, and ultimately, as a corollary, it reflects in the results that we tried as well. While there continues to be a bit of a delay in networking products delivery, which impact the large project business. shortage situation of technology products across the world has eased considerably. Now this will

play out differently for different vendors, because everybody has got a supply chain of their own some more better than others. But by and large, the supply chain situation of technology products has eased up significantly.
So therefore, there are some good and some average and not so good financial indicators, and we ex pect these to balance out here because of the nature of the geographies that we operate in. We will continue to be watchful and cautious over the next few quarters. And as we present ourselves into the future, we anticipate a constrained demand environment in certain categories like access products and a much better demand environment in other categories like data centres , cloud, services, accessories.

We therefore expect to sustain a reasonable revenue and margin growth from our recently implemented operat ing improvement, amidst the backdrop of all the geopolitical and financial rundown that I gave you . Over the course of the year, we demonstrated that despite an evolving macroeconomic environment and the conditions that are there for the industry, we remai n well positioned to continue to grow our business profitably, likely demonstrated by four consecutive quarters of upwards of 25% growth.
That's huge given what the rest of the industry is going through. And we do this by helping our customers and suppliers navigate an increasingly complex market. Net-net, in our opinion, our strategic initiatives, the technology positions that we are making, all the investments that we've done in our business, coupled with our strong execution capability, is delive ring for us, and that makes us really optimistic about the future.
At this point in time, let me stop and open it up for any question and answers or any comments that you may have, and I'll be more than happy to make sure between me and my team, that we are able to respond.
Moderator: The first question is from the line of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.
Vivek Ramakrishnan: You had mentioned about the move from work from home to office and cloud. Does that in any way change the wor king capital requirement? Is there any business that is more working capital intensive than the other? The second thing you also spoke about was the slowdown, which is global. In fact, in many other businesses, we've seen a rundown of inventory and that's slowing down sales. Do you see that also in the tech business, and how is the inventory at your customer end? Those are my only 2 questions.
Rajiv Srivastava: Okay.

I will give a bit of a colour to that, and then I'll leave our CFO, Krishnan, to address th at as well. I think the work from home has moved away to work from office, a lot, a lot of offices, other companies across, and it's a very interesting question really I guess because, you see this trend coming up over year.
A lot of companies initially ex pect we will give work from home for life. But when the real world started to operate in post COVID, those very companies have come back and said, no, no, no, you have got to come to the office at least 3 of the 5 days in a week or at least more than that. The work from home has started to shift to work from office and that really helps us . Because, as we drive our company towards more enterprise, more official office kind of a, commercial kind of buying in SMB and enterprises, the work from office demand has really peaked up, and you will see that in our segment growth this time, the work home office business is really taking off. But it has a different metric as well, when you shi ft to work from office, work from office is always the project -driven business, there are more lead times, the cash flow or the payments cycle is a little longer than that.
So that's how the relationship happens through working capital, because the payment cycle have started to become longer. Project business is inherently a longer cash conversion cycle business.

So its impact to working capital in a manner which a llows working to -- or which forces working capital to go up.
And next, Krishnan will be -- will comment to that, but then -- also the inventory portion.
Inventory across the globe in the last couple of quarters went up because there was a slowdown in the consumer buying, but the speed or rate of which the slowdown happened wasn't anticipated by any vendor or any company across the globe. And hence, people shipped more as

inventory built up. Now that has a negative pressure. It has a very strong context bec ause it impacts prices, it impacts discounting, it impacts capital, working capital flow. So all of that comes together.

While the vendors took a call to reduce shipments and thereby reduce inventory in the channel across the world, including the areas in which we operate in, it is still there in the channel, the inventory continues to be there, and we will go through a cycle of trying to liquidate inventory. So the flow of the consumer buying is going to be subdued for a bit more time. We are hoping less t ime than what we anticipated earlier. But the office time has gone up, and both of those have a correlation to the working capital.

Krishnan you want to add some more colour to it, please go ahead.

S V Krishnan: No I think you have explained all the point s, Rajiv.

Moderator: Next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi : Sir, just 2 questions, where are you seeing the growth right now? Means, if you can indicate region -wise, East, West, North, South, which are the markets which are growing at a faster rate? And secondly, whether it is urban versus the Tier 2, Tier 3 cities to rural markets, is that market also growing? And third question is -- last question, is there any reduction that yo u have seen in the users' period of a laptop per s ay? I mean definitely mobile, we can see, people are changing mobile, at least in urban markets in a period of around 18 months. So there is a drastic reduction in the user's period. So have you seen any su ch -- notice any such thing in case of laptops also?

Rajiv Srivastava: Yes Aniruddha. Let me give you an answer on a few of them. And since you are right asking about growth region wise, I'm assuming you are restricting yourself to the Indian geography. Is that right? Or should I give you a colour on the whole geo?

Aniruddha Joshi : Only India. Only India.

Rajiv Sr

ivastava: Okay. See, in India, there are two ways to cut yourself. You have to cut yourself by region. And you have to cut yourself by vertical segment . Not all segments grow simultaneously at the same pace, not all grow simultaneously at the same pace. Right now what we're seeing is a very strong buying cycle, which is happening in BFSI -industry, which is a financial services industry. Banks like H DFC, Axis Bank, and all the government banks also, nationalized banks, are going through a very strong product refresh because the financial systems are so, critical right now to the revival of growth across the world. By virtue of that it's a requirement to make sure that there

are adequate controls on the financial system. And so we are seeing a very, very strong buying happening in the BFSI, banking financial services and the insurance industry.

What we saw also a bit of a reduction. So west region becomes -- because West is our financial capital of the country, the West region becomes very important for us. The second is strong buying that we are seeing today, is happening in the entire retail and healthcare. Those are two stages which contin ue to grow very strongly. We know for sure that India has a lot of catch up to do in provisioning of retail, best -in-class retail experiences to all our customers and consumers.

Retail continues be a very strong buy. And healthcare, obviously, for all the right reasons, because people realized that during COVID, if we don't have a very strong healthcare system, which is tech enabled, you can really be losing out as a country. So I think that's something which is happening here. So retail and healthcare is s omething which is also which is very strong. And the last segment that has seen a very strong comeback is by government, because our governments to citizen connect, our government to citizen services need to be boosted up all the time.

They need to be made more than cheap . So government is also seeing a very strong buying. Government is all the time upgrading systems, like income tax, GST, education, local healthcare in all the states. So I think a very strong buying that is taking place. Education is also a very strong segment, but education is -- because a lot of education buying happened during the learn from home time, we are seeing that education is right now much more settled and much more stable. Those are of the areas in which we are seeing a lot of buying that's taking place.

The differentiation between urban and Tier 1 and Tier 2 towns, used to be very strong earlier, and the buying of technology product became much more democratic over the last couple of years, which means the urban, Tier 2, Tier 3 cities started to contribute a lot more to the buying. But in the recent times, I think the SMB buying and buying from startups has really backward and gone do wn. You have seen the tightness in the financial market, you've seen that the offtake of credit by the startups have gone down, specifically gone down over the last couple of months. And so we are seeing that the startups are making much more thought ful, and much more concerned with issues, and those are impacting the buying in that particular segment. And urban,

Tier 2 and Tier 3 cities are impacted similarly, they are buying much less -- they are much more stable in the buying. The reduction in usage peri od, which is the life cycle of equipment is the question that you asked about, the third question.
Look, whenever this kind of a thing happens, whenever there is an inflationary regime, whenever the cost of equipment has gone down, whenever the prices are up, there is always a bit of a slowdown in buying, and that's exactly the point I mentioned to you earlier, that the consumer buying has slowed down, because consumers are always impacted when the prices were high, consumers are always impacted whe

n intere st rates are high.
So whether they go for leverage buying or they go from buying from the loan directly from the cash that they have, either way the prices are high or the cost of capital is high and hence, they

will always reduce the buying . So it's that impact you see on the consumer market, which means that the life cycle of products has gone up, which means people are going to be refreshing at lower frequency than they used to do earlier. If earlier, the time was 3 years, 3.5 years, it will probably bec ome 4 years, 4.5 years. That is the way it is happening. But like I said, a lot of that has got balanced out in our portfolio through buying by the office and the value system shift. So that's the dynamic I wanted to give you that what the market is playin g out right now.
Moderator: Next question is from Sarath Reddy from Unifi Capital. Please go ahead.
Sarath Reddy : Congratulations on very strong execution. Rajiv, your voice has been muffled since the start of the call. So Krishnan sir, first question to you is the opex line item sequentially has gone up by INR70 crores. So could you explain that? And sir, last quarte r, you had higher provisioning . So has there been a reversal there or a write -back, which has led to better gross margins? If you could first explain these 2 elements.
S V Krishnan: Opex sequentially is on account of 2 counts. One, as Rajiv mentioned, we a re constantly making certain investments in terms of building the capability in the cloud and the services space, and that's something that is inbuilt in that. Second, we also had certain forex loss in one of the markets, which is also part of it. And that 's the reason why the opex has gone up in the current quarter.
Your second question was with respect to inventory provision. Yes, there has been -- I mean, there has been a subsequent reduction in terms of older inventory and some of the provisions have go t reversed in the current quarter.
Sarath Reddy : Got it. Sir, the other thing is that you have explained in earlier calls that you want to pivot to being a digital distributor. Could you quantify what percentage of sales today are digital led? Will this he lp in reducing the opex line as revenues scale up? And could you quantify the investments you have made for the full year in this digital and cloud that you mentioned?
Rajiv Srivastava: Okay. Let me take that question. Sarath, can you hear me clearly?
Sarath Reddy : Sir, voice is still a little muffled.
Rajiv Srivastava: Is it the same for everyone? Do you want me to dial in dial out? Or are you able to actually make out what I'm saying?
S V Krishnan: No, I think this seems fine Rajiv, only thin g you may have to speak slowly. I think it's otherwise clear. No problem.
Rajiv Srivastava: Okay. All right. I think Krishnan answere d that question beautifully about investments that we made , to your question about opex . In all our earlier calls, in the last few calls that we've had, we talked about pivoting our company to a much more digitally transformed organization. And what it means is that our routes to everyone we deal with, whether they are vendors or they are partners or our employees, whoever it is, will be a digital first one.

And that's the reason we started a digital platform. We talked to you about it in the last 2 calls as well. We started our digital platform that allows us to engage with our partners and customers in a very digital manner without any intervention. And you'll be very happy to know that in Q4, in JFM quarter, the digital part of our revenue was more than 20% of our -- or close to 25% of our overall revenue that we transacted in India of INR9 ,900 plus crores, close to 25% of that was done on the digital platform.
Now think of it, in less than a year, we are transacting more than --

close to that high a number
on the digital platform , which is very good. Second thing, and I will come to opex before -- but let me give you a colour on the -- a bit of a thing on the cloud platform also. On the cloud platform, an equally robust story on the cloud platform as well. In our cloud business, we shifted to -- we cre ated a cloud platform called Cloud Quarks . And in this year, we are exiting our cloud platform, with a revenue, ARR, annual recurring revenue of INR269 million.

Now that is huge for any company to come to, in just a year -- less than a year. We have got to a point where our investments in cloud and digital platform are actually starting to become much more visible and stand up and be counted for themselves and give a -- start to give us a very strong return in both digital and cloud platform. It really talk s to you about the power and the coverage that you can get, the power of the platform that you're able to do potentially, many new things which you couldn't do earlier in the platform.

So opex on these areas is that, over time, as we go forward, and we con vert more and more of our business to our digital, you'll find that because our investments would have started to pay off much more and the operational efficiency -- because the digital platform also gives you a huge amount of operational excellence and op erational efficiency. It allows you and your customers to be having -- deriving a much better experience from Redington.

Over time, these translate into a much reduced operating opex versus technological opex , which you can differentiate, but a much reduce d operating opex as we move forward, because you are so driven by a mission. On desire, you're right, is to be the number one digital distributor in the world, and I'm sure we're going to get there very soon, because of all the investments that we are maki ng, but more importantly, because of the comprehensive vision that we have of what digital distribution can do for the industry that we are in, and it will be transformative.

Sarath Reddy : Got it. Sir, what is Redington India Apple revenues as a percentage of the India Apple revenues? How has that trajectory been for the last couple of years. And sequentially, we've seen that third quarter is a strong quarter for Apple India because of produ ct launches, but the revenues for this quarter have increased to 32% versus 30% last quarter. So could you please quantify with Apple's strategy of going direct? How does this impact Redington India for Apple?

Rajiv Srivastava: Yes. I think any vendor -- and it's not Apple specific, let me broaden the question and then I'll narrow it down to your point about Apple specifically. We have seen that whenever any vendor becomes more active in the market, whether it is Apple or it is Dell, HP, Lenovo, Microsoft, Amazon, anyone who becomes more active in the market directly, through a direct presence, the market for that particular brand, what your range of equipment expands.

And that is such a wonderful thing to happen for the industry, where Apple is coming into the country and trying to set up its own shop over here, which have opened up Apple -direct stores. We believe it will help lead to expansion of the Apple business and Apple market in India. Apple has a very small phone market share and even smaller PC and iPad market share, tablets market share. With them coming in directly, we expect that -- or we hope that market share expands, which will be a gain for partners like ours who use a lot of Apple products.

Just from your perspective, from the question about the relative size of the market and how it is going up and down. Q3 and Q4 are always mobility intensive quarters. Q3 because in that quarter, Apple does a launch and most other mobility brands also do a launch. So mobility is a part of the business, sees a lift in Q3 and Q4

. And that's the cyclic nature of the products that we
sell. Some products sell better in some quarters.

Some products sell less better in some quarters , some products sell less better than other quarters. So I think that's the nature of the business, and that's how the whole -- our product mix continues to shape up in and out because of what the launches with other vendors .

Moderator: Thank you. Sarath, sorry to interrupt you, I will request you to join the q ueue again for the follow -up question. The next question is from the line of Priya from Emkay Global.

Priya : And congratulations to management team on always delivering consistently quarter -after-quarter. I have 2 broader questions. One is a follow -up on t he working capital. Now that everything is normalized and that you've highlighted, that the B2B business or the movement of work from home to work from office is something would mean that the businesses and us will have to ensure a little bit more inventor ies. Do you see the current working capital cycle being a norm which we should look at? That is the first question.

The second question is the intensity or the importance of our business only keeps on increasing, as the technology advances. So a combinatio n of 5G and say, PLI manufacturing in India, which are the 2 major forces going to happen in the ecosystem for us in India, it would be largely seen as positive in future, but any colour which you had from the vendors, because each new technology, let's sa y from 2G to 3G, 3G to 4G envisages an increase in the ASP of the devices.

And in 5G, particularly, we are going to see more a device -led sort of technology adoption. So any colour over there, which you had with your vendors, what are their thoughts? We've always seen Google introducing like Google Cards and all and the AR/VR related devices. So a more macro trend over there would be helpful? And if PLI manufacturing becomes a norm, 4 years, 5 years down the line, do you envisage any change in the distribut ion landscape for us?
Rajiv Srivastava: Priya, too many questions and all good ones. Let me leave it to SVK, Krishnan. Krishnan, do you take the working capital normalization norm and I'll take on the intensity of tech advances that she has mentioned?
S V Krishnan: Yes, Rajiv. So it's like this, Priya, if you go back to our commentary in the last 2 quarters to 3 quarters, we have been saying that inventory will settle about between 30 days to 35 days. As we speak now, it's at the top end of that range. In o ur view, that some more increase may not be

significant to see whatever this thing needs to be done to control it, but we tend to think because of the slowdown that's happening across, there could be some slight increase in terms of the overall working capital days, but we don't expect that to be si gnificantly higher than what it is today. So to answer you in our view, majorly, the normalization process is over now.
Priya : Sure, Krishnan. This is helpful.
Rajiv Srivastava: Okay. Let me give you some insights on how we see the tech intensity increasin g and tech advances happening. And you mentioned about 5G. 5G is a device play, which means people will shift towards a phone which is hand phone, which is 5G -enabled to support 5G. But -- and that's happening right now, as we speak right now, whoever is b uying a new phone is very particular that the phone runs 5G or support 5G, okay.
But let me tell you, that is just one tiny part of the way the technology is going to be utilizing or the consumer would actually going to be utilizing 5G. 5G is a lot about increased bandwidth, faster communication and people being able to do things remotely on a much more real -time basis. That is the real genesis of 5G, devices support that, which means lots and lots of applications over time will start to utilize those cap abilities of 5G and

become real -time.
For instance, if your company does -- your Emkay Global Company does remote training, you can be almost live in the places through slower technologies that are being made available right now or when you do advertising, learning, remote manufacturing, remote operations in a remote health care consultancy and advisory, 5G would start to enable a lot more of their application.
So 5G has a much deeper impact tha n handsets. It has a deeper impact on technology consumption across the world, across many, many such industries.
And we see a very intense, very strong uptake as applications start to utilize the technology of 5G. We at Redington, we are working on a few such use case scenarios in the automotive industry, use case scenarios in the health care industry, which will almost be very revolutionary at the subset in many ways from a manufacturing and from a health care perspective and so on and so forth. The AR/VR is again, those are tools, those are technologies which people utilize in use case scenarios. Augmented reality will help you a lot in the advertising world, which is what is happening.
If you go to a lot of countries, and I'm sure you got to lot of trav el all the time, when you go to countries like Japan and China and Australia, U.S. and some of the countries in Europe, you'll find how augmented reality is now starting to make a strong dent in advertising. And I'm sure you've seen videos of how business are becoming AR -enabled, same thing with virtual reality. You can -- like I said, you can sit in the home and visualize yourselves to be in a training room, visualize yourselves to be in an operation theatre , and that's how those advances are goin g to be.
So 5G's relevance is going to be a lot more in the application domain beyond just the devices. The devices average selling price, ASP of devices going up is going to help shoring our revenue. But the tech advances and the tech intensity that 5G cr eates and 6G which is getting tried out in some countries now is going to be supremely beneficial for the technology industry and for the

consumers at large because they will get the ability to do many different ways and many creative things as we go forwa rd.
PLI manufacturing, your last question, as we go forward and more and more things started and manufactured locally, it will help India generate revenue, local revenue, it will help India create

more jobs locally. It won't help create lower prices, becau se all these global companies wish to manufacturing in India, they do manufacturing in India for India, but also for the globe, but they cannot disrupt the prices to the extent, their pricing policy , having come from that background, so I know it very well .

The pricing policies of these companies is much more global. You won't have a reduction in prices, but you will have an advancement in job capabilities, job opportunities, you will have advancement in newer models becoming available even faster to the In dian population, all those benefits will come to the Indian population.

Moderator: Priya, I request to join the queue again for a follow -up question. The next question is from the line of Akash Mehta from Capaz Investments. Please go ahead.

Akash Mehta: Sure. So Compuage has reported on the stock exchanges that there were some disturbances in their business. So given that they are a INR4,000 crores revenue company, does it benefit us in any way?

Rajiv Srivastava: It does, absolutely. Absolutely, it does. Compuage has given kind of products, Akash, that Compuage was distributing some HP and some other products, those become available to Redington clearly to manage and to sell in the geographies they were present in. And like I said, it's the time where you have to manage a lot of financials and business simultaneously, and we execute extremely well. So I think that is goi

ng to be really beneficial to us to manage our exact capability of our sales engine now to go and take away most of the share of that INR4,000 crores that Compuage has reported .

Akash Mehta: So we see a significant headroom here?

Rajiv Srivastava: Yes. We should see it on that.

Moderator: Next question is from the line of Pritesh Chheda from Lucky Inv estment Managers. Please go ahead.

Pritesh Chheda : Sir, I just had one question on your interest cost, which has impacted your PBT growth rate. So we have seen the inventory day normalizing and accordingly, debt or leverage coming on your balance sheet. Bu t the pace of leverage is slower than the pace of interest cost increase. So I just wanted to understand your funding cost, how should we look at it, what percentage is your funding cost, if you could explain that? And I'm suspecting that because of the gl obal interest rate rise, the funding cost for you would be materially different from what it would be earlier?

Rajiv Srivastava: Yes. So SVK, do you want to take that?

S V Krishnan: Will do, Rajiv. So to answer you, Pritesh, see, I mean, as you said very clearly, the interest rates are going up across and being present in multiple markets, it impacts us also, to the extent that in India, our interest rates have gone up by almost twice. And if you go to say, Dubai, our interest rate has gone up by about 4x to 5x. So this is something which all the corporates do face. And uniquely, if you see in terms of interest cost in comparison, then you have very low utilization of debt. And the -- I mean, at that po int in time, you will see all the networ th would have got fully utilized for which there wouldn't be any interest cost.

Any increase in working capital from then on will have an interest cost attached to it, which is the challenge that we have. In our view , the interest rate increase cycle is more or less done, maybe for the next 3 months to 6 months, there could be one more increase that may happen overall. But after that, we should see a downward trend and that should help us. So from an interest cost per spective, if I need to give you, I mean a view, I mean as a percentage of revenue, we are at about 0.35%, 0.4%. I think we should be able to maintain around this or maybe it can get stretched by another 5 bps to 10 bps.

Pritesh Chheda : Okay. Now if you -- okay, now I'll ask the other way. If this is a peak working capital cycle that you're looking at in terms of days, which has normalized, would it be fair to assume that the debt would have peaked out, because from here on, you will have your cash flows?

S V Krishnan: See, it's like this. As I mentioned to one of the other query, we expect some increase in working capital still. Second, you also need to understand...

Pritesh Chheda : You mentioned it was temporary that you are looking at, right, and not a mat erial difference.

S V Krishnan: Yes. And second is also, you should see the growth rate, which is significantly higher, so we expect the debt level to go up because of the growth rates.

Pritesh Chheda : What is the type of growth rate that you are looking a t on a sustainable basis, should we refer?

S V Krishnan: You know very well what has been our growth rate over a long period and also what has been in the last few quarters. And I mean, our growth rate depends on how the market grows, but we will ensure th at we are definitely better compared to the market.

Moderator: The next question is from the line of Dh iresh Pathak from White Oak Capital. Please go ahead.

Dhiresh Pathak : Yes. Sir, one, just want to confirm my understanding that when Apple sells direct either through

online their website or through their focus stores, we have no role to play in it, right, no logistics, nothing, we don't benefit at all from that channel?
Rajiv Srivastava: That is right.
Dhiresh Pathak : Und

erstood. In rest of the world market, which as per your presentation, is about 56%, 57% of EBITDA and PAT, what would be the underlying currency exposure like which currencies would be more exposed to?

Rajiv Srivastava: Look, we do -- we do a lot of our business in dollars. So our exposure is very restricted. And that's the reason you see that whenever we have a currency loss, it's not really material from the business perspective because we have a policy of how we hedge ourselves against currency fluctuations by doing business in dollars. Sometimes we get impacted, the country policies change very significantly. And so those are geopolitical factors that we have to move on. And I leave to S V Krishnan to g ive more commentary or details on that topic.
Dhiresh Pathak : Yes. Krishnan, if you can give like for the rest of the world PAT, like dollar, underlying dollar would be what percentage of that PAT, and whether other currencies like in Nigeria, Kenya, Ghana , where we have experienced depreciation, what would be the currency exposure? I'm looking for some quantification.
S V Krishnan: See, first of all , what I want to give you a comfort, we always try to make sure that we hedge all our exposures wherever forward contracts are available. If you take India, for example, forward contracts are available all the time. So the moment there is an exposure on th e day 1, we take a cover and build the -- I mean, the cost of the premium as part of our pricing. And this is what we do across various markets. There are a few countries where the currencies -- the currency rates are pegged to U.S. dollar, hence, naturall y, there is no FX exposure for us.
And as Mr. Rajiv just mentioned, if we take Turkey, for example, while the currency volatility is very high, we do the business in U.S. dollar, I should say majorly, and to that extent, we are not covered for the balance, we need to manage. So this is the broad thought process I would want to tell you.
Overall in markets where there are currency variations and forex contract is not available, we have a model that we will sell at the then prevailing rate whenever the sale g ets done, and at the time of collection, the customer has to pay as per the exchange rate that was prevailing on the date of collection. So we are more or less covered in terms of our business model for the forex exposure.
However, the challenge comes in, in cases where remittance is not possible. I mean you mentioned a few countries, this thing Nigeria, Egypt, a few other countries where the currency repatriation sometimes because of various geopolitical challenges is not possible, which is where we get st ruck and it is taking time for us. And in the mean -- if there is an exposure, it -- I mean, it is coming and hitting us, which is where we are. And as much as possible, we reduce the impact and we also run down our business, which is what happened in the case of Sri Lanka, Egypt and right now with Nigeria also. So it's not significantly high if I need to answer you in a simple form.
Dhiresh Pathak : But is it possible just to the extent that you can quantify, let's say, you get 56% of your PAT from rest of the world markets, now what percentage of that is dollar business, what percentage of that, and the second largest currency whichever it is, what percentage of that is that currency? So something like that if you can share?

S V Krishnan: If I need to put a percentage, I don't have that ready -made now. In my view, it would be between 15% to 20% of the business that happens in markets where we are not able to cover FX or we don't do it in U.S. dollar terms.
Moderator: Next question is from the line of Balakum ar from HDFC Asset Management. Please go ahead.
Balakumar : I have 2 questions. One, could you just give the breakup of the provi

sions this quarter inventory
receivables and the total provisions? And second one, if you look at the growth we had in FY '23, it was broad -based across markets. Maybe FY '24 and beyond, could you guys just throw some sense on the growth drivers by both market as well as the segments within the markets?

Rajiv Srivastava: SVK, will you take the first one, then I'll take the se cond one?
S V Krishnan: Sure, will do, Rajiv. So inventory provision for the quarter is negative at 21 bps and AR provision for the quarter is about 14 bps positive. And inventory provision is negative because it was positive in the last quarter, as I had mentioned, there was some reversal that had happened in the current quarter because of liquidating older inventory.
Balakumar : Got it.
Rajiv Srivastava: Okay. On your question on the growth drivers for India and overseas, you're right, our business has bee n really broad -based , it has grown pretty much across all the regions that we operate in very consistently. And the growth drivers happens to be through a couple of things. One is an external growth driver. The way the tech industry is shaping up right now , bringing more technology to the market and companies, organizations like yourselves in HDFC or any other organizations is really continuing on the path of digital transformation.
And I think the momentum that has got created towards digital transformatio n during the COVID time is almost irreversible. You can't just plug it back anymore. And so companies will continue to invest in digital transformation, companies will continue to invest in improving their efficiency, productivity and their own environment of innovation. So that drives a huge amount of technology buying because for companies to become more capable and enabled for efficiency and productivity, it is almost a straight -line equation, they have to make more investments on technology. That's one thing which is very strong growth driver for us.
The second growth driver for us is the geographies that we operate in, India, Middle East, Africa, Turkey, all of those geographies, like I said earlier, they are investment and consumption driven. The gover nment have a necessity to make sure they are all the time upgrading the infrastructure, upgrading the infrastructure of digital and infrastructure of knowledge variety both, and economic infrastructure, education infrastructure, health care, all of them h as got to get invested in. A huge amount of the investment is happening in these areas by the government to make sure that these things come up, and that brings a huge amount of tech buying .
And second is, as the population is becoming more from the lower to middle class to upper mid - class those that are more evolved and more niche as the migration is taking place with all these populations, there is a consumption of technology that is taking place. So I think those are the 2

broad drivers that I think, one is the digital transformation, second is the investment -led nature of the economies and geographies that we operate in. And we align very strongly with that, Bala. If you read or read about us as a company and if you see where we are headed, the mission o f our company is to bridge divide . Our purpose is to bridge divide .
We operate in a very strong underprivileged section of the global market. Whatever we can do to bridge those divides of technology, to bridge the divide of economy of education, of health care, of retail, of manufacturing, anything that we can do by bringing the latest technology to the market, that's our mission, that's our purpose that we exist for as a company. So the regions that we are operating in strongly to our purpose, to our missi on, and it really is anything that get to growth, those are the two very strong growth drivers that's aligned with our organization .
Moderator: Next question i

s from the line of Nitin Padmanabhan from Investec India. Please go ahead.
Nitin Padmanabhan : Yes. So I had a few questions. So one is, if you could quantify the investments on the other expense line and how should we think about that on a going forward basis? The second is you mentioned that 25% of the India business is now sort of a digital distribution. Just wanted your thoughts on what you're seeing in terms of any difference in the working capital intensity there? Is it much lower or do you think that once it settles over a period of time, there's a lot of room for optimization on the capital intensity in the business as this business gets more and more digital -oriented? So that's the second. And third, I just wanted your broad thoughts on the last year, we saw the highest ever growth.
And if you could just contextualize that in ter ms of what drove that strength and how we should see that on a going forward basis and how the context is changing? Should we expect a normalization, a fair normalization of growth considering the broad macro? And so those were the 3 questions.
Rajiv Srivastava: Okay. I think we gave you some numbers in our investments last time also, Nitin. Our investments in technology infrastructure is moving across from -- and obviously, I'm not going to give the exact numbers, but are moving across from INR90 cror es, INR100 crores to INR250 crores -- INR2 60 crores over the course of a combination between capex and opex , all of that. We believe this is a differentiator. And you will continue to see us making the right level of investment add t wo levels .
One investme nt we made is in creating the right level of digital transformation on digital

enterprise that we want to be, which allows our partners and customers to engage with us in the ways they prefer. Whether they want to do a brick and mortar discussion with us o r they want to engage with us on the digital platform or they want to do the business with us on an as -a-service model, we are providing a huge amount of choices to our partners and customers to engage with us. And that is not going to be starved of any investment, whatever it takes to get that, we will be absolutely basically rightsizing. That is one.

The question number 2 of yours on trying to get digital distribution, does it reduce the working capital investment, maybe over time, it does. Right no w, it doesn't, right now, because the nature

of business that partners we transact or engage with, the customers we engage with, the economic environment of the country is not changing because we've gone digital. What digital does is it makes us more effic ient, it makes us deliver a much better experience to our customers and partners, it makes us easily discoverable, it makes it really easy for partners and customers to do businesses. These are the much more growth -oriented topics than working capital move ments, because like I said, the dynamics of the business is not altering to change the working capital there.

Over time it may be, assuming I try and liquidate something or try and sell something on a fast-paced basis, will kind of -- will really enable us to do much better working capital, but those are in the future, and we'll see as that goes. So that's the second element that I wanted to make sure that we get that. The third thing that is there is about -- you mentioned the point about growth drivers, w hat is driving growth for us and is that going to be looking at different or will it change and what are guidance for the future is. Look, growth is an outcome of many things that we do, many small things that we're optimizing the business need to grow.

For engagement with our vendors and our partner network needs to grow. Our planning the way, we detail our planning with our partners and vendors needs to grow. The range of financial and fintech solutions that we pro

vide between us and our partners that nee ds to grow. Our framework
of go -to-market model, which is a basis of digital and nondigital and a coverage model that is really helping us reach to , maximize the number of partners and the market that we can reach to, there was an earlier question about Ti er 1, Tier 2, the number of locations that we can go to , the number of PIN codes that we go to sell our products has this. So the coverage of GTM model allows us to grow faster.

Our investments in technology enable us to become far more easy and progress a nd agile in aligning with whatever we need to make changes to from a business perspective. But those are the things that really drove huge growth. And you are right, when the market is negative 25% and Redington is plus 25%, that means we had a shift betwe en the market delta of almost 50% between us and the market. And this happens for 4 consecutive quarters. So that's a strong thing, which is something that we're doing has helped us get this level of growth, and those are the growth levels. Will it normali ze to a lower level?

What normalization? -- what you meant by normalization, our view will be that one of the things that we hold ourselves really accountable to is something which is about making sure that we continue to grow faster in the market over tim e. That is there to us, and I'm hoping that the investments that we are making in technology.

The second investment we are making is in people because the thing that we are doing from an e-commerce perspective or from a cloud perspective, there's a lot of services capabilities with it. And services capabilities, for sure, are very different from our product capabilities. So we're investing in technologies and we're investing in people capabilities as well. So all of this is helping us stay ahead of the mark et at every point in time.

Moderator: Nitin, I'll request you to join the queue again.

Rajiv Srivastava: I think we are done for the day. I got to leave for now, it's almost more than an hour, I'll have to leave. So thank you so much. Is there anything -- Krishnan, if there is anything else that you want to add , then we should probably be winding down here.

S V Krishnan: No, no, no, I think it is done. We can close the call, Rajiv.

Rajiv Srivastava: Yes.

S V Krishnan: In case there are -- in case anyone has...

Rajiv Srivastava: Yes, sorry.
S V Krishnan: No, no, no, we can give some closing comments before we c lose.
Rajiv Srivastava: Yes. Yes. I think it's fair. I mean it's a fantastic interaction. I like all the questions that you have asked us were very always incisive and insightful. If you play back our calls over the last few quarters, you will see exactly the scheme , as I said, running across . We guided the market on working capital. It is turning out to be exactly where we guided. We guided the market on PAT, it is running out exactly to be where we had given the guidance and given the guidance. We guided the market on our growth that will be ahead of the market and is turning out to be superbly correct. We had guided the market on how we see our investments and how the investment will pan out.
And also we talked to you a lot about what is -- what is that w e are doing from a future perspective and how Redington reinventing itself, how Redington reenergizing and transitioning or transforming itself to do business to stay ahead in the new world and all of that, you heard us talk about. Your questions, like I s aid, always extremely, extremely enriching, whether it is questions on financials or questions on the way the market is shaping up or your questions on future direction, your questions were absolutely, absolutely fantastic on these things.
So all those questions help us stay the course. If there is anything that we have not been able to address or answer, I know there's always a tim

e to look at those stuff. You can write to us, and
we will make sure that you get a response from us. So thank yo u so much for joining the call today early in the morning. Have a great day and the week ahead.
Moderator: Thank you very much. On behalf of Redington Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Tha nk you.

Call: Aug 2023

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August 8, 2023

The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai – 400051.

Symbol: REDINGTON BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai — 400 001

Scrip: 532805

Sir/Madam,

Sub: Q1 - FY 202 3-24 Earnings Call Transcript
This is further to our letter dated July 24, 2023 , intimating the details of Investor/Analyst call on the unaudited financial results for the quarter ended June 30, 202 3. In this regard, we are enclosing herewith the transcript of the conference call hosted on August 2 , 2023 .
The same is available in the Company's website: https://redingtongroup.com/wp-content/uploads/2023/08/Q1FY24- Earnings -Call-Transcript.pdf
We request you to kindly take the above information on re cord.

For Redington Limited

M. Muthukumarasamy
Company Secretary

Encl: a/a

"Redington Limited
Q1 FY '24 Earnings Conference Call "
August 02, 202 3

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 2nd August 2023 will prevail

MANAGEMENT : MR. RAJIV SRIVASTAVA – MANAGING DIRECTOR – REDINGTON LIMITED
MR. S.V. KRISHNAN – GLOBAL CHIEF FINANCIAL

OFFICER – REDINGTON LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Redington Limited Q1 FY '24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please no te that this conference is being recorded .

I now hand the conference over to Mr. Rajiv Srivastava, Managing Director, Redington Limited. Thank you, and over to you, sir.

Rajiv Srivastava: All right. Thank you. Good morning, everyone, and a very warm welcome to our earnings call for Q1 FY '24. With me in the room, I've got my Global Chief Financial Officer, S.V. Krishnan, and I've also got Deepika, who is the Chief Analyst over here on this call.

S V Krishnan: Good morning.

Rajiv Srivastava: So I'm going to just give you a bit of a summary on how the quarter went by and how we see the market over the near term. And then we can open it up for Q&A if that is okay.

We are pleased to report another strong quarter of sales and gross profit growth, supported by solid execution across businesses and geographies. Redington continues to gain share and secure new opportunities in the markets that we compete in. At INR 21,251 crores, our overall global revenues have been the highest ever for any Q1, grow ing by a very strong 26% Y -o-Y. And at INR 1,248 crores, we have registered our highest ever Q1 gross profit with a 17% Y -o-Y. Our EBITDA degrew by 1%. Our PAT degrew by 21%.

This quarter has been clearly a tale of 2 geographies for every financial paramet er, and let me give you the figures for the 2 geographies that we operate in, namely SISA, which is Singapore, India and South Asia; and ROW, which is the rest of the world, all the other countries, the Middle East, Africa, Turkey, that we operate in.

So our revenue for SISA grew 24%. The rest of world revenue grew 29%. Our gross profit for SISA grew 24%, and the rest of world gross profit grew 11%, so both at a very, very positive sort of an outlook there.

Our EBITDA for SISA at INR 266 crores grew 19%. Ou r rest of world EBITDA at INR 217 crores was a degrowth of 17%. Our SISA EBIT of INR 246 crores is a 17% growth. The rest of the world EBIT at INR 194 crores is a 19% degrowth. And PAT of SISA at INR 149 crores is a 2% growth, and the rest of the world PAT at INR 99 crores is a 41% degrowth.

So clearly, like I explained, the 2 geographies had behaved differently.

Okay. All right. I will do that. Yes. Thanks so much, and great -- good morning, and welcome to everyone for joining this call. Our apologies for this technical glitch early morning. I was going on reading my commentary and I didn't realize that we were disconnected. I hope you can hear me loud and clear, and let me just give you a sense of what and how the quarter went by.

Like I said, we are pleased to report another strong quarter of sales and gross profit growth. Supported by solid execution across businesses and geographies, Redington continues to gain share and secure new opportunities in the markets that we compete in.

At INR 21,251 crores, our overall global revenues have been the highest ever for any Q1, growing by very strong 26% Y -o-Y. And at INR 1,248 crores, we have registered the highest ever Q1 gross profit with a 17% Y -o-Y growth. EBITDA degrew by 1%, and PAT degrew by 21%.

Now this quarter has been a tal

e of 2 geographies pretty much across every financial parameter that we measure. And let me give you the figures. Revenue for SISA, we report results around SISA and rest of the world. SISA is Singapore, India and South Asia. Revenue for SISA grew by 24%. Revenue for rest of the world grew by 29%. Gross profit, SISA was 24%. Rest of the world was 11% growth.

EBITDA for SISA at INR 266 crores was a growth of 19%. EB ITDA for rest of the world at INR 217 crores is a negative 17%. EBIT for SISA at INR 246 crores is a plus 17%, and EBIT for rest of the world at INR 194 crores is a negative 19%. SISA -- PAT at INR 149 crores for SISA is a 2% growth, and PAT at INR 99 cror es for rest of the world is a negative 41% growth. We did achieve record revenue and profit margin for Q1 of the year as our continued investments in improving our tech capabilities, building deeper partner relationships, making the breadth of our offering s more comprehensive and innovations and business models begin to pay off. We made significant changes to our business model as well.

For the first time ever, we've had 5 consecutive quarters of 25 -plus percent growth. But delivery has been broad -based wit h all our operating regions contributing to growth. All our theatres , India, Middle East, Africa, Turkey, have been pretty robust from a revenue growth perspective. PAT is down 21% Y -o-Y due to increased interest and factoring cost that we've seen due to a ll the financial disruption that we are going through. Outside of that, our PAT would have grown by 9% if you take the downsides away. And it is largely impacted in the rest of the world, while SISA has delivered a PAT growth of 2%.

Just to give you a bit of a color on this, Redington's digital transformation has been a key factor of regrowth catalyst as we transition from the role of a traditional distributor of supplying products to a much more technology aggregator, becoming a more holistic tech solution s provider. We are addressing the market demand for consumer devices and smartphones for hybrid work and hybrid learn environments, for small and medium businesses, for enterprise

technology solutions, including cloud infrastructure for servers, storage, n etworking and security.

We are also responding very strongly to the emerging technology environment fuelled by the growing adoption of 5G, Internet of Things, Edge computing and generative AI. And you all know generative AI has been so disruptive already, and we see many impacts of that happening, and it's only fair for us to have a very strong pivot on generative AI.

While technology distribution has been our core value proposition, we are focused on building competencies and capabilities to provide manage d services for private and public cloud security and audits. Our initiatives ensure that we continue to increase, enhance the value that we offer to our customers, thereby serving them better and gaining share and accelerating our growth momentum.

Business dynamics during the quarter has been mixed. Technology demand of -- related to work from home and learn from home has been subdued. It has actually, in fact, degrown. You would have followed the IDC results for global PC industry that came out very recent ly, and that PC industry globally has declined 13.4% year -on-year. Smartphone shipments have declined globally by about 15%. In fact, PC and smartphone industry now pretty much is at 2014 levels, which is way back, and I'm hoping that, that tide will swing and turn in the positive territory shortly.

However, the demand has been very robust for data centre infrastructure products for servers, storage, networking, software and security and also for cloud products. As we will get back to office -- so back to o ffice has already necessitated data centre procurements to happen. Migration to cloud has been obviously a very stro

ng catalyst. So hence, our improved engagements with enterprises, with mid -market and SMB customers and partners more than made up for the d evice drop in market size that we saw. And so we have grown our enterprise products by about 40%, and we have grown cloud by 44% in Q1. So obviously, in our portfolio, new technologies are the ones which are leading.

As I mentioned to you last time as well, the geographies we operate in are largely consu mption and investment driven , with most GDPs showing a positive growth trend. All of the guidance for growth, the GDP in each country has been reduced, but this will continue to grow in the positive terr itory. Clearly, there has been a negative to stable business climate, and governments have been a very strong spender in times like this.

We know for sure that the financial situation across the world continues to be volatile, and there are obvious headwin ds. And let me call out a few. I mentioned about GDP. Global GDP growth rates have been called down. And as per analysts, there continues to be a chan ce of recession in some leading economies of the world.

For inflation, even though inflation seems to be cooling off at 7.2% globally, it continues to be high in most parts of the world, very high inflation regime, high commodity prices and increase in interest rates. So therefore, the cost of capital has gone up very significantly. In fact, the

interest rates are the biggest dampener between last year and now that have created such a huge cost of capital increase, which has gone up significantly.
The borrowing rates you would know are the highes t right now since September of 2007. So we can go back more than 15 years, and that's how the borrowing rates have been. These impact demand and margin impact on PBT and PAT.
There has been some currency devaluation in some of the operating countries of ou rs, namely Egypt, Nigeria, Kenya, Ghana, Turkey, Sri Lanka and Bangladesh. All these countries have seen a good devaluation of the currency.
While there continues to be a delay in delivery of certain networking products, impacting the project business, goo d news, we are out of the shortage situation of the technology industry, and that has eased considerably, very, very significantly. So any procurement, which is non -project, you will find that the fulfilment becomes that much more speedier, that much more lesser time to fulfil the project requirements. Sometimes in the networking products, we continue to get challenged on delivery.
Therefore, overall news has been some good and some not so good, the financial indicators. And though , we expe ct these to balance out. We will be watchful as we always been and cautious over the next few quarters.
As we project ourselves into the future, we do anticipate a constrained demand environment as we are seeing right now in certain categories like access products, which is the PC and the print and smartphones but better in other categories, much better in other categories like data centre , cloud, services and accessories.
We therefore expect to sustain a reasonable revenue and margin growth from our recent ly implemented operating improvement amid the backdrop of geopolitical and financial instability.
We have demonstrated that despite an evolving macroeconomic environment and difficult conditions for the technology industry, we remain well positioned to con tinue our growth -- to grow our business profitably by helping our customers and helping our suppliers navigate an increasingly complex market and which is getting more complex from a technology procurement perspective.
Net-net, in summary, I would say, ou r strategic initiatives, our execution capability are delivering for us, and they -- that -- those make us extremely optimistic about the future.
At this moment, I'm going to step back and stop and open it up for question

and answers so that
we can interact. Thank you.
Moderator: Thank you very much. We have the first question from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: So first, if you could give us some context to the drop in margins in the ROW business, b oth other expenses and employee costs are all up. So if you could give some context there, anything to do with provisioning and so on and so forth?
The second question is maybe a little more philosophical question, is that our growth has been consistently very strong. But at the same time, I think we have sort of hit a working capital days of around 40 days, which we have not seen in quite some time. So historically, we have had this risk-adjusted growth philosophy. So if you could just give some context to what we are seeing in the numbers, right? Usually, it would sort of slow down on growth in a bad environment. So just wanted your thoughts on both those.
Rajiv Srivastava: Okay. I think great questions, Nitin. What I'm going to do is I'm going to take the first question, which is the context to margin drop, and then I'll hand it over to S.V.K., which is S.V. Krishnan. I'm sure you know him, to talk to you about the risk -adjusted growth and the working capital and how it is going to pan out.
Okay. But let m e just give you a sense. Our -- if you look at our EBITDA in Q4, for instance, Q4 FY '23 sequential previous quarter at 2.69%, our EBITDA now at 2.27% and our gross margin between last quarter and this quarter has just seen a 12 bps sort of a difference in the positioning o r in the drop. That's what has taken place between 5.99% to 5.87% is the gross margin, probably just 0.12%, which is that's the only drop in gross margin.
Now how do we -- this gross margin will translate to about INR48 -odd crores of a gross margin drop. That's all that took place in this quarter. And for those two, we had -- that gross margin drop, which we see is accounting to about INR25 crores, and we made technology investments into our business of about INR22 crores.
Now those choices are available to us to continue other technology investments or should you or should you not. I think to secure our future, it is important for us to stay on our tech investment curve because all the platforms that we're investing in have been extremely, extremely robust,

and we are giving us the benefit of expansion of our growth, expansion of our territory, expansion of our geographies that we are seeing in now. So we chose to make the technology investments. And that's how the w hole margin equation plays out.
Now if you think of it this way, we maintain a very, very strong business momentum. Okay? We maintain largely a gross profit, maintain, and despite the tough -- you mentioned about the tough economic situation -- despite the tough economic situation, we maintain our gross profit. We maintain our business momentum very, very strong.
Just for the 12 bps -- to a question that are we doing revenue extra and all that, just for the 12 bps drop in the gross margin, I don't think we should be reducing our business at all. It is difficult to achieve, but I think we manage our business extremely, extremely well to get to the point that we did. And then there are elements around our business as we go forward. So I think those are the ele ments that we were focused on, and I'm glad it all played out extremely well from our perspective.

S.V.K., you want to talk to them about the working capital?
S V Krishnan: Yes. Okay. So let me first address, Nitin, your third point. I think it is very important that we get a comfort. We haven't compromised on the risk-adjusted growth at all. See, the way in which we need to look at, I mean, the quarter that we are in, see, on the back of the last 3 years of very hi

gh demand, which has led to every constituent growing at a very fast pace and quite profitably with all the balance sheet factors in a best of the case situation.
So now in some segments and in some markets, there are some challenges that are coming up. It's important we need to decide how we play our game with the brands. And the choice is that we find some of the smaller players are having difficulty and having a good chance of even exiting the market. That's where you need to be more aggressive.
So I mean i t is a very balanced role. We haven't let the risk factor out of place. But having said that, we think it's important that we need to be very material, very important for the vendor. And I'm sure Rajiv can articulate many of the brands are talking in terms of strategic alignment with us, which would not have been possible if you are growing – the thing better than the market. So I just want to give you a comfort that there is no let up on that point.
So let me move on to the other expenses. See, there are a few factors that have come in play, which had impacted other expenses. It started panning out in the beginning of last year, and it actually continues to be so. So ideally, you need to look at, for this, the quarter -on-quarter, which is between Q4 an d now. I would want to call out two reasons, which are important. One, as Rajiv mentioned, is in the form of -- I may -- okay. I hope I'm audible.
Rajiv Srivastava: Yes.
S V Krishnan: Yes. One is the investment part. We have a choice. Definitely , we have a choice. That could have helped us in terms of better operating profit. But we thought, from a long -term perspective, since that is a structural change that's happening in the industry, some of these investments are non-negotiable. So we have go ne ahead and we are very clearly on track. And there, again, I want to mention we are not going too aggressive. We are being very balanced, knowing that this is our profitability, and this is what we can afford.
Second is the -- I mean, the factoring charg e. See, in some of the markets like Turkey, it's very unfortunate. I mean there are serious challenges in terms of getting bank funds. And there are regulatory changes that are happening very, very frequently, which push us for raising the funds in various forms. And one such model, which has become quite constant in the last few quarters, is factoring. And this is coming at a higher cost. But if we want funds for the business, we have no choice. And that's something which builds up into operating -- sorry, other expenses. So let me pause in case there are any further query.
Nitin Padmanabhan: Just two follow -ups actually. So one is, over the last two quarters, the other expenses is up by INR88 crores, INR89 crores. Largely, most of this would pertai n to tech investments and when are they likely to sort of evolve? The second one was on the -- what is the provisioning for this

quarter on receivables and all of those things, inventory and all of those? So that was the second one.
Rajiv Srivastava: Okay. I think on the first question about tech investments and how much will we continue and how much -- when we do sort of reduce -- at that -- I think tech is a very critical investment in our business. I do see those tech investments continuing for some more time because the way

we are making our investments -- and our desire is to become the number one digital distributor in the world. As the world is moving towards more digitally oriented business models, that digital distribution, that vision is unique for anybody else. And I'm so happy that a lot of the businesses already started shifting to our digital distribution model, which will bring us far more efficiencies and operating leverage over the course of the next couple of quarters.
I do see it as a 2 - to 3-quarter -- 2- or 3-quarter initiative further m

ore for it to become 100%.
By the end of this year, I think we should see this. It will be completely, completely rolled out with all the features and functionalities. It is already working right now. 2 0% of our business is shifted there, but we will get more functionalities as we go forward.
The other initiative that you know is the cloud platform that we created. And that cloud platform is working so well now with companies, with hyperscalers like Amazon, Google and Microsoft, all three of them, and that's the investment we made to make sure that we can do our cloud business in a much more automated fashion.
So those investments are really right up there in the right manner. Some of the investm ents we are making are also internal because we also need to become internally most automated organization. As world shift towards digital, all our internal processes have to be digitally oriented. So we see those investments continuing over the course of next -- this financial year. That's something which is going to continue.
S V Krishnan: So in terms of provision...
Rajiv Srivastava: Yes, provisions.
S V Krishnan: The inventory provision as a percentage of revenue for the quarter is about 9 bps, which is slightly higher than our long -term average of about 6 bps. The AR provision, again, as a percentage of revenue, is about 11 bps, which is broadly in line with what has been there in the past.
Moderator: We'll take the next question f rom the line of Vivek from DSP Mutual Fund.
Vivek: My question, again, will follow up on the working capital inventory. You've actually guided for higher working capital as it goes from work from home to work from office. Now on the inventory, would you -- maintaining inventory in a slowing environment is a tough challenge and -- so you've increased the provision. Is it like kind of like Stage 1 provisions that NBFCs make standard asset provisions? Is that the way you look at it in terms of increasing provi sions? That's my question number one.

And question number two is how much of the inventory is protected for any losses? And what can be the potential losses that can come from inventory? Those are my questions.
Rajiv Srivastava: Okay. Let me -- and I'll leave it to S.V.K. to handle a bit , but I'm just going to give you a bit of a sense on the inventory and how the market is shifting in the buying patterns, okay? Just to give you a broader sort of a context in the market.
There are two types of inventories we carry. One we carry inventory for regular runway stock - and-sell business, which, obviously, has a chance of being forced into repricing and losses if you have to. So if you carry that inventory, that I would al ways think has got potential of being repriced. Then we carry a lot of our inventory is on the basis of back -to-back business. That back -to-back business comes from customers at fixed prices. We carry that inventory. We order that inventory.
We carry it wi th us until the time we get all the balancing equipment so that we can supply to the customer in 1 single shot and the project can get completed. That back -to-back inventory does not get a -- have a chance of getting repriced because it is a fixed price en d customer contract that you're trying to execute. So I think you get the sense and differentiation on those two inventories.
And Krishnan, do you want to take the...
S V Krishnan: Yes. See, just wanted to clarify from the perspective of the wor king capital increase. Uniquely, if you find, while there is a 12 -day increase, I'm talking year -on-year between June 30 of last year and now, from 28 to 40 days. So significant increase is on account of lower AP days. It's not on account of increase in AR days or increase in inventory days.
And unfortunately, as we are coming out, as we've said, from the shortage period, the high - demand period, the COV

ID period, etcetera, vendors are also -- are rolling back to the earlier credit model , the usual credit period. So some of the higher credits that we could enjoy is going away, which we think is more sustainable. Maybe then your next question is, how would then we control the working capital? We think there are levers available in all the three components in terms of making sure that we improve on that.

Second is also a mix change, where -- I mean the vendors where we get less credit period had performed better that also has contributed. So it is not on account of inventory increase. I thought I should clarify.
Second, just to supplement to what Rajiv said, what we have seen in the past is -- I mean the provisions are sufficient enough to cover up for any dilution in the value of the inventory. While there is a consistent provisioning model and that's something which is standard. There are no exceptions that are considered. We had found by experience that these are sufficient and we are hopeful, as we move forward, some of these getting sold, we should get -- I mean we should get back many of this into the P&L.

Inventory protection, yes, that continues to be so. Any price drops which are initiated by the vendor, we are completely protected. And in some of the products where obsolescence risks are high, there is also stock rotation that's possible. So broadly, we are protected, I wouldn't say 100%. If you make a mistake in stocking call, obviously, that's something that we need to handle. Again, even in that case, we can go back and negotiate with the vendor and whatever support he gives beyond that is something that we should take, which is where we have the inventory provision. I hope I've answered clearly.
Vivek: Yes. Just one follow -up question. In terms of -- you had men tioned there are two kind of inventories that we keep. So bulk would be the larger project type inventory. Would that be right? Or how would that...
Rajiv Srivastava: Correct. That is right. That is right.
Moderator: We'll take the next question from the l ine of Aejas Lakhani from Unifi Capital.
Aejas Lakhani: Yes. Congratulations, team, on a strong sales quarter. It speaks about your execution capabilities. Krishnan, sir, could you quantify what has been the factoring cost increase quarter -on-quarter? When is Turkey likely to settle? When do we see these factoring charges going away? What is the interest rate regime in that constituent?
S V Krishnan: Okay. So for last quarter, we had a factoring cost of about INR49 crores, which has moved up to INR60 crores. So that's the increase between Q4 and now. These -- as I said, these are costly and mainly in Turkey. As you know, Turkey, interest rate in the normal situation itself is quite high. It ranges between 25% to 30%, and the factoring cost is even more than that.
It is a bit -- I mean bit of a volatile market in various sense. But I need to tell you that credit to the team there, has managed to ensure there is the growth and also maintained -- I mean maintained profits. I won't say good profitabili ty, but they haven't -- I mean they haven't...
Rajiv Srivastava: They have always been profitable.
S V Krishnan: Yes. They have always been profitable. Let me put it that way.
Aejas Lakhani: Got it. And Krishnan, sir, what do you expect -- how do you expect the year to pan out? Because we had INR150 crores of factoring charges in FY '23 from your annual report. So how are you expecting the year to play out in Turkey?
S V Krishnan: We think for one more quarter, this will continue. The reason why I'm saying this is because -- there was a presidential election 1.5 months - two months back. The existing government is continuing. However, some of the economic policies are changing. There are new people who have come in the finance ministry . They have increased the intere

st rate on one single day by
6.5%, which was kept abysmally or artificially at a low level.

So we think some sense is coming in, into the market. They were holding on to forex rate that's now -- it's now let free. So maybe about a quarter more, we may have to go to through. After that, I don't think it will come back to normal. It will definitely be better than this. Sorry, Rajiv.
Rajiv Srivastava: Yes. No, I think you're right. I t hink we expect Turkey to turn around because some of the new decisions that the government has made after the election are very, very positive. Aligning the inflation to the global markets, aligning -- or to the real figures, aligning the interest rate to the real figures, all of these extremely positive statements because it inculcates so much of -- generates so much of confidence in the external investment community that now the situation of Turkey from an economic perspective is far more real than it was.
It's not artificially held up. And once you have a situation which is harmonious, you get more investments into the country and you get far more robust economic growth rather than anything else. So I think Turkey has been extremely -- and we continue to be very bullish in Turkey.
S V Krishnan: Just to give you a number, for the quarter, Turkey had a revenue of about INR2,200 crores. All

this are in crores. And they've made a profit after tax of about INR 12crores. So -- I mean it's not great . But to maintain INR12 crores when interest rates are at what I had said, is something which is notable.
Aejas Lakhani: Noted. Rajiv, my next question is to you. You've been -- since you have come in, your strategy has been to create a parallel sales orga nization. So we wanted to understand, what this parallel sales ecosystem that you've been building has really been doing and how this will impact the future?
Also today, what sits in your employee cost is a percentage of cost that is apportion to this sale s stream business which is in the scale -up mode. Could you please clearly quantify, what is the HR cost, which is going towards the current products, infrastructure and what has been built for the service infrastructure?
Rajiv Srivastava: Okay. I may not h ave answers to all your questions, Aejas, but I'll give you an answer to some of them at least. I don't know what you mean by parallel sales organization. We are creating a sales organization which is focused on customers and partners. We used to be very b rand-focused. We used to be very product -centric organization, not so much centered on how the requirements or demands of the market are changing. What solutions customers are wanting.
What we've done now is, we've rejigged our sales force to become a hori zontal sales force, which will fulfil the requirements of all kinds of products but from requirements of customers of course. So these sales people will go to partners and they will go to customers as well and talk the full portfolio of Redington and suppl y that full portfolio. This is a very significant change.
If you think of it earlier, one person will go to a partner or to a customer and talk exactly one product and nothing else. Now a partner -- now a salesperson from Redington goes to a customer or a partner, talks the full solutions, full portfolio of all the products that we got across. PC,

printer, server, storage, network, security, cybersecurity, cloud, every single thing, all that is talked about by one person.
Now that’s a futuristic organizatio n. That is an organization that requires investment in training, development and upgrading the skills of our partners, of our people and also it requires a lot of new people as well in the company. That's the reason you will see that our employee cost is going up because we are reskilling and we are also rede

signing, and we are also hiring new
people for the new way of doing business.
A lot of our growth, in my opinion, is not coming because we are now so much more focused from a customer requirement, upwards , rather than product downwards. That is a significant shift, and we believe that, that's the way the world is evolving. And so it allows us to become visible to far more opportunities, much higher level of opportunities in the market and helps being able to fulfil these opportunities as we talk. That's the reason our shift in our business model from our traditional product distribution to a much more technology aggregator. So that aggregation model has to have a mandate of shifting to the employee - to this integrated sales force model as well.
What we're also supplementing the sales model is through digital business m odel shift. So one shift, like I said earlier that we made was trying to become the best digital distributor in the world. We've got one Redington digital platform -- online Redington digital platform, which has started to function. More than 20% of our business in India has shifted to the digital model now already, which is a very, very significant shift. No company does that. A B2B shifting of 20% in less in one year, it's a very, very profound shift. And as you look forward, you will find t hat, customers will get to see much more products, solutions and services being offered through the platform in a very consultative business model. If they have something which is important, that's the way it is going to happen.
The other model that we did was a cloud. Because the market is shifting to everything as a service, they're wanting to buy products as an opex model or as a subscription model instead of buying a capex model. And our cloud platform exactly enables that. So what we are doing is, the shift in the model is towards the customer -centric, customer -choice model. Customers are wanting to buy products in very, very different formats today: outright, opex , subscription as a service, and here is Redington stepping up the game and saying, look, we've got technological -- tech capabilities to fulfil or to engage with our customers in every single domain in every single manner that we do.
Our investments in people are orientated towards the new ways of doing business. They are orientated towards service -- building service capability, of cybersecurity, of migration in the cloud and implementation of cloud services. They are oriented towards doing e -commerce business, which is Redington Online. They are oriented towards getting more certifi ed people in the cloud domain.

So all in, employee cost now are -- the cost of employees in our core business has gone down by 1.5% overall year -over-year, okay, between last year and this year, whereas the cost of

employees in the growth business has gone up by 25% -plus. So that's a significant shift, and I'm glad that we are getting the benefit of the lift of that shift.

Sarath Reddy: Rajiv, thank you. That's very helpful. I'm Aejas 's colleague. Just a quick second on this subject. My name is Sarath. We understood what you just said. I think we understood, and it's hard for us as outsiders to really appreciate the depth of what you're doing. I'm sure you're doing the right thing.

To si mply for us, I'm sure you have some road map of when these significantly higher costs, which have significantly impacted P&L, will justify themselves to P&L. Please give us some road map of that.

Rajiv Srivastava: I think that road map is available. We've got our P&L with an ROI basis. The way we make investments in our company is very ROI driven. We assess the market -- external market and make the changes and shifts to our models. In the course of next four quarters to six quarters, you will see that each of these investments really paying back sig

nificantly.

Our services portfolio has already started to make a bit of a difference to our lives right now. Services have become 3% of my overall cloud business, has become services business now, which is signif icant. And our desire is that over the course of the next three years to four years, our services should become 10% of the overall cloud business. So the total cloud business, assuming it is INR1,000 crores, 10% of that should be services.

Now that service s business will come at a very differentiated gross margin profile, maybe 30% or 30% plus. And that really significantly alters the profile of the overall business mix of the organization. So while these investments start to pay out in the next four quarte rs to six quarters very strongly, the overall services transition that we are talking about will take a longer time of three years to four years because services is a domain game. It's not a body, it's a domain game.

Sarath Reddy: Okay. You said you work o n a return on capital rather than margin basis. Can you give us how you think about this, when you make a project decision? What time frames and what return on capital metrics does the company work with?

Rajiv Srivastava: Different projects will have diffe rent capabilities. It depends upon the gestation time that the project will take. Our services business will always have a little more longer gestation period because it is such a strong capabilities domain. Domain and capabilities different games. So it will take longer times in services business, like I said, three years to four years at a time when we are trying to make this shift.

And that's not about getting the returns on the services business. That's about shifting to my goal of servic es becoming 10% of my cloud revenue. That becomes -- that's our three years - to four - year goal, okay? And it's not linked to what investments and what capital returns we're getting, but it's just a shift because it's a very profound shift.

When you go to our digital model, our digital model has got two dimensions. It's got a dimension on lift and shift of the existing business and then it's got the business of expanding assets into

different geographies, into different territories, getting m ore cross -sell and upsell going, more partners coming in to sell, and that is a different model.

But I think it's a very, very involved model, and I can take you through that in a separate call as well, but that's the way the model operates. It operates in a very strong business fundamentals of looking at the project and making sure that those projects are enumerated over the time of the project.

Sarath Reddy: Okay. We'll seek a separate call with you then because we'd like to understand how you are thinkin g about spend versus the outcomes, and we...

Rajiv Srivastava: I would love that. You please set it up. I would love that because I think you will get a good sense of how our future is -- when we talk about becoming the number one digital distributor in the world, when we talk about becoming the number one provider in the cloud services in the world, how is that vision manifesting itself. You will get a very good sense of that.

Sarath Reddy: Okay, We will come back to you and talk to you later. Thank you so much.

Moderator: Thank you. The next question is from the line of Kushagra from Old Bridge Capital. Please go ahead.

Kushagra: Yes. Hi, thanks for the opportunity. Just two questions. One is more of a clarification on the

earlier participant's response, w hich is on the high interest rate environment. So just wanted to get your perspective on the competitive intensity. I mean you did highlight some strategic initiatives in this high interest rate environment.
And I just wanted to understand, are you using t his time to probably sort of gain more market shares by taking more working capital on y

our books, which your vendors would also like, which
is visible in your creditor days and probably something which some of your smaller peers may not be able to do? So is this something, which can probably lead to more consolidation between the top two players? Or you don't see much change in the working capital side of things, and it will largely be a function of how the segmental mix changes?
And one question I would l ike to attach with this broader question is, in this whole process, probably, are you also getting work which you otherwise would have avoided and it may entail higher investments, higher discounts, higher provisioning? So just wanted to get a perspective on this whole thing. That's my first question.
Rajiv Srivastava: Yes. You got not first question, you have four questions over here. Kushagra, I'm going to be taking a shot at each one of them. Your first question was on compete intensity and how is it playing out in the markets in which we are operating. See, distribution is a very localized business. It operates -- the partners or the competition that we face in India, we don't face in the Middle East. The partners which we face in Middle East, we don't f ace in Turkey or South Asia and all that. It's very localized sort of a business.

But as the market conditions have become tougher in the last one year, 1.5 years, we have seen that the space is up for consolidation. It is already happening. We have seen s ome competitors even in India, and I can share you -- names with you separately. But we have seen competition in India trying to sell out, cash out or not being able to function in this revised or changed market scenario.
It's exactly playing out the way, same way, in Middle East and Africa as well, in Turkey as well. You know the competition, which is up for grabs, which can the consolidated or they're not able to play to their potential. And by virtue of that, that territory has become. So we are getting a bit of a share gain, a bit of a market gain also because some of the competition has actually become weak. This happens all the time. When the market conditions become difficult, not every company has the ability of leadership capability, leadership dept h to navigate the tough environment. So some competitors go away.
Our gaining of -- our desire is not to do business and gain share by compromising our profit or compromising our working capital, anything of that nature. Just that since the condi tions have become a little tougher, the receivable cycles of partners have become a little longer. The payments from customers have got delayed. The payments from vendors, like Krishnan mentioned earlier, have become tighter.
So all of those conditions are coming together right now in a way where some of these working capital gets expanded or extended just because at the moment -- the point in time that we are in right now, all of these parameters are working in a certain direction, which is not the directi on in which they were working about four quarters ago or five quarters ago.
And hence the working capital goes up, it's not about taking a business like that because that couldn't be -- that would be irresponsible and we will never do that as a company, you know us long enough. But obviously, there is the way in which the customers are paying, the partners are able to pay and ways which vendors are -- their cash cycles are there. If you follow the results of organizations like Dell, Lenovo, HP, IBM, Acer, Microsoft, Apple, Google, you'll get a very, very good example or sense of exactly what I'm talking about from a payment perspective. That's one.
So secondly, the segment in mix changes. Now we know for sure, when we saw this, in our business model today, there is a shift in the segment. There is a shift in the business mix because we used to be more dependent upon our access products bus

iness earlier, and our growth was a
little less in the enterprise products, but we've seen a shift taking place.
When the learn -from -home and work -from -home has reduced, which means the consumer products business has gone down. This is whole industry, okay? But we were fortunate or we were, I think, foresight enough to pivot our model towards mor e commercial, which is more assembly and more enterprise, more government business model where you have security of projects and security of business and security of payments. All three of them are being secured, and that led to a big lift in our TSG, which is Technology Solutions Business, which is at data

centre products and solutions and services. So that's the reason our growth in TSG this quarter is about 40%. That's a mix shift.
Our growth in ESG, which is endpoint, which is the consumer PCs and printers and all of that, that is 11%. That is much less. So I think you have seen a business mix shift, but all to the advantage is because we are able to deal with higher product -- higher quality and higher value and more value distribu tion for the enterprise and the cloud kind of products -- product lines. So mix change has taken place. It will continue to take place because that's the way the world is evolving .
Kushagra Bhattar: Got it. That's quite helpful. The second question i s, again, more sort of getting more clarification on your other expenses over the longer term. So last few quarters, you have been speaking about investments in digital , currency disruptions in certain Geos adding to your cost, right? But if I sort of look at your FY '23 annual report, two -third of your increase from INR1,100 -odd crores to INR1,450 -odd crores is largely on account of bank charges, FX losses and factoring all three put together. And if I add travel, 80% of the incremental expenses get c overed.
So the question really is that FY '23 was largely investments on account of bank charges, factoring and FX effect. The digital initiatives, which we have been speaking about, probably a good part of it will come in FY '24. There are certain other e xpenses, like, let's say, rent, warehousing, sales promotion and freight, which has not largely grown. So other expenses remaining flat from FY '19 to FY '22. And now probably you will see these expenses also sort of from INR1,450 -odd crores going forward.
So just wanted to heads up or some sort of color as to how do you see these growing over the next two years, three years, four years as well? Yes. That's my second question. Thanks.
S V Krishnan: See, first, let me do a correlation betwee n the investments that Rajiv talked about and other expenses. See, investments will get spread across multiple components. One, investments in people, in the new -age businesses like the cloud, digital platform, etcetera, will be part of that as compensatio n. Some part of the investment will be as part of depreciation because these are capex in nature. So it is just not some other expenses, it's also there as part of the other expenses.
Second, yes, I mean we did discuss about factoring charges. With respect to forex and bank charges, very clearly there are multiple markets which are going through stress in terms of dollar availability as well as on account of the depreciation in their currency and this is across multiple markets. I mean we discussed about Tu rkey. Egypt is going through stress. Sri Lanka was going through stress even now Bangladesh, Nigeria, many of the East African market, and we'll be talking about where we have presence.
So with that, it is important wherever there is a forward contract tha t's possible, we go for plain vanilla forward contracts and build it as part of a pricing, or we have models where it becomes a natural hedging. But the challenge comes when you are not able to get the dollars, you have sold, you h

ave realized, the cus tomer has paid you at the revised rate. After that, we are not able to repatriate, and we are getting struck is where , we have to incur these forex losses and the

corresponding -- the bank charges for remittance, etcetera. So some of this are very unique situation. We are trying to manage as much as possible.
I wouldn't say that it is the best of the situation. But we think it will take some time before all these great cleared because all of us know this is linked to the global economic situati on, and some of this are going to take time in terms of coming off. But wherever we see some forex challenges, we are downsizing our business quite significantly and whatever growth that you see is in spite of that. That is something that we are trying to play in a balanced form.
Kushagra Bhattar: Sure. Thanks and all the best.
Moderator: Thank you. We'll take the next question from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.
Pritesh Chheda: Yes. Sir, I still -- after the who le call, I still couldn't understand one part is where one side you mentioned that your investments will continue for four quarters to six quarters. And I just want to know the quantum of investments which are running through the P&L. And until quarter 3, we were looking at about 2.5% as kind of a more stable state margin, but what we see now is a substantial difference.
Sir, it will be very helpful, first, to quantify the exact amount of these investments so we can check the P&L ex of these investments. An d if you could call out to what extent or what time line these investments are going to run through the P&L?

We're extremely happy with your revenue growth, it's a commendable achievement. But when there are deviations in margin like this, it's like a 30%, 40% deviations in EBITDA. So if you would call out, clearly, it would be very helpful for every one of us to understand.
S V Krishnan: Good. Thank you, Pritesh. So if I need to tell you the cost of investment across various components, it would be about between INR25 crores to INR30 crores per quarter.
Pritesh Chheda: Sir, but that doesn't explain the deviation in margins from what we are seeing. So then the residual cost other than these investments are a more regular cost built -up now which we see in your P&L?
S V Krishnan: Yes, those are regular costs, but those are inflated now, and we have discussed those components. See, you need to look at it -- when you talk about the operating margin, look at it from the perspective of the gro ss margin. There is some dilution in the gross margin we discussed.
Second is the opex increase. And the opex increase, there is an investment portion and there is a regular business portion where some costs have gone up, which, over a period of time, will get corrected.
Rajiv Srivastava: We talked to you, Pritesh, earlier. What we mentioned to you was there is a gross margin drop which took place…

Pritesh Chheda: Sir, I understand the GM impact. It's not a substantial number. What...
Rajiv Srivastava: Let me complete that so that you'll get a good sense of it, okay? You're right, the GM impact, it just gets to about INR48 crores, nothing more than that. Out of which, the GM is INR25 crores which is 0.12% and then the balance of INR22 crores is technology investment the way Krishnan mentioned, INR25 crores to INR30 crores of technology investment in the quarter. And then there was, like you said, the business mix shift and all that.
We've seen the situation of Q1, which is unique because norma lly, you don't have such a strong telco business -- business mix in Q1, which happened for us in last quarter. It won't happen. So I think, we are at a point in time in our journey right now, where this was -- this happen

ed, and
we are going to be getting back -- normally flowing back to the business mix becoming better and bottom flattening out and we going back to our normal level.
So you may think that this is new norm, but this is not the new norm. The new norm is going to be where we used to be earlier. So I think you will find us getting back, going back in a very good way. So I hope that will round up from your perspective. It's just not a single dimension in the business.
Pritesh Chheda: Can I clarify one thing? The business mix would have slowed or impacted your GP, right, at least does that clarification is there.
Rajiv Srivastava: Yes.
Pritesh Chheda: Right. So other than GP, it's a INR25 crores cost for tech which you have called out. Just to conclude here, so all the other costs which have got inflated, barring the tech costs and barring the GP part, GP because of mix. But all the other costs, other than the tech, you are ca lling out that they will normalize in the subsequent quarter s?
S V Krishnan: Yes. So when you say subsequent quarter, I don't want you to take it as Q2.
Rajiv Srivastava: Quarters. You mentioned quarters. Yes, that's the way it will be. Yes.
Pritesh Chheda: Your subsequent was four quarters to six quarters?
Rajiv Srivastava: Yes, that's right.
Pritesh Chheda: Right. Now I want to just ask why are these costs inflated though? We can understand the tech cost part.
S V Krishnan: No, we did now discuss, right? This is in terms of the factoring cost, the cost of -- I mean the forex that there was a question about it. So these were some of the one -off issues that are there being present in multiple markets, and this is som ething that we need to handle. And the external environment really is not very conducive from a business stance.

Pritesh Chheda: Okay. And lastly, sir, on the working capital cycle, some quarters back, we had mentioned and we will revert back to the normal number, which was 27 days to 30 days.
Rajiv Srivastava: No 35 days, we said, 35 days.
Pritesh Chheda: Okay. There were a few quarters, where you actually mentioned. There's no problem. But now these numbers are even higher than that. So where should the w orking capital statement?
S V Krishnan: Okay. See, what you need to understand, Pritesh, is there is a severe slowdown in the market,

and we have a choice to go with the market or try to outperform. And these are some of the levers that are avai lable and as definitely the pendulum is -- I mean as there is a normalization, in a slowdown environment, unfortunately, the pendulum shifts to the other end and then it will get normalized. So you will see this getting corrected to the positive territory, but it will take some time. We are at it, be rest assured.
Pritesh Chheda: Okay sir. Thank you very much and all the best to you, sir.
Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to Mr. Rajiv Srivastava for closing comments. Over to you, sir.
Rajiv Srivastava: Okay. All right. Look, I think, thanks so much. I think it was a very, very good engagement, interaction. Appreciate all the questions. If you have any more, more than happy to make sure -- you please send them back to us, and we'll be more than happy to clarify or respond to every single question that you might have.
We, like I said, we did have a very robust quarter on revenue growth, on gross margin. We kno w for sure where we're headed. We exactly have the understanding of where we're headed from a profitability perspective and how to platted out, but we'll come back to normalcy very -very quickly because those levers available to us.
This is the scale busine ss. This clearly is a business that requires scale. This clearly is a business where its winner takes all sort of a situation which happens wit

h this business. And we've got to be mindful of making the right trade -offs all the time in business. Trading off at 0.12% of GM just because -- was a very, very responsible thing because we wanted to make sure that we can maintain our business momentum in a difficult environment and demonstrate the lead that we have. And that lead becomes so much more beneficial to any organization the moment the situation start to become normal in the external financial world. And that's exactly the way it is going to play out.
We've seen that happen multiple times, and we will see that happen one more time. And I'm glad that we mai ntain the momentum. I'm glad we maintain our gross margin in the ballpark range, and we seem to have a very strong thing going for ourselves. India did a very, very good growth, revenue on all financial parameters did very well. The rest of the world was m ore challenged because of different countries behaving impacting differently.

Turkey behaves differently than Nigeria. Egypt, we all know for sure had tremendous amount of financial losses, all of that forex losses. All of those got impacted, but your comp any or this company navigated those in a very sensible, very balanced manner to make sure that we stay healthy for mid to long term.
So I appreciate the interaction, and please reach out if there's anything else, and thank you so much.
S V Krish nan: Thank you.
Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of Redington Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2023

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November 13, 2023

The National Stock Exchange of
India Limited, Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai – 400051.

Symbol: REDINGTON BSE Limited
Floor 25, Phiroze Jeejeebhoy
Towers, Dalal Street,
Mumbai — 400 001

Scrip: 532805

Subject: - Transcript of the Investor/ Analyst Conference call

Pursuant to Regulation 30(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, and further to our announcement dated October 30, 2023, on the Analyst/Investors Conference call held on November 07, 2023, we wish to infor m that no unpublished price sensitive information was shared/discussed in the meeting/ call and are enclos ing herewith the transcript of the conference .

Pursuant to the provisions of Para A of Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 the same is also uploaded on the website of the Company at https://redingtongroup.com/wp -content/uploads/2023/11/Q2FY24 -Earnings -Call-Transcript.pdf

We request you to kindly take the above information on record.

Thanking you.

Yours faithfully
For Redington Limited

M. Muthukumarasamy
Company Secretary

Encl: a/a

“Redington Limited
Q2 FY-24 Earnings Conference Call”

November 07, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 7th November 2023 will prevail

MANAGEMENT : MR. V. S. HARIHARAN – GROUP CHIEF EXECUTIVE OFFICER , REDINGTON LIMITED
MR. S.V. KRISHNAN – FINANCE DIRECTOR , REDINGTON LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Redington Limited Q2 FY 24 Earnings Conference Call.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. S. V. Krishnan . Thank you, and over to you , Mr. S . V. Krishnan . Please go ahead.

S. V. Krishnan: Thank you . Good morning to all. First let me take this opportunity to introduce Mr. V. S. Hariharan – our new G lobal Chief Executive Officer, who assumed this position from 11th of September 2023. Hari's journey with Redington has been a remarkable one and that goes back to more than 20 years ago. As part of HP , he has dealt with Redington as a distribution partner, and he has been a key constituent of Redington 's foray into the large format digital printing category, which today has grown to a size with high profitability. He has seen us as a Board Member and offered valuable insights and guidance, now have taken up this leadership role in the company. Hari brings with him a wealth of experience spanning a cross three decades in sales, marketing, and digital management. His professional journey includes , significant leadership roles at industry giants such as Hewlett Packard, and Wipro. In these roles, he contributed to creating innovative world leading printer products and driving revenue growth through effective sales leadership. He excelled in managing both mature d and emerging markets, while achieving substantial cost efficiencies through geographically focused initiatives. He 's an unusual leader in that he has taken the road less traveled . At his peak after a successful 18 year career at HP, he decided to step back and become a successful entrepreneur in accessible solar products market. His remarkable journey resonates deeply with our company 's values and aspirations. The synergy between Hari's extensive experience and Redington strategic objectives is obvious to all. And I 'm sure this is the beginning of another great chapter in Redington 's 30 year long history.

With this, I request Hari to say a few words about his first two months of the company. Over to you Hari.

V. S. Hariharan: Thank you, SVK . Good morning to all. It 's a pleasure to be here and meeting you all. I just share very briefly a bit of my background, my first impressions in the first 60 days, and our near term plans. As S VK said, I 've been associated with Redington for nearly 20 years, while working at HP and then as a Board member, I 've admired the company, both from far and up close and it's a pleasure to be here on this role.

Over the last 60 days in reviewing and learning the nuances of the business with the leadership team. And I 've been traveling around a fair bit meeting the India teams, the Middle East Africa teams in Dubai, the Saudi Arabia team in Riyadh and the Turkey team. I 've been very impressed with the quality of leadership and the talent we have . I have also been meeting the leadership level of various brands and vendors, and the kind of joint plans we have with the brands and the feedback we have from them on Redi ngton and the initiatives we are working on , makes me feel really good in terms of the long term prospects for the company. The regions we oper

ate in
continue to have very positive signs of growth. We are very well positioned as a key distributor in these markets.

Let me go a little bit by business units. Technical Solutions Group and Cloud offer s great growth opportunities and the largest headroom . Cloud with our strong partnership with the hyperscal ers and the SaaS brands we are experiencing strong growth. Within mobility their new product introductions have gone very well and show n good momentum. In the E ndpoint Solutions Group the emerging category of solutions offer a good growth opportunity. As you may be aware, we have embarked on a number of investment initiatives in the last year . Starting with the digitalization of the company in the B2B platform. While the focus on some of these initiatives will continue to remain, we are looking at fine tuning and right sizing the investments to get the best ROI for the company.

The digital platform enables us to have better efficiency and response time for reaching smaller partners , cross selling to our large managed partners and scaling up those brands. As an emerging market distributor Redington over the years has done a great job of managing risk ; While focusing on return on capital. We will continue to focus on these basics as a distribution company while playing in the new growth areas. In the near term, most of the geographies outlook is positive and we will work towards maintaining and growing our opposition. We do see some signs of stress with Africa , due to geopolitical factors. We will be cautious to navigate for profitable growth in Africa and driving the acceptable return on capital. As we look at the Q2 results that have gone by , they have been good and let Krishnan walk you through the results in greater detail and happy to take on questions you may have. Thank you.

S. V. Krishnan: Thanks Hari. Okay, just on the results. We have had in Q2 highest ever revenue and highest ever gross margin for any quarter. That 's something which is a very interesting situation to begin , on a year -on-year basis the revenue grew by about 17% the gross margin grew by about 12% , EBIT de-grew by about 2% , PAT de -grew by about 22%. But for a mome nt, if you look at on a quarter -on-quarter basis, because our objective is to make sure that we need to improve now from where we were and on that s core, revenue grew by 5% , gross margin grew by 10% . There is a growth in the gross margin from 5.9% to 6.1% after three quarters, we have crossed a gross margin of 6%. So, that 's something which we feel is positive . EBIT had grown by 17% and PAT has grown by 22%. So, on a quarter -on-quarter basis, there is an improvement in EBIT percentage and PAT percentage by 20 bps. And all the major geos have shown growth in the profit after tax . The PAT percentage which was 1.2% in Q1 has improved to 1.4% in the current quarter.

At the same time, we have also seen t he working capital on a quarter -on-quarter basis decreased by five days from 40 to 35 days which is a very important milestone that has resulted in operating cash flow and free cash flow being positive . Operating cash flow for the quarter was 1249 crores and the free cash flow for the quarter was 1120 crores. Just wanted to make a mention here , there is a reclassification that was done in the way which we show the free cash flow earlier we used to net off dividend which we had found , the practice being followed by other companies both India as well as global is not to net of the dividend , even if you take on an apple -to-apple comparison, that dividend removal which was about 563 crores from the current quarter, we would still be at about 550 crores of free cash flow . Return on equity for the quarter is about 17.4% , return on capital employed at 21.6%. Our net debt to equity is about 0.3 times.

Another important metric we always measure ourselves is

the provision for inventory and
provision for aged receivables. I am pleased to share with you , there is a reversal of inventory provision in the current quarter to 0.29%. This is primarily on account of the drive that we are doing in terms of liquidating the age d inventory just to make sure that it is in a proper state so that has enabled this reversal in the current quarter. The bad debts , it continues to be about the long term average , for the quarter it is a t 12 bps. So, let me pause for now and if there are any questions, we can answer them.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Vivek Ramakrishnan from DSP Mutual Funds. Please go ahead.

Vivek Ramakrishnan: So, my questions are around in terms of working capital, and the fact that you are always vulnerable to high interest cost in the economy that will affect your profit after tax. In terms of working capital , last quarter we got the feeling that you were looking for market share gains, and you are pressing on in terms of business. Have you eased that off a little given the fact that the market conditions are not , are at least volatile if not deteriorating and what is the outlook going forward on working capital . That's my only question sir.

S. V. Krishnan : So, the mantra Vivek very clearly, we would want to drive profitable growth and keep the capital efficiency on top of it. So, this is something that we are very particular and that 's the way the business is being driven. Yes, there is a working capital reduction in the current quarter. I just want to tell you that , we are being very cautious. But there are also some tailwinds that happens because of new product launches , because of festive seasons. That gives us some advantage. Please don 't consider this as a steady state. I think we would be around 35 - 40 days in terms of our working capital, whatever is best possible, we will try our best and make sure that it is efficiently managed.

Moderator: I think we 've lost the person who was asking the questions, we 'll move on to the next question. The next question is from the line of Priya Rohi ra from Emkay G lobal. Please go ahead.

Priya Rohira: My first question relates to the demand environment , we have seen material increase in inflationary , how do you see the acceptance of the product t hat is one . Second thing is , among

the new product introductions are there any products which you think can give supernormal growth in the coming years depending on the feed you've seen in the market . And the third is , if you could share some outlook on the margin side , like we have seen a little bit polarity in the recent quarters primarily because of investments we would have done but any color over there would be helpful.

V. S. Hariharan: So, the three questions were , one was on demand and the second was on the new product introduction and the third one was on margin improvements . Let me try and take each one separately. So, we look at some of the theaters that we are in the demand environment continues to be strong. So, namely India, and UAE, Saudi Arabia, demand continues to be strong. And this is across all categories. As I mentioned, technical solutions group the demand is strong. The cloud has high growth and so is the mobility with the new product i ntroductions. Endpoint solutions group is the only place that we see muted demand, partly driven by the global organizations not buying PCs at the same pace, as we expected. Specifically as a new product introductions, they 're all about the mobility products and you are aware there are a number of big brands that have introduced products in the last month. And the acceptance of the product is really good. And we are just fulfilling demand in a way, whatever supply we get is going out of the door. So, th

e acceptance of the product s is very good. We expect margins to be staying at the current levels in most of these businesses gross margins, we don 't see any deterioration in any of the businesses that we are seeing, and we are closely watching it and as Krishnan said earlier, we are going after profitable growth. So, we are trying not to gain share at the expense of compromising on margin .

Priya Rohira: Just a follow on, the gross margin I do understand is a function of the vendor, how much they partake, and also the demand environment, can we get a more color from the EBITDA margin perspective, depending on the investment you would have envisaged or any new products which are in the pipeline for which you think selling and marketing would see.

S. V. Krishnan: Priya , we think an EBITDA range of about 2.4 %, 2.5% is something we should be able to hold on. We don 't foresee a challenge. Yes, there will be a mix change that can possibly help us if the TSG does more better compared to mobility. But overall, we are quite confident about this range.

Moderator: Thank you very much. The next question is from the line of Sarath Reddy from Unifi Capital . Please go ahead.

Sarath Reddy: So, sir my first question is that , adjusted for the inventory provisioning is it fair to say that the EBITDA margin per se has been flat Y-o-Y?

S. V. Krishnan: Okay, see inventory provisioning while I had said there has been a reversal. But it is important that we don 't consider the complete inventory provision reversal as a profit, because while selling these products, there will also be some erosion in the margin that could be there , some part of it would have come as part of the margins for sure.

Sarath Reddy: Okay. Sir secondly , could you speak a little bit about the interest cost because, if you look at this quarter the number which includes your bank charges as a part of interest . Could you just call out what is the actual interest rate that we are paying and how do you expect the trajectory for the rest of the year?

S. V. Krishnan: It varies between different market. In India, it ranges about 7.2 % to 7.5%. In our Middle East business, it 's about 5.5% to 6% today , in Turkey it 's quite high, we discussed last time and it continues to be high. In fact, it has gone up even further where our interest rate is north of 30%.

Sarath Reddy: Got it. So, could you call out what has been the absolute factoring cost this quarter and what is the trajectory on other expenses going forward?

S. V. Krishnan: Okay . So, factoring cost absolute amount in the current quarter is about 86 crores and predominantly this is in Turkey. And as discussed last time, there are no enough bank funding available in Turkey and this is something that affects across various industries and the

companies. So, factoring is a tool for us to get funding and this is the cost of it in the current quarter. Overall, we think we should be able to maintain OPEX as a percentage of revenue. We don't foresee that as a problem.
Sarath Reddy: Got it. Sir, our m obility is strong this quarter which ha ve lower working capital and you mentioned that 35 days is maybe not the right number , so what is the normalize working capital today especially in the context of the call you called out last time that vendors have rolled back to earlier credit cycles ?
S. V. Krishnan: As I have said about 35 to 40 days is something is the range that you should keep that in mind on a steady state basis.
Sarath Reddy: Got it and Mr. Hari , could you just call out that, what are your thoughts on the strategy going forward beyond profitable growth and what were your motivations to take up the role, from being a Board Member to running the organization ?
V. S. Hariharan: So, in terms of strategy and directions, we had embarked on a few things as we have discussed in the call and

before . One is clearly cloud, there is a lot of growth on cloud. And right now, within cloud, we work with the hyper scalers on the resell and driving the consumption. That 's clearly one strategy we will continue. Second is we see a lot of headroom on technical solutions, and across all theatres, and we continue to look at how to step that up and see what kinds of solutions we can pl ay in both product solutions, and related adjacencies. In terms of the other areas, specifically in the endpoint solutions group, there are a lot of emerging solutions, like gaming, like wearable's , et cetera . Clearly, we will play a role in those and those are good opportunities for us. And on mobility, we also see good traction on Android, as well. And we will continue to play on Android solutions as a growth area. We did embark on digitalization, and I did mention that, but we will fine tune our i nvestme nts in digitalization, but continue to play there as a way to reach our smaller partners and our growth brands, as I 've mentioned.

Now, in terms of my motivation, clearly I have been associated with Redington and it was a company that I 've always admired. It 's in multiple theaters, complex business, managing the business really well, balancing between risk and return. And when an opportunity presented itself and the Board was reviewing the candidates, and they asked me if I would be interested, and I said definitely and I 'm honored to actually lead the company. So, the motivation is to be able to drive and lead a global distribut or to a much better place. The opportunity in all the theaters is great, the industry is transforming and with my background and experience, I 've worked across consumer, SMB, and enterprise and I 've worked across PCs, printers, Unix boxes in my past 30 years, I thought I 'll be able to contribute and play a role in the growth of Redington.
Moderator: Thank you. The next question is from the line of Amit Khetan from Laburnum Capital . Please go ahead.
Amit Khetan: Three questions here. The first is cyclical , the second structure and the third is focused on your role as CEO. So, the cyclical question would be, we obviously saw a big surge in demand post COVID. And various industries are still equilibrating to a post COVID world. G iven the amount of possible over-ordering of IT equipment during COVID. One would expect the fall off in subsequent quarters and years. Some of that is starting to be seen. I 'm curious to get your point of view on the extent to which we 're through with that versus, could we ex pect a significant slowdown going forward not because of any industry issue because people are overloaded during COVID . Second question from a structural standpoint, do you see any change in terms of the need for distributors overall is the pie for distributors shrinking where the marginal distributors are getting squeezed out , the Redington s and Ingrams of the world are holding by own but broadly whether consolidation in the channel for electronic goods, especially on the retail side with Amazon and Croma and what does that do to pie overall, I understand that we are a small percentage of the pie. But we 'll be curious to get your thoughts on the size of that pie. And finally, a s CEO is it fair to say that your role will be focused more on the growth initiatives and the core distribution business will basically run as is , or do you expect to be spending time on both. If you could gi ve us a sense of where you see most of your time being spent the CEO , that will be very helpful.
V. S. Hariharan: Sure, thank you for all those questions. So, let me go address the first one. So, on the demand side, as we had COVID and during COVID, and the early part of post COVID we saw a huge surge in consumer demand. And that was partly driven by work from home and a lot of the consumers upgrading their equi

pment. Right after that, we did see a consumer slowdown. And the enterprise demand is picking up very strongly. We see that enterprise demand continuing for a while. Cloud is also enabling a transformation and purchase of new kinds of products. So , we don't see a slowdown. So, these cycles will continue. So, as of now, the enterprise demand is strong and we expect that to continue. Same in the mobility area. And consumer, we do expect it to start to come back. Some of the areas that I foresee , it is too early to say but I take India as an example. We have reached IT only to 200 million of the 1.4 billion population, there is a huge semi urban , rural population that don 't have access to computing. And , I see some of that

happening over the next few years, as right type of products get to these kinds of customers. And that will drive the consumer demand again. So, that's the first part .

In terms of the structural change, we do not see a big impact. Clearly, there is a fine tuning happening, things like direct to retail and those kinds of go to markets are coming up, things are getting a little bit more specialized. We are working on how to reach retailers, telco retailers in the states and also sell PCs through them. So, an evolution of omni channel, as well as existing channels that are specialized being able to sell other categories that will evolve. And scale obviously helps for things l ike these and obviously Redington has scale and to be able to create a set of partners across the country where they were selling telco products earlier we could sell consumer PCs and wearable s and those kinds of things. So, we see evolution of channels, especially in mid-market and in this space . And we don 't see a big structural change.

Now , in terms of my role, I see two parts to it. The early part, the first six to 12 months is clearly working on the core business and really looking at what investments we decided to make and to make sure that we are hunkering down , fine tuning those and getting the best out of those investments, digital , cloud , et cetera and really important because they are adjacencies to our core business. And once we have really got this to a stage where we are getting our expected profit and return on capital employe d, we will start driving new growth areas again. So , it's a mix, initial part will be just focusing on the core business and getting the best profitable growth out of the core business. And stabilizing all the theaters as I mentioned, we have some stress points, especially Africa overseas. So, we are working on how to stabilize those. And once we are beyond that, we will drive new growth opportunities after that. And clearly, we have a very good leadership team to take forward what is already being done. So , I should really focus on getting into new areas, and how do we drive growth there. Clearly, we are a distribution company. So, we are going to work on only adjacencies and not get out of our current DNA. But we will look at growth opportunities in adjacencies .

Moderator: Thank you. The next question is from the line of Drashti from Thinqwise . Please go ahead.

Drashti: My question relates to geopolitical stress that you mentioned in Africa. So, if you could quantify , if you evaluate it, what 's the impact on our balance sheet or on our P&L. And also in the other geographies , I know that the situation right now in Israel and Hamas is not directly impacting us. But if there could be any indirect impact in any of our geographies and what are your first thoughts on the overall geopolitical stress in the global situation. Thank you.

V. S. Hariharan: Okay, so again, this is not to get all of us worried about it. But it 's just to be more cautious. Clearly, the wars that are going on , the exchange rate movements in various geographies in Africa, we already know the Nigeri

a situation , the Egypt situation, and now Kenya is also part of that. So, both the exchange rates and the dollar stability, and the liquidity everything will be impacted because of the wars and the oil prices, et cetera . So, we are just cautious, and we are looking at it very closely to make sure that we are playing in a way that we are not taking excessive risk that's the point I wanted to make. So, we don 't see a big impact, but we want to

play cautiously in the second half so that we are not ; as a distribut or have always been very focused on managing risk well, we want to be sure that we are not taking any undue risks .

S. V. Krishnan: Just if I can add , see it is about billion dollar business, Africa as a territory for us, which for our current overall size is about 10 % of our total business. A s Hari said, while there are concerns, we will navigate very carefully. But for us, risk management is far more critical. Growth is something that 's available even otherwise, you would have seen in the first half we added about a billion -dollar incremental revenue in our total number. So, there is growth opportunity, but we would wa nt to make sure that the balance sheet and risk management is proper.

Drashti: So, till now we need not fear impact because of the geopolitical tensions in Africa region?

S. V. Krishnan : It could be there, which is why we are calling out and one is Africa and another one, definitely what 's happening in Middle East because of Israel, Gaza. So, those , we need to see how those pans out. It 's important for us to call out upfront what challenges that lie in front of us. We have discussed about Turkey in the past and that continues to be a worry for us. We will handle it carefully , but these are some challenges that are there in the overseas markets.

Drashti: Sure. And sir what will be as our Turkey growth this quarter , if you could throw some numbers, or just highlight something on the Turkey subsidiary, what would be the growth number and what will be the PAT margins , like you mentioned last time ?

S. V. Krishnan: In fact, there is a good growth that we had seen in terms of revenue across markets. So, when we say 17% year-on-year growth , 5% quarter -on-quarter growth it is just not at the consolidated level , this is true with India, this is true with Middle East Africa, this is true with Turkey, all the markets are growing well. And in terms of profitability, in the challenged markets, obviously the profit percentage could be lower and which is where we would w ant to be careful in terms of how do we do the business.

Moderator: Thank you. The next question is from the line of Nikhil Chaudhary from Nuvama. Please go ahead.

Nikhil Chaudhary: My first question is regarding the investment we are doing , basically streamlining some of the investment we have done in last couple of years, can you please give us color in terms of which are the areas where we are seeing investment getting trimmed and what would be the cost pointer ?

S. V. Krishnan: Nikhil, we are doing various investments, but I would want to categorize that into three broad categories. One is the digitalization initiatives that have become very important and as someone enquired in the earlier question, it has become very important post -COVID, and we are bringing a change to the ecosystem, and we have to bring in change internally as well. So, that investment is happening in terms of automation, in terms of the analytics, et cetera . That i s something that would continue, we are now differentiating our investment into need to have and nice to have . Need to have is something that we would want to pursue and that 's something which is

fundamental for us. Nice to have is something while we think directionally is important, we want to make sure that we

phase it out. So that the impact is not felt in the immediate quarters. Second is in the cloud business, there are investments that are required both from the platform perspective, as well as from the resources perspective . On the platform, we think it is important because that 's the way to deliver and reach the market. In terms of talent, we will be careful as we are growing the business how much we need to invest on the talent part of it, but as you have heard from Mr. Hari , definitely this is a segment that we are focused on . The third part of the investment is in the digital platform. While this is definitely important, maybe we may have to slow down the pace of investments, just to make sure that we are on in terms of the required ROIC . So, we are focused on this and we will make sure that it is properly calibrated.

Nikhil Chaudhary: Very helpful SV. My second question sir is regarding , we have mentioned that we are seeing challenges in global geographies. And, we are looking at profitable revenue growth, while even this quarter we have seen growth coming from outside rest of the world grew faster than SISA . So, just want to understand how we are thinking in terms of maybe scaling back some of our investment in those troubled geographies . The current quarter has been just like you mentioned that factoring cost in Turkey was so high. So, just want to understand how we should think about the coming quarter given, change in strategy happen in middle of the quarter.

S. V. Krishnan: Okay . See, these are difficult markets, we are not making any new investments in those , these are regular business that we are doing . What business that we appropriate, what we would want to leave it on the table is something that we need to decide basis the expected profitability and the capital protection as we ha d said for us, profitable growth and capital efficiency is the mantra, we would want to make sure those are properly in place. But having said that, there are growth opportunities , we would want to be relevant and we would want to be important for the global brands. As you know, this is something which is very important for us to make a statement. In India we have become number one today. So, in the past, we used to be number one d istributor in Middle East and Africa as a region and today it is also there in India. So, except for Turkey where we are number two, in all other markets we hold a leadership position and that 's something which we would want to protect, but at the same tim e subject to the risk management properly in place.

Nikhil Chaudhary: Okay, s ure. Just last one from my side, the comment you made at about EBITDA margin to be close to current rates. Just want to understand, is there a assumption that you will see further inventory basically roll back in terms of provision when you added for that EBITDA margin, or you expect the benefit to come from some other expenses basically ?

S. V. Krishnan: As we have answered, I don 't think we need to look at the increase in EBITDA margin is on account of inventory provision reversal, because all the inventory provision reversal hasn 't got flowed down into EBITDA a part of it went towards selling the product at a reasonable price. As we move into the future, we think this will get protected irrespective of whether there is an inventory provision reversal or not. But inventory provision reversal is something that 's a tool

available only for some time, that cannot be continued for long. But, we are confident about protecting the margins .
Moderator: Thank you. The next question is from the line of Aasim from Dam C apital. Please go ahead.
Aasim: First question just continuing on the managed services piece within Cloud, you did talk about the investment bid, but can you also talk about what kind of an annual run rate it is on revenue and cost current ly?

S. V. Krishnan: Okay . So, managed services piece today is about, 4.4 % of our total cloud business, which has improved from 4.2 % last quarter. So, that's where we are . In terms of profitability, while gross margin could be better in this, the cost that we need to invest in talent is high, we will not see high profitability at this point in time. Once we get the scale, we should see the profitability being better in this space.
Aasim: No, just wanted to just get a sense that currently could still be margin diluti ve, or is it at least positive on EBITDA, that 's one sense I want to?
S. V. Krishnan: It is positive.
V. S. Hariharan: It is, so just wanted to give you a sense of how we are thinking about it. So , I'm sure you understand the cloud part there is resell and there is driving consumption and then there is a services piece. So, we are approaching the services piece in a way the bundled services with the cloud can drive more consumption. So, we are driving those areas that drive more consumption. So, either I can look at it standalone, but it can also drive more consumption which drives more resell and more margins there. So, you have a double effect when you 're doing the managed services on cloud.
Aasim: Got it . Second question, basically I just wanted to understand how we look at working capital debt on the balance sheet as a percentage of total liability, back during just immediately after COVID when working capital days had dropped a lot. Most of the working capital finance would cash on book . So, can we go back to a level where cash on the balance sheet funds are larger portion of working capital over taking short term debt , basically can we go to a net cash level in the next two to three years?
S. V. Krishnan: Aasim, t his is a working capital intensive business Aasim . When you see a growth of this nature, in a working capital intensive industry, obviously there will be absolute amount increase in working capital and accordingly increase in debt. We are very focused on making sure that the leverage in the balance sheet is within an acceptable level and that we are very confident we don't foresee a challenge. But , we can not go back to positive cash balance that was more during the COVID period and being one off.
V. S. Hariharan: And if I may add , it is important, both from a brand vendor perspective and Redington perspective to maintain and grow our market shares within acceptable limits. And we have joint

plans with brands and vendors and we are driving those well to maintain our position in the growing market. So, you have to really balance both the factors and that 's the kind of risk we are taking in terms of profitable growth .
S. V. Krishnan: And we will ensure that return on capital employed is attractive. Our objective is to be between 18% and 20% , that's something that we are focused on . So, that you know what money is getting invested there is an adequate return.
Aasim: Got it . Quick question , I missed one last part of your previous statement , did you talk about positive net cash will eventually reach , or did I hear that wrong ?
S. V. Krishnan: I said there will be debt, but you will see return s.
Aasim: Okay. And just lastly the factoring cost that you mentioned earlier, so where is this books in the P&L?
S. V. Krishnan: This is there as part of OPEX , because factoring by nature is sale of receivable, it cannot be there as part of interest costs. It is t here as part of OPEX , this 86 crore what I had mentioned is part of the OPEX that's there in the books .
Moderator: Thank you . The next question is from the line of Dhvani Shah from Investec . Please go ahead.
Dhvani Shah: Sir, I had two questions. One was , can you provide some color on the performance of proconnect in this quarter?
S. V. Krishnan: Okay . Proconnect performance is mediocre in a way

of speaking. We are making some corrections in the form of streamlining the revenue streams. We haven't de-growth , but we haven 't grown either. And we have a neutral profit situation , but having said that the outlook for the next two quarters definitely looks positive. And I 'm sure this will come back into the "crown jewel model " in the next few quarters.
Dhvani Shah: Okay . And just another question to harp on your question was that , you mentioned the other

expenses will remain in the range as is. And the benefit of the inventory provisioning is not something that you can focus on. So, how do you expect the EBITDA margin to improve to 2.4 to 2.5 from the current 2.2% level?

S. V. Krishnan: This will happen in the form of higher gross margins. We know there are possibilities to increase the gross margin, it 's not easy. It 's going to take time , but if you ask where is the lever, the lever will come in the form of better margins.

Moderator: Thank you. The next question is from the line of Dheeresh from White oak. Please go ahead.

Dheeresh: Sir did you say that Africa is a billion dollar . So, my question was that I just wanted to understand if I heard it correctly, that Africa is a billion dollar business on an annualized basis ?

S. V. Krishnan: Yes, you are right Dheeresh .

Dheeresh: And sir which would be the bigger countries here?

S. V. Krishnan: It would be Nigeria, Kenya, Senegal in that order .

Dheeresh: Okay. The next second question is , on this presentation deck slide #17 where you have the half yearly performance region wise. So, rest of the world, gross margins are up , EBITDA is down. So, one of the reasons is factoring and one of the reasons is higher investments. So, can you just briefly explain how much is the drag coming from the two individually, just quantify to the extent possible ?

S. V. Krishnan: It would mainly be in the factoring because Turkey, it comes under the rest of the world, which is where we have seen a very, very high cost. See, you will be surprised , the factoring cost today ranges between 50 % to 55% , that's the cost of funding that 's there in Turkey. In fact, every numbers of Turkey will look very mind boggling for us. The inflation rate is about 61 .5%, the government announced interest rate that 's available for the consumers and for SMB is about 35%. And when we were t here in Turkey a week back on that day, it got increased from 30 % to 35%. So, it is a bit different /difficult market. But , I need to tell you to the full credit of the team out there, we have still been growing, we are still not losing money, we are still making profits, whether the profit is attractive or not that's a different question. But we are still making profits, we haven 't dropped the ball. So, that's something which we would want to tell you.

Dheeresh: No, sir what I want ed to understand was that, if you see H 1 FY24 1500 crores of gross profit versus 1330 . So, almost 170 crores higher we are making gross profit. But if you see the EBITDA is down about 85 odd crores . So, if you just quantify this 170, plus 85 this 255-crore extra OPEX is sitting between gross profit and EBITDA, how much of that is coming from factoring and how much of that is coming from investments that we might be making ?

S. V. Krishnan: Okay . I may have to connect with you independently , I don 't have exactly the numbers for me to answer you. Okay, for H1 the factoring cost is 147 crore.

Dheeresh: 147 for H1, what was it in the base H1?

S. V. Krishnan: It would be about 47 crores .

Dheeresh: So, extra 100 crore is explained by this .

S. V. Krishnan: Yes, balance should be the increase in costs , increase in normal OPEX.

Dheeresh: Increase in normal OPEX, okay. This is also higher versus the baseline because earlier in last call you are saying we are making some investments when are we in that journey and when there were normalize ?

S. V. Krishnan: Investments are mainly India, India focused and some could be at the global level, not necessarily at rest of the world. Some of the things that may explain this increase is also the Forex loss that we had talked about last time in few markets, increased AR provision that would be there. So, some of these are factors that constitute that increase. But we can discuss the number one on one Dheeresh.

Moderator: Thank you. The next question is from the line of Devang Patel from Sameeksha Capital . Please go ahead.

Devang Patel: The growth that we have seen in rest of world has been higher than in SISA . Yet , if we see the working capital, the improvement is again higher in rest of the world as compared to SISA . Can you talk about why this , What explains this divergence?

S. V. Krishnan: Can you repeat the question , sorry we haven 't followed that.

Devang Patel: We've seen a higher growth in rest of the world segment , revenue growth Y-o-Y in H1 and yet or Q2 and yet the margin improvement is better in rest of the world compared to SISA . Can you give some color on where , have been able to have better working capital improvement in rest of world despite the higher growth?

S. V. Krishnan: Okay, see . There is a better working capital management in Middle East during the last quarter.

And that 's one of the reasons why our overall working capital days have come down. And this something which had happened in Middle East, but I 'm sure it will happen in other places as we move forward.

Devang Patel: Sir, and just to put this in context of the pendulum effect you were talking of in the previous call. So, can we say that the worst is over for us in terms of working capital pressures, because now you are expecting the other geographies also to be stable or improve ?

S. V. Krishnan: I would not want to say that Devang, with the current environment, the level of volatility is definitely high. And there are some specific segments in the industry, which are also as Hari explained, are very challenged in terms of demand. I do not think we can take the current level into the future, we have to wait and see, but we are on top of it. For us, the capital efficiency is very ke en.

Devang Patel: Okay. Lastly, could you just explain again, inventory provision reversal was how much this quarter versus how much it is usually for us ?

S. V. Krishnan: Inventory provision reversal in the current quarter is about 29 bps.

Devang Patel: And o n average it tends to be about ?

S. V. Krishnan: On an average, if you take the last 15 years, it 's about 6 bps, 0. 06%.

Devang Patel: That would be similar in the first quarter also , so roughly about ?

S. V. Krishnan: First quarter was 9 bps .

Moderator: Thank you. We would take that as the last question. I would now like to hand the conference over to Mr. V. S. Hariharan for the closing comments. Please go ahead.

V. S. Hariharan: Thank you so much for attending this call and asking a lot of really good questions makes us think and we will continue to do a good job for you. And we 're looking forward to do the Q3 discussion which will happen in three months and hope to deliver good results. Thank you.

Moderator: Thank you. On behalf of Redington Limited , we conclude this conference. Thank you for joining us and you may now disconnect your lines .

Call: Feb 2024

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February 13, 202 4

The National Stock Exchange of
India Limited, Exchange Plaza,
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Symbol: REDINGTON BSE Limited
Floor 25, Phiroze Jeejeebhoy
Towers, Dalal Street,
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Scrip: 532805

Subject: - Transcript of the Investor/ Analyst Conference call

Pursuant to Regulation 30(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, as amended we are enclos ing herewith the transcript of the Investor conference call held on February 7, 2024 . No unpublished price sensitive information was shared/discussed in the meeting .

Pursuant to the provisions of Para A of Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 the same is also uploaded on the website of the Company at https://redingtongroup.com/wp -content/uploads/2024/02/SGA -Redington -07Feb -2024.pdf

We request you to kindly take the above information on record.

Thanking you.

Yours faithfully
For Redington Limited

K Vijayshyam Acharya
Company Secretary

Encl: a/a

"Redington (India) Limited
Q3 FY '24 Earnings Conference Call "
February 07, 202 4

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 7th February 2024 will prevail

MANAGEMENT : MR. V S HARIHARAN – GROUP CHIEF EXECUTIVE
OFFICER
MR. S. V. KRISHNAN –FINANCIAL DIRECTOR
MS. PALAK AGRAWAL - GENERAL MANAGER ,
INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to Redington Limited Q3 FY '24 Earnings Conference Call. This call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and in volve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask question after th e presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note th at this call is being recorded.

I now hand the conference over to Mr. Hariharan. Thank you, and over to you, sir.

Hariharan: Thank you so much. Good afternoon, everyone. Thanks for joining in, and it's my pleasure to talk about our results for Q3. We continue on our journey and theme of profitable growth with good revenue growth this quarter and good PAT growth this quarter and continued pro gress on sequential profitable growth. There was solid execution across geographies and businesses. India growth continues to be solid. And in Middle East, Africa, we continue to drive growth in Saudi Arabia and UAE.

The execution and results are even more sweet when you look at the context of various geopolitical factors, like conflicts in Ukraine, Hamas -Israel, the Red Sea conflicts, the Africa currency volatility, and the Turkey high inflation rates and the high Cen tral Bank lira rates. Also, if you compare with some of our other global distribution peers who have degrown in revenue in the same period, our execution and results are even sweeter.

Specifically, talking about businesses and geographies. So in terms of business line, the cloud business continues to grow strongly, both top and bottom line. The Technology Solutions Group also continued to offer lots of opportunities, and we realized opp ortunities that are meaningful for us from a profitable growth perspective. The software license renewals and subscriptions within the TS G business are becoming a larger part of our business and also one that is growing fast.

Mobility grew well across all the theatres , India, Middle East, Africa and Turkey on continued momentum from the NPIs and some of the new Android models and some of the new go -to-market initiatives we drove.

Specifically, within ESG, while there were some flattening and declines we saw in the PC part of the business, the emerging business continues to do well. And these are products that we call emerging within the consumer space, like lifestyle, pro audio, pr o display, surveillance, etcetera. And within services, ProConnect, Ensure; ProConnect being the logistics service business and Ensure being the service support business in Middle East, Africa all continue to provide a good contribution.

Within the Technology Solutions Group, we made progress on Redington -led business in India and specific new solutions we have put together, like Digi Glass, building NOCs for customers -- SOCs for customers, I'm sorry . So those made progress.

On the key initiatives like digital platform and cloud platform, we continue to build our technology capabilities, but optimize the investment, so that there's continued ROI focus here, which is similar to what we discussed the last quarter.

From a go -to-market perspective, we are getting much clearer focus managing the business through large managed partners supported by sales reps, complemented by a large number of small partners managed by inside sales reps and digital platform.

The main idea is to provide enough attention to the large number of partners we serve; at the same time, optimizing the cost to serve them. We're also intensifying our focus with the brands with a deeper focus on the large brands, h

aving joint business pla ns and things like that with them, and more creatively maximizing business for the large number of small brands we carry through various routes to market we have created.

We are beginning to look at AI as is the new trend, starting to get real with many products across the line. And we need to have a better understanding of what customers need and what are the right brands we need to have and what solutions we need to bring to the table. You will hear more from us over the next few quarters on this.

We continue to win many awards and industry accolades across all geographies as this distributor. And now this year, even with some of the hyperscalers giving us the best distribution awards across the theatres , showing Redington's pioneering and leadership position in newer areas, too.
That's a quick high -level Q3 update, and I'll hand it over to Krishnan to give a deeper dive on the numbers and the narrative behind the numbers. Thank you.
S V Krishnan: Thanks Hari. Good afternoon to all of you. We finished the quarter Q3 with about INR 23,550 crores of revenue, which is our highest ever quarterly revenue. On a year -on-year basis, this is an 8% growth over last year Q3. On a quarter -on-quarter basis, this is a 6% growth ov er Q2.
As we had mentioned, we are looking at improvement from the previous quarter, and I'm pleased to say that we are continuing that trend. While the revenue has grown by 6% quarter -on-quarter, the profits have grown by 12% quarter -on-quarter.
With the EBIT percentage before factoring -- we will talk about factoring, before factoring, it's about 2.6%. So we are broadly within the range that we had kept for ourselves. And the PAT has moved up to 1.45%. I think I need to make a mention here, we st arted the year in the first quarter with 1.17% PAT percentage, that got improved to 1.36% in Q2 and further got improved to 1.45% in the current quarter.
If you get into the geos. India distribution grew very well, as Hari said. The revenue grew by about 21% year -on-year and the PAT grew by about 10% year -on-year. MEA revenue in this period has grown by 4% year -on-year. And in Turkey, Arena more specifically degrew their revenue by about 3%.
The contribution by various geos. Between SISA and the rest of the world, the contribution is 49% of the revenue from SISA, 51% from rest of the world. But in terms of profits, it is 46:54.
Working capital days. There is a small increase in the working capital days compared to Q2 from 35 to 36, and this is mainly on account of a drop in the accounts payable day. The free cash flow for the quarter is at minus INR 273 crores, a negative free ca sh flow. And for the first 9 months is minus INR 429 crores.
All the return ratios have improved. ROE, return on equity, is about 19.4% this quarter vis -à-vis 17.4% in the previous quarter. Return on capital employed is at 22.1% vis -à-vis 21.6% last quarter.
Debt -to-equity is broadly in control. The gross debt -to-equity is about 0.5x and the net debt -to-equity is about 0.3x. Inventory provision is slightly on the higher side. We are at about 0.22% for the quarter.
In Q3, it normally tends to be higher, which has been the case even in the previous year at about 0.21%. However, the provision towards AR is about 6 bps vis -à-vis 3 bps for Q3 of last year.
More specifically, with respect to business verticals, we had been talking about cloud. I mean, it continues to grow at a good pace. It has grown by 43% year -on-year, the total cloud business, and about 24% quarter -on-quarter. Within that, the growth in re sell is much stronger at about 45%. The growth in managed services is about 2%.
In the case of managed services, we have consciously been rationalizing some of the business segments where the profitability is in question.
So with that, let me pause. I'm sure there are a lot of questions, which we will handle. Thank you.
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oderator: The first question is from the line of Nitin Padmanabhan from Investec.
Nitin Padmanabhan: I have a couple of questions. The first is on the factoring cost. I'm assuming it's around INR 141 crores for the quarter. It was INR 86 crores for last quarter. So this factoring cost, is it driven by any specific geographies? Is it more ROW driven or Ind ia driven? And when do you see this sort of tapering off? That's the first question.
S V Krishnan: Yes, I will answer that, Nitin. Overall, you would have seen from the financials, interest cost has come down. Last quarter, it was INR 106 crores; this quarter, it is INR 85 crores; has dropped by 20%. If you just look at the factoring, it has gone up by INR 8 crores from INR 86 crores last year to INR 94 crores in the current year.
If you take these 2 together, overall, it has come down from INR 192 crores in Q2 to INR 179 crores in Q3. The primary reason for this is while interest rate reduction from a market perspective is going to take time, we see some softness in the interest ra te across geos. This is true for India, this is true for Middle East and Africa, also true for Turkey, even though we all know even now the interest rates in Turkey are high. This has enabled us, in addition to the working capital efficiency, to bring down the interest cost -- interest and factoring costs together.
Nitin Padmanabhan: Okay. So this would be the way you would sort of operate on a going -forward basis, more factoring and less of -- how should we think about it? Lower debt, more factoring, is that how you're thinking about it?
S V Krishnan: See, about 85 percentage of the factoring cost in this quarter is Turkey related, Nitin. So let me address the question in 2 parts. In Turkey, it is more situational. It is not our willingness. The cost that we pay on factoring is pretty high. Still, we ha ve no option. The funding in other banking channel is literally very less, so we are only hoping that things will get normalized. We

are able to see some improvement, but a lot more to happen.
Looks like things are changing to the positive on the ground. So we expect this impact to come down moving forward, but that's something which is completely market related . We will not be able to say with any certainty.
Outside of it, in other markets, we do some factoring. That is more from the perspective of if in case we expect higher risk from the customer or if we would want to do X number of days, customer wants X plus Y number of days, which we are not comfortable, that's where we go for factoring. And all these are completely nonrecourse, but this portion is very small compared to the total factoring amount for us.
Nitin Padmanabhan: Got it. Got it. The second question was on the mobility business. We've seen very strong growth in the current quarter. I think the highest revenue we have seen in mobility so far. What's driven this growth? Is it an addition of a geography or anything spe cific out there? Or is it seasonality and we should expect some normalization in the following quarters?
Hariharan: Can I take that question?
S V Krishnan: Yes, yes, Hari. Thank you.
Hariharan: Okay. Thanks, Nitin, for the question. So I think it is seasonality largely driven by the NPI that happened from a key brand, and that resulted in a good business this quarter. So I think we'd expect some normalization. We did not add any specific new geog raphies, but we did add some new Android brands and models into our portfolio that has also complemented, but the large growth has come from the NPI.
Nitin Padmanabhan: Perfect. Just 1 last question, if I may. What's driven the weakness in ROW? Any specific geographies you'd like to call out? And whether things should sort of improve going forward, or you think this weakness will continue? That's all from my end.
Hariharan: Okay. So maybe I'll just give a quick commentary and Krishnan you can complement

. We did
talk about last quarter too in taking our cautious approach to Africa when it came to risks because of currency volatility and currency availability, et cetera. So we have clearly focused on that to make sure that we manage our risks and manage our growth. So that is 1 of the main reasons.
But we don't -- we see this normalizing as we go forward. The main factor -- we'll continue to be cautious in Africa, but maximize our opportunities in Saudi Arabia, UAE and the GCC countries and rest of the world. And in Turkey too, we will continue to pl ay to win and not lose share, based on how much capital is available, et cetera. So Africa is our big key call out. Yes.
S V Krishnan: Yes. Just to supplement what Hari said, Nitin, is also that, see, one of the very brightest markets that you see in the overseas scheme of things is KSA. And I mean, our business is pretty large there. It would be about 1.3 billion, 1.4 billion for the cur rent year, and it is growing at a good pace. For the quarter, KSA has grown by 14%. So that's something which we feel is a good progress.
Moderator: The next question is from the line of Nikhil Choudhary from Nuvama.
Nikhil Choudhary: My first question is going to be regarding your ROW driven decline, which you have just commented. I want to understand what should be the expectation going ahead, especially the kind of business we are doing? Are we done with balancing our risk -reward in ROW business, or they are yet to slow down or cut down some of the area where the risk is high?
S V Krishnan: Your question, frankly, is not clear to us. I will state it, maybe you can confirm. I think your point was, what is the sustainable growth in ROW? Are the currency issues are all sorted out? Is that your question?
Nikhil Choudhary: Yes, the short -term growth till the time you are still working on the issues, and then medium -term growth outlook?
S V Krishnan: Yes. Hari, would you want to pitch in or I'll answer?
Hariharan: Yes. Okay. There was a bit of a noise, so I couldn't hear the full question. Thanks for rephrasing. No, we continue to see good opportunity in ROW. And in the same businesses that we talked about, both cloud and TSG, we see very strong opportunities across the board, whether it's KSA, whether it's UAE, GCC and in Africa, too.
In Africa, we do a lot of back -to-back business on TSG and on cloud. So definitely, the growth will continue to be there. And mobility, and PCs also, we expect, based on what we see from IDC and Gartner and others, the projections for market in the coming year, from what the analysts say, looks promising.
Nikhil Choudhary: Sure, sir. My second question is on software licensing revenue. Like you have highlighted, cloud is growing faster for you, and software licensing is increasing in terms of overall contribution of revenue. In terms of overall margin, can we assume that mar gin in this business is relatively much higher compared to our blended margin?
Hariharan: So in the pure software and the software -as-a-services business, hyperscaler margins are similar to hardware margins. The platform -as-a-service, software -as-a-service is slightly higher, but not much higher, because it's still a resell. And Krishnan talked a little bit earlier about services, managed services we provide. So there is an opportunity for us as we resell. Whether it's infrastructure -as-a-service or platform -as-a-service or software -as-a-service, there is an opportunity for us to play a role as a distribution company to appropriate some managed services.

And so those definitely yield higher margin. And we are at the initial stages. We do small amounts in all regions right now, and we are building competencies to scale that and work together with our reseller partners to provide that. I think there the marg ins will be a lot higher.
Nikhil Choudhary: Sure, sir. Understood. I have just a couple of bookkeeping questions

. One is in terms of how should we think about tax rate as we are going forward? And sir, second is that the employee expense as a percentage of revenue is one of the lowest or close to lo west historically. So how should we think about it?
Hariharan: Yes, I couldn't get it. So if he can repeat the question?
Nikhil Choudhary: Yes. First is regarding the tax rate. What should be the normalized tax rate going forward? And second is, your employee expense as a percentage of revenue is kind of the lowest or close to lowest historically. So how should we think about it?
S V Krishnan: Yes. So on the tax rate, if you recollect the earlier conversations, Nikhil, we had been saying it would be about 22%, okay? That's where the current tax rate is. In the current quarter, it is slightly down. That's to do with the mix. Also, there are 2 factors, if we can be more specific. The profit contribution from the KSA, from Saudi, was a bit less, which is where our tax rate is more in Middle East and Africa. Second, the lira depreciation in Turkey on a comparative basis was lower in the current quarter, and because of which the tax rate was lower in the current quarter. So these were the 2 reasons.
Having said that, it's important for you to know that there is, I mean, a corporate tax that's coming in UAE starting in the next financial year, and that's at about 9%. So we expect, from next year, the overall tax rate to be about 25%. So while I said no rmally it would be about 22%, going forward, we should plan for about 25%. And for the current quarter, it is on the lower side when compared to 22%. That's on your first question.
Second, on the employee cost. As we had said, we are trying to optimize some of these cost factors and there is a lot more focus and sensitivity. But having said that, whatever is required that we need to do, you may have to plan the employee cost similar to what it is today. A further reduction is something that may not be easily possible.
Nikhil Choudhary: Sure, sir. Sir, just to confirm, 35% for combined business?
S V Krishnan: Yes, consolidated.
Moderator: The next question is from the line of Aejas Lakhani from Unifi Capital.
Aejas Lakhani: Sir, couple of questions. The first one is that just given that seasonally, mobility is a strong quarter, and you have curtailed your OpEx and employee costs very well and as per what you have been guiding for the last 2 quarters. Is it fair to assume that in the next quarter, we can see an EBITDA margin improvement as the lower yielding mobility business share reduces and the other segments improve?
Hariharan: Krishnan, do you want to take that?
S V Krishnan: Yes. See, on the cost part, maybe you can take something similar to this. But having said that, see, on 1 hand, there is a mix factor; on the other hand, there is also normalization of the margin that's happening in the industry. So I think you should take the current gross margin into the future.
We expect our EBIT percentage to be about 2.5%, 2.6%, which is where we are. So for the immediate quarters, my submission will be to take a similar EBIT percentage. But as we move forward, as the proportion of TSG business goes up, services contribution go es up, this tends to go up. But that to happen in the immediate quarters is unlikely yet.
Aejas Lakhani: Got it, sir. Sir, the next question is, could you just provide some growth outlook in India and overseas for FY '25, both from an enterprise segment as well as mobility or consumer segment?
Hariharan: See, from a market perspective, what we see based on IDC and other projections, clearly, on the technology solutions and the services piece, there is a high double -digit teen growth projected in the next year. So that's what we will take as our framework to operate on, because we want to keep our market shar e and grow it if possible. Mobility also is projected as a growth, but may not be double digit,

but both are expected to grow in India and MEA as projected right now by the analysts.
Aejas Lakhani: Got it. Krishnan, sir, could you just call out what is the absolute debt? And what was the exact factoring costs for the quarter? I think I missed that. Did you say INR 94 crores for the quarter?
S V Krishnan: Okay. Absolute debt is about INR 2,200 crores at a net debt basis. From a factoring cost, last quarter, it was at INR 86 crores: this quarter, INR 94 crores.
Aejas Lakhani: Got it, sir. And sir, the gross debt is?
S V Krishnan: Gross debt is about INR 3,600 crores, which is why I said 0.5x.
Aejas Lakhani: Got it, sir. And sir, the controlled slowdown that we have sort of calibrated for the ROW market this quarter, and the outlook that you're calling out for the next year, is it fair to assume that this is just a quarterly phenomenon, for which ROW you have curtailed down the rates of growth? And that, again, we'll see good double -digit growth in the next year or maybe the next quarter even?

S V Krishnan: Yes. I think so, Aejas, see, the thing is, I would want to mention that if you look at the long -term trajectory, we have been maintaining a double -digit growth, and that even for the first 9 months of the current year, I think we should be able to maintain similar growth as we move on.
But having said that, our objective, very clearly, as we had articulated, will be profitable growth and with capital efficiency, we don't want to make a compromise on profitable growth and capital efficiency for sure.
Second, you also need to keep in mind, with evolving geopolitical challenges, every day there are various news that are coming. Last time that we had the call, we have not had the Red Sea issue, which is currently, I mean, becoming more and more, I mean, g rievous. So we just need to be careful. We will evaluate the situation because a lot of capital is being deployed, and we would take a conscious call what is beneficial for us.
Aejas Lakhani: Got it, sir. And sir, the working capital, now can we assume it has completely normalized, and it will remain in this current range that you've been calling out of 35 to 40 days, and no surprises or changes here, right?
S V Krishnan: I think so. That's what we are working on. And you would have seen some stability in the last 2, 3 quarters.
Moderator: The next question is from the line of Parin Gala from SageOne Investment Managers.
Parin Gala: I apologize if this is a question that's been posed earlier in previous calls, but I wanted to understand our sort of positioning as brands would want to expand their own footprint, their organic sort of store level growth, kind of what Apple is trying to do. I mean, a broad sense on how that impacts us as a company, as a distributor for that?
Hariharan: Sorry, can you repeat the last part of the question? So is this specific to Apple, is it?
Parin Gala: Not just Apple, but I mean also Samsung is trying to open experience stores. Brands are pushing towards engaging with customers directly. So as a company that's mostly in distribution, how does it impact us?
Hariharan: So I think there has been a long discussion on this. The overall market pie actually continues to grow. There continues to be a direct place. Apple has grown very well in India, as an example. And they open their own stores, they go through their online st ore and they work with Flipkarts of the world, but the addressable market for distributors to be able to go to resellers, upcountry, to work on the pipes we have continues to grow as well. So their business has grown nicely -- our business and t heir business has grown nicely. And we have seen this over the last 10 years that continues to happen. So we are -- as long as we continue to be innovative and continue to play our game to expand the customer reach for each of these brands, which is what w e are doing.
And sometimes I mention Redington -

led business, which is basically the pipes and channels we are creating or big brands to go to customers they cannot reach directly. So I don't see that as an area of threat for us. We will continue to complement the brands' direct approach.
S V Krishnan: And just to add to the point, Parin, sorry, if you just see the first 9 months, the incremental revenue that we have generated is about $1.2 billion compared to the 9 months of last year. Now you can imagine what is the opportunity available in the market space.
Hariharan: And I will also want to complement 1 more item. I'll just give an example since you mentioned Apple. There are specific requirements or things like configure -to-order, where customers are requiring specific configurations that cannot be bought online or so mething like that. And we work on specific efforts like that, which can be only done by distribution, because we have logistics and we have the ability to fulfil specific configurations.
Parin Gala: But I mean, that would be a pretty small piece in the overall market...
Hariharan: I'm giving an example, but there are several such initiatives, which add up to a larger number.
Moderator: The next question is from the line of Ayush Vimal from Clearview Capital.
Ayush Vimal: I just have 2 questions. The first question is on the growth of large -format stores in India over the last few years. How do you see that structurally impacting the business of Redington? Because some of these stores might be directly reaching out to brand s or maybe compressing the bargaining power that Redington has as a distributor. So just wanted to see how structurally this changes the business?
Hariharan: So you're right, the retail scene is evolving very rapidly, but that actually is very interesting for us too. Because we see state -level retail. For example, not pan -India retail, but state level retail evolving. We also see consumer electronics stores wan ting to sell mobile phones and wearables. So we have specific initiatives, like we have a direct -to-retail initiative where we reach smaller retail stores across the country. We have built this for Android brands and wearables.
Similarly, we have an initiative with some of the PC brands specifically in states to open up state level retail chains, which are not pan -India. And it is very challenging for the brand to really focus on multiple direct models, because they have fewer re sources and they want to be more efficient. So these are real opportunities for us. And we have stepped up the game on these kinds of opportunities.
Ayush Vimal: Fair enough. But are these large format retail stores directly reaching out to the brands and buying, or they're still routing the purchases through Redington, just in general?

Hariharan: It depends on the brand. So obviously, brands like Apple go direct, but there are other brands who work directly with us and our peers to go into large format retail. So we do have a good large format retail presence. And again, there are many new ones als o opening up. So you see Lulu coming up with many stores in India. So we do work with many LFRs, but some brands decide to go directly to LFRs, but the pie is large enough. Some brands just continue to work only with distributors.
Ayush Vimal: Fair enough. That's helpful. Just 1 more question. So we see a lot of thrust on manufacturing in India where the government has promoted electronic manufacturing of laptops in a big way in India for export purposes. So does Redington see itself playing som e part in the value chain here or is that something that's outside the purview of our business?
Hariharan: So not directly, but definitely, there are evolving things that are happening not just because of Make in India, because of all the other initiatives in India as well. Especially if you look at things like refurb and e -waste and those kinds of areas, we ar e exploring how to get into all

these things.
Specifically, on Make in India, we will continue to source the big brands, whether it comes from outside or Make in India. But there may be some new brands that may become available as a result of Make in India possibilities, which we could then explore di stribution both here and overseas. So we are just looking at it. Right now, it is very early stages. We've not seen any major change in terms of our opportunity landscape, but we are studying that very closely.
S V Krishnan: Would you also want to talk about the rural PC, Hari, if you think is appropriate?
Hariharan: Sure. I mean, it's very early stages and early discussion still, but we all know that out of the 1.4 billion population, nearly 800 million to 900 million live in rural areas, and they've all got smartphones now. The PC penetration is very low. And again, this is a big opportunity, and we are exploring that segment and the ability for that segment to start buying and getting into compute. Especially with the lower -end PCs and with AI coming into the picture, there is a lot of possibilities now wh ere things are -- the computer does things for you rather than you work on the computer.
So again, this is exploration going on where we are partnering with some brands and some rural go-to-markets to be able to make this segment a viable opportunity for the future.
Ayush Vimal: Sure. Just to clarify, for electronic items which are purely manufactured in India for the purpose of export and not for consumption in India, I don't think Redington has some role to play there, right? That's the value chain that's outside actually the pu rview of our business, if I'm not wrong, right?
Hariharan: Yes, it is. But what happens is because Redington is seen as a pan -geography distribution partner and because of scale, we do get approached sometimes to be able to do things in Africa or MEA where something has worked in India. So it does happen. So that's where the opportunity comes up.
Moderator: The next question is from the line of Kushagra from Old Bridge Asset Management.
Kushagra: A few questions. One, so in your opening remarks also, you sort of mentioned that you have started working with some Android brands. And if I look at your numbers as well, while your top 5 brands contribute around 60 -odd percent, but it's actually the rema ining 50%, 40%, which is growing actually much faster, and that sort of coincides with the growth in mobility as well. So just wanted some more color on your tail brands in a bit detailed manner. Like is this more like market forces taking their shape or your conscious strategy towards making them bigger? And how do you see working capital and margins associated with these brands? Some more color over there will be quite helpful.
Hariharan: Okay. I can just give you a little bit on the brand perspective. And maybe the working capital and margin, Krishnan, if you can jump in on that. So I think it's a combination. We definitely want to be able to participate in areas to maximize our market opp ortunities on smartphones. And we are clearly focused more on brands that are more international and multinational and have a global brand name. So that has been our focus, without naming specific brands.
And so some of these brands, they use us as an exclusive distribution partner to be able to get an entry and foothold into various routes to market. But we definitely want to continue to maximize our partnership and our relationship with the leading brands like Apple, but we will continue to play a supporting role for the Android brands and to maximize the opportunity there.
S V Krishnan: And with respect to margins and working capital, this is more or less similar to what we see in other MSG brands. On a comparative basis, margins will be lower, but the working capital deployment is also lower. From a growth rate perspective, it's still an attractive space and it provides a l

ot more opportunity for growth because there are multiple brands.
Kushagra: All right. Sure. Just a follow -up on Apple. So last year, I think somewhere same time, you called out that out of those 30% Apple revenues, iPhone is almost like 20 -odd percent. So 2/3 of Apple revenues for you is iPhone. And in India, it's slightly higher with Apple being 1/3 of your domestic revenues and 24% of your revenues domestically coming from iPhone. Can you give us similar numbers this time as well? I mean, specifically for domestic, because mobility in

domestic as well as Apple seems to have grown quite well.
And also, apart from these numbers, if you can help us understand what would be your wallet share in Apple's overall India revenues right now? A ballpark number, a broad figure, or a range can also work.
S V Krishnan: See, I don't know in what context we had said this before. But see, the thing is, we are not supposed to talk about any specific brand. That's not something that's allowed under the contractual terms. So if you permit us, we would want to pass this questio n. Sorry.
Kushagra: Got it. No worries, sir. And last, if I can just squeeze in. So I just wanted a perspective on your enterprise business as well, both overseas as well as domestic, because past couple of quarters, you guys have been quite categoric about investments increasing from government, enterprises, including some prominent banks as well. But of late, I mean, the numbers have not been very optimistic. So just, is this more like lumpy thing coming in or something else? If you can give some more color over there will be quite helpful. Yes, those were my questions.
Hariharan: Krishnan, you want me to say something, then you will add on?
S V Krishnan: Yes, yes, Hari.
Hariharan: Okay. So the opportunity continues to be very sizable on the enterprise and the technology solutions business. And there are a combination of reasons you will see numbers in a particular quarter. It could be that the decision cycles are a bit longer and we have a larger backlog that we carried on from one quarter to another. That is 1 situation.
Second, we decided to walk away from a few that were not profitable enough. So that was the second one. And as we work into -- I specifically mentioned about license renewal and subscription opportunities. From an accounting perspective, there are some specific things that happen in terms of gross revenue and ne t revenue on this, and maybe Krishnan can throw a bit more light on it.
But the opportunity size clearly on the TSG space continues to be very promising and we want to continue to play very hard on it in terms of -- because it gives us, one, a good growth on top line, and a higher margin as well. So clearly, we are focused on that. But from a specific quarter perspective, there are many things that play that happens on it. SVK, you want to add some more?
S V Krishnan: Yes, Hari. See, in the technology space, very specifically in the services part of the business and renewals part of the business, because of the risk and reward that we take vis -à-vis the vendor in some of these businesses, the complete invoice amount can not be recognized as a revenue, which is what Hari called it as gross and net accounting.
So as we do more and more of these businesses, only the spread, I mean, between the invoice value and our cost of goods sold would be the revenue. So to that extent, there is -- I mean, this quarter, we have had more proportion of the services and renewals business, which has dampened the growth in the Technology Solutions Group.
Hariharan: We continue to get healthy margins, but the top line between gross and net actually shows a bit as if it is lower growth.
Moderator: The next question is from the line of Sarvesh Gupta from Maximal Capital.
Sarvesh Gupta: Sir, 1 question, which I could not understand. So when I see your ROW, renewable sales, they have been

drawn down to 0. So that was 1 point I couldn't understand.
S V Krishnan: ROW, what sales?
Sarvesh Gupta: Renewable.
S V Krishnan: Okay. See, when we say renewable energy, these are the solar business that we do, okay? We do solar business currently in 2 places, 1 in India, 1 is in Turkey. And in Turkey, because of some challenges, that has got sizably reduced. But having said that, t his is definitely a business that we would want to focus on, and Hari would articulate the strategy. But to answer you, it's because of this specific factor. And it was anyway lower as far as Turkey is concerned.
Hariharan: Yes. So maybe specifically on Turkey, I will just add some color. The government, because of the inflationary situation, was trying to temper down the overall business borrowing and things like that. So it had an impact on the solar industry and the solar rollout. That combined with the solar panel prices falling, the Turkey business became very challenging to deal with.
So for the last quarter, pretty much we didn't want to take a risk on the solar business in Turkey. And so that's what happened. But solar as an outlook, whether it is India, whether it is Africa, or whether it is Turkey, quite promising. And we see good f uture in it. But since there is volatility in the environment, both on panel pricing and others, we're just being cautious to avoid taking too much risk from a capital perspective.
Sarvesh Gupta: And secondly, in general, in Turkey, given the high amount of factoring costs involved, are we making losses there, because the margins that we operate is very thin, and if we have to pay such kind of a factoring and interest cost, then are we not profit -- I mean, why should we even try to maintain or grow our market share in this sort of environment, which also has been continuing for many, many years now? I mean, why can't we strategically ta ke a relook at this market, in general?
S V Krishnan: Sarvesh, I think I had mentioned this in one of the call, I don't remember whether it was last

quarter or the previous quarter. See, the environment is far too difficult in Turkey. I definitely agree with you. But kudos to the team, we have not had a loss situation ever in our business. Even in the current quarter, that's the case. We have made profits. Is the profits attractive enough, sufficient enough , definitely not.
For your point, should we then push the business? I would want to refer to what Hari said, see, when you are in this business, you're in an ecosystem. If you decide to downsize or if we you decide not to participate in many transactions, then you become ir relevant, irrelevant for the brand, and hence, I mean, it is equal to conveying a message that I want to exit the market. I really don't know whether we can call it like that. Definitely, Turkey is a very large market, very interesting space. Unfortunately, for whatever reasons, the economic situation has not been great. And as you know well, when we invested, the Turkish lir a was TRY1.48 to $ 1. And today, it's north of TRY 30 to $1. So we are in a situation where there's a lot of volatility, but definitely, we still believe it's an attractive market, and it's a space which can be a launch pad for us to get into European markets, some of the European markets. So I mean, we would want to keep focusing on this market, try whatever bes t that we can. Definitely, we will be sensitive about the profitability, and we have not had any flip on that till now.
Sarvesh Gupta: Understood. And finally, just 1 question, if I may. So if I see your Y -o-Y growth rate from as high as 25%, 26% in quarter 1 to double digits in quarter 2 to now less than -- single digits. So we are steadily falling down in terms of our growth rate. And o ur margins have been broadly stable. I haven't seen such a jump despite lower growth rate.
So I mean, I know that you don't provide any guidance, but what should we expe

ct going forward
in the coming year given this sort of a slower growth rate that is happening in terms of our top line. So if you can help me with some guidance there or some tho ught process there, it would be helpful.
S V Krishnan: Okay. I mean, a part of the question I'll answer, Hari, and if you can pitch in. See, the thing is, this year, the lower profitability is mainly on account of the finance costs, okay? As you know well, we have been coming out of the COVID period, we've had an extremely good situation in terms of capital deployment and we all knew that that's not something sustainable.
And that on top o f revenue growth and on top of interest rates has resulted in a very high increase in interest costs. And this is something that you can see across all the distribution companies, leave alone even other companies. So if you adjust for this increase in interest cost, I'm sure the situation would be co mpletely different. But that's the way things are, and we need to manage. Our objective has always been to generate a ROCE of more than 20%. We are very highly focused on it and that we had done even in the current quarter. So that's something which -- I mean, it would continue to be our decision -making principle, and we would follow that.
Hariharan: Yes, I can just maybe add a couple of things. In the first half, Krishnan mentioned that we added $1 billion of revenue. And we are correcting as we speak in 1 or 2 quarters to manage our risks in Africa primarily. And we still continue to grow 8% as we sh owed in this quarter. So I don't think we are -- from an outlook perspective, we are still bullish about growth on revenue. We are making sure that we go after a minimum profitability percentage and a minimum return on capital employed, so we can return best value to the investors. So that's how we are focusing on. But we do see, in every space we operate, enough opportunities. So there is technology solutions, cloud, mobility, and even in consumer, wit h AI around the corner, all the discussions we're having with the brands, there is AI PC going to be introduced and AI chip in the servers and new solutions.
So the next 2, 3 years, there are going to be inflections. Clearly, we're going to take advantage of those. But we do want to be careful about not taking too much risks in certain markets. We are correcting for that. We're also correcting, as we mentioned, a little bit about the investments in some of the platforms and technology we did, so that we can appropriate the right profitability levels, yet getting the return on those technology investments. So those are the broad directions we are taking. I don't think we are slowing down or deliberately slowing down on revenue opportunities or market share. So that would be my thought process in terms of outlook.
S V Krishnan: Just an addition, Sarvesh. If you see for last quarter, we don't have the info for the latest quarter, this is for July, August, September. Globally, PC unit shipments are down by 7%. Smartphone unit shipments are flat. Printers unit shipments are down by 8%. So you need to understand this environment vis -à-vis what we have done, and I'm sure you will appreciate this growth.
Moderator: The next question is from the line of Priyam from K C Capital.
Priyam: Sir, I had questions regarding the cloud business. Firstly, do you believe there is a risk in the cloud business where the cloud companies can go directly to the customer?
Hariharan: Sorry, can you repeat that, there is a bit of echo on the line?
Priyam: Okay. Sir, like do you believe there's a risk in the cloud business where cloud companies can directly go to the customer?
Hariharan: Yes. So that has been there right from the beginning. So if you look at all the hyperscalers, whether it is AWS, Azure or Google, they all used to go direct to customers. Clearly, they see a big requirement for them to be able to take advantage of

distribu tion companies like us to reach
the mid -market and the smaller enterprise customers. They're not able to do this on their own. And as they start adding software modules and other kinds of services around it, they clearly need someone to engage.

That's the reason why increasingly, many of the hyperscalers are talking to distribution, and that business as you see is growing very rapidly for us because that's where they see the scale. And the same is happening for Platform -as-a-Service companies as well as software -as-a-service companies. So initially, when the whole cloud thing journey started, the large enterprises were the ones that were adopting these and it was more convenient for these companies to go direct.

Priyam: Okay. Okay, sir. Okay. And then second question, like to what extent is cloud business a repeat business? Like is it like depending on cloud migration or are there any other recurring activities also?

Hariharan: So there is a variety. So first is a resell, just selling licenses. That's the first thing. Second, understanding which customers are growing, which customers are not growing. And then there is a whole ecosystem around cloud, because there are ISVs, there are small companies called born in the cloud and digital natives.

All these companies are trying to market their products and solutions along with hyperscalers to the customers. So it is a very complex ecosystem. So it doesn't mean that all the services have to be provided by a hyperscaler or us. There is a whole lot of solution partners. In the big enterprise space, there will normally be system integrators or big SIs. But when it comes to mid - market and smaller enterprises, there are many, many people who are providing.

So we are able to provide an ecosystem where we bring in ISVs, we bring in digital natives and born in the cloud partners who provide these services along with us on migration, modernization, managed services, professional services, professional consulting , a whole range of services, that's what we are creating. So we are beginning to specialize and build competency in a few areas as a distributor, but then we partner with these people, so that as licenses are bought for these services, there can also be ma naged services created around it.

Moderator: As that was the last question, I would now like to hand the conference over to management for closing comments.

Hariharan: Thank you so much for attending. I hope you found the Q&A session useful. And if you need some more answers on anything that we have not been able to answer, or if somebody wasn't able to get on the line, please feel free to reach us, and we'll be happy to respond back to you. Krishnan, you want to add something?

S V Krishnan: No, no, perfectly fine. Thank you.

Moderator: Thank you. On behalf of Redington Limited, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

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Sir/Madam,
Sub: Q4 - FY 202 4 - Earnings Conference Call Transcript
This is further to our letter dated May 10, 2024, intimating the details of Investor/Analyst call on the audited financial results for the quarter and year ended March 31, 202 4, held on May 16, 202 4. No unpublished price sensitive information was shared/discussed in the meeting/ call.
In this regard, we are enclosing herewith the transcript of the conference. The same is available in Company’s website at https://redingtongroup.com/wp -content/uploads/2024/05/SGA -RedingtonLtd -16May -2024 -Transcript -Final.pdf
We request you to take this information on record.
Thanking you
For Redington Limited
K Vijayshyam Acharya
Company Secretary
Encl: a/a

“Redington Limited
Q4 FY ‘24 Earnings Conference Call ”
May 16, 202 4

MANAGEMENT : MR. V. S. HARIHARAN - GROUP CHIEF EXECUTIVE OFFICER - REDINGTON LIMITED
MR. S.V. KRISHNAN – WHOLE TIME DIRECTOR AND GLOBAL CHIEF FINANCIAL OFFICER – REDINGTON LIMITED
MS. PALAK AGRAWAL - GENERAL MANAGER , INVESTOR RELATIONS

SGA, INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to Redington Limited Q4 FY '24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hariharan, Group CEO. Thank you, and over to you, sir.

V. S. Hariharan: Good morning, everyone. Thanks for joining in. We are happy to share with you our Q4 results. It has been another good quarter with the continuing story of profitable growth. We have continued sequential improvements on PAT, starting from the first quarter of 1.17% to 1.36% to 1.45%, maintaining at 1.45%. This has also been the highest Q4 revenue recorded at INR22,513 crores, and our revenues grew at 3% top line, and PAT grew at 5%. We also recorded the highest annual revenue of INR 89,610 c rores for FY '24 at 13% year -on-year growth.

The results for the quarter was achieved by a strong growth of 9% from India and 15% from Kingdom of Saudi Arabia. In the overseas business, particularly in Africa, in countries like Nigeria and Egypt, there were market stresses and so the market was soft. We also continue to focus there on profitable business and trading of revenue maximization to manage our risks better , due to the currency fluctuations in those markets.

From the business units perspective, for this quarter, both the cloud business unit and the Endpoint Solutions Group unit contributed to the growth this quarter at 29% and 8%. For the year, all the business units grew well. For the quarter, we brought down our working capital from 36 to 34 days by focusing on operational efficiency, and this worked very well across all theatres . We brought business operations, sales operations, credit collection things together, really focused on this, and that resulted in a lowering of working capital.

We also turned in a positive free cash flow of INR 1,102 crores. We continue to strengthen our brand relationships through initiatives and joint business plans, add new brands, and we continue to work on our go-to -market assets in each region and continue to build new revenue streams.

This quarter also marked a very important event, the signing of an SPA for the divestment of our Paynet business from our subsidiary, Arena in Turkey. Paynet is a fintech initiative specializing in payment facilitating services focused on payment transacti ons in the B2B sector. It was developed internally by our subsidiary, Arena to work with their own channel partners, then it got expanded to 30,000 partners within Turkey. It made sense, as we reached the maturity level to divest this. And the SPA was sig ned with Iyzico as published. The SPA was signed for USD 87 million plus adjusted net cash. There are regulatory approvals needed. However, once the deal is consummated, the proceeds would be used to correct the debt structure at Arena and focus on core business o f IT distribution.

So overall, we had a good quarter with a good balanced performance across growth geographies and growth business units. Regarding the dividend, it will be taken up at our Board meeting in June, and we will communicate subsequently. Thank you.

Moderator: The first question is from the line of Nitin Padmanabhan from Investec.

Nitin Padmanabhan: So

I think when you look at the results and the numbers, it broadly looks like there is weakness in certain markets. If you could give some color on the weakness that you're seeing today and how long do you sort of expect this sort of weakness to persist? And even some -- I think the SISA business mobility has sort of weakened quite a bit on a sequential basis. So just your thoughts on the broader market. Maybe if you could just split it by different geos, what you're seeing? And how long do you think the weakness continues when you think you sort of start seeing a recovery? Some color and context.

V. S. Hariharan: Okay. Thanks for the question. So let me start with the first one and then I'll get to mobility.

Clearly, if you look at where we are, so we are in India, we are in MEA, and we are in Turkey.

In India, as I mentioned, we had good strong growth. The mobilit y sequentially, we didn't do as well because typically, there is an NPI quarter for Q3, and we do well in our key brand, Apple, in that quarter. So you can't do a sequential compare. So it was still a decent performance in Q4 for mobility.

When it comes to overseas market in Middle East, Africa, we continue to do well in Saudi Arabia, as I mentioned, and U.A.E. We did have stress points in Africa, a lot due to currency fluctuations in how those markets behaved in the last quarter. And so we had to really decide which deals to pursue and which business to pursue in markets like Nigeria, Egypt and Kenya.

And that was the main thing. And we expect this to continue for a bit more. We do expect in 1 or 2 quarters, things to improve as well. But w e will continue to make sure that we are focused on profitable business and not take undue risks in these markets.

But KSA and U.A.E. offer us good opportunities to grow still. When it comes to Turkey, we had challenges because of what the inflationary environment and the interest rates there. And so we continue to stay relevant and to do business in a way that we can maximize our top and bottom line. So the Turkey market is stressed because of the high interest rates. So I would say largely in the overall geography situation, India, KSA and U.A.E. will continue to be positive for us.

We'll just wait and see how much m ore to do and how much to push the envelope on Africa and Turkey as things improve.

And the mobility business, specifically, I talked about India. A lot of the weakness in the mobility business was in Africa because of the currency fluctuation. So we did pull back on Africa. And for us, Apple didn't perform as well on Q4 this year compare d to Q4 of last year.

And there's -- when you compare a year -on-year compare, you will see some of that.

So those are the 2 key drivers. I think the Apple part definitely is correcting, but the Africa will continue to remain somewhat of a challenge in the next 1 or 2 quarters.

Nitin Padmanabhan: Sure. And during the quarter, the finance costs have sort of moved up. So one, has intra -quarter debt been high because we are seeing end of period. So that's one. And second, from a factoring

costs, have they sort of started coming off? If you could give what the number is for this quarter versus the last and how that's evolving. Yes, those are the 2 questions.

S. V. Krishnan : Okay. So on the total finance cost, just give me a minute, please, one second. Okay. See, overall factoring plus interest together for the quarter, we are at about INR 219 crores vis -à-vis INR163 crores for previous year. And this is primarily on account of Arena, like we spoke last time in Turkey. Outside of it, if you just take the rest of the entities, there is a drop from INR 96 crores to INR79 crores. So there is a significant increase in Arena in terms of the cost by about 106%.

And this is primarily because of the increase in the interest rate there.

Even post our call, there were a couple of increases that had happened in this market. The Central Bank rate is about 50%, and our borrowing cost is north of 50%. You can imagine in this business, to have such a large interest rate, it's very detrimental. I'm just giving you a perspective for the full year. If you look at for the full year last year, that's where the interest rate in Turkey started going up quite substantially. Interest cost, as a percentage of our revenue, was 3.2%, which itself was very high, considering the nature of our business.

This has further moved up to 4.7 percentage of revenue in the current year, full year. So that's where we have a challenge. But full credit to the team there. They are trying to manage as much better as possible, but the situation is definitely volatile, to the extent, if you take the inf lation rate, it's about 68.5%. I mentioned about the thing interest rate. And if you also see the depreciation of the currency, it's about 59%. So everything is significantly higher there, and because of which, there is a struggle in terms of profitability .

Nitin Padmanabhan: So in that context, the Paynet's business monetization was to sort of ease out the balance sheet, broadly, is there a …

S. V. Krishnan : Absolutely. Absolutely. That's what is our expectation and hope. But that will take -- as Hari said, a few more months or quarters for us to get all regulatory approvals and then get consummated.

Moderator: The next question is from the line of Aejas Lakhani from Unifi Capital.

Aejas Lakhani: Krishnan sir, Could you just call out that how will you -- how will the accounting of the Paynet entity work? What will be the acceleration to the net worth of consolidated Redington on account of this sale? And will there be any business impact on Redingt on because of this deal.

S. V. Krishnan : First, as Hari mentioned upfront, the consideration is about USD 87 million plus the cash available in the book. So we expect that to be north of $90 million. Post all the taxes and expenses, we think we should have about $80 million there as an accretion to the network locally.

Since we have 50%, while you will find $80 million increase, which is about INR 650-and-odd crores in the net worth of consol, but you will also have minority interest corresponding to that.

So net -net, you can take a bout INR400-and -odd crores, yes, about INR 375 crores.

V. S. Hariharan: And sorry, I just got to respond in terms of business. It is very focused on fintech. The main business of Arena products on mobility and the IT distribution, that will continue undeterred. It does not impact that at all. Obviously, the Paynet part of the financials come out of the P&L and

balance sheet. But outside of that, there is -- there will be very little business impact. In fact, this should improve our balance sheet because being able to use this for debt and other things.
S. V. Krishnan : One of the reasons for us to fast track this divestment is also to solve our finance cost problem in Turkey.
Aejas Lakhani: Got it. Sir, my second question is, could you please call out what has been the sequential as well as Y-o-Y decrease in Africa?
S. V. Krishnan : Okay. You need to give us some time. We will come back, if possible, before the end of this call. Sorry, we don't have this in for readymade.
Aejas Lakhani: Okay, sir. So the third one is, last quarter, you had called out that there was some softness in interest rates, which has, again, gone up this quarter again. Is the entire incremental interest cost that we are bearing on account of Turkey only?
S. V. Krishnan : Yes, which is what I mentioned, right? Because if you take the quarter alone, our interest cost has come down compared to what it was in Q4 of last year as well as Q3 of current year. I'm talking about other than Arena.
Aejas Lakhani: Okay. Okay. Got it. Okay. Got it. Sir, the next one is that if yo

u look at the standalone P&L, there has been a significant cut back in opex from INR118 crores to INR 84 crores, and that has
helped the opex line item. Is this opex line items are fairly stable from here on? Or is there scope for further reductions?
S. V. Krishnan : Okay. I don't want you to consider it's a significant reduction. Okay. So there are some one -offs and reclassifications that had happened. Because of which, it was showing like that. For example, our AR management has been far better that enabled us to get some refund from
insurance companies. So that resulted in some drop in the opex . And of course, AR management has helped us to reduce our AR provisions also in the books. So these were some of the factors.
And on a steady-state basis, I th ink you can take the current opex. I mean we are at about some INR2,700 crores. I'm not considering factoring as part of opex here. I mean, that's the run rate that we have today.
Aejas Lakhani: All right. Sir, could you also just call out -- you've called out that Africa would see maybe 1 quarter or 2 quarters of weakness. You stated India and Saudi are doing all right. Could you call out how the operating environment for T urkey is and your demand outlook for each of these
geographies, both from an enterprise as well as mobility segment for '25?
V. S. Hariharan: Okay. So very good question. Turkey, it's generally softer. So the market is softer, especially starting in enterprise. Enterprise, you can see a decline in the market size. The mobility part
continues to offer good opportunity. And we are just trying to m anage not to push the envelope there from a market share perspective so that -- because the borrowing where as Krishnan mentioned earlier, is 50% interest rates. So we are managing that. So there is business to be had in Turkey on mobility , enterprise is softer. The consumer IT is also a bit soft, although not as soft as the enterprise.

Moderator: The participant got disconnected. The next question is from the line of Priya Rohira from Emkay Global .
Priya Rohira: I have more follow -up with respect to the demand environment in India. So while in SISA, if I look, the revenue growth has been 8%. If you could shed some color with respect to which business segments are seeing growth? Secondly, despite the 8% top line gr owth, the gross
margin has been at INR 540 crores flat . Was there any accelerated investment which we did in the business?
V. S. Hariharan: Okay. Let me talk about the growth part. Actually, all businesses are g rowing well. This quarter, particularly cloud grew -- continues to grow strongly, and you would have seen in the deck
shared that cloud grew at 33%. Enterprise -- sorry, endpoint solutions group, the PC units, are
also coming back strongly. This quarter, there was a good growth. ESG, the technology solutions, we could have done more. I think thanks to the elections, there have been some delays both last quarter and even we see some of that this quarter, both on the government deals and
the corporate deals, some of them are getting pushed out. Mobility continues to do well and remains strong. So I would say a balance, and that we see post Q2 onwards, things coming back
even stronger. And the second question was related to...
S. V. Krishnan : Gross environment related.
Priya Rohira: The gross margin. I mean, it was at INR 540 crores flat .

V. S. Hariharan: We don't see any particular change in the gross margin on any of these business units. It will remain steady and flat.
Priya Rohira: Was there some absolute investments which you did in distribution? Or some product -- or in some product tie -ups and different partner tie -ups, which caused this flat despite the top line growth?
V. S. Hariharan: There is no accelerated investment specifically that cost that. I think it is just -- we are investing in all of the busine

sses to make sure growth is there. We do see many things happening in the route -to- -- we are improving many route-to -market like all the D2R and the regional LFR and Redington -led Technology Solutions business. Each of these route -to-market we are building out to be ready for the growth for the next several quarters. We do see introduction of AI -enabled PCs and the AI -enabled smartphones, and a lot of things are -- the environment is hotting up in that. So we are making sure that our go -to-market is ready for taking on these opportunities.
Priya Rohira: Sure. And just 2 more bookkeeping questions from my side. You did mention that the Board meeting in June is going to take up the dividend. And there is also an increase in the authorized capital. Is there some capital allocation strategy which are likely t o finalize, which should be more streamlined in June? Or is it something that you want to invest back into the business?
S. V. Krishnan : See, the authorized share capital today post the bonus announcement last year is very close to the paid of capital. Just to give the headroom, we thought it's important we have sufficient authorized share capital. On the dividend part, as Hari said, the Board will again meet in the month of June before the annual reports are sent out, and then take a view on dividend, Priya.

And for your capital allocation question, I'm just making a general comment, nothing to do with this. We are very particular on capital allocation. We are -- I mean, for us, the return ratios are very important. Every decision that we take, we would want t o make sure there is sufficient return and the capital is efficiently utilized. If I can just give you the numbers with respect to the return on equity and return on capital employed. For the quarter, return on equity is about 18%, and return on capital e mployed, above 21%. For the full year, it is 17% and 22.5%. I just thought it is important that we make a mention about it.
And one another point, which if I may intervene and then say, see, we have been talking about the growth. We all know that growth need to be insured, keeping in mind the profitable growth and the capital efficiency. We have said this very clearly. While we will not be compromising on the growth, definitely, that's not the objective, but we would want to make sure that there is a reasonable profitable growth and capital efficiency. I'm just giving you a perspective, which is did a comparison. We have FY '23 number, which is 1 year old of various peer group companies in India. Amongst them, all the 4 players outside of us, the working capital days was 42 days, working capital days for Redington all FY '23, March '23, it is 24 days. So we are very, very focuse d in terms of capital efficiency. I just thought I should make a mention about it.
Priya Rohira: Yes. Sure, Krishnan. I mean there is a great history you all shared both on the growth, the return ratios, and the working capital efficiency management. I just saw it from the point that maybe if you are seeing some growth likely to come back, as you all did mention the post elections, we could see some streamlining grow th coming back. So I just wanted to take more of that as an add-on question over there. Okay, just one last question.
S. V. Krishnan : In fact, since you mentioned the election, sorry, I need to tell you. Our TSG business could have done well had this election hangover is not there because the capex are all postponed, which also had a negative impact in terms of our TSG growth in India.
Priya Rohira: Sure, Krishnan. I did see that in terms of 6% that I think your explanation helps it much better.
My last question on the margin side, we have streamlined on the working capital. On the margin side, this quarter was 2.4%. Should we take that as a benchmark? Because I know during COVID times, it increased. And

you all did mention that it should be streamlined to ensure that there's a profitable growth. And so this margin should be taken as a benchmark?
S. V. Krishnan : We can. We had mentioned this in the past. Pre -COVID, our operating profit used to be in the range of 2.1%, 2.2%. During COVID, it went up as close to 3%, and we had been mentioning that on a steady -state basis going forward. We don't foresee this thing going back to what it was pre-COVID. We would want to mention that between -- I mean we maintain that between 2.4% to 2.6%. And we are at that rate. We are very clear about it. And similarly, working capital also, we have guided 35 to 40. We are within that range.
And for the earlier question from, I think, Aejas, Africa degrowth for the quarter is 16.4%. Africa degrowth for the year, 10.4%.
Moderator: The next question is from the line of Kunal Khudania from DSP Asset Managers .

Vivek: This is Vivek. I have 2 questions. One, in terms of Turkey, which is going through such a turmoil. Is there any kind of subvention or any interference you can expect from the manufacturers that -- like how they helped you during the COVID period to help pa ss on the interest rate? That's question number one. And question number two is, do you see that there's any impact of RBI guidelines on unsecured lending impacting the growth in mobile telephony business in India? And congratulations on the working capita l control.
S. V. Krishnan : Okay. So on the government intervention in Turkey, we wish some of those happened. It is seriously a difficult market on multiple fronts, like I had mentioned. But we only feel that the things can only become better from here on. And with our team very foc used on what they need to do, we should see definitely better results going forward. I'm not very aware about this RBI guideline on secured lending. I don't think it is impacting us because our funding is -- I mean, as usual, we are quite o kay in terms of the funding. While there is some liquidity issues in the market, but otherwise, our funding is not a challenge.
Vivek: It was more on the fact that unsecured loans to any borrowings because mobile phones are based -- bought on EMI and so on. So whether that had any impact. But I guess it's not so significant.
And like you said, the election is the bigger mover for you. Thanks a lot and Wish you the best.
Moderator: The next question is from the line of Kushagra from Old Bridge Asset Management.
Kushagra: A few questions. One is on the strategy or the capital allocation front. If you can help us understand the way you think in terms of the levels of debt which you're comfortable keeping on your balance sheet? Because the way I see this is you are significan t -- you are -- the balance sheet has been superb. Your net debt levels are the same as it was 13 years back. So the working capital management has been superb. So keeping the working capital days same, are you thinking of a venues of taking a lit tle more debt and probably grow a little higher and without compromising on the quality of the business or without compromising on the quality of the balance sheet. That is one -- first question.
And how should I tie up this with the comment you made on the Turkey debt and the transition which we have done to reduce the debt in Turkey and hence, to reduce the overall impact of the higher interest rates. So blending the two, how should we think abou t the debt levels you're comfortable or how should that evolve over the next few years on your balance sheet?
S. V. Krishnan : Okay. So I will answer it first for the rest of the markets and specifically about Arena. See, we are very focused in terms of return on capital employed. Anyone in Redington, you ask ROCE, they can tell you what ROCE means, how it need to be calculated. S o we are so focused on that.
So we will ensure that our debt eq

uity, our internal comfort is between 0.6 and 0.7, and that's something which we are quite comfortable. And with the current debt equity ratio, we think we
have sufficient capit al for any spike in the future growth. Subject to, as you had said, the hygiene factor has been in place and the return ratios are the thing being maintained.
In the case of Turkey, it is current. I mean, first of all, you need to know that we don't hold 100 percentage in Turkey. It's the only company within the group, which is not 100% held by us. It is less than 50%. But we have the Board control, and it's a l isted company. They have a little bit

more debt, and that was on account of the acquisition that was done about 2.5 years back. And at this point in time, the market was quite okay, and it has got deteriorated only in the last 2 years. We think with this divestment that we have done, it should give us significant relief in terms of our debt equity ratio. And there, again, ROCE is something which is fundamental for us. I'm not sure whether I've answered your query, Kushagra.
Kushagra: Yes. Yes, you have. All right. The second question is on again a broader related to Apple. So Apple has been consistent more than 30% for you. And if we try to map Apple India sales with and try to sort of back calculate the Redington's wallet share, it has come down. So can you tell us how the di stribution channel is divided for Apple between different players?
And how should we see this evolving? Because I think there could be some certain conscious calls as well from your side. So how should we see this evolving in the way that now Redington's wallet share should remain constant? And you're hooked on to the Apple India growth for you.
How should one see that?
V. S. Hariharan: Look, Kushagra, we don't make specific comments about the brand. But I can tell you, the brands decide how much they want to go direct and how much they leave for distribution, it's really their call. But what we do is we -- there is what is called as a DT AM, the distribution total

addressable market. And we try to maximize when we play in that because we want to remain #1 or #2, so that we are relevant. So it's very hard to comment specifically about a brand in a call like this. So I'm sor ry, not able to answer the question directly, but we will maximize the DTAM available.

Kushagra: All right. All right. Sure. The -- I just have 1 or 2 questions on data, quick ones. So one is, if you can call out -- so you called out factory and interest together. If you can call out factoring cost overall for FY '24, only factoring costs. And also, i f you can give some color on the Turkey numbers in terms of how big the revenues are and how profitable it was in FY '24? Yes, those were my questions.

S. V. Krishnan : Okay. So the factoring cost overall for the quarter is INR 79 crores vis-a-vis INR48 crores in Q4 of previous year. Second, Arena is about 10, 11 percentage of our total business. For last year, our revenue in Arena in Indian rupees is about INR 10,200 crores. And for the quarter, it's about INR2,400 crores. So it's roughly about 10%, 11%.

Kushagra: And how profitable Turkey was in FY '24?

S. V. Krishnan : We should feel happy if they are making profit at these interest rates, Kushagra. They are making profit. That comfort we can give you.

Kushagra: Sure. And lastly, factoring costs. Okay, I'll sum it up from all the quarters. All the best.

Moderator: The next question is from the line of Prolin Nandu from Edelweiss Public .

Prolin Nandu: I have 2 questions. One is on the Africa and Turkey business. So if we look at FY '25, is it fair to comment that maybe the worst is over for both these geographies, and this can be a good base on which we can see growth in FY '25?

V. S. Hariharan: Yes, I think so. I think we d

efinitely see some positive signs. So let me just start with Africa first. On -- we are beginning to start doing business in South Africa, which is a little bit more mature and stable. We just started in the last couple of quar ters. And we have some reasonable plans in the coming year on South Africa, and we are -- we've signed up several brands, and that should help us grow the Africa business.

Egypt is also -- with the IMF injection and everything else is getting stabler. Even though the currency is volatile there and the interest rates have gone up, but the ability to do business has increased. So those 2 markets are for potential. I think Nigeria continues to be stressed. There is improvements in Kenya. So I would say, all in all, directionally, for the year, over the next several quarters, we are a little bit more optimistic in Africa.

So is it with Turkey. Two things that we see, as Krishnan mentioned as well. So as and when Paynet unlocks and the deal is consummated post regulatory approvals, definitely, our ability to show our profits as higher profits and to go after new business wil l be better. Also, we are hearing from the market that there will be better improvements in interest rates and inflation. But again, this is all based on economi sts and other people that we hear. So we think that the Turkey environment over the next few q uarters should also improve. The currency, if you look at the last 1 year, the currency devaluation has been not as tough as the previous year. So we are hopeful in Turkey as well.

S. V. Krishnan : Just to complement to what Hari said. The 4 markets which Hari mentioned, I'm just calling out what is the depreciation in capex in the last 3 months between December 31 and March 31. In Kenya, it appreciated with 17.7%. You all know what is our EBITDA margin, 17.7%. I mean, previously, it was at 132 and from there, it moved up to 156 and then dropped to 133. In Nigeria, it got depreciated by 27% in 1 quarter. In Egypt, it got depreciated by 34.8% in 1 quarter.

Please understand, in some of these markets, there are no proper hedging mechanism available. And our business model has a natural hedge built into it. But if the customers or we are not able to get dollars, which is what is the situation in countries like Nigeria, there is a big risk, and we need to be careful in that.

Prolin Nandu: That's very clear. The second question is slightly more on a strategy level. So if I look at your top 5 vendor list, right, all of them are hardware companies. The two segments like TSG and CSG, you have an element of software as well, right, in terms of cloud and enterprise solutions. And both these segments have been quite robust in terms of growth, right? So how soon can we see a software company in your top vendor list? Is it 5 to 7 years? Or will it be sooner? Will it be later?

And from a point of view of selling software versus traditional -- traditionally selling hardware. I mean in terms of aligning the organization towards selling more software go to strategy, what needs to be changed, what has changed and what is competitive landscape. In the past call, you have mentioned on the margins are pretty much similar for hyperscalers, right, and maybe slightly higher for SaaS. But when it comes to ROCE, is it meaningfully different from your hardware business?

V. S. Hariharan: All right. So we are also very hopeful that we will see some of these hyperscalers /softwares that we resell through the TSG business to get into the top 5. I don't know. I would hazard a guess, maybe it will be in the 3 - to 4-year time frame. But we are seeing definitely good growth. I would say, overall in our business, the subscription piece has become more than $1 billion. Between the hyperscaler piece as well as the TSG platform -as-a-service and the software-as -a-service piece.
The additional opportunity th

at we see is to appropriate and professional services. So in the cloud space, we do resell, and the resell part, as you rightly said, the margins are very similar to hardware. But the associated part is professional services where we provide assessment and migration. It's still a small business, but much higher gross margin. And we're beginning to learn and work on that. And we will work on this partnering with our reseller community, specifically focused on professional services.
I think this will take time, but this can result in a higher margin, higher EBIT profile. I think ROCE might be similar because there will be investments. We'll have to make on opex in this kind of a business on people. But definitely, there is increased focus on how we can organize ourselves. We are investing in a cloud platform called CloudQuarks. You already know that. We're already investing in a kind of a marketplace where we bring ISVs and MSPs and CSPs born in cloud players together. So we can create an ecosystem so we can go faster at it and outset appropriate for the services and build competencies internally. So there's a number of activities that we are doing that will enable this to happen.
We are not -- we already organized well, I would say, within the TSG team, the Technology Solutions Group, we have software sub business unit, and we also have the cloud unit as a separate unit. So we are largely organized well, and we continue to focus an d invest the right way to get the best ROCE.
Prolin Nandu: Sure. Can I ask one more question, if that's fine?
V. S. Hariharan: Yes.
Prolin Nandu: Can you touch base slightly on the competitive landscape here in both your TSG and CSG business? And where I'm coming from is that there are traditional players who have been quite strong works, plus there are some telcos also who want to venture into this kind of an opportunity. So when it comes to competitive landscape, is there any white spaces in terms of the way we are offering the services, which is different and which is -- which we are -- to which we are able to fill that white spaces?
V. S. Hariharan: Yes, very good question. So quickly, I'll start in the cloud space, the hyperscaler space. Within the hyperscaler, clearly, resell is a somewhat easier thing to do. And many of our peer distributors, IT distributors do similar things. But where we differentiate or way we have come in is to really -- our understanding of how to drive consumption and workloads and how to drive the professional service s around assessment and migration .

And these are not done by system integrators and not well understood by our peer distributors to try to differentiate and taking kind of a lead space there. In fact, I would say, in India and some parts of MEA, particularly U.A.E. and KSA, the key hyperscaler partners really appreciate what we have done and they have become a larger distributor and kind of a role model and an example for som e others to follow.
Within the Technology Solutions space, again, there is a whole lot of brands that we work with on Platform -as-a-Service and Software-as -a-Service. Again, I think where the adjacency of being able to value add on professional services and implementation ser vice and working with resellers is probably the differentiator . There, however, we find a lot of the value -added distributors or value -focused distributors are also there, and we'll have to learn our way and compete better with them. But clearly, I would say in the hyperscaler space, we are having a leadership. And the ability to have our own cloud platform, combined with this ecosystem that I talked about, is going to hold us good longer term because we are not behaving like an SI, we are behaving like a distributor and building this ecosystem.
Moderator: The next question is from the line of Drashti from Thinqwise Wealth Managers, LL

P.
Drashti: When I look at our overall growth, our MSG segment has declined by 12% quarter -on-quarter. And the TSG has also declined by 5% quarter -on-quarter. So when our working capital days have improved by 2 days from 36 to 34, I wanted to understand, is it because the MSG growth

has been lower, which is why we've seen improvement in the working capital days ?
Or is there anything else -- anything structural that we have done because of which we've got this efficiency? And can this continue going forward? Although you've guided for 35 to 40 days, but 34 is a very stark improvement. So is there anything structura l that we've done in the working capital or to improve the working capital is what I wanted to understand.
S. V. Krishnan : Drashti, efficiency, efficiency, efficiency. That's the best word. We are trying to do as better as possible without compromising on the growth. And the point that you mentioned in terms of MSG and TSG. See, it is more -- I mean, what should I say, in MSG, as Hari said, quarter -on-quarter between Q3 and Q4 may not be an appropriate model because Q3 is the time where you find all the vendors announcing the new products. So there will be a spike in Q3, and hence, that's not a correct, I mean, way to look at it.
In TSG, as I've said, because of some postponement that had happened in India due to the elections. In Africa, our conscious decision to be careful about the risk has resulted in the degrowth. It has nothing to do with our working capital.
Drashti: No, exactly. That's what I wanted to understand. Is the working capital improvement because the MSGs obviously, because of the seasonal business at MSG has gone away. And the TSG -- mainly the TSG has declined quarter -on-quarter because TSG requires a half of the working capital, right? And that is declined year -on-year as well as quarter -on-quarter. So is the working capital improvement because of that? Or like you mentioned, the efficiency in the business is what I wanted to get an answer on.

V. S. Hariharan: So this particular quarter, most improvements have actually happened in ESG and TSG. And it's not on account of MSG the working capital improvement. MSG always is quite light on working capital, and it's a fast velocity item. But I think to answer your que stion, I did mention in my opening remarks, we've actually put some additional focus. We have organized ourselves within both the geographies to have a more intensified operational focus between business operations, sales operations, present collections. So really, a focus on working capital.
Now can we maintain 34? That's a different question. Our guidance is still to be within the 35 to 40 range. But the improvement starkly has happened in the ESG space and a bit on the TSG space. These are the 2 business units where our biggest improvements are.
S. V. Krishnan : And just reading out , Drashti, the earlier point that I mentioned, the other players in India, DIO inventory days, 31 days, 52 days, 52 days, 33 days, other players. We are at 24 days. DSO AR days 59 days, 63 days, 39 days, 43 days. We are at 49, right? So we are trying to be as good as possible in the ecosystem. If others go berserk, then we also need to accordingly manage the show.
Drashti: And in your opening remarks, you have mentioned that the new brands -- that we are focused on adding new brands. And when I see the other segment, that has also improved for us on a yearly basis. So if you could highlight on what brands are you adding? And whether the margin profile and working capital profile are similar to our existing business? And in which segment have you added these new the brand, if you could highlight something on that?
V. S. Hariharan: So a lot of it is in the cloud space. So you'll see brands like Zoho that got announced that we are partnering with SaS, S-A-S. So there are many br

ands like those we are adding and partnering.
A lot of these brands used to go direct. And as the cloud space is evolving, clearly, they want to work through the distribution model better. And we continue to add many -- but I'm just giving some examples here.
Drashti: And sir, when I look at our employee costs of stand-alone business, which is -- a stand -alone business versus the Rest of the World, our employee cost as a percentage of revenue, in the standalone is around 0.6 and have been maintained at that by. So when I look at the rest of the world, it comes to around 2%. And actually, year -on-year, it's increased by 2.16%. So is there a difference in the structure of these employees or organization in the stand -alone versus the Rest of the World, which is lea ding to this difference like 0.6% and 2%. If you could explain that?
S. V. Krishnan : Drashti, each markets are different. I don't think we can compare it that way. But still, I'll give you a perspective , if you see the gross margin. I'm just making a reference just to answer your query. Our gross margin in SISA is 4.98%. Our gross margin in Rest of the World, including Turkey is 6.88%. So there is better gross margins. Obviously, there will be a better cost, I m ean, incremental cost also...
Drashti: No, actually -- Krishnan, appreciate it. But why this question comes is when we look at the newly listed competitor, which is coming. Their employee cost is almost 1.4% and ours is 0.6%, which is I just wanted to understand why is ours so less? And what is the structure and why is their so high? Okay. So not their, but if you could comment on our employee cos t.

S. V. Krishnan : I think ours has been the steady state at these levels. We are quite comfortable with this.
Moderator: The next question is from the line of Krish Mehta from Enam Holdings.
Krish Mehta: My question was just on getting the inventory and accounts receivable provisioning number for this quarter as well as for Q3.
S. V. Krishnan : Okay. Just give me a minute. Sorry. Okay. So inventory provision for the quarter at a consolidated level is at minus 0.21%. And bad debt at 0.12%. When I say minus it's reversal net. Sorry, sorry, sorry. This was for last year. Extremely sorry, Krish. For the current year, it is minus 0.41% inventory and bad debt neutral. There is no, I mean, specific provision for the current quarter. For the full year, if you see, it is minus 0.1% inventory and bad debt 0.07% -- 7 bps.
Moderator: The next follow -up question is from the line of Aejas Lakhani from Unifi Capital.
Aejas Lakhani: I got dropped off in my last question. So I just wanted to understand the demand environment both on the enterprise segment, the IT -- consumer IT segment and the mobility segment. Ex of this election deferment that is taking place, but how is the overall sort of demand outlook?
V. S. Hariharan: So let me start with the enterprise segment, clearly, and I think your question is more with regards to India, I guess. So the enterprise segment, the demand continues to be very strong, and we are quite bullish in the next year as well. As I mentioned, bo th Q4, our Q4 and our Q1 has been softer because of the elections and postponement of capital decisions, both in corporates and government.
When it comes to mobility and the consumer segment. Clearly, consumer segment, we have seen an uptick in the last quarter. And we will continue to see that as AI -enabled PCs are being launched this year in AI -enabled workstations by all the brands. On the mobility segment, we are again waiting for the NPI to see a good growth, but it will be stable. So we see upside definitely on the enterprise segment as well as the consumer segment.
Aejas Lakhani: And sir, could you call out the same for global markets as well for ROW?
S. V. Krishnan : Sorry?
V. S. Hariharan: Can you repeat that please

?
Aejas Lakhani: Sir, could you just call out the same enterprise as well as utility outlook for ROW, for the rest of the regions?
V. S. Hariharan: Yes, it is similar. So again, I will talk about markets outside of the stressed markets. So Saudi Arabia, U.A.E. and what we call as the rest of Middle East, which is some of the smaller markets around U.A.E., like Kuwait, Qatar and similarly in South Africa, we're quite bullish about the enterprise segment in all of these spaces.
Within the consumer segment, we also have what is called as an emerging business outside of PCs in the Middle East, where we participate in things like gaming and several verti cals,

surveillance, cameras, et cetera. Most PCs and those segments, we see, we are quite bullish on those for rest of the world.
Africa is where, because of the currency fluctuations, we're just cautious and careful. We do expect Egypt also a better opportunity in the next couple of quarters. We had completely pulled out of the consumer segment in Egypt as the currency fluctuation i s happening. We are going to go back and reengage and play cautiously, but we do expect more business to happen in Egypt in the next few quarters.
Moderator: The next follow -up question is from the line of Nitin Padmanabhan from Investec.
Nitin Padmanabhan: So considering this is like the annual, it would be great if you could give some sense on the contribution breakup for Africa, Turkey, India, Saudi Arabia, broadly. So that's one.
And second, in the context of what you explained, it looks like Turkey growth, you would want to push the pedal only once the money comes in post the approvals. And Africa, again, I think, is something like that. So does it look like -- from where you're s tanding, does it look like this year is going to be a little more tail-ended from a growth perspective overall? And does it -- do you think that the -- so that's one. And second, do you think that double -digit growth in the context of where the economy is , is still there for fiscal '25? Or do you worry about that? So those are 2 questions on the revenue side.
And on the margin side, do you think margins have sort of bottomed out from -- on a -- kind of considering where we are for the quarter. Do you think margins have bottomed out. And I'm saying excluding the other income. And do you think that, at least in t he first half, considering we're going to be risk off, basically the other income will take care of it and then the -- excluding other income margins actually begins to pick up only in the second half. So those are my questions.
V. S. Hariharan: Let me try and answer the growth question first. I think what we have done in the last few

quarters, we kind of bottomed out. I think the way we have approached the whole environment is maximize investments and growth in growth markets where we can grow pr ofitably, which we have talked about is India, Saudi Arabia and U.A.E. And we are beginning to now look at new markets like South Africa that I mentioned, which should yield results for the next few quarters.
Clearly, anything from here is positive because whether it's Turkey or whether it's just African markets or Egypt, all of those -- we've gone through a lowest baseline, and we should only improve from here. So I don't know whether double digit or what, it will depend on what the market environment is and what we can do. But in terms of our growth, we will only get better from here in terms of whether it's sequential or year -on-year, but it's what the market has to offer.
So Africa, whatever business we tho ught was risky, we have already traded off, and things could get better from here. In terms of gross margin, Krishnan?
S. V. Krishnan : Yes. Before that, on the contribution part, listen, overall, India contributes about 47% of our revenue. Middle East and Africa, 40%. The balance, 12%, i

t comes out of Turkey. That's the split. Between Middle East and Africa, if you split that further into KSA, which is an important

market, as I mentioned, that contributes about 30%; Africa about 20%. All these rough results plus or minus 1% or 2%. Rest of Middle East, which includes U.A.E. within Qatar and other markets, the balance 50%. On the gross margin, I think -- I mean, we would want you to understand, we have been talking about normalization post COVID.
Nitin Padmanabhan: I was talking about the EBITDA margin, right? So when we speak -- when you speak about EBITDA margins, you usually -- you are actually speaking about an EBITDA, which includes the EBITDA margin, which includes the other income. So there is always this moment when we are a risk off, basically, we generate more cash, and you see higher other income.
And then when we risk on, obviously, it moves up into working capital and thereby be excluding other income margins start moving up. So the question was excluding the other income, EBITDA margin, do you think that sort of bottomed out on where it is today? And from here on, do we start seeing things improved?
S. V. Krishnan : Okay. First clarification, Nitin, our other income is not out of business. That period of we sitting on cash, putting it in deposits, making money was those 3 years of COVID, right? As you know, we have debt all the time. If at all, if there are any flow t axes is what is getting deposited, which is very miniscule considering our total scheme of things.
Other income mostly comprises of interest income that we collect from our channel partners because we assume we need to give them 60 days credit, we decide to give them a 90 -day credit.
So that also has a component of, I mean, working capital, right? So we do consider this as part of our margins. We think that overall margins have stabilized. This can be considered as a steady -state margin going forward. If at all, with the services focus, it can only become better.
Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Hariharan, Group CEO, for closing comments. Over to you, sir.
Hariharan: Thank you, everyone, for joining the conference. And as we have said that our focus continues to be on profitable growth and return on capital efficiency. And we'll continue to make sure that we maximize the business in the market. And not lose any share with the focus on profitable growth as well as return on capital efficiency. And as I also said in my opening remarks, we do have a Board meeting coming up in June where we'll discuss and decide on the dividend. As soon as that is done, there will be communication to the market. Thank you so much.
S. V. Krishnan : Thank you.
Moderator: On behalf of Redington Limited, we conclude this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

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August 6, 2024
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Scrip: 532805
Sir/Madam,
Sub: Q 1 - FY 202 5 - Earnings Conference Call Transcript
This is further to our letter dated July 26, 2024 , intimating the details of Investor/Analyst call on the unaudited financial results for the quarter ended June 30, 2024 . No unpublished price sensitive information was shared/discussed in the meeting/ call.
In this regard, we are enclosing herewith the transcript of the conference. The same is available in Company's website at https://redingtongroup.com/wp -content/uploads/2024/08/Redington -Aug01 -2024 -Transcript.pdf
We request you to take this information on record.
For Redington Limited
K Vijayshyam Acharya
Company Secretary
Encl: a/a
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August 01 , 202 4
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 1st August 2024 will prevail

MANAGEMENT : MR. V. S. HARIARAN – CHIEF EXECUTIVE OFFICER – REDINGTON LIMITED
MR. S.V. KRISHNAN –FINANCE DIRECTOR (WHOLE -TIME)– REDINGTON LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Redington Limited Q1 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantee of futu re performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you ne ed assistance during th e conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to V S Hariharan , Chief Executive Officer of Redington Limited. Thank you and over to you, sir.
V. S. Hariharan: A very good morning, everyone. This is Hariharan. I'm really happy to share with you our Q1 '25 results. I will first focus on our performance excluding Turkey, our subsidiary in Turkey -- Arena subsidiary in Turkey to provide enough color on our performance in India, South Asia and Middle East Africa. I will talk sep arately regarding Arena as well. It has been a good quarter

with a continuing story of profitable growth. Our profit after tax grew 13% year -on-year with a PAT percentage of 1. 42. This has also been the highest Q1 revenue recorded at INR19,328 crores and our revenues grew excluding Arena at 1% year -on-year.

This was despite the headwinds we had in many markets on delays in India due to elections and capital decision delays, longer festive holidays in the same quarter in Middle East and Turkey and government project delays in Saudi Arabia. For the quarter our lower average working capital, also the working capital efficiency resulted in reduced borrowing costs. Our free cash flow also saw improvements for the quarter .

The results for the quarter was achieved by a 6% growth from India, a 17% growth from UAE. We're also seeing good signs of profitable growth recovery in Africa both East and West and Egypt. Nevertheless, we continue to operate cautiously in these markets. From a business unit perspective, the cloud business unit continued to be our stellar performer with a 35% top line growth driven by continued success in the hyperscaler business and some of the subscription software in our portfolio. Cloud Business Group also beginning to contribute well to the profit and this quarter was in line with the overall net profit.

Our Endpoint Solutions Group also contributed to the growth this quarter very nicely with 11% revenue growth enabled by commercial and consumer PCs. The Technology Solutions Group grew well in Middle East, Africa while in India we saw delays as I mentioned earlier. In the Mobility Solutions Group, India continues to grow well and all geos remain very positive with new product introductions happening and the upcoming NPIs as well.

Now coming to Turkey. We had challenges in Arena in Turkey due to the high inflationary and interest rate environment, combined with a sharp decline in market demand for the IT business this quarter. The notebook PC market declined almost 30% as per analys ts. We incurred a loss for the quarter, and a lots of corrective actions are in place by the Arena team to manage the business to healthy levels going forward. The actions include inventory management, receivables management and opex management and many mo re.

The last few quarters, during the earnings call, we had mentioned the focus for us will be on profitable growth and ri

ghtsizing our investment. We've gone about understanding basics by cluster, country and business units, understanding stress points and co rrecting for them. Similarly, on rightsizing of some of the investments we've made on IT and digital platform to get to the right ROI.

We have now achieved much of this. We brought lots of hygiene and are now focused on driving growth profitably. We have rebuilt our corporate strategy around 4 pillars, leveraging our DNA, of course. The first one we talked a lot about sustainable profitab le core. The second one is about accelerating business growth. There are several focus areas here, starting from faster adoption of subscription and consumption business, not just the cloud hyperscaler business, but also the Technology Solutions business w here we see a lot of software enhanced by professional services.

Within accelerated business growth, we'll also have a very localized approach for expansion in growth geographies, such as K.S.A., Kingdom of Saudi Arabia; U.A.E., South Africa and Southeast Asia. India will continue to be a very key part of the growth plans, and we will continue to work, including upcountry and other initiatives. The third pillar in our corporate strategy will be about route to market transformation. We already have a segmented approach where we enable high -touch coverage for large partner s serving enterprise mid -market and consumer. And at the same time, ensuring efficient touch to tens of thousands of smaller partners, which are important for us through the digital -- B2B digital platform and inside sales reps.

We are also building our efforts into several unique routes to market for specific brands and business. Our focus on route -to-market transformation will be to build these and scale them and make them more unique and more high value for Redington . Lastly, a key pillar of our strat egy is leveraging the power of o ne Redington. We are in three theaters and 30 -plus markets a nd there are lots of unique execution and unique assets that happen in each country and cluster. Engaging our ecosystem like co -creating dis tinctive initiatives and leveraging them globally as our best practices will really hold us in good stead .

For this quarter, we continue to win many industry awards and recognition. To mention a few we were recognized as LinkedIn India's Top Companies 2024, Most Trusted Company by VAR India, Best National Distributor by Digital Terminal. Just a few days back Ca nalys which is a leading global technology analyst published the list of top IT distributors globally. We were happy to see that Redington has moved f rom number 9 position to number 7 position and this feels even more special since we are not present in th e top 3 IT markets of the world, namely U.S.A., Europe and China.

With the new growth trends that we see on cloud AI digital transformation and even the focus for some of the brands and rural segments, we remain very positive on the outlook going forward. In all geographies, we are seeing positive trends. NPI is the Mobi lity business and AI PCs will hasten the fresh cycles and we look forward to taking advantage of these trends. Thank you. We look forward to your questions.

Moderator: Thank you very much. We will now begin the question and answer session. T he first question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan : Yes. In the prior quarter, I think the general thought process was that a lot of these headwinds are sort of bottoming out. I wanted your thoughts on 2 elements here. So one is -- was, relative to that, it looks like across the board, there is relative wea kness. So I just wanted your thoughts on what sort of surprise generally. The second is that the gross margin drop across businesses. So what's driving that?

And finally, your thoughts on the Africa business as

well. You already explained Turkey, but how is Africa doing? And do you think both these geographies have sort of bottomed out and things will start improving from here even in those geographies?

V. S. Hariharan : Okay. So some of the headwinds I mentioned are actually more this quarter and transient. As I mentioned, in India, there were some delays due to elections. Again, this is a -- we do expect things to be doing well going forward, and we can already see signs of that this quarter. With regards to the holidays that I mentioned in MEA and Turkey it was again we had almost lost 2 to 3 weeks of festive holidays.

That was what I mentioned and again a transient thing. So I don't see any of these headwinds carrying forward. Africa as already mentioned, we've seen a nice uptick both on top line and bottom line this quarter, both on East and West. Whether we'll have mo re surprises, I can't really say, but looks -- largely looks promising and same with Egypt. And a lot of the business we are getting back into is on the Technology Solutions side where it is government and enterprise buying where we are back -to-back busine ss. Obviously, our mobility business also is coming back nicely.

So Africa definitely looks more promising than what we have seen in the last year a nd some of the corrective act ions we have taken in terms of GTMs and how we work with the geography has helped us somewhat. I will turn it over to Krishnan for taking on the gross margin topic.

S V Krishnan: Good morning Nitin. See there is some softness in terms of gross margin across you're right, b ut more than that softness there are also some higher inventory provisions in few places which has had an impact in terms of gross margin a nd in terms of market also KSA remained soft in the current quarter. I'm sure you must have seen in the newspapers there are some softness that's happening in this market.

There are some postponements which are being done by government, which also had an impact because that was a large market and high -growth market which also created a negative i mpact in terms of gross margins, b ut having said that, sorry, I need to continue. If you look at the PAT, I mean, PAT percentage, it still remained strong. At a consol level without Arena we are at about 1.42%. And except for MEA in all the other places we have achieved, I mean, a PAT perc entage of more than 1.4%.

In MEA, again, if you recollect last year, I mean the profitability was low. That has significantly increased with a degrowth in the turnover, but we are on course to maintain at 1.4% in MEA also.

Nitin Padmanabhan : Sure. Just a quick follow -up. So one is, how much is the inventory provision for the quarter? And second, the softness that we saw in KSA because of postponements done by the government, do you think that sort of -- we are seeing some recovery there or tha t will continue to be a weak market?

S V Krishnan: Our inventory provisions for the current quarter is at 13 bps, 1 -3 which normally as you know will be about 6 bps that's the incremental inventory provision that we're seeing.

V. S. Hariharan : And on KSA we do see recovery, Nitin. And there was a very visionary set of projects some of them got readjusted and right sized, b ut as we look at this quarter and going forward we do see recovery in KSA.

Nitin Padmanabhan: Sure. That’s helpful. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Priya Rohira from Emkay Global. Please go ahead.
Priya Rohira : My main question is from the point is when you initially saw a couple of headwinds in a couple of countries being affecting our Q1 and you mentioned that it's going to be transient, are we seeing, especially in India, post this elections come back in terms of conversation on capex dialogues with corporate. I mean especially the B2B segm

ent would have got affected, any color over there would be good?
Second thing is in terms of your margin trajectory . I mean a superb execution despite the top line being muted. You have executed very well, sir. If the growth were to kick in, should we go back to 2.4%, 2.5% which has typically been our guided range?
V. S. Hariharan : Okay. With regards to India, see with mid -market definitely commercial PCs is growing strongly. There were two types of delays. One is enterprises, which are closely watching the

outcome of the election result and some of them have actually now gone forward to make those decisions and we're seeing signs of that coming back. We still closely watching government projects, and we believe that this quarter things should definitely unfo ld in all 3 of them. And on the mid -market and the corporates, we're definitely already seeing the signs and -- from the numbers in the first month.
S V Krishnan: Yes. So on the profitability, yes, we are confident in terms of maintaining the EBITDA percentage between 2.3% to 2.5%. And I'm sure you know if you look at the opex for the current quarter, and excluding Arena, it has come down by 4% on a quarter -on-quarter basis and 11% on a year -on-year basis. So while we see that there are some stress in the market, we also make sure there is an operational efficiency, which helps us to build the profitability better.
Priya Rohira : Krishnan, just one follow -up to that. We've seen the inventory days going up and that typically happens when the momentum in the market is good. So is this the reason for building up on the inventory or the expectations that sales would normalize from Q2 o nwards?
S V Krishnan: Okay. See Uniquely if you see our inventory has been well under control. So as we see the sales slowing down, we also became too cautious in terms of the purchases. But, however, for whatever is expected to happen in Q2 we have sufficient inventory, we don't expect a challe nge. Our working capital is completely under control, Priya.
Priya Rohira: Thanks Krishnan.
Moderator: Thank you. The next question is from the line of Aejas Lakhani from Unifi Capital. Please go ahead.
Aejas Lakhani : Hi, team and c redit to you and the management for having delivered in what seems like a tough quarter. Mr. Krishnan my first question is that in the last quarter we definitely called out that margins were at bottom on we should see improvement. So how should one read in to this slightly weak EBITDA? I know you tried to call out the macro, which has been relatively weaker. But having said that, how should investors sort of expect the margin recovery at an EBITDA level in the rest of the world?
S V Krishnan: Okay. See, first of all, in Q1 by nature is a subdued quarter, Aejas. So that's something all of you should know. And we're also positive the rest of the year things will improve and this is something that we've seen even in the earlier years. There are challenges in few market. In fact, increased challenges. We have been there in these markets for various years. We have seen ups and downs.
But having decided to be in these places, we have to make sure, I mean, we run it efficiently and then come out successfully, which is our current objective. And as Hari said, we are focusing on hygiene w e don't want to -- I mean we don't want to drop that ball. We think on a steady -state basis have sustained about 2.3% to 2.5% of operating profit, and about 1.3 to 1.4 percentage of PAT is something that we are gunning for. And as we know, there are a few markets which are really challenging, but we will fi nd a way out and address it.

Aejas Lakhani : And, sir, for FY '25, how should we think about margins? Because 2.3% to 2.5% is the slightly long-term range that you intend to achieve. But how should we loo

k at it for the year?
S V Krishnan: Excluding Arena, I tend to think these should be in place.
Aejas Lakhani : Okay. Sir, could you then call out that you mentioned at the start, Hari mentioned that there has

been 30% decline in Turkey what market analysts pointed out. So is this -- has this happened in the history where for a quarter, suddenly, the demand dropped so starkly in Turkey? Is this a one-off? What are we seeing on ground th ere today from a recovery standpoint?

V. S. Hariharan : So Aejas to answer your question, even the last quarter and the last year the PC market was growing in Turkey despite inflationary trends, despite interest rates and everything. So it was a bit of a surprise. It would have been a combination of the interest rates f inally catching up as well as the 2 Eid holidays that happened in the quarter. Between June and July, we already see an uptick of about 30% to 40% business between the 2 months.

So we believe there is a correction that is happening. The demand is softening because of the high interest rate. But maybe just that 1 or 2 months was the larger surprise and maybe it will level out slightly higher is what our be lief is. But we have to watch one or two more quarters just before we can conclude on that.

S V Krishnan: And one other thing is as you know the Paynet divestment the process is on. We are to get, I mean, approval from few regulatory authorities. So we're just keeping our fingers crossed in terms of Time line . As and when that gets consummated, Aejas, I think that's going to help us in terms of our interest cost. That's key for us there.

Aejas Lakhani : Got it. Sir, KSA gross margins are better than the company reported margins. Is that a fair way to read the situation as well?

S V Krishnan: Not really, it would be similar, maybe slightly higher because that calls for higher working capital days, but otherwise I think -- I don't think it will be significantly higher than rest of the markets.

Aejas Lakhani : Got it. And sir, would KSA be the reason for the drop in TSG given their enterprise demand is, you've been calling it out to be strong. So the TSG decline could it be largely because of KSA only?

S V Krishnan: See on the TSG there are 3 factors. Number one is Turkey anyway we have discussed. Second, in India, because of elections there were a lot of postponement of purchases by the government sector. So the TSG growth was imp acted because of that. And the third aspect, see, this requires a bit of explanation. There is something called gross revenue and net revenue. What we normally report in a hardware business, the gross and net revenue is the same. Meaning -- I mean, we are buying the product from the vendor, say INR100 we sell to the customer, say, INR105, INR105 is our invoice, INR105 is our revenue, b ut as this business is also more and more moving towards software subscr iption services, renewables, et c which are nonphysical.

There are some changes that are required in terms of revenue recognition under IFRS. This is called net accounting. In the example what I had said, assume we buy from the vendor at INR100, we sell to the customer at INR105. Our revenue is INR5. Our revenue is not INR105. So that net accounting is also having as this part of the business keeps growing up that --I mean that net accounting -- net revenue is also having an impact in terms of growth rate, which is the reason why in TSG we'll always find that the growth rate actually what we make is better than what gets reported because of this reason.

And for a quarter, this data is almost about INR300 crores. I'm sure your next question will be once this is becoming more and more, the profit margins should become better. The answer is yes. I'm sure over a period of time, you will see that the thing change in P&L.

Aejas Lakhani : Got it, sir. And sir, could you lastly ca

ll out what is the factoring cost for the quarter? What is the cash and what is the debt?

S V Krishnan: Okay. The gross debt is INR3,180 crores. Net debt is INR1,659 crores. Okay. See, I will tell you the factoring plus interest cost, I think that will be better. For the current quarter, it is INR149 crores. For Q1 of last year, it is INR148 crores. For Q4, it is INR185 crores. This is factoring plus interest together, you can call it as finance cost.

Aejas Lakhani : Got it, sir. And sir, the rundown in interest cost, which has finally started to take place, are we now at this lower normalized level of finance cost that we should expect for the rest of the year?

S V Krishnan: Okay. So answer is yes, but this mainly depends on the interest rate, Aejas. I'm just giving you my perspective. Overseas, all of us are expecting in the next 2 to 3 quarters, interest rate will start coming down which should help us. I don't know about Ar ena -- I mean I don't know about Turkey.

The Middle East and African market, this would be broadly true. In India, I'm not very sure whether there will be a decrease. We are currently running at about 7.3%, 7.4% interest rate. With the deposits drying up, I only expect -- and the deposit rates go ing up with the bank, I only expect the lending cost to go up. So in my view we will try to whatever best that we can. Just for your info we had also got our CRISIL rating AA+ reinstated recently. So we are doing whatever best we can to make sure our inter est rates are competitive, but I think this is where

we are.
Aejas Lakhani : Got it. And sir when you're talking about Arena you're referring to the three entities of Bilgisayar , Connect and International FZE?
V. S. Hariharan : Yes. Arena is a subsidiary. Those are part of Are na, you're right.
Aejas Lakhani : Yes, so that is what -- that is the pool of INR12,000 crores that we are referring to whenever we're referring to Arena?
V. S. Hariharan : Can you say that again? Can you repeat that question?

Aejas Lakhani : There are 3 entities, which is Arena Bilgisayar , Arena Connect Teknoloji and Arena International FZE. So these are the 3 entities that we should look at, whenever you're trying to call out for Arena? Is that correct?
S V Krishnan: See let me explain this. Arena is a listed company. Arena has a co uple of subsidiaries. There is one company called Arena Connect which is the acquired company that Brightstar about 3 years back. There is one Arena Mobile. There is Paynet as you know which is part of the transaction and also the Arena FZE is the Dubai entity which helps them in terms of funding. So these are the subsidiaries of arena currently. But what -- I mean we call it as arena is consol e arena which includes all this.
Aejas Lakhani : Got it, sir. And that would be about INR12,200 crores odd in '24 -- FY '24.
S V Krishnan: Yes, INR1.1 billion, INR1.2 billion. You're right.
Aejas Lakhani: Got it. That’s it. Thank you and all the best.
Moderator: Thank you. Th e next question is from the line of Kunal Khudania from DSP Asset Managers. Please go ahead.
Vivek Ramakrishnan : This is Vivek Ramakrishnan. I was wondering whether there's more seasonality going forward in your business. I did note that there is effects of the usual weaker Q1, b ut there are these Amazon prime sales and big shopping events that happened in Q2. And then there was also ebb and flow of government businesses. So can we expect more seasonality in your business which makes, looking at the quarter -on-quarter, trend unvia ble?
V. S. Hariharan : So if you look at by geography, Vivek, you're absolutely right. There is a seasonality sense based on festive season, back -to-school, government buying, et cetera. But in general, if I look at overall Redington, our Q3, Q4 are normally the higher quarters with Q1 -- Q2 being softer. Q1 is the softest quarte

r if you look at trend rate of the last decade.
But, yes, if you go geography by geography, you'll find slightly different seasonality trends. It's also a combination of not just the festival seasons, but it's also NPIs from mobility players also when is the government buying season, et cetera. And yes, Q1 is the softest, but I don't think the trends have changed much.
Vivek Ramakrishnan: Thank you very much. That was my only question.
Moderator: Thank you. Next question is from the line of Payal Shah from Billion Securities. Please go ahead.
Payal Shah : I have few questions. One, I wanted to understand how our mobility business looks like? Have we added any new brands and how much is our non-apple portion of mobility business?
V. S. Hariharan : Okay. See our mobility business continues to do well. And in India, we work with Apple and a few Android brands and same in MEA. On the Android front, we keep exploring new brands,

but we are in the premium segment, how we play. And I think it's -- the premium segment in India is a growing segment greater than INR40,000. And that's one of the segments we focus on. So in MEA, so I don't -- as we keep looking at brands , but we can't specifically talk about what brands we had in the quarter. We don't share those information. But I would say it's very healthy.
Payal Shah : That's helpful. That's helpful. My next question is on the cloud business side. What is the current breakup between cloud resale and cloud services? And what can be expected on this going forward?
V. S. Hariharan : Okay. The cloud business resell is still very large. Services is just beginning to happen. It's still less than 2% of the overall revenues. But we do expect a bit more on the professional services side. What we are working on is areas like migration, spin -offs and a little bit of modernization. These are one -step adjacency professional services.
We also work with our hyperscaler partners to drive consumption in workloads and basis their programs. But we do see a growth in the services segment, but it will never be very large. It'll probably go to less than 5% still.
S.V. Krishnan: In terms of numbers our cloud revenue for the quarter is INR899 crores, previous year INR668

crores I mean showing a growth of 35% out of which managed services is about INR21 crores.
Payal Shah: That's very helpful. Thank you so much. That's it from my side.
Moderator: Thank you. The next question is from the line of Rohit from SK Securities. Please go ahead.
Rohit: I have just one question. Just wanted to know if there are any plans to enter new geographies. Can you throw some light on this?
V. S. Hariharan : Okay. So we had mentioned in the previous quarters, but maybe I'll get a bit more specific. So let me start with this part of the world. We have had an interest to enter Singapore and Malaysia. So we just formed an entity recently in Malaysia. And our goal there is to work with our cloud partners, the hyperscaler partners to be able to make a foray and entrance in both the cloud resell and the professional services side, more in the professional services side, but both in Singapore and Mala ysia.
Similarly, when I go to Middle East, Africa, we have mentioned before that we have entered Republic of South Africa in the Q4 of last year. And we are building plans with partnerships and brands to grow our business there. It's a more economically stable m arket and a large market. In fact, it's probably one of the three large markets in the EMEA region which we are not present in.
Similarly, adjacency to Turkey the Central Asia a nd we had mentioned this before in one of our earlier calls as well that we are planning to be there and we've already got an office in Azerbaijan, in Kazakhstan and planning to look at Kazakhstan and Azerbaijan and that region. And we've got some early wi ns and we're l

ooking at how to grow that space.

Rohit: Okay. Thank you for your detail answer.
S.V. Krishnan: As we are on the subject Rohit. I also want to tell you how in various geos we ensur e leadership. In India we are number one. In UAE we are number one. In KSA we are number one. In GCC we are number one. In Turkey we are number two. East Africa we are number one. In West Africa we are number one. So the message we want to tell you is wherever we get into we would want to ensure we are in the leadership position in one -- I mean, as a top most distributor if possible or the close second. So that objective is still -- it's there. That's the reason why having said, I mean we are number one -- sorry we are number seven globally amongst various tech distributors.
Rohit: Yes. Got it. That answers my question. Thank you and all the best.
Moderator: Thank you. Th e next question is from the line of Chirag Sureka from UTI Mutual Funds. Please go ahead.
Chirag Sureka : My question was then on Middle East. So there, since we have seen some decline in profitability during the quarter. So from a guidance perspective, how do we expect the recovery to happen in that particular region, that is Arena?
S V Krishnan: Okay. So you are only asking about Middle East, right? You're not asking about ROW?
Chirag Sureka : Yes, only on the Middle East.
S V Krishnan: See, Middle East margins remains better, as we just discussed, because of the demand environment in KSA and also some profit challenge in the mobility part of the business. We have had some erosion in terms of gross margin, but those are more short term. We don't think this will be the case into the future.
V. S. Hariharan : Yes. And just to add, the profit -- profitability in MEA has grown year -on-year for the quarter, not declined, and it's grown quite healthily compared to Q1 of last year.
Chirag Sureka : Okay. And any other countries in ROW which is sort of contributing or resulting in the decline in profitability?
S V Krishnan: Not really. Yes, it is -- I mean, Turkey entities and KSA.
Chirag Sureka : Thank you. That was my question.
Moderator: Thank you. The next question is from the line of Gunit Singh from Counter Cycle PMS. Please go ahead.
Gunit Singh : Just to reiterate our profit before taxes in the rest of the world region have fallen by almost half on a year -on-year basis in Q1. So the main contributors for these two are Turkey and Saudi Arabia. Is that correct?
V. S. Hariharan : Yes. That's correct.

Gunit Singh : All right. So, sir, just to -- I mean kind of the third question of the last participant. So I mean, what kind of outlook or expectations do we see especially in Turkey going forward? Because you mentioned that in Saudi Arabia, things look a bit one -off. B ut I mean, how do we see this going forward?

V. S. Hariharan : So -- see in Turkey, as I mentioned -- Did you complete the question?

Gunit Singh : Sorry, sir, please go ahead. That's all.

V. S. Hariharan : Yes. So Turkey, as I mentioned, there were a few factors at play. One is the sudden dip in demand in the IT and the PC segment. Two, is the high interest rate environment and how we are managing our working capital. So what we are doing this quarter and su bsequent quarters is to really get a good grip on what the actual demand looks like, and to work with our brand partners to stock inventory at the right level.

At the same time, working very closely with our reseller partners on the account receivables because it's all about working capital management and because of the higher interest levels. And we have a very close tracking on this and we are confident that we will manage this efficiently. What the bottom line will look like will show at the end of Q2 basis all our actions. But we have a good grip and u

nderstanding both the demand side as we ll as what supply we should keep.

Gunit Singh: Got it. That’s all from my side.

Moderator: Thank you. Th e next question is from the line of Nikuj Mehta from Wealth Guardian s Financial Services. Please go ahead.

Nikuj Mehta: My first question is, can we get a status update on ProConnect? And what's the expected performance that you feel is possible in the next maybe few quarters?

S.V. Krishnan: Yes. ProConnect overall is constructing good volume. As I had mentioned in one of the earlier calls, we had consolidated the ProConnect in all the markets under India. So the consolidated ProConnect numbers are INR228 crores of revenue with the EBITDA growing by 21% and the PAT growing by 61%. Out of which India is about INR138 crores and UAE and KSA is about INR90 crores.

Nikuj Mehta: Yes. So I was just waiting for -- do you think this performance will continue or the restructuring and everything is complete?

S.V. Krishnan: Yes. It is very well positioned. So we are quite confident about its growth.

Nikuj Mehta: Okay. And sir, the other question is that you were expecting cloud and services, the combined services bundle of business whenever it gets to USD 1 billion to contribute meaningfully to the margin and in the annual report it's written that we've crossed $1 billion last year. Now it's still not impacted the margins -- overall margins meaningfully. At what stage do you think because the service is big . The managed services, which is still just 2% to 5%, but the resell business is

the main business and where do you think and at what stage will that start positively impacting the overall margins?

V. S. Hariharan : Okay. I'll try and answer this in 2, 3 parts. What we reported is the subscription business and the software business. It's contributing to more than USD 1 billion. A part of it is reported as CSG, Cloud Solutions Group, which is the hyperscaler business. And a part of it comes from the Technology Solutions Group, which is a software business that we work in the technology solutions.

The margins on both of these are quite healthy and in fact, a bit higher than -- same or a bit higher than the hardware business. For this quarter, specifically in the Cloud Solutions Group, we have reported about 1.38% PAT which is almost in line with our overall PAT for excluding Arena, 1.42%.

So it's already beginning to contribute profitability wise almost on par with the rest. So we don't necessarily need services to grow more for the contribution. Obviously, as services grows, we will get a better contribution from this business. But today, we don't specifically call out the overall profitability for both parts of the business into that $1 billion. But clearly, we see this as not behind the rest of the business in terms of profitability contribution.

Nikuj Mehta: Okay. And so the recently sold small subsidiary Citrus Consulting. And was it meaningful value that we fetched for it, A. And B, can you look at more such value unlocking happening in meaningful ways that could led to -- lead to some release of funds or be tter profitability or value unlocking for shareholders?

V. S. Hariharan : Okay. Let me try and answer this.

Nikuj Mehta: Sorry, I'm interrupting. I'm indicating at businesses like ProConnect or say cloud, which are not particularly into the resale of either hardware or software. And for ProConnect, particularly 75% of the business comes from outside of Redington. So we just believe that it makes sense to have it as a separate entity. So this is a suggestion also. But are we thinking about those lines?

V. S. Hariharan : So let me talk about Citrus first. So we've been working on Citrus for several years. And after a lot of discussion internally, we came to the conclusion that it is important to keep the business going. It is an important business. But sin

ce it's into mana ged services, it was not the right
adjacency for us.
And so we thought -- at the same time, we've built a valuable business. We wanted to keep the business going and make sure that the employees that were in the business also continue to work on this. So we sold it to a company that we partner with on the cl oud business. So it was a win - win in terms of keeping the business, unlocking the assets, at the same time for us to be able to partner with the buyer on growing our core cloud business.
Yes, there are quite a few other incubation pieces within Redington. You heard of Paynet as well. And obviously, the Paynet and discussion we go through is, is it strategic to Redington? And does it make sense for it to be part of Redington? We want to bui ld valuable assets inside,

and if it makes sense for it to be strategic to be part of Redington we'll continue to keep them in Redington, but it's meaningful to unlock, we will do that. So we will continue to debate these. There are quite a few other such incubation inside Redington .
Nikuj Mehta: Thank you so much sir. I really appreciate.
Moderator: Thank you. Th e next question is from the line of at Sahil Doshi from Thinqwise Capital. Please go ahead.
Sahil Doshi : My first question relates to a clarification on the increase in the inventory provision we would see in the future, could you possibly explain that? Second is from the...
Moderator: Sorry to interrupt you, sir. May I request you to please use your handset. Due to no response from the current participant, we will move on to the next participant. As there are no further questions from the current participant. I would now like to hand th e conference over to the management for closing comments.
V. S. Hariharan : Thank you once again for joining our call. And as I mentioned, we've had a good quarter, excluding Arena and Arena challenges we are addressing in a manner that we will recover. We are quite confident and bullish as we go forward with what we see in the ne xt few quarters. And it is -- those -- the upcoming quarters are also our higher seasonality quarters because of all the trends that we see in the environment, the NPIs that are going to happen in Q2 and Q3 on mobility, the AI PCs that are coming up. The growth in infrastructure in India, UAE, Saudi Arabia will all contribute to a larger market size that we can tap on. We really look forward to better quarters to come. Thank you so much.
S V Krishnan: Thank you.
Moderator: On behalf of Redington Limited, that concludes this conference. Thank you for joining us, and you may disconnect your lines.

Call: Nov 2024

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November 5, 2024
The National Stock Exchange of India Limited,
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Symbol: REDINGTON BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai — 400 001
Scrip: 532805
Sir/Madam,
Sub: Q 2 - FY 202 5 - Earnings Conference Call Transcript
This is further to our letter dated October 23, 2024 , intimating the details of Investor/Analyst call on the unaudited financial results for the quarter and half year ended September 30, 2024 .
No unpublished price sensitive information was shared/discussed in the meeting/ call.
In this regard, we are enclosing herewith the transcript of the conference. The same is available in Company's website at https://redingtongroup.com/wp -content/uploads/2024/11/Redington -Oct30 -2024 -Transcript -003.pdf
We request you to take this information on record.
For Redington Limited
K Vijayshyam Acharya
Company Secretary
Encl: a/a

"Redington Limited
Q2 FY '25 Earnings Conference Call "
October 30, 202 4

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 30th October 2024 will prevail

MANAGEMENT : MR. V. S. HARIHARAN – GROUP CHIEF EXECUTIVE
OFFICER – REDINGTON LIMITED
MR. S.V. KRISHNAN – FINANCE DIRECTOR –
REDINGTON LIMITED
MS. PALAK AGRAWAL - GENERAL MANAGER,
INVESTOR RELATIONS – REDINGTON LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Redington Limited Q2 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant line will be in listen -only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the

conference call, please signal an operator by pressing star the n zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Hariharan, Group CEO. Thank you, and over to you, sir.
V. S. Hariharan: Good morning, everyone. Seasons greetings, warm wishes and happy Diwali to all of you. I'm happy to share with you our Q2 '25 results. This has been the highest quarter revenue recorded for Redington at INR24,896 crores. And our revenues grew at 17% quarter -on-quarter and 12% year-on-year. It has been a continuing story of profitable growth with growth coming back strongly.
Similar to last quarter, I will first focus on our performance, excluding Arena, the unit in Turkey, to provide enough color on our performance, and I will talk separately regarding Arena. Our profit after tax grew 10% quarter -on-quarter and 2% year -on-year with a PAT of 1.34%. Our profits did not grow as fast as revenue contributed by 3 factors: a mix change towards the mobility business, which I'll talk about a little bit later, which trad itionally gives a lower margin; a larger proportion of bigger dea ls with lower margins; and some of the challenges we had, in places like Kingdom of Saudi Arabia on reprioritization of government IT investments, which led to higher inventory provisions.
Other large markets, India and UAE, which constituted almost 60 -plus percent of our business, had stellar growth with growth rates of 25% year -on-year from India and 24% year -on-year from UAE. We are seeing definite signs of profitable growth recovery in W est Africa and the smaller GCC markets in the Middle East.
From a business unit perspective, all business units registered strong double -digit growth with cloud business unit being our stellar performer with a 54% top line growth year -on-year, driven by the continued success in the hyperscaler business in the subs cription software in our portfolio.

CSG is also beginning to contribute very well to the process. And this quarter contributed to above average net profit. The Mobility Solutions growth came back strongly this quarter at 26% growth year -on-year with the NPI and its momentum. Both ESG, the Endpoint Solutions Group and TSG, the Technology Solutions Group, were steady, at 12% and 11% growth, respectively. And the growth of the business units was seen across both India and Middle East - Africa.
The business team and operations did an excellent job of working capital, and we achieved one of the best -in-class working capital of 25 days. Our lower average working capital, coupled with lower interest rates in some of the geographies, helped us in low ering our interest costs. Our operating expenses are also very well managed this quarter and grew slower than revenue. We also achieved a cash flow of INR2,260 crores. Our best performance outside of the COVID period.
Moving on to Turkey now. The challenges in Arena and Turkey wi

ll be high inflationary and high interest rate environment continues, though we see inflation coming down for the first time below 15%. And there's also a decline in market demand, which we had called out the last quarter for the IT business, about 15% to 20% decline.
However, our subsidiary, Arena, did a better job in managing the inventories and receivables, resulting in lower working capital costs and also manage the operating expenses really well, resulting in a lower loss and a better result. We expect that this will continue to get better in the upcoming quarter with the peak season of the year coming up.
We're also happy to report some notable milestones that was reported this quarter. First, for the analysis and report by VAR India. We are proud to say tha t Redington continue to be the number 1 IT distributor in India for 2023 -24. We had embarked on several sustainability initiatives over the last few years, which are beginning to yield results.
We've been recognized by a Business World amongst the top 250 companies in India for sustainability with the ranking at number 31. Our headquarters building in Chennai Redington Tower has secured the LEED Platinum Certification. Overall, we will continue the march on sustainability as one of our key pillars in our growth in Redington.
With the new growth trends that we see on cloud AI, digital transformation, we remain very optimistic on the outlook going forward. With the festive season in Q3 in India, the NPI momentum across the world, backlog on deals both in India and EMEA, the momentum we have built on CSG, we are optimistic on the Q3 outlook. Most of the geographies we are in are seeing positive trends outside of any potential geopolitic al risk that may come up.
We look forward to your questions. Thank you very much.
Moderator: Thank you. The first question is from the line of Nitin from Investec India. Please go ahead.
Nitin: Congrats on a very solid quarter and the execution as well. I had a couple of questions, maybe a little more longer term. So one is that, I think if you look at the last many quarters we have seen

this trend of gross margins actually coming off, and well, broader interest rates have been on a rise.
So just want your thoughts on what is it that will sort of change that dynamic or stabilization or improvement on a going -forward basis? And also, if you give some context on both gross margins and EBITDA margins maybe over the last 5, 6, 7 quarters of how that is? What solely driven that deterioration? So that was the first one.
The second question is around -- I think what we have done in the last 10 years has been incredible in terms of scaling size being a very high -quality distributor. Now if you think about maybe the next 5, 10 years, I just wanted your thoughts on how you th ink this portfolio should change. And what are we doing to really drive that change?
So I do understand around cloud and software and all of those. But the pace at which it's moving, it's not meaningful to really make a big difference even in 3 to 5 years. So I wanted your thoughts on how you plan to take this forward?
S.V. Krishnan : So let me drop in, in terms of the first question, Nitin. See, the gross margin, you need to compare it on a steady -state basis. If we look at the gross margin over the last 5 years, which also included about 2 to 3 years of COVID period, there was some incremental gross margin, as you know, because of various factors. That normalization was expected, and that's the normalization that was happening in the industry, not all of a sudden, step by step. And this is what we have seen in the last few quarters.
Is there a pressure on the margin? Definitely, yes. And is the pressure expected? It was expected, maybe sometime. As the pendulum settles down, it will also can [inaudible] . In terms of managing this, we don

't foresee any concern on this, while there is a drop which we need to manage. How are we managing it? We are managing it through operational efficiency in the form of using better opex control, better working capital control, and also the interest rate being -- interest cost meant to be at the optimum level, which is what has helped us. I mean we have a clean balance sheet, if I may say. That's something that gives us confidence.
As things come back into the future, we should be able to do well. The interest rate has peaked out, all of us know. And in many markets it started this thing coming down, not yet in India, not yet in Turkey. But as that comes up, we think that can be an added advantage in terms of profitability, but we have to wait and see.
V. S. Hariharan : Thanks, Nitin. For the second question, in terms of long -term trends and where do we see margins and everything else. So clearly, we keep talking about these trends on Cloud and AI. And those are 2 trends that are going to be important that we leverage those. So when I talk about Cloud, the whole subscription business is not just the CSG business, which is a hyperscaler business, but also co mes from the Technology Solutions Group, where we have Platform -as-a-Service and Subscription -as-a-Service.

Clearly, that market, one is growing as the industry transforms and also can result in higher margin, both from the kind of subscription products we'll deal with as well as the one -step consumption services, things like migration, etcetera. So clearly, for Redington, there are a few things. One, we need to organize ourselves to take advantage of the opportunity.
Today, we are focused very heavily on the cloud part of the business from a hyperscaler business, but we're going to go after the Software -as-a-Service, Subscription -as-a-Service business also. Second is, it requires investment on a cloud platform, which requires to create an ecosystem with our partners and ISVs. So we're going to work on all of those. We clearly see that as a trend and we must do much larger amount of business there and go after it in a very systematic and structured manner.
Second, from an AI perspective, clearly, all devices that we sell in the market, whether it's mobile phones, smartphones and PCs will all become AI and the servers as well. We continue to resell those. However, there is an opportunity there as well in term s of new use cases and new solutions. So clearly, we need to understand how that will happen and what kind of partnerships we need to have in terms of selling AI solutions in the market and participate that.
It's still early days. I think it's the start of a big transformation in the next 3 to 5 years. But clearly, we see few opportunities in both of these spaces for us to play a larger solutions role as a distributor and appropriate higher share in the soluti ons and the margins there.
Moderator: The next question is from the line of Aejas Lakhani from Unifi Capital.
Aejas Lakhani: Congratulations team on very solid execution in the quarter. Krishnan, my first question is that

sequentially there has been, if you look at the delta of revenue, a large part, about close to 50%, is coming through mobility solutions, which, as we know, ha s lower gross margins and lower working capital days. Is this the sole reason for the working capital reduction that we have seen in the business? That's question one.
S.V. Krishnan: So let me answer that. This is one of the main reasons, I would say, not the sole reason. We are driving working capital efficiency very, very rigorously across all the geos, and this includes -- just in Turkey. If you see in Turkey, vis-a-vis last quarter, there is a significant drop in the working capital. So that's something that we are driving as a practice.
Yes, the mobility has helped -- the share of mobility and the new pro

duct launches that had happened towards the end of September definitely helped. But also, some of the large deals we could structure it in such a fashion where we will get our money back. So all those have helped.
Aejas Lakhani: Sir, my second question is on the slightly lower gross margin than anticipated. So could you call out that is it due to the weakness in demand, which is like you had called out last quarter, transient on the enterprise side? Or is it that the mix is a litt le on the lower side because of the nature of the large proportion deals that you have picked up this quarter? And how should we see the gross margins for the next -- for the second half of the year?

S.V. Krishnan: As Hari mentioned, the drop in gross margin in the quarter has been on account of multiple factors. One is the mix we just discussed. Second, yes, you are right, there are some large deals where it may not come at the normal -- within margins. But overall, so long as it helps us in terms of maintaining the return ratio, we're quite okay. So either it will help us from working capital or it will help us from the gross margin, and we have to make a trade -off there.
Third is, when you make a comparison between last year Q2 and this year Q2, there is also some inventory provisions at play, and this is primarily in ESG and TSG business and also in KSA, as Hari has mentioned, in Kingdom of Saudi Arabia, where because of some slowdown, last year, we have had an inv entory provision reversal.
This year, we have had inventory provision. That delta had an impact in terms of gross margin, which we think is more within transitionary short term, and we should get that back in Q3, Q4 time.
Aejas Lakhani: Just a follow -up on that. Could you quantify what is the inventory difference between second quarter of last year to this year? Could you quantify that number?
S.V. Krishnan: In total, about 41 bps. Last year, it was negative 29 bps. This quarter, it is positive 12 bps. That's about half of the Gross margin drop.
Aejas Lakhani: So from a value perspective, that would be roughly about INR80 crores?
S.V. Krishnan: I don't know exactly the value, Aejas, but I mean, as I said, it's roughly about half of the gross margin drop between last year and this year.
Aejas Lakhani: Okay. Sir, could you just call out on Turkey? We've seen the quarterly losses coming down. So if you could expand on how that geography is doing, what is the situation? How have you managed to significantly reduce the working capital in that region? And wh at is the outlook going forward for the second half?
V. S. Hariharan: I'll try and answer that. So as I mentioned, we have been tracking the market size specifically and how the market opportunities are unfolding. So there is a clear decline of around 18% to 20% on the PC business from a market opportunity and a market size perspective. When the sudden decline happened last quarter, we were caught a bit off guard because despite the inflationary and the interest rate environment, the market demand was not softening. It was quite okay. So we quickly adjusted t o this.
We worked very closely with our brand and vendor partners in terms of bringing the inventories down and making sure we have the right amount of inventories in the market. We also went ferociously after receivables to keep a good control on receivables. And both these things allowed us to bring our working capital down significantly, which allowed us also to help -- play a better role in terms of co st management on interest cost.
Because as you know, the interest costs in Turkey are high. On the lira, it's like 50% on -- even on the U.S. dollar, it's more than 10%. We also went back to the drawing board on opex . Both

on people and on everything we did in the market, we -- stopped

things which were not
immediate return on investment, any initiatives and activities that are not critical for the upcoming 2-3 quarters. And wherever we felt we can also rationalize headcount resources, we did that as well.

So it's a combination of actions we have done and that really, and I must commend the team the way they approached it. We had actually 5 or 6 very critical balance sheet parameters that we track and manage to get everything as per plan, significantly reduc ed our exposure.

Aejas Lakhani: And the outlook for Turkey in the second half and also a bookkeeping question on factoring costs and interest costs that you've incurred for the quarter.

V. S. Hariharan: I can talk about the first one as Krishnan gets ready for the second. So the outlook is better for the Q3 and Q4. One will continue the initiatives that we have started in terms of managing working capital and opex . But normally, calendar Q4 is a peak quarter for Turkey. So we are expecting that things will get better.

So a higher revenue will yield higher gross margin and higher EBIT. That should help us. And we expect Q1 also to be good. But normally, calendar Q4 is the best quarter, and we will continue our actions into calendar Q1. So we should expect a better result in the second half.

S.V. Krishnan: So the overall interest cost -- and the second question is just the overall interest cost, which is interest in the balance sheet plus factoring cost for the quarter is INR88 crores, vis -a-vis INR174 crores Q2 of last year, a drop of 50%. If you take out for a moment, Arena, the interest cost for the quarter is INR30 crores, vis -a-vis INR73 crores for last year Q2, a drop of 59%. So it is across the board reduction . And while a part of it is because of interest rate drop, a significant part o f it is because of reduction in the working capital.

Aejas Lakhani: And sir, what was the factoring cost this quarter?

S.V. Krishnan: It's about INR4 crores (Correction , it is INR31 crores) .

Aejas Lakhani: Sorry, sir, you said INR4 crores?

Srinivasan Krishnan: INR4 crores -- INR4 crores (Correction , it is INR31 crores) .

Aejas Lakhani: INR4 crores. Okay. That's a significant decline, right? So from, last quarter, I think it was INR67 crores. So that has significantly declined, how come?

S.V. Krishnan: Yes, it is because of some actions that we have taken as Hari had mentioned. I mean, we reduced our working capital quite sizably. And the deals which we re not coming at any reasonable terms, I mean we had let it go. We also had a one -time advantage of receiving some advance from a customer, which also helped us. So some of these were the factors were lower overall interest cost in Turkey for last quarter.

Some may continue, but some may not continue as is. I just want to make a mention there, but we are trying to do whatever best as we can. Please understand our interest -- sorry, our opex for the quarter, the real opex has gone up by 7%, and this in spite of a 46% increase in the inflation in Turkey. So if you eliminate that, I mean it will be much better. So we are very clearly focused on some of these factors.

Aejas Lakhani: And sir, ex of KSA, what is the Enterprise outlook -- Enterprise demand outlook?

V. S. Hariharan: The enterprise demand outlook remains strong, Aejas. And even on KSA, we expect that to come back. There has been a reprioritization of investments, and we are -- want to make sure that we -- as a distributor, are aligned with the government initiatives. D efinitely, Q3 is a good quarter normally for the Technology Solutions to the value business, so w e expect that to come back.

We obviously need to execute very well because these solutions are all very complex and long decision cycles. And there are many T 's and C's need to cross. But the outlook is, if you look at the backlog and the demand, very pro

mising.

Moderator: The next question is from the line of Madhur Rathi from Counter Cyclical Investments.

Madhur Rathi: Sir, I understand that from the previous question, our gross margin has been pressured over the past few quarters due to various reasons. When I look at some business perspective, the 2.4 % to 2.6% kind of margin raise on the operating level. It looks far size currently. As seen in the past 4 quarters, there has been some kind of externality that have been affecting our business.

So when can we expect the initiative of margins to sustain for our business? Or do we see these kind of pressure for additional 4 to 6 quarters going forward? So some thought on that.

S.V. Krishnan: If you eliminate large deals where I said the terms would be different, but overall, our objective is to ensure reasonable return ratio. I think we should be able to maintain from a medium to long term, the range that we've talked about. We're quite okay, we're not concerned.

Madhur Rathi: Do we have some kind of time line as we see that the larger deal as well as the externalities go away? Or do we think that this pressure would extend for some few quarters?

S.V. Krishnan: Yes. Your voice is not clear and hence the question...

Madhur Rathi: I wanted to understand about the time line when we reward them to our long -term averages.

S.V. Krishnan: See, these are incremental business Madhur . I mean we are only looking at it that way. The steady -state business, we are quite okay in terms of continuing at these margin rate. And these are some large deals that keeps come -- this thing coming. So long that these are all not, I mean commercially back ed, we are quite willing to take those.
Madhur Rathi: So like our revenues have been growing at a very good rate, but that is not low because of the larger deals. And so when you give us the steady -sheet guidance, you just considered that the

project business that are very cyclical as well as the lower margin on the spectrum. So is this considered, or is this an overall incremental whatever we get margin or our core business? That's why it will be lower as and when the larger deals come and go away ?
S.V. Krishnan: Yes. See, going by the deals that are happening in the market, we think some of these larger deals will keep coming up for the next few quarters too. And we will do efficiently, basis our risk consideration and the returns that we get.
Madhur Rathi: So Krishnan Sir, just a final question. So for the FY '25, for the remaining H2, do we expect our margins -- operating margins to be in the sub -2% range? Or can we expect it to inch up based on your outlook on the project business as well as the overall business we think ?
S.V. Krishnan: Overall, we think it will be definitely much better than H1.
Moderator: The next question is from the line of Priya Rohira from Emkay Global.
Priya Rohira : Firstly, congratulations on excellent execution. While you've outlined in terms of the growth and the macro environment with respect to – little more properly and Cloud and AI being the growth drivers, I just wanted to understand the overall trend. If I just look at particularly into India, I do understand overseas has seen uptrend. But if I look at India, the revenue growth was 24 % and the EBITDA growth was 4%. So there's a wide divergence in terms of top line and EBITDA performance .
And while you have been making investments, a color on that would be helpful. Now from the point that when do you see it going -- trying to match the top line growth? Second thing is, is this 24% growth which you've seen in India, would this be at one of the peak levels? Or do you see this traction being there given that whatever you would have seen from the festive or the enterprise business segment side?
V. S. Hariharan: Priya, I'll try and answer the first question on growth. So there w

ere -- obviously, all the business units, as I said, are expected to continue to contribute to the growth this quarter. We see, number one, the mobility momentum to continue this particular quarter. Typically, you see Q2 and Q3, when the NPIs happen, we have good surge there. The Technology Solutions group, we continue to see a lot of big deals. So we will see good growth rates the re. CSG continued its momentum. On the PC side of the house, with the Tech refresh on AI as well as the Windows 10 to 11 migration, we do see the PC ma rket growing. So my view and outlook again based on what we hear from Gartner and IDC. The growth rates will continue. I don't know whether it'll be 24%, 25%, but really a significant double -digit is what we see on the outlook for India in terms of growth rates.
S.V. Krishnan: Just to add, Priya, for the quarter, as Hari has said up -front in the call, by BU, I'm eliminating for a moment, Arena in this. ESG has grown their revenue by 12%, TSG by 11%, MSG by 26%, and the Cloud Solutions grew by 54%. So it's a strong growth across verticals. It is just not the deal-based business. I mean, deal -based business is something that comes on top, we are able to see growth across the board. And this is true even if you want to see it by markets.

Priya Rohira I appreciate the broader direction you've given. Secondly, I think in terms of the margins, if I look at -- and I think you mentioned about meeting investments into the business, when do we see coming back to a consolidated gross margin, which should in th e past how we have seen like around 4.5% to 5% because top line growth has been a massive scale up this quarter.
Whether I look at quarter -to-quarter or Y -o-Y, what has been phenomenal. Just the margin has been while Q-o-Q increase d, but still what one would ideally look at from this business. Or is it that the business nature is changing?
S.V. Krishnan: See, the thing is we are a very large player, as you know, Priya. We would want to make sure that this leadership position is not compromised, and we grow faster than the market in each of the geos and each of the business verticals. That's something which we think is fundamental.
Second, my request to you will be look at the PAT percentage. We had been saying we would be able to maintain a PAT percentage of between 1.3% to 1.4%. In spite of the drop in margin,

we have ensured that. That's on account of various efficiencies that had come in. So we're very confident in terms of the operating profit and the fact gross margins can differ , this is what is the mix of the business that we take.

Priya Rohira And just one last question, if I can ask. Do we see this working capital days sustaining or as what you past guided that it is better to normalize even if it moves from quarter -to-quarter in terms of benefiting us, but better to see it move from the long -term average, which you have guided us.

S.V. Krishnan: Yes. Our submission is please -- I mean, you should be guided by the 35 to 40 days of expectation. We will do whatever we can to ensure we manage this part efficiently. We will not, I mean, leave any stone unturned. Here is a case where we had an opportuni ty and we are able to reduce the working capital days. But you will find that going back and on a steady -state basis, I think we should be g rowing by 35 to 40 days.

In the quarter, I'm sure you would have observed, absolute value of working capital -- absolute value of working capital is down quarter -on-quarter, year -on-year in spite of this revenue growth. So that's something which, I mean, we could achieve, but we w ill try to do whatever best that we can.

Moderator: The next question is from the line of Jolyon from Amiral Gestion .

Jolyon : So maybe just a follow -up on the working capital. So obviously, there are certain transient factors that are

causing the working capital come down, and maybe we are opportunistic, maybe in terms of taking the advance s. But at the same time, what I'm also hearing is that there are certain structural initiatives that we have done this quarter to bring it down either in Turkey or elsewhere. So why do they -- you are still expecting such a sharp reversion of working capital to 35 to 40 days, I mean, the transie nt factors aside. Maybe just , that's my first question.

S.V. Krishnan: See, we have been saying working capital on a steady -state basis will range between 35 to 40 days. In this quarter, there were certain large deals where we could get money in advance. As

you know, there were some new product launches that happened in the mobility space and otherwise that helped us in terms of getting our cash faster from the customers and some of the efficiency actions like I had mentioned in Turkey.

All these factors have resulted in this significant drop in the working capital. That's more a one - off. You will see the normalization in the future quarters. I don't want you to see there is a significant increase, it's not an increase. In fact, what had happened this quarter was an exception where there is a significant drop. It may not be -- I mean it may not continue on a steady -state basis. That was the message Jolyon .

Jolyon : That's correct. So entirely mostly one -off. Maybe second one, the inventory provision of 12 bps. Could you comment on the nature of this, a little more details to why we are doing this provision? And perhaps in the next few quarters, do you also expect a s imilar level of inventory provision or any other provision for another -- for the business?

V. S. Hariharan: I'll try and take one part of the question. See, I mentioned Kingdom of Saudi Arabia. So there were some specific inventory of products that we have brought in for some government deals which got delayed. And so we carried those as provisions within our ba lance sheet for this quarter, given that we could not execute them, and we are working to execute them this coming quarter. And once we e xecute them, it will come back.

So it is a provision in this quarter. There are similar inventory provisions both across the ESG and the TSG business, largely in Middle East, Africa, and we expect those to get resolved. What happens is especially for back -to-back customer center deals, w e do bring in inventories. And if they don't get executed in that particular quarter, we have a provisioning approach and -- which is what we reverse once the deal gets executed.

Jolyon : And so next 1 or 2 quarter, if the deals get executed in Saudi, in Middle East or Africa, you reverse this 12 bps of...

V. S. Hariharan: That is correct. So we are definitely hopeful that everything -- the provisions that were created this quarter that impacted the gross margins will reverse back in Q3 and Q4.

Moderator: The next question is from the line of Sahil Doshi from Thinqwise Wealth Managers LLP.

Sahil Doshi: I understand the trade -off between margins and working capital, I just wanted to understand in the global PAT margin that we report. We have seen some kind of a decline from our guided range of 1.3% to 1.4% to 1.1%. So could you just talk what's the situat ion there? And is this a structural trend? Or how do we try and improve this?

S.V. Krishnan: See, for a moment, you may have to, I mean, consider Arena separate because you know well what's happening there. It will take some time for us to come back to the profitability part that we had mentioned. I'm sure you know there is a large deal that we ha d done -- I mean, divestment that we have done, which is yet to get consummated, which can happen whenever the approvals are in place.

Once that happens, then you will see Arena profitability will beco

me much better maybe within
the range that you had said. Outside of it, without Arena, the numbers are 1.34% PAT, which is
what I think is the key.
Sahil Doshi: Sure, sir. Even in the ROW, if I see the PAT margin is 0.8% this quarter...
S.V. Krishnan: That again, because of Arena rate. Arena is part of ROW. That vitiates the picture there.
Sahil Doshi: No, if I see it excluding Arena, it will be 1.09%, 1.1%, as I was saying, is it a particular geography?
S.V. Krishnan: Between the -- sorry. Please go ahead.
Sahil Doshi: Sorry, my clarification was, is there a particular geography within the ROW excluding Arena, which is actually giving this stress at this point of time or...
S.V. Krishnan: This is the inventory provision that we had talked about and majorly in KSA.
Sahil Doshi: Understood. And just to better understand, could you quantify how large are these deals as a percentage of revenue or just value -wise or something on that sort?
S.V. Krishnan: See, we normally would not talk about specific deals, but these are quite large. In the past, I mean, there used to be large deals but maybe once in a while, but now we started getting about INR200 crores, INR250 crores orders quite frequently. If I just need to put a rough number for the last quarter, it's about some INR1,500 crores.
Sahil Doshi: That's helpful. And going forward, sir, what will be our thought on these kind of large deals? Will it yet meet our thresholds in terms of ROCE and these PAT margins?
S.V. Krishnan: It will. That's what I had mentioned, that's our key consideration. If you see on our ROCE for the quarter, consolidated, it's about 21.4%, right? So that has not got compromised. If you see the split between that into SISA and ROW, in SISA, it's about 27.5% and in rest of the world, 15.4%, which is understandable considering the interest r ates in those markets.
Sahil Doshi: That explains well, sir. And just if you can just shed some light on Africa and the Kingdom of Saudi Arabia, you had said that you're seeing some kind of revival. So possibly, what's the status? And what kind of revival are we seeing if you can just talk a little more on that as well?
V. S. Hariharan: So if I break up MEA, so there is UAE and KSA. UAE and KSA are largely very stable geographies when it comes to things like ForEx and other things. We had a temporary blip in KSA partially because of reprioritization of IT -- government IT projects that has set us back in the last 2 quarters. If you remember, the last year, we grew 31% year -on-year, and we were expecting the similar growth rates this year.
But because of the reprioritization, the government is going through a process where we are relooking at the next 5 years, how -- what we'll be focused on. That reprioritization has caused

a blip, but we expect KSA to come back over the next few quarters. And UAE continue to grow very strongly at 24%.
Within Africa, we've definitely seen good signs of recovery. So if you look at West Africa, we've actually grown significant double -digit growth this quarter and last quarter too. And while inflation continues, the exchange rate is a bit more stable. In Ea st Africa, things have been a lot more stable. And so if you look at Africa as a whole, the last 2, 3 quarters, the Africa growth has been double digits and yielding good profitability.
Because of the currency stability, because of inflation stability and interest rate environment also is while high in some markets, it's still stable. So we definitely see that trend to continue over the next few quarters, except for any geopolitical tensi ons coming up.
Sahil Doshi: Sir, just one last question on ProConnect. As stated in the annual report last year that the first half was where we had some issues with one major customer. Just could you talk a little on what the status of ProConnect at this point of

time? And what are your plans there in terms of scaling
up in terms of any monetization or anything going forward?
S.V. Krishnan: ProConnect, in terms of growth is very clearly coming back. Year -on-year growth here, we have seen about 7% growth in terms of revenue and profits about 4x. So it is looking quite strong.
The operating profit is about 10%. We are now tracking close to INR250 crores revenue a quarter.
So I mean a lot of things are going well there. We are in the process of scaling up the business.

Monetization would happen at an appropriate time, Sahil. I don't want to put a time line to this. Whenever we see value, whenever we see we are very well gear ed in terms of getting into that part of the space, we will definitely explore that.

V. S. Hariharan: And in terms of the business itself, we have now analyzed over the last few years what are we really good at and our focus is on integrated logistics. Our focus is on areas like mission -critical services. So there are specific areas we have called out with in our space because it's a crowded industry.

So we want to excel in the areas that we've excelled in, and that's what we've continued to do and continued to grow on, and we are building on that thesis. First, we want to be profitable, and we have achieved that over the last 4 quarters, and we want to continue the profitability trend, but then start building the growth beyond where we have been in terms of 7% this quarter that Krishnan talked about.

Moderator: The next question is from the line of Lakshminarayanan from Tunga Investments.

Lakshminarayanan: Two questions. I just want to understand, if you look at your Apple revenues, how much of Apple revenues comes from the -- I mean how much of that is mobility? Is it like 85%, 90% of Apple revenues is our mobility?

S.V. Krishnan: See, we would not normally talk about a specific vendor. But I can tell you that the Android portion of the business is doing very well. So the overall growth in mobility is also on account of android doing very well. Let me put it like this.

Lakshminarayanan: So if I look at the mobility part in SISA, it has actually grown almost 50%. Can you just explain -- is it like a volume growth or a value growth? Or what really happened, whether it is a low base previous year? Can you just help me understand what drove t his good growth?

V. S. Hariharan: So there are 2 parts to add, one, I think Krishnan tried to answer. I think the Android part of the business has grown very well this quarter. And the Apple, though we don't want to especially talk about a brand, the NPI happens this quarter and so there was significant momentum on the NPI. So both of them contr ibuted significantly. Normally, it will be always only the NPI, but Android is part of the business that grew . So both of them contributed.

Lakshminarayanan: And second, if I look at the -- let's look at Apple growth in India, in particular. Any kind of sense of how much of business is coming from Tier 2, Tier 3 cities? Is it because Apple says that around 70% or so of the revenues is coming from Tier 2, Tier 3, I think that's something which I read somewhere. Just want to understand, are we getting a lot of business from some outside Tier 1 cities for Apple in India?

V. S. Hariharan: Yes. So if you see the stated strategy is both N -1, N-2, N-3 SKUs on Apple. And we clearly see a momentum of the N -1 and N -3 SKUs in the upcountry. And almost 30% of the business comes from upcountry, and the growth there is actually quite good because the whole premium part of the market is growing much faster than the no n premium part of the market, which is where Apple plays a significant role and our ability to have multiple SKUs split to our advantage to be able to grow the business in the upcountry.

Moderator: The next question is from the line of Pratik Kothari fro

m Unique AMS.

Pratik Kothari: Sir, one very basic question. In terms of cloud solutions, can you explain what is the value add that we do and what is it that we offer?

V. S. Hariharan: So within cloud, the hyperscaler business is a significant portion of the business, even though we have Software -as-a-Service with some nice partnerships we have. There are 3 elements of the cloud business. One is pure resell, and reselling cloud on a subs cription basis. Tha t's the first thing that we do.

Second thing that we do is driving consumption and workloads. So as customers adopt cloud and they want to -- we work with them through our reseller partners on growing more subscription units, more licenses, et cetera. So the consumption and workloads, th ere are specific programs that we work with our hyperscalers along with our resellers to grow that part of the business.

But most importantly, a lot of customers as they migrate to cloud, they need a lot of help, whether it comes to migration from on -prem to cloud or first -time cloud. And we engage in these professional services, we have big competencies in -house. So there's migration, modernization,

a bit of managed services, improvement in cost optimization, spin -offs, DevOps, we do play a role in that, but we also reach these compete ncies to our reseller partners.

So all of these 3 pieces, whether it's resell whether it's consumption, and whether it's professional services, our value -add that Redington brings to the table, which is one of the reasons you see a lot of the cloud brands have moved from being direct to going non -direct. One is obviously to address the mid -market. But even in the smaller enterprise space, they count on distributors to be able to add a big value. And Redington actually has created a pioneering approach both in India and Middle East, Afric a, which has been widely recognized by the hyperscalers.

Pratik Kothari: And if I remember from the last quarter we had mentioned that our cloud I mean, your net margin is similar to our overall business.

V. S. Hariharan: Yes. So if you look at the margin part of the business, you're right, the pure resell is similar to the rest of the business. But then when I talk about consumption and workloads, we do work with hyperscalers and are able to appropriate more margins on that. And when it comes to professional services, we can get significantly more margin. B ut the scalability of that depends on our building competency and our being able to bring along our reseller partners on those competencies and sharing those margins. Clearly, on the consumption workload as well as the professional services, where we will get more margin than normal.

Pratik Kothari: And when you say migration, this is end -to-end Redington takes care of this, I mean, from on - premise to cloud.

V. S. Hariharan: So we can. So we can take care of it. We can also partner with our resellers to take care of it. We can say about 70% of the cases we work with resellers, 30% of the cases we work on our own. But our intent and approach is to be able to work with resellers , build the competencies with them and really bring that value -add and to be able to share the margins that we can scale faster.

Moderator: The next follow -up question is from the line of Nitin Padmanabhan from Investec India.

Nitin Padmanabhan: I just wanted to reconfirm and sort of understand what I picked up. So one is, I think as you go forward, both TSG, ESG should start looking better, Saudi Arabia should start looking better. As execution comes in, the provisioning should come down. And obviously, where you may see a change in mix and maybe some increase in working capital, that will also be -- there will also be commensurate improvement in margins to that extent becaus e of the mix shift. So overall, as we get into the se cond half, which is a str

onger part of the year, things can only get better overall from a profitability standpoint. Is that a fair understanding overall and summary?

V. S. Hariharan: Perfect. You are absolutely bang on. And just to add to that, typically, the Q3 and Q4, normally, the market potential trends are also more positive. The combination of solving for those topics that you mentioned and the market environment, I think it should only get bette r.

Moderator: The next question is from the line of Saurabh Dhole from True Beacon Investment Advisors.

Saurabh Dhole: Just a follow -up on the cloud solutions answer that you gave about the value -add. I just wanted to understand from a ROCE perspective how superior is this to the base business? Because on - - I think you already answered the margin perspective, but from a R OCE perspective, how does it compare with the base business?

S.V. Krishnan: It will be pretty high because the working capital deployment in this space is quite less, there is no inventory. It's only receivables and payables. So it will be very, very interesting from a ROCE perspective. See, in the cloud space, I mean, a few inter esting things that we need to keep in mind is a very high growth rates, which we are seeing very continuously. It's more quarter -on- quarter than year -on-year because of the annuity -- I mean, the nature of business being annuity business. Th e profitability is quite strong and the return ratios are very attractive.

Saurabh Dhole: And sir, when you broke down the value add, so the first two points, the first one was the pure resell there, remember there is a subscription piece involved. And the second one where you're driving consumption. So this is basically a flow, right? So does Redington actually get some share of this flow as the quarters or as the usage goes up?

V. S. Hariharan: So the first part of the value -add and the resell, it's a pure margin play. The consumption & workload is a programmatic flow, just similar to the way we work on hardware. So there will be programs from the hyperscalers where we work with them to track conceptional workloads. Based on achievements, you get certain additional support from the hypers calers. So it's a flow.

Saurabh Dhole: Right, and the largest part or the largest component of your revenues, I mean when you break the cloud business revenues across these 3, the largest will be the first one?

V. S. Hariharan: Absolutely. Well, the resell continue to be the first one. So that's where -- that's what generates the baseline of customers and the number of resells we do. But I think over time the consumption and workloads will start contributing significantly as well to our MRR, ARR revenues the way we look at it. Professional services will continue to be important, but it will ne ver be significant. And I think the partnership with the resellers will be super critical there.

Moderator: The next follow -up question is from the line of Aejas Lakhani from Unifi Capital.

Aejas Lakhani: Krishnan Sir, could you just give us a brief on where is the Paynet transaction, how is it progressing?
S.V. Krishnan: See, as we discussed, there are 2 approvals that are required, one from the Competition Commission in Turkey and second is a Central Bank in Turkey. Applications are made and there are follow -ups that are getting done. It was expected it will take 2, 3 qua rters. So we are doing the needful and we are waiting for the approvals to come.
Aejas Lakhani: Okay. And sir, as we stand, we are expecting the de-closure by the fourth quarter?
S.V. Krishnan: End of the year. Yes. Should happen by end of the year.

Aejas Lakhani: Okay. And sir, just a quick question on margins. If you could comment on how they may -- how you expect them to pan out in the second half? You can quantify

it ex -Turkey even if you prefer?
S.V. Krishnan: See, ex -Turkey, KSA is critical. And within KSA, growth will come back in H2. If that's the case, definitely, margin should be much better. And on top of it, there's the inventory provision reversals that we are expecting from what had happened in Q1 and Q 2 of this year.
Moderator: Ladies and gentlemen, we'll take this as the last question. I now hand the conference to the management for closing comments.
V. S. Hariharan: Thanks again for all your questions. It is wonderful to get the appreciation as well as the very sharp questions on gross margins and how we have done relative to the growth. I think the growth, definitely, you can see it coming back.
And I think the execution has been strong this quarter. We have some work to do in terms of building our gross margins back based on the one -offs that happened and the mix and the large deals, as we mentioned. We are very optimistic about the coming quarte rs and we look forward to delivering good results for you. Thank you.
Moderator: Thank you. On behalf of Redington Limited, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

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Sir/Madam,
Sub: Earnings Conference Call Transcript for Q3 FY 2024 -25
Pursuant to Regulations 30 and 46(2) (oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of the Company's Earning Conference call held on February 6, 2025 to discuss the un -audited financial results for the quarter and nine months ended December 31, 2024 .
The same is available in Company's website at https://redingtongroup.com/wp -content/uploads/2025/02/SGA -Redington -06Feb -2025 -Transcript -clean.pdf
We request you to take this information on record.
For Redington Limited
K Vijayshyam Acharya
Company Secretary
Encl: a/a

Redington Limited Q3 2025 Earnings Conference Call

February 06, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 6th February 2025 will prevail

MANAGEMENT : MR. V.S. HARIHARAN – GROUP CHIEF EXECUTIVE OFFICER , REDINGTON LIMITED
MR. S. V. KRISHNAN – FINANCE DIRECTOR , REDINGTON LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to Redington Limited Q3 and 9M FY '25 Earnings Conference Call.
This Conference Call may contain forward -looking statements about the Company , which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participants' lines will be in the listen -only mode , and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. V.S. Hariharan – Group CEO. Thank you, and over to you, Mr. Hariharan.

V.S. Hariharan: Thank you. Good morning, everyone. I am really happy to share with you our Q3 '25 Results . This has been the highest quarter revenue recorded at INR 26,764 crores and the highest quarterly profit ever at INR 400 crores. Our revenues grew at 14% with profit growing at 17% faster than the revenues. Overall, PAT percentage was at 1.5%. It has been a continuing story of profitable growth over the quarters with growth coming back strongly. Strong execution across business segments and across geographies co ntributed to the performance.

From a geography perspective, the revenue growth was contributed by strong growth in UAE at 26% and India at 18%. We are seeing signs of profitable growth recovery in Kingdom of Saudi Arabia and Africa has continued its momentum on growth over the last few quarters.

From a business unit perspective, all business units registered good growth with Cloud business unit being a stellar performer with a 42% top line growth, driven by continued success in the Hyperscaler business and the subscription software in our portfolio.

CSG continues to contribute well to the profits and contributing to above average net profit. The Technology Solutions Group this quarter grew well at 28%, driven by strong enterprise demand across the theaters and big deals. The Mobility Solutions Group w as steady at 9% and the End Point Solutions Group was steady at 6%. The growth of the business units was seen across both India and Middle East Africa.

The business teams and operations did an excellent job of working capital, and we achieved 33 - day working capital, an improvement of 3 days. ROCE was at 27%. Our lower average working capital , and our 3 working days also helped us with the lower interest costs. OPEX control on spend was very good this quarter. It just grew at 1%, much slower than the revenue growth.

Now coming to Turkey. The high inflationary and interest rate environment continued, though softening a bit. Inflation is now down below 45%. The Lira interest rates have been getting revised and now down to 45%.

The decline of market demand is also flattening out. Our subsidiary, Arena did a better job in managing inventories and receivables, resulting in lower working capital costs. We also managed the operating expenses very well, resulting in a small profit thi s quarter and a better result.

With regards to the Paynet divestment from Arena, approvals from Competition Commission have been obtained. We are still awaiting approval from Central Bank.

With the new growth trends on cloud, AI, digital transformation, we remain optimistic on the outlook going forward. For Q4 , with the fiscal year -end for India for many corporates and government with the budget spend, backlog of deals we have carried over from Q3 as well as momentum in both the Cloud and the Technology Solutions Group, we are optimistic on Q4. March being a festive month in many parts of Middl

e East and Turkey, we could see some slowness in demand in that part of the world. We are also planning on an analyst meeting in the next 1 or 2 months. And as we get closer to the date, we will keep you all informed.

Thank you very much. We look forward to your questions.

Moderator: Thank you. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press "*"and 1 on your touchstone telephone. If you wish to remove yourself from the question queue, you may press " *" and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we'll wait for a moment while the question queue assembles.

The first question comes from the line of Nitin Padmanabhan with Investec . Please go ahead. Please go ahead Mr. Padmanabhan.

Nitin Padmanabhan: Okay. Great. S ir, wanted your thoughts on the working capital intensity. So, I think on a year - on-year basis, the contribution of the Non-Mobility business is actually higher. But we still see that the working capital days are down to around 33 days. Do you think there's something from a mix perspective here that could keep it at these levels? Or do you still think that the normalized working capita l days can be higher?

S. V. Krishnan: Okay. We still feel, Nitin, the working capital range on a steady -state basis, we should consider between 35 to 40 days. If you recollect last quarter, there was a substantial reduction. And from there, there is a bounce back. So, to answer your query, yes , the contribution from Non-Mobility increased, but still the working capital growth is lower than last year because we have had an

excellent September closing. That's the reason. But on a steady -state basis, I think 35 to 40 is a proper range.
Nitin Padmanabhan: Got it. Got it. So, I think in your commentary, you did mention that at least it looks like for India, Q4 can be strong , because it's fiscal year -end and things get passed on for closure. So when we look at both India and SISA and the Rest of the World business, it looks like SISA could continue the current growth rates, but the Rest of the World will see moderation. Is that a fair kind of understanding?
V.S. Hariharan: I think we are optimistic, Nitin , in UAE and Kingdom of Saudi Arabia as well for Q4 , based on everything we see. But because the last month of the quarter is the festive month, so we cannot anticipate it will be a change or not. But based on where we are, we see similar projection in terms of growth rate and optimism. I don't want to call it moderation, but we just need to be prepared if there is a surprise in March in terms of the flow.
Nitin Padmanabhan: Got it. And just 1 last question. I think from a Turkey perspective, is the current quarter's increase in factoring costs related to Turkey? So that's one. And do you think the Paynet, I think the amount sort of comes in, in Q4 and post that we should start seeing moderatio n.
S. V. Krishnan: Okay. See, the increase in the factoring cost from INR 33 crores last quarter to INR 71 crores in the current quarter is mainly contributed outside of Arena. We have had some large deals with a higher credit base, and we had decided to sell these receivables. That was 1 of the factors. And in Arena, it has moved up from 31% last quarter to 36%, which is about 14% quarter -on-quarter increase. And outside of the Arena , it is more one -off that may not sustain.
Nitin Padmanabhan: Okay. Fine. Fair enough. I will come for a follow -up later. Thank you so much.
S. V. Krishnan: Let me answer this also. See, a part of this margin would have been there in the margins for those larger deals.
Nitin Padmanabhan: Got it. That’s helpful. Thank you so much , and all the very best.
S. V. Krishnan: Thank you.
Moderator: A reminder to all the participants that you may press “*” and 1 to ask a question. Ne

xt question
comes from the line of Aejas Lakhani with Unifi. Please go ahead.
Aejas Lakhani : Yes. Hi, team. Congratulations on a very good set of numbers. The efforts made by the Management over the last couple of quarters have started to bore fruit. So , congratulations to the team. Krishnan, sir, Hari, sir, I wanted to first understand that could you call out what are the demand drivers in India and UAE that is reflecting in these kind of growth rates?
V.S. Hariharan: Okay. I will try and answer in one dimension , and Krishnan, you can add. So clearly, TSG has made a big contribution this quarter, both in India and Middle East, Africa , and both small and

big deals and the demand has been strong. Again, TSG, we have a range of products, hardware and software. So, I would say it has all come through and the execution has been good. Mobility has actually been quite strong in India, both on Apple and Android, and that has contributed to the growth as well. And I would say these are 2 big factors that has driven the growth.
And just our execution on OPEX , our execution on working capital, or execution on everything else has also contributed and uplifted the profitability to grow as fast, if not faster than the revenue. I would say primarily the Technology Solutions Group , followed by the Mobility Solutions Group.
Sorry 1 more thing is… I just wanted to add..
Aejas Lakhani: UAE also, what are the demand drivers?
V.S. Hariharan: UAE, again, it is Technology Solutions Group and the Mobility. Those are the 2 business units. Cloud is also a driver. But in terms of actual numbers , and contribution, these would be the 2 direct ones. If you are following the trends on UAE, there's a lot of investment going on in Cloud and AI by government and corporates in UAE. So, we have taken advantage. There's been a fair amount of deals won in UAE, which has contributed to the growth this quarter.
And 1 more item I wanted to add is the India festive season clearly played a role in the first month of the quarter, that was a big uplift. The consumer demand softened a little bit the second and third month, but the first month, the consumer demand was hot because of the festive season.
Aejas Lakhani: Got it. Sir, my second question is on the gross margin. So, if you adjust for the inventory provisioning that was there, especially in FY '25 , because first 2 quarters, there was higher provisioning , and then because of what we did in Saudi and then we have taken a write -back. But if you look at the 9 -month number Y -o-Y and compare them, excluding the inventory provisioning, we are still lower. So, the number 9 months prior was 5.7% versus 5.2% in this 9 months. So, how do you see the gross m argins incrementally from here on in the fourth quarter and in the next year?

S. V. Krishnan: Okay. So first of all, I need to tell you in first quarter and second quarter, we have had a higher inventory provision. And if you recollect in the last earnings call, we did talk about this will come back in H2 , and we were confident. And a part of it has happened in the current quarter , and which is the reason why you will see the inventory provision reversal in Q3. For 9 months, the inventory provision broadly tracks our long -term average.

I would say there are a couple of factors for the gross margin drop. 1 is, there is normalization that happens and which all of us know. And I would want to mention here that we have looked at all the global tech distribution companies, their profitabilities in the recent quarters. Very clearly, our profitability is on top. Everyone is in the range of about 1% to 1.2%, 1.3%, and we

are at about 1.5%. So very clearly, because of various actions that we ha d taken, our margins are better than the rest of the industry. But there is a normalizatio

n factor, which we need to keep in mind.

Second is, the large deals, again, we had spoken last time, would not come at similar terms. Either we may have to make a compromise on the margin or on the working capital that also is 1 of the contribution to this.

And the third is, of course, we being a market leader in many of the markets, there are increased competition. And obviously, this is something that we have to absorb it as a new norm and we need to work on it , but we are trying to do our best. Also, we need to understand that there are normalizations that are there and we are trying to address it in the form of better operational efficiency and better working capital management.

Aejas Lakhani: Got it. Sir, could you just speak about now the EBITDA line item and how we should think about it for the next year?

S. V. Krishnan: Okay. So, we had been talking about an EBITDA between 2.3% to 2.5%. We still feel that can be the trend as we move into the future. This quarter, we had been in the top end of the EBITDA, which is at 2.5%. But if you take for the full 9 months, it is at 2. 3%. I just want to mention here, this EBITDA calculation considers other income, which is how normally we do , and that has been our request to the market participants also all the time.

Aejas Lakhani: Got it. So , sir, you feel confident of being able to maintain the 2.3% to 2.5% band in the next year. Is that a fair understanding?

S. V. Krishnan: Yes.

Aejas Lakhani: Okay. Okay. Got it. Sir, could you now comment, please, about how is Turkey as a region shaping up? And also, I didn't catch your earlier point that the total factoring cost had a one -off, and the normalized Arena factoring was at INR 34 crores. So, could you just break up what was the one -time factoring cost and how Turkey is shaping?

V.S. Hariharan: Okay. I will address how is Turkey shaping up. So, I need to break up the business into, let's say, 2, 3 parts. 1 is the Software business in Turkey. We have a pretty nice focused software business that's growing quite well despite all the conditions. And that's largely enterprise and government consumption. That's a combination of licensing and subscription models. It's roughly abou t 10% to 15% of the business that's growing nicely.

The PC business was declining in the high teens in the last 2 quarters. But this quarter, based on the results that we saw, the decline was not as bad. It is still declining. So going forward, we don't see a recovery, but we see the decline in the market opportunity not to be as steep.

With the inflation rate coming down below 45% , and the Lira interest rate trending downwards, we do expect to see a little bit of optimism, though the projected GDP rate for the next year in Turkey is a decline year -on-year. So, those are the 2, 3 parts.

The Mobility channel continues to be flattish with a small growth maybe. So PC decline, Software growth, Mobility flattish. So, I think it's a holding pattern, and we want to make sure that we are operationally efficient with OPEX and our management of inventory and account receivables , so that we continue to move in the direction of being in the green side on profitability.

S. V. Krishnan: If I can add on Arena with a little bit of numbers, Aejas. If you look at the first 2 quarters vis -a-vis the third quarter, our revenue degrowth has come down quite significantly. It's only about 5% degrowth in Q3 vis -a-vis double -digit degrowth in the fir st 2 quarters. PAT was a significant loss in Q1, improved, but still was loss in Q2. But this time , it became positive.

We have had a positive missing profit in Q3. Net debt end of Q1, we were at about $153 million and end of December, it ha d come down to $137 million. Also, working capital days had come down. The percentage of aged inventory to the total inventory had come down. The percentage of overdues

have come down. So, it's an all -round reduction that had been attempted.
And also on the headcount, you have to give the credit to the team, about 15 percentage, there is a reduction in the headcount from the time where they started the year. So, in spite of the economic challenges and the borrowing challenges that are there, a ll these have happened. And we think we will be at it.
As far as factoring is concerned, I think what you had seen in Q3 is something that should continue in Q4, subject to, as Hari said, we are waiting very eagerly for the Paynet closure. Whenever that happens, it will have an advantage in terms of our intere st and finance cost, which includes factoring. The one -off factoring that I had mentioned , see, this we keep doing even outside of Turkey.
In Turkey, as we had mentioned, we do this because we have a challenge in terms of sourcing funds from the banking channels. Here, in rest of the places, we do factoring as a risk management exercise. As you know, normally, we can take only about a limited amount of credit days. If we had to do some deals which call for much longer credit days, we also find a way to hive it off, which is what has happened. And that's why I said to Nitin that there is a one -off cost in this period. And it is built in the gross margin also.
Aejas Lakhani: Got it. Krishnan sir, just very quickly, we have had a very good year from a revenue growth standpoint , and we have been able to curtail costs extremely tightly. And some of the excessive costs that were sitting, which we have spoken about maybe 3 quarters, 4 quarters back, we have now been able to normalize them and we are sitting at an extremely tight cost structure. But how should we envisage this going into the next year?

V.S. Hariharan: Yes. So, Aejas, to answer to that question. So first of all, we have played a differential role between where there is no growth or where we had excessive cost in terms of optimizing cost. We have invested in areas like Cloud and Technology Solutions to make sure that we can keep up with the need in the market and Mobility as well. So, as we go into the next year, obviously, we have taken out all the unnecessary costs and rightsized investments, rightsize d the people investment as well. But we will see growth now and OPEX growth keeping in line with revenue and gross margin growth , because we do need to invest in the business in all the growth markets.
S. V. Krishnan: And if I can supplement, there are a lot of efforts being taken in this direction. And whenever you move in this direction, there can also be some one -off additional costs that will come in, which also is there. But having said that, I think into the futur e, since industry is evolving more into the services and technology, et cetera, and the technology investment is very important. Some of this, we also keep in mind, we don't want to underinvest and then risk the growth into the future. So t hat's something we would want you to reckon, as we look at the numbers in the future.
Aejas Lakhani: Noted, sir. Thanks for that. And sir, finally, could you just speak about the signs of recovery you're seeing in Saudi. From the last 2 quarter calls, you've been calling out that Saudi has seen a reorientation in the budgets. So, could you just speak a little bit about how the micro market is shaping up?
V.S. Hariharan: Yes. So, we don't have all the exact details on how they reprioritize budgets , but clearly, we have been in Saudi for the last 2 quarters. I personally have been a couple of times and we have met with ministers. We have met with the local teams on the ground. And on the value side of the business, clearly, there is optimism in terms of how the numbers will come back and they have reprioritized some of the budgets based on their Vision 2030 pla n that keeps getting revised. So that part of

the business, the Technology Solutions Group and the Cloud , there is huge investments.
In fact, the coming weekend, there is an event called LEAP event, which is on Sunday, Monday, Tuesday, where all the tech giants and their leadership team and CEOs are there. Clearly, everyone is seeing the market recovery on the value side of the business , leading from the government investments and the corporate investments there.
So, the outlook is there, but we have to wait and watch the next few quarters. This quarter was a nominal growth. And the coming quarter, Q1, we do expect to see nominal growth as well. But into the new fiscal year, starting April 1, we are bullish on Saudi.
Aejas Lakhani: Noted. And sir, just my final question is that the enterprise deals carry with themselves slightly lower margins and lower working capital , and we have had a higher sort of contribution from enterprise deals. So, if we adjust for that base, is it fair to say that the business is trending more already in the lines of the EBITDA that we envisage for the business?

S. V. Krishnan: It is already there with, that's what I had mentioned, right, in the range of 2.3% to 2.5%. For this quarter, it is a t 2.5% , Aejas , and for 9 months it is 2.3%. So, we are already there, including the deals. See the deals could come and go. We don't want that to materially impact. If that impacts, we will definitely tell you. Right now, whatever we are telling you is all inclusive.
Aejas Lakhani: Noted, sir. Thank you , and all the best.
S. V. Krishnan: Thank you.
V.S. Hariharan: Thank you.
Moderator: Thank you. Next question comes from the line of Jolyon with Amiral. Please go ahead.
Jolyon Loo : Thank you for a fantastic result. So, I have 2 questions. So, the first question, could you just quantify the various one -off impact on margins this quarter? I think there should be some reversal in the inventory or reversal provision they were done this quarter? If you can just quantify that for this quarter?
S. V. Krishnan: Jolyon, your voice is not clear. Can you repeat the question, please?
Jolyon Loo : Sorry, no I just wanted to ask for any clarification on any one -off this quarter impact on the margin. Any reversal of inventory or receivable provision s that was done. So, needed to quantify that for this quarter? Thank you.
S. V. Krishnan: Yes. So , as we discussed, only key one -off that I would want to call out is the inventory provision reversal. We discussed, if you recollect in the last call, we have had more inventory provision vis -a-vis our long -term average. And we did say that these were one -offs and will get reversed, we will be able to liquidate in the rest of the year. So, a part of it has got addressed and that had come in, in the gross margins.
Jolyon Loo : Could you quantify that please? How many bps?
S. V. Krishnan: It's about 11 bps reversal. Normally, on average , you will find about 6 bps the positive provision. So, the delta is about 17 bps.
Jolyon Loo : Okay, great. Thank you. And the second question is on the reappointment of Hariharan as the MD and CEO. Could you call any incentives or any target , which is new appointment s in the next 5 years? Any key KPIs that we should be looking at? Yes, that’s all. Thank you.
S. V. Krishnan: Okay. See, there are some standard performance metrics the Board evaluates, the complete leadership team , and accordingly, the CEOs. We do follow the same metrics in this case. I can tell you whatever you track , plus we consider ROCE as an important metric is what we are all the thing weighted on , plus the strategy into the future.

Jolyon Loo : Okay, great. Thank you so much.
Moderator: Thank you. A reminder to all the participants that you may press “*” and 1 to ask a question. Next question comes from th

e line of Priya Rohira with Emkay Global. Please go ahead.
Priya Rohira : Yes. Hi. Thanks to the Management on a great execution. Once again, it's been a very decent quarter, if I look at across the geographies with all the verticals showing great performance, especially with respect to the TSG segment, if you could throw some light what we have seen across, both across SISA, ROW , and then boiling down to a 28% growth for Global. What sort of trends you're seeing in the macro market, which is driving this growth?
And secondly, does this include the data center services or the data center supplies, which you would be going through? And any color over there would be helpful.
My second question is on free cash flows. I do see that because of the inventory, your working capital days have gone down. And since you highlighted that it's going to normalize to 35 to 40 days, do we see that changing in the coming quarters? Yes, these are the 2 questions, and maybe I will just take a follow -on.
V.S. Hariharan: Okay. Let me talk a little bit about the growth rates. Clearly, cloud is an area we are seeing , and when I say cloud, it includes software licensing, software subscription, SaaS, Platform as a Service, all of that put together, not just the Hyperscaler business. We definitely see that as a growth , and we are taking underlying advantage of that growth trend in all markets, India, UAE, Saudi as well as Africa and in Turkey, too. And that is actually driving part of the growth rate in Q3.
And that comes in CSG, the Cloud Solutions business as well as the Technology Solutions business. Data center is also clearly a driver, both in India and in UAE. And both these markets, we have participated both directly in the purchase of equipment into t he data centers as well as when the data centers create capacity , and we need take care of that demand through our mid - market. So, data center is a key component and that's contributing to some of the large deals also in India. So , if I had to, at a high l evel, say these are the 2 big ones.
The Mobility Solutions in India, the premiumization, the Indian market is looking for premium phones, so the premium consumption of premium smartphones in the market has grown. So that

has resulted in a growth in the Mobility segment over the last 2 quarters, both on Apple and Android. That's clearly there.

We may not have got that much benefit of that in Middle East, Africa. The PC business is growing, not growing at the same pace that we would have wanted. We expect in the coming few quarters as we get into this year with the more high -end AI PCs, we expect a little bit more traction on AI PCs as well as the Windows 10 to 11 refresh that is happening , because the Windows 10 support is going away. We will see that. But as of now, the trends that you see in

terms of business growth is largely driven by the cloud consumption, the cloud demand that's there.

Priya Rohira : Sure. This is very helpful, Mr. Hariharan. Just a small follow -up on that. Would you say that you are more confident at the end of Q3 or the start of CY '25 versus what you were at the start of the quarter, given the vibrancy you're seeing across all the segments?

V.S. Hariharan: Can you repeat that question again, please? What is the exact question? Sorry?

Priya Rohira: So Mr. Hariharan, what I am trying to understand is that the start of CY '25, are you more confident than what you were seeing at the start of the October quarter with respect to the demand upbeat since across all the verticals have participated in the growth?

V.S. Hariharan: Absolutely. Absolutely. Today, see, normally what happens in the year is our Q2 is driven largely by Mobility , because of NPIs. Q3 and Q4 is largely by Technology Solutions and Cloud. But th is coming year, we do see all of the business verticals cranking, like what I said,

I think
the Mobility will continue , because you will see AI -enabled smartphones tend to make a difference. So, we will refresh that faster.

The Technology Solutions and Cloud will continue to move , because the cloud adoption and the AI enablement will make that grow. And I do expect the second half of the year to be quite good on PCs , based on the trends we see and the products our OEMs are going to launch. The first half may still be muted, but in the second half, we see that. So, CY '25, we definitely see bullishness across all the verticals.

Priya Rohira: That's very helpful, Mr. Hariharan. And Krishnan, if you can just address on the free cash flow. Was this purely because of the working capital improvement , and you would see normalization since it's 35 to 40 days, which you mentioned. So that returning back to the positive free cash flow?

S. V. Krishnan: Okay. So the first submission, as I would normally make all the time, please , please look at free cash flow over a longer period. Because of too many moving parts in this business , and many of, the working capital metrics depend s on how do the vendor behave, their product category behave in that market, et cetera, there will be volatility in shorter period. So , to answer you in short, there is a jump from 25 days to 33 days. The end of September, we all know it's not a normal working capital level. It was far low. That has moved up and that has resulted in the FCF being negative. And this is on top of the INR 3,000 crores, if you recollect the free cash flow in Q2.

The comfort that I can give you is if you look at the debt levels, debt levels are under tremendous control even at these growth rates. Our gross debt to equity is about 0.4x. Net debt to equity is about 0.2x. That's the way we are geared. And if the Payne t transaction gets consummated whenever it is, that's going to have an added advantage in terms of this debt equity ratio. So, we are very well positioned in terms of, fueling the growth without the balance sheet getting diluted.

Priya Rohira: Thanks, Krishnan. This was very helpful. And congratulations to the Management team on a great quarter. Wish you all the best for CY '25.

S. V. Krishnan: Thank you, Priya.

Moderator: Thank you . Next question comes from the line of Saurabh Dhole with True Beacon Investment Advisors. Please go ahead.

Saurabh Dhole : Thank you . Good morning. My question is with respect to the MS G segment and other verticals where you're catering , where your end client is a retail individual. What I want to understand is that what proportion of the sales or what proportion of the distribution that happens in these verticals , what proportion gets routed through Qcom? And what is the impact on channel margins as well as the working capital requirement as compared to the traditional retail stores?

V.S. Hariharan: So, if I can understand the questions again, 1 is the distribution of the business across the different verticals. That is 1 question. And second is the impact of Q uick comm. Is that correct?

Saurabh Dhole : Yes, distribution of, let's say, smartphones or, let's say, PCs , and other ancillaries where the end client is a retail individual and not an enterprise. So, what proportion of the sales are you making

to this particular end customer through Qcom channels? And what is the impact on channel margins and working capital r equirements , when you compare that with your traditional retail stores?
V.S. Hariharan: Okay. So today, while Quick Comm is a really good growing segment. And actually, we do partner with the Quick Comm players in our logistics business to enable them and help them.
So, we have partnered with some of the Quick Comm players. But in terms of ac tual sales of smartphones and PCs through the Quick Comm channel, it's just the beginning of that phase. It's still groceries and elec

tronics , and there is some catch -up happening there. There may be some small portion going through that, b ut it's not big yet.
In terms of margins, we have not really seen , there is a differential margin between retail and Quick Commerce. As this segment grows, we'll see if there is a value -added there in terms of time of delivery , and if there's an extra margin available or not. But today, it is not the case.
Saurabh Dhole : Thank you. Got it.
Moderator: Next question comes from the line of Payal Shah from Billion Securities. Please go ahead.
Payal Shah : Yes. Good morning. Thank you so much for the opportunity. I have 2 questions. First, as you can see, there is a good growth in MSG segment. So, just wanted to understand more on this segment. Like can you share which all brands do we have other than Apple in India as well as out of India?

V.S. Hariharan: So, we don't specifically get into brands, but I will just go through category by category. In the Mobility segment, we play in premium brands. So, just like Apple, we have brands like Motorola, we have brands like Google. So, we play with premium brands.
In the PC segment, we work with all brands, all the very well -known brands, whether it's HP, Lenovo, Dell, ASUS , Acer . So, we work with all the leading brands in the market.
And within the PC category, we also work on a lot of emerging businesses, whether it is gaming, whether it is entertainment , so there are screens. So, there's a variety of different equipments, which have different brands that we work with, in Middle East Africa, we do Samsung professional displays , we do surveillance. So, we do a range of things. We almost have 400 brands in our portfolio.
When it comes to the Technology Solutions Group, obviously, we work with all the leading server players, whether it's Dell, HP Enterprise, Lenovo and many others. And similarly, on storage, we work with the leading players. We also have a very large set of brands on software that enable the technology solutions and servers.
And then when it comes to Cloud, we work with all the leading hyperscalers. So, the total portfolio is about 400 brands. The top 20 brands contribute to more than 80% of our business. And then the next 50 brands contribute about 15% , and then there are a few hundred brands that contribute to the last 5% of the business.
Payal Shah : Okay. That's quite helpful. My next question , so I just wanted to understand, can you give some more color on the large projects, which you are working on? And how much of that is completed?
V.S. Hariharan: So, this is an ongoing thing. Every quarter, there are large deals. And just to answer an earlier question, I mentioned about data centers. So, there are quite a few deals around data centers, around storage and around servers that we do every quarter.
And again, sometimes some of these deals consummate once we won the deal in terms of fulfilment and collections in the same quarter. Sometimes they spill over 1 or 2 quarters. So, it's very hard to say which ones and we don't normally share specific custom er names, et cetera. But we have large deals which spill over 2, 3 quarters , and we have some of them right now going on, which is the backlog I talked about from Q3 to Q4. But we have some deals that get consummated in the same quarter or maybe in the nex t quarter.
Payal Shah : Okay, that's it from my side. Thank you so much.
S.V. Krishnan : Thank you.
Moderator: A reminder to all the participants that you may press "*" and 1 to ask a question. Next question comes from the line of Aejas Lakhani with Unifi. Please go ahead.

Aejas Lakhani: Yes. Thanks for the opportunity again. Sir, I wanted to understand that if we look at the business in blocks of, let's say, 4 to 5 years, the earlier part of, say, 2010 to 2014 h

ad better enterprise demand, which helped margins. Then the next block of 5 years had a higher consumer -centric deman d. Last 5 years, again, have seen better enterprise demand. And Hari sir, to your point that we are going to see AI mobility products incrementally increase in the years to come , is it fair to say then we are again going to see a cycle of maybe consumer -centric demand being strong over the next block of a couple of years?

V.S. Hariharan: Yes. So, I see 2 types of demand, Aejas. 1, clearly, the value segment, the demand will continue. And where we see growth and that's where we are investing is software subscription growth, both driven by Cloud and AI. So, we believe we need to invest more in Cloud and AI on software as a subscription model. So that's 1 growth we see and that has also drive nice margins. But we also need to put some stickiness and value -added services , so that we are serving our brands and OEMs well and we ar e serving our resellers well when they are touching customers. And you're absolutely right, the cycle on AI -enabled smartphones, AI -enabled PCs is a cycle that we see coming. The question is what is the inflection point tipping point.

There's a lot of discussion around AI. And there's a lot of discussion around Agentic AI. I think Agentic AI is going to happen both in our devices and in our servers and solutions we sell. So, I would say early days in terms of PCs and smartphones, but de finitely, 1 cycle of demand is coming in the next 1 to 2 years , and that will enable people having to change their smartphones and PCs , because the same capability is not available in the previous operating system or the previous chip technology or the pla tform technology they own.

So, when it is real, when it is a game changer, people will change. Clearly, all the discussions we have on the partner advisory boards , with the OEMs and brands, there is a hell of a lot of work that's going on to change the game on how AI is used in these endpoint products.

Aejas Lakhani: Got it, sir. Thank you and all the best.

V.S. Hariharan: Thank you.

Moderator: Thank you. A reminder to all the participants that you may press "*" and 1 to ask a question. Once again, a reminder to all the participants that you may press "*" and 1 to ask a question. Next question comes from the line of Nirmam with Unique PMS. Please go ahead.

Nirmam Mehta : Yes. Hi, sir. So, sir, I am a bit new to the business. So, just wanted to understand a few points. So, 1 was you mentioned some above normal profitability in the Cloud business. Can you explain a bit about the Cloud business, what are the different segments? And what do we as a distributor have a role there?

V.S. Hariharan: Okay. So, within the Cloud business , the large part of the business is the Hyperscaler business. We work with AWS, Microsoft and Google. We also have a portfolio of Software -as-a-Service in a few different verticals.

Now this business, we do a resell , largely using a subscription model , using a digital platform. And the first part of the value chain is very basic in terms of purchase orders, sales orders, collections , because when you're working with a large number of mid -market and small enterprise customers, there is a lot of people you are touching and reaching , and you need to make sure that you're serving the customers through the reseller. So, the brands and OEMs look up to us to do this work for them.

The second part of the business in Cloud Solutions is how do we enable consumption and workloads. When customers start consuming, they buy maybe a few licenses and then they start buying more. And then we have a job to drive workloads and consumption by enabling new kinds of things for them, new solutions for them , coming from ISVs , coming from other third parties. And that's what drives volumes for our brands and OEMs or

the hyperscalers. So, driving consumption, driving workloads is the second part of the job we do.

The third part is professional services. So, customers who are venturing into cloud , first of all, they look at should I get in to Cloud, what part of it I should get in the Cloud. So, there's an assessment phase, th ere's a migration phase.

Then people start looking at, am I investing too much? How do I do the cost optimization ? So, there is FinOps . Then there is modernization. Should I change my applications? And then there is Managed Services . So, what we do is we have competency to do a full plethora of professional services, but we partner with our ISVs and we partner with our resellers to bring all these capabilities to the customers from the brands.

And since we are serving a large base of customers in the mid -market and small enterprise, the value brought by us as an intermediary on all of these things, whether it's the resell er, whether it's consumption or professional services is really valued by the brands and OEMs in a big way. hope that helps.

Nirmam Mehta : Yes. Sir, can you talk a bit more on the profitability part? So, how does this compare with the rest of our business?

V.S. Hariharan: Sure. S o, the typical gross margins for resell in the Cloud business is 5% plus. And then when you drive consumption and workloads, specific programs that you bring to the table, you can get on the higher side, maybe 6%, 7%. And when you get into Professional Services , you can make

margins 20% plus. So, it's a combination of these things.
Obviously, Professional Service is small and still growing. But clearly, if I look at the margin profile of the Cloud Solutions business from a percentage perspective, it is higher than the Technology Solutions today and it's definitely higher than the PC group , and quite higher than the Mobility group. So, the margin profile is definitely very interesting. We just need to grow this business faster , and get more of the driving consumption workloads and professional services , because those are higher -margin parts of the business.

S. V. Krishnan: There is less working capital deployment in this business as there is no inventory , that enables much better ROCE .
Nirmam Mehta : Yes, that is an added advantage. And so now overall, our business, so we were entering some new geographies also. So, any comments on that? There were some new focus markets, right?
V.S. Hariharan: Okay. So , we have been mentioning in the last few quarters that we are entering a few markets and we are actually making progress. So, South Africa is 1 market we have entered. And we don't share exact numbers, but definitely, we are making progress every quarter. This quarter has been a good progress over the previous 2 quarters in South Africa.
We have also entered over the last few quarters into Central Asia, into Kazakhstan and Azerbaijan. And again, that's a place we are making progress.
We have also stated our intention to enter into some parts of ASEAN. So, Singapore and Malaysia is another area that we are entering with more software and cloud focus , and we are also making progress in that market.
Nirmam Mehta : Yes, that’s it from side. Thank you.
Moderator: Thank you. A reminder to all the participants that you may please ask 2 questions max. Next question comes from the line of Sahil Doshi with Thinqwise. Please go ahead.
Sahil Doshi : Hi, sir. Good morning, and c ongratulations on a fabulous set of numbers and execution. My question pertains to the client -wise data, which we g ive. If I see the top client possibly say, Apple, the pace of growth is actually lagging the Company level growth, at least in this Q3 as well as in the 9 months. So, is it so that the direct share of Apple is actually increasing and we are losing some share? Or could you give some qualitative remarks with respect to what's the trend here?
V.S. Hariharan: Could you repeat the first part of the question again? Sorry, we couldn't exactly follow the question.
Sahil Doshi : So, if I was just seeing the revenue contribution from Apple , and if I see the growth for the first 9 months, the growth is 7% versus growth of 9%. So, if you see quarter -by-quarter, the observation is the pace of growth is...
Moderator: This is the operator. Mr. Doshi, sorry for interrupting. Can you please come in the range and talk because your voice is breaking.
Sahil Doshi : Sure. I hope I am audible now and it's much better.
Moderator: Yes, go ahead.

Sahil Doshi : Yes, sir. So, my question pertains to Apple. I am just seeing the pace of growth of Apple actually has been slowing down or not in sync with the Company level growth. Just wanted to surmise there that are we seeing some sort of a market share erosion here? Or is the direct sales from Apple growing at much faster pace than what we are able to drive?
V.S. Hariharan: So, let me try to answer the question in 2 parts. Obviously, I guess you're referring to the chart on top 5 vendors and the mix between brands. And that changes partly because this quarter, some of the brands in the Technology Solutions side in the other categories might have grown. So, the portion of Appl e might have gone down a little bit. So that happens every quarter. So, you have to look at it over a period of a year or something like that.
But specifically on Apple, no, we are not losing share. We measure on what is called as DTAM, what is Distribution Addressable Market for us. And that's what we are very focused on. Yes, Apple goes direct in a number of channels. But within the DTAM, both in India and Middle East Africa, we are not losing share.
Sahil Doshi : Sure, sir. But do we see direct share of business for brands growing at a much faster pace than the distributed business? Is that a trend which is seen in India or globally?
V.S. Hariharan: Not really. We are not seeing that. It sometimes changes when there are realignments on distribution strategy. But if I just take the last year, 1.5 years, we have not seen a lot of change on the DTAM which is the Direct Addressable Market from the brands. There might be small changes, but nothing radical.

Sahil Doshi : Sure, sir. Appreciate that. And the second question is a follow -up on 1 of the previous questions on the gross margin. Now, if I see on a Y -o-Y basis, despite a favo urable shift in terms of mix, we have seen some kind of a drop , and we have also seen some benefit of provisioning write - back. So, do we assume this to be a new normal in terms of the gross margin that we should operate at?
V.S. Hariharan: I think Krishnan answered this a little earlier. I think the Technology Solutions side, we see a bit of erosion of gross margin , because of the higher component of bigger deals. We do see big deals coming in the next few quarters as well. So, as the component of big deals versus the run rate business goes up, we might see a little bit of trending in that direction. But we do look a t return on capital employed as we take on these deals. So, there'll definitely be good ROCE deals even if the g ross margin percentage goes down a little bit.
Sahil Doshi : Sure, sir. And just the last 1. If I see renewable energy, which was a vertical which we just started focusing a couple of years back, possibly in the last 2, 3 quarters, we have seen the rate of growth has slowed down. Any possible reason for this? And how do we look at this business going forward?
V.S. Hariharan: Sure. So , the solar business was largely a business that we were targeting rooftops. And there were regulatory changes in the environment. The large part of the business is done with imported

solar panels. And as the

ALMM measures came in, we had to readjust our business model and partnering with local solar panel companies. We have done that.
And we have also adjusted to the new Prime Minister Yojana Program that was announced. So, we have actually created now what is called as the Redington Solar Franchise. It's called the RSFC franchise that we have created. And we are working with EPCs who want to be part of our franchisee model, along with the Prime Minister Program of subsidizing rooftops.
We are actually quite optimistic about this. It will take some time to change the business model from an imported to a local and going into this franchisee model. But as we get into the next fiscal year, we do see our ability to play again in this market w ith a new business model quite strong.
Sahil Doshi : Sure, sir. Thank you so much. And best wishes to the team, sir. Bye.
Moderator: Thank you. A reminder to all the participants, please restrict yourself to 2 questions. Next question comes from the line of Nikunj Mehta with Wealth Guardian. Please go ahead.
Nikunj Mehta : Good morning, sir. My first question is regarding the Rest of the World growth. At EBITDA level, we have about 15% growth. And then at PAT level, the growth slowed down to about 4%. So, what component exactly led to this slower growth at PAT versus EBITDA level? Can you please tell us?
S. V. Krishnan: See, the key aspect is the interest cost, and there is an increase in depreciation in Turkey , because of the inflation index. These 2 have contributed for that. And there would also be an increase in the tax rate vis -a-vis what it was, say, last year. This had happened because of a couple of factors. 1, across Middle East in various markets, the corporate tax had come in , and we had been talking about a 23% to 25% as a steady state, the weighted average tax rate. So, we are at about that range now.
And as we are in this subject, I can also tell you as we move forward into the next year, the tax rate could further go up , because GMT is also getting implemented, Global Minimum Tax in various markets. So, I think a steady -state range should be between 25% to 26% from next year. These are the reasons, Nikunj, in terms of where we are vis -a-vis PAT and EBITDA.
Nikunj Mehta : Understood, sir. And can you give an update on ProConnect, what exactly is the strategy for the next couple of years there?
V.S. Hariharan: Okay. So , first thing first, I think we have stabilized the operation on ProConnect. Over the last 4 quarters, you would have seen that our profitability has been quite consistent and predictable.
We make sure that the customers we serve beyond Redington, we unders tand, we have a clear value proposition , and we are getting the right pricing, et cetera. Within the space of logistics, we have decided to focus in a big way on integrated logistics. So, anything to do with pure freight and pure warehousing is not our target.

Our target is to deliver an integrated logistics , and wherever we can do some good solutioning , the team is actually working through where have we succeeded in the last 10 years in the past , and what's our clear value proposition.
So, areas on integrated logistics across the country, specific models where we bring solutioning, including things like mission -critical, et cetera , there are some specific target areas is where we

are headed. We want to make sure that we are driving profitable growth rather than take growth for growth's sake on the logistics side.
Nikunj Mehta : Okay, sir. Thank you so much. And just 1 thing, should we get the sale of that subsidiary closed in Q4? Or is it going to get extended towards Q1?
S. V. Krishnan: We are keeping our fingers crossed. We also wish it will get done by this quarter. We are very confident. Let's see. See, since these are regulatory things, Nikunj, we can't answer this with certainty, but our expectation is this quarter.
Nikunj Mehta : Appreciate it, sir. Thank you so much, and wish you all the best.
S. V. Krishnan: Thank you.
Moderator: Thank you. Ladies and gentlemen, due to time constraint, we have reached the end of question - and-answer session. I would now like to hand the conference over to the Management for closing comments.
V.S. Hariharan: Thank you. Thanks for all the questions, and hope it was helpful. Thank you again for listening in, and we look forward to delivering good results for the coming quarter and we'll keep you informed as the analyst meeting gets firmed up , as we get closer and look forward to seeing you all in person. Thank you. Have a good day.
S. V. Krishnan: Thank you.
Moderator: Thank you. On behalf of Redington Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Mar 2025

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March 12, 2025

The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai – 400051.
Symbol: REDINGTON BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai — 400 001
Scrip: 532805

Sir/Madam,

Sub: Transcript of the Analyst & Investor Meet 2025

Pursuant to Regulations 30 and 46(2) (oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of the Company's Analyst & Investor Meet 2025 held on March 0 6, 2025 .

The same is available in Company's website at https://redingtongroup.com/wp - content/uploads/2025/03/Redington -Investor -Meet -clean.pdf

We request you to take this information on record.

For Redington Limited
K Vijayshyam Acharya
Company Secretary
Encl: a/a

"Redington Limited
2025 Analyst & Investor Meet Conference Call "
March 06, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 7th March 2025 will prevail

MANAGEMENT : PROFESSOR J. RAMACHANDRAN – CHAIRPERSON AND NON-EXECUTIVE DIRECTOR – REDINGTON LIMITED
MR. V.S. HARIHARAN – MANAGING DIRECTOR AND GROUP CHIEF EXECUTIVE OFFICER – REDINGTON LIMITED

MR. S.V. KRISHNAN -- FINANCE DIRECTOR (WHOLE - TIME) – REDINGTON LIMITED
MR. RAMESH NATARAJAN – CHIEF EXECUTIVE OFFICER – REDINGTON INDIA & SSA
MR. VISWANATH PALLASENA – CHIEF EXECUTIVE OFFICER REDINGTON MIDDLE EAST AND AFRICA
MR. SERKAN CELIK – CHIEF EXECUTIVE OFFICER – ARENA GROUP
MR. CEM BORHAN – CHIEF EXECUTIVE OFFICER – REDINGTON TURKEY

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REDINGTON MIDDLE EAST AND AFRICA
MS. PALAK AGRAWAL – GENERAL MANAGER ,
MERGER AND ACQUISITION AND INVESTOR
RELATION S – REDINGTON LIMITED

Palak Agrawal: Good evening everyone and welcome to Redington 2025 Analyst and Investor Meet. I'm Palak Agrawal, I lead Investor Relations for Redington . I would like to welcome each of you for coming here today from far and wide.
We would like to cover a little about us, what we do, what the market holds for us and our strategies for growth. Without further delay, I would like to invite Mr. V.S. Hariharan, our MD and Group CEO to lead us forward.
V.S. Hariharan: A very good afternoon, warm welcome to this meet and I've probably interacted with a lot of you over the earnings call and good to see so many familiar faces against the names of the questions asked and look forward to the next three, four hours both in the presentation, the Q&As and then beyond that.
So what I will do is take a little bit through our story, where we have been and what is what separates us, what is our DNA and then as we unfold the presentation, I'll come back to talk about a little bit of the strategies moving forward. So let's talk a little bit about the company.
You heard a lot of this in the video, our scale, how big we are in terms of number of employees, channel partners, brands etc etera. That has really got us to a position where we really get a table with a lot of our brands. From products perspective, we have a range of products from mobility, PCs, server storage, software, cloud, AI and we keep adding more in the technology domain and a few in the non -technology domain.
We've been a board -governed company for a while now and 2017 the promoter stepped off and we've been a fully board- governed company and we're very fortunate to have a fantastic board, very qualified, very experienced and we're also fortunate today to have the chairperson of the board with us, Professor Ramachandran.
You'll hear from him later today and he'll also be there to interact on the Q&A and I think you will see how much of a strength the board brings to the company from an advisory governance perspective. We've also been a very stable company when it comes to credit rating, very stable when it, we've also got a good ESG rating as well and of course the financial performance.
You will hear from my friend and colleague Krishnan later about how we have done over the

last 17 years since IPO and even in the last few quarters, how we have progressed and we are very proud that we are nearly $ 11 billion last year and component annual growth rate of double digit in that journey from IPO and a very good ROCE as well. We also invested in ESG a lot, so you see the Redington Towers in Chennai is actually a LEED platinum certified building. We'll share with you as time comes in terms of our ESG focus and how that intersects with our business strategies as well.

This has been talked about, I wanted to re-emphasize the fact that we are the seventh largest IT distribution company in the world. The total distribution market size is about $ 400 billion globall

y and we were number nine the previous year, we've climbed to number seven. Obviously, we aspire to be in the top five and we'll work very hard towards that and take a note that this is with the fact that we are not operating in U .S., in Europe or in China, so we are not

in the three biggest markets of the world yet we are number seven and the distance separating us two or three in front of us is not that large and we aspire to grow.

Talking a little bit about the geography piece, again you heard a lot about this, we have been, we are in 40 markets and what is important is we just don't get into a market, we take us, we strive to get a strong leadership position, we are number one in I ndia, number one in UAE, number one in Saudi. These three markets are 70 of our business and we are number one in Africa and number two in Turkey and you'll hear from the Turkey leader, in a challenging market we have done very well to build a business li ke that .

And in the 40 markets that we are in, the unique thing for us is we have in-country presence with in-country templates, so we don't kind of replicate a template, we make sure that we localize, at the same time we remain compliant because we are a listed com pany and that's how we differentiate ourselves from our peers. Some of the global distributors find it hard to localize and some of the local distributors find it hard to be compliant, so we take that middle position between and make sure that we get our advantage there.

We continue to add the last couple of years, we got into South Africa, we've got into CIS countries and now we are ready to get into ASEAN. Talking about brands, we have nearly 450 plus brands but the top 10 brands comprise about 80 % of the business and with these brands we obviously work much closely, have joint business plans, we have initiatives and we're also represented in all their partner advisory boards .

So we really get a seat at the table trying to get to learn strategies early and to influence and shape their narrative, our narrative, so that's a privilege we enjoy because we are the seventh largest and because of our size and scale. Though the next 400 brands are getting very critical, talking about technology solutions, cloud solutions, there are many brands that are growing in the space of software and everything as service and new categories are also growing .

And it's really critical for us as we get into the next decade that we really get a lot of these software companies get to the top 10 and you will see in time to come the software part of the business and the software service part of the business is going t o grow very rapidly.

So that's how we look at brands. Another very important dimension for us is reseller partnerships. We have over 70,000 partners that we work with and the most interesting thing is it is very segmented. You can see at the bottom we work on segments that go into rural, mainstream, then we get into large format retailers, e-tailers and brand, mono-branded stores, consumer electronic stores.

We have created our own channels, you'll see some of that later like D2R, Direct -to-Retail . We also, as we go up the food chain, we work with vendor managed partners as well as Redington managed partners in the value business and at the top end of the pyramid where you have enterprises and government, we work with SIs, value -added resellers, cl oud service providers, MSPs, ISPs, the whole range and so we have sales teams, business unit teams, brand sales managers who can really focus on specific partnerships with right domain knowledge.

What does this all mean for Redington? So we have really taken three dimensions. We have a portfolio of businesses, right now organized under four business units. We have a portfolio of brands, top 10 being about 80% o

f the business and then the 400 plus brands and we have a portfolio of geographies. This allows us to really decrease our risk, manage our business quarter to quarter.

There could be an NPI this quarter in mobility but there'll be something else next quarter.

Similarly, one geography is doing very well in these quarters and then there is a festive season coming up. So our portfolio of geographies, our portfolio of busine sses, the portfolio of brands really help us minimize risk and of course the most critical thing there in the dotted line that you see the omni -channel array of retail reseller partners which is 70,000 plus gives us that edge to reach any customer anywher e.

Next, I'm going to get into a little bit of a professorial thing in terms of talking about what we do and our DNA. This is a question a lot of people asked. Are you a trader? Are you a distributor?

What do you do unique and what is the asset that you build? What is different about you?

And so typically we play a large role between the brands and the customers. The brands create the innovation, the technology, the customers consume technology and we are enabling technology adoption. And how do we do it?

We build an asset, an IP in the business model and it is a combination of people, process and technology. We have product managers, product marketers, we have operations people, we have finance people, channel sales and marketing. You saw our demand gener ation as well.

So the whole nine yards and over the last 30 years we have been working on hardware and physical solutions which is more than 90% of our business. And traditionally in hardware the kind of things we need to do is engage and create a supply chain and you wi ll hear from our ProConnect leader later the kinds of things they do. So the 3PL stuff, warehousing, freight, getting the product from the vendor all the way to the customer.

We also do a lot of inventory management. The whole inventory management is risky for brands to manage the inventory. We manage on their behalf very efficiently, effectively. We also have grown from managing and providing credit to the channels to getting financing options and we have now a variety of financing options, not just channel finance, project finance, different kinds of financing options.

Over the last decade, decade and a half, we've gotten to the value business. We have known how to create product configuration, product solutioning, pre -sale support and we've got teams building this out on server storage software. Not just that, the channels have evolved over the last decade, decade and a half. So we have an omni -channel approach and you saw the different tiers of channels to reach different types of customers. So we've taken an omni -channel approach.

We also built our own unique routes to market. There are a lot of available routes to market today available in the market, but we have created our own for certain brands, certain products to maximize the efficiency and effectiveness of their reach. We als o have our own inside sales

team. We have also an inside marketing team, so we are able to do marketing qualified leads and sales qualified leads. So this has happened over the last 30 years.

Over the last five years, we have really got engaged a lot more on non- physical solutions, which is a different cup of tea. And here things are sold, software licenses are sold, you sell everything as a service and you will hear terminologies like IaaS, PaaS and SaaS. But the beauty of this route is end customers consume technology. They don't own technology and it's not an eve nt-based consumption, it's an ongoing consumption.

And the business for us is a monthly run rate business, sometimes even weekly, sometimes annual. It is good for us because once you're locked in, you keep getting the business, but we need to keep differentiat

ing. We need to keep adding value to retain tha t business.

So to do this, we have been building, obviously credit and financing is a DNA that's known to us, but we've been building platforms like CloudQuarks which does customer analytics, which does lifecycle management. We are able to drive consumption, we are ab le to create a marketplace. We are in the beginning of that stage, but we want to really scale up some of these initiatives.

We are getting into professional managed services, professional services and managed services and we want to really scale this up. And so this is an area that's what is going to trend into the future and we must be part of it and we must be really good at it. We are very good at the top part and we are very good at the bottom part, but we must scale up.

So that's a little bit about our DNA and value added in addressing both these strengths. Now let's talk a little bit about the assets behind our DNA. What are they and how do we evolve and stay ahead? Some of them are very typical of any organization, but we have a strong IT team. We are working on digital transformation because as AI and cloud is on us, we must make sure that we have cutting edge IT internally.

We are on the cloud already and we are secure. We are an ISO 27,000 certified company. We have a lot of bots we have put to use. We have over 500 bots. So robotic process automation is critical for us. We are working on how to set ourselves up for data and analytics and to digitally transform. We're also building a GCC, a global capability center, so that we have capability in the areas that we need to bu ild capability for and enabling them with AI.

Two other things that we have built over the years which we are very proud of and very critical pillars of the assets that we

have. One is ProConnect, the supply chain team and they deliver best on integrated logistics, the solutioning approach. Recently, about a couple of years back,
we launched a premium mobility brand and we built a separate channel for that.
And to being able to build a solutions approach for logistics, that channel is critical for us too.
So we use a lot of tech enabled platforms there. And the last one, which is also a critical asset
we built, is a back office, which is based in Chennai, whe re we do everything from order to cash,
procure to pay. And we also are looking at how to do business process restructuring and create
better efficiencies. And I mentioned about bots already. A lot of the bots are in operation in the
back office.

Before I go there, you look at the kind of transactions we do. We process 900,000 sales orders
in a year, 500,000 POs, 100,000 invoices and 60,000 parts. And that's where a very efficient
running machine is critical. We also have great access to funding to run our operations daily and
we have a good relationship with the leading banks.
RTM assets is another very, very critical enabler for our success and behind our DNA. We built some unique routes to market. I talked about D2R, it's Direct -to-Retail for some premium
mobility brands. We work with regional LFRs, not just Pan -India LFRs. We work with outbound
retail, but we also work with small retail. We work with a lot of consumer channels that we build
out. We work with MFIs. We also built out Redington- led mid -market and enterprise channels.
This is an addition to the vendor managed channels. And we've talked a lot about the digital platform over the last two years. This has really made a significant difference for our long -tail
smaller partners, which there are whole lots of them and we want to be able to grow the long-
tail partners.
And finally, CloudQuarks, I mentioned that it's again a very good platform for really making it
digital first when we interact with our cloud partners. So again, the last two slides, I wanted to
share with you our DNA and t

he assets behind our DNA.
I look at the leadership team. I think this is a very critical element. We have a very experienced
and diverse team. It's almost like a soccer team. We have 12 people here. Krishnan will come
later, my partner in crime. He's a CFO. He's been with the company for more than 25 years and
amazing guy. I've been here for a year and a half, as many of you know.
And what I've seen invested in some of the leadership teams here is amazing. And that's what
has helped us to be growing double -digit every year. And then you have Ramesh, who leads
India. Amazing stuff that they have done. You'll hear from him. Vis h, who leads Middle East
Africa. Again, you'll hear where we are headed in Middle East Africa.
A lot of you have asked questions on how do we manage risk versus return. And Krishnan will
talk a little bit about it and so will Vis h. Serkan Celik and Cem, who are leaders in Turkey. You'll
hear from Serkan later about Turkey and some of the innovations there. Serkan Kutlu, who leads
our Strategy Office. You'll hear about the market trends and how we are looking at them.
Soumi is our HR leader. He'll not speak today, but he'll be there to interact. Deepak Puligadda, who leads our Technology Office. He'll also be there to answer questions. Vijay will talk a little
bit about ProConnect. And Srinivas, who leads our back offic e, is also here. He'll answer some
Q&As.
In addition to that, we also have Puneet Chadha, our chief marketing officer. And he's here in this room. And Nehal, who leads our cloud business in MEA. And we have the CFOs from India
and CFOs from MEA. So we have a whole team here.
We want to make sure that we give you a chance to interact with them. And of course, Nehal, who leads our IR (17:30) (Wrongly said, its Palak who leads the IR) . To summarize, we talked a
lot about who we are, how we come together. I think this is a very important slide for me. Our

portfolio of businesses that we have built, a portfolio of brands that we have built over the last
30 years, combined with the leadership position that we have built, gives us scale. Super critical,
because today, a lot of brands are consolidating.
And they want to talk to the leaders. And they want to have fewer distributors who can invest,
who can make a difference for them. On the other hand, we have a portfolio of geographies. And
we are in emerging geographies. We are in emerging markets, multinational. And the routes to market we have created, the key assets I talked about, the operational efficiency gives us the
identity.
Behind it all is a fantastic, not just a leadership team, a middle management team, and a great
team of 5,200 Re dingtonians. And our DNA, I talked a little bit about the DNA that we have
created in the secret sauce, the IPs in the business model, the IPs in people, process, and

technology. And so that's what makes the difference of who we are.
Thank you. And now I would like to introduce Krishnan, my colleague, CFO, Group CFO.
Thanks, Krishnan.
S.V. Krishnan: Good evening to all of you. A sincere thanks for having come here and spend your valuable time. I'm sure you have got a lot more contents to hear from all of us, the global leadership team, our chairman is here. And I'm sure the next three hours is going to be an interesting time.
Here is I am. If there is one individual who had been in touch with you, I'm sure there are constituents who have been there. I mean, with whom I had been in touch for almost 15 plus years. You haven't come here to listen to me, I'm sure. But I will try to be as brief as possible. And of course, there are a lot of contents that will come after this.
This is, you will see across the board, our performance over a 17- year period, we got listed in the year 2007. We were a company with about INR 8,000 plus crores of revenue, and about INR1

02 crores of profits. I still remember during the IPO time. I mean, some of the prospective investors asked us, you have done a great job. You are already an INR 8,000 crore s company. How much more can you grow from here? I wish some of them are in this room. We are today, as we finished the 17th year of F Y '24, we are 10 times bigger. And I'm also very proud to tell you, maybe as we finish this year, the incremental revenue could be of the size. The, I mean, the nature of the business hasn't changed.
But what you see here very clearly is a consistent year after year after year growth. A 15% revenue CAGR in this period, a 15% EBITDA CAGR in this period, and a 16% profit CAGR in this period. We would want the numbers to talk for itself. A 10 x growth in 17 years in revenue,
11x in EBITDA, and 12 x in profits. Stellar performance.
And of course, you can see, I mean, the percentage hasn't changed much. That's the way the industry is. Even the global players, there are many of them who are listed, about between 2%
to 2.5 %, stretch 2.7% is operating profit. And about 1 to 1.2% , to stretch about 1.4% is the profit after tax. When I joined the organization, the revenue in 1998 was INR 280 crores. And you can see where we are now.

And this, this consistent increase is possible, because number one, we are present in some of the interesting, the fast growing, and also difficult markets. And we have also built the business model so intensely, the in-country, the business model, which H ari talked about.
I mean, what that in -country means, in every market, we have entities incorporated there, we have the local nationals working there, we have stocks on the ground, we build in local currency, we give credit. In all respects, we compete with the local player s as a local player. That's the business model that we had built, which is why our results show so consistently the performance like this.
And just not the seventh largest player, in all our markets, I would say we are either number one, or a close number two player. And this is something which is, which is a very, I mean, very stupendous infrastructure that we had, that we had built. And since we are a global player, I thought it's important, we need to compare how we are vis a vis the global top one and top two.
In terms of CAGR, we are twice over compared to them on a similar period. So, I mean, this is something which is, which is very credible, as far as we are concerned. And I mean, you are going to interact today with the constituents who have made this happen over this period.
Now, I am sure in the last two years, this has been in the top of your mind. And this has this has come out in various, various discussions. What's happening in Redington? Why the margins are
coming down? Why your working capital is going up? Is something wrong?
I thought it's important for you to understand. In the last few years, what has changed in the market? What was unique during the COVID period? So, you can see here, a period just before COVID, the COVID period, and the post COVID, of course, one year and we have nine months of results in front of you. What is important about COVID period?
That's a time the demand for the IT products shot up in the market. All of you know about it. I mean, there was work from home, learn from home, even this thing play from home. So, it created a lot of consumer demand. It spiked significantly. The enterprises need to prepare themselves for the same work from home, work from office, hybrid model, digitalization.
So, there was a huge demand for the IT products that gave us an advantage in terms of revenue. But at the same time, because of the supply chain challenges, on account of lockdowns, COVID related, etcetera. And as all of you know, the chip shortage that was acutely being faced for almost about 18 to 24 months, resulted

in supply being highly constrained.
That was a time the demand was chasing supply. And as, if I may say, an intermediary between the brands and the channel partners, give us a huge advantage, just not on revenue growth, on

profitability, and also on working capital, because when there is hig h demand, supply is less, my inventory is less, my AR is less and accordingly working capital is less.

But you need to give us a credit. If you go back to all the conversations we have had that time, we had forthrightly told you, this is not sustainable. While we did not know how long, but we did tell you, it will get normalized, we have been saying it, we are in the normalized period. So, we are not surprised at all.

But the beauty is, see where we are, as we speak now, be it in terms of operating profit, be it in terms of PA T, be in terms of return ratios, and I am going to show the working capital days, we are better than the pre-COVID days. That is something which we had worked on it and we feel very, very happy and confident about maintaining this.

And again, if I need to talk about, I mean the global players, you see a range in terms of the profit percentage, you see the range in terms of return ratios, we are on the top end, sometimes even beyond the highest range of the global. So, here is a company which is just not the leader in the markets, which has grown significantly faster in all the three key metrics, but the profitability and return ratios are also better.

And I can tell you for your comfort, the leadership team which is here is governed while our variable and incentive metrics are based on profit growth, revenue growth, whatever you look for is there as part of the, I mean the performance metrics. R OCE is a gate.

What do I mean by gate? We achieve 120 %, 150 % in terms of revenue and profits. We do not achieve the specified threshold RO CE, we get zilch. So, look at how aligned is the leadership compensation with how, I mean a company need to get run and this is one of the reason why you see, I mean numbers like this, I should say superior numbers like this. One is the financial numbers. What about other metrics?

Number of markets, number of brands, customers, number of warehouse s, warehouse space, invoices, bankers. Believe me, we are a much, much larger company today vis -a-vis where we were and this is just point -to-point. If I give you, while we have a challenge in terms of the data, but if I can call out and give you over a 17- year period, I am sure it would not be very different from a revenue or whatever you have seen in the, I mean in the previous slide, much lar ger setup and while revenue went up by 10 x, profit went up by 12 x, look at the market cap that again had gone up by 10x .

All of us have studied, I mean the market cap over a longer period of time will be a reflection of profits very, very clearly. That is the way it is and even in terms of our credit rating, in terms of size, in terms of the rating, we are rated A1 + which is the highest rating for short -term debt in 2007 which continues till now, but for a much, much larger amount and in between we also had a dwell rating, we also had a long -term rating which is A A+ and we were told by the rating agencies that there is no di stributor globally who enjoys this rating .

And this we are, I mean we are having it for the last about two plus years, this makes a big difference between how we are positioned, how the investor community, I am sure many of your debt colleagues in the mutual fund must be subscribing to our CPs and i t, I mean it helps us significantly in terms of the finance costs.

And finally, again during this period, if you want to see the split of India vis -a-vis overseas, it is broadly been within a given range, while since the U .S. dollar balance sheet and P&L when it gets converted, there are som

e exchange rate advantage in the case of overseas, but at this size to maintain roughly a 45-55 -50-50 balance, I think it is to do with as Hari said, the multiple units, multiple geographie s, multiple business, whatever metrics I had told you, each and every

business manager, each and every country manager is gold on and what you see and what all of us are seeing is an aggregation of that.

Balance sheet, in this industry we strongly feel balance sheet management is the crux. In our internal reviews, we give very high preference to where we are in terms of balance sheet. Just, if I just need to tell you, we are in the month of March and we may be tracking some some growth. If you want higher growth, just let loose on, on our ba lance sheet, we can get higher growth.

It is, it is easily possible, but we do not do, we have never done. Why? Because it is not sustainable, it will disturb the market. So, the balance sheet hygiene is something that we had always been focused on and that is a key strength of Redington. Just look at the debt equity ratio. Over a similar period, our norm, our comfort is about 0.7 x. We have ensured majorly it has been well within that. There was a time between 2011 and ' 13 where it, I mean, it went, it went above that and we modulated the dividend to such an extent that we were, we were quickly back on track. And similarly, when our debt equity came down significantly in the last four, five years, we have increased the di vidend payout.

Earlier, it used to, it used to be 20 %. If you look at the last five years, the dividend payout is about 40% . So, this balance sheet discipline, we think is very important, that again differentiates us with many players in this industry and the key component of this debt equity is, of course, the working capital days, which again, I am sure, you will recognize that pre -COVID, our working capital days were about 45, 45 plus days.

You can very clearly see on the screen, It went down substantially during the COVID period. As I have said, it is more one -off. It has gone up, but we are at about 35, 36 days. We keep hearing from people, what happened? Why your working capital days has gone up? It is still much lower than what it was in the past. And we had said, our expectation is about 35 to 40 days and we are within that range.

Risk management with a wafer -thin margin like this, it is very important you manage the risk quite intensely. And we are in markets which are not easy markets, which has lot of geopolitical tensions. So, it is important our risk management model is robust. What are all the key risks?

While we can talk about outside of this geopolitical risk, some earthquake can happen in some place, some war can come in, war can get stopped, but those are completely beyond our reach.

And when there is a COVID moment, we know how to handle and you have seen, how have we handled? But the key business risks are receivable risk because we are credit, I mean, we are giving credit in the market. Inventory risk, as we are keeping inventory in the market, there is a commitment to the vendor, we will keep inventory.

Third is the forex risk. We have, I mean, we have given the forex risk separately because that is something not controllable. The receivable risk and inventory risk is something that is built in into the business, so we know how to handle and we keep track of it day in and day out. What you see here is our provisions, inventory and AR provisions over this period. We have a very consistent provisioning policy, which we have been following across.

It has a conservative bias and you can see over the 17 -year period, our inventory provision is about 10 bps, 0.1% of the revenue, sorry, our receivable provision. Our inventory provision is 6 bps, which is 0.06% of revenue. So, together we are talking about a 16-bps charge in P&L for both the risks.

In this period, the maximum at any point in time has been 30 bps. But uniquely what you can see here, whenever there is a spike, the subsequent year there is a trough. What shows is, we know how to handle if there is an exigency because of whatever reasons , right. So, this is something which has helped us to maintain our profitability to say 10 bps of delinquency, 6 bps of inventory loss, you can easily size what is the quantum of risk that we are talking about.

Next is f orex. To deal in 40 markets as wide as Nigeria, Kenya, Turkey, Rwanda, so you can imagine how difficult some of these markets are and you can see there how the depreciation has panned out in this period. I mean, I am talking about the currency depreciation. We have, since we do not, we do not control, we are not in control of the forex market, our policy is to take a plain vanilla forward contract, pay the premium, build the premium as part of the product pricing. That has saved us.

You all know, you must be tracking from INR 83 to INR 87, INR88 Rupee has moved . We are unhurt because we have taken the, we have taken the cover. So, we blindly take a forward cover, that is our policy. But having said that, there are some markets where, I mean forward contracts are not possible. So, in which case, we have different other, other methodologies, the business model could be such that a natural hedging is possible. If that is also not possibl e, then say in the case of MEA, we do offshore business out of UAE or we downsize the business.

For example, what happened in Sri Lanka two years back, right. I mean, we could not take a forward contract, dollar was not available with the central bank, we could not bill from the other place, we downsized. What happened in Egypt one year back, we downsized.

What is happening in Bangladesh today, we have downsized. But since you have multiple markets, it does not impact us. But again, the key is, if you need to size this risk on, for this period, our forex loss is about 5 bps in P&L.

I am sure many of you must be tracking the cash flow and this is one subject which this group keeps, I mean keeps looking at and there are investors who say, if a company does not generate consistent cash flow, I do not invest in it. I just want to tell yo u, this is a business where we are not a manufacturer, we are not a brand owner. As a person between the brands, as a company between the brands and the channel partners, you cannot look at cash flow for a shorter period.

You have to look at it for a longer period. That longer period will give you, because some of the short -term volatility, some festival season went well, some festival season does not went, I mean go well, an NPI went well, make a big difference in terms of that quarter closing, which will impact the free cash flow. So, if I need to tell you over a 17 -year period, we went IPO in 2007. The money that we mobilized was INR 138 crores net. For your info, 11 years down the line, it got returned back to the shareholders, maybe a different set of shareholders in the form of a buyback. No capital got raised.

In this period, no capital got raised. 15% CAGR, we just saw. 40 % dividend is the dividend policy, last 5 years we have paid 20 % from IPO till that time. Third, look at the debt equity, during our IPO the debt equity was 0.7 times and today it is about 0.2, 0.22 times. So, here is a company which over this period has generated sufficient cash to fuel the growth of 15 % CAGR, to pay back shareholders at these payout rates. Third, and also to repay the bank to an extent where we are quite comfortable as a fin ance side, I can very clearly say our gearing is really good enough to fuel the growth into the future.

We don't feel any challenge in that. So, this i

s what in our view, very important. I can tell you for your comfort, internally in Redington , the key mantra is what you see there. The top line is vanity. Believe me, top line is vanity. Bottom line is sanity. Cash flow is reality. Now, these are about the past. What are we thinking about the future?

You will, you will hear from all our leaders and I think that is a very important part of this meeting, but we also thought it is important to brief you as to our current thinking in this subject.

One is inorganic growth. First, I want to calm down your mi nd, you know about Redington .

We are very sensitive about the capital allocation. We don't put money onto anything without being sure that it is going to be value accretive for us. So, we will be careful, but if there is, if there are some areas, what the thought process would be?

It could either be in areas that will, that will help us in our, organic growth or it will fill certain gaps to make a much stronger organization into the future or it could be in some specific segments, a business segment or it could be a unique service capabilities or it could be some vendor relatio nship or an interesting assets.

These are the areas, if we think it is going to add value for us as we move into the future, we would make some investments and we also want to make sure that the leadership position that we have created, we don't want to lose out on the key markets. So t hat is something which whatever we do will ensure our leadership position is protected.

As Hari said, the global and local model, Redington is a classic example of distributed decision making. As we speak here, an employee in Nigeria, an employee in Angola is taking a credit decision, is taking a stock decision and, and we are quite okay. That is a distributed decision, decision making model that we had built having said that there are some governance standards, there are some compliance standards which are strictly need to be followed as a rule book being driven by global.

So, that global - local - glocal model is something while is working very fine, we would want to perfect it, we would want to make sure it is a big enabler. And then finally, we would want to make sure that the entity structure is such that if there are any capital requirements as w e move into the future, we should be able to generate that. Next, we would want to make sure that our performance, the financial performance and the business performance is on the top of the range. At the same time, maintaining the strong balance sheet, that is something which is completely non-negotiable. Second, as a listed company, I am sure all of you know, there are, I mean there is a quarterly exam that we need to write and then clear that exam , you are, you are watching us

every quarter. While we need to make sure that our quarterly performance is good, but at the same time, we also need to make some investments into the future which you will keep hearing what those areas are, that is not going to give immediate returns.

But as an organization where we would want to make sure we succeed into the future, we have to make those investments and also make sure that our future growth is secure. And then finally, since we are present in multiple complex markets, each market has d ifferent maturity levels in terms of the financial situations and we would want to make sure we navigate successfully by using technology. And finally, finally, the comfort that I can give you, whatever number that you see will always be a risk -adjusted p rofit.

There is nothing you need to be worried in the mind as to, is this number without this, without this, can it go down? It could be conservative, like we had seen in the risk management slide, where we had to provide for an AR because we feel it has got delayed, but we will make all, efforts to collect, when it g

ets collected, it will get reversed. So we will do whatever it takes to
make sure what you have seen in the last 17 years gets replicated, if possible, even better as we move into the future.
And we will definitely keep you informed on each of the steps. Thank you and all the best.
Thanks.
[Video Advertisement 45:22]
Ramesh Natarajan: Good evening, let me give you folks a couple of seconds to settle down their emotions. Okay.
And one needs to really give it a whole lot of partners out there, whose engagements and relationship with Redington has been over the last three decades, complete ly transforming themselves from three generations that at least I have known of. I have been here for about close to 28 years. This is a true story and there are many true stories that have been a part of the journey of Redington .
And hence we are where we are today. Just to give you that, just one of the stories. But since we started in 1993 to where we are today, the second generation is also probably working towards handing over the mantle to the third generation.
And that's the transformation that we all have worked together. Quickly, running on to the performance. I think there's a whole lot of talking that has been done by Hari and Krishnan. And I don't want to really run through the numbers. The numbers are there for you to see. But what gets orchestrated behind is the truth of the culture and the philosophy that we have built on this growth journey.
It's the stakeholders in the space, I think as Hari spoke about the rental management, the brand management. But what goes very clearly is that how does Redington establish itself to be a tactical and a strategic player for them? Most of the brands, at least the top 10 to 15 brands that contributes close to 80% of our business have been with us for about two decades, if not close to three decades.

What gets them sticky with Redington? What gets them to drive growth along with us? And that's exactly where we transformed ourselves from just being a pure play components player, or a PC player, or a print player, or notebook player, to a value -added distributor, to a technology solutions distributor, and a go-to -market transformative distributor.
And there are a lot more coming in our ways. A lot of these have happened by virtue of brands bringing in new er forms, the world changing in terms of IT getting consumed. In all of it, how has Redington and the stakeholders, and the people, and the team that we have, have transformed themselves from being who they were, getting themselves certified, trained, transforming the channel models, working along with the partners to figure out how they would tra nsform.
How do we get them to be using technology? How do we ensure we train them up to democratize technology to the customers? And hence, from the time the tech comes into the time, partners adopt and get the customers to adopt and make it a complete life cycle management.
It's what Redington has been doing over the last many, many years. 2007, when we got to public, I know for a fact that a lot of go-to -market new changes that were coming around, large format retailers, e-tailers. And along with them as an ecosystem, we have collaborated, we have worked against them or along with them.
We have been rendering a whole lot of services, but they could not do so. No more it is “ I” or “you” or it is a “ we”. And we have ensured that every single go- to-market have been a very collaborative approach in the ecosystem.
And it's now an ecosystem -accelerated transformation journeys that we folks are going through every two to three years out. As I said, the left side of the slide would probably talk about many go-to -markets that has evolved over the times. Everything is a learning that comes in about 18 to 24 months like the Moore's law.
And every time when there is a c

hange and transformation in the market, how do we adapt, get the part of the ecosystem, work with the brands and ensure that business model gets proliferated and gets to accelerate and grow. And as we keep getting onto that, there are adjacencies that comes across channel, technology, product, project management, direct -to-retail, regional efforts on one side. And we also have many products and categories that we think, how do you take it to the different pipes here?
So that you get to reach the product to the nook and corners of the country. Okay, so we've got many of these that are obviously helping us build scale. Now, we've got again, there's always an 80-20 rule.
So the 20% of the partners contribute 80% of the business, but how do you get 80% of the partners to actually develop more? So we've got telesales, we've got demand generation. The key critical element for us is that how can Redington ensure partners growt h?
And we can get the partners to grow, we automatically grow. Well, external environment is something that is what it is as it evolves. But how do we work closely together of not getting a partner stagnating with something, but keep enabling the growth journeys, not just with one

product category, but with one market, one brand, but with multiple brands, adjacent technologies, getting them certified.
That's the crux of how we use many of these GTMs to accelerate, not just the partner's journey, the brand journey, and our journey together. Key element is the people for us, that's our strength. Most of our key resources, both in the middle management and at the top are very fungible.
We understand multiple technologies. Like the way Hari said, the advantage of having many brands, many geographies, many GTMs, many approaches gives us a 360 degrees of understanding what works when, who do we leverage and how do we leverage, what's accelerating growth and what's decelerating, and what's the future technologies that we need to invest and grow. This template that we follow gets impregnated with the partners, most of the partners, some are capable by themselves, some we need to make them cap able.
And today, as the world evolves, we have invested into many technologies that will get us to be digitally available, and digital is all about scale. It's very easy for some models, which are one to many, but it's so complex to make a many to many. In this context, we have been tuning this up in the last three decades of how to manage the many to many ecosystem in a complex, but a lot more future ready, easy manner.
What we bring is bridging the divide in a way that makes it easy for each constituent in the ecosystem to play the game much easier. You don't have to take all that load. We bring that load, simplify it and make it easily workable for you.
We've got a very nice diversified portfolio. If you look at our endpoint devices, enterprise mobility, they're very balanced in terms of about 30% , 30%. But in each of it, there are many, many products, categories, go to markets that we keep building year on year, every year in working with the constituents.
Cloud is obviously a 4%, but it's obviously growing pretty faster than what we had expected.
There are many other digital printing on demand, 3D printing, textile printing, and more so many other areas that we keep adding up to the product category, which also goes behind the performance that we kept looking on the other side. We spoke about the ecosystem, talked about the product categories, but this is about where we are today.
And as we look at, how do we position ourselves as we move forward on the opportunities? India, obviously becoming the fifth largest economy, being most importantly, the highest knowledge economy available. Availability of knowledge resources in India will probably be number one in about 35% of the workforce being in India.

So that gives you a huge headroom for growth. One of the reasons why GCCs are coming into India is obviously to try and anchor the advantage of cost, anchor the advantage of the knowledge economy, and the advantage of technological supremacy that we in Ind ia are obviously getting across. Along with that, you can see the proliferation of data centers, not just the real data centers, but the latest AI -based GPU data centers, Gen -AI data centers, the India AI mission, which is obviously contributing to the gr owth of servers, storage subsystems, and cloud.

Third, India is slowly - slowly moving towards premium product baseline. While there's still a huge bottom of the pyramid that we're still to explore from an IT perspective, and there are ways and means that we're working with most of the stakeholders to figure out how do we pene trate, but as we move up the layers, the premiumization is coming up, both in terms of mobility and in terms of the other products, nicely fueled and aided by AI.
Okay, and all of these three are growth engines, regard our ecosystem, people, partners, and brands, and our digital platforms, cloud platforms, trying to help bring in a very seamless orchestration of not just the forward integration with the partners, but with the backward integration with the brands that helps us to serve the market with speed, agility, low cost to serve, and hence have a higher productivity as we move forward, not just pure play hardware, but a whole lot of software defined.
The world is moving towards subscription and consumption. And this, we, in the last about three decades, have transformed from all the business models to the latest business models. And I want you to all know, we're getting ourselves equipped for even the future business models that are slowly coming around.
We're go ing to talk about high performance computing, we're go ing to talk about capex to opex, leasing models is all some other models, which we would obviously wait for some pilot before we try and bring in scale so that it gets easily economical and commoditizable. Thank you so much.
Viswanath Pallasena: Good evening, everybody. It's such a pleasure to be in front of all of you to share some insights into the Middle Eastern Africa region where I work out of. First up, I have to say congratulations

to the leaders of Redington for having set foot on this territory of Middle Eastern Africa.
But yes, it's going to be 25 years next year as we start this April of the, since the start of the business there. In the next five minutes or so, I look forward to giving you a view into what we, where we play and what are the things that we do and how we went, how we performed as well.
First up, it is a market which is very, very huge.
The GDP is sizable and is growing, the Middle Eastern Africa region. Just the Middle East countries where we are today, we have UAE just to talk about and Saudi Arabia which are growing at an impressive rates today and are very sizable as well. Much of that growth is actually coming from today as they pursue non-oil kind of income coming in.
And that contribution actually is driven and has to lot to do with what we have in common which is IT. Our IT business there in the market has been steadily growing and it is a sizable $119 billion that is expected this year. It is overall a very exciting place to be in terms of where we are playing today.
And if you look at how we have performed in the last 17 years since the company went public, we have grown our revenues steadily at a CA GR of 10%. A double -digit growth in revenue in a market which is highly competitive and also highly diverse in its nature and has multiple risks where we had to play has been a significant achievement of the past leaders in Middle Eastern

Africa. EBITD

A for us has grown almost in double digits, it's in fact 9% and actually grown six times in the last 17 years.
PAT as well, similarly grew. So summing up, I'd like to say that we have built scale in Middle Eastern Africa and profitably too. And this is one of the, and as we look forward, is one of the most exciting places to be with the digital transformation that is happening across, the transformation to cloud that is happening and the urbanization of the rural that is happening in much part of Africa as we speak.
So we are in an exciting place. So how do we win and what are we doing there? Distribution for us has been reimagined in Middle Eastern Africa. For us, when we started out, we have today, as Hari spoke and my earlier predecessors spoke, Ramesh also spoke about what we do in taking the market.
We have the technology solutions group, the cloud business group, the services group, endpoint solutions group as technology is consumed by an end customer, mobility business, as well as the solar business that we have. Taking all of these things to market , we are today very happy to say that in much of the markets, most of the markets, in fact, we are either the number one or the number two distributor in that market and by a distance as well.
And as we started out Redington 1.0 many years ago, we built a fantastic logistics and a supply chain capability across the multiple. Hari talked about the 40 countries that we do engage with. Much of the 40 countries are around in our region, actually.
We have tremendous amount of opportunities as well as tremendous amount of challenges which SVK touched upon and much of that discipline that has resulted in the business that you're seeing in the steady business that is coming from the Middle East and Afr ica has been contributed by the team of Middle East and Africa team who are posted in wide and far away geographies, experiencing much of the volatilities there, yet managing the business in a very fine way.
So in terms of Redington 1.0, it's all about disciplined buildup of capabilities being an efficient logistics and supply chain provider. Adding, we then went on to add training and pre -sales to that to actually add a layer which actually makes our partners bigger than what they are. We went on in Redington 2.0 to actually add consulting and services around it, wrapped around.
Now what this made our partners to do is to, instead of investing themselves in their capabilities of consulting, in their capabilities of having to service, in not doing that but to look to us to actually provide that and then providing that white -labeled service to their customers. This was then as the business models transformed and then we created a solutions synergy around it and then went to market with a different business model through our digital platforms and processes.
The many platforms that you see today operating worldwide in Redington have, some of them have actually originated from the Middle East and Africa region. Cloud Cox, as we talk about it, which is the platform that we used, started out by our employees in Redington Gulf in the technology solution, what we used to call the value solutions group, putting together and imagining what will be required to come up with the marketplace to meet the cloud solutions requirements in the future.

And that digital went on and then we created also the digital platform for us a kind of loosely

what we call as a digital twin of Redington as well in our markets. So with these things, we are today the technology catalyst that we want to be in the market.
We have in Redington in multiple calls and multiple forums, we have mentioned that one of the missions and one of the critical things that we want to do and achieve is to reduce technology friction in the market. Technology friction, as we define it, is the difference

between the rate of innovation and the rate of adoption and playing a role. For that, one has to be not just a distributor, has to be a catalyst and also lead to become a technology aggregator, which is what we want to become.
And Middle East and Africa region is actually playing that role as well, adding to the strengths of Redington overall. And this is what makes us special in the market. This is what makes us to be sought after in the market.
And by being there and doing all of these things, we add that strength and longevity and future success for the Redington group overall. With that, I would like to invite my next speaker, Serkan Çelik.
Serkan Celik: Good evening, everyone. When we talk about Turkey, there is always two words come into the place. The first one is the opportunity and the second one is the fluctuations or the risk, whatever you call it.
And in fact, this is not only for Turkey, but as Mr. Vish mentioned, it is for Africa. It's also valid for the CIS countries that we are operating like Kazakhstan or Azerbaijan. And this situation, the opportunity versus the fluctuations or the risk situation, in fact, creates a very interesting area for us to develop ourselves and to create new things and to navigate in this very difficult environment, teach us how to behave in that environment, gives us a huge competitive advantage.
I would like to mention to you about a great success story, I believe, which is PayNet. We divested three weeks ago. This is a fintech startup initiative developed in the last eight years period in Turkey with Arena.
As I mentioned, operating in a very fluctuating, very difficult environment like Turkey, teach us how to find different financial solutions to develop our business with our partners and to support their business, to improve their business together with the end users. So with that knowledge, we created PayNet. And this fintech initiative reached almost to $11.2 million service income and $6.3 billion EBITDA and $4.4 million PAT at the end of eight years, last year, in calendar year 24.
And we divested this entity with a valuation of $94 million total consideration, which is a full cash payment. And we already got the money in our pocket. So when we look at the multiplies, you can see that it is almost nine times of the gross profit or 10 times or 12 times of the EBITDA and 20, 21 times of the PAT valuation, which is a huge success, I believe.

And this example, the success of PayNet gives us a huge encouragement to go after that kind of the new initiatives, new thinking, new opportunities in the markets that we are operating. In these 40 markets, we believe that there are lots of similar or in a different form, but new adventures, new startup thinking, new ideas for us to go after that. In that case, for this $94 million valuation or the cash income we got, we decided to use 90% of this money to allocate to debt repayment services.
So it will strengthen our core business and it will help us core business to be a more healthy, more steady growth trajectory. And on the other hand, as I said, we will continue to go after the new initiatives, new thinking, new ventures to create new PayN ets in the coming years to create a huge additional values for our company. When we look at the investment in Turkey, it started in 2010, at the end of 2010.
And since that day, we had a growth in that market. Sometimes we had good results. Sometimes, as I said, due to the fluctuations, we had the weak results. But at the end of today, when we look at the CAGR rate, in the last five years, especially, we have a very good trajectory. And the revenue CAGR is 20%, EBITDA CAGR is 35%, and the PAT CAGR is 17% in between FY19 and FY24. And we believe that although we have lots of fluctuations in the market, these results are very promising for the future.
And when we lo

ok at the market conditions in Turkey, the inflation, the interest rates, the GDP growth, the IDC growth ratios, when we look at our industry, it is very fluctuating. And stability, having the stability in this market is the most difficult th ing. But we know how to navigate in that environment, as I said.
When we look at this kind of the fluctuations, how to manage the opex, how to manage the working capital, how to manage the gross profit, how to manage the relations with the partners, with the vendors, or with the other stakeholders, like the financing institutions in the market, is

the most crucial one. And we had a great experience there. And we already very experienced to implement the required measures to recover when there is a negative result in the results due to these fluctuations.
And in this year also we implemented these measures to recover the profitability. And now, as of today, after the divestment of PayNet and the debt payment to the financial institutions, I'm much, much more confident about the profitability performance of the company in the coming periods.
In Turkey, we have two entities. Arena is mostly on the hardware side of the business, on the enterprise business, on the mobile business, or the end- user business. We are on mostly the hardware side. Redington Turkey, another entity led by Cem, is mostly dealing with the software part of the business. And there is a huge, great success in that company as well. And when we look at the software business, the recurring and the subscription revenue is growing very rapidly.
And there's a sustainable growth we s ee.
And for the coming periods, we believe that it will be a much bigger game for us in the market.
And also, when we look at the software and solution vendor portfolio, it's a diversified structure.

And we have some exclusive distributions on the software brands, which gives us the revenue and the PAT growth at a very high levels.
And over the last three years, when we look at the PAT, it is always constantly higher than 2%, which is very, very good results we believe. And this success also gives us encourage to replicate this model in some other emerging markets like CIS. And we st arted to operate in the CIS region with this software distribution model. And the first results that we are having now is very promising for the future. And we will go after that opportunity for the other regions as well.
And when we talk about, as I said, the Turkey or the Sub- Saharan Africa or the CIS regions, one of the most coming question is what is your strategy? Why you are in this environments? We believe that having this experience, having this teams, having this knowledge to operate in this environments, in this markets is one of the biggest competitive advantages of Redington, because we are operating in this geographies with a very huge track record, very long track record.
And as of today, we are the seventh largest IT distributor of the world. And we have the ambition to be in the much better results, let's say in the top five in the coming years. And this competitive advantage will give us that opportunity to step up in the coming years. I believe this. Thank you.
Vijay Raghavan: Redington not only transforms the life of the partners. I'm here in front of you to present before the update on ProConnect Global. We are integrated 3PL logistic service provider. We operate in India, UAE and Saudi. We have presence in these three regions now. We are basically a contract logistics and secondary transportation provider. We also handle freight forwarding in overseas. We have mission critical division, which addresses basically the critical spare parts handling. We have almost 600 employees on our roles across regions.
We handle more than 800 customers. All these are numbers. And in terms of volume, actually the captive business in the last three

years has come down to 23% to 25% in India. And in overseas, it's 34%. In terms of volume, we handle more than 1,60,000 SKUs. So that's about the volume. And in terms of financial performance, the operating profit continuously is in the double digit. Our CAGR from the inception is, in terms of revenue, it is 25%. EBITDA, it is 23%. EBIT and PACT, it's 17%.
Moving on to the market trends, what we are seeing in both the markets, India and overseas is that there is a huge investment that is coming in, in terms of space and infra. And there is an investment in technology and green logistics is gaining momentum. And we also have the technology, which is basically any service which is done now without the AI or the machine language, it is very difficult to manage the entire flow of the transaction. So AI enabled requirements are coming in, especially on the demand forecasting. This is the challenge.
And being an organized player, actually the organized market, organized players, the market is going to grow from 6% to 15%, almost 9% increase we are expecting by FY '29. So how do we respond to these market challenges? Infra investment, we do have invest ments. We have very recently invested in quick comm. In overseas, we have formed automated distribution center,

which is a state of the art, hopefully with an automated environment with robotics in place. And we are more solution -oriented organization.
We focus more on solutions and we go by customer -centric approach, wherein we have a very strong solution team for each and every vertical that we handle, we have a solution that clearly makes a difference. And in the market, we are also seeing the change in the business model

where generally everybody now started getting into the CPU model than the cost -plus model.
Earlier it was cost -plus model, which was actually creating a lot of requirement from the logistics service provider because cost consciousness has come in. So CPU model is gaining momentum. So we are also marching towards that. And technology again, here dashboards and KPI monitoring is mandated.

Last mile delivery, we have gone into the green logistics. We have engaged bikers and EVs for our last mile delivery, especially for the D2C activity for Redington. On the value proposition, what we have in ProConnect is that, see any logistics company, th is is the core value that is required, which is speed, accuracy, visibility with an optimized cost, with a good vendor base. Vendor here means our source, where the service provider for us. So this base is very much important. This is fundamental for any organization and especially the logistics organization where earlier it was good to have, now it is must to have.

And on this, being an integrated services provider and focusing more on the mission critical activities, these are the core values that we have, which we keep in our mind in our operations, day-to-day operations. Compliance focused, SLA adherence, consistent delivery on the KPI, each customer is having a different KPI, so we need to adhere to the compliance requirement of each and every customer. We do have control towers, 24 by 7, we have a surveillance done, both in India and Saudi. Our focus is more on c ustomer -centric approach.

As I mentioned earlier, for each solution, for each vertical, we need to have a different solution. So it is customer -centric approach that we have at an optimized cost. End of the day, cost is important. And our focus area going forward, what we already s tarted doing it, both in India and overseas is that, geo -expansion, we would like to get into Tier 2 and Tier 3 cities in India. We do have pan-India presence, leveraging Redington's relationship. We have a pan -India presence, we will continue to leverage that and we'll expand into Tier 2 and Tier 3 in India.

In overseas, GCC countries, we would like to expand. And ve

rtical expansion, we have FMCT, FMCG, IT telecom as a major vertical, which we are focusing as on date. In overseas, we do have freight forwarding as a major business, but we would like to expand i nto other verticals. In India, we would like to get into pharma, auto and chemicals. And in overseas, apparel, e-comm. Apart from that, we have pharma and food products.

In terms of technology, we do have a control tower, which is connected with all the warehouses pan-India, in India, and it's AI -enabled, wherein we can ring -fence the safety aspects. For overseas, the new warehouse, what we are having in Saudi will be AI -enabled and with robotic and completely automated environment. Service segments, we'll be focusing more on mission

critical service because of value product and high -value, high-margin business. And in overseas, we would like to focus on 3PL and B2C.

These are the brands that we have. For each verticals, we have the brands listed here in India and overseas. This is just to give you a perspective on how our solution is focused. For each of this vertical, for each of this brand, we have developed our own solutions and we are becoming more of a strategic partner than a service provider. Thank you.

Serkan Kutlu: Hello, everybody. Welcome to our event. Thank you for being together with us today. I'm the Global Chief Strategy Officer for Redington. And as an important part of my role, I monitor, track and try to understand technological trends, market opportunity, h ow this market opportunity is affecting the distribution ecosystem and ourselves? And together with our global extended team that you have together with us today, build strategies, drive strategies, support our teams for inorganic and organic growth initiatives.

I would like to give you some glimpse of the industry, technological trends, industry trends, as well as market opportunity that we have today and try to cue our Group CEO, Hari, regarding the strategies that we are developing to address those trends. So, if you look at the overall industry, there are lots of things happening. I wanted to show you four major technology trends that I totally believe are shaping our lives today.

And I will be talking more about cloud in the upcoming slides. But cloud, especially hybrid cloud, is shifting the customers' behaviors. And this behavior is not only because of the technology itself, but the business model. Shifting customers from being a customer to becoming a subscriber, becoming a consumer. And this trend helps them, from the customer's perspective, helps the customers to consume the technology without any upfront large costs, as well as helps them adapt with the dynamic workloads very easily.

There is one more aspect that I've been seeing a lot. Together with the cloud, customers are now able to reach to top -notch technology through these new subscription models. If a customer might like to build some data analytics software a couple of maybe 1 0 years back, it would have cost a lot for them. But going directly into a hyperscaler or any data analytics company, they can start using day one.

The other important aspect is AI. Everybody's talking AI as a stand-alone technology, but in Redington, we believe that AI is

not a stand-alone technology. It encompasses over everything.
It is coming from the smartphone to cloud. It will be everywhere. It is now becoming in everything that we touch, we will start seeing AI.
I can give you some examples as such. Like 5, 10 years ago, if you wanted to build a website, if you go to a website builder, you would need to pick and choose what you want to do through the website. But if you go to a website builder today, you will just have a chatbot answering you.
What do you want to do? What is the content of that website? What kind of a website you want to build? Who is the audience? It is like becoming a

very, very smart wizard talking to you and helping you build that website. Even a 9, 10- year-old person, I mea n, a child can build a website

together with his AI. And one important aspect is, cloud is enabling AI a lot to reach to the masses.
One other aspect is cybersecurity because we are in a hyper -connected world. And in a hyper -connected world, cybersecurity is an unavoidable requirement. As cloud is helping AI to develop, AI is helping cybersecurity to innovate itself. And it will become like the main aspect of cybersecurity in the upcoming years.
The final one, sustainability. The customers are now -- not only customers, all the ecosystem players, the vendors as well, are building their technologies around sustainability goals. This is becoming a very critical aspect of the technology itself. It is coming in our lives in a way, not only for the future of the sustainability as a technology, circular economy as a business model, it's started to come into our lives as well. So these four major areas we see as important technology trends to share with y ou.
In the first video, maybe some of you have maybe noticed at the end, it says, future is now. And Redington is ready for that. This chart shows -- I mean, the first time I've seen this chart, it's been maybe seven years ago. I've been tracking this for a lo t. In the first time when I've seen this, the inflection point, it was showing 2027 -2028, but we are past that. It is now past.
Now cloud, it's not only cloud infrastructure, it's not infrastructure systems, it's not only infrastructure software, it's not the services. In all the dimensions of enterprise and technology now, we are spending more on cloud than the traditional. We hav e passed that point. We are now going into a cloud-driven world that is unavoidable. And the market analysts, markets inside companies are clearly saying that the cloud will reach out to $1 trillion as of 2026. It's a big opportunity.
When you're talking about cloud, the biggest drivers of this, I mean, new technology or business model is hyperscalers. And as you well may see, there are two major companies driving this, AWS and Microsoft, which we are distributing in many, many different geographies today.
And there is a, if you have -- I mean, looking at the previous slide, this kind of an impact in the IT spending, now cloud or this kind of technologies are not only relevant to large enterprise companies. It is relevant for midsize companies, second tier companies, or SMBs, SMEs.
So these hyperscalers are coming to us again and again, willing us to create more partners, onboard more partners, educate more partners so that they can expand their base. They want to scale and they've clearly recognized that they cannot do it by themsel ves. So we are helping them a lot to make a bigger ecosystem that understands and enable customers with the new developments in cloud.
I also want to bring forward some understanding for you about the software market. We are talking about cloud, but nothing -- not yet moved to cloud, obviously, as we've said, 50% maybe moved to cloud, but we have to understand that cloud is consisted of t hree major things. One of them is infrastructure, platforms, and the software.

Big piece of software is also moving to cloud, but as you may see, there is a $775 billion of software just in grift relationship with cloud today. The business model is shifting. I believe totally that in the upcoming years, most of the software will be c loud-based. There are lots of native cloud software developers today.
The important takeaway from the slide for me, the narrative, is the direct business and indirect business that is, I mean, driving the software. As you may see, nearly one -third of the business is now indirect. What we see is this indir

ect portion is growi ng a lot because as we have said,
scaling in software and cloud, it is -- the technologies are democratizing. So it will become not only a playground for large enterprise, it will be a playground for all. So it is going to scale up. This indirect doesn't necessarily mean that everything's indirect going through distributors.

There are Tier 1 partners as well. So the market addressable for us is not like one-third of it, but still as the smaller partners come in place, smaller and mid -sized customers come in place, distributors will play more and more role in the software ecosystem.

If you look at the market opportunity from the perspective of our regions that we operate, first of all, India, we are -- I mean, looking out India, it's a massive market. It is $140 billion market driving innovation. We see a couple of trends happening. R amesh also mentioned premiumization. This is a very active trend that we see. And the wealth in India is driving, especially India, first Tier 120 million people is driving premiumization a lot. We will see that AI smartphones and PCs in the upcoming one or maybe two years will keep on driving this as well.

The other thing is startup ecosystem that is, I mean, flourishing in India. It is a very important part of the dynamic that we are addressing. And thirdly, as well in the India slides, you have seen GCCs now helping scale India's role in the AI cloud and m any other enterprise IT space.

When you look at Middle East, there are two countries driving Middle East growth. One of them is Saudi. When you look at Saudi, all the brands are now coming to Saudi and it's like an attraction center for many global brands. Saudi is just attracting companies not only for R&D or manufacturing many, many different aspects. And now they are, most of the brands are establishing their headquarters for North Africa as well from Saudi. So one of the big, maybe the largest economy.

The other one is UAE. And we see that both of those economies, Saudi, UAE, as well as the rest of Middle East, smaller countries, they are trying to diverge from their -- diversify their economical growth coming from oil or this kind of carbon products to other technological aspects. So they are trying to change their economical growth to other aspects. And we see a lot of infrastructure investments in the region.

Africa, I mean, I've been thinking Africa, how should I explain it to you and explain the changes happening that I've been also observing. I've just used the word fast forwarding. Actually, it's a bit -- they're actually, rather than trying to catch up wit h the traditional way of doing things, they are innovating. A very good example Serkan gave in the fluctuating and challenging markets,

you have to be innovative. And that's where we have created PayNet. And in Africa, we see that as well.

Rather than catching up with the traditional banking, they're investing heavily in fintechs. Maybe some of you may heard about that and PESA is a big success in East Africa, and it's spreading all across. The other thing is cloud is helping small, mid -sized enterprises to create new technologies. I mean, maybe they might not have the traditional IT infrastructure, but easy access to cloud with a very -- I mean, if you connect to Internet and cloud, now you have all the things that you may need to create a n ew application, right? So Africa is using that advantage a lot.

Turkey, we know we are having a lot of difficulties. And I'm a Turk myself, and I know living there, it's not been easy for the -- I mean, we're getting back to my childhood, like 1980s. It has been a very similar thing, but I can assure you, we know how t o navigate this, okay? And not only Turkey, difficult geographies is our game. And we have been there for many years. We have done that, and we know how to navigate this.

And we ar

e trying to find the pockets of profits, trying to find the areas that we need to invest. And we see that there is a huge demand in software business in Turkey. That's why in Redington Turkey, we are focusing a lot on software, and you have seen t he results. So in those type of geographies, you have to be vigilant and agile. And that is what we are trying to do.

Asia is a new market that we want to play some role, big role in. And all of our vendors are inviting us there, especially software vendors, hyperscalers are invited there because they have seen the capabilities that we have created in the last five, seven years, okay, and they want to leverage on that in South Asia markets. And we will be keep on investing on this.

Finally, I would like to show you one slide regarding how these changes is shaping distribution ecosystem. I mean, we are now in the digital era. We are now talking about AI, cloud, all the machine learning, analytics, all those things. And it is really sh aping our company. And the things that we are constantly talking day in, day out is the physical supply chain turning into cloud and digital ecosystems.

And we are investing heavily on this. I mean, investing doesn't necessarily mean money. We are investing a lot of time, a lot of resources. And we are working on this heavily. And we have been successful. And we will keep on investing to become more succes sful.

Product distribution is more changing into a customer service orientation, customer service led solutions. How is that affecting us? Now we are also introducing a terminology within ourselves, customer success, customer lifecycle management. You have seen in the beginning of Hari's slide, customer lifecycle management is becoming like a very important aspect of our lives. And

we are trying to adapt it in our day to day.
And finally, as you may see, now we're talking about not only the standard traditional IT offerings, we are talking about AI cybersecurity, cloud a lot because it's inevitable. As I've shown you, now the overall traditional IT is becoming more like a cloud environment. So we are playing a big role there and we'll keep on.

Thank you very much for coming again. And I will give the word to our -- I think there's a video coming in and then Hari will be back. Thank you.
[Video Advertisement]
V.S. Hariharan: Thank you. Hope you got a little bit of an idea on each of our leaders and how they manage the different businesses and geographies and also partners. We do these videos on partners, their real-life stories. We want to give them visibility of what they've been through. And it's an emotional connect that our teams have with them. So it's really important. It means a lot to us. It means a lot to them as well.
Okay. So I'm going to take the next 10 minutes to tie together what we've been doing, what our strengths are, and more on where are we headed? When I got on board in about six months, we got the global team together and we said, what is it that we must do to take Redington as a sustainable company in the next decade? So we said there are four pillars. One is we have a fantastic core business. We want to continue to sustain the profitability of that core business.
Don't want to lose sight on that and really want to continue that.
The second is we need to find ways and means to accelerate business growth. Clearly, we operate in markets that have good growth. There are trends in the environment. So what investments do we need to make so that we can drive growth faster? The third is o ur assets are our business model, our RTMs. How do we hone in on them and really make them work for us?
And last but not the least, we said we are a big company spread across many geographies. You saw the differences. India, stupendously well over the last decade, just growing, and Ramesh and team have done a fantastic job. Middle East,

Africa has risks and we had to really balance and learn how to manage risk versus return. And the team there, along with Vish, have done a fantastic job.
And last but not the least, Turkey, you saw what we have done very creatively and uniquely in the software business, the PayNet business. So we really need to marry how we work as a company and leverage all our strengths and DNA. So let's talk a little bit about the core business first.
Within the core business, clearly, we heard this multiple times. There are many opportunities, but I'm just highlighting a few. The mobility business, the smartphone business is flattening across the world. We all see that. And though we've had a great run over the last two, three years, there are a few opportunities for us to continue to hone in on. The premium phone segment Ramesh talked about, that's going to be huge for us, continuing to grow on that.
The AI -enabled smartphone, they're already out, but they're not yet use cases and applications that can drive the refresh faster, we believe it's going to happen in the next year or two. Wearables is another area we're beginning to play, and we want to lev erage that and get share in that. And upcountry penetration in India, upcountry penetration in Africa, all of those will be critical talking points for us in terms of trying to drive growth.

The second area is the PC group, the endpoint solutions group. Clearly, we have made a lot of progress on emerging professional solutions. These are things like professional displays, professional audio, surveillance devices, etcetera, etcetera. We want to continue to make progress. Not a massive market, but it's a good adjacency.
AI PCs are out, but we have not seen them really impact in terms of revenues and ASPs, average selling prices. But we believe with the right use cases happening, it is a matter of time that that will happen. Gaming is an area we have invested in a few spaces in both India and Middle East, Africa, another area we will continue to look at how to grow.
And last, which I am personally very excited about, is the PC for the mass market. Take a country like India. You have 50 million, 60 million PC install base for 1.4 billion people. And the disposable income, the consumption, and all of that. Even take a c ountry like Saudi Arabia, there's a 5 million, 6 million PC install base for a 36 million population. You can go on and on. The PC penetration is not anywhere near the smartphone penetration. So it's a huge opportunity. At some point, some inflection point s are going to come.
Thirdly, on the technology solutions area, clearly the growth is all on software -led hardware. Networking solutions are growing. You see a lot of networking with a big software component. Hyper -converged solutions.

So server, network, storage all coming together. Hyper -converged
solutions. There are new brands, new players, very interesting space.
Security solutions. There's a lot of conversation on security. That's continued to grow and boom and we have partnership with all the leading brands. And we also have our own solution on SOC, Security Operation Center. And last, on- prem infrastructure as a service will also be an area for us to play.
As was talked earlier by both Serkan and some of the geo-leaders, AI will be across all of them. It's not a specific thing. We are already selling a lot of servers AI -enabled. PCs will be AI -enabled. Storage will be AI -enabled. So it will be all across. So that's what we see in terms of growth opportunities on the core business.
Next, talking about geographies. But before I do that, again, a little bit of an academic approach on looking at the markets and saying, where are these markets? We are largely playing emerging markets. We call ourselves emerging markets multinational. So we've always seen a gap on technology adoption in our market

s versus the West. But as we go forward, clearly, we are seeing
the technology adoption, the gap is narrowing.
India, Saudi, UAE, all three markets, it's just maybe a few months behind. What's happening on cloud? What's happening on AI is all catching up in these markets. There are obviously markets like Africa and Turkey where there will be a gap. So we need to learn to play both. A bunch of countries in our portfolio that are like Western markets and a bunch of countries that are more like developing markets. And we need to be able to play both.
So as a concept, when we look at this, so how do we grow geography? So we look at India, UAE and Saudi, which is 70% of our business, one type. And we feel their new technologies, digital technologies, will explode. And we need to be able to focus on embracing those. And how do

we bring those to our ecosystem here? Similarly, the route to markets are getting very specialized in these markets. It's not the omni -channel is clearly evolving. You have so many.
You have PAN -India LFR. You have regional LFRs. You have D2Rs. You have mom and pop stores. You have micro -- so you really have to navigate and create RTMs for different products, different bands, to reach the market segments in the right way. We talked a lot about it. And this has been a question that we've got asked many times. Why are you still in Africa? Why are you still in Turkey?
I hope we answer those a bit more clearly. These are tomorrow's markets. They are very important markets. We have done a lot of hard work. We have learned this in our DNA, how to really manage risk and return, and yet get you the right kind of returns that shareholders expect. We don't want to give that up. We really want to take this forward.
With the cloud software AI. We believe that these markets are going to move faster into the new technologies, and our ability to play there is going to be better. And we also need to be able to play with alternate business models. We're looking at both Africa and Turkey and CIS regions, not just software and cloud, but how do we play hardware differently?
And lastly, I think I alluded to this earlier. Clearly, we look at ASEAN. And when I talk about ASEAN, I'm talking about Singapore, Malaysia, Indonesia, Thailand, Philippines. In addition to South Asia, where we already are in Bangladesh and Sri Lanka, how can we build a business
which is more focused on cloud and everything a s a service, and also look at professional services? So that's our thinking in terms of taking advantage of growth opportunities and what we can do.
So I talked about core business. I talked about geographies. Now let's talk about the piece on cloud. I want to do, again, a little bit of how we do cloud, how we're thinking about cloud. It's a bit more complex in detail, but I just wanted to share this with you. Serkan talked about the opportunity. Clearly, only about 7%, 8% of the total cloud business has gone through distribution. Though it's growing at 40%, 50%, there is a lot more that will happen. And what is this? And are we really addressing all of that? That's another question.
So I've broken up the pieces into a few parts. First is the infrastructure as a service. This is with the hyperscalers. I think we have taken an active leadership role in India, in Middle East Africa, and Turkey, taking the pole position as a distributor who understands how to drive cloud. And we have done a whole lot of things. Resell, consumption, how to access hyperscaler marketplaces.
So all these things, and we've been awarded the number one distributor award by the hyperscalers in both these regions as a result of that. We want to continue this journey, but we want to create stickiness. We want to create value so that the business that the hyperscalers do
with mid -market and small enterprise continues to work t

hrough Redington because it is digitally
oriented. So it's important that they understand that we are bringing value in terms of driving

consumption workloads and professional s ervices.

The second and third opportunities, platform as a service and software as a service. And again, when you look at this, a lot of software that exists today in the licensing format is slowly moving to subscription. A lot of what these were being sold direct is suddenly coming to, conversations are beginning to happen with us, many, many brands. In the last year alone, we have signed up at least a dozen brands which were software as a service going direct, coming to u s. We still think the addressable platform as a service, software as a service market is huge.
We have not even touched the verticals. There are many domains that we don't understand. We don't have competency. So as we go into the next year, we're going to invest in software solutions, creating a group, creating investments on going after this in a much bigger way.
Today, our business is about 4% of Redington is hyperscaler. Another 5% is non -hyperscaler software, subscription, and licensing. About 9%, 10% of the company is software. How do we fast forward this in terms of revenue and bottom line is what we're going to look at in terms of investment.
Lastly, professional services is an area that we have invested in , in India. We have created competencies in -house. We've also got a delivery team. Our goal is not to take all of this ourselves, but really use that competency to train our resellers so they can deliver this, so that there's a much larger force. In Middle East Africa, they have done this without building a team by just taking the competency and really taking the business and applying it to delivery partners.
But we will do a combination of both because we need to bring the industry ecosystem and our partners along in this journey.
Now, a ll this is great, but how do I do it and w hat is the kind of investments needed? How do you do it? What are the areas we need to invest? This page summarizes that in a very simple way. We need to build a digital -first orientation. When it came to hardware, digital came as an afterthought. We do have digital, but we say we do digital for this, digital for that. Here, it's a digital-first approach where everything happens on digital. Purchase orders, sales orders, provisioning, lifecycle management, analytics, you name it.
We've got a platform which we've built over the last 5 years. Now we are reinvesting in that platform to make it better for the future, and we'll continue to invest on it. It's a three -pronged strategy. First, we need to understand what does the customer need and what are the customers looking for? Customers and how are they going to consume? They will subscribe, they will consume, and they will need services, whether it's migration, modernization, DevOps , FinOps.
We need to build all the competency and the domain knowledge around that, and we are doing that in -house, both the sales team and pre-sales team. Similarly, for partner, we need to identify new partners, but existing partners who want to get in the journey of cloud. So we have created a partner academy for building competency and training these partners.
And finally, which is also very critical, is with the brands. We're going to add new brands, and we're going to add many new solutions to each brand. So we need to be constantly seeing how to build this out. And the most important piece, I believe, is the marketplace. This trend is going to go from one to many, from too many to many. So we're going to have brands providing

software solutions, we're going to have ISVs, born-in cloud players, digital natives, all being part of the ecosystem, and we're going to ha

ve our resellers, MSPs, CSPs.
So we have to really create a fantastic platform with domain experts internally, and so that's what we're going to invest in. And finally, some critical pieces like , creating a cloud center of excellence, some good use cases that we can repeat, professional services delivery arm, a demand generation engine, all of these will be critical. And I think this is a very, very important play for us as the software and softwa re as a service and Agentic AI, all of that explored.
The third part, we talked about core business, we talked about cloud. We want to talk about innovations. We have actually several innovations within Redington. We don't normally share these innovations, and they happen to enhance our business, they happen to enhance our operations. But with the PayNet success, we feel like we should be able to take many of these innovations and incubations, we call this business model innovations, to a different level.
So we have a business called DigiGlass, which is a security operations center, a managed security services business, which we flow through our two- tier partner ecosystem in Middle East Africa, which we're now looking at expanding overseas outside of MEA as well. And this is an area we believe will complement our security business in a big way. We've also got an innovation on robotic process automation, a product that's created in Turkey. It's an affordable solution to

automate workflows using agents and rob ots.
We believe products like these, along with AI, will also create a potential for a future value creation. And there are a number of AI pilots within the company. I can name some of them, but there are too many of them. And they demonstrate the utility of novel technologies, how they'll be applied. And so we have now got even more energized to say, let's build on those. They will enhance our business. They will be revenue generating all the time. And at some time, they will have created such a value that oth er people outside will also want to lay their hands on this technology. So we are heading a completely interesting direction on innovation.
To summarize the four pillars and what are we doing, clearly on the core business, we want to drive adjacencies as hard as we can. Clearly, smartphones are plateauing, PCs are plateauing, things are going to happen, but we really need to do that. We really need to create operational efficiencies within our core business to continue to generate gross margins, profits in the right direction.
We want to drive business growth in cloud and AI. We also want to be able to take advantage of the trends in the geographies that was talked about. And we want to continue to work on innovations. RTMs, we did not specifically talk about in the summary slides, but there are a lot of RTMs we built, which we want to scale. A lot of business models we built, we want to scale. We also have an ESG strategy, which we have not shared here. But things like those we want to build across Redington , it obviously has to make sense for business and not just a compliance strategy. And we are trying to leverage lots of best practices across Redington , what we have developed in one place, how do we take it to another place. That's kind of a quick summary of this.

It's my great privilege and honor to introduce our chairman of the board, Professor Ramachandran. And he will share with his thoughts on governance and what he's seen the company in the last 20 years and where he sees the strengths and capabilities. Thanks , Professor, for being here.
J. Ramachandran: Thank you, Hari. And thank you all for coming this evening. Really appreciate this. In fact, I was the Chair of this company when we went public in 2007. And when Krishnan in his remarks was mentioning that some of you who are present at that time are pres ent today are representing

the organizations which participated in our IPO in 2007 are here today. It gives me a great pleasure to have you all here.
One of the questions which may be bothering at the back of your mind is, why is the Chairman coming last and not coming first? The reason is I'm a professor. And the big worry for a lot of the leadership team over here was , if you ask a professor to come and talk, the entire presentation, the meet will be full of his talk. So I'll try and be as brief as possible. But before I get into what I came to address here, I'm sure you'd appreciate the kind of work our leadership team has done. And the idea behind h aving this meet was to actually explain to you how well Redington is managed.
I'm sure you're persuaded by the presentations our team has made and see the logic as to how, despite participating and competing in what we have described by many of us as difficult markets, we are here to ensure that our shareholders' life is not difficu lt. And we have ensured that we're able to deliver the kind of results which as Krishna described, if you remember, as outstanding results. Ladies and gentlemen, may I request you to join me in congratulating this leadership team.
Now, if Redington is so well managed, how well is Redington governed? That's the question you need to ask. Why is that important? It's important because, as we described, Redington is a board-led institution. And how did we come to be a board- led institution when the dominant model across India in particular is what we call as a promoter -governed institutions, and whereas Redington is a board -led institution. Right?
If you go back, let me give you through the milestones that we went through so that you're able to appreciate the perspective with which I'm coming and making this presentation to you. We began, as Krishnan pointed out, in 1993. We went public in 2007. And at that point in time is when we raised an equity of INR 138 crores. And 2017 is when we became what we call a board -led institution because that's when our founder, Mr. Srinivas, stepped down, and the investments he and the others, the early founders had, they all divested their holding. And that's when we became a board -led institution.
And as has been pointed out to you, ladies and gentlemen, we are the seventh-largest IT distribution company in the world. And we don't participate in the three largest markets of United States, of Europe, of China. It seems these difficult markets, as the y're described, that we have built our leadership position and come to the top 10, and as you heard our leadership team mention, is we were aspiring to be in the top 5 . And believe you me, we will get there.

So here is a big change from a founder -managed institution to a board-led institution. And as all of us know, migrating from being a founder -managed institution to a board-led institution is not an easy proposition. And we have examples around us. We know of a leading software services company which went through this crisis. We also have seen lots of cases where you see when there are family -managed businesses, and there's a transition which is intergenerational, you have challenges in migration.

Redington has managed to navigate this transition from being a founder -managed institution to a board -led institution. So often the question, I'm told, comes across from investors, and we have conversations with them, is being promoter -less actually a handicap? Because promoters have skin in the business, they are there all the time, and they're interested in the business. Who is there interested in the board of Redington who has skin in the game? Right?

As a consequence, is Redington vulnerable to underperformance? Because the board doesn't worry about the business. Here's the data, ladies and gentlemen. I think Krishnan gave you the results from

2007 to 2025. And for my presentation, I split it into two periods. From 2007 to 2017, and from 2017 to date. And as you will see, our growth in revenues went up from 8,000 crores to about 40,000 crores in 2017. From 40,000 crores, we closed last year at close to 90,000 crores, and we are well in position to substantially better that this year . And you'll see our profit performance.

Around 100 crores, as Krishnan mentioned, we went public. 464 crores in 2017. And last year, we delivered 1,200 plus crores. And market cap, which went up from 1,000 odd crores to 4,000 odd crores, is over 16,000 last year. And as on date, it fluctuates by the day. It's substantially grown. And what is remarkable about Redington , as I'm sure all of you would appreciate, is as companies grow, they grow by infusion of fresh capital.

This company, ladies and gentlemen, has grown the way it has without raising additional equity from the market. The entire growth, just an order of magnitude, being achieved by investable surpluses generated from operations. So what is the governance philosophy? Because underneath the journey this company has in the marketplace, in difficult markets, the challenges it has negotiated, the investments it's made, what's been the governance philosophy and how does it help?

The overarching governance philosophy we have at Redington , the board of Redington in particular, is we will always put Redington first. As you know, there are competing demands in terms of different stakeholders in the enterprise wanting to further their individual preferences and so on and so forth. So we operated the philosophy that what is good for Redington is good for all. And that's where it becomes very important to appreciate some of the things which our leadership team is presenting to you.

The nature of the business that we are in, the kind of markets we are in, the volatility we experience and negotiate, throws up multiple risks. So every time you come across a risk and want to take a judgment call on whether you want to pursue that particular opportunity or the risk, you go back and ask ourselves, what is good for Redington ? If it's good for Redington, we shall pursue it.

And you must appreciate the kind of markets we are present in, the kind of technologies we are present in, invariably when people talk in terms of taking the risk, they all talk about taking, what is the risk of doing something. In the kind of markets that we are in and the kind of technology spaces we are in, the risk of not doing is as important as the risk of doing. So the judgment call the board has to make every time you're taking those judgments is not only ask ourselves, what is the risk of doing? We also ask ourselves, what is the risk of not doing?

While this is a nice governance philosophy, we'll turn around and say, Professor, come on, you're not in a classroom lecture. Tell us, how do you design? What are the guiding principles that you have?

Let me give you the guiding principles. The first guiding principle we follow is profitable growth. I'm sure you heard Krishnan say it very clearly. We can bump up our revenues tomorrow if Krishna allows us to open the tap on investing and creating more working capital. But we balance it. We will not privilege growth over profits, nor will we not invest in growth. So it's a dynamic balance that we manage to achieve by privileging both growth and profits in a manner which enables Redington to make progress and the results is in front of you.

The second is built to last. We don't take quarterly calls. We're conscious of the quarterly results, but we don't take quarterly calls. The question which Hari was mentioning and responded to and Serkan talked to you about are Turkey markets. Please look, we stayed on in Turkey and you had an outstanding success in the form of PayNet. Hari talked abo

ut one Redington, how each
market informs the other. S o presence in some markets, which may not be very obvious otherwise from outside, and the benefit and the leverage that provides us is something which we look for and we ensure that we are managing this company for the long run.
The third, of course, is socially sensitive. Now why is it important? I think all of you, especially as investors know , ESG is big and typically it comes to conversations about ESG, everybody talks about governance. Like I said, we believe we are very well governed and the other thing to talk about is always environmental sensitivity and Serkan Kutlu talked to you about how we are sensitive about putting up sustainable initiatives and so on and so forth, both in terms of the market opportunity and in terms of our CSR initiatives.
It's also important for us to be socially sensitive from a very different perspective. As you know, we are operating in 40 different markets with 40 different ecosystems, 40 different political cultures, 40 different societal challenges. And each of these markets we are aware of our role and especially as you said, in many of these markets we are the market leaders. So we need to signal our sensitivity in these markets and to retain our positions .
Take for example in many of these markets the requirements many of these governments have is that we try and employ more people locally from nationals of those regions into our company. So we are sensitive about it, so we do what is called localization of t alent and so on and so forth. We invest in building talent in those markets. So for us being socially sensitive is extremely important

And of course the fourth composition which many of you will ask me about is , in the absence of a promoter, how do you ensure the board remains committed to it? So we employ what the principle we called as a stable change. We believe having a board which is full of people all the time presence, all the time, all these years is not necessarily good for us nor do we want to have a situation where there's a lot of change in the board as a consequence we lose memory especially in the absence of a promoter who is present typically in other enterprises.
So we follow what is we call a stable change and here is an illustration of how our board composition has changed. There's one stable element as all of you can see there for perhaps too long, you will see how it goes. I've been in the board since all the t ime and you will see as you look at our structure we ensure that there is passing of the baton which happens from one generation to another generation. The office of the chairman also will see such a transition so be rest assured about it but there will b e stability in the enterprise
And you'll want to know what's the shareholder returns like. You will see from the slide over there the kind of profits we generate in the first 10 years of being in founder managed enterprise towards last 8 years of being a board managed enterprise. The numbers speak for themselves and we have managed to achieve this growth. A fter returning as Krishnan said the capital that we raised in 2007 , we've managed to achieve this growth by having a more liberal dividend payout policy.
We today distribute 40% of our profits as you can see the numbers over the dramatic increase that we have given to the shareholders and that comes because we ensure as Krishnan said that our capital is very efficiently employed. The other question I'm told constantly which comes from the floor of the house is , what is the role of Synnex Technologies ? Are they a financial investor? Are they a strategic investor?
So let me give you the ownership structure over the years and start from the right you will see the top shareholders of Redington today in 2025 and we've given you the data backwards from 2025 look at 2017 an

d look at 2007. Synnex Corporation has maintained its investments all these years and you also see some interesting data in that that we have many a few who have remained invested with us for a long time . And number of investors in this room have been with us after we transitioned from being a founder -managed enterprise into a board-led institution.
So how is the best way to describe Synnex Technologies? The best way to describe Synnex Technologies is actually to say it's a committed investor and why is that important?
Like we said , if we have to build to last if we want to negotiate the volatility in the markets we've chosen to compete in both in terms of technologies and geographies , it's important to have an investor support in the kind of strategies that you want to follow and here ladies and gentlemen I'm pleased to tell you in addition to Redington we have a whole bunch of you who have been engaged shareholders and I would like to thank you a lot for being so engaged with us and so supportive of us in our journey a nd wanting to establish a leadership position in the markets we compete in .

And what enables us to demonstrate the kind of results that we have achieved over the years is it's very important for us to have stability in the ownership structure for us to make those judgment calls that we have made. A nd here is where it's very interesting . I'm sure you must have noticed the numbers that Krishnan shared with respect to how some of our global peers have performed the last decade or so within the last decade if you see what sets aside Redington apart from its outstanding performance is the stability in the leadership ownership of the company . Our global peers have gone through multiple changes in terms of the ownership structure from private equity to public markets . And so on and so forth so what enables Redington is the fact that we have a shareholder base which is extremely supportive of our aspirations . Why is it again important, as has been repeatedly presented to you .

We operate in technologically volatile markets we operate in markets which are volatile and we market operate in markets where the policy environment can be unstable so negotiating these volatile environments requires us to be having a comfort of a supporti ve shareholder base and for that I want to thank all of you for it in conclusion L et me assure you ladies and gentlemen Redington is a well governed well managed institution and we will do what it takes to create value all along Thank you very much once again for coming this evening.

Palak Agrawal: We will now be opening the Q&A session. E verybody who wants to ask questions may raise their hand and we will have our team members run over a mic to you and whenever you start please start with your name and the organization name so that it is easier for us . We are just setting it up so give us two minutes and we will be there .

May I now invite Professor Hari sir and Krishan sir to please come on stage

Namit Arora: Good evening my name is Namit Arora from Indgrowth Capital. Firstly many thanks to Professor Hari, Mr. Krish nan and the entire team for being here it's been very useful. My question is, if you take a view over the next 5 years or 10 years, obviously you are in 40 geographies and is there at all a thought you did mention a couple of times about the US, Europe , obviously you are making a big push in ASEAN now maybe CIS .

So you are already number 7, aspiration is to get to number 5. A ny thoughts on the developed markets that you are not present in ? That is one . Second thing is that , from growth drivers perspective one is obviously execution, yours is a very execution led business as well but are there any adjacencies that you are thinking on building all this core which could drive further growth? S o one is geography expansion to developed ma

rkets and second is adjacencies into services leveraging your core . Thank you

V.S. Hariharan: I will take that if anyone wants to jump in . So first of all , I think as of now we don't have ambition , we have enough growth available in our markets . Having said that , there is a one of the things that was shared on Turkey with their entity going to USD 160 million from almost nothing which is software led business is what we want to replicate in markets like ASEAN, Central Asia , South Africa

And I spoke about , there is a lot of construct that is happening in terms of CloudQuarks platform, how we deal digital first etc. If we are able to build something that is phenomenal , that can then take on something which is non- hardware oriented beyond the emerging markets and if it is honed well enough to scale , at that point we may consider and evaluate but as of now clearly emerging market is the way to go for us, that's the first question.

Adjacencies, see we see a lot of adjacencies everywhere. And there is a demographic adjacency, there is a technology adjacency , so there are many adjacencies . On the services part let me answer that question first. We have clearly taken on and said we will be in professional services in cloud but are we going to consume and do all of it ourselves , absolutely not because then we will be building a services company.

We will be building a competency and we will be building an ecosystem and a marketplace, so that we can bring our resellers along in the journey but we will get better margins in that because we will share those professional services margins with our resellers and there will be ISVs, bun cloud, DNI's, digital na tives all in that picture .

Adjacencies are many . For example, the component market is opening up again, the component market we were in 20 years back and now the component market we had gotten out of it but looking at what's happening in the Make In India, looking at what's happening in the AI GPU space, the component market is exploding. So we are continuously evaluating all the adjacencies in the technology but we did not talk about all these things because they are all in evaluation stage or not big enough for us .

Clearly cloud and what AI is going to do for us , will be areas that we will look at . We will also look at Prof alluded to sustainability and so did some of the other speakers , we want to look at recycling as a market .

So we have already started working on pilots on recycling where we can take back product, put it through the food chain, can we refresh the tech cycle faster, there are zillions of opportunities and we have our channel footprint, we have our relationship with the brands on PCs, we can do a lot of things. So there are many but right now none of them are big enough to say we can call that out as a big market to explore.

Namit Arora: Thank you for your detail and candid thoughts and all the best to the entire team . Thank you very much .

Sachin Shah: Hi, this is Sachin Shah from Emkay Investment Managers . A question to Mr. Krishnan and also Mr. Hari . It's a combined question, one on the finance and another on the business side . So in one of the slides as you rightly showcased that , for a 10 %-12% kind of a growth and assuming a 40% dividend payout and I'm assuming that you don't want to reduce that too much as we go ahead . At the same time you also have the option of increasing your leverage, that's what your balance sheet strength is today. B ut obviously you will have certain internal tolerance level in how much leverage you would like to go and at the same time thinking about the complementary the business scope to grow . So what is a more realistic growth with your balancing of the leverage,

keeping more or less the dividend payout or you are s

eeing in terms of your business economics getting better ?

I'm sure not too much on the working capital side but maybe your profit margin is getting better with some of these new businesses . So what is the more and I'm talking about the next 3- 5 years so what is the more realistic growth , keeping all of this in balance for the next 3-5 years or should we be happy with just this 10% -12% growth?

S.V. Krishnan: It's a very interesting question. T his debate regarding the cash flow versus growth, is something that's prevalent across everywhere . See this business structurally offers a certain margin , that we don't see changing differently and we have our own plans which got shared in terms of what we need to do, to increase that at par with say about 1.2% of PAT and assume there is a 40% dividend that goes and say some small amount gets into some capex .

The same 0.7% gearing will get us at , say about 10 turns of asset turnover only a 10% -12% growth. A nd if we are able -- if we see growth lower than that the cash flow generation can be quite significant and that's something which is natural . If you s ee consistently a higher growth, as we speak n ow we don't foresee a challenge.

As I've said we have sufficient leverage in ter ms of taking care of the growth, but what would we do to ensure that growth in place. I mean just to go back to that point, we can accelerate the growth if we are able to pump in more working capital can we do?

We can, but we would want to make sure that is not value dilutive for us because t he market works on some balance. I f I just need to give you an example, assume there are three distributors. Our own experiences a 40% stretch 45% market share is fine in a three distributor mechanism. If you want to take i t up to 60, it comes out at a much lower return and as I've said return is a metric that we apply to decide which is the position that we should stay on.

So, if there is a growth opportunity, we will definitely take the growth opportunity. D o we see the growth opportunity in the market place? I can tell you we are at a very interesting stage and since we have a very good capital structure in place we don't foresee a problem, but we will definitely not chase the revenue, which compromises on the returns that we will be very clear . I'm sure I've answered your question.

Sachin Shah: Well, partly yes, but as I was trying to understand because you have a good balanc e sheet, so you can leverage a little bit more keeping the same business economics and that's where the growth will come and also keepin g in tandem the dividend payout. S o what is that growth number that you can go up to because I'm not asking what's your balance sheet leverage t hat you want to take maximum to, there will be a ballpark range whatever it is, interna lly that's your risk management.

So what kind of growth you think you can deliver with that kind of leverage because market growth is there it's about you ba lancing it all the things?

S.V. Krishnan: See over a pretty long period we have grown at 15%, t ake even the last few quarters we are abl e to see a similar growth rates. W e don't foresee that as a challenge. If there is an accelerated growth possibility obviously it can be better.

Sachin Shah: Thank you.

Lokesh Manik: Yes, hi good eve ning my question is to Hari sir. S o you mentioned in the cloud space you want to not be a service company and rather b e a marketplace in an ecosystem. S o in that context if you can share what are the capabilities you are developing on the side of demand generation to be able to understand what are the requirements of the enterprises and on the supply side as to

how are you enabling your resellers to match those capabilities A and enable them to outperform
pure play services companies in the ecosystem and does your strategy of one Redington India
c

ome into play out here ?
V.S. Hariharan: Great question. S o I did try to put some plug- ins on what are the comp etencies we are going to
create. C learly one compet ency is the CloudQuarks platform, which is a very enabled digital
platform, which has life cycle, analytics and all of that. S o that's going to be l everaged across all
geographies. I t's a common platform that we have taken a lot of time. B efore I came in one of
the things that we were struggling wi th is we had multiple platforms.
CloudQuarks was the only standardized platform, but even there every geography had their own
nuance and twist. S o we are going to have lev eraged platform work in process. If you look in
AWS and Azure, we have a lot of competencies we have built in house and those competencies we have to use to take on
services and services busines s and train our resellers on it.
Clearly t hat's an area we will embark on. W e have a delivery team in India ri ght now for
delivering services. W e don't have overseas because of the cost arbitrage and things like that .
We are going to leverage that capability also in other geographies to have a common delivery
team, but the idea is not to scale the delivery team. W hat we will do is there is so many topics
when it comes to cloud , migration is one topic.
When we go and look at ASEAN migration is not that critical, there are a lot of people who are
already doing migrati on, they want AI, they want Agentic AI as a topic and we are actually doing
some Agentic AI POC's in India whi ch we want to leverage to ASEAN. S o the thought process
will be we build each of these because the partner academy, it all sounds very simple . We have
a partner academy in India, w e have a partner academy in MEA.
We need to take our competencies build a proper partner academy, we need to be able to scale
to have enough t rainers who train the resellers. Similarly, marketplace seems like a simple
concept and people like AWS and Azure have struggled for years to create a marketplace which works well for hardware and
there are a few companies I will not name them who are already
doing marketplaces on software.
So these are complex tasks, each of them is a multi -year journey. CloudQuarks is a multi- year
journey marketplace is a multi -year journey, the partner academy is a multi -year journey, what
brands we partner with is a multi -year journey. W e are just beginning to sc ratch the surface on
the brands, we have the hyperscal er brands and a few SaaS brands, but there are a whole lot of

SaaS brands which are very interesting and even bigger companies who have been in software
for a while like the Adobe and the Autodesk of the world who moved to subscription model .
They are all getting very smart about how these things are going to work, they want to get into
a no touch model in the whole purchase order coming from the customer, to the reseller, through
the distributor, t hrough the vendor and so we need to be able to build these capabilities . Today,
we might have anywhere between 15 and 20 touches because we need to check the credit , is
credit ther e not is the PO clean not clean, payment coming not coming.
There are multiple th ings and we take it for granted. S o again it's a multi-year journey each of
these capabilities, but when we have built it we will we can easily scale and pu t through any
brand, any product, any solution for any geography that's how we are thinking about it .
Lokesh Manik: So w ould it be right to understand today majority of the revenue in clouds is driven by migration
and license reselling?
V.S. Hariharan: In terms of services it's a wide variety, it's services is still a small business and we do reasonable
amount in India is still very small and MEA and Turkey is small, but I wouldn't say m igration
is the largest, there is actually a lot of other things. W e al

so do - we do AI we do DevOps ,
FinOps , it's spread across all of them. W e would like to buil d specialized practices in four, five
of them that's what I would say as we are now.
And we need to build domain practices also in security and AI and all of them. S imilarly on
delivery and services we need to build four, five really good practices where we can train our
resellers on those, but migration will not be the largest I wish it was but it's not the largest.
Lokesh Manik: My name is Lokesh Manik from Vallum Capital . Thank you so much.
Jigar Savla: Hi sir. This is Jigar Sav la from Vi has Ventures, very gratefu l for the detailed presentation. J ust
on the side slide that you presented for 17 years we have grown at almost 15% in the core
business which would be double of the industry growth rate and we would have taken a lot of
market share from all these countries and since we are still not looki ng to get into the developed
markets.
So it would be fair to assume that the growth rate should be aligning to the industry growth rate
only now fr om the core business for next 5 years, 10 years or is there still room for growing the

market share?
V.S. Hariharan: You are absolutely right. T hat's one way that we will think abou t. So we look at what's the
growth rate in India, what's the growth rate in UAE, what's the growth rate in Saudi. W e must
grow minimum at that growth rate and again capital as Krishnan pointed out will be one thing we will look at, we don't believe,
it’s currently the way we look at the growth rates and you saw
Ramesh's slide, Vis wanath's sli de as well as the Turkey slides.
You saw that the growt h rates are anywhere between 10% and 12% or 8% and 10%. So we are
in that ballpark. I think the software subscription business will grow the fastest as we see and so

right now we don't see a different strategy than that, but again we come to a very interesting
opportunity in these geographies, we will look at that.
Jigar Savla: Sir and just on the - just to take it forward from my friend Sachin who questioned you on the
ROE and thing, so if we just take…
Viswanath Pallasena: One minute. Just wanted to add saying that before you look at us there is an impact to the industry
growth and therefore w ould you see us reducing our growth from the past to now. W e are
constantly looking at opportunities continuously. A s you can see the market and the business
models are also changing. G oing forward you will see we never had software companies who
were primarily direct before, 100% of their business used to be direct before.
Now we see those companies coming to look to us for distribution, there are many opportunities
like that. I f you look at the - what we have today is 30%, 40% of the distributor TAM as we call
it, DTAM today, but if you look at the opportunity outside of that is different and therefore as
those vendors and those people look at having to look at the leverage that they need without having to go direct , to go
through distribution where t hey get faster access to market.
The market for DTAM or distribution what you call addressable market changes. S o we can -
we look forward to looking, pursuing growth as those opportunities come as well.
Jigar Savla: Thank you. J ust on a second question which was on the growth and the dividend payout, so if
we just take theoretically that we have a 20% ROE and we are distributing 40% of the profits .
So then we are left with just 12% growth withou t changing much of the leverage, is it not wise
to just reduce the pay out ratio to 15% and grow at 17% or is there a pressure?
J. Ramachandran: I am more than happy not to give dividends .
Jigar Savla: Or is there a pressure from our committed investor to have a high payout ratio?
J. Ramachandran: There is no pressure from anybody. W e manage the company like I said for Redington fi

rst and
the question you asked about the market growth rates what Vis h was explaining to you. T he
market growth rate, don't look at the overall market growth, partition it, the direct market what
when does it go directly now share of that is s hifting to distributed markets. S o the actual rate of
growth in terms of opportunity size is much larger than the overall market growth.
So the p lay space for us is much bigger. S o I don't think we should worry too much about the
kind of growth opportunities that we have over here in these markets and to answer the question
of sh ould we go to advanced markets. O ur advantage is these markets and we don't see a
significant advantage going into the advanced markets of the world, and as Hari's presentation
talked about, we have a very interesting characteristic if you see in our profile in many of our
markets like es pecially the growth markets as I described, there is increasingly a convergence
between the advanced markets and these markets in terms of the rate of technology adoption.
So to that extent we are well positioned because acceleration of adoption in these markets will
give you more opportunities to grow.

Manish : Hello sir. M y name is Manish from Nirmal Bang Securities. M y question on your decision
making approach towards the entry of a particular geography and exit from that particular
geography, how you make the judgment ar ound it, what are the factors you con sider that's the
first question.
The second question on t he inorganic growth opportunity, Krishnan mentioned in presentation
that we look at the competency, geography etcetera, but if our current financial metrics like we
gener ate 20% ROE. S o when you do the acquisition metrics acquisition, what is the financial
metric we need to adhere to that decision for M&A ?
V.S. Hariharan: So maybe I'll take the first question in terms of entry and exit part. I think in the last, let's say ,
one year we have taken a decision to enter into central Asia and taken a decision to enter into
South Africa and taken a decision to enter into ASEAN. A nd all these markets we first developed
a three year business plan and we look at - in that three year business plan what is the first
obviously we'll have to look at all the baseline stuff.

In terms of risks we have and the risks are all the three risks that Kri shnan pointed out, forex
risks, interest rate inflatio n all of those risks we look at, but we'll also look at that business plan
does that tell us when we'll get to breakeven and how much and what are the willingness of the brands to work with us in a market. So we look at three aspects. O ne is the financial plan, risk
plan and the interest for brands to partner with us.
And once we do that we have a kind of a plan a year -on-year plan in the budget to be able to take that on. S o it's a very systematic structured approach. In terms of exit from a market, it's not too many markets we have exited, so it's not an eas y one to say. W hat we look at like when we were looking at Turkey with all the things that happened in the last year as in when PayNet divest what will the profitability look like?
Is it still an interesting market to pursue? It's an interesting from a ROCE perspective, very interesting from an EBIT perspective, but because of the high interest rate PAT was stressed. S o we looked at can that be reset and how will it look like. S o that's something we look at and it's not too many markets we have exited because we always are able to cough up enough margins and to manage the profitability level in a market which looks stressed. Krishn an you w ant to talk about the other one.
S.V. Krishnan: Yes. See the first and foremost our objective at least in the core business is w e would want to do by ourselves. W hen we say we are in 40 countries, in each of the countries we have built it

grounds up in a Green field mode, but there will be opportunities, there will be need for you to keep looking at alternatively the inorganic op portunities, it could be market, it could be product category, it could be vendors.
Assume we would want to do business with one vendor who has a very long standing tie up with another distributor and we are not able to crack and we feel we need to have that vendor in the market place that leads us to an acquisition opportunity. So our primar y objective is to do by our own, but this is an option. If we find that that's a need we would definitely go for that.

However, it will always be at an EPS accretive retur n non dilutive mode, but will it happen in the very first year? I am not very sure, but you have to look at it over a reasonable period and then take a view and if you look at some of the inorganic avenues that are there, there are certain services related, niche capabilities and wherever we are talking about software services , the cloud etcetera these may not come at our type of evaluation.
I mean a PAT into 10 times, a PAT into 12 times. I mean it is they will talk about re venue into whatever is the time. S o if it's a gap, if it's a very important gap that need to get filled in, I mean , filled in for us to build a very strong organization into the future, we have to take a view and maybe we have to look at t he return over a period of time, but please understand Re dington is a conglomerate.
There can be one or two acquisitions here and there per se may not I mean may not give us immediate returns, but you will never get compromised at an overall level .
Manish: Lastly on the recent macro factors like we all hear the trade war related risk and your business model is exposed to global supply chain. S o how you think on that risk and I know it is evolving dynamic things, what is your view, how you any template you have created within your strategy war zone. Can you share some insight about that it will be great ?
V.S. Hariharan: I wish I had an answer for you, but lik e you said it's a moving target. W e do talk to brands all the time and the brands are als o dealing with these new things. I know several brands, for example, have stocked up in the US for 4 months, 5 months of inventory to work through the issue of tariff a nd those kinds of things coming.
I believe we are less exposed right now because of two reasons a lot of the products that we work with come from let's say Asia could be China, cou ld be Korea, could be Malaysia and beginning also a lot of products are being manufactured in India. So India consumes India. A t least the volume products and we believe similar directio n heading in Middle East Africa. I don't know if you have read the news r ecently, but in the last 2 years, 3 years several of our tech providers have set up factories or setting up factories in Saudi.
So there are some very interes ting dynamics that is happening. S o we believe we will be able to access product from our own areas, without tariffs affecting us, but again too early to conclude anything because you don't kn ow how the dynamics will change. S o we don't know , for example, a brand that's an American brand and the product is manufactured in China is there going to be a tariff for that brand coming f rom China to some other country, you don't know.
So it's a bit of a tricky area we don't know, we will just watch closely where this goes and that's all I can say I don't know if you want to jump in.
S.V. Krishnan: See I think this can also create lot of local manufacturing to happen and if that's something that really this thing pans out well, we will have a big advantage all this could pan out over a period of time because these products will become quite affordable and the under penetration in our

markets for the devices that we handle is so much that if the

re is an inflection point which we think in the markets that we are in will come because of the, I mean, the price points , the opportunities is h uge, but I mean right now it is too hypothetical and very theoretical also.

J. Ramachandran: Let me add the theory part of it to you. T he more difficult the condition the better off we are, that's what our entire DNA is of what we talked about all along. The more volatile it is, the more we are able to negotiate this volatility very well better than others. S o you asked about the risky decision making and so on and so forth. Our first test, of course, we will do all the analytics and so on and so forth is an assessment of our ability to win.
Can we win in those markets and so if you go back and look at what are the source of advantage that we hav e and can we win in that market. S econd principle I said is we ask ourselves is the
risk of not doing greater than the risk of doing it and that becomes important for us and it's interesting in our business it's very peculiar business. Please note our business is not nece ssarily
capital intensive.
So we will make commitments, we will make strategic commitments in terms of we want to participate in th ose markets, but we can afford to given the nature of the business that we have do what I call flexible commitments. We go back and probe, we make incremental investments and say okay let's deploy some resources and check it out because we want to make sure th at the opportunity is not noise, but actually an inflection point.
So we have some of these guidelines which you work on and saying is an opportunity which requires significant commitment in terms of resources yes or no, is a risk worth pursuing or not pursuing, can we afford it and above all of cour se the acid test is can we win. W e believe that we can win not necessarily as Krish nan said in the next six months, but we see that actually can create a pole position for ourselves in those markets we will go and that's how we have grown this company for the last 30 years.
Many of the markets we participate in most people don't and the reason we are seventh largest despite not being in the advanced markets is because we cherry pick those markets
Manish: Thank you sir and really appreciate answering all my questions and the most efficient risk management company I have seen. Thank you.
J. Ramachandran : Thank you so much.
Namit Mehta: My name is Namit Mehta from KC Capital. C an you talk a little bit about why the company has traditionally or historically favored dividends vis -a-vis buybacks especially , given the often favor able stock price of the company, and if you can talk a little bit about current deliberations on the same matter as well ?
S.V. Krishnan: See it is an option that we have. W e do keep ev aluating which option is better. T his is quite simple and see you need to unders tand one technical aspects here, more than 50 percentage of our business happens outside of India, how as a parent organization how would we get the dividend from the overseas that dividend technically speaking is taxable. I mean provided we don't dist ribute that to the shareholders.
So if it is a dividen d income and a dividend expense, it is not taxable in a strict sense. I f it is a dividend income and a buyback we get taxed and net -net you as a shareholder and neither the

company gets benefit out of it. I am not getting into the buyback vis -a-vis dividend taxation , but this is at the company level we find it I mean quite comfortabl e.
But having said that this is a constant debate that happens in the board and as we move forward when we see an opportunity we could choose either of that .
Nitin: Yes, hi good evening. This is Nitin from Investec. T hank you for the detailed presentati ons Mr. Hariharan,

Mr. Ramachandran, Mr. Krishnan. T here is something which I felt was missing in the overall thing where yo u gave us a wonderful direction, good historical context. Y ou fell I think it fell a little short of the ultimate vision of where you think the business should go, there is direction there.
But anything in terms of vision you would like to communicate on the software and the services and all of that tha t you see over the next 5 years and how do you think we should get there and how is the board looking at incentivizing the leadership to really get there and how do we plan to do that?
V.S. Hariharan: Thanks, Nitin for that question. I t is like we all say vision is a combination of baby steps and I wish I had everything crafted out clearly because technology trends are changing, a year and a half back I would have said AI fantastic thing in the horizon, but we have seen in the last year

what little impact it has had on the business clearly there is a lot of progress being made on use cases and pilots.
So we have to build out baby steps towards the larger vision, what is the larger vision clearly we want to remain in distribution that's very clear. C learly we believe software will become a subscription become a much larger part of the business t hat's very clear. W e want to be in emerging markets very clear, we want to build a sustainable Redington which is what we talked about one Redington and there was s ome discussion about leadership, succession planning and all of that.
So we want to build a top five in an industry globally with a sustainabl e company we want to build that. W e definitely want to play a role on ESG and we want to be one of the places where we can create our own mark on sustainability. S o that clearly some what you call some areas that we have called out, does it change a lot from where we are and get us to a new place maybe not yet, but we will craft it as we go along is what I would think, but we want to build a sustainable multinational that's respected as an emerging market multinational based out of India that's our goal .
J. Ramachandran: Thank you for that comment. I'm curious to know what kind of a vision would you like to hear because wordsmithing is easy. S o the question is I'd like to hear more about from you go ahead.
You're asking us to give specific numbers for you will be from 100,000 crore s company to 200,000 crore s company, is that what you're looking for.
Nitin : No, so let's say we have this slide which says f rom distribution to aggregation.
J. Ramachandran: Sorry.

Nitin : From distribution to an aggregator and we have done wo nderfully well as a distributor. W hat got us here over the last 25 years, 30 years we have done it beautifully it's stable stakes now .
Now the next 10 years w ill require something different. S o for the next 10 years obviously you might want to shift focus by driving more service which is what we have articulated multiple times, but what would the size or proportion of business you would like from that business is what I would like to understand.
Because that has implications as an analyst when I l ook at it in terms of what ROCEs could be in the future. I completely appreciate that it's a risk adjusted growth company, risk is beautifully managed, all that is well known, just curious to know how you're thinking about it on a going forward basis maybe 5 years down the line, 10 years down the line what are your big thoughts there?
J. Ramachandran: I think necessarily our articulation of the vision can necessarily be very broad like we said we want to be among the t op five companies in this world. T he reason we can't d o very specifically and say one, two, three, four, five is because of the volatile nature of the industry that we are in and we are seeing a lot of it is interesting inflection points and many counts AI be

ing a case in point.
You keep hearing all the time at one hand w hether AI is hype or AI is real, is AI is partly true or it's going to be a substantial change. G iven that kind of volatility that we are witnessing and then that's the nature of our business and our markets as you said. T he only way we can manage and diversify , is manage diversify our risks and like we presented to you a manager diversify - we diversif y our risks on three parameters.
One on geographies. S o we are saying if you're seeing interesting geographies we'll pursue those geographies like we have Hari talked about getting into ASEAN. S imilarly looking at in terms of brands like we work with the top 450 plus brands, like we've talked about 80% of our top line comes from 10 brands, but we know actively working and creating a platform and a mechanism by which we enable the next 100 branches once a foot to gain market share, so we do that.
The third of course is respect to categories, we're looking at different categories and now again we're talking about how do we come out with new go to market initiatives like we have done in the Android phone space and so on so forth, what we'll see us is incrementally exploit opportunities as they arise because the nature of this industry is such it's not something where you bung in so much capital upfront and say that it becomes substantially higher in the future .
Please note the innovation in this indus try comes from the vendor community.
It's the HPs of this world which come out of new technol ogies, it's we who translate or accelerate that adoption of those technologies by traditionally by givi ng capital and logistic support. N ow we're increasingly as we talked about giving knowledge support and services support. S o that is a dynamic process for u s for us. For us to be able to come back and say like a chemical business I can put a significant investment in this which will generate so mu ch return it's very hard to say.
At a very broad level, we want to be on the top five like we discussed as of now we don't have plans to go into the advanced markets because we are not able to see a pathway to a victory over

there we want to be only in markets where we'll win. Third we want to defend the m arkets where already leaders in, but we will keep exploiting the opportunities as and when they arise . How big the opportunity is, in our business it is a short cycle since we came on exploiting. I don't know that answers the long winded answer gives answers your question .

Nitin : We can catch up over dinner .

S.V. Krishnan: If I can add on Nit in. See the thing is the industry you would have seen in various presentations today, very clearly in our view movin g towards software subscription, cloud etcetera, but as Prof said see we are no t driving some of these changes. T hese changes are driven in the marketp lace and the OEMs in particular. I f you go and talk to the OEMs very cl early their plan moving forward.

See if wishes were horses believe me the old TS G can be a part of what you are, I mean, what we say as the software s ubscription on the cloud, will it happen when it will happen an d what proportion and what pace? S ome of th is are right now not very clear. I f you look at globally even the global tech distributors many of them they think that that's a farce. I am able to see a good growth in the core volume business.

Let me focus that's going to give me for an other whatever years the growth. T here are some who have invested who are ready. W e are in the process and we would definitely feel that's an area where we need to make investments and be ready and then capture the growth. S o it is too difficult at this point in time to put a number, but we are very clearly positioning ourselves seeing an opportunity and I think we will be able to exploit

J. Ramachandran: I will be curiou s

to get your opinion on this. F rom a board perspective I am asking the ideas come to us where we may have to make s ignificant investments up front, almost like a venture fund would you recommend that we do that ?

Nitin : So that's another thing I wanted to ask you is the kind of investments that you would require for this transition, how large are they in terms of moving from let's say over the next five years, six years from a pure hardware distribution to software services and all that?

J. Ramachandran: We are already well on the way .

Nitin : We are well on the way, the investment made over the last five years all that is clear, but in terms of specific capability acquisition that you might require how large would they be and would that really require a different structure overall which is exactly what you are asking me, so how large would that be is it …

J. Ramachandran: It can be v ery large if you are getting it, it could be like we are saying. There is a lot of pilots which are being done which is being done in the company you have heard about a lot of pilots which are being done what are new opportunities coming up technology opportunities of the kind that we are good at, it requires capital commitment. S o one way to set up the capital to actually create a subsidiary which says it is a technology investment fund. I f I do that how would you guys react .

Nitin : How would you guys react it depends on the size how large it is .

J. Ramachandran: Let’s say I am talking about - if given our market cap is INR18,000 crores, will you allow me to set up a INR 1,000 crore s fund and I am dead serious about it because I do have that challenge because the moment we perceive such opportunities you guys will come back and say hey you are a distribution company why are you moving away from it .

Nitin : It is interesting, it will be - I think I think I need more details to figure that , but it makes a lot of sense.

J. Ramachandran: Look exactly the challenge. I f everybody knows how the future will unfold decision making is trivial.

Nitin : Okay. T here are companies which have done this, but it is …

J. Ramachandran: I would love to know which ones .

Nitin : We can catch up over that .

V.S. Hariharan: So Nitin just to add a different dimension to it. L et’s say we want to do even a string of pearls acquisition in the cloud space. I t is something - if I am a let ’s say already a cloud software or a services provider then it is different in terms of how much what is my war chest and what will my investors say vers us being a distribution company, trying to invest in a string of pearls, is that something you guys would support that is a question because Krishnan did talk about inorganic and we have been evaluating our first priority is in the cloud space because we want to build quickly on two, three things.

One is competency, two is access to brands and access to customers and three is some core capabilities when we play in cloud and there are lots of companies available which can be pursued in that whol e string of pearls conversation. Again is that a concept that you will pursue

because it is going through our m ind in terms of fast forwarding, what you are really looking at
is if I have to set up a vision and say right now if 4% is my cloud business and including other software 9% and 0.5% is my professional services.
Can I m ake that 9% to 30% in the next three to four years and can that professional services component go from 0.5 to 5 for argument sake. I t is all possible , but the company will look different and we will have to go into a fast forward mode in terms of the string of pearls M&A will have to do.
J. Ramachandran: And we are happy to socialize those thoughts with you, I mean, we really welcome your guidance on these matters because we are very clear at the end of the day your interest

and the
company's interest are very much aligned. L ike I said we will do what is good for our interest is automatically good for our shareholders and we w ill be definitely guided by you. If you people have ideas on that, how to negotiate this, we are more than happy to listen to you, including over dinner.
Garvita: Hello sir, this is Garvita from Seven Islands, PMS.

S.V. Krishnan: If you can wait for a minute, there is one question that's being asked, sorry.
Participant: I'm referring to Nitin's question. So where that question comes from is, so when you reach certain stage, you have strong distribution business and you have, you're going to have a strong subscription business. These two businesses, will derive a lot of software services business, consulting services business. And this business can contribute significantly to the bottom line
and capital ratios.
So if you expand this business, because anyway, the world is moving into subscription, and you have enough distribution presence, you have already leveraged that, you know how to do that.
So the key is, do you have the building blocks of service lines which will help you sell these services more effectively. You have to carve out services, like what a typical IT Services do.
So you have to follow the IT Services methodology in creating service lines for this. I don't know what it is today. Actually, I wanted to understand your revenue mix in terms of service
lines. How does it look today, and how will it evolve over the next f ew years?
So that will help you to say that this is the way my business will change and this is the margin mix. So the kind of, I don't know, the current margin mix of software services, so can it be like a typical IT Services business or I won't say it's a product business or an IT Services business.
So the returns, capital returns are good, growth opportunities are good. So tha t's the context to his question?
V.S. Hariharan: Good question again. Let me talk a little bit about services. So we have, and I ask Ramesh to jump in on some data. We have created a services delivery business with competencies to deliver services around the cloud business. And the way we looked at is, i f I put in a dollar of investment on people, competent people, what is the dollar of gross margin can I generate?
And what can I generate? In India, what can I generate in ASEAN? What can I generate in Middle East Africa? What can I generate in the U.S.? So I'll give an example. So in cloud, if I put in $1 in a resource for professional services, in the beginning I wa s able to generate only $1 of gross margin. Then we went to about $2 of gross margin.
But we're not able to go beyond that in India. Maybe we can push the envelope and get to $2.5.
In ASEAN, maybe we'll get $3. in Middle East Africa, especially Saudi and UAE, maybe we can get $3.5, $4. In the U.S., we might get $5. That becomes the crux of the discussion in terms of, are we set up for getting into a people -intensive business, or are we set up to create that competency level?
Because Agentic AI will also go in that direction, because this whole concept of service as a software and not software as a service is headed in that direction where the big SI s are not well set for that because there are going to be many ISVs that are going to provide the Agentic AI.
Question is, will I build an army of people into services to build that out? So far, whatever pilots we have done in India, it shows that we'll have to really build a different animal and the profitability will start looking different. Your profitability m ight look good, but your ROCE will look bad. So it's a question of what are we?

And should we create two separate companies, two separate businesses. Those are all discussions we can have. But that's

the crux of the whole discussion.
Participant : I understand that because the culprit in this case is the India market. India publics in the market …

V.S. Hariharan: No, you have to build in India, but deliver for the world, you can do that.
Participant : You can do that, but if you do, the businesses in India won't give you the kind of margin you expect. So in most businesses, when it comes to software, you may get a little better marg in in hardware than in software?
V.S. Hariharan: And you will have to go to U.S., you'll have to go to Europe to deliver the service. Question is, is that our capability in Forte because we are not in those markets. So what is the best can I get? I can get in some in ASEAN, I can get something in Middle East Africa, but it's not going to cross the threshold of what I need to build a scalable business.
Participant : One other question I have, you gave two nice videos on how you help your distributors. So, Krishnan, the question is about. You've helped them with getting bank credits and all that. Would that entail at some point in time a credit risk for you, directly o r indirectly?
S.V. Krishnan: See, first and foremost, we have relationship with some of these customers for decades. We know them well, and see, a credit decision is a mix of science and an art. If we decide to take a credit view basis there, financials balance sheet, I am sure, each one of us will give only a fraction of what we give now, right. It's a trading community, majorly a reseller community.
You have a relationship, you know their flow. So long as we are clear that his business model is right, no, if I may use the word, no siphoning of funds out, we are quite okay. If that means we need to support them for whatever reasons they got struck, we need to support them for them to come back. It's an investment. Can it go bad? Chances of going bad is there.
But look at it this way, like what Prof said, the cost of not doing. Here, if he succeeds, he becomes the most loyal customer for you. Right? You have to take some bets. We feel very happy and proud that we have been part of some of these transformations of the customers and through our decisions on taking a view on them.
But there is no, I mean I can't say this is right, this is wrong, but we just need to take certain puns. These are some customers whom we have seen it for years and the revival of them, I mean makes us lot of proud. And create a much better relationship wi th them.
Participant : I thought you are already operating a venture fund for distributors?
S.V. Krishnan: There was a question from behind.
Garvita: Yes, sir. This is Garvita from Seven Islands, PMS . My question is about AI. So it has been the buzzword today in the discussion as well. I would want to understand more on how do you see AI is going to leverage our business? Second is, what type of contribution or how much contribution we can expect from AI to the EBITDA margin?

As you have mentioned that we have already started up on AI PCs and AI in all, majorly all of our segments. So, what do we see our business go to? Where do we see our business go to with the AI?
V.S. Hariharan: So, let me try and answer that. I think there are some of it embedded in the presentation. So, the three things that we see that AI will contribute for us. One is AI enabled devices growth. And you are absolutely right, AI PCs have been launched and we hav e rolled them out, but their contribution to our revenues have been very limited as of now.
And these are no hidden things. You can look at the IDC market definitions and everything. We are selling some, but it's not made an impact. Similarly, you would have seen that both Apple and Samsung have come out of the AI enabled smartphones. Some of it is already embedded in their business volume growth.
But clearly, we have not seen the kind of i

nflection in these devices that ought to be there. Where AI has created some amount of inflection and growth is on the server storage space. So you see data centers and the TSG business, the Technology Solutions G roup business, that going up a lot driven by AI. But again, not significant the inflection point type thing. So those are products.
We are incorporating AI into our own internal business, internal IT, to see if we can generate more efficiencies. We're also working with new vendors. There are lots of new software vendors which are focused on only AI -created solutions. That will potentia lly give us new revenue opportunities in the future. That includes things like Copilot from Microsoft and many others.
So there is a sliver you will see there. So AI enabled devices definitely going to make an impact.
We have not seen the big impact yet. AI software will make an impact. We have seen some not big enough. On the Technology Solutions Group, AI enabled GPUs, w e have seen an impact but may not be an inflection point. I don't know if Ramesh you want to.
Ramesh Natarajan: So yes, Hari, I think most of it is well done. See, either it is the GPU data center, GPU Servers, any other service, AI is now embedded in everything. Whether you want to give it as a product to the customer, or you want to buy any SaaS or any of the servers or cloud, AI is embedded. To the point where all the three of them on AI had alluded to, 20 years later, now we're looking at components.
So in that context we're trying to see if we can build a space of confidence that can help us drive

application specialists for certain verticals to figure out, and of course India is also coming up with a semiconductor backdrop, that is something which we want to see if we can build ISVs with certain vertical solutions through the set of confidence that we can do by virtue of the ecosystem and take that forward for your ask on higher gross margins that can come our way. Still a long way to go not everybody has probably done this pretty well, but we obviously wanted to do pilots. These pilots have to achieve some skill at some point in time before we probably can commit to you.
Palak Agrawal: We'll take this question, if there is any question next, as the last question for today.

Sarvesh: This is Sarvesh from Maximal Capital. I have two questions. So first, on the online B2B marketplace, you would have seen the kind of valuation some of these private companies command. So what is our strategy here, how big we are and can we make it in a really big thing because this can be immensely valuable as you know? So that is one.
And second is that we talked a lot about risks. That we have managed all our risks very well in this last 25 years. So now in this sort of a market where there's so much of forex risk, so much of AR inventory risk, a lot of players I presume must be going bust from time to time. So are we not having a roll up strategy here because you know it is not possible that every company is able to manage these risks so well?
So obviously in a typical, distribution business many of these peers may be making mistakes and then there would be an opportunity to acquire them at distress valuations. So is that also something of a thought that comes to you?
V.S. Hariharan: Maybe I'll take the first question and Krishnan if you can take the second one. So the online marketplace, we don't do direct to consumer, it's all B2B, so it's only to resellers. And our strategy right now is to use the digital platform to do two things. You saw there are 70,000 partners. We can never have a sales force to deal with 70,000 partners.
So we have a list of managed partners which are managed by our account sales team. But we have a long tail of partners who interact with us on the digital platform through our inside sales reps. And that's the business we w

ant to grow, because these long t ail partners don't get face to face interaction with anybody. And so we want to grow that.
We also have a long tail of brands. We talked about 450 brands. And sometimes we are not able to get the right kind of help for these brands to grow their business. So the long tail of brands and the long tail of partners is what we are trying to grow through our digital platform, the B2B platform, the hardware platform.
And we actually started off by wanting to do the whole nine yards, including our managed partners and corporate resellers. But we found it's most effective and efficient if we use the digital platform for this, because we also have to look at capital deplo yment. Do I put salesperson? Do I put a digital platform on top? Do I just substitute for that? Because there is a cost for everything. And we found that the digital platform works best for the long tail. As of now, that's our strategy.
S.V. Krishnan: See you are right that because of the inherent risks that are there are constituents, mostly the smaller players, if I may use the word, the promoter managed the owner managed companies, do go bust and we keep seeing such situations across in various marke ts. Why shouldn't we buy them out? See the mathematics will work like this.
If the contracts they have is already there with us, they exiting the market gives us more opportunities and there is no need for us to pay a price for it. If they have some unique assets, as I have said, assume some very good contracts which we would want to have, we don't have, then it makes sense.

And there are instances like that. And every time when situations happens like this, we do discuss, is that something that interests us and why? Unless and until we get a very clear as answer, we don't choose that.
J. Ramachandran: Let me just add to it. It should move the needle for us. It's just an incremental thing. It doesn't really make a significant difference for us because as Krishnan said, their exit actually enhances our business otherwise. But if we, not necessarily distre ssed assets, if there are good companies which we think will add value and is able to help us move the needle, we'll definitely consider those opportunities. We'll not walk away from those opportunities.
S.V. Krishnan: I know we have said one last question. I have seen two people raising their hands. If, yes, please. Sorry, Palak, just since they would want to.
Soumil Zaveri: My name is Soumil Zaveri from DMZ Partners. Thanks so much for such a detailed insights and presentation

on the business. It's a simple question and I appreciate professors comments on the progress we made as a board led business rather than a promoter led organization. But as long term shareholders who are interested in alignment of incentives, would be just great to learn a little bit about the KPIs or metrics you all use internally, to incentivize? Yes, I know he spoke about ROC E. I presum e there's different metrics you'll incentivize using for different tenors or different timelines. Just a little bit of…
J. Ramachandran: You want me to give you all our winning strategies.
Soumil Zaveri: I figured you'd say something like that, professor.
J. Ramachandran: Look, the key in our business, like ours is human capital intensive business. How well we manage our people and culture is the key issue in it. And let me assure you, we spend a lot of time making sure that our people are excited. We energize them with opp ortunities, with careers and so on and so forth. And some of them done outstandingly well.
You heard Vijay Raghavan today from who's a ProConnect CEO. Found his talent, we gave him the opportunity, he's delivered. So you saw Serkan Kutlu Global Chief Strategy Officer, as part of our Turkey operation. It now runs our Global Strategy on this one. So you're seeing so many multi

national people over here.
So we will make sure that we get the best in class talent. And that's very critical for our business.
And that's where I think some of your questions on should we get into the software services kind of a business, we'll start competing for talent with thos e people and the compensation structures, the profiles are very, very different from our business itself.
But we have very much aligned our leadership team to the shareholders' interests and we'll ensure that they further ring-fenced, if I may, to sustain the contribution to the company. We are very alert to it.
Nikunj: Good evening sir, my name is Nikunj. Thank you for the fantastic presentation. Two questions, one is very specific to the factoring and the interest cost. Over the last couple of years,

incremental gross margin improvement and efficiency improvement, all of what we've done has gotten diluted or negated by the increase in factoring and the interest cost?
Now that we have Paynet being sold for about INR900 crores, we are not aware of where the debt is sitting in the overall consolidated entity. If it's at 45% interest rate environment, and then it will make a big impact. So just wanted a little guidance on going forward in the ne xt few years.
Have we seen the peak of factoring and interest costs as such? And what kind of decline, I'm not looking for a number for sure, but what kind of decline can we see in that aspect?
And the second question is regarding your rankings. You moved up from double -judge ranking towards seven now in the world. And you're aspiring to go higher. What would have Redington, what has Redington done differently than all the other competitors to ki nd of have scaled up all these years in terms of corporate strategy?
It's a little broad. Maybe you've answered it in all these different ways, but I want to understand what has happened differently and here on, what are we doing differently to kind of get there?
J. Ramachandran: You want a lecture?
Nikunj: I'm game.
S.V. Krishnan: See, on the factoring and the interest costs, there are two things. Number one, say about 3 years back, right? The interest rates even globally has been far low. That was the case pre 7, 10 years.
U.S. interest rates were sub 1 that moved up to 6. When we have international operations, how can that be very different from -- this is to do with the inflation rates in the respective countries.
So one is the interest rate increase that happened across the globe. As we speak now, we see that softening, and I am sure in about 1 to 2 years, things could soften and we will start seeing that advantage.
Second, very specific. A very significant part of the factoring and the interest cost is Turkey related, which is where you are penitent. It is very important. If I may ask Serkan to give a broad perspective about what is our thinking, Serkan.
Nikunj: No, because INR900 crores in a 45% interest rate environment can become meaningful to our bottom line. That's the reason I am asking?
Serkan Celik: Yes, but there is another challenge. Let me explain. There are some Turkish lira business, there are some USD business in Turkey operations and the big majority is with the USD. So when you want to finance your USD business with Turkish lira loan or vice versa, Turkish lira business with USD loan, then it will create an open position on your FX hedging policy and it will create a huge risk. So you have to hedge it.
So in general, I can say that taking the hedging policy into consideration as well, we will use this money to close most of the USD loans parts. But at the same time, we are decreasing the volume of our Turkish lira businesses to decrease the Turkish lira loan amount of the company, which means that the money will benefit us on the USD loans interest costs mostly. We can say

it. There will be a very important effect of this cost saving on the interest loan, but it will not be
45% Turkish Lira interest rates.
Nikunj: Thank you. Appreciate it.
J. Ramachandran: Let me take a short edit. We'll give you a brief answer. Won't give you a long answer. Like we said, we tread where others dare not tread first. We go into those difficult markets. Why is that important? That's important because the nature of this business is such that incumbency matters a lot. If you're first, it makes a significant difference because you've got the assets on the ground and the knowledge on the ground.
And how do you manage the volatility? In fact, if you've seen some of our annual reports, we talk about what is significant characteristic of what Redington is, it's what we call our adaptive capacity. in volatile markets, how do you really adapt very quickly? And we show evidences of how we calibrate our presence in different markets and so on. We learn from each market and translate to other markets. That's one part of it.
The second is a bigger secret. I thought you folks would pick it up and talk about it. How many listed companies do you have in this space? We went public in 2007. The next IPO happened last year. Our ability to mobilize capital and manage a company which is listed is an extraordinary skill that we have. We underplay our governance capabilities. Because in our growth business, ours is a working capital intensive business.
Our ability to deliver, quarter -on-quarter, year -on-year is important not only for shareholders also for the financiers. So most other companies, if you see, don't have the same level of skill sets if you'd like to believe, and how do you actually access public capital markets and respond to public capital markets. So we manage both the banking industry as well as the public capital markets.
Nikunj: And by profit. Size, where would we be in terms of world ranking?
J. Ramachandran: Profit size, of course. In teams of…
Nikunj: Largest is about 60 billion. No, absolutely. Because you're talking about top line, and I feel top line is a big driver for...
S.V. Krishnan: We haven't done that exercise, but my sense is we could be similar or maybe one notch better. But we just we haven't done that ...
J. Ramachandran: Intuition , maybe we will be 6, but we'll check on that and come back.
Nikunj: Appreciate that. Thank you.
V.S. Hariharan: It could be better because the percentage-wise, most of the players, at least two, three players ahead of us are all 1.1% PAT, plus minus.
Participant: Greatest talent in this business is managing risk and growth on a scale and size. So that is the crux of this business. So that's why there is strong entry barrier. The kind of entry barrier you

have created is fantastic because the kind of risk you manage, 40 countries currency, you are -- currency room must be the, a forex room must be the most complex room. Everyone is worried how to manage forty currencies. It's a terrible business. Not everybody can do it on a scale.
J. Ramachandran: You are absolutely right. How do you manage the risk, sir?
Mr. Puranik : So thanks for the finest presentation. I have been seeing your presentation from the first one, 2007 till now. This is the finest presentation ever made by your company.
J. Ramachandran : Thank you all. People wanted to have dinner, will have dinner.
V.S. Hariharan: We just want to thank s.
S.V. Krishnan: So before we disperse, I think it's very important we recognize the people who had worked behind. I mean Palak, as all of you know. She had got a marriage in her family, we just got over and she was doing both in parallel. Puneet, Ritesh and the marketing team completely put the things across, wonderful job and the videos they have created, all those have happened within few days. Sit

a had made all the logistics arrangements very well done.
And the SGA team, they have been there throughout for anything that we wanted, Shikha, Dharmik, Shogun. Thank you, all the very best. Sameer Bhai, thank you. And thanks to all of you for having come and spent 3- 4 hours with us. Thank you.
Palak Agrawal: Before we break for dinner, we have CEO of ADAPT, she's the CEO of ADAPT, Prabha Hari. It is an NGO set up in 1972. She wants to introduce her and just say a few words for two minutes.
Prabha, can we have you on stage?
Prabha Hari: Thank you Redington, thank you Sita and Ritesh and the team that has so patiently connected with us and we were happy to partner with you. So like the MC said, our organization is ADAPT, able, disabled, all people together. You may know it by the former name which w as Spastic Society of India, one of the pioneer NGOs in India, working in education and treatment for people with disability.
So when we talk of corporate partnerships, it goes beyond just CSR and the 2% that is mandatory. What we find that really works is making meaningful partnerships with people and

not just the company. So we look forward, let this be the first of a wonderful partnership like we have with several other corporates in the world. And we look forward, thank you Sita for making this happen. And I hope this is the first of many. Thank you.

V.S. Hariharan: Thank you. There is a small gift actually from ADAPT, right, so which we've got it from their company or from their not -for-profit and please enjoy it. Please enjoy it. Made by people.

Call: May 2025

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The National Stock Exchange of India Limited,
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Bandra (E), Mumbai – 400051.

Symbol: REDINGTON BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai — 400 001

Scrip: 532805

Sir/Madam,

Sub: Q4 - FY 202 5 - Earnings Conference Call Transcript

This is further to our letter dated May 14, 2025, intimating the details of Investor/Analyst call on the audited financial results for the quarter and year ended March 31, 202 5, held on May 20, 202 5. No unpublished price sensitive information was shared/discussed in the meeting/ call.

In this regard, we are enclosing herewith the transcript of the conference. The same is available in Company's website at https://redingtongroup.com/wp -content/uploads/2025/05/SGA - Redington -20May -2025.pdf

We request you to take this information on record.

Thanking you

For Redington Limited

K Vijayshyam Acharya
Company Secretary

Encl: a/a

"Redington Limited Q4 FY '25 Earnings Conference Call"

May 20, 2025

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 20, 2025 will prevail."

MANAGEMENT : MR. V.S. HARIHARAN – MANAGING DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER – REDINGTON
LIMITED
MR. S.V. KRISHNAN – FINANCE DIRECTOR (WHOLE -
TIME) – REDINGTON LIMITED

 Moderator : Ladies and gentlemen , good day, and welcome to Redington Limited Q4 FY '25 Earnings Conference Call .

This conference call may contain forward -looking statements about the Company which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hariharan – Managing Director and Group CEO. Thank you, and over to you , Mr. Hariharan .

V.S. Hariharan: Thank you. Good morning , everyone. This is Hariharan . I am really happy to share with you our Q4 '25 results. All figures and numbers that I am going to mention are exclusive of Paynet divestment gains.

This has been our best Q4 so far with a quarterly revenue recorded of Rs. 26,510 crores at a quarterly profit of Rs. 400 crores. Our revenues for the quarter grew at 18% and profits at 23% year-on-year. Overall, PAT percentage was at 1.51%. And excluding Arena , the PAT percentage was at 1.73%. It has been a continuing story of profitable growth, with growth coming back strongly. Very good execution across business segments and geographies contributed to the performance.

From a geography perspective, the revenue growth was contributed by a strong growth in India at 26%, UAE at 24%. We are also seeing signs of growth recovery in the Kingdom of Saudi Arabia at 7%. And Africa has continued its momentum both East and West Africa at 11% year-on-year growth rates . All in all, we had good growth across most of the geographies we are in.

From a business unit perspective, all business units registered good growth. Cloud Solutions Group continued to lead with a stellar performance of 41% top -line growth , and continued success in the hyperscaler business and subscription software in our portfolio. CSG , as said before , this quarter to o contributed well to our profits and to above average net profit.

The technology Solutions Group consisting of server storage and software grew well through this quarter at 28%. There was good enterprise demand. There were quite a few big deals both in India and Middle East and Africa , and many new software contracts that had been signed during the year which yielded in additional revenues.

The Mobility Solutions Group also did well this quarter at 18% growth on the back of several premium mobility brands performing well on a variety of routes -to-market. And the Endpoint

 Solutions Group with the PC business was steady at 11%. All in all, you can see all the business units pulled in good growth performances.

The business teams and operations did an excellent job on management of working capital , and we achieved a 34 -day closing working capital, which is same as compared to the previous year Q4. ROCÉ was at 21% (Clarification: 21% ROCE is f or FY25 , ROCE for Q4FY25 is 24%) .

Our working capital performance coupled with the lower interest rates helped us in lowering our interest cost. OPEX control was also very good on spend this quarter and grew much slower than revenue growth, giving us good operating leverage. Our subsidiary, Arena , continued to do

a good job in managing the operating expenses as well.
With regards to the Paynet divestment that was shared the last few quarters from Arena , all approvals were obtained during the quarter, and the d

eal was closed, and the proceeds of INR
626 crores, roughly US$74 million, was received, net of related expenses. Out of the sales proceeds, a large part of this has been used to repay Arena's debt position, resulting in significant reduction in interest and finance costs. This should have a positive impact in the Arena performance in the upcoming quarters.
Let us speak a little bit about FY '2 5 in aggregate since we have closed the year. We have had a really good FY '2 5 with a record revenue of Rs. 99,562 crores , just a bit shy of the Rs. 100,000 crore mark , profit of Rs. 1,340 crores , a growth of 11% on revenue and 10% on profit after tax.
During the year, we have managed to get many of our businesses healthier. We have streamlined our investments on areas that have greater ROI and taken advantage of market trends. Our Software Solutions portfolio consisting of the hyperscaler business, pure software, and the security business is now a little bit more than 15% of our entire portfolio. Our plan going forward is to drive faster growth across the software portfolio.
We are also building an AI strategy that will encompass bringing brand -enabled AI solutions to our customers, AI enablement on our digital B2B platform, and enabling our operations with AI to improve productivity and provide predictive analytics.
With the new growth trends that we see on cloud , AI digital transformation, we remain optimistic on the outlook going forward. The uncertainty from the tariff changes and the geopolitical tensions in many of our geographies are areas we are closely watching, and we will respond as needed. Q1 is normally our soft quarter of the year, but we hope to execute well based on the addressable opportunities and retain our share in the market.
We had deliberations at the Board yesterday , and we are happy to declare Rs. 6.8 per share of final dividend for the year ended 31st March 2025. The dividend amount for FY '2 5 is similar to FY '2 4 dividend , and this constitutes nearly 40% of our total profits for the year without considering the one -off impact on account of Paynet divestment .
 The Company feels there are opportunities for investment which will help faster growth , and we
will plan accordingly. We look forward to your questions. Thank you.
Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Sarthak Nautiyal with Eraya Capital. Please go ahead.
Sarthak Nautiyal: Hello, sir. Thank you for the opportunity of asking questions. Sir, I just want to know one thing. What will be the margin guidance over the next 3 to 4 years from now?
S.V. Krishnan: See, after the COVID period, if you see, there has been a reduction in the margin and those are on expected lines. We feel because of the composition change, like what Hari mentioned, the focus is on software subscription and the cloud business . We think moving forward because of the mix change , there can be an advantage , but this could be slow and steady.
Sarthak Nautiyal: So, sir, can we expect 3% kind of EBITDA margin?
S.V. Krishnan: Sarthak , I don't think it is possible, at least in the immediate future. We have been talking about between 2.3 % to 2.5% of operating profit. We will be happy if we are able to stay in this consistently, but definitely, as I have said, because of the focus on the software and this thing - subscription vertical, we think this can go up in future, but I think for now we should stay with between 2.3 to 2.5%.
Moderator: Next question comes from the line of Sarvesh Gupta with Maximal Capital . Please go ahead.
Sarvesh Gupta: Good morning , sir, and congratulations on a good set of numbers. Sir, one thing that I wanted to explore further was in the rest of the world, we are seeing almost a 0% gross margin sort of a

growth , in terms of the gross profits . So, can you please throw some light on that?
V.S. Hariharan: Okay, first of all, this also includes the Arena , as we discussed . The last one year had been a challenging time there, even though every quarter starting from Q2, we had been bettering the performance. So , it will take some time for that unit to get revived, which is inbuilt in this rest of the world. But otherwise, the margins are broadly stable , Sarvesh . But having said that, as I have said, post COVID , there has been some erosion of margin which was expected and that's felt even in the r est of the world business.
V.S. Hariharan: Yes, but I think the rest of the world is excluding Arena , their margins have also fallen on a gross basis .
S.V. Krishnan: It has. Let me tell you, in Q4, the margin growth in the Middle East and Africa is about 5%. The margin growth in RTT, Redington Turkey is about 14%. So, in those units, there has been margin growth. But having said that , the margin percentage , yes, has come down.

Sarvesh Gupta: And going forward, do we expect further erosion in the gross profit margin or do we expect it to be steady?
 S.V. Krishnan: I think we should be able to maintain this. I mean, there can be some mixed change, but
otherwise, broadly, we should be able to maintain this.
V.S. Hariharan: Yes, some of the key trends, just to add to Krish nan, we are seeing obviously a bit more large deals in the technology solutions group. So , those will come at a slightly lower margin, and those are addressable opportunities. We need to take advantage of them.
But if you talk by category, the Mobility category, the Endpoint Solutions category, the run rate Technology Solutions category, and the Cloud should largely the margin percentages, we expect to be the same. The mix change and the larger deals in Technology Solutions will be the only two that will change the overall weighted margins for us.
Sarvesh Gupta: And sir, one more thing. On the other expenses side, so that has come down a lot in this quarter. In fact, for the full year also, it has come down by a single digit percentage. So, any color on that?
S.V. Krishnan : See, overall , there is a very high diligence and control on the OPEX for us. That is something that we have established across all the quarters , and we have also spoken about it. Because of better management of accounts receivable and lower Forex loss, these two are the main contributors for the reduction in the other expenses.
If you recollect the previous year , we had some challenge in countries like Egypt etc. , which did not happen in FY '25 .
Moderator: Next question comes from the line of Vivek Desai with Inves tec India. Please go ahead.
Vivek Desai: Hi. So, my question was regarding the ROW margins ex cluding arena. So , the margins this quarter is at around 6%, which is a dip over the last year. So, is it sustainable or we could see some changes over here? And the other question is regarding what is the factoring margin for the quarter ?
V.S. Hariharan: Is it sustainable? It should be sustainable because in Redington Turkey , predominantly our business is the software subscription businesses, which are generally high margin. And while the cost of operations are higher in the overseas market and there is a corresponding increase in the gross margin also. So, to your question is it sustainable , the answer is yes.
Regarding interest and factoring cost for the quarter both put together is about Rs. 110 crores vis-à-vis Rs. 186 crores Q4 last year and Rs. 155 crores in Q3 current year.
Moderator: Next question comes from the line of Aejas Lakhani with Unifi Mutual Fund . Please go ahead.
Aejas Lakhani: Congratulations to the management team again on a phenomenal set of numbers. Again, credit to where the manage

ment has been recasting the ship and the direction in which you are taking the business. So , a couple of questions.
 So first is, could you just give a broad thought process on the outlook that you expect region -
wise and business mix -wise in terms of enterprise as well as mobility for FY ’26? And also, if you could call out that from an OPEX perspective, Krishna sir, ex of these Forex losses that have taken place from FY '24 to FY '25, what has been the OPEX growth at a steady -state level? And also given that we have been sort of shrinking the OPEX cost very mindfully, do we require increased OPEX cost?
V.S. Hariharan: Thanks, Aejas. On the first question in terms of outlook and guidance, clearly we continue to see higher opportunities on the value side of the house, both in the rest of the world as well as India. And that includes both the Technology Solutions group, both on the server storage , data centers, as well as software and the cloud business. So, we see that as the bigger growth opportunity and more opportunities there.
The mobility part of the business continues to surprise us. The market actually grew a low single digit in the regions we are in, but we have actually been able to grow double digit through a combination of good work done on the premium segment working with the premium brands.
The early part of the year , we continue to see good strong growth in the mobility segment. The rest of the year will depend on the NPIs and how the market pans out on tariffs and everything else. But definitely we do see growth on mobility continuing to be there in the early part of the year, Q1 and Q2, but we will see beyond that. But the value side, we see continued strong opportunities and growth. And even recently, both in Saudi Arabia and UAE, there have been a lot of investments committed by big brands and the U.S. in terms of more commitments and

investments on AI and we will take advantage of those in addition to India.
S.V. Krishnan: So, on the OPEX , Aejas , our growth in the current year , overall, except for AR provision and Forex, is about 12%, which compares well with an 18% growth in terms of revenue. For the full year, the growth is at about 6%. So , very clearly , we had focused on it. Wherever we think there are possibilities for reduction optimization , that had got done.
To your question on the future trajectory , maybe we have gone slightly overboard in terms of OPEX control. We are very conscious . I mean, we will make sure that we don 't incur unnecessary OPEX , but having said that, investment into the future is important for sustaining the growth into the future, mostly in IT related cost, the people related capability investments etc. Definitely we will be mindful and wherever we think there are investments required, we will not make any compromise.
Next on the business mix, the contribution , yes, Hari mentioned about the growth rates, so I will again repeat ESG for the quarter grew by 11%, TSG by 28%, MSG by 18% and CSG by 41%.
The contribution to the total revenue is ESG 30%, TSG 28%, MSG 35% and 5% from CSG.
Aejas Lakhani: Got it , sir. Thank you for that. Sir, just could you spend a minute or two to walk us through what could be the tariff related challenges from a supply chain perspective as well as the geopolitical situation that India and Turkey have on our business.

V.S. Hariharan: All right, let me talk about the first topic first. So , we are following closely the tariff situation and many of the leading hardware brands have started looking at diversification of manufacturing operations. The direct tariff impact on the geographies we are in, there doesn't seem to be any short -term impact.
However, we can expect some supply chain disruptions because people are putting capacities in different places and if for some reason , there is an upside or a downside in the geography and the sourcing was coming from one place and the source is now coming from multiple places , there could be some supply chain disruptions.
Near term, we don't see any supply chain disruption that has affected our business, but we are watching this closely and see how it evolves. But from a pricing and demand perspective, because of the prices going up, we have not seen a direct impact. So , that answers the first question.
The second one is India, Turkey. See, we are an Indian headquartered Company, and we really are proud of our heritage and values, deeply rooted in India. And we are a global Company . We are in 40 countries. And it's purely commercial. Our presence and work we do is managed by a local team. So , we don't see there is no political inclination to any of the businesses we are in. It's purely commercial. So , we don't see any impact on this.
Obviously, we need to continue to watch the sensitivities and to manage our business in a way that we uphold our country values and at the same time manage and do good business. So, that's what I would say for now , Aejas .
Aejas Lakhani: And sir, finally, could you just talk about how Saudi is shaping up from a demand perspective? UAE seems to be doing extremely well . So, could you just give some incremental more color of what are, again, you have mentioned earlier in the past that digitization endeavors that Middle East is putting in is driving demand, but anything incrementally you are seeing on the ground in UAE , as well as the outlook on Saudi ? And also, sir, in the India front, if you could texturize or granularize the rate of growth that we are seeing and what pockets are you really seeing this growth from?
V.S. Hariharan: So, Saudi, clearly it was on a growth path. And there was a reset last year because of the re -prioritization we talked about on the government investments and the public sector investments. That's clearly been now corrected , and that has come out very clearly. And in the recent few months, we have seen stepped up discussions on investments on AI infrastructure, etc.
So, if I had to look at where this market is headed, there could be multiple things. Short term, clearly it will all be around the value infrastructure to take advantage of the value infrastructure in Saudi that's being put in place by the big brands, whether it's Microsoft, AWS, Google, and on the back of that, the big brands like Dell and HPE selling AI PC into the market. So , that is one version we see.

Clearly, there will be a catch -up that will happen on PC penetration and mobility penetration when the AI PC adoption increases, but that's going to take a bit more time. So , the early part

we will see there. And then we will also see continued growth on software because the digital infrastructure and the data center infrastructure as that gets on, the cloud market in Saudi is behind the rest of the world and that's going to grow rapidly.
So, the two places that we see the biggest growth because of the infrastructure will be in these two areas. The mobility business and the PC business for now will continue the current trajectory. That's on Saudi.
On India clearly we see growth on multiple fronts , and the value business will continue to grow with the data center. It is still a long way in terms of what is the capacity needed and what is being put in place. Those will obviously, there will be a lot of big deals and we will have to see which ones we ge t into and which ones we don't because these are lower margin deals with payments which are more challenging than usual. So , you will have to manage working capital and payments. So , that will continue t o be

a big growth area as well as software.
Upcountry clearly will be an area of growth , Aejas . And s o we are looking at all possible ways to shore up our upcountry investments. So , our direct to retail, our regional large format retail initiative, all of those will play into those. So, we see good growth there.
We also see a lot of the new initiatives that you see and a lot of new areas of growth like GCC. There are many GCCs that are coming up in India and they have a large capacity to consume both hardware and software . That we see as an area of growth.
The number of startups in the startup ecosystem will be a big consumption factor and AI services will be an area of growth. We are watching all these closely in terms of very specific, precise actions on how we can take advantage of these.
So, largely for India will be the value infrastructure, the premiumization and touching the premium market as well as the new areas like GCCs and startups, etc.
S.V. Krishnan : Aejas sorry to pitch in. On the earlier point on OPEX for the full year, the growth wasn't 6%. It is 8% and this OPEX is without AR provision and Forex. Thanks.
Aejas Lakhani: Oh, got it , sir. So , sir, quite a significant amount of saving has come from the OPEX curtailment .
Got it , sir. And Krishnan sir, just one thing lastly is, could you call out what has just been the factoring cost for FY ‘2 4 and FY ‘2 5? Just the broad number. And also sir, given that factoring cost has run down to about Rs. 38 crores, how should we think about this for FY ‘2 6?
S.V. Krishnan: So, for the full year , both factoring and interest cost is about Rs. 531 crores vis-a-vis Rs. 706 crores for last year. We discussed this in the earlier calls , Aejas . See, with the Paynet consideration coming in, our objective is to reduce the debt. That debt reduction will happen mainly in factoring because that is a higher cost. So, you will see factoring cost coming down
 quite substantially. The overall interest in factoring cost should come down there and mainly it
will be in the factoring cost. For the quarter i t is about Rs. 28 crores .
Aejas Lakhani: Noted , sir. Thank you and wishing the team the best.
Moderator: Next question comes from the line of Sahil Doshi with Thinqwise . Please go ahead.
Sahil Doshi: Hi, sir. Thank you for the opportunity and congratulations on a fantastic set of numbers. Just a few data keeping points. Firstly sir, could you call out what is the Forex loss impact in Q4 and in the full year as well? And second on the depreciation, we have seen some kind of an increase this quarter. So , is there some kind of a one -off here as well ?
S.V. Krishnan: So, the Forex loss , one second. Ye s, for the quarter, it is at Rs. 16 crores vis-a-vis last year, about Rs. 3 crores. Okay. Out of this, about Rs. 11 crores to Rs. 12 crores relates to mark -to-market loss, which was a gain last quarter if you see the financials . In India , because of the exchange rate movement, it did depreciate quite substantially in Q3 and appreciated a bit in Q4. So, that mark -to-market was expected to come and hit us in Q4. So, that's what has happened. If you remove broadly, it would be about Rs. 3 crores, Rs. 4 crores this quarter.
And your second question was on the depre ciation . Yes, there is some one-off depreciation cost in the current quarter that relates to our digital platform. We had transitioned to a new digital platform last quarter for our online trading, B2B trading , and that resulted in some write -off of earlier CAPEX that was there.
Sahil Doshi: So, could you quantify the Forex loss for FY '25 and also this one -off in depreciation? That will be helpful.
S.V. Krishnan: Okay. For last year, the Forex loss was Rs. 50 crores for the full year FY '2 4. This year, it is Rs. 14 crores. One -four.

There is a 72% reduction and as I have said for the other query, this Rs. 50 crores last year was mainly on account of Egypt, where we had some challenge . Depreciation, I need to come back. I don't have the amount readymade, but I will come back in few minutes.
Sahil Doshi: That's helpful. Just second one, sir , if we see the improvement in Arena had been quite sharp

from Q2 onwards, but we have seen moderation in the EBITDA margin, if I see, in this quarter.
Just wanted to get a sense, how is the scenario there in terms of the business environment and how should we think about it incrementally?

V.S. Hariharan: Yes, so, see, there were two, three factors at play there. One was the interest rates, which was very high on the lira side of the house. And that had affected us in a way because the 50% plus interest rates on the working capital usage.

The second one was the sharp decline in the market itself. The PC market declined in Q2 double - digit, high double -digit. So , we had to take a series of actions, as you know, that we called out in the previous two quarters. In terms of our overall working capital, we managed our

 inventories, we managed our receivables, and we also managed our OPEX , which is what helped us recover from the Q2 to the Q4 situation.

We are now largely getting on top of that. And combined with the Paynet proceeds that come into solving the debt on the working capital problem, one is the business is more better managed when it comes to inventory and receivables and lower OPEX . And two, this money will help us reduce our interest costs in a big way. So, I see things are only going to improve from here.

Sahil Doshi: So, sorry, if I can rephrase this question , sir, if I see sequentially in Arena , we have seen a deterioration in the EBITDA margin level only. Gross margins have improved , but the EBITDA is down from 1.9 to 0.36. So, my worry was meaning worry or my question was that we were seeing a sharp improvement from Q2 and Q3 , but we have seen a deterioration in Q4. So , is there a quarter specific phenomenon or the pace of improvement which we we re seeing is not being visible now is basically the delta in earnings is what I was trying to understand incrementally going forward.

S.V. Krishnan: See, in Arena , there is an impairment loss of about 2.9 million in the current quarter . It is also reported in the financial note Sahil . And this relates to an investment that was done in a VDF, I mean, Vodafone agreement there. That is a significant impact about Rs. 25 crores in the financials this quarter.

Sahil Doshi: That helps. And sir, just on Saudi in the opening remarks, you mentioned the growth was around 7% if I am not wrong. Could you just quantify how big is Saudi as a geography for us? And incrementally, we were envisaging that this would be the biggest growth driver for us in terms of the geography. So , where do we stand today and how do we think about this two to three years out or something like that?

V.S. Hariharan: So, Saudi is the third largest geography in our overall geographies that we have. India followed by UAE followed by Saudi. The year before last we ended Saudi with almost $1.5 billion in revenue. But this year, the year that's gone by, we declined partially as I mentioned before because of the prioritization of the government investment in IT etc. We do expect a good strong double -digit growth coming back in Saudi both in the coming year and future years. Because all parts of the market as I mentioned earlier, it's not just the infrastructure side.

If we look at the mid -market, there is a very big mid -market in Saudi that's going to grow. Even the PC penetration in Saudi for a 36 million population , there are only 5 million PCs in the market. So , it is a market ripe for growth starting from infras

tructure all the way to consumption at the consumer mid -market level . So, we do expect the next three years to be a good strong double -digit growth .

Sahil Doshi: And just lastly, if I can take on e, if I see the mix you will give based on your customers , and if I see the top two customers, the pace of growth basically has been much weaker than our overall revenue. For example, Apple growth is only 9% for the year and actually HP is degrown for this year. So, could you just possibly call out what's really playing out here ?

 V.S. Hariharan: It's hard to call out specific items related to brands , and it depends on what happens in the course of the year with the actions by the brand. So , we don't really comment by brand. But if you largely look at Mobility as a category , we have grown 18% for the quarter and we have grown double digit for the year as well. So , the Mobility premium category is definitely growing well , and we have done well for all of the Mobility brands including Apple in India. So , that's one part of the question.

On the PC side of the house, clearly the market is growing slower . We have really not got the Windows 10 to 11 refresh and the AI PC push yet , and we are hoping the second half of the year , coming year with the 10 to 11 reaching an end of life we will get that push and things will do

better . So, it will be, I can only comment about categories broadly rather than talk about specific brand growth .
Sahil Doshi: Appreciate that. Thank you so much for your comments and best wishes to the team , sir.
S.V. Krishnan: Again, for your earlier question, the one -off depreciation on account of this digital platform this quarter is about Rs. 5 crores .
Moderator: Next question comes from the line of Nirmam with Unique PMS. Please go ahead.
Nirmam: Sir, my question is on the software business. You mentioned that it is now 15% of the overall business. So , how do you see this business shaping up in the next two to three years? What is the kind of growth rate that we are seeing ? And also since the pie of software increases , how will it impact our working capital and our return on capital employed ?
V.S. Hariharan: So, when I say software, we look at three areas. One is the hyperscaler business, the pure S-a-a-S business, software -as-a-service , and the security business. These three w e are combining when we talk about software. This is roughly $1.8 billion out of our portfolio. And this is growing at 20% plus today.
But if I go deeper into this, there are pockets that are growing at 40 % to 50% and others that are not. So , clearly , we have some work to do in one , getting the complete portfolio of products. Two is to looking at what actions we can take to drive growth and to get our fair wallet share in each of the categories we play in. And so that's what is going to happen.
But if I had to comment what is the growth possibility and what is available, clearly all these areas put together we can grow anywhere between 30 % and 40% when we are growing at about 20% plus right now. Now it will depend on our actions for us to be able to get the right wallet share here to be able to participate in this category fully a s well to take advantage of that growth.
Your second question was on…
S.V. Krishnan: Working capital and ROCE. Yes, working capital on a comparative basis will be lower in this part of the business because the inventory carrying is relatively less and accordingly , the ROCE
 will also be better. Number one, the margins are better. Number two, the working capital is comparatively lower.
Nirmam: And sir, s econdly, on the Arena business, you mentioned that factoring costs w ould be low. So because of the debt reduction, we will have benefits on the interest side also. But in terms of business, you see the market coming back, what is happening on the demand side. What time do you see Arena stabilizing for us?
V.S. Hariharan: We believe the worst in terms of decline is over. Having said that, the credit card business continues to show a decline because of the high interest rates. And IP is most impacted by that. So, that's largely in the consumer and mid -market space. But while we don't see a growth coming back in the coming year, we see flattening out of growth. So, we will see better year -on-year compares on terms of demand and top line.
And beyond this year, hard to comment because we had to closely watch what is going on in the global markets as well as what actions happen in the country. But we don't see a very sharp decline like 15% to 20% decline in growth that happened in Q2 and Q3. We expect it to be more flattening out in the coming year.
Nirmam: That's it from my side.
Moderator: Next question comes from the line of Vivek Ramakrishnan with DSP Mutual Funds. Please go ahead.
Vivek Ramakrishnan: Hi, good morning. Sorry , I joined the call a bit late . I have just one question. With all this tariff, what is going on , suppose there is a reduction in tariffs for electronic goods. Will that affect your inventory and would you have to take an inventory loss or do you have any kind of protection against that? That is my only question.
S.V. Krishnan: Normally unlikely, but all this we will know only as thing pans out, Vivek. At this point in time, it is more speculative, but we are very closely tracking this. We are also very closely connected with each of the vendors in terms of what is their strategy. It's just not the tariff reduction at India in, where do they manufacture? How much that country is being charged? So, all those are part of our planning.
Vivek Ramakrishnan: Okay, I understand that. But my question was also more in terms of accounting, because eventually, let's say they cut tariffs on something from 10% to 5%, or let's say there is a customs reduction, regardless of tariff wars, that means the inventory losses, how do you take it into , I mean, do you have to just write, you know, take the inventory loss on the books? Or there is some back to back that you have already talked to the manufacturer which might help protect you?
V.S. Hariharan: Normally tariffs are not part of the , I mean , the back -to-back contractual arrangements with the vendor. If I need to answer you simply , the answer is yes , we have to take it. But in this business

 there are always push and pull. And we have seen in the past all these situations our business
constituents have handled it well with the vendors .
Moderator: Next question comes from the line of Rucha Somaiya with Old Bridge Capital . Please go ahead .
Rucha Somaiya: Apologies if these questions are already answered. My first question is on cloud. You mentioned
the great cloud opportunities, but currently we only get about 4% of revenue from this segment.
So, are you looking at a high single -digit contribution from cloud business? What is your outlook
on cloud ? That would help .
V.S. Hariharan: So, see what we call out as Cloud Solutions group is 4%, which is basically the hyperscaler
business, largely, and a little bit of SaaS. That's why I alluded to software in general, because
when it comes to clouds, you can't think about hyperscaler separately, software -as-a-service
separately, security separately, and increasingly, a lot of these are sold both as licensing and
subscription, and they all contribute to cloud overall business and opportunity.
So, all of that put together is roughly 15% of the business. And that's how we want to look at it
because that part of the business has potential to grow at 40 % to 50%. S

o , 4% is only the
hyperscaler part of the business. And that actually turns out to be 5% this quarter. We are
increasing the contribution from the hyperscaler part of the business as well.
Rucha Somaiya: And the kind of margin trajectory around these segments, if you can give us some color on this ?
V.S. Hariharan: So, see, somewhere between 5.5 and 6, so it is on the higher side, is what we appropriate from
the pure resell and the subscription model. And there is additional margins to be had on
professional services, which can be anywhere from around 20% plus. And we are also building
a smallish professional services business, which is important to build competency and capability
in-house, as well as bring the resellers together with us and to add more value to this entire
business and to create stickiness for customers and resellers.
So, the pure resell consumption on the subscription models will be between 5.5 and 6. In some
more value driven software, margins could be even higher, but the professional services could
be 20% plus.
Rucha Somaiya: Sir, my next question is on the brand partners. I understand you don't comment specifically , but
any color on this side would be great. I see that the contribution from Lenovo has been increasing
and I understand that that is a high margin segment as such. So , do you expect that to go up in
the coming quarters?
V.S. Hariharan: Yes, hard to comment specifically by brand , but clearly the work that the brand does in the
market and what they want to do with them, combination of the strategic actions that we work
together contributes to growth in a particular brand. But if you see the mobility part of the
segment on the premium side is growing in India . We have taken advantage of that and there is
a portion of that in Lenovo.
 Similarly, the PC market I mentioned earlier is a single -digit growth. So , if we are gaining share
then and we are participating in that, then that will contribute to our growth. So , those are the
two things that I would talk about, but I cannot specifically say about a brand what happens.
Rucha Somaiya: That helps. And the last question on the working capital side. I see that there has been a spike of
about Rs. 1,500 crore in trade receivables because of which working capital has been hit . So,
what kind of stability do you expect in the trade receivable segment ?
S.V. Krishnan: you need to look at the overall working capital. I am sure you will appreciate things are under
tremendous control. While we had said between 35 to 40 days as a range, we are lower than that
band, right? But within that, yes, AR days had gone up and we are working on it and that's the
market scenario . It is just not on Redington, but what we had done uniquely is we had reduced
our inventory quite sizably and increased our payable days to compensate for it .
Moderator: Next question comes from the line of P . Venkat esh with Corporate Database India Private
Limited . Please go ahead .
P. Venkatesh: Just wanted to know, we have referred to the TSG segment seeing more large deals, which can
come at lower margins. So , what would be the proportion of large deals in the overall revenue
mix? And secondly, what would be the debt on the books of Arena presently? And to what extent
we are seeing a reduction, will we be seeing a reduction in it ? And thirdly, will we see any further
impairment loss in the books of Arena ?
V.S. Hariharan: So, let me answer the first question. It's hard to comment because the deals happen every quarter
and I would say the large deals will be less than 20% of our business. The run rate should

definitely continue to be around 80%. But it can vary. Some quarters can be higher and some quarters can be lower. But largely it's a smaller portion. For the next few couple of questions, I will ask Kri

shnan.
S.V. Krishnan: Arena debt levels are currently at about $170 odd million. This money that we have got is about $70 million. So , ideally, it should come down to about $100 million. But having said that, we expect the growth revival to happen and to that extent, the debt levels can get adjusted. Impairment, we don't expect, but I mean, if there are any adverse conditions, we obviously need to test each of the assets for impairment and as and when there are anything, we will let you know. But as it is, the goo dwill that is there in the books are quite limited , Venkatesh .
Moderator: Next question comes from the line of Amit with HG Hawa . Please go ahead.
Amit: Thank you for the opportunity , sir, and congratulations for good s et of numbers. Sir, my question was connected to circular economy. Like what percentage of products sold are now part of refurbishment and reuse programs?
V.S. Hariharan: Good question. So , we have just started the circular economy pilot in India six months back. And we are only engaged in one part of the ecosystem, namely sourcing. And what we do is we
 work with our channel partners, resellers, and some big, large customers to source products. And it ranges from PCs to servers to storage. We have roughly had about 80 to 90 RFPs and we have already won about 40 of them and executed 40 of these.
And the way we do this is we source these products and we make sure that we work ethical , take them to ethical refurbishers or recyclers. I would say , largely , it is more recycling than refurbishing that we have worked on till now. But we are really working on this, learning from it every day, and we are trying to see how to scale up.
So, right now we do it only in India. It's very hard to put a number around it. But definitely seems like a very good area to be engaged. It's doing good to the world as well as there is gross margin in this business to be had because there is a ready -made ecosystem on both recycling and republishing that's evolving both in India and in Middle East.
S.V. Krishnan: If I can add on, Amit. As far as ES G is concerned while on one hand we have ES G and CSR going in parallel , we also have built businesses around it and that's our focus also. So, I mean Hari's objective is definitely to make sure we make a societal impact in the business that we do.
Amit: And sir, one different question. Can you share one key insight which we must have discovered in the past 3 to 5 years, which is very unique to understanding our business well?
S.V. Krishnan: Sorry, I haven't figured out your questions. What is that in sight ?
V.S. Hariharan: Yes Amit.
Amit: Can you share with me one key insight like which we must have discovered in past 3 to 5 years which is very unique to understanding our business better?
S.V. Krishnan: Be disciplined. Focus on balance sheet hygiene.
Moderator: Next question comes from the line of Pratik Kothari with Unique PMS. Please go ahead.
Pratik Kothari: Sir, just a couple of clarifications , this inventory and receivable provisioning for the quarter and the year.
S.V. Krishnan: Okay, so for the quarter, it is reversal of inventory provision by 7 bps and AR provision by 6 bps. So, there is a lot of, if I may say, cleanup that had happened. But for the full year, inventory provision is about 1 bps and bad debts about 6 bps, lower than what has been our traditional average, which is about 5 bps in inventory and about 10 bps in AR.
Pratik Kothari: Correct, and I believe from next year we expect the tax rates to go forward , right? So, if you can just highlight the number there.
 S.V. Krishnan: So, we had guided for about 24 % to 26% of tax rate for the current year. That was because if I go back t

o the earlier calls , we said in some of the markets the tax rates are going up . Particularly in UAE , where it was 0% , it has moved up to 9%. Next year , the global minimum tax is coming in impacting some of the economies including the UAE where from 9% it will move to 15% .
So, we expect next year , the tax rate should range between 25 % to 27 %, maybe closer to th is thing, 27%.
Moderator: Next question comes from the line of Sarthak Nautiyal with Eraya Capital . Please go ahead .
Sarthak Nautiyal: Sir, I have three questions. First, can you tell us more about the product mix change over next

two to three years? Also, what could be the revenue expectations for the same period? And my last question is, as Apple is now manufacturing more in India, how it will affect our business?
V.S. Hariharan: I think we talked about many different points, but product mix change , clearly , we see a larger part of the mix to be from software, which I mentioned 15% it is today across the three categories of software. So , we expect that to go higher. I wouldn't hazard a guess, but we will definitely, today it's 15. We should be more than 20 and higher as a percentage of our total business.
Clearly, the Technology Solutions Group as a mix also should be higher because that's the part of the business you have already seen it's grown between 25 % and 30 % over the course of the quarter and high double digit during the year . So, mix on both those will go up .
I wouldn't be surprised. The PC market has been somewhat muted and growing single digit, both on the Windows 10 to 11 refresh and the AI PCs becoming real. We do expect in the next three years, may not be only in the coming year, the Endpoint Solutions being a larger, growing faster and being a good part of the mix as well.
So, if I had to hazard a guess, higher growth rates will continue to be on software followed by value hardware, but the PC could continue to come back strongly, which has not been the case for the last year, year and a half.
In terms of revenue expectations, again, we don't provide guidance on growth and revenue expectations, but I can talk a little bit generally about the market. Clearly, based on Gartner, the IT growth rates for India is going to be more like 10 % to 12 % percent. And in the Middle East, it's going to be like 8 % to 10 %. But that's the overall IT. Within that, the cloud part of the business is expected to grow at 18 % to 20 %. And with this huge investments in data centers, that could be more.
So, clearly, from a market perspective, in the three big geographies, which are 75% of our total business, which is India, UAE and Saudi, there is a growth rate of about 20% to be had. Now it will depend on how we execute, what we can take, what is appropriate for Redington, basis margin, and basis all of the other factors that we work on. It will depend on that. So , there is a growth possibility available of 15 % to 20% in these three markets alone.

 And specifically on Apple, I can't comment specifically on the brand. Obviously their manufacturing in India is good for us because the responsiveness on the capacity required to fulfill the demand is there, and over time, pricing advantages, multiple SKUs, etc., the advantage should be there for us.
Our job is to work on the distribution part of the Apple business, and we are trying to do as good a job as we can on the different routes to market that we work with them, and maximize that. And that's not just limited to retail, but goes into enterprise as well, because the Apple PC business is growing very well and we work closely with them in terms of getting that business to bigger heights.
So, that's answering all your questions. If you have any other things that I missed out, let me know.
Moderator: Next question comes from the line

of Rucha Somaiya with Old Bridge Capital . Please go ahead.
Rucha Somaiya: Hi, thanks for taking my follow -up question. Now, one last question on the capital expenditure front. I see that the capital expenditure is a little bit spiked. So, any kind of color and what kind of CAPEX are you looking forward in the coming quarters?
S.V. Krishnan: Our CAPEX , Rucha , has always been limited. And this CAPEX is more specific and that too has happened more in ProConnect because of the new businesses that they had got , but otherwise it will range between Rs. 40 crores to Rs. 60 crores per quarter .
Rucha Somaiya: So, it will stabilize at that range in the coming quarters, am I right?
S.V. Krishnan: Yes.
Rucha Somaiya: Thank you for taking my question.
Moderator: Next question comes from the line of Sahil Doshi with Thinqwise . Please go ahead.
Sahil Doshi: Thank you for the follow -up. Just want ed to check on ProConnect, sir. Could you call out what are the full -year revenue and PAT numbers and what's the outlook for ProConnect?
S.V. Krishnan: The f ull-year revenue for ProConnect consolidated is about Rs. 957 crores . That is at a consolidated level. It continues to have an operating margin of about between 10 % to 12 %. And the profit after tax has been very good the current year, close to Rs. 30 crores.
Sahil Doshi: And could you just throw some light in terms of what is the outlook on this business for the next 2 to 3 years , and at what stage and scale could we look at possibly monetizing or making it an independent business or a subsidiary in that sense?

Information Classification: RL \Public V.S. Hariharan: Let me try and answer that question. So , there are two parts from a geography perspective. We
play in India, and we play in the Middle East. From the India part of the business , clearly , we have seen a lot of interesting opportunities come up in the last year like quick commerce . And we have jumped into some of those.

We play in a space largely called Integrated Logistics in India. And within that , we try to play to our advantage where we are good at. And clearly, one, we had stabilized over this year in terms of operations and profitability and then looking for growth within integrated logistics.

There is also an area in India we play , called the Mission Critical Services. So , that's India part.

In the Middle East, we largely are in UAE and Saudi. We have seen very good growth opportunities in Saudi, especially as Saudi pushes forward their agenda of a regional hub and a lot of brands are beginning to set up manufacturing centers in Saudi. So , we are setting up warehouses and integrated logistics and automated delivery centers in Saudi.

So, we clearly see good growth upside in the India and Saudi business in specific areas. We do have ambitions to grow it faster than today, as we have stabilized this thing over the last year or two in terms of operations. We are not able to comment specifically on numbers and give any guidance on that, but we are quite excited about this business going forward.

Sahil Doshi: Sure, sir. That helps. And just one last question in terms of clarification where you said 15% is software business and that is something which can grow at 40 % to 50%, is that correct or?

V.S. Hariharan: That is the available market growth and the available market size. The portion of the 15%, 5% is the Hyperscaler business of 4 to 5 which is growing at 40 % to 50 %as we report every quarter.

The other two parts, the security as well as the SaaS , there needs to be a lot of work done in terms of having a full portfolio and getting our right go -to-market, sales structure, partnerships, platforms, etc. , ready to be able to appropriate that. But the market is available for a 40 % to 50% growth in all three parts of the market.

S.V. Krishnan: And if I can add to t

hat, Sahil. See, this is the business that we feel we need to invest on for one of an earlier query with respect to OPEX . I think it's important to call out that this may require investments and we would want to do it to make sure that this business scales up.

Sahil Doshi: Perfect. This helps us. Thank you so much for this.

Moderator: Thank you . Ladies and gentlemen , that was the last question for today . We have reached the end of question -and-answer session . I would now like to hand the conference over to the management for closing comments .

V.S. Hariharan: Thank you s o much for all the questions today. And we are really pleased to report a very good Q4 and a very good end to the year. And we are quite excited as we move into the next year. We do have concerns on how the tariff situation will evolve, geopolitical situations will evolve. But outside of that, all our theaters, we are set up to respond to the market and we are optimistic,

Information Classification: RL \Public assuming these two factors don't come in the way to have a good year again. As I mentioned
before, Q1 is normally a soft quarter, but we are set up to execute well based on the market demand available. Thank you and look forward to the next meeting.

S.V. Krishnan: Thank you.

Moderator: Thank you . On behalf of Redington Limited, that concludes this conference . Thank you for joining us . You may now disconnect your li nes.

Call: Aug 2025

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August 5, 2025

The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai – 400051.

Symbol: REDINGTON BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai — 400 001

Scrip: 532805

Sir/Madam,

Sub: Q 1 - FY 202 6 - Earnings Conference Call Transcript

This is further to our letter dated July 25 , 2025 , intimating the details of Investor/Analyst call on the audited financial results for the quarter ended June 30 , 2025 , held on July 3 0, 202 5. No unpublished price sensitive information was shared/discussed in the meeting/ call.
In this regard, we are enclosing herewith the transcript of the conference. The same is available in Company's website at https://redingtongroup.com/wp-content/uploads/2025/08/RedingtonLimited -Earnings -July30- 2025 -Transcript.pdf .
We request you to take this information on record.
Thank you
For Redington Limited

K Vijayshyam Acharya Company Secretary
Encl: a/a

"Redington Limited
Q1 FY '26 Earnings Conference Call "
July 30, 2025
"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on July 30, 2025, will prevail."

MANAGEMENT : MR. V.S. HARIHARAN – MANAGING DIRECTOR AND GROUP CHIEF EXECUTIVE OFFICER – REDINGTON LIMITED
MR. S.V. KRISHNAN – CHIEF FINANCIAL OFFICER – REDINGTON LIMITED

Redington Limited
July 30 , 202 5

Moderator: Ladies and gentlemen, good day, and welcome to the Redington Limited Q1 and FY '26 (Please read it as Q1 FY26) Earnings Conference Call. As a reminder, all participant line will be in listen -only mode and there will be an opportunity for you to ask question after the presentation concludes.
This conference may contain certain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of the future performance and in volve risks and uncertainties that are difficult to predict. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. V .S. Hariharan, Managing Director and Group CEO.
Thank you, and over to you, sir.
V.S. Hariharan: Thank you. Good afternoon, everyone. This is Hariharan. I'm pleased to share with all of you our Q1 '26 results. This has been our best Q1 so far from a top line perspective with strong growth in both top and bottom line compared to the quarter 1 of '25. O ur revenues for the quarter grew by 22% and profits by 12% year -on-year. Excluding Arena, our subsidiary in Turkey, our revenues for the quarter grew by 24% on revenue and profits by 15% year -on-year.
Outside of the challenges with Arena, which I'll talk in a moment, our subsidiary, the profit performance has been good. Our overall PAT percentage stood at 1.32% fo r the quarter, excluding Arena.
Now let's get into a little bit of detail on geographies and business units. From a geography perspective, the revenue growth was contributed by strong growth in many geographies. India at 24%, UAE at 35%, Kingdom of Saudi Arabia at 32%, rest of Middle Eas t at 18% and Africa was stable.
India had an overall very strong performance with profit after tax growing faster than revenues with most business units contributing well, the Cloud Group, the Mobility Group and the Technology Solutions Group.
Coming to business units. The Mobility Solutions Group led with a stellar performance this quarter at 44% growth and demand on the premium segment of the market across India and Middle East was strong. Cloud Solutions continued its momentum, as you've seen over the last few quarters with 41% top line growth and continued success in the hyperscaler business, and we continue to take advantage of the cloud transition and digita l transformation enabled by AI.
The Technology Solutions Group performed well on top line this quarter at 21%. There were a lot of big deals in India and UAE, though margins declined due to a combination of mix of larger deals as well as general margin stress in the technology solutions space.

 The software businesses in security solutions, infrastructure software and application software continued their growth momentum. This is an area we can do a lot more, both increasing the breadth of our offerings and gaining share. Hence, we are putting eff orts and investments in all the geographies to increas e our intensity and focus here.
The Endpoint Solutions Group with the PC business was steady at 3%. It's been flattish for a while. We do see signs that we've been talking about for a while on refresh cycles on PCs bought during the COVID period as well as the Windows 10 to 11 upgrades a nd hope to have and look forward to more growth in the second half, and we are seeing signs of that.
We saw good growth from all the top 10 brands in our portfolio, and we also see several software brands getting into the top 10 of our business. Now coming to working capital and opex and gross margin,

the hygiene factors. Continued efforts on efficient management of working capital resulted in 37 days closing working capital, which is 2 days l ower than the previous year Q1.
Our overall financing costs, excluding of Turkey, reduced by 8% due to efficient management of working capital and our superior credit rating, AA+, allowing us for better borrowing rates, especially in India.
Opex control continues to be good and grew much slower than the revenue growth at 6%, giving us good operating leverage. Gross margin has been below expectations, and it's a combination of the mix shifting towards mobility for this quarter, the big deals in TSG and also market pressure s on the TSG run rate business.
Now coming to Arena. Our subsidiary Arena's performance was impacted due to provisions. We believe these are 1 time, but

we are monitoring and watching them closely.
Due to the market conditions in Turkey, we see a rise in the number of concordat cases last quarter. Concordat is a temporary relief given by the courts to companies facing financial
difficulty to restructure their debts with creditors. A few of our partne rs have filed for concordat.
The situation we have encountered was unexpected. And while we have taken provisions, the
team is taking all necessary actions to recover outstandings.
Though there is a tempering of inflation in Turkey and anticipation of lower lira interest rates,
the outlook remains uncertain. Our subsidiary, Arena is recalibrating our approach to the business in Turkey and taking proactive steps to manage the business cautiously by tightening
working capital, managing overdue credit limits closely and reducing our Turkish lira exposure. We are hopeful that we will recover from the Q1 challenges of Arena as we go forward.
With the new growth trends that we see on Cloud AI, digital transformation, we remain
optimistic on the outlook going forward. As mentioned in the last quarter as well, Q1 is normally our softest quarter of the year, but we executed well based on the addressable opportunities and
retained our share in the market.

 We also encountered geopolitical tensions, both in India and in Middle East, but managed to
weather through those. We feel there are opportunities to grow faster in software solutions,
subscription models and infrastructure hardware space.
With the creation of Software Solutions Group, the focus and investment towards creating
additional value add for brands and ecosystems should pave the way for faster growth, though
this will be a multiyear journey. We'll continue to emphasize and enhance our core hardware business, which has been executing well and growing nicely. Before I close, I wanted to share
something special.
This year, Redington was recognized as the most trusted company in the technology distribution
sector by VARINDIA. This award isn't just a recognition of our business strength. It's a
reflection of the trust we have built with our partners, our customers a nd all of you, our
shareholders.
Trust is not built overnight. It comes from showing up year after year with consistency,
transparency and purpose. This award belongs to every Redingtonian who brings in their best
every day and to each of y ou who believed in our journey.
Thank you. We look forward to your questions.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is
from the line of Nitin from Investec.
Nitin: So I think we had a very great quarter from a growth perspective. Just wanted your thoughts on the margin side of things. You did mention 3 elements which sort of impacted the margin. If you could give some more color there as to why it is. So I think anything from a philosophy
standpoint, these large deals that we are seeing in which geographies are they?
And how are the sort of --

are you happy with the kind of requirements on working capital and
all of those for those deals? And how should we think of margins overall on a going-forward basis? Do you think there's a different thought process on how you would like to take this on a going-forward basis?
S.V. Krishnan: Thank you, Nitin. See, on the margins, if you see between Q1 of last year to Q1 of this year, there is about 60 bps of drop, which was about 5.7%. Now it's about 5.1%. Giving you a broad
split of what is this drop on account of, about 10 bps relate to the PayNet divestment because
this was there as part of our results last year.
Second, in Arena, like what Hari mentioned, there had been still the economy as well as the
industry is going through stress. There is about some 10 bps of drop on account of Arena on top
of the PayNet . The balance, which is about between 35 to 40 bps is primarily on account of TSG
business. That's where the large deals, I mean, it actually comes into play.
We have discussed that before where while either the gross margin could be low or the working
capital could be beneficial, we have to make some compromise these being large deals. We only

 ensure that our return on capital employed is -- that requirement is met. So those are taken care,
but large deals do come at lower margins.
Second, even otherwise, there are some stress in terms of margin because of higher competition
in the marketplace and also vendors are not in a position to offer higher margin in the TSG space.

So these are the main reasons why in TSG, the drop in margin i s observed.
But otherwise, this is a breakup overall in terms of the year -on-year gross margin drop. Outlook, if I need to give you in the same form, the PayNet is something that is permanent. But Arena, we feel it could get recouped. It will take some time, but we are confident we will bring it back. In the case of TSG, that also links to your other point, we think the large deals doesn't seem to be a one -off.
It's going to continue for some time, and we need to play this in order to make sure that our revenue growth is in place, our market share and also the vendor share is in place. So we feel on the large deals, if there are significantly higher large deals, we will start tracking it separately and also we will see how it can get shared. But outside of it, the rest of the TSG margins, which is on account of the market pressure, we think it is going to take some time.
That's not going to come up that fast. Having said that, overall, at an operating profit and the PAT level, the point which Hari mentioned, I think we have ensured vis -a-vis the Q1 that we have had in the past years, we are broadly in line, and that has co me on account of the opex optimization as well as the working capital control, which has resulted in lower interest cost. We think this management of working capital and opex is going to help us from a profitability perspective, but this is the guidance on the gross margin.
V.S. Hariharan: Nitin, just to add one more point on the question that you asked. These deals are happening both in India and in UAE. We don't have a practice of calling out specific deals, but we see an increased number of deals both for data centers as well as the AI sp ace. And clearly, we are only seeing more of these, and we want to take our fair share as long as we are able to get our return on capital employed with the lower margins.
S.V. Krishnan: And one another point, Nitin, that you asked, do we have sufficient working capital for large deals? As we speak now, we think we have. See, end of June, our gross debt to equity was 0.36x. Net debt to equity is about 0.23x.
So do we have enough capital in terms of addressing some of the large deals? Yes. But it all depends on the size of the deals. We think the size of the deals also could g

o up. If there are requirements at an appropriate time, we will come back and talk to the streets. But right now, we are quite okay.
Nitin: Got it. I just have a follow -up, if I may. So I think this quarter, we also had a reversal of provisions that added some 57 bps on a sequential basis. And so which means that the margin drop was actually higher. Now the question is that these deals -- and it looks like the bigger margin drop, obviously, is in the overseas segment.
 So the overseas deals are what have actually dragged the margins more. Now those deals, are they government contracts? Are they private? So in terms of the working capital days there, how comfortable are they? Is it longer than our normal averages? I don't see it in the working capital as of now. It seems to be okay. But broadly, how is it? If you could just give some thought process and some guardrails that you generally have around it?
V.S. Hariharan: Yes. So the deals, Nitin, are only private deals. We're not working with the government. We work with people who might be working with the government, but we don't work directly, but all these deals are private sector deals.
S.V. Krishnan: Second point on the inventory provision reversal, see, Nitin, Q4 and Q1 are really falls apart. So my suggestion, please don't mix up the reversal of inventory provision vis -a-vis the inventory provision that we have. This quarter, there is a positive inve ntory provision to the extent of about 5 bps, which is broadly in line with our long-term trend of about 5 to 6 bps. So for this quarter, inventory provision has not been any different from the long-term average. But AR provisions, as Hari explained, has spiked and that's mainly on account of Arena.
Moderator: The next question is from the line of Aejas Lakhani from Unifi AMC .
Sarath Reddy The top line and the margin is the good news. The provisions are hard to understand. They seem higher than anything you've taken in the past, and they came without warning. And that's somethi ng I'd like to know more about.
Also, the interest costs, we expected that the sale proceeds that you received would have helped you mitigate interest significantly, but your international interest costs seem to have spiked quite a bit. Again, total surprise. I can't understand. There's something about cash flow being INR1,300 crores in the minus. Help us understand that. Also, could you tell us if you continue to use factoring? And if so, how much for this quarter?
S.V. Krishnan: Okay. So on the first point regarding provision, see, in Turkey, seriously, the economy is going through a lot of stress. There is -- there are applications, increased applications that are made by companies for concordat. Concordat is like debt restructur ing. This is pre -bankruptcy, okay? So I'm just going to -- I mean, specify the number of companies that have applied for concordat.
In the last 7 years, the average has been between 1,500 to 2,000 companies, last 5 years. Every month, starting from Jan

504, February 365, March 414, April 444, May 508, June 541. So
consistently, you can see about 500 companies applying for concordat in Turkey every month
vis-a-vis about 1,500 to 2,000 companies a year. So I mean, I'm just giving you a perspective
how the economy is moving, and we are part of the ecosystem.
So what we had seen in our business, there are some customers who have applied for concordat in the current quarter. So all this, maybe we could have given you a perspective last time, but all
these are happening. As we speak now also, it's something that we are keeping ourselves abreast,
and we are also putting some actions. So this called for some actions at our end. We felt after
 review of all our pending ARs and

what has got delayed, there is a need for creating an extra
provision.
So w e had accordingly done about $8 plus million of provision in Arena, which we think is
onetime, and we should be able to manage as we speak now, the rest of the ARs that need to get collected. But is this a surprise? It's a surprise even for us. But since the market is tough, we
need to t ake a considered view. We think we have taken a proactive view in terms of identifying
this case and have dealt with in the books.
Second is the interest cost. Interest cost per se in the balance sheet has gone up by 14%, and
that's only the interest. So if you consider the factoring and interest together, for your other
question, do we do factoring? Yes. The quantum has come down, but we -- I mean, we still do
factoring. Overall, for last year, factoring plu s interest together, it was INR 148 crores, which is
now in the current quarter is down to INR 122 crores.
So has that come down? It has come down. It has come down by 18%. But is this what we expected? No, we thought it will come down even further for the reasons that you had explained.
Within this, if you take only Arena, Arena's last year, factoring plus int erest was INR90 crores,
which is down to INR69 crores.
So even in Arena, there is a drop of factoring and interest cost in the current quarter year -on-
year. But I'll tell you, there were a couple of factors which has resulted in this not being even
more significant t his was the expectation.
So the first point is the PayNet money, it came in U.S. dollar. And U.S. dollar rates are about
10% to about 11%, 12%. We had to pay off the loan, which was costing us at 10%, 11%, 12%.
But on the other hand, there has been a corresponding increase in wor king capital. I'll explain
why all those. But majority of those increases have happened in the Turkish lira business. And
the Turkish lira loans were costing us 50%.
So the delta you can see, while PayNet money has come, which was only taking care of one-
fifth of our interest cost reduction. But on the other hand, we had to take loans at a higher cost.
Why did this increase happen? There were three factors. One, the d elay that we are talking about
the concordat related or the general market delays because there are some sluggishness in terms
of the overall liquidity situation in the market itself.
Because of this, there has been a working capital blockage that had happened, which part of it we have dealt with and we think the balance will come. It will take some time, but it will definitely come. Second, until the PayNet money came, we had some challenge in terms of cash
flow there. And because we were not able to get sufficient bank loans, etcetera, so we were
delaying some of our vendor payments.
That pressure, we had been waiting for the PayNet transaction to get completed, so that got paid
out. Third, we also thought now it has given us a headroom to increase the business because
 please understand in this business, if we remain on the sideline, vendors will push us out. We
also need to play the market share game.
While we are not going to compromise on any fundamentals, this is something that we need to
consider in a balanced way. So there has also been some build up on account of inventory. So
all this have resulted in extra working capital and extra debt and also extra interest cost. While I
did say interest on a year -on-year basis had come down, but it would have come down even
more faster had we not increased our working capital, but this is where we are.
Third, on the negative cash flow, I think we had discussed that in the past. With our profitability
metrics and a 40% dividend payout and if we are able to retain our working capital days, our
growth can be in the range of 10% to 12%. When our growth is in the range of 22% to 24% and
as Hari has men

tioned, the three big markets, which are India, UAE and KSA, all these three constitutes close to 80 percentage of our business.
Our growth rates are north of 20% in U.S.A. and KSA it was North of 30%. When we are growing at that pace, definitely, there will be capital requirement. We will not have the same free cash flow, which is what we have seen the case in Q1. But we think it i s more to do with the growth and we are quite comfortable with that. Sorry, I'm not sure. I've answered. It was a long answer. If there are further queries, I mean, please tell me, sir.
Sarath Reddy Yes. On the subjective the provision, on earlier occasions you've clarified that you have an insurance I'm not sure if that's limited to India business or also it covers your global business.
Could you help us understand if this is covered by insurance?
S.V. Krishnan: Okay. My answer at that point in time would have been for other markets. For example, in India and in MEA, our AR is majorly covered, but that's not the case in every other markets. For example, in Turkey, in Africa, in a few other countries, insurance, ei ther you don't get insurance or you get far less insurance. So in this case, is there an insurance? There is an insurance, but the coverage has been quite small.
Sarath Reddy Okay. So given what you've told us about the need to -- if you operate in Turkey, you need to be a serious player to retain market share is important. But then given the risks and the costs and the factoring costs and the interest costs and the never -ending provision costs, it's been several quarters of this?
When will you evaluate whether you need to be in Turkey? You have many markets in which you're doing well. Why would you destroy all the good work by continuing to break your head on a market that doesn't reward you?
V.S. Hariharan: Fair question, Aejas (Please read as Sarath) . This is Hariharan. And we've spoken about this before. It is challenging to get into a market, but not very easy, but we can exit markets easily.
So as we speak, we are recalibrating our strategy in Turkey. So over the next few months, we are going to se e what is the best way for us to do business and continue in Turkey. So it is being done.
 So there is a strategy discussion that's happening with our subsidiary as well as with the Board.
We will keep you updated as we progress on this, but it's a fair question.
Sarath Reddy For us as shareholders, you must understand that maybe we are less -- we are able to be a little more dispassionate because there is some distance between the business and others. But when you have recurring troubles in the market and you're actually incre asing exposure, putting good money that you received from the sale of your subsidiary into increasing business that's resulting in increasing provisions, it's very, very frustrating, sir. And it's disappointing that management has to be told this by a shareholder?
V.S. Hariharan: No, we definitely take your point. And I don't think we feel the same frustration. Believe me, we are as objective and dispassionate because we want to be closest to the shareholders and we are working for you. So clearly, we understand as much on this and as frustrated because we were seeing light at the end of the tunnel, and we were expecting a good profit turnaround with the PayNet divestment and using that money to focus on the cleaner business.
That is clearly our strategy going into this year. But we are also equally frustrated and we want to make sure that you understand that we are clear that we want to do good business and make sure that we have a good return on investment. So we are very clear about that.
S.V. Krishnan: Sir, just one add- on point. I think it's important to understand the facts here. I don't want you to think we have allocated more capital just to increa

se our business. Maybe I have not conveyed that correctly. A part of the money is struck because of dela y in collections, which is a regular part of the business. There is no increased allocation, but there is some money that is struck and which we have seen in other place also in the past.
So that's not something -- this is a business risk, and that's a conscious risk that we need to take and move on. So that's an environmental situation that we are faced with, and we are confident we will handle it in the best possible manner. Second, I ha d also said there had been a lot of delays to the vendors in terms of payment. Those are obligations. It's not an increased allocation.
At some stage, we had to end up in paying. We were holding on, we were stretching it. And that once we got the money, that had to get the thing paid. The third one where I said we have increased the -- I mean, we were trying to buy more to make sure that our market share is maintained. Maybe that's where there can be a judgmental view. But I just thought I need to make it clear. And if I still need to give you roughly -- I mean, the proportion, it could be 1/3, 1/3, 1/3. So we are only talking about 1/3 where there is a judgment involved.
Sarath Reddy Okay. Noted, sir, beyond a point, we don't have enough understanding and visibility of the day-to-day you're dealing with or the issues that you deal with. We respect what you're going through.
But it's important in the spirit of the award that Hari talked about in his opening remarks, the

shareholder trust is also contingent upon a realistic assessment of exit, not just entering
businesses.

 And it's been a long wait. There's been a fantastic progress in India and in your Middle East
businesses, your Saudi and UAE are doing terrific P&L and growth. But for some reason, you
all have taken unnecessary time to resolve something that should have been done. That's our view. We may agree, not agree, but that's our view and I think we thought we should share it?
V.S. Hariharan: No, I don't disagree with it Sarath . So we will definitely give it our best in terms of viewing our
long-term strategy in Turkey. We are also not running away from being objective and
dispassionate about it. You can be rest assured.
Aejas Lakhani: Sir, I have one follow -up. Sir, you mentioned that 500 companies continue to come in the debt
bankruptcy. So what gives you the comfort that the onetime $8 million provisioning may not
repeat in the subsequent quarter? And could you just call out that the credit insurance that you
have, how much do you expect to collect out of that 8 million from this credit insurance?
S.V. Krishnan: Okay. Our insurance provision is net of whatever we expect to collect from the credit insurance
Aejas. For your first question, how comfortable we are? As we speak now, it's an assessment
that we need to take. In our assessment, I think this is good enough. But as you know, these are
evolving situations. You need to have trust on us, and we also have trust on the team. But we
are at it.
That's what I can tell you. So I mean, this is something -- it's not the first time that we have seen
at all. We have seen it in various places in various times, and each situation is different. But
somehow in our assessment, an 8 million is good enough to handle this case.
Aejas Lakhani: And sir, could you please call out the specific factoring cost for the quarter?
S.V. Krishnan: It's about INR45 crores -- sorry, sorry. It's about INR31 crores vis-a-vis INR68 crores in Q1 last
year.
Moderator: The next question is from the line of Rucha Somaiya from Old Bridge.
Rucha Somaiya: Congratulations on a good set of numbers. I just had one question in terms of data center. You
mentioned that you are getting demand from data centers. But specifically that I wanted to a

sk
is every hardware that goes into data centers. So does that act as a demand center for Redington's
products specifically? Any color on that would be great.
S.V. Krishnan: Your question is not very clear. Can you repeat, please?
Rucha Somaiya: Question was the hardware demand that goes into data centers, does that act as a demand center
for Redington's products?
V.S. Hariharan: So sorry. Your question is, does that -- does the data center products add demand to the
Redington product?
Rucha Somaiya: Yes.

 V.S. Hariharan: So it does because typically, what goes into our data centers are server, storage. They can be
GPUs, non -GPUs, Intel -based. And we work with a variety of brands, both international and
local to fulfil these. So definitely, the IT products that go into a da ta center is something that we
work with and been working with for a long time.
Moderator: The next question is from the line of Pratik Kothari from Unique PMS.
Pratik Kothari: Sir, two questions on TSG. One is you made a comment on the increased competition. So is this
some geography specific? You also made a comment that vendors is not very keen to pay higher.
So if you can just highlight a bit more on that?
S.V. Krishnan: See, there is -- first of all, this is not -- I mean, in one market, this is something that we had seen
across markets. So this is more an industry issue than a market issue. There is increased competition because of higher growth in this space. Overall, t he growth potential is high. There
is an increased competition. And vendors also have restricted margins.
So all said and done, if there are less margin that we can get in the marketplace, we always go
back to the vendor equip with him and then get whatever that we can get from them. If they have
a restricted margin, they have only so much to share, which is w hat I meant. Hence, the overall
margin that's available in the business as we speak now is constrained, is limited.
V.S. Hariharan: Let me add another perspective here. See, there are a few things happening in the technology solutions
environment. One, there is a growth of cloud where the data centers for the cloud is

being put up by a variety of players. The on- prem products are being played both by global
players like HP Enterprise, Dell, Lenovo, et cetera.
And then there are local players that are evolving, which are working on both GPU as well as
non-GPU servers. So the intensity of competition is going up for both cloud data centers, on-
prem with a variety of different players jumping into the mix.
So what's -- as a result, the global players are pressured in terms of margins, in terms of pricing
to compete. And obviously, they're trying to either play the game by going direct, or by trying
to work with distribution and channel partners with lower m argins. And clearly, the demand is
outstripping and the growth year -on-year is fantastic if you add data centers and on -prem servers
that are being consumed and with all the cloud -- all kinds of cloud, but the competitiveness has
significantly increased.
Pratik Kothari: Fair enough. And sir, in these large deals which we called out, I mean, we said the margins are lower, but so are working capital. So the overall ROCE still gets met there?
S.V. Krishnan: See, I won't say ROCE will get -- met. If that's the case, it's an easy choice that we need to make.
There could be some compromise, but we have some threshold ROCE, which we don't want to breach unless it is too important or strategic that we keep in mind. But see, these are not
transactions which will come at regular commercials. That's for sure.

 Pratik Kothari: Correct. And you called out this 60 basis points dip in gross margins. And so out of this, it

seems
only Arena is something which can kind of mean revert based on whatever actions that you guys
take. Rest all seems to be permanent. I mean, PayNet, obviousl y, but even say the large deals in
TSG, or the competition?
S.V. Krishnan: Yes and no. See, the large deals, that's why I said if there are big, big deals which significantly impacts the numbers, we need to track it separately and call it out. Even outside of it, we think as the things settle down, the market operating price coul d go up, and we should be able to
recoup back our profitability in the TSG segment.
Having said that, the software services and the cloud part of the business, we are very positive
there. The margins are better. We think the higher growth in that segment is going to help us to
bridge this drop in margins.
V.S. Hariharan: So just to add to that, the software solutions piece of the business is about -- roughly 15%of our
business, and it's growing at 25% right now. And this quarter grew at 24% as well. So that part
of the business delivers a gross margin close to 6%. So that should help us counterbalance the
dips elsewhere.
Pratik Kothari: So sir, ex of Arena, any guidance that you would like to give for the year or next? What does normalized look like, be it at a gross margin, PAT, whatever?
S.V. Krishnan: Our objective, we have set out -- I mean, set out clearly and have also called it out. We would
want to maintain our operating profit between 2.3% to 2.5%, and PAT above 1.3%. That is something that we are still focused. We are hopeful. We don't see any ch allenge there.
Moderator: Thank you. The next question is from the line of P. Venkatesh from Corporate Database India
Private Limited. Please proceed.
P. Venkatesh: I just wanted to understand. So if we have clean-based numbers which are mentioned about
complete filing for the debt restructuring. So, we could have called out this risk much earlier, as
far as our situation in turkey are concerned. Any thoughts on that? And secondly, kind of
provision that you have taken out debt, what is the extent of receivables are kind of doubtful can
you spell out that clearly please ?
S.V. Krishnan: Okay. Venkatesh, these are evolving situations. If we have had so much of clarity, definitely,
we would have highlighted the upfront. We had to take a view as we were closing our books. So
we think -- I mean, there is no delay, and these are at an appropri ate time. But if there are
anything more, definitely, we will come back to you at the right time.
Second, very specific to Arena. In our view, about $20 million is the delay in collection, out of
which we had provided for about $8 million. And we think we should be able to collect the
balance as we stand now.
Moderator: The next question is from the line of Aejas Lakhani from Unifi AMC.

 Aejas Lakhani: Krishnan, sir, a follow -up. I'm still trying to understand the call out of the ability to maintain that

EBITDA aspirational margin of 2.3%. Given how the first quarter performance has been, what gives you the confidence that in the remaining 9 months, give n the dynamic situation in Turkey, we will have to cover up more than the 2.3%, so that the blended number reaches 2.3%. So what gives you that confidence, sir?

S.V. Krishnan: Okay. See, this issue in Turkey is -- we think it is one -off. So we don't see all this, we have to make an assessment at this point in time. Second, in the earnings deck, you would have seen one slide where we had given for a longer period, how have been o ur Q1 operating profit and PAT percentage. Because I see a confusion that's why some of the concerns are coming up.

There is a comparison between Q4, or there is a comparison with the full year number vis -a-vis Q1, which cannot be the case. Our Q1 has always been the lowest quarter in terms of revenue, lowest qu

arter in terms of profitability. So you can see in this slide, the trend in terms of operating profit, I'm removing the 3 years of COVID period because those are exception you don't want to reckon.

So the operating profit average, pre and post, is about 2.06%, and we are at 2.09%, better than that. The PAT percentage is 1.16%, I mean, pre and post, and we are at about 1.32%. So have we done better like what Hari said? Definitely, we are.

Maybe if the AR issue in Arena has not happened, it would have very clearly come off. See, look at it this way Aejas. Our AR provision is about 0.39% this quarter. Normally, it's about 10 bps. Let's assume it is 10 bps.

We are now talking about a 29 bps, which is close to 0.3% dip in profitability accordingly, on account of AR, which at the PAT level could be about, say, about 22- 23 bps. The 22, 23 bps impact is built in, in the numbers that you are seeing. So I don't think you need to be worried.

We are definitely in this thing not worried. We are confident in terms of what we had said.

Aejas Lakhani: Understood. Sir, my next question is for Hari sir. Sir, you had mentioned that you have now created a Software Solutions group. So sir, firstly, I wanted to understand that the hyperscaler, the pure SaaS, the Software as a Service as well as security is a part that encompasses this software solution group. Is that understanding correct?

V.S. Hariharan: Absolutely right . Those are the three groupings, so security, software as a -- and even within SaaS is infrastructure SaaS and application SaaS. And cloud was separately -- hyperscaler piece was separately in CS G. But now all three of them will be together in Software Solutions Group, and you will start seeing some of those in the coming quarters.

Aejas Lakhani: Noted. And sir, given that this is the highest growing piece for us, could you specifically give some color on what are the gross margins, and EBITDA margins that we have in this specific vertical?

V.S. Hariharan: As I said earlier, so we are tracking between 5.5% and 6%, and closer to 6% on the gross margins on these categories. Obviously, we have a lot of work to do. I think we focused very well in the

 last 4, 5 years on the hyperscaler piece going beyond just resell, going into consumption of workloads and professional services around it. And you get to appropriate when you do professional services, even higher gross margin, even though it's a smaller p ercentage of the business.

So as we focus and double down on security and SaaS, there is an opportunity to maintain those kind of gross margins, but there's potential to add services around it. There's also a potential to bring in more brands and get more share.

So there is more growth and more gross margin that can be appropriated. We are building a plan. It's not going to happen overnight. It's a multiyear journey. We started the journey. We are making investments there. So the gross margins you can expect in t hat business is between 5.7% and 6% kind of gross margins.

Aejas Lakhani: Understood. And sir, in the start, you mentioned that the TSG run rate business is seeing some sort of a challenge. So when you're calling out the run rate business, what does it really encompass?

V.S. Hariharan: So the run rate business is really channel business that we work closely with global vendors. And these are deals that we work closely with them, which they strike the deals and we fulfill them. And it's an ongoing channel business with their Tier A, Tier B partners that Hewlett Packard Enterprise, Dell and these kinds of brands, and Lenovo, these kinds of brands have, and we work closely with them to fulfill the deals that they work with customers and with us.

Aejas Lakhani: Understood. And sir, finally, what is the blended interest cost that we are paying on consol debt today, s

ir?
S.V. Krishnan: When you say blended interest cost, you want absolute amount?
Aejas Lakhani: No, no, sir, the percentage, like is it 7.5%, 8%?
S.V. Krishnan: No, no, no. That varies by market. It's too difficult to put a-- I mean, 1 percentage. Arena, we discussed, right? So in the rest of the markets, maybe -- I should say it varies between 6% to 7.5%.
Moderator: The next question is from the line of Sahil Doshi from Thinqwise.
Sahil Doshi: My question pertains to that this quarter we've seen a positive delta in terms of the MSG share. But consequently, we haven't seen a similar follow through in working capital in terms of benefit coming through. So could you talk a little on this?
And also, could you quantify the impact of the increased MSG share on the gross margin?
S.V. Krishnan: Okay. See, the benefit of mobility growth definitely seen in working capital. Outside of mobility, there is an increase in the receivable days across the board, that's something that we see in the
 marketplace. It's just not in the case of Redington, even with other competition, the credit days
in the market are more.
But however, if you see end of June last year, we were at about 39 days of working capital closing and now we are at about 37. So there is a drop of 2 days, and this is primarily on account of the mix, which is higher contribution from MSG.
Because of the mix change, the advantage -- sorry, the disadvantage that we have had in terms of the mobility is offset by the ESG. In ESG, our growth has been slower, which is what is taken over by MSG . Both broadly has got neutralized and hence, that impact on the gross margin is
not visible. But even if I need to put a figure, there could be about 5 to 6 bps of impact on account of both.
Sahil Doshi: Okay. Understood, sir. I appreciate. And sir, the question -- other question pertains to the large deals. Could you quantify what do you define large deal as? And is there any factoring on account of these again in this quarter?
And second is, sir, if we just see a long -term trend, the 5% adjusted gross margin, which we've seen, this is the lowest ever we have reported in any quarter. So structurally, are we looking at growth at the cost of margins? Is this how we should think about? Or have the terms of trade in the entire channel changed and this should be the new normal?
S.V. Krishnan: Okay. So, the definition of the large deal, it is too difficult to define because the size of the businesses are going up. I'm just putting it in a very broad level. 1.5, 2 years back, anything more than INR100 crores could be a large deal. And last year, we had handled certain deals which are more than INR200 crores. I'm talking about each transaction.
Now if we look at the businesses that are coming, there are some business which are multiple times bigger than this. So, it's too difficult to put a very specific amount. If it's quite substantial, and it is to one customer, one vendor, I mean, we think i t needs to be called out as a large deal.
Sahil Doshi: Okay. And related to the factoring and the other question on the growth over margins?
S.V. Krishnan: Sorry, which one?
Sahil Doshi: Is there any factoring on account of these large deals which you have done? And if you can quantify that?
S.V. Krishnan: No, not in this quarter. But in the past, for some of the large transactions, if we think we need to do receivable factoring, we had done, but not in this quarter.
Sahil Doshi: Sure, sir. And my other question...
S.V. Krishnan: Some of this it is difficult, Sahil, to guide. I'll tell you, this is the challenge in the back -to-back business. The deals come. We need to take a decision at this point -- at that point in time what
 to

take, what not to take. And each one is a different animal by itself. We are supposed to structure it in that form. So, it cannot get guided in a very simple form.
But wherever we think there are possibilities, we hedge it in the form of a back -to-back payment terms, or if it calls for more credit and there are possibilities for us to factor it with the banks, we do that.
V.S. Hariharan: And the additional -- the other question you had was, is this a new normal? And are we compromising gross margin for growth? See, it's a matter of relevance and market share. For the run rate business, we will maximize and have our share. And the big deal business, if you don't
-- if you play in that incrementally, yes, you will get additional growth.
And yes, your gross margin percentages will deteriorate as long as they make sense from a return

on capital employed, we have a threshold as what Krishnan said, it makes sense to us. So, we have to play that game. If we don't want to participate in the big deal because it's pulling down our gross margin percentage, we may become less relevant in that category.
S.V. Krishnan: See, one another point I want to make a mention here. See, this is a market which is very attractive and which is pretty large even for the global leaders. And they are all present in that market. So, you have to ensure as a leader, we are the leader in In dia. As a leader, it's important that -- I mean, you need to play the game in line with what a global player will do.
If the same transaction can be picked up by them, and if we are not able to do, then that advantage goes. So, we are very conscious about the risk. We are conscious about the working capital that we deploy and the returns that we need to make. But these ar e -- I mean, the choices that we need to keep making as we move forward too Sahil.
Sahil Doshi: Sure, sir. Thank you. I appreciate the candid responses. Just a final one on Arena. If you can just quantify, or you can just call out what's the situation currently? And how should we think about profitability and capital infusion further year on?
S.V. Krishnan: No capital infusion. We haven't invested -- I mean we haven't put any capital. We haven't made any commitment in Arena post our acquisition way back in 2010. So, there are no capital investments that are planned.
Having said that, in Arena, economy industry is still going through stress. We have confidence on our people in terms of how they manage, and that's something wherever required, we are pitching in -- I mean, we are pitching in. We are helping them. So, we would be very cautious.
We think situation will become better.
As Hari said, we are also looking strategically in terms of what we can do. At the right point in time, we will share with you what's our thought process and what's our plans. But as we speak now, we are trying to do our best in the given situation.
Moderator: The next question is from the line of Sarvesh Gupta from Maximal Capital.

 Sarvesh Gupta: Good evening, sir. Sir, just one confusion that I had. In the beginning, you had called out the 60 basis point decrease in gross margin. And out of that, 20 basis points was attributable to Arena and Paynet, and remaining to the TSG large deal business.
But then later in the call, you mentioned around 30 basis points of AR provisioning. So, I got confused that how much is the onetime thing, and how much is because of the onetime AR provisioning, and how much is repeatable? So, can you please clarify that ?
S.V. Krishnan: Good. See, AR provisioning is part of opex. It is not a part of margin. Both are independent. Have the margins dropped? The margins have dropped; we have discussed about it. But at the same time, we had brought in opex control, which is why our opex increa sed, even though revenue growth was 22%, opex growt

h was 6%.
Even though gross margin growth was 14%, opex growth was 6%. And interest, we have had a degrowth by considering interest and factoring together. These have enabled the profitability to be strong. If your question is, if the gross margin drop had not happe ned, if the AR provision had not happened, would the profitability growth would have been more? The answer is yes.
Sarvesh Gupta: So, your opex growth of 6%, which was anyways a good sort of number, would have been even lower had it -- had this 30 basis points of AR provisioning had not been done this quarter?
S.V. Krishnan: No, sorry. In opex, I have not included AR. Without AR, the opex -- the regular opex is 6%. If we consider AR, our opex growth was 13%.
Sarvesh Gupta: Okay. So, this 13% would have been 6%, but for this 30 basis points of AR provisioning that we have done this quarter?
S.V. Krishnan: Yes.
Sarvesh Gupta: Okay.
S.V. Krishnan: Sorry one second. Yes. If you add up AR, including AR, the growth is 19%, not 13%, sorry.
Sarvesh Gupta: Okay. So opex plus AR, Y -o-Y is 19%. Only opex is 6%? Hello?
S.V. Krishnan: Sorry, one minute. One minute. We are just checking the figures, just give us one minute. Yes, it's 19%.
Sarvesh Gupta: Understood. So opex plus AR Y -o-Y is 19%. Only opex, excluding AR is 6%.
S.V. Krishnan: Correct.
Sarvesh Gupta: Okay. And secondly, sir, on this TSG large deal, so I understood the strategic thing that since we are the market leader, we have to play sometimes. And also these could be something that is more involved going forward as well.

Information Classification: RL \Public Having said that, I could not -- just if I look at the working capital days, somehow it did not
seem intuitive that we got the benefit of the lower working capital days because of these larger
deals. So, the days reduction was small and the free cash flow was also sort of negative for the
quarter because of that. So how do I -- I mean, did we get the -- what kind of benefit did we get
on the working capital because of these large deals?
S.V. Krishnan: Not significant this quarter. It wasn't significant this time.
Sarvesh Gupta: But let's say, on a normal basis, are those significant like because we take a hit on our margins?
S.V. Krishnan: It depends on each deal. That's why I said normally, there could be a compromise, either on the
margin or on the working capital. But sometimes, I mean, that may not be significantly built, but
working capital reduction wasn't quite significant. It was onl y 2 days overall.
Sarvesh Gupta: Okay. And sir, finally, on the Turkish business, so on our parent balance sheet, what is the net
carrying value of the investments that we have done for Arena?
S.V. Krishnan: It is currently at about $30 million.
Sarvesh Gupta: 30?
S.V. Krishnan: 30.
Sarvesh Gupta: Okay. Okay. Understood, sir. And congratulations for steady numbers and all the best for the coming quarters.
S.V. Krishnan: Just on that question, I think it's important also for me to tell you, Arena is a listed company and
Arena's market cap, I don't know today, it ranges between $85 million to $90 million. So, for
your question, what's our current investment in the books is about $30 million. But if I need to calculate what is the market value of that is 50% of this amount, which could be between $40
million to $45 million. That can give you some comfort.
Moderator: Due to time constraints, that was the last question. I now hand the conference over to the
management for the closing comments. Over to you, sir.
V.S. Hariharan: Thank you so much for all the questions. I know because of the gross margin declines, as well
as the challenges we've had in Arena, our subsidiary, there were a lot of questions. We feel very
strong the way we've executed the quarter in all the geographies outside of Arena.
We are confident as we go

forward in Q2, we do see the NPIs in mobility, as well as the
Technology Solutions and the Software Solutions business building out a decent quarter for us,
and look forward to sharing that with you in 3 months.
S.V. Krishnan: Thank you.
Moderator: Thank you. On behalf of Redington Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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November 12, 2025

The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai – 400051.

Symbol: REDINGTON BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai — 400 001

Scrip: 532805

Sir/Madam,

Sub: Q 2 - FY 202 6 - Earnings Conference Call Transcript

This is further to our letter dated October 31, 2025 , intimating the details of Investor/Analyst call on the audited financial results for the quarter and half year ended September 30 , 2025 , held on November 06, 2025 . No unpublished price sensitive information was shared/discussed in the meeting/ call.

In this regard, we are enclosing herewith the transcript of the conference. The same is available in Company's website at https://redingtongroup.com/wp-content/uploads/2025/11/Earnings -Call-Transcript -Q2FY26 -FINAL.pdf .
We request you to take this information on record.
Thank you
For Redington Limited

K Vijayshyam Acharya
Company Secretary

Encl: a/a
Page 1 of 19

Information Classification: RL \General Business \Redington

"Redington Limited
Q2 & H1 FY '26 Earnings Conference Call "
November 06 , 202 5

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on November 06, 2025, will prevail."

MANAGEMENT : MR. V S HARIHARAN – MANAGING DIRECTOR AND GROUP CHIEF EXECUTIVE OFFICER – REDINGTON LIMITED
MR. S.V. KRISHNAN – FINANCE DIRECTOR – REDINGTON LIMITED
MS. PALAK AGRAWAL – GENERAL MANAGER ,

Moderator: Ladies and gentlemen, good day, and welcome to Redington Limited Q2 and H1 FY '26 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

 As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. V.S. Hariharan, Managing Director and Group Chief Executive Officer of Redington Limited. Thank you, and over to you, sir.

V.S. Hariharan: Thank you. A very good morning to everyone. It's a pleasure to be here, and I'm delighted to share with you our results for Q2 '26. This has been our best quarter so far from a revenue perspective recording nearly INR 29,118 crores of revenue. With a quarterly profit of INR 388 crores, the profitability was the best Q2 ever.

Our revenues grew at 17%, with EBITDA and PAT growing faster than revenues. Overall, PAT for the group was standing at 1.33% for the quarter, and excluding Arena, PAT was at 1.57%.

It is a continuing story of profitable growth with growth coming back strongly across all business segments and many geographies. From a geography perspective, the revenue growth was contributed by a strong growth in many geographies.

As I said earlier, India at 23%, UAE at 23%, Saudi Arabia at 10%. If you remember, last year around the same quarter, we had a growth challenge, and we have recovered well. GCCL, newly formed cluster consisting of GCC countries outside of UAE and Levant co untries grew at 22%.

Africa continued to be stable at 8%. Overall, a very strong performance with PAT growing faster than revenues across most geographies. As I said earlier, all business units contributed well to the growth. Mobility grew by 18%, contributing to 35% of the top line, driven by stronger demand in the premium segment, impactful NPIs. This quarter, we have NPIs and that had a good impact.

And a very strong execution in the direct -to-retail segment in India during the quarter. The ESG business, consisting of PCs, grew by 11%, contributing to 32% of the top line due to PC business growth, both in India and ME. We see signs of the PC refresh cycle. And we also see increased AI PC penetration, especially in the commercial space, and we see that in India, and estimate that the growth could be higher in the second half of the year if this trend continues.

Technology Solutions grew by 9%, contributing to 16% of the top line due to higher enterprise demand. I wanted to spend some specific time on Software Solutions Group. As you remember, over the last few quarters, we've been talking about our increased focus on Software Solutions.

And now we have brought the various pieces into one Software Solutions Group, consisting of cloud hyperscaler business, cybersecurity business, application software and professional services.

This is the first quarter we are reporting the results at this group in this new form. It grew by 48%, contributing to 16% of the top line. If you remember, we talked about it the previous

 quarter that this group for last year grew somewhere between 20% and 25% , so we clearly see signs of accelerated growth in this area.

As I said earlier, there are 4 pieces in it. There is the cloud hyperscaler business, cybersecurity, application software and professional services, and all of them recorded good double -digit growth. It also delivered higher -than -average PAT compared to th e group, which contributed to our results being what it is.

In the cloud segment, we are working with the hyperscalers and continue to take advantage of the cloud transition and digital transformation, which enterpris

es and large SMEs are going through. In the cybersecurity and the software business, we have been focused on increasing the breadth of our offering, signing up more brands as it makes sense, and increasing the intensity

of our go-to -market and the focus with the brands towards gaining wallet share.
This is reflected in our growth in SSG of 53% in SISA and 44% in rest of the world. Overall, there are um pteen opportunities that SSG can offer through subscription models and solutions.
Now where are we investing? We continue to invest on the digital platform, CloudQuarks. We have been talking about that. We already have the platform, and we are continuing to improve it to add more analytics, to add white labelling , to add auto mation, to add marketplaces, et c.
We are investing in technical presales teams. We are investing in Redington Academy to train and create certified professionals, both inside and outside the company. We're creating ecosystems in just marketplaces where we can bring managed print service providers and ISVs together with the products to get complete solutions for our customers, which is what increasingly in this new world of cloud and AI people are looking for.
So, all in all, I think we have had a good growth on SSG, and we hope to continue to maintain this momentum with our investments. I think the beginning of a journey. Moving on to operations. I want to talk a little bit about working capital and opex , very efficient management of working capital and a higher mix towards mobility led to the overall lowering of working capital days to 31. Opex continues to be managed well and grow slower than revenue, grew at 9% year -on-year, giving us good operating leverage.
Now talking a little bit about our subsidiary Arena. They continue to wait through economic challenges in the country, while inflation and policy rates have been coming down over the last couple of months and interest rates -- the central bank rates have g one below 40, and the inflation rates have also come down while still remaining at stress levels.
We continue to remain watchful in the concordat cases. This quarter, in order to reduce interest costs in Turkey and to minimize local currency exposure, Arena has decided to divest from their Connect Vodafone contract. This was announced earlier, and this should help us as we navigate forward in terms of improvement in our profitability.
There were some one-off impacts as a result of this transaction in the current quarter. The overall loss in Arena was INR 37 crores, our share of the loss. Over the last few quarters, just to bring everyone's memory up in terms of the actions that's been taken, Arena has taken a series of actions starting with Paynet divestment, tightening of working capital and opex , managing AR

 more closely, divesting from the local currency business, all heading to improve the healt h of the business.
We remain hopeful to steer this in the right direction with Arena leadership. We're also proud to share the news that VAR India for FY '25 has awarded Redington as number 1 IT distributor in India.
This is the third consecutive year in a row, and we are also happy to share that the lead has increased between number 1 and number 2. This could not have been possible without the support of brands and partners and, of course, a fantastic leadership and execution tea m in India, the Redington team.
During this quarter, we have participated in many customer and partner events in many of the geographies we are in. The notable amongst them was the GITEX in Dubai, which happened last month.
It was a great event to reconnect with many brands and many partners across the Middle East, Africa, Turkey region and build on our growth story further. We're also investing in many AI capabilities, and

we will share the plans and the executions in the up coming quarters.
I'd like to thank everyone of you for believing in us through our journey, and we look forward to your questions. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Nitin Padmanabhan from Investec.
Nitin Padmanabhan: You have disclosed the SSG, I think, combined it and given it, so thanks for that. Just wanted your thoughts on since we have it as a separate sort of thing, both cloud and I think put together, how would the working capital intensity here be related to the rest of the business? If you could just give a comparison versus the company average working capital? How would this look?
S.V. Krishnan: Nitin, SSG, we have normally lower working capital, but not significantly lesser. When compared to the company average, you can take -- it will be more or less similar level. What you should note is the company average is mainly on account of MSG, where the working capital is much lower. That gives us an advantage. But SSG is around the company average.
Nitin Padmanabhan: The second thing was, I think you had mentioned that there is pickup in the PC refresh cycle and the AI PCs and so on and so forth. And we could -- if it continues, it's possible that the second half could be stronger. Is this common true across markets o r is this specific to India?
V.S. Hariharan: Thanks, Nitin. I think we largely see the trend in India. Overseas is still a little bit flattish. It's a single -digit

growth, but we are seeing a higher single digit or lower double digits in India.
Specifically on AI, we've seen about 22% of our commercial PCs in this quarter came from the AI classified PCs.
So, we see a good trend. And if I see the last 6, 7 months of activation of PCs from the numbers
we see, we -- clearly, there is a growth compared to the previous year. There's a growth

 consistently every month in India. So, we definitely see the trend in the right direction in India.
Overseas, yet to be seen. There is encouragement, but not enough of a window to call out that
we are going to see growth going forward.
Nitin Padmanabhan: And then just 2 quick ones. So one is on the Arena, the INR 37 crores, which is our share of it.
That entire -- how much would be the one -off? Last quarter, there were provisions, and that led
to a INR 40 crore kind of a loss. This time, those provisions are maybe significantly lower, but
we still have a INR 37 crore loss. So how much would be the one -off there?
And the second question was, by when do you think we should start seeing the benefits of the
Vodafone Connect sale in our numbers? When should we sort of resume that broadly? So those
were the 2 questions?
S.V. Krishnan: Nitin, for the current year in terms of dollar terms, $8.5 million is a loss. vis -à-vis overall for
previous quarter about $9.5 million. If that needs to get split in 2, what relates to one -off very
specific to the Connect sale, it's about $3.4 million.
One-off, which are outside of this, it could relate to some rediscounting charges, et c., it's about
some $2.5 million. What is steady state Arena IT plus loss is about $2.6 million, which, for last
quarter, about $3.6 million. So, has that come down? The loss has come down in the core
business, but others are one -off for the current quarter.
Nitin Padmanabhan: And the -- yes.
S.V. Krishnan: Sorry, I haven't addressed your second question. See that sale got concluded towards the end or beginning of the current quarter. We are in the process of consuming -- let's say, consummating
it, which will also involve collection of some outstandings that will continue till -- this in Q3
and some part in Q4. So, a good part of the benefit should start kic

king in towards the later part
of the current quarter and mostly from Q4, but fully from next financial year.
Moderator: The next question is from the line of Deepak Lalwani from Unifi Capital.
Deepak Lalwani: Congratulations, team, for a stellar performance from a delivery standpoint. It's a very strong
execution quarter. So, kudos to the entire management team and the efforts that you have been
doing to turn around the business. It's a great reflection this quarter of the efforts and the reaping
of rewards of th e same?
So, with that, I have a couple of questions. The first one is, sir, could you call out that due to
Arena Connect, what will be the extent of revenue, EBITDA, interest and debt reduction that we
will see in Turkey?
S.V. Krishnan: Revenue will be in the range of about some $300 million. Debt, if all this gets fully closed, we
could have an advantage of between $50 million to $55 million.
Deepak Lalwani: And Krishnan, sir, the EBITDA and interest cost element as well, please?

 S.V. Krishnan: See, interest cost, you can see at $50 million -- I mean, $55 million at 43%, 44% rate, you can
work that out. EBITDA would be positive. I don't have the ready-made number. But at the PBT
level, it's a clear loss.
Deepak Lalwani: Sir, could you specifically also speak about the $20 million receivables that we had spoken about
earlier? Will there be any incremental provisioning required for the same? And also, what do
you think would be the key timelines in which the Connect business would wind down? And
when will that start to reflect in the operational uptick in our numbers?
V.S. Hariharan: You want me to answer the second one while you need time.
S.V. Krishnan: See, the second part of the question is just answered to Nitin's question. This will -- the benefit
will start kicking in from Q3. But since the sale got consummated just now, in terms of ensuring
all the inventories are handed over to them, all the ARs ar e collected, the benefit will be fully
seen from beginning of next year and mostly from Q4.
The first question on concordat, some collections have happened in this quarter. If you recollect
the previous quarter, I had mentioned all these are concordat cases. Definitely, it's going to be
slow. And in our expectation, it will take about 18 to 24 mo nths. So, this is going to happen only
slowly.
Are there increase in the concordat cases? I mean still the higher number of concordat cases still
there. Roughly in the current year, between January to September, about 4,400 cases had got

reported, which normally would be in the range of 2,000 to 3,000 entities in a year.
And we feel whatever is balance, we should be able to collect. And we have to take a call as it stands at every quarter, and we don't foresee any major challenge, but it's going to take some time.
Deepak Lalwani: The next one, sir, is could you just call out what has been the reason for the slightly more higher increase in working -- in the interest cost this quarter? And also, what has been the factoring cost for this number for this quarter?
S.V. Krishnan: Okay. So overall, the factoring cost for this quarter is about INR 45 crores. And for last year, same period, about INR 33 crores. That takes the total interest and factoring cost to INR 161 crores vis -a-vis INR117 crores last year, a 37% increase.
And there is an increase in Arena from INR 48 crores last year to INR 60 crores -- sorry, sorry, sorry -- in Arena from INR 69 crores last year to INR 101 crores in the current year, an increase of 46%. If you take that out, in the rest of the business, the increase is from INR 48 crores to INR60 crores, which is a 24% year -on-year increase.
Deepak Lalwani: And sir, incrementally, how should we think about the interest cost going forward, sir?
S.V. K

rishnan: Okay. In the rest of the markets because of higher business growth, there will be absolute increase in the working capital. However, interest rates are coming down a bit slowly. We think the interest costs as a percentage of revenue should come down rest o f Arena, outside of Arena.

 In Arena, the 2 steps which Hari mentioned, one, the sale of Connect, and we are also in the process of winding down our Turkish lira business, these 2, ideally in the next 6 months, should be fully affected, too. If that happens, you will see a significant reduction both in the debt levels as well as in the interest costs.
See, the important point is the interest cost today is very high in Arena because of Turkish lira loans. If we exit or wind down significantly the Turkish lira business, then the debt that we need to raise in the local currency is much lower. And to that e xtent, the incremental benefit will be significant, or the interest reduction will be significant.
Deepak Lalwani: And sir, it's fair to assume that the Connect business that we've sold had a large component of the Turkish lira. So as that business is going up...
S.V. Krishnan: 100% Turkish lira.
Deepak Lalwani: Got it, sir.
S.V. Krishnan: It's 100% Turkish lira business.
Deepak Lalwani: Noted, sir. And sir, just my final question is, how should we think about your incremental opex ? Is your current opex adequate to support this high revenue growth that you continue to do? And also, could you specifically call out an outlook region -wise for the businesses in the second half?
V.S. Hariharan: Okay. Let me try and attempt that. So firstly, we continue to see growth on SSG with the momentum we are building. And that will require continued investment, as I mentioned, on presales, platforms, academy, a whole lot of things.
So clearly, we will invest and there will be more opex going there. But the return on investment will also be very good. We -- as I mentioned, the gross margins are higher on that business, and the profitability levels are higher than the Redington average. So, we clearly see more investments. We're getting leverage because of the larger revenue size and growth.
In terms of outlook, so far, India, UAE, KSA, all 3 geographies, we definitely see good outlooks. At least in the near term, the next 2, 3 quarters, there is good reason to believe in all business units as well, including mobility, there is a strong momentum on mobility, and we see that continuing for the next 2, 3 quarters.
As I mentioned, PC, we expect the PC growth to pick up if the trending, what we see in India is right. And we also have several deals in the pipeline on Technology Solutions, which we expect to fruition in Q3 and Q4, both in India and overseas.
So definitely, the outlook is positive and promising. I'm not able to give you a number, but it's promising. We will continue to invest some in the core business, more in the SSG business going forward. We're actually crafting up, as we speak, 3 -year plans on how to look at multiyear investments for things like SSG in a way that we can get the right return on investment.

 Deepak Lalwani: And sir, on the opex, could you just suggest that is the current opex enough to support the adequate high revenue growth as a percentage of revenues or should we think that, that can go up incrementally?

V.S. Hariharan: I would think it can go up incrementally, the opex as a percentage of revenue. You got good leverage this quarter.
S.V. Krishnan: You need to look at opex in 2 forms. One, the core business; and the other one, investments related. What you see now, while there is an overall control on opex, if you see the c

ore business
removing the investment, the optimization is even further, right?
But on the investment part, which is what Hari mentioned, that we feel the investment need to be more to ensure the capability building is in proper form, and SSG is definitely looking very attractive, and that's our focus area also. That, we think, we need to make right investment, and we shouldn't -- I mean, we should not miss the opportunity.
V.S. Hariharan: But we will be mindful to keep opex percentage growth lower than the gross margin growth. That is always our intention. So, we'll definitely be working our own action plans to see how to keep that leverage going.
S.V. Krishnan: I need to tell you one thing, which is a very important point. You all know the gross margin is x percentage, operating profit is about half of that, and PAT is about one -fourth of that. What we had observed, I mean, you can see from the numbers, from the incremental gross margin, what we have derived is almost half of that into the PAT, which very clearly shows, which is a point we have been making even in the last earnings call also on the large deals, right .
When we are able to generate incremental gross margin, keep opex and working capital under control, what will flow through into the profit will be significant. And that's what we had seen very clearly this quarter.
Deepak Lalwani: Wonderful, sir. I wish you more quarters of such execution. All the best.
V.S. Hariharan: Thank you.
Moderator: The next question is from the line of Pratik Kothari from Unique PMS.
Pratik Kothari: Yes. So first of all, congratulations, a very strong and quick come back in numbers. So, one on TSG. Last quarter or last 2 quarters, you had called out some profitability pressures there. I mean you were winning large deals, but there were -- on working capital and profitability, you were seeing some issues. So, one growth this year is an outcome of that where we have let go of a few contracts? And just overall, how is that space shaping up?
V.S. Hariharan: So again, let me just set the context. So, TSG, now the new TSG for us is really server, storage, networking, the hardware components. It had some of the software pieces which are moved to SSG. So clearly -- and when we start comparing, we'll compare TSG to TSG likewise. And the actual size of the business has got restated, as you will see in the percentage contribution of TSG to the overall business.

 We are definitely seeing good enterprise demand. We are seeing large deals. We will be selective. We will not let go our deals because as we mentioned in the last few quarters as well, it's important for us to be relevant in the space with our brands and vendors. And there is also a lot of Make in India brand coming up, and the data centre deals in India is growing up.
So, we will participate in these deals. And I think Krishnan had mentioned in the previous earnings call that we always look at by deal, what will be the ROCE that we'll get and what will be the profitability.
So, we will look at the balance of both. Clearly, if I look at a pure margin perspective, it might pull down the weighted average margin, but with the incremental margin and profitability, we'll get on the deals will only increase our leverage.
So that's how we will look at it. Clearly, we will go and -- go after deals, and we'll balance our risk and return. And that's how we're looking at it. And you will see we do have several deals in the pipeline coming up for the next 2 quarters, and some of them are fairly large, and we will go after them. And as and when we make -- make them happen, we'll also report and share with the group.
S.V. Krishnan: These large deals are incremental revenue, Pratik. That's the way you should see. Outside of it, we will still ensure

that is an interesting growth. And if there are opportunities, which are incremental where our cost increase are going to be marginal, we would want to handle those.
Pratik Kothari: And sir, was this Vodafone agreement exit, I mean how much more the lira business stays in Arena? Or is it all USD?
V.S. Hariharan: So, it's a progressive approach we are taking. So, as Krishnan mentioned earlier, the Vodafone contract, all of it is 100% lira. There is some amount of consumer electronic business within the IT business that we have, which also we are exiting -- and might take another 1 quarter, 1.5 quarters to get exit from that.
And then there is some channel business, which has to be done in lira. It is not a perfect market where I don't become

relevant for a brand. If I don't do -- if I go with a brand, I have to operate
in multiple channels. And so there might be some amount remaining there, but a smaller amount,
where some channels do only business in lira.
And I can't work with the brand if I don't do both. So largely, by Q4, as Krishnan mentioned,
both from the Vodafone contract and we call it the mixed business internally, which is basically
lira business on specific products that we will exit. We might ha ve a small mix of channel
business, which is -- I have to work with a brand which has got both.
Pratik Kothari: And sir, last, more of a discussion point than a question. This 40% dividend payout, I mean, in years like this where we are seeing strong growth in possibly even going forward, I mean, should
we think of being more flexible in terms of maybe paying out lo wer -- or maybe instead of
paying out 40% every year, do it over 3, 5 years, such that we don't do it at cost of balance sheet
and obviously, ramp this up and the growth slowers, but any thoughts around this, anything we can think of, inste ad of doing 40% every year?

 V.S. Hariharan: So, thanks for the feedback. That's very heartening. And we will bring it to our Board as well
and have a discussion. But your point is bang on because if -- we don't want to leave growth on
the table at the cost of dividend because our current dividend policy and profitability allows us
to grow 10%, 12%, and there is market growth available. We definitely value feedback like this, and we will bring it for discussion to the Board.
S.V. Krishnan: And there are very good opportunities for growth. So, we just want to be mindful not having
enough leverage advantage should not be impacting recapturing that business. So, we are very
mindful of that.
Pratik Kothari: Exactly, exactly. I mean does that dividend payout should not come in the way. I mean, it's better you reinvest a 20% ROCE and give it back to us?
S.V. Krishnan: See when we don't have requirement for money, we would be very happy to give it back to you. I think there are requirements, we would want to give you better returns , that’s the objective.
Pratik Kothari: Correct. And there are peer companies in markets who are doing this, where they change this
dividend ratio based on the balance sheet that they have. I mean we can discuss this more later,
but yes, thank you.
Moderator: The next question is from the line of Sarvesh Gupta from Maximal Capital.
Sarvesh Gupta: Congratulations on a good set of numbers. I think most of my questions have been answered, but just one question related to Arena, which I could not fully understand. So, on the EBITDA
side, so basically, we were incurring some losses. Now we have sold our lira business
substantially. So, let's say, from FY '27 onwards, on a quarterly basis, what would be the change
in EBITDA because of this transaction?
S.V. Krishnan: Sarvesh, frankly, the EBITDA percentage in Arena is the highest within the group. The reason
why it does not matter is because you know well, EBITDA i

s a factor of the interest rate. At
those interest rates, it's still not working out, and hence, we are making loss. So, from an
EBITDA perspective, it may not be a big difference.
But from a profit before tax or after tax, it will make a difference. Our objective is to turn to
profits. Right now, the visibility is reducing loss, maybe to make it nominal, but there are a lot
of work to do in terms of converting the loss into profit, work have started, but it will take some
time.
Sarvesh Gupta: So, sir, you mentioned that the interest cost saving would be around, I think, $23 million. But
what would be the EBITDA, let's say, for this quarter? If you take out the sales -related expenses
and all, what will be the EBITDA for the remaining part of the Ar ena business for this quarter?
S.V. Krishnan: Okay. I don't have a ready -made number. I think it would be north of 3%.
Sarvesh Gupta: North on 3%? And what is the remaining sale that we have, sir? After the sale of the business,
what is the going concern quarterly revenue?

 S.V. Krishnan: We have Arena IT business, right? There are 3 parts of business. One is Connect, which has got
divested, we discussed. Second, there are still more some TL -related businesses that we handle,
and we are in the process of reducing that.
The third portion is the Arena IT business. If you recollect, Hari also mentioned, it is predominantly U.S. dollar and it is like any other IT business that we handle in the other parts
of the world.
V.S. Hariharan: That will be roughly around $500 million plus/minus, Sarvesh. And that business will continue.
Right now, it's flat to decline because of the market situation. We expect it will be depending on

the market size and our share, roughly $500 million next year as a number, if you have to start with.
Sarvesh Gupta: And on the working capital side, is there a substantial difference between the lira business, which we sold and the remaining part of the business?
S.V. Krishnan: It is higher. I won't say substantially higher. It is higher. So, on one hand, we have working capital more than the normal. Second, the interest rates are higher, and hence, it's not viable.
Sarvesh Gupta: And finally, sir, on the inorganic side, are the -- I was trying to look at some of the opportunities in the market. Are there such opportunities that we are finding? Or does it not add any value to us as such to do inorganic?
V.S. Hariharan: We always explore this. One area where we are exploring is the Software Solutions Group because that's an area that's evolving very nicely in terms of a lot of new things, new areas of capability, new areas of competency we need to build.
And more small inorganic opportunities is what we're looking at. I don't think we are ready at this stage because we are learning as well that cybersecurity, for example, is a big growth area, and it is right for distribution because the MSSP, the security practices is almost a 20% of the security product businesses security practices.
And a lot of our existing partners do this, but it's a very complex area and growing very rapidly. Clearly, between security, between cloud and some of the competencies we want to build, we are exploring, I would say, very early stages right now.
Sarvesh Gupta: All the best for the coming quarters.
S.V. Krishnan: Thank you.
Moderator: The next question is from the line of Lakshminarayanan from Tunga Investments.
Lakshminarayanan: Just one question. In terms of the SISA business, how the Android phones are actually growing. Just want to understand that particular part?
V.S. Hariharan: So, I'll give 2 perspectives. I'll give India and overseas. Clearly, that's been one of our very nice growth drivers, and I think I alluded to it in my opening presentation. We work with 2

premium
brands. The premium part of the market in India is growing very nicely. And of course, Apple

Redington is a very strong player there, but a couple of the Android brands have also moved very, very nicely.
And I would say that's been a big contributor over the last 2, 3 years on our growth numbers. This quarter also it has done well. The D2R channel, the direct to retail channel, that we have built with over 5,000 outlets are getting only premium phones, has been one of the key drivers for this.
Overseas, we do work on a few premium brands as well and both in MEA , which is KSA, UAE as well as Africa, and it has also been a good contributor. So, Android premium brands has been a good growth trajectory for us.
Lakshminarayanan: It was mentioned recently that Apple, they called out in their earnings call that India has actually grown very well. Now our growth is ahead of Apple's growth in India in a sense that are we getting higher market share. Second, is the Android phones are actually out shipping the growth of Apple phone, especially in the premium segment we are catering?
V.S. Hariharan: So hard to really give relative numbers, but because Apple reaches some part of the market directly and some part is distribution. Clearly, in the distribution space, we've been playing a role on upcountry as well, and there is a lot more growth in upcountry, which could have resulted in the distribution TAM being a little bit higher, that total addressable market.
As you may be aware, there are only 2 players in India, Ingram and us in the Apple space. And there are times when we do a bit better, and there are times that they do a little bit better. So, the numbers are roughly 50 plus minus. We are not able to give exact numbers on this. But yes, the market for us is growing because of the many SKUs they have in the upcountry.
That's what I would say in terms of Apple. Do we have a second question? That's all. You talked about numbers as well. I think the value business from a value perspective, Apple continues -- and you can these are published numbers.
You can see Apple continues to gain share from a value perspective because they sell into the super -premium or ultra-premium space very well. And clearly, they're doing very, very well. And we're taking obviously advantage of that growth as well. So, the value from a value perspective, Apple continues to become better and better from its share.
Lakshminarayanan: And on the SSG, which is the professional services, I just want to understand what kind of -- how many resources we have providing these professional services? And second, what kind of liability you actually assume because these professional services also mean that your person is there in the premises and there could be issues, etc. So, I just want to understand how are you thinking about this SSG business from -- and how many professionals and what kind of liabilities you actually come across?

V.S. Hariharan: Sure. So, our own resources, we roughly have about 125 resources in the company, mostly in India in professional services. And these resources are focused on things like migration, modernization, spinoffs, DevOps, a range of services. And we -- in most cases, we work with customers through channel partners, and we closely watch our liabilities.

 And because you want to scale this business, the approach we're also taking is how to create cookie -cutter models rather than every service becoming a bespoke service deal. So, take migration, for example, is there 100 customers, does it have to be 100 instances of migration? Or can I find commonalities and find a way to automate this and have different --

similar sets of migration for similar sets of customers. So that will be our approach.

In all of this, the approach we will take is to productize the professional services business so that we can scale up with our partners. We do want to bring our partners along in the journey. People are providing services, professional services, and we can share the margins and the revenues with them.

Lakshminarayanan: And any specific areas which actually led to an excellent growth in that group in the first half, particularly SISA?

V.S. Hariharan: I think it's sometimes -- I think it's a matter of focus. I think as we moved within the organization, the different groups around and also put all the focus, because, see clearly, what's happening is the cloud part of the business had moved completely subscription, whereas when you look at cybersecurity and software, some products were subscription, some were still licensing multiyear contracts.

And we believe directionally, everything will move subscription. Similar go-to -market motions where people want to work on a digital platform, they want to automate the renewal process, they want to bundle professional services even from vendors.

And all that instinct, once you put it together, it becomes similar. We still work with many brands. So, we need to get focused and build practices around each one of these areas separately.

But I think the sheer focus and attention has created breadth and depth on all the brands. So, we've taken on more brands. We have looked at our wallet share, brand by brand, and where are we weak and what actions we need to take. So, it's the beginning of a journey, as I said, because the last 3 months, this transition has happened, and we are encouraged by what we see.

Now does it mean that next quarter will be as good or better. I think directionally, if I look at the next 6 to 12 quarters, clearly, this area we want to grow between 30% and 50%. Last year, we grew about 22%, 23%, if I aggregate all of the SSG pieces year -over -year. But this year, we can already see directionally we headed 40 -plus. So, we will continue to work on it. The opportunity is there. It's a question of good execution and good focus.

S.V. Krishnan: I just want to add. If you recollect a couple of years back, cloud was part of the current ESG. At that time, we used to call it as enterprise segment. And it was growing at about 20% - 25%. When it got separated out, then we started seeing a 30% growth and then a 40% growth. That's the same thing we would want to do in SSG, and as Hari said, we just started the journey there.

Lakshminarayanan: Just last question from my side. When you set out this financial year, and we are half year through, what are the areas which has actually done ahead of your expectations? And which are the areas or strategies that have gone b ehind your expectations broadly?

 V.S. Hariharan: Very good question. So clearly, SSG, we expected things will transition, but not so quickly. So definitely, is done ahead of expectation, and we would like to maintain it, but there's a lot of work, and we want to make sure there are no missteps here. MSG mobility has been ahead of expect ation for a variety of reasons.

We didn't expect the market to continue the same growth rate. And overseas actually a surprise is even more. In Middle East, Africa, the monthly run rate on Apple and some of the Android businesses has been quite ahead of our thinking and plans. So, both those are ahead.

I wish we could do more in the ESG space. The PCs have long promise of Windows 10 to 11 refresh, which has been slow and not there yet. The AI PC, we are quite inspired by the numbers in this quarter, especially in India. But again, that has not lived up to its promise. So, I would say it's a bit behind.

TSG is thereabouts there. I think a lot of the business in TSG is becoming a larger deal. And also, margin and profitability is an area on Technology Solutions that we need to work very hard on to bring that up in terms of value Redington brings to the table and our ability to grow the

size and share there.
So, if I had to take a quick shot at your question, clearly, SSG and mobility are ahead of our plan on thinking, and TSG and ESG are behind. Yes.
Moderator: The next question is from the line of Rucha Somaiya from Old Bridge Mutual Fund.
Rucha Somaiya: Congratulations on a good set of numbers. I just had one question with respect to the growing data centre capacity in India. Specifically, how is Redington contributing to this trend? Are there any specific partnerships or initiatives, technological enabling efforts in place?
V.S. Hariharan: Are you referring to the Make in India...
Rucha Somaiya: No, the growing data centre efforts or actions that is the trend that is going on around, how is Redington place? Is there any capability that is positioning -- that is handling our positioning to be a little stronger around the data centre ecosystem?
V.S. Hariharan: Very, very good question. So, there are 2 parts to this question. One, of course, how can we engage in deals. And some of the large deals I alluded to is actually data centre related. You are aware that the hyperscalers and they put the data centres , they work directly, and we have no role to play in it.
But increasingly, local deals, which are Make in India products being sold to data centres in India, we are being asked to come in to switch deals together. So, we play a role, and you will hear some of those as we go along. They're fairly large deals, some of them. So that's the starting point.
But we are actually in the middle of crafting a data centre strategy. There are definitely many opportunities we see. For example, once a data centre is set up or getting set up, what about cooling systems, what about power for the data centre. And we do work on some of those

Redington categories -- types of categories. Should we get into them wholeheartedly and work with vendors
to develop products in those is one question.
Similarly, once data centres are set up, we -- clearly, there is a requirement for software, a whole range of software, from platforms to application software that will go into it. That is clearly an area we'll play a role.
And then fulfilling capacity because once data centres are built up, whether they are public data centres or co -locations or private data centres , there will be clearly a requirement for the people, who are building these data centres to fill them up with capacity, either with mid -market customers, enterprise customers.
And we're consciously looking at each of these areas and saying, what kind of action planning teams that we can have to get into these areas and get a share of this piece of the market. But it's been a recent phenomenon, the non -public and then more Make in India data centre growth. So, we are in the middle of that discussion and strategy formation.
Moderator: The next question is from the line of Nikunj Mehta from Wealth Guardian .
Nikunj Mehta: Congratulations on very good execution. And my question was pertaining to Turkey. What are the other steps that you all are planning to take apart this Vodafone deal that you've done? Any similar deals that you all are looking at or you all are looking at completely exiting Turkey? Any update on that, if you could give i t, that would be useful, please?
S.V. Krishnan: Nikunj, I'm sure, you acknowledge there have been a lot of steps that we have been taking in the last 1.5 years, and we think all in the right direction. I mean, we sold off Paynet. There had been a lot of debat

es internally. Is that a crown jewel we keep investing? What should we do? We feel core business is much more important. We divest ed the process, took some time.
And the market did not recover. Then we took some decisions in terms of cutting down some costs. It wasn't sufficient. Still, we continue to make some loss. And we decided to sell the TL business , and we had moved on, and that's what you see in the form of Connect getting divested.
Unfortunately, last quarter, another event happened, which was unexpected, and we need to handle it. So overall, the ecosystem is quite challenging. But as I keep mentioning, the full credit to the leadership team there. They have been trying to maintain above board as much as possible. So right now, our decision after Connect is also to exit from the rest of the TL business.
As I had mentioned for the previous query, we think it will not automatically move into a profitable situation. We will still have loss, maybe a lesser loss. But for us to get converted into profits, there are certain strong steps that are required, which we are in the process of doing.
Maybe in about 6 months, we should see some light at the end of the tunnel. That's where it stands.
So, we are taking right steps, Nikunj. That's what I can tell you at this point.

Information Classification: RL \General Business \Redington V.S. Hariharan: And if I can add to what Krishnan said, Nikunj. There are 2 key parts to it. The light at the end
of the tunnel, there are -- we have a business in Redington Turkey that's very software -centric.
That business actually has been growing good double digits pr ofitably.
And there are parts of the Arena business, which is Microsoft -centric; also, has grown very well
this quarter. It's actually contributed to the SSG part of the business where there's cloud and
security and all of that. And that, again, in the DTAM space, we have more than 50% share of
the Microsoft business in the market in Turkey, also quite profitable.
So, we're clearly working on action plans there. On one side, reduce dependence on lira business
and really manage the working capital down, working capital required and the -- and be more
U.S. dollar dependent. But the growth on the software cloud -centric ar ea in Turkey is definitely
looking promising. So that can balance off everything else. So, we're headed in that direction.
Nikunj Mehta: Really appreciate the answers and the clarification and wish you all the best for the future
quarters.
S. V. Krishnan : Thank you, Nikunj.
Moderator: The next question is from the line of P Venkatesh from Corporate Database India Private
Limited.
P. Venkatesh: Yes, sir, I wanted to know what would be the debt levels in Arena currently. What has been the
amount of debt that has been divested -- that has been repaid post payment divestment? Also, I
want to know what would be the investment that you're talking for SSG, we have been referring to some investments that we'll be making going ahead, what would be t he outflow in those
investments? And lastly, I want to know you had referred to the 4 areas in SSG. So broadly,
what would be the mix of those 4 areas in SSG revenues?
S.V. Krishnan: Okay. I'll answer the first part of the question, Venkatesh. Arena debt levels are currently at about 130-odd million , used to be about 160 plus. Assume those concordat cases had not
happened, we would have definitely been better off about $15 million, $20 million, but that's where we stand.
V.S. Hariharan: Yes. So talking about the investment in SSG, too early to talk about those investments since
there was a question, I did say that we are exploratory stage right now. So, we can't even t alk
about investment levels, et c. But in terms of the mix of the business, you can say that there is
somewhat of an equal mix between security, cloud and software bu

siness with software being a
little bit higher, but somewhat of an equal mix.
And the professional services part of it is less than 10% right now, but it will definitely be an
area of growth for us. But between the remaining 3 businesses, you can say, a fairly equal with
software business being slightly higher weighted.
Moderator: The next question is from the line of Sunil Kothari from Unique PMS.

Information Classification: RL \General Business \Redington Sunil Kothari: First, congratulation on the agility and the flexibility we are slowly now adapting to remove
some businesses. But we are giving enough thought before removing those because, ultimately,
we are serving those same customers and same supply across the other parts of the world. So
really very sensible decision we are taking. Hearty congratulations for that.
My question is we have a slide on our presentation. It talks about the technology trend, growth
CAGR, and what it means to Redington and all . Combining this slide, I would like to understand
is, since last 3, 4 years, we have grown our top line really well. I'm talking yearly, nothing to do
with this quarter or the next quarter.
And our bottom line is almost static having some reason of 1x some currency-related interest
rate and everything. Now another 10 years, if you look at the last 10 years, the way we've grown
is around 13%, 15% top line, similar CAGR of bottom line. What is your thought process for the next 3 to 5 years, which are the challenges, which can derive from this trend or mayb e
accelerate this trend? Something qualitative will be really helpful?
V.S. Hariharan: Okay. Let me try and answer that question. See, you already mentioned that we have been
growing at 15% top line and 15% bottom line. If we can maintain that kind of growth, obviously, that would be very interesting for us and will be a good enough -- a goo d vision. Now to answer
your question, we -- clearly, the world is transforming. 25% of the total distribution market has
become software globally and software and services.
With AI, it is only going to deepen and accelerate. And in our mix of the business, last year, it was 15, now it's become 16. So, if I look at the different business units, clearly, the Software
Solutions Group today has an ability to appropriate higher margin to drive higher -than -average
profitability.
There's also a professional services and bundled services attached to it, which can also get you higher margins and higher profitability, that's one of the reasons we embarked on this journey
to grow that piece of the business faster. Now to do this right, Software Solutions Group business

right, we have capable digital platforms because everything is done on subscription on the digital platform.
And we will have to do renewals on it. We'll have to find a way to create a lot of value on the digital platform by bringing multitude of solution providers together so that this business remains sticky to Redington because it is over digital.
So, we are bringing in software brands, we are bringing service brands to resellers and customers. We have to keep it sticky. We have to make sure that we add a lot of value to brands and agentic AI solutions. So that will be critical. So those are the positives and the risks.
Now clearly, hardware part of the market is getting more commoditized. And as it gets more commoditized, the expectation from brands and OEMs is to really give lower and lower margins to you. And so, what are the risks? The risks can be in the hardware areas of Technology Solutions and P Cs where they are commoditized.

 So, it is the -- that is the balance we'll have to seek. We'll have to keep working on higher -margin
solutions, and we'

ll have to make sure that we bring a lot of value over the digital platforms.
That's really how we are thinking about it.
Sunil Kothari: Sir, looking at the last 4, 5 years, the way we have grown our top line, bottom line was not matching, what would be the reasons. Next 3, 5 years, should we expect better bottom line because of this strategy because we are -- as we are discontinuing some t ough businesses or loss - making businesses. Those should be the very realistic expectations from you.
S.V. Krishnan: Sunil, let me answer this. See, you are looking at from a window of 3, 5 years' time frame. Please understand your start point is COVID period, which believe me, is completely unreal for this business. That's a time where demand was peaking, supply was restricted.
You can imagine for an intermediary like Redington, what one -off opportunity that is, right? So, maintain that profitability, that profit amount, you can't imagine what we need to go through, right? And I would urge you to make a comparison between various global players in this industry vis -a-vis Redington numbers. I'm sure your question will get ve ry clearly answered.
In terms of growth, in terms of the profit percentage, we keep talking about profit percentage. I don't think anyone does. Third is -- I mean, is the return ratios. All the 3, ours is significantly superior compared to the rest of the players. So, I think that's what, in our view, is important.
Yes, we knew that we haven't grown the absolute numbers, but it's not easy. We feel happy that we are able to protect our profitability.
But I mean, your question was into the future, I hope Hari has answered. We remain very positive into the future, and we think SSG will be a very important contributor in terms of our profitability into the future.
Moderator: The next question is from the line of Vinay Menon from Monarch Capital.
Vinay Menon: Congratulations on a great set of results. Just a few questions. One is, sir, Windows support, 10 support, has ended. And are you seeing any impact already of a switch to Windows 11? Is it any visible trends in the market?
V.S. Hariharan: So, as I mentioned earlier, we have not really seen a big uptick because of the migration. Clearly, consumers are still waiting and a lot of them have not migrated. Commercial, maybe a little bit more. But I think there seems to be a wait -and-watch approach rather than a whole hold of people trying to migrate from 10 to 11. And we also hear that there may be extended support provided beyond the timelines given. So, we've not really seen a big impact of the 10 to 11 refresh yet.
Vinay Menon: That helps. And one thing on the data centre side, sir, in terms of large deals, are we looking to get large deals which might be a little lower on margins? Or are we going to steer away from anything which impacts our margins or ROCE in any way?
S.V. Krishnan: This got answered already, Vinay. See, these are really incremental business. And these business, you need to ensure that you have adequate capital. You are able to manage the complex logistics and structuring of the transaction. If we are okay with that, we are quite okay to go

 ahead. I mean, provided it gives us incremental revenue and incremental margin, as Hari said,
our key decision-making principle on some of this is return on capital employed.
We would want to ensure our ROCE is secured. But from a profit percentage perspective, these being large deals, I don't think we can expect similar profit percentage. So that's why when it becomes larger, we would want to call out and disclose so that you are able to track our performance otherwise very clearly.

Moderator: Ladies and gentlemen, due to time constraint, this was the last question for today. I now hand the conference over to the m

anagement for closing comments.
V.S. Hariharan: Thank you so much for all your questions, and thank you for listening. We hope we answered most of them adequately. And thank you for your trust in us, and we look forward to another good quarter. We'll be in touch, and bye for now.
S.V. Krishnan: Thank you.
Moderator: Thank you very much, sir. On behalf of Redington Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

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February 11, 2026

The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai – 400051.

Symbol: REDINGTON BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai — 400 001

Scrip: 532805

Sir/Madam,

Sub: Q 3 - FY 202 6 - Earnings Conference Call Transcript

This is further to our letter dated January 30, 2026 , intimating the details of Investor/Analyst call on the audited financial results for the quarter ended December 31, 2025 , held on February 5, 2026 . No unpublished price sensitive information was shared/discussed in the meeting/ call.

In this regard, we are enclosing herewith the transcript of the conference. The same is available in Company's website at https://redingtongroup.com/wp-content/uploads/2026/02/Redington -Q3FY26 -Earnings -Call-Transcript -FINAL.pdf .
We request you to take this information on record.
Thank you
For Redington Limited

K Vijayshyam Acharya
Company Secretary

Encl: a/a

"Redington Limited
Q3 FY '26 Earnings Conference Call "
February 05, 202 6

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on February 05, 2026, will prevail."

MANAGEMENT : MR. V.S. HARIHARAN – MANAGING DIRECTOR AND GROUP CHIEF EXECUTIVE OFFICER – REDINGTON LIMITED
MR. S.V. KRISHNAN – FINANCE DIRECTOR –

Moderator: Ladies and gentlemen, good day, and welcome to Redington Limited Q3 FY '26 Earnings Conference Call. This conference may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. The statements are not guarantees of future performance and involves risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. V. S. Hariharan, Managing Director and Group CEO. Thank you, and over to you, sir.

V. S. Hariharan : Thank you. A very good morning, everyone. It's a pleasure to be here, and I'm delighted to share with you our results for Q3 '26. This has been our best quarter so far, both from a revenue and a profit perspective. We recorded nearly INR31,000 crores, to be precise, INR30,959 crores and a quarterly profit of INR436 crores.

Our revenues grew at 16% and profit after tax grew at 9%. Overall, PAT percentage was at 1.41% for the group and excluding Arena, PAT was at 1.56%. It is a continuing story of profitable growth with growth coming in strongly across business segments and ac ross geographies. From a geography perspective, the revenue growth was contributed by many of them. India continues to be very strong at 25%.

UAE was strong at 19%. GCCL, this is a cluster of countries outside of UAE and KSA, including Levant countries, grew at 29% and Africa grew strongly at 14%. Within India, while we had growth across, we did see a strong uptick in the upcountry driven by our focus and initiatives in the upcountry.

The Cloud and IT infra investments in the Middle East by the government and corporates is proving to be a good opportunity. Our focused efforts in Africa on Software Solutions Group is yielding results.

Now moving on to performance by business units that I can provide a color on the growth and what's driving the growth. Most of the business units contributed well. Mobility continues to be a good shining star for us at 15% year -on-year, contributing to 35% of the top line, driven by strong demand in the premium segment, impact of the NPIs in the previous quarter and strong execution in the direct -to-retail segment in India.

 On the End Point Solutions Group, the PCs, we saw some really nice growth this quarter at 21% year-on-year, contributing to 32% of the top line. The PC demand was strong, partially driven by the component shortage and the price increases.

However, if you dive into the details, the AI PC penetration in India Commercial PC segment was on the rise with 28% of the revenues coming from AI -focused PCs. In the Consumer segment, gaming continues to do well. And desktop PCs saw a surge as brands gai ned share from the white label due to the component shortage.

Now coming to the Technology Solutions Group. While we saw a decline at 7%, it is largely driven by timing of large deals executions across quarters. There's clearly a lot more data center business and deals with the emergence of Neo cloud and sovereign cloud players in the market.

We have an opportunity to participate in this growth and have closed several deals in this quarter.

A few have fruitioned and got recognized in Q3, and we'll continue to see some of them driving the growth in the upcoming quarter s.

With the recent announcements in the budget on tax holiday for data center investments from foreign companies, this area definitely holds great promise for us. We are building a strategy to start focusing on the data center space and looking at a variety of approaches from power system solutions, cooling system solutions, various services into the data center and also matching

demand for colocation, etcetera, for the mid -market.
Coming to our Software Solutions Group, which has been our clear growth story for the last several quarters and a couple of years. Our focus has really helped. SSG for us, software solutions encompasses the Golden Trinity, the Cloud Hyperscaler business, the Software business and the Cybersecurity business. and Professi onal Services, of course, not forgetting that. SSG grew 40% this quarter, contributing to now 18% of the top line.
If you remember, when we talked about the year gone by, it was 15% and then the last 2 quarters, 16% and now 18%. So clearly, the focus and the market both exist. Double -digit growth was recorded across all the subsegments within SSG. It also delivered hig her-than -average profit after tax. Within the Cloud subsegment, we're working closely with the hyperscalers and taking advantages of the enterprise transition to cloud and digital transformation.
The Cybersecurity and Software business, we are increasing the breadth of our offering and the brand offerings that we have, and we're also increasing the intensity of our go-to -market. We're also rolling out this quarter an enhanced version of the digital platform that we have, what we call as CloudQuarks with more features and analytics for customer life cycle management.
We're also investing more in technical presales and solutioning teams, also investing in the Redington Academy to create more certified professionals within the company and, of course, within our channel partners.
Our Professional Services business, though small, continues to grow very well and delivers value add for the Cloud resell business. Coming to AI, we talked a little bit about it.
Now it's becoming real. We have started to create several targeted initiatives to make this practical and real for us and for our partners and customers. We are creating a capability center

Redington in Chennai. It started with an AI competent team to work on its internal and external use cases and proof of concepts. We're also creating an AI go-to -market team, both in India and Middle East to work on these customer use cases.
We are in the middle of developing an AI Agentic catalog, which will go live soon. Working with our ISVs that will be a good starting point to fast start to deploy AI agents with customers.
We'll hear more about this in the next few quarters and what we pl an to achieve and what are the outcomes. Let's move on to operations. It's again been a great story.
Very efficient management of working capital has led to the overall lowering our working capital days to 28 days. Despite the investments we are making in the growth areas like software solutions and others, opex control continues to be good at 9%, growing slower than revenue growth, giving us operating leverage.
Our digital platform for hardware continues to evolve very well and reaching more partners.
More than a third of our business in India this quarter went through the digital platform. Our back office and logistics business are beginning to deploy AI agents, which are resulting in productivity improvements and cost savings.
Now coming to Arena, which we have again covered in every one of our calls separately. Our subsidiary continues to wade through the economic challenges in the country, but it's getting better. While inflation has been coming down to 31% and policy rates to 37%, the situation continues to be challenging. In order to reduce interest costs in the Aren

a operation, as we spoke in the past and to minimize local currency exposure, Arena has divested from their Vodafone contract as informed last quarter. This has been executed well.
However, there are still impacts on this transaction in the current quarter. The overall loss in Arena for the quarter was INR 22 crores for us. Over the last few quarters, Arena has been taking a series of actions as we have discussed, but I want to just bring your attention starting from Paynet divestment, tightening of opex and working capital, managing AR more closely, understanding the market in terms of concordat cases, divesting from local currency business, all heading to improve the health of the b usiness. The trajectory is definitely showing and going in the right direction, and we remain very hopeful Arena will get to healthy levels as we approach 2027.
To summarize, I'll just say a few comments. A defining feature of Redington's market perception is trust, which we are really proud of. Earlier this year, we won the most trusted distributor award from VARINDIA in July. Our key stakeholders in the system, the brands, the partners, the customers, ban kers and the shareholders have told us that they have very high confidence and trust in our company.
We would like to thank every one of you for believing in us through our journey. As we transform the company from being a distributor to an orchestrator in the new world order defined by cloud, software and AI, we will be shifting to an unlock next approac h to a sharper future - facing outlook.

 This is not a mere narrative, but a bolder approach to unlock growth opportunities, to unlock
more efficiency, to unlock access to more opportunities, continue to unlock trust and continue
to unlock impact, all this while maintaining your trust and confide nce. We want to enable
progress across markets, across businesses by bringing right technology, partnerships and
expertise together and to help our customers from their intent to transform to impact faster.
Thank you very much. We look forward to your questions.
Moderator: The first question is from the line of Nitin Padmanabhan from Investec.
Nitin Padmanabhan: So, I had a couple of questions. So, one is to start with this government mandating appointing a reseller from a data center perspective for global guys for selling in India. Does that sort of open
up a large opportunity for us? Or that's not a given in terms of an assured opportunity? So that
was the first one, and then I had a few others.
V. S. Hariharan : Okay. Thanks, Nitin, for the question. It's early days, but we think it is definitely an opportunity.
We are reaching out to the hyperscalers to explore the direct business that goes into corporates,
and we are getting ourselves prepared. If moving that business is beneficial financially for them
and we can take over that business, we'll definitely be very keen. So, it's early days, Nitin.
Nitin Padmanabhan: Got it. And your thoughts on this chip shortage and how that's sort of impacting business at the moment. Are you seeing people sort of preponing their buying decisions because prices are on
the rise? And are you seeing a situation wherein it's flying off t he shelves, inventory days are
falling, right? You're seeing better working capital conversion on these and thereby better
margins? Or how are you basically seeing and how do you see this evolve?
V. S. Hariharan : Okay. Thanks, Nitin, for this question. It's an interesting one, and this will evolve as we go along.
Clearly, a couple of things have happened. One, there is definitely the second-tier channel, the
reseller partners that work with us have picked up invent ory.
We've still yet to see a big uptick in demand for the end customers. But we believe that will
happen because there are more price rise

s coming up. So that's one. And there's clearly a lot of
work as we work with the brands in terms of juggling the type of models, the type of SKUs to sell, the inventory management, all of that. But -- and we are seeing, like I mentioned, desktop
suddenly, there was an upsurge -- and we are seeing higher -priced PCs also getting a bit more
traction.
But has it resulted in more margins? No. Has it resulted in a slightly better weeks of supply for us? Yes, not enough, but slightly better, yes, in the ESG side of the house. If I look at how it will
pan out, clearly, prices will be on the higher side.
We are yet to see the demand being picked up because the pricing will somewhat sober out the demand also, we think. So, we just have to wait for a few more quarters, Nitin, to play this out.
That's the short answer. The demand from -- the customer demand has to be there so the channel
partners have picked it up. But the sell -through, we have to work through this quarter an d see
how that pans out.

 S. V. Krishnan : Nitin, it is also early to put a number or a guidance to this. But if your question is also related to
why working capital is down to 28 days, is this because of that? Very clearly, the answer is no.
Nitin Padmanabhan: Yes, yes. Yes. Got that. And then just a couple of ones -- quick ones. So one is, I think mobility grew 15% year -on-year.
But when I look at the top vendor there, the growth has been amazing. It's grown 27%. So what's
been the drag in that business? Otherwise, you would have shown a far better growth. The second
bit is on -- just a bookkeeping question on factoring costs. And finally, any one -off impacts on
profitability for Arena that's driving the INR 22 crore s loss there?
S. V. Krishnan : Okay. So on the mobility front, this time, the -- I mean, the performance of Apple compared to
the Android is better. Second, in Arena, we exited from the Connect business, which is a
Mobility business. So that has offset the growth of the mobility in the other places. Second, the
factoring cost you wanted, just give me a second.
Okay. So I'm telling you the factoring in Arena. For this quarter, it is INR 18 crores. Last year
Q3, INR36 crores. So it has dropped by 50%. But if you take the interest cost, Arena's interest
cost for the current quarter is INR 43 crores vis -a-vis INR38 crores last year. So net -net, overall,
INR60 crores in the current year vis -a-vis INR73 crores last year, a 17% drop.
Third, your question on Arena performance. See, we have been -- as Hari detailed, we have been
taking a lot of steps to correct. And you would have seen in Q1, we have had a loss of INR 9.5
million.
In Q2, it came down to INR 8.5 million. In the current quarter, it has come down further to

INR4.9 million. Our expectation is in Q4, this will further come down. But as we speak now, it
looks like there will be some loss. So very clearly, the loss situation is coming down.
And a part of this loss this quarter, last quarter and some in the next quarter will be towards the exits that we are doing in the Connect business as well as in the Turkish lira business. But some
of the key points, which may be interesting to you to unde rstand is the closing working capital,
which was last quarter end at INR 179 million is down to INR 129 million, INR 50 million drop.
Closing debt has come down from INR 126 million to INR94 million. Interest cost is all
inclusive, including for our internal purpose, we consider credit card commission, rediscounting
charges, all are part of finance cost is down from INR 13.8 million to INR 7.5 million. So you
can see across the board, there is an improvement, but still we are in a loss situation.
I think next year, we might move towards a breakeven. That's the thought process. But all the
efforts are on to make sure th

is turnaround is in place. We have cut down the business, and we
are being very, very picky. But having said that, we have to do som e -- I mean, some threshold
business to be in the reckoning when there is competition in this market.
V. S. Hariharan : And to add the SSG part of the business, especially Hyperscaler, that's becoming a little bit more
interesting in the Turkey market. So we're trying to step up in that area to counter whatever
declining revenues we've had and also to get more profitability, and that looks strong.
 Moderator: The next question is from the line of Vinay Menon from Monarch Capital.
Vinay Menon : Congratulations on great execution. A few questions from my side, sir. Like you mentioned there
were large deals in TSG, and I think that was a bit of a drag on margins as well. So how could
we look at this going ahead? Because as you -- as Hari sir mentio ned that we are going to be
looking at more data center deals also. So should we see this as a trend continuing for the next
few quarters?
S. V. Krishnan : See, first of all, large deals that got executed in the current quarter wasn't substantial. But having
said that, as Hari said, we have a lot of orders in the pipeline. So you will see this moving up as
we move forward. I just want to recollect the earlier calls that we have had Vinay, wherein we
said irrespective of the gross margin or the working capital deployment, our focus will mainly
be on ROCE. We will protect our ROCE.
I'm sure you can very clearly see for the quarter, the ROCE stands at 22.1%. So that's something
which is very critical for us. Yes, in terms of percentage margin, it would be lower than the
normal, but that's the nature of the beast .
V. S. Hariharan : And as we spoke earlier, we -- our focus is to make sure that our opex and our structure is
supporting the run rate business and the deals come as a kind of a cream on the cake -- or topping
on the cake. So in that -- we just manage focus on ROCE and the incremental approach on this.
Vinay Menon : And there was a small goodwill impairment you have taken in this quarter. Can you just throw some more color on that?
S. V. Krishnan : This is in ProConnect, this is out of an acquisition we did about 7 years back. And we thought it
may be important to have a clear review and take -- because this depends on a few of the
contracts. Each of these contracts keep coming up for renewal or RFQ every 2 to 3 years. So we made some assessment, we took some probability, and we thought we need to take an impairment, and that's about INR 9.2 crores in the current quarter, and that's completely one -off.
Vinay Menon : Okay. Okay. And one last thing from my side is that SSG continues to show that 40% plus growth. So can you just give me like a few things which is working for us? And since we are like one of the largest players in India for this. So anything which is really working? And what
could be the momentum going ahead?
V. S. Hariharan : Yes. So there are many things that are working for us right now. I mean let me go piece by piece.
So the Hyperscaler business, we have a real great partnership with the key players, AWS and
Microsoft in terms of how they look at the business and what we ne ed to do in terms of managing
the KPIs. So we have clear plans laid out and we have teams working on achieving those KPIs,
which are leading indicators, leading to the revenues, etcetera.
And that requires a lot of operational work and the joint business plans. So that's clearly, I would
say, great focus, and that's why we enjoy a good share in both India and the Middle East markets.
Then when it comes to the Software business, we have a few brands which we do an extremely
focused and good job.

General Business \Redington And we have -- in some cases, we have -- I don't want to name brands, but there is a brand where
we have 60 -odd people in the team focused exactly on how the brand goes to market and maximizing customer connects and outcome-based selling. So we do what is called as outcome-based selling.
When it comes to security, we're clearly broadening our portfolio. And as we focus on SSG, we clearly realized that we didn't have the complete breadth of portfolio. And also we are strengthening our solution architects, presales teams, and we are making s ome organizational changes to bring them and align them in a way that we can maximize what the brand wants to achieve in the market. So it's all about doing these little things. But going forward, clearly, the investment in capability is going to help.
We're investing in Professional Services capability. We are investing in the cloud quarks platform, automation, even simple things like renewals when a product and a subscription is coming up for renewal, we need to start looking at it 3, 4 months before the renewal cycle and how we focus on it to make sure the churn doesn't happen. So there ar e a variety of things that happen, and we're just stepping up the game in terms of the sheer focus in all of these areas.
Moderator: The next question is from the line of Aejas Lakhani from Unifi AMC.
Aejas Lakhani : Congrats on a good set. Team, first question is that, could you speak a little bit about the slightly weakish gross margins? I understand the seasonality with regards to mobility, but is there anything else to call out here?
S. V. Krishnan : Okay. See, overall gross margin is down just by about 47 bps on a year -on-year basis. Out of this, about 38 bps is on account of Arena alone. And the balance, it is on account of drop in TSG. In fact, in a few other businesses like SSG, etcetera, the gross margins have gone up, which offset this drop.
So let's talk about these two . In Arena, like I had said, we are taking right steps. Since the local currency business has a very high interest component. If I just need to take you through on some quick math, even if you take a 60 days of working capital in a 40%, 45% interest rate, that's about 6% to 7% of interest cost as a percentage of revenue. This needs to get recovered in the form of higher gross margin.
So some of these businesses have higher gross margin, but still we are not making money because of high interest rates. That's the situation. Those are the things that we have now taken the decision to exit, which has resulted in the overall margins coming down. But we think it's -- I mean, it's a correct decision. And what we have is something which is robust and sustainable.
Second, on the TSG, yes, the margins in TSG, like we discussed in the earlier calls are coming down, and we are trying to correct it. This is -- mainly to do with the ecosystem. But whatever we could do to make sure that our profitability is protected, w e are doing it.
Aejas Lakhani : Understood, Krishnan sir. Sir, on -- just a follow -up. So sir, in Turkey, sir, you had called out that last year, same time, the total factoring cost was INR 71 crores, of which Turkey was INR 36

 crores and then you had some one -off incrementally higher factoring costs. For this quarter, sir,
you mentioned the Arena factoring cost at INR 18 crores. What is the overall factoring cost, sir?
S. V. Krishnan : Overall factoring cost for the current quarter is INR 33 crores vis -a-vis INR71 crores for last year.
Aejas Lakhani : Understood, sir. Sir, could you speak a little bit about the concordat cases that are there in Turkey? How are they trending? The provisioning that you had created, are you seeing any reversal opportunities there?
S. V. Krishnan : No reversal opportunity. We shoul

d feel lucky that there has been no additional provision Aejas .
I'm being very open. Out of INR 20 million, as we discussed, about INR 8 million we had provided and the balance INR 12 million. It's going to take time.
We are in the process of collecting. There is some slow movement that's happening. As we speak now, that doesn't seem to be a concern.
Aejas Lakhani : Understood. And sir, incrementally, as we enter fourth quarter and first quarter, the factoring cost related to Arena, given that the lira business continues to decline and you are exiting that, how should we think of the incremental factoring and interest cost in that geography?
S. V. Krishnan : Okay. See, U.S. dollar, that interest rate will continue. The Turkey -- I mean, the TL interest rate -- interest cost will come down. It will not become 0 because there will be some business which is happening in Turkish lira, so we need to borrow.
Whether it is a normal bank borrowing, whether it's a factoring, that is more to do with the availability of funds and the sources. So overall, I would think this TL interest cost will come down. And overall, the Turkey finance cost will come down as we move forward.
Aejas Lakhani : Understood, sir. Sir, the other thing is that you've not called out the labour cost impact. In the notes to accounts, we read that it was not material, but has there been any one-off expenses in the employee cost on account of this?

S. V. Krishnan : Because of the Labour Code , there is no significant impact. But there are certain assumption
changes in the actuarial valuation that has resulted in some incremental one-off cost, and this is
to the extent of about INR 13 crores, INR 14 crores.
Aejas Lakhani : Understood. So sir, incrementally, going into next year, our employee cost on a quarterly run rate, of course, depending upon the payouts, etcetera, will remain in that broad range of INR 380
crores, INR390 crores ballpark there plus the increment cycle. Is that broadly correct?
S. V. Krishnan : We think so. I mean, in terms of working capital, we are quite at it. Interest rate, we only see
that coming down across the board. So we don't expect any major movement.
Aejas Lakhani : Okay. And sir, could you just also speak about the fact that you've called out that we are probably at the cusp of a refresh cycle. But given that chip shortages are getting more acute, there is a price hike, which is imminent. Hari sir even mentioned that this could, of course, have some

 impact on volumes incrementally. Does that set up a situation where the refresh cycle is getting
delayed and volumes could be a little bit under pressure in the next year?
V. S. Hariharan : Yes. I think it is very possible. We're still not seeing that refresh cycle on the 10 to 11 that active
anymore. People are delaying those refresh cycles. But given the price increases, I think it's
highly possible that volumes could be under pressure whil e ASPs go up and margins will remain
similar, but volumes could be under pressure because it looks like it's going to -- the industry is
going to take 12 to 18 months to recover from the whole increasing the manufacturing of
components and ramps for meeting the requirement.
Aejas Lakhani : Understood. And sir, just finally, could you call out your growth outlook for each of the
geographies and any headwinds you see in specific markets?
V. S. Hariharan : Okay. So I mean, I'll start with business unit. So clearly, ESG, the End Point Solutions Group
and PCs, while the short term looks rosy, there will be some headwinds in terms of quantity availability, how do we do supply-demand matching, etcetera. And that will be across. And on
the Mobility side, India continues to be strong.
I think the premium segment in India and the direct -to-retail, all of that, we continue to see some

good traction, and we continue to see that going forward, whereas I think we see some of that in Middle East, Africa, and we could see Mobility slow down a little bit in the next few quarters
and not be as rosy as what we have seen in the last 2, 3 quarters.
When it comes to TSG, we definitely are seeing some correction on the on -prem to cloud
migration. So if you look at our TSG business this quarter, we declined 7%, but that's partly linearity. But for the year, YTD is a 5% growth. And we are increasing our focus there both on
gross margin and to p line growth.
However, there are limited opportunities. The bigger ones there is data center deals. We
definitely will continue to look at what data center deals can count for us from a ROCE
perspective and continue to participate there. So I see a bit of -- the growth may not be double
digit, but high single digits. SSG will continue to be the 40% plus growth in all markets, and
we'll see that across India, Middle East, Africa, Turkey and Southeast Asia.
So that's how we see it. So SSG across , Mobility continue in India. ESG, we will maximize
based on availability and TSG will be what we do today in run rate and data center focus. India
will continue to be -- India less headwind and Middle East, KSA and UAE. UAE, very good
strong momentum.
Saudi Arabia has actually reprioritized and you might have heard even on the Vision 2030, they have delayed some of the participation of the big international events, etcetera. So clearly, we
are seeing there a little bit of a challenge, but we'll continue to grow, but not as hot as we've
grown in the previous -- not the year gone by, but the year before that. Africa continues to be
promising, especially for SSG and TSG. Southe ast Asia, we're just getting started. So we'll see
where we go on that, but that 's where we are.

 Sarath Reddy : Thank you, Hari. Good morning. This is Sarath. Good morning, Mr. Krishnan. I'd like a
clarification on one aspect that we've discussed in earlier -- in fact, I think in the previous call,
where Mr. Krishnan, you guided us saying there could be a need given the high growth rate, there could be a need for an increase in working c apital. On the other hand, we are seeing quite
a significant improvement and a significant reduction in working capital.
In fact, this is probably one of the lowest levels of interest plus factoring cost that I think we've seen in a long time. Could you help us understand these improvements in working capital? Are

they sustainable?
S. V. Krishnan : Okay. So is this the lowest outside of COVID? This is the lowest , both in terms of working capital days as well as in terms of interest cost. Just to tell you, interest cost for 9 months outside of Arena is 22 bps of revenue, which is one of the lowest that we had seen. I can only tell you the intensity at which the working capital is getting defined across the board is very high. Having said that, the market reality is not that easy.
Some advantage we get on account of higher growth in the Mobility business. But having said that, there is a risk of increasing -- increase in working capital. We keep telling you that the normal range will be between 35 to 40 days. I think -- I mean, on a steady -state basis, that's the range that we all need to look for. Second, with the data center type of a business, which requires sometimes high working capital deployment.
Second, the growth in SSG and the growth in TSG, which calls for higher working capital, we also need to watch out for the mix. As there is a high growth, there is a possibility for higher capital. And we today have enough legroom for capturing additional growth, and that's a comfortable situation to be in. But is there an upside risk, the upside risk is there.
Moderator: The next question is from the li

ne of Tarang from Old Bridge.
Tarang: Just a couple of questions. Firstly, on gross margin, perplexed slightly because if I see on a year -on-year basis...
S. V. Krishnan : You are -- I think we lost you for a few seconds. Can you start from the beginning, Tarang, please?
Tarang: Yes, yes. So on gross margin, just perplexed a little bit because if I see on a year -on-year basis, your TSG business has degrown, okay? And secondly, there seem to be some pricing tailwinds when it comes to the ESG business, which has grown by about 21%, which is higher than the consolidated average.
So one would have presumed that all these factors would have resulted in higher gross margins and especially because composition, the mix has improved in favor of businesses which are generally accretive. So I'm just curious as to why has this come across? So I understand the Paynet -- sorry, the Arena argument that you called out, but is there some dissonance in my understanding?

 S. V. Krishnan : No. Okay. See, ESG, can that result in higher gross margin marginally, very marginally -- like it was answered for the previous question, I mean, the price increase that's happening hasn't resulted in any extra margin for us in this segment or in this quar ter at least. In TSG...
Tarang: It hasn't resulted. I'm sorry, it hasn't resulted in any increase in gross margins, is it?
S. V. Krishnan : Yes. But your voice is not very clear, Mr. Tarang, but we have understood, not a problem. So TSG, very clearly, there is a drop. And the drop is on account of the drop in the gross margin that's happening in the business and also on account of the inventor y provisions that we need to take.
So both these -- it is more a market environment, but we are trying to address in the best possible manner that we can. There is an excess competition in this space. Even the brands are compressed in terms of margins. So we see not much legroom in terms of increasing the gross margin unilaterally. That's where we are.
Tarang: Got it. Got it. And one would presume then the margin compression in the TSG business has been quite palpable for the simple reason that despite the reduction or despite a superior mix, we've seen an overall dilution to some extent?
S. V. Krishnan : The answer is yes.
Tarang: Okay. The second question is great work on net working capital days. Just curious how much of those days reduction was on account of your distribution business coming off? In other words, were working capital days of the distribution business that you have hived off was inherently more than ROW average?
S. V. Krishnan : When you say coming off, are you talking about the Arena one?
Tarang: Yes. So the Vodafone distribution transaction that you've called off, right, I'm sure that would have also had an implication on your working capital days. So I'm just curious how much of it is on account of operational synergies? How much of it is on account of some working capital -intensive businesses you clearing yourselves out of those businesses?
S. V. Krishnan : Okay. Let me answer it this way. I don't have a very sharp answer. See, in Arena, our debt levels used to be in the range of INR 130 million, INR 140 million last quarter. Now -- for the quarter end, we have dropped sub INR 100 million.
Maybe on an average, we can take for the current quarter, we would be at about INR 110 million or so. So there is a INR 30 million drop, say, that had happened in the case of Arena for whatever reasons. That's about INR 300 crores. But having said that, I'm just making a comparison between

last December and the current December. Our net debt is down by INR1,000 crores, INR 1,000
crores absolute value.
And going by just the calculation of INR 300 crores for Arena, the rest of the business, even
though had grown by 22%,

the net debt has come down -- I mean, the net debt has come down
by INR700 crores. So I'm just giving you a rough calculation. So to answer you, is the rest of

 the business working capital debt levels have come down? Answer is yes. It's just not on account
of Arena.
Tarang: Got it. Sir, given the potential intensity of working capital increasing in the business and given
how certain parts of the business, you're seeing tailwinds, whereas in some parts of the business,
you're seeing some element of gross margin compression. How confident are you to be able to
maintain this 21% to 23% clip on return going forward and continuing to grow your business?
S. V. Krishnan : Our internal target, I mean, that's the threshold which we would not want to breach is 16% for
sure. Our expectation, we should range between 18% to 20%. ROCE for this quarter at 22.1%.
I don't want you to consider this as sustainable. Could become sustainable in a few years once
the SSG scales.
But right now, I think you should be looking at between 18% to 20%, and I think we are fairly
confident to maintain that.
Tarang: Got it. And sir, last question on the SSG business because in Hari sir's opening comments, he
did call out incremental investments on the opex front. So just trying to understand on the SSG
business, is the absolute EBITDA growth of the business higher than the revenue growth there?
Just trying to understand the element of operating leverage that could play out in that business.
V. S. Hariharan : Yes. I'll give some general comments to begin with, and then Krishnan, you can jump in exactly the
numbers. See, clearly, there are two areas we need to invest in, people and technology. And
some of it we have done over the last couple of years, and we're going to intensify that going forward because we believe we
will get above average profitability, both at the EBITDA level and the PAT level. And so we are working towards that.
And -- but as Krishnan mentioned, we need to get scale. And the opportunity is large and the
way we are growing, if you can see the 40% growth on top line, which is available across all the subsegments of the
business, then we can actually realize the investment and the return on
investment over the 3- year period.
S. V. Krishnan : It may not give operating leverage in the short term. Definitely, medium to long term, it will
give operating leverage. As we speak now, we are not spending enough, but that's going to come
in. So maybe for some time, the leverage may not be visible. The opex could be more than what
we would normally see.
Moderator: The next question is from the line of Shrinarayan from Baroda BNP Paribas AMC.
Shrinarayan: My first question is on SISA. So SISA revenues posted 24% growth, but only 1% to 2% EBITDA
and PAT growth, while rest of the world EBITDA and PAT growth was in line with revenue
growth. So can you explain the divergence between 2 business verticals?
S. V. Krishnan : Okay. So within SISA, India distribution had done fairly well. But as we discussed in
ProConnect, we have had a onetime charge on account of the goodwill impairment for about
INR9.2 million and odd . Plus in SSA, which is Singapore and South Asia, we also had some AR
provision that's coming in on account of some collect -- I mean, collectability issue in

 Bangladesh. That's again a one -off. These have resulted in SSA profitability being lower. Sorry,
want to correct. The ProConnect one, INR 9.2 crores, not million, sorry.
Shrinarayan: Yes, yes. So all this is done now? Or do we expect Q4 also to be similar?
S. V. Krishnan : No, no. Done. Q4 will come back clearly in both the businesses.
Shrinarayan: Okay. Okay. And sir, regarding this

impairment, so is this related to, I mean, specific geography
and why we could not able to identify this when we impaired Turkey business earlier. So what
was the trigger for this impairment?
S. V. Krishnan : See, impairment just happens on a continuous basis. It gets done periodically. It also gets done whenever we
see some events happening. So when we see that the specific customers keep going in for RFQs every 1 or 2 years, we are
bidding for it. We are getting it.
We also feel there is a good chance we will get it this time, but it's a view that you need to take
and there is a probability that is attached into this. So it is a view that we have to take along with

auditors on some of this.
Shrinarayan: Okay. So are there any geographies which are in your watch list as of now with respect to impairment that you see there might be some risk in next 2, 3 quarters?
S. V. Krishnan : Okay. See, Turkey has always been a volatile market. We discussed enough about Turkey, what we are doing, how are we correcting, etcetera. So, if there are any untoward situations, that's another aspect that we need to keep in mind. Other than…
Moderator: The next question is from the line of Sahil Doshi from Thinqwise Management.
Sahil Doshi : Sir, just checking again on the SISA related to the Bangladesh impact, could you quantify that? And secondly, I just wanted to understand the gross margins which we have reported in SISA one of the lowest, if I see from the COVID times at 4.33%. So there's almost a 41 bps compression here on a Y -o-Y basis. So could you just help understand this a little better that what's really playing out here?
S. V. Krishnan : Okay. So Bangladesh, that AR charge is about $1.4 million. SISA gross margin, see, even in the past, if you make a comparison in terms of gross margins, India gross margins were on the lower side. The overseas gross margins used to be on the higher side. H owever, from a PAT perspective, India would still be at a higher percentage because of low opex .
The operating leverage in the India business is quite high. So this is one of the things that we see in terms of overall gross margin as the India pie keeps going up, the gross margin percentage weighted average will come down, may not be significantly, but it will come down because India gross margin is on the lower side.
So this is one general aspect, Sahil. Second, the MSG business, as Hari mentioned, both Android and this thing non-Android has been growing quite attractively. And this is one aspect which is also from a margin perspective is impacting, but ROCE is maintai ned because ROCE is quite stronger as far as MSG is concerned.

 And this gives us advantage in the form of working capital while in SSG and TSG working capital is higher, that gets majorly funded by the growth in MSG business on the working capital advantage we get out of it.
Sahil Doshi : No, I really appreciate that, sir. But structurally, is there a margin pressure playing out in SISA in particular because the decline is pretty concerning in terms of -- if I see the PAT margin as well, it's almost 30 basis point decline in the SISA busine ss. So -- and the mix of MSG actually on a Y -o-Y basis is pretty constant. So, if you had to see it in that, what other factors do you believe is really impacting here?
V. S. Hariharan : Again, I don't think there's a structural issue. We did talk about TSG, there is a margin compression. But in terms of MSG, ESG and SSG, we see stable margins there. The mix of the business is what is contributing to the gross margin decline as we see it. But in the TSG business specifically, there is a margin dip
S. V. Krishnan : See, Sahil, the opex percentage in the India distribution business is 1.3%, very fine, okay? So the -- I mean, the profitability is protected, margins ar

e lower and the PAT percentage for this quarter is 1.43%, very similar to what we see at the global level.
Sahil Doshi : Understood, sir. I appreciate that, sir. Sir, secondly, I just wanted to check if you see the -- we give the top revenue contributor at the top 5. And if I see Dell in particular for the last 2 quarters, there has been significant decline. Is this on accou nt of the entire supply chain issue? Or is there any other loss of business or geography or something on that sort?
V. S. Hariharan : You're talking about brand now?
Sahil Doshi : Yes.
V. S. Hariharan : Clearly, I mentioned this in my opening comments and later as well. We do see a movement from on -prem to cloud, clearly, and that's one of the things that's driving the lower growth on our Technology Solutions Group and why the Hyperscalers are picking up some of that growth and also the data center piece, that's kind of driving that. We continue to be a very strong player in Dell. We continue to be -- enjoy a good share. But just the fact that more people are moving from on -prem to cloud i s driving some of that.
Sahil Doshi : Sure. And just lastly on Turkey, on Arena, I just wanted to check, we had called out that as we get out of the distribution business, there could be certain onetime costs related to that. So is there anything on account of that in this quarter? And how do we think about Arena from Q4 onwards? What should be a steady-state business in terms of revenue and incrementally thereafter?
S. V. Krishnan : See, whenever you exit any business, there will obviously be some leftover cost and exit costs. This is quite normal. I'm sure you acknowledge that. And we are in the process of exiting. Some part of cost we have taken this time, this quarter, some part we expect will come in even next quarter. By March or April, I think we should be fully through. From then on, you will see more of the steady -state business, which is the core IT business.

 Sahil Doshi : Sure, sir. Value-wise, that will be $400 million, sir?
S. V. Krishnan : Okay. See, from a point to point, if you take the answer is yes. For last year, they were a little over $1 billion. This year, we expect that to be about half of that. But in between, there are actually many things, that's a long story. But yes, you can take about 50% drop in the revenue.
Moderator: The next question is from the line of Samay Sabnis from Helios Capital.
Samay Sabnis : I just have one question from my side. So I see there was a heavy capex of INR112 crores in Q3. So could you just share some color where this was deployed?
V. S. Hariharan : Heavy capex ?
Samay Sabnis: Yes.
S. V. Krishnan : Okay. I'll come back. Give us some time.
Samay Sabnis: Okay.
Moderator: The next question is from the line of Madhur Rathi from Counter Cyclical Investments.
Madhur Rathi : Sir, we had mentioned -- we were expecting the TSG deal segment to pick up in H2 of FY '26. But I think because of margin pressure and if you could just help us understand how do we see this segment scaling up because you have mentioned that there are clear headwinds that we see either on the shortage side or on the margin pressure side?
V. S. Hariharan : So as we mentioned earlier also, the TSG deals, definitely, you're right, Q3 and Q4, we have a seasonality uptick in the second half. And we did mention that we have closed some very nice deals where we have not got all the recognition in Q3.
But going forward in Q4 and Q1, the timings have moved out. So, you will see that happening.
We also will start sharing when we are ready in terms of what are the sizes of the deals in every quarter, which are large deals. But clearly, you'll see that uptick happening. But from a linearity, we lost a lot, but we will continue to -- we are continuing to work on the deals and

you will see that growth.
S. V. Krishnan : Okay. For your earlier question on fixed assets, it is quite spread. There are some investments that we are doing in ProConnect, both in India as well as in Middle East. These are in the form of investment in warehouses, etcetera. Second is, as Hari mentioned in his opening remarks, we are also in the process of setting up certain AI COEs and a part of that cost will be in fixed assets. It is a INR 60 crore s increase in net assets from INR 591 crores to INR 653 crores on a year -on-year basis.
Madhur Rathi : Sir, I wanted to understand regarding the ESG segment and what is the additional price hike do we expect from our discussions with the OEM? And the current -- what we understand is that there has been a 20% price hike. So is this passed on to the consumer level currently? Or this is currently on the distribution level and sooner or later -- and when do we expect this to be passed

 on to the consumer level? Because you mentioned that most of the demand currently is coming from our channel partners and the sub- distributors?
V. S. Hariharan : Yes. The price rises clearly will be passed on to the consumer. And I think there was a window of opportunity and time where there's still the OEMs are sitting on older stock, which got moved out because there was a window for people to take advantage of. But as we already see in Q3, prices have increased, and there is a new set of price increases in the coming quarter as well. And all of these will be passed on to the customer.
The only thing as Krishnan said earlier, we are not seeing any advantage on additional gross margins for us, but the price is all being passed on to the customer.
Madhur Rathi : Sir, I was trying to understand, have the prices been passed on to the consumers currently? Or it's yet to reflect maybe because of some date where these prices would increase going forward?
V. S. Hariharan : Yes. Some of it is already passed on to the customers, very clearly in Q3 already. And there will be a mix of old inventory and new inventory. So the channels will be sitting on both of them.
But all the new inventory that's going in, in Q3 and upcoming quarters, the price increases are definitely in the new inventory is all going to the customer.
Madhur Rathi : Got it. Sir, just a final question from my end. Sir, on the Software business side, we do close to 6% gross margins. So how much of that would actually flow to our EBITDA or the PAT margins? And sir, my assumption was this business is a working capital negative business, but you mentioned that -- so if you could just help us -- help me if I'm wrong on that front? And what kind of working capital days do we require for this business?
S. V. Krishnan : See, you are right, the gross margin is high. Even the PAT percentage compared to the other business verticals is higher. But working capital being negative, there is some wrong notion. It

is not negative. What is not there in the space is inventory. But having said that, if you look at our AR base, the expectation is high. So in a way, this AR base increase also compensates for inventory not being there. Having said that, because of higher margins and higher growth, our ROCE is quite attrac tive.

Moderator: Ladies and gentlemen, that was the last question for the day. I now hand the conference over to the management for the closing comments.

V. S. Hariharan : Thank you so much for all your great questions. We hope that we were able to answer most of them satisfactorily. And we look forward to talking to you again in a few months and look forward to this quarter. And thanks again for listening to us. Thank you.

S. V. Krishnan : Thank you.

Moderator: On behalf of Redington Limited, that concludes this conference. Thank you for joining us. You may now discon nect your lines.

Call: May 2026

May 20, 2026
The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai – 400051.

Symbol: REDINGTON BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai — 400 001

Scrip: 532805

Sir/Madam,
Sub: Q4 - FY 202 6 - Earnings Conference Call Transcript
This is further to our letter dated May 11, 2026, intimating the details of Investor/Analyst call on the audited financial results for the quarter and year ended March 31, 202 6, held on May 14, 202 6.

In this regard, we are enclosing herewith the transcript of the conference. The same is available in Company's website at https://redingtongroup.com/wp -content/uploads/2026/05/SGA -RedingtonLtd -May14 -2026 -Final.pdf

No unpublished price sensitive information was shared/discussed in the meeting/ call.

We request you to take this information on record.

Thanking you

For Redington Limited

K Vijayshyam Acharya
Company Secretary

"Redington Limited
Q4 FY26 Earnings Conference Call "
May 14, 202 6
"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 14, 2026, will prevail."

MANAGEMENT : MR. V. S. HARIHARAN – MANAGING DIRECTOR AND GROUP CHIEF EXECUTIVE OFFICER – REDINGTON LIMITED
MR. S. V. KRISHNAN – FINANCE DIRECTOR – REDINGTON LIMITED
MS. PALAK AGRAWAL – GENERAL MANAGER, INVESTOR RELATIONS – REDINGTON LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Redington Limited Q4 FY2 6 Earnings Conference Call. This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date

of this call. These statements are not the guarantees of future performance and involve risks and uncertainties t hat are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. V. S. Hariharan, MD and Group CEO. Thank you, and over to you, sir.
V. S. Hariharan: Thank you. A very good morning, everyone. I am pleased to share with you our results for Q4 '26 and full year FY2 6. This has been our best quarter so far from both revenue and profit perspective. We recorded INR 33,269 crores of revenue, a growth of 25% year -on-year. Quarterly profit at consol level, excluding exceptional items, was INR 467 crores at 1.4%, our best profit performance so far. We closed the year at INR 119,347 crores, nearly $13.5 billion, marking a Y -o-Y growth of 20% on revenue, a full year PAT growth excluding exceptional items, was 17% and PAT margin at 1.3%.
This has been a strong year for Redington, reflecting sustained momentum across our core markets and continued progress on our strategic priorities. It is a continuing story of profitable growth across business segments and geographies. It is also a performance coming on back of several geopolitical challenges like the West Asia crisis that we saw during the quarter. Our performance was driven by resilience and defined by discipline. I'll get into a bit of geography and business unit perspective.
From a geography perspective, India had a fantastic quarter, the business grew top line by 50% and a profit after tax by 41% during the quarter. The growth in India reflects our ability to conquer and execute in our largest market. Within India, we had gr owth across all business units. There was a good uptick in the PC business driven by demand due to anticipated component shortage as well as large deals. There was a strong demand in mobility with continued momentum in the premium segment.
And with the cloud security, cybersecurity and IT infra investments in India paved way for higher growth in the quarter as well as contribution from both the SSG side of the business and data center deals with neo cloud operators.
There was continued traction in upcountry expansion initiatives. We grew 45% in the up-country part of the business and strong adoption of digital and platform -led distribution. In Middle East, the geopolitical tensions during the last month of the quarter pulled down the performance in March. However, we did see a demand spike for cloud and cybersecurity, both from government

 and enterprise segments. Africa continues to see encouraging momentum driven by expanding IT adoption and increased contributions from solution-led business, particularly SSG.
Now moving on to quarterly performance by business units. Most of the business units contributed well to this growth. Mobility grew 19% year -on-year. It's about 33% of the top line now for this quarter, driven by strong demand in the premium segment and s trong execution in the direct to retail segment in India during the quarter. While this segment remains volume driven , it continues to play a critical role for Redington in driving scale and partner engagement.

Many new initiatives on mid-market enterprise segment reach, development of IR channel are underway to create future growth. On the Endpoint Solutions Group, primarily marked by PCs. This grew at 28% year -on-year, contributing to 30% of the top line. PC demand was strong, partially driven by the component shortage, as I mentioned before, and anticipated larger price increases as well as large deals during the quarter of nearly INR 500 crores, again, I repeat INR500 crores. AI PC penetration into the commercial segment continued to grow with 41% of the revenues in India from AI PC greater than 40 tops.
TSG, Technology Solutions Group had a growth of 34%, contributing to 19% of top line, driven largely due to timing of large deal executions. We had mentioned in the previous earnings calls, part of these deals moved from Q3 to Q4. Some of them were record ed this quarter. In TSG, all cylinders fired data centers, networking, server storage and achieved the highest revenue ever. We did large deals of more than INR 1,100 crores in TSG during the quarter.
Now coming to SSG, Software Solutions Group. Continue to have good momentum grew by 31%, it contributes to 17% of top line now. For the full year, SSG contributed to 17% of the top line as well versus 15% in fiscal year '25. SSG now represents a strong and growing share of our business and a higher quality earnings stream, continuing to deliver higher gross margin and PAT compared to the group. We continue to expand partnerships with Tier 1 OEMs and hyperscalers, increasing our solution intensity in go-to -market and build joint business plans to drive wallet share.

During the quarter, I wanted to call out, we are building a lot of capability building initiatives and several of these got rolled out that will realize future potential. Our next version of Cloud Quarks platform, we call it 2.0 internally, has been rolled out this quarter. We have greater capabilities for digital life cycle management of customers with analytics. We're also executing automated platforms for renewals of subscriptions supported by customer success teams.
On the AI front, many areas of progress. We found an AI lab or capability center at Chennai headquarters deploying solutions are both internal and external use cases. We have launched an AI Exchange, which is like a marketplace with over 200 AI agents tha t brings ISVs and AI innovators and our customers through our partner ecosystem together. This has the potential to accelerate the adoption of AI agents by industry vertical through a distribution approach.
We've also rolled out this quarter 5 AI learning centers in Tier 2 cities through our CSR program to create more AI human capacity in the country. Our professional services team in India scope

 and approach has been shaped to provide a range of product ized services around the customer
life cycle. So that's for some of the capability building initiatives.
Moving on to operations. Efficient management of working capital and higher mix towards mobility solutions led to the overall lowering our working capital days to 30 days. ROCE was at 22% despite the investments we are making in the growth areas, opex control continues to be good and grew slower than revenue growth, giving us operating leverage. During Q4, there was a slight uptick on opex , a combination of factors. Certain war -related premiums on both insurance and freight, one-off AR provisions in geos, all these led to a higher opex during the quarter. On a full year basis, opex to revenue declined by 17 bps.
Now coming to our subsidiary Arena. From a Q4 performance perspective, there was a loss of INR44 crores, Redington portion being INR 22 crores related to exit costs on the Lira business .
The company's wholly owned subsidiary, Redington Gulf carried out an impairment of the trade

name classified as an intangible asset arising from its investment in its subsidiary in Turkey Arena.
Based on the assessment taking into account challenging economic conditions in Turkey and revised future projections and impairment loss has been recognized and disclosed as an exceptional item in the financial results. The impact on the group PAT after mi nority interest is INR75.2 crores. In the previous year, exceptional item represents gain on divestment of Paynet, our step- down subsidiary.
To summarize, FY2 6 has been a year of strong growth, transformation and disciplined execution.
We have scaled up our business, strengthened our solution capabilities, maintain ed capital discipline. Our core markets continue to deliver , our solution business scaling rapidly, we're making the right investments for the future.
While we remain mindful of macro challenges, we are confident in our diversified presence, our evolving business mix and our ability to deliver sustainable long-term value. I'd like to reinforce that Redington strength lies in the human capital , partners and vendors. The current quarter is a testimony to it. Spellbound performance in India, risk management and business continuity in the Middle East, despite the risks and dangers in building long-term avenues of growth in Africa through SSG.
Following the onset of West Asia conflict on 28th February, 2026, our Middle East operations were conducted under significant constraints. You will be pleased to know while the quarter was impacted by software demand, supply chain disruptions, the withdra wal of war risk insurance coverage, inventory challenges, delays in receivables, our teams on the ground demonstrated strong resilience, ensuring business continuity after multiple data center attacks where we had our own customers and partners as well.
Sustaining warehouse operations. We have initiatives that started yesterday such as Tech Citadel, which is an alternative to physical face -to-face events between OEMs and partner customers. We're also seeing increased demand for cybersecurity and cloud pro ducts. And we'll

 continue to look for opportunities and upsides in these tough moments while we continue to
manage business continuity and downside in these markets.
The board has also declared INR 6 per share of dividend for the year ended 31st March 2026, which is 30% of profits. We are very sensitive to our shareholder needs. We have additional capital needs for growth opportunities and are cautious about the evolving geopolitical uncertainty.

Thank you for your continued support. We look forward to your questions.
Moderator: The first question is from the line of Nitin Padmanabhan from Investec.
Nitin Padmanabhan: Congrats on a very solid performance in a very tough environment. I had a couple of questions.
The first is, if you think about all the challenges and the way things have evolved this year, how are you thinking -- how should one sort of think about the ne xt year considering that India has been very solid this year. We possibly benefited from some prebuying and all of that this year. So that's on one side.
And well, on the other side, you have had the rest of the world business be relatively weak. Do you think the growth sort of flips between -- from an India to ROW, with ROW sort of improving a lot more next year? And maybe India sort of growth sort of tapering down. So that's the first one.
The second is in the context of the large deals and the pipeline, how is that sort of -- how is the sort of the shortage, the price increases sort of impacting that? And is that sort of -- you do think that has a higher sort of impact from a margin perspective? Or how do you manage that? And finally, on the Software Solutions Group, this business has scaled extremely well, now 17% of business. Do you t

hink that at this level, growth sort of tapers or there are certain capability sets that we have been addi ng, which would help sort of sustain the growth as we go forward?
V. S. Hariharan: Thanks, Nitin. I will try and give some answers and Krishnan, please jump in if I miss something.
So let me start with the growth perspective. So Nitin, if you look at this year, in the previous quarters. Our India business grew very well, but we also gre w very well in Middle East and Africa for the first 11 months of the year.
And the previous 3 quarters, clearly, we recorded good growth in UAE and GCCL, we call it, in those regions and Africa, too.
It is -- the crisis and the disruption in supply chain and a little bit of softening of demand in the third month of the quarter t hat led to a slower growth in Middle East. Obviously, we don't know when the West Asia crisis will resolve, right now ceasefire.
And so to give a little bit of perspective on the coming year, clearly, we continue to see good momentum and growth in India. We will see a little bit of softness for the first quarter. We expect the first 2 quarters in the Middle East region, Africa cont inues to be strong. And as soon as the crisis is out of the way, based on -- I mean some of us were in Dubai last week and we got a first-hand feel for the market as well. Clearly, the government is coming out of a lot of initiatives to support back demand , and there are many initiatives locally.

 And we do expect both consumer demand and some of the projects and enterprise deals that got delayed to come back. But none of us know when the crisis will be completely out of the way.
So we definitely see some softness this quarter and maybe a bit next quarter. And if it gets resolved soon, we do expect to see Middle East coming back to the band.
In terms of business units, we all know, and this has been shared due to component shortage, we have gaps in supply, we have gaps in supply on the smartphone side, we have gaps in supply on the PC side and on the GPUs as well, and the demand is still very strong in many markets.
And so that will somewhat drive our numbers and ability to fulfill numbers. First half of the year that we have visibility to, the demand in India is strong and the demand in Africa is strong, Middle East, again, will depend on the supply chain disruption.
So just give you a high level of how we look at the year out.
In terms of large deals and the pipeline, the data center market in India is 1.5 gigawatts and it's going to 7.5 in a few years. So clearly, there's a lot of pent -up demand there. And that is one part of it. Even on the on-prem, the co -location, the data center, the whole space has got a lot of demand.
It's a question of how much we want to play at what margin, at what ROCE, and we have talked about it in the last few quarters. So we'll continue to make those calls as long as they meet our requirement metrics, how much risk we take.
Is the demand there? Obviously, it's very strong. And in fact, some of the deals that have got closed the previous quarter will show up this quarter. And they are significantly more than the numbers I talked about in terms of the size of the deals last qu arter. So clearly, we see a good pipeline there, but it's a question of appropriating and getting into deals that makes sense for us from a profitability and ROCE perspective.
SSG, tremendous room for growth still. And I will go part by part. The cloud and the software business has actually been growing above average when we said 31% SSG, both cloud part of the business and the software is growing greater than 30%. The security part of the business is growing slower for us. And we need to have catch-up there, both on market share, wallet share, so we will drive security much harder in the coming quarters.
But withi

n cloud itself, we have great headroom for growth, number of hyperscalers getting into the picture and their growth when we see in the direct business that they are working on. Clearly,
on a dTAM, the distribution TAM perspective, cloud has good upside and so does SaaS.
With AI agents in the picture, we do start seeing some traction on the AI exchange I talked about,
we have been sharing that and it got launched in middle of march . And we will start seeing
revenue from AI part of the business sometime during the year, and that will also start ramping up. So the SSG business, we're still positive to sustain that momentum, if not grow faster than
that.

 Nitin Padmanabhan: Very helpful. Just one quick follow -up. During the COVID period, when there were shortages.
Obviously, working capital intensity went down, velocity of business went up, right? And
ROCEs went to the roof. You think that happens this time or it's different?
V. S. Hariharan: It is different, partially because, one, see, there is also an AI trend happening in the market. The
low end of -- there was a uniform shortage of supply. Here, you're getting entry- level PCs and
entry -level servers not being available and more higher -priced products available. We are also
seeing an uptick in end user demand, but not at the same pace that partners are stocking up,
etcetera. So, there is a combination of things happening there.
So, it will be a bit different. We also don't know how long this demand cycle will last and when
the price increases will stop. So, something we are not clear even from the OEMs and the
vendors.
So, in 2 to 3 quarters, I mean, the supply issue is probably going to last for 12 to 18 months from
what we hear. But in 2 to 3 quarters, as people pull forward their buying patterns, there could be a change but we don't know. We cannot call it right now.
S. V. Krishnan: Nitin , the biggest difference between COVID and now. COVID, while there was shortage, there
was a pent -up demand. There was a high demand on account of work from home, learn from
home, etcetera. Today, while supply is short, the corresponding demand spike is not something
that we generally see. But having said that, there are actually 2 -- I mean, 2 sets of customers.
The prices are going up quite substantially. There are some set of customers who say, no, no, I
would want to buy now and avoid higher price increase in the next couple of quarters. So there
is an increased demand in that segment.
Another set of customer group just want to wait for, say, another 3, 4, 5 quarters. And then once
the price to get corrected, normalized and then buy. Overall, net -net, the demand environment
is okay. But in COVID the demand environment was on the higher side that also resulted in --
while you haven't asked, I just want to touch upon that resulted in higher gross margin in the
COVID period, lower working capital in the COVID period.
As we speak now, we don't think that could be visible in the current scheme of things. That's our
current assessment. While revenue growth will be there. But again, because of higher ASPs, not
units, because of the price rise. And of course, the gross mar gin, we think we'll be able to
maintain and working capital could stay where it is or maybe it could go up because we may have to give more credit, as Hari said, or we may have to stock excess just to avoid stock -out
situation.
Moderator: Next question is from the line of Deepak Lalwani from Unifi Capital.
Deepak Lalwani: Yes. Congrats on the results. Krishnan, sir, the first question is, can you please break up the
receivable and inventory provisioning across India and rest of the world separately for the
quarter and full year and how we should look at it for FY2 7?

 S. V. Krishnan: See overall inventory provision is well under control. And for the full year, we have had an inventory provision situation of about 3 bps vis -a-vis what has been our long- term average at
about 5 to 6 bps. AR for the current quarter is on the higher side, a s Hari explained, there had
been certain one-off provisions we had to take in example, Saudi Arabia, in India because there are some government receivables, which has taken some time, etcetera.
These are cautionary provisions. We are still confident of recovery, but it's going to take some time. It had already taken a bit of a time. So overall, AR provisions are on the higher side vis -a-
vis our long-term average, and inventory on the other hand, has been lower than what it was in the past.
Deepak Lalwani: Understood, sir. And could you just call out how should we think about both these line items for
FY27 akin to what we have seen in Saudi Arabia and your provisioning style there in the earlier
quarters, do you expect some of this to reverse maybe in the first half? Or is it more second half
led?
S. V. Krishnan: We think AR provision may get normalized. Some part of it could come back. We are unable to

estimate when these collections could happen because it has already taken some time. Inventory provision, I think we should be able to maintain. We don't foresee a ny big challenge of the
inventory provision. AR for the ensuing year as a percentage, it could come down.
Deepak Lalwani: Noted, sir. Sir, my second question is specifically on the Mobility segment, where we have seen that India has grown extremely well and premiumization continues. But mobility, even if you adjust for ex Vodafone, if you knock out that element, in the rest of the world has not grown as fast as India is growing. Could you explain how we should think about the mobility aspect?
V. S. Hariharan: Okay. There are two , three things happening here. Firstly, India is a smartphone market. But within the smartphone segment and the premium smartphone segment, if I take, for example, the Apple brand perspective, Pro -Pro Max mix is not as high in India as it will be overseas. So one of the reasons the Mobility has been not growing as fast in the overseas is the demand for Pro-Pro Max and some of the Middle East customer segments is far higher and that has been on constraint.
And as that gets normalized, we do see the premium segment growing as fast and coming back strongly because if you look at UAE and KSA there's a lot of premium customers who want to buy the most premium model of both Apple and Android. So that's one of the phenomenon that will really change, and we expect that to get somewhat normalized during the year.
But having said that, the component shortage will play a role in the premium phone segment as well. And we'll have to continue to just fulfill demand based on the supply available. But we do see overseas can pick up, may not be Q1, but Q2 onwards.
S. V. Krishnan: And there has also been some short supply in terms of supply from the brands. And on top of it, March played a factor in Middle East, where we couldn't function in the normal pace, even though we did make some alternate arrangements in terms of importing into Ireland, Netherlands, Bombay, but still we couldn't catch up with what we would have otherwise done.

 Deepak Lalwani: Understood. Sir, my third question is on the opex , which has been a little more elevated because of the one -off of receivable and it's still on the higher side. So could you just comment about opex? What has been some of the factoring costs here as well? And employee costs also in that same breadth has again gone up.
So, could you comment on the opex and employee line item? And then, sir, could you speak a little bit about the dividend because the dividend this

time has been a little low. Is this a direct signal that we're going to be using the cash flows for higher growth for '27 and '28?
S. V. Krishnan: Okay. First on the opex, see, yes, employee cost has gone up. And as we discussed in the past, mainly it's because of certain investments that we are -- I mean, that we are making towards capability building, and that we think is important for future growth and more particularly the enterprise segment. So that part of the increase will keep -- I mean, it will keep happening.
There was also some element of increase on account of FX rate. As you know, everything we need to convert into Indian rupees and the INR 88 becoming INR94 had advantage across, also had a disadvantage on account of opex . So that's one another factor that contributed to the increase. Third is the increase, which we think is more short term on account of what's happening in Middle East. We saw some increase in cost and mainly on account of insurance, transportation, etcetera.
So the cost of doing business in Middle East is up. And then fourth is on account of technology-related investments, which again like the compensation, we think is going to be on the higher side as we move into the future also because of the capability building.
So overall, we are in control because the revenue is going up quite interestingly, but opex has an absolute amount. We think some part of it is more towards investment. I mean it's not the normal opex . Factoring has actually come down. In Arena, what would normally -- I'm just reading out the numbers, for Q4 last year, it was INR 22 crores, which moved down to INR 18 crores in Q3, which is last quarter is now down to INR 2 crores.
So the amount of factoring has considerably come down and that has resulted in some advantage in the opex overall. But I mean it is more an interest cost increase as we discussed in the past.
Deepak Lalwani: Noted, sir. Could you speak about the dividend and growth aspirations of Redington for '27 and '28?
V. S. Hariharan: Sure. So we have received inputs from shareholders in the past as well in meetings, both one -on-one and group meetings that definitely, if there are growth opportunities, both inorganic and organic, we should look at them. So as we have signalled before we are exploring inorganic opportunities, especially in the professional services area on cloud and security.
And we are actively going through the discussion on types of targets, etcetera. So, we're clearly considering growth opportunities there that can embellish and complement what we're trying to do with regards to SSG and we will be directly in the area of professional services.

Information Classification: RL \Public And that is one of the reasons we also felt that can we conserve some of the capital for these
growth opportunities. Obviously, the West Asia crisis is something to watch out short term for
the next 1 or 2 quarters and should we conserve cash for that as well. So those are the 2 driving
factors. But clearly, we have many growth opportunities in our radar that we want to look at.
S. V. Krishnan: And just to comment. There are also expectations of higher working capital requirement because
of the intended large deals, we expect that's going to be more than what we have seen in the
current year. Plus, because of RAM shortage as such, maybe we may h ave to be prepared for
higher inventory or higher AR. We just want to conserve cash to make sure all these are seamlessly handled.
Moderator: Next question is from the line of Vinay Menon from Monarch Network Capital.
Vinay Menon: Congratulations on a good set of numbers. A couple of questions from my side. One, what kind of impact are you seeing on SSG and CSG due to this AI disruption with Anthropic and others
coming up in cybersecurity. Are you seeing the subscription model coming under threat? And

what kind of guidance can you give there?
V. S. Hariharan: Okay. Again, we have not clearly seen any specific -- see, the way we look at all of these models
that are evolving is one, step one, people begin ning to use them for creating AI agents that will
complement what companies want to do, enterprises want to do. And that's what I mentioned
about this AI Exchange that we have created where we have 200 plus agents from our ISVs. But
has it had a direct impact on subscription models and the SaaS products we sell. So if I break
them into 3 parts, cl early, cloud continues to be on its frenetic momentum.
Specific SaaS products that we sell a whole range of infra software, design software products,
we have not seen any let up on the demand on subscription of these products. Security, clearly,
continues to have the momentum that it has had, but there are ne w products that Anthropic has
launched recently, and we expect the other providers also to launch where they are real -time
threat detection and fixing.
We'll have to see how much of these are stand -alone products or how much of these get
incorporated into the SaaS and subscription products. It's too early to call or see anything in
terms of softening of demand. Long term, clearly, we see there will be a play for SaaS, Software
as a Service and a play for AI agent, which is Service as a Software. And that's why we are
dabbling with both so that if there is any softening in the first one, we are able to actually take
advantage with the AI agents. But short term, we don't see any impact.
Vinay Menon: Okay. That helps. And can you look at these frontier models as potentially OEMs going ahead?
Like if they come up with products eventually? And can they also be tie -ups which you can look
at in the future?
V. S. Hariharan: Can you clarify a little bit more when you talk about Frontier because there are many definitions of frontier markets.

Information Classification: RL \Public Vinay Menon: Yes. So basically, looking at anybody like an Anthropic or Claude, eventually, they come up
with models which are standard products. Can we look at them as new tie -ups in the future like
we have OEMs already working with us in these areas?
V. S. Hariharan: Absolutely. Absolutely, bang on. We already do this with Microsoft with Copilot, and there is a lot of
movement on how we market Copilot and how we reach mid-market customers and how
they can use that platform to create AI agents. And the whole office aut omation movement with
Microsoft copilot is the case in itself, clearly, we will continue to explore the other LLM and the
other AI providers in terms of tie -ups.
We've already -- in discussion, we cannot talk about it yet with a number of these but you will
see some of these announcements. And we definitely -- we see that as a great area to focus on
and grow.
Vinay Menon: Okay. Perfect. And in this quarter and going ahead, like can you call out what would be the ASP
led growth and volume -led because ASPs are quite high. And they are looking to sustain also
going ahead . So what would be the mix in terms of ASP growth and volume growth?
S. V. Krishnan: It's difficult to mention. I'm just making a guess. A significant part of the increase would be on account of ASP and the marginal increase will be on account of units.
Vinay Menon: Okay. And we see this trend sustaining for the next few quarters?
S. V. Krishnan: Yes. That's the expectation.
Vinay Menon: Okay. Okay. Any kind of guidance on large deals for '27? How are we looking at large deals and
what kind of participation you can see there?
S. V. Krishnan: Let me tell you the past numbers. While for the quarter, the total quantum of large deals are
about INR1,600-plus crores. For the full year, it's about INR 2,500 crores, close to INR 2,500

crores. So you can see what it was in 9 months and what it

is in Q4. And believe me, where we
see the first 2 quarters of the current year, definitely, this can only keep going up. It's a very
interesting space. And that's why one of the reasons why we said we want to conserve cash is to have sufficient capi tal to fuel opportunities like this.
Vinay Menon: Okay. And margins there could be how many? Like maybe 20%, 30% lower to core business?
Or how does it work?
S. V. Krishnan: See, I don't think in any way we can compare margins in the large deals vis -a-vis the core
business. We have said this, the 2 metrics you need to keep that in mind. It's an incremental
business and hence, there will be an incremental profit. Second, we are very particular on return
on capital employed, no compromise on return on capital employed.
Maybe gross margin could be lower, working capital could be lower, higher, all those are fine.
But no compromise on return on capital employed. These 2 are the metric. But in terms of margins, it's much lower. I mean you cannot get compared with the regular business.
Moderator: Next question is from the line of Hitaindra Pradhan from Maximal Capital.

 Hitaindra Pradhan: I hope I'm audible. Sir, the first question is with regards to the war situation. If you can give us
what is our revenue exposure on the main markets, main impacted markets? And any color on
consumer versus enterprise exposure?
S. V. Krishnan: See, Middle East, as you know, has been a large part of our business. And we are present in quite
a lot of countries. And this time, it's just not one or two countries. It's the region that is impacted.
In terms of revenue and profits, about 30 to 35 percentage of our business happens from this
market.
Hitaindra Pradhan: And sir, but you mentioned earlier that there has been incremental orders on the -- from the
government and the enterprise side, especially from DC even in the situation. Is that correct or?
S. V. Krishnan: That is more to do from the security and the cloud-related part because now when there are
challenges in terms of IT security, obviously, that part of the demand has been more. But overall,
there is a logistics impact and the core business to that extent has got impacted. That's what Hari,
also mentioned in his initial brief.
V. S. Hariharan: The SSG part of the business, just to add, we see an uptick on the government and enterprise
segment in the Middle East. But the hardware part of the business will be soft until the crisis
gets over and we recover.
Hitaindra Pradhan: Got it, sir. Sir, the second question is in regards to a follow -up to an earlier discussion on the
growth in this inflationary environment. Sir, correct me if I'm wrong, I mean, in this
environment, you mentioned like now the prices are increasing and the re has been some
shortages. So, it is natural to assume that at least in the short term, there will be -- the ASP
growth will be higher and that would benefit our growth and our margins as well, especially on
consumer businesses and all.
So -- but you mentioned that you are tentative about the growth sustaining unlike what happened
in COVID situation. So, sir, like at least in the short term, can I expect any uptick in terms of
growth and that could taper off in the medium term? Or how do you think about it? If you can
just elaborate on that?
S. V. Krishnan: Hitaindra, sorry, I think I haven't communicated that rightly. We haven't said we are worried
about the growth. We are positive about the growth. And we think this ASP increased, the price
increase is going to be a good tailwind for the business. And the classic case is what you have
seen as part of the Q4 numbers.
What I was clarifying was we may not see a margin uptick vis -a-vis the comparison was with
COVID because in COVID, we also had, while on one hand shortage, on the other hand, higher

demand enabled us as a distributor for us to make more money. That situat ion, at least in the
short term, we don't foresee. That was the point.
Moderator: Hitaindra, I'll request you to come back for a follow -up question. The next question is from the
line of Nirmam Mehta from Unique PMS.

 Nirmam Mehta: My first question is on Arena. So we mentioned we had some exit losses also in Q4. And earlier
also, we've mentioned that you would have these kind of losses. Going forward, how do you see
Arena panning out? We've also taken some impairment. So secondly, how much investment is

there in the balance sheet related to Arena only the $8 million that is left?
V. S. Hariharan: Yes. Let me just give a perspective on Arena, how we see going forward. So if you see what we have done over the last few quarters, we exited from the Lira phone business. We also exited
from the other Lira mix business, and we should have exited from all of these by the end of this
fiscal year. So starting next year, our focus will be primarily on IT, which is PC servers. And of
course, cloud as well. There is a good cloud business that's evolving in Arena.
So in that sense, if I look at these businesses, we are positive, and they are largely U.S. dollar -
based business. The problem, of course, in Turkey, the conditions continue to be challenging, while the inflation has gone down, the interest rates are going d own. But given the Middle East
crisis and the West Asia crises, we do see a softening of demand further in Turkey.
And so the conditions are not going to be less challenging. We'll have to do our best, and we
have a smaller size, cleaner U.S. dollar -focused business. Krishnan, you want to add color on
balance sheet
S. V. Krishnan: See, this impairment, we have explained the rationale, it is more to do with what we saw in the last few quarters, there have been continuous losses. The business performance is not in line
with what we had expected, the economic situation, as Hari said, continues to be challenging in
this market and accentuated by the recent Middle East war and the oil price increase. So we like to do what we can do. So we have been exiting from the businesses that are not attractive, which
depends on the l ocal currency for borrowing where the interest rates are still at about 42%, 45%.
Those actions are taken. But since there is no clarity in terms of an immediate turnaround. I think
it's important we need to take a critical view about the investment that gets carried in the books.
And hence, the impairment we have taken.
Like you said, we still have about INR8 million in the books. And since it's a listed company, as
we speak now, the market value is about $75 million. If there are any significant corrections, it
may call for the investment of current -- I mean, book value also. And which we will take a view
as we close every quarter, but the significant part of it has been taken in the current quarter.
Nirmam Mehta: So going forward, since we have only the USD business left, do we see these losses coming
down? I mean -- so my question is a lot of this loss in this quarter is because of the exit costs or
do we see continuing losses in the USD business also?
S. V. Krishnan: There is a business loss. There are also some one-offs on account of exits. The business -related
loss while -- I mean, not that even the IT business makes good profit. I mean, really, the
environment is difficult. You can see that -- I mean, between last year and current year, the
business is down by half.
And majorly, because of our own conscious call, what was the $1 billion is now $0.5 billion. So we expect this loss to continue. The quantum would keep coming down. Initially, our expectation

 was

maybe towards the end of the current year, we will see profits. I think next year, we will see
loss but maybe at a reduced level. And the real turnaround in terms of profitability we expect in
the subsequent year.
Nirmam Mehta: Got it, sir. So my second question is on the TSG business. So earlier, we mentioned about some
competition. But we won large deals and we are doing good on that. But so how do you see this
space evolving now? How is the competition and how do you foresee it for the next 1, 2 years?
V. S. Hariharan: See TSG has many dimensions, Naman. So one is obviously the on- prem servers that we sell to
enterprise and government customers with the big brands. Second is the data center, where you
have neo cloud operators jumping into the picture. There is also an evolution of other kinds of
data centers. We call it the edge DCs and AI factories, etcetera.
Clearly, the data center part is a new business, the existing business, we continue to have competition from existing distribution players. But in the neo cloud and the data center, we are
also new to the picture. And we are actually, I would say, doing better than a lot of our
competitors. But it's a matter of like what Krishnan said, getting the right deals with the right
ROCE and the right risk levels, et cetera.
But we see the data center part of the business is the one that will be a huge upside and getting
our strategy around it. First is obviously the hardware. Then you have opportunities to work on
power systems, cooling system adjacencies, there's an opportunity to work on fulfilling the
capacity of these data centers for co -location and managed services.
So there are many opportunities around the data center area. And right now, we are constructing
a plan on how to go after it, which part of it makes sense and how to invest around it. But that
will be our work in the next few quarters.
Moderator: Next question is from the line of Sahil Doshi from Thinqwise.
Sahil Doshi: Just firstly, just wanted some clarity again on the Turkey and the Arena business. So essentially, this quarter what number you've seen in terms of revenue, is that the new normal base? Or we
should see further decline from here? And in terms of factoring also, would this stabilize at this?

That's my first question.
And the second question was related to the impact of the war, the Middle East impact. So you've stated in the press release that we did see some softening in March. So do we think some further
impact in this quarter to play out? Or you don't really expect any material impact because of this
same?
S. V. Krishnan: Okay. See, Arena, the current revenue is the new normal. We hope the current factoring will be
the new normal. We are working towards it, and we will do whatever it takes. But the banking
environment in that world is not easy.
So I don't want to commit anything here. Middle East impact has been there for 1 month. And
incidentally, that 1 month is our peak month for the year. So it hit -- I mean it did had an impact
in terms of lower revenue. And accordingly, the lower gross mar gin and incremental costs.

 So this is what has impacted our profitability for the month of March. And as Hari has mentioned
upfront, we think this situation will continue for maybe Q1, to an extent in Q2, all depends on
how things gets resolved and life coming back to normalcy, it' s going to take some time.
V. S. Hariharan: And just to add, the trajectory seems similar compared to March. It's not getting worse, it's not
getting better in the coming -- in this quarter.
Sahil Doshi: Sure. That's fair. Secondly, on the cost structure question, sir, you did call out the excess -- the
increased expenses because of investments as well as the impact of the rupee on employee cost
to an extent. But would it be possible to try

and quantify h ow much is this, which is, a, front -
loaded or something of that sort?
And where do we expect at what levels in the following year because in the absence of
improvement in gross margin, a large part of the growth seems to be eaten away by this
investment. So I'm just trying to understand how should we think about sustainable, profitable
number in that sense.
S. V. Krishnan: Good question, Sahil. I think we had already mentioned this. The opex and more particularly
because we want to create required capabilities, in the technology space, in the SSG business. is
going to be more for some time. And that needs to be looked at more as an investment than as
part of the regular -- I mean, cost of doing the business.
So that elevated opex for next couple of quarters, maybe 1 or 2 years would continue is our
expectation. Forex -related thing may not happen. The AR provision -- incremental AR provision
may not happen. Incremental insurance or transportation cost on account of ME -related
challenge that may not happen. All those will get normalized in due course but the capability
building technology investment, in our view, we should not be conservative, amidst this
opportunity, and this investment will continue.
How should we see the profitability? See, in our view, we should be able to maintain our
operating profit, we should be able to maintain our return on capital employed quite strongly
that we are confident. That's one on account of the growth in the rest of the business. And while
SSG, there is a capability -building cost, which is there, for sometime the profitability could be
subdued, but over a medium to long time, we will see SSG profitability being quite interesting. So operating profit and return on ca pital employed are the 2 metrics.
In our view, outside of Arena about 2.2%, 2.3%, 2.4% is what we expect as EBITDA subject to whatever is the composition of the large deal. And we are quite confident in terms of the return
on capital employed being maintained above 18% as we speak now, it 's closer to 20%. And these
2 are the important metrics, Sahil.
Moderator: Next question is from the line of Amit Khetan from Laburnum Capital.
Amit Khetan: My first question is on the Middle East business. What is the sort of inventory risk we have here?
Is this fully covered by insurance? And are they distributed across multiple locations?

 S. V. Krishnan: It is. You had asked a very interesting question. This is something which we would want to
explain this clearly. We normally take insurance policies for whatever risk that we foresee, all
insurable risks. Similarly, we have taken war insurance for -- I mean, as part of our policy.
But as the war started, the insurance companies joined together with 7 day’s notice removed this
risk coverage, and it was an unilateral decision. So we had to manage. We did manage in the
form of getting some additional cover from other insurance companies.
Also we did transfer of identification of new warehouses in the same location, move some part
of the stocks from one place to other in order to avoid the open coverage. There are a lot of

things that have happened. I mean full kudos to the team, logistics team there inspite of the missiles going all around the place. So we had managed it well. As we speak now, we think we have the proper coverage and we don't foresee a challenge. But in between the one period, yes, there was some increased retention.

Amit Khetan: Understood. Understood. And my second question is, I think in the SSG segment, in the previous quarters, you've called out gross margins being around 5% to 6%. If you could give some rough sense of how these gross margins differ between the different subs egments of cloud, software and cybersecurity. And overall for the segment, how do you see margins evolving

over the medium term, the gross margins?

V. S. Hariharan: Let me attempt the first part. It's harder to give a split on this. But the overall SSG segment, we are expecting and tracking about 5.5% gross margin. And this can only get better as we get more into professional services. The cloud -- see, the normal wor k that we do on cloud security and software is resell.

And there will continue to be pressure on just the resell portion of the business. But as we do more and more professional services that will create more stickiness and more additional gross margins. Harder to give a split between the 3. Over a period of time, going forward, we would like to maintain between 5.5% and 6% is our intent and plan, and we are tracking so far.

Moderator: Next question is from the line of Deepak Lalwani from Unifi Capital.

Deepak Lalwani: Yes. Sir, could you -- Krishnan, sir, could you please help me triangulate three numbers. Number one is INR 467 crores of profit that you have reported in the PPT. Point number two, sir, is the reported profit, which shows in the financial disclosures of INR 281 crores. And third is the number, which we have reported post minority at INR 391 crores. So can you please help me triangulate all these three numbers, sir ?

S. V. Krishnan: Okay. This is a very difficult question on me. INR467 crores, okay, INR467 crores does not include Arena related impairment, which is classified in the financials as an exceptional expense.

I'll tell you the logic. If you recollect same quarter last year, we have had an upside in the form of Paynet sale.

That was a gain classified as an exceptional income. This time, it is an exceptional expense. If you go back to all of our decks and the explanations. We haven't included that as part of our reported PAT because it was completely a one-off on the positive side.

 Similarly, we have eliminated the impairment -- I mean, impairment loss from this, and that leads us to INR 467 crores. This INR391 crores is including Arena impairment. Because the impairment amount is about INR 75 crores for Redington. INR 281 crores, where do you see this INR281 crores? Are you talking about INR 287 crores which is there for the quarter?

Deepak Lalwani: Yes, sir. Yes, sorry, INR 287 crores.

S. V. Krishnan: That is before minority interests. That became INR 391 crores because a part of the loss that we have taken in Arena that goes to the rest of the shareholders of Arena, if you adjust for it, the INR287 crores becomes INR 391 crores.

Deepak Lalwani: Okay. Sir, I'll probably take the math from you once again offline. Krishnan, sir, could you just also call out that -- earlier in the Turkey, we had the $20 million receivable of which we had taken $8 million. The $12 million was still at exposure. So co uld you speak a little bit about that $12 million there?

And if there is any need for creating provisions on that bucket?

S. V. Krishnan: As we speak now, no. There are some collections. But definitely, the pace of collections could be better. We don't foresee any need for any additional provision at this point in time. We are quite okay.

But we can be better in terms of collections.

Deepak Lalwani: Understood. And sir, just the final thing is, could you call out given the wide range of revenues and verticals across the Middle East as a cluster, Saudi, GCC and the others. Could you just call out how you're looking at the demand environment in '27 pro bably vertical -wise and region -wise, if you can, please?

V. S. Hariharan: Okay. I will try and answer that. So let me go there are 4 geographies in Middle East, Africa, 4 clusters, we call them. So one is UAE, one is KSA, Kingdom of Saudi Arabia, GCCL which has some of the GCC countries like Iraq, Kuwait and also the Levant cou ntries and the fourth cluster is Africa.

The UAE c

luster is the biggest and we have seen the most impact due to the West Asia crisis.

And that's where we see good recovery once the West Asia crisis is out of the way. It was growing at around 20%, if you remember the last year, the previous year.

Now within that, let's talk about the verticals. Actually, all business units are firing there, starting with SSG and TSG, software and technology solutions and followed by mobility, followed by

PC demand short term because of the component shortage. The next would be GCCL, where there is a big opportunity with our focus on individual countries there. Surprisingly, despite the West Asia crisis, that area, we have still seen growth, good growth and that's probably a combination of some virgin territory that we've not been playing in. The SSG business was quite raw, and it has improved all of that.

 And we saw through March and even as we speak, we can see good demand there. And the upsides there are on SSG and TSG and the mobility in that part of the region is also doing well. So that's the second.

Africa is the third. Africa has been doing considerably well. This year has been a very good year for us in Africa. Again, the star performers there are SSG and TSG. And in the past, both on PCs and phones, we've been quite flattish because of arbitrage l ogistics that we compete with unorganized players.

And fourth is Saudi. We talked about Saudi having a reprioritization by the government on investments, initiatives, etcetera which actually created problems on growth. If you remember, a year before last year -- 2 years in a row, we were growing at about 25%, 30%. But the last few quarters have been challenged, and we expect some of that to continue because Saudi as a country is trying to juggle with all the different initiatives, priorities, vision 2030 and really what are the focused priorities.

And as we look at the IT part of the business, we do see a little bit of a softer demand in Saudi.

We are trying to do best to retain our market share, which we have done. But that's the order. GCCL and Africa, we see continued growth. UAE will depend on how fast we recover from the crisis. Saudi will take some more time once we understand the IT priorities.

Deepak Lalwani: Understood. And sir, some of the smaller countries like Qatar and Bahrain, where do you really classify them as a part of GCCL or UAE?

V. S. Hariharan: GCCL.

Deepak Lalwani: Understood. So those smaller territories are also where we've been gaining a lot of share is helping us, right?

V. S. Hariharan: That's correct. And also some of the Levant countries.

S. V. Krishnan: I can give the growth percentage, it could be even more clear. UAE for the full year, we grew at 22%. For the quarter, we grew at 6%. And as Hari said, this is mainly on account of the March impact, the Middle East war. GCCL for the full year, we grew at 33% full year.

For the quarter, we grew at 51% in spite of the war, which is the market share that we talked about. In KSA, for the full year, the growth was 5%, subdued growth. But for the quarter, it's a degrowth of 12%. It's on account of the Middle East war in March. Africa for the full year, the growth is 13%, for the quarter is 26%. So that is quite strong.

Moderator: Thank you very much. Ladies and gentlemen, we'll take that as the last question. I'll now hand the conference over to the management for closing comments.

V. S. Hariharan: Thank you so much for all your questions. And I just wanted to emphasize that we feel we have really weathered through a very good quarter despite all the challenges we've had and kudos to the team, the brands we work with and the partners.

 In terms of Q1, Q1 is normally a lower seasonality quarter for us, but we are committed, and we want to definitely sustain good momentum. But having said that, it is the lowest seasonality quarter for Redington normally, but we'll do our best. Thank you, and look forward.

Moderator: Thank you very much. On behalf of Redington Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jun 2026

Information Classification: RL \Public June 23 , 202 6
The National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai – 400051.

Symbol: REDINGTON BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai — 400 001

Scrip: 532805

Sir/Madam,
Sub: Transcript of the Virtual Investors Event held on June 17, 2026
Pursuant to Regulations 30 and 46(2) (oa) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of the Company's Virtual Investor Event held on June 17, 2026.

The same is available in Company's website at https://redingtongroup.com/wp -content/uploads/2026/06/From -Software -Distribution -to-Intelligent -Orchestration_Transcript_FINAL_170626.pdf

No unpublished price sensitive information was shared/discussed in the meeting/ call.

We request you to take this information on record.

For Redington Limited

K Vijayshyam Acharya
Company Secretary

Encl: a/a

Information Classification: RL \General Business \Third Party
"Redington Limited
Investor Event "
June 17, 202 6

MANAGEMENT : MR. V. S. HARIHARAN – MANAGING DIRECTOR & GROUP CHIEF EXECUTIVE OFFICER – REDINGTON LIMITED
MR. S.V. KRISHNAN – FINANCE DIRECTOR – REDINGTON LIMITED
MR. SAYANTAN DEV –GLOBAL HEAD – SOFTWARE SOLUTIONS GROUP – REDINGTON LIMITED
MS. NEHAL SHARMA – SENIOR VICE PRESIDENT , SSG GLOBAL ALLIANCES – REDINGTON LIMITED
MR. RAMESH NATARAJAN – CHIEF EXECUTIVE OFFICER - INDIA AND MIDDLE EAST– REDINGTON LIMITED
MR. CEM BORHAN – CHIEF EXECUTIVE OFFICER – SESA – REDINGTON LIMITED
MR. SACHIN DUBEY – HEAD – PROFESSIONAL SERVICES – REDINGTON LIMITED
MR. DEEPAK PULIGADDA – GLOBAL CHIEF TECHNOLOGY OFFICER – REDINGTON LIMITED
MR. MOHAMMED SADIQ – SENIOR VICE PRESIDENT – AI - REDINGTON LIMITED
MS. PALAK AGRAWAL – HEAD, INVESTOR RELATIONS

MR. KALYAN POLA – PRINCIPAL PARTNER
DEVELOPMENT MANAGER – AWS

Moderator: Over to you, Palak.

Palak Agrawal : Thank you. Good morning, everyone. Thank you for joining the event. It's been a year since org transformation , time we formed SSG BU, which saw a growth of 37% in FY '26 to become a $2.2 billion business, which is 17% of our overall top line. Since formation, we received several questions from many of you during our various conversations, and this is an effort to put together what we are today, where we shall be in next few years and how we are transforming. This ev ent is divided into four parts.

First, we have presentation from our leaders, followed by a presentation from AWS for about 10 minutes. The leaders' presentation is about 30 minutes, presentation from AWS about 10 minutes. Then we have a moderated panel discussion for about 30 minutes, f ollowed by Q&A maybe for about 50 minutes. We shall start this presentation with Mr. Krishnan. He's known to everybody, but I would just like to introduce him a bit before I hand it over to him.

SVK brings a wealth of experience in financial management and strategy. He has played a key role in company's growth and expansion over the years, driving financial discipline, risk management, compliance, capital raises, listing and also investor interact ions. Over to you, sir.

S. V. Krishnan : Thank you. Thank you, Palak. Good morning to all of you. As Palak said, from the time we started SSG as a vertical and started reporting to -- in the market, there has been constant queries on various aspects. What are we trying to do? How urgent is this? How is this industry moving? And who else are in this space, what investments are getting done? What can be the expected returns? There are lots of questions.

We have been waiting for having this SSG Day for quite some time. It's good that we have got sufficient content to share it with you where we are, what's our thought process? I hope -- this exercise will help you to understand all your queries. If at all, if there are any, of course, we are going to have a Q&A, as Palak said, in the end, and we will try to answer as much as possible.

I just have one slide to start with. This captures broadly the financial performance of SSG as a vertical in the last about 1 year. As it is, SSG is a $2.2 billion business at the global level for us. And it has grown for last year at about 29%. Just now P alak said 37%. I just want to correct that 37% is basis Indian rupee reporting, where the U.S. dollar gets converted into Indian rupees, which has an advantage because of the depreciation last year , what's given he re, all numbers are in dollars.

So what we have done is we have retained the U.S. dollar. We have converted the Indian rupees to U.S. dollar. So we have a slight disadvantage. But directionally, I think this will give you a perspective that it's a high -growth segment, has grown at 29% in terms of revenue and the gross margin has grown at about 17%.

More than that, the contribution of this vertical to the overall revenue of Redington Group for last year was 17%. I just want to remind you, 2 years back, that was about 12%. So very clearly, even though the base business is also growing at a good pace, here is a case where this segment

 is growing at a much faster pace, and that's contributing to the overall growth of the company, and that's also increasing their contribution. While for the last 3 years, we have grown 2x in this 3-year period.

Our expectation -- internal expectation in the next 3 years, we should be more than doubling our revenue in the next 3 years because of various actions that we have undertaken in the last 1, 1.5 years, and we had planned to do, which we are going to share this

thing today. This SSG is split into four business verticals broadly.

One is software, which contributes 40% to the revenue -- SSG revenue; the cloud, which contributes about 33%; security products, which contributes about 27% and services has a very marginal contribution as we speak now sub- 1%. But we think that's an area w here there is scale that's going to come up, and it also has a superior margin profile. As you all know, we have had

cloud getting reported for many years in the past as CSG.
When we started reporting, the growth rate used to be about 20%. Then it moved to 30%, then to 40%. What we are able to now consistently see is a 40% to 50% growth in the cloud space, and we think it's mainly because of the focus and the tracking that we s tarted doing in this business. That's one of the reasons why we started declaring SSG as a vertical and started tracking. In our view, it has the potential to grow, like I said, in the case of cloud, even overall SSG. That's what is the key.
Overall, as an industry, very clearly, the hardware industry is more -- moving towards more and more of software. Hence, we thought this need to get focused. The key aspect, unlike in the hardware business where the relationship is more transactional, ther e is an order, we supply the material, we give the credit, we collect the money, the transaction gets consummated closed.
That's not the case in the case of SSG. Here, it is more an annuity business, recurring business. About 74 percentage of our last year revenue is recurring. You can say very clearly, every product category, the recurring revenue is quite sizable. And this used to be 72% in the previous year. We expect this trend to keep going up.
Four key aspects why we think SSG is an important vertical. One, there is predictability in the business, higher growth, higher profitability, of course, adjusted for the investments and higher return on capital employed. Some key highlights for last year. SSG as a vertical that we had formed at the global level, unlike in the rest of the businesses, MSG, TSG and ESG, where it is more at the country level, we have got a global team, which drives strategy, best practices, building capabilities, investing into the future and also tracking the investments.
Another aspect which I thought I should mention, our geographical expansions in the recent period are all focused on SSG, be it ASEAN countries, be it CIS countries, even South Africa. So we think we have a very strong base that is built, and we need to gr ow from here in any markets that we get into. The top six vendors are Microsoft, AWS, Autodesk, Red Hat, Fortinet, Palo Alto, all major vendors we have good relationship with.
And I can also tell you, while, I mean the professional services is a very small portion of our business, I mean, that's about $10-plus million today. It has gross margin, which is in strong
 double digits, more than 20%. This is where we think we are going to focus on moving forward, which will give us much better profitability in the years to come. With that, let me pause and my colleague, Hari, will take over, or Palak, would you want to give the intro and then move on to the next step?
Palak Agrawal : Thank you, sir. We move on to Hari. Hari is an accomplished leader with 3 decades of experience in sales, marketing and general management. His career has been defined by a commitment to innovation and passion for driving growth in diverse markets. As a Group CEO of Redington, he's poised to lead with passion and foresight, driving transformation across newer markets in the fastest -growing economies. Over to you, Hari.
V. S. Hariharan : Thanks, Palak. Good morning, everyone. It's great to be here and joined by my colleagues, and we wanted to make sure that we give you a full overview, both brea

dth and depth on SSG. We also have one of our key brand partners, AWS here so that we can give you an overview of what we are doing and how we are doing. But let me begin and take a few minutes to talk about the genesis of SSG, the global perspective, why we created it and why is it important for us. So here, what you see is the famo us new digital Trinity and Palak, if you can just bring out all the text on this page. So there are three parts of this digital Trinity that we are focused on. Firstly, software. Software powers outcomes that businesses seek, and that's very obvious.
Cloud enables scale for us and scale that is and accessibility across geographies, which is becoming really important in these days of resilience and geopolitical risk. Security ensures that the outcomes are delivered safely and reliably without compromise. We are focused on all the 3 businesses, and you'll hear more both from Sayantan and from some of the other speakers. Next slide, Palak. Again, this is a slide we have shown often. And Palak, if you can just bring all of the text on this. So let's start wit h the global perspective.
So if you look at the year that's gone by, globally for all distribution, hardware has actually declined and are a little bit flat. Software has grown 20% plus, and software has become 31% of all tech distribution globally. For us, software and services is 17%, as Krishnan mentioned earlier. And that's partly also because hardware is growing, while SSG has been growing at 29% or 37%, depending on whether you look at U.S. dollar view or rupee view, it's 17% and growing as a ratio.
The big change we also see when we were working only on hardware where we had a number of big brands, we will take the brand and work with many resellers and many customers. It will be one vendor to many resellers. In the world of software and

services, th ere are many products,
many software products, many services products.
We need to distribute to many customers. And to do many to many, we need to work on platforms and marketplaces. Next slide, please. Now Redington's position within the global
distribution. Again, this is a calendar 2025 view. This report is published by Om dia Group.
Redington continues to be in the top 10 despite not playing in U.S., Europe and China, the 3
biggest markets. And we continue to grow very well.

 We are -- on this slide, if you see there's only one distributor that will be faster than us in terms
of growth. We're growing 20% year -on-year. And if I remove a couple of distributors who are
ahead of us -- no, previous slide, Palak. Ahead of us who are not exactly in a similar category
because they're focused on government, defense, software and focused on data center, we could
be number 6.
So clearly, Redington has its position within the global distribution as a top 10 and growing
faster than a lot of our peers. We are number 8 globally, but we are number 1 in India and number
1 in Middle East, Africa. Thank you, Palak, the next one.
The market opportunity, we are still scratching the surface. It's huge, huge. It's $515 billion for
2025. And if you see our numbers, it's only a small sliver and growing very rapidly towards $1.7
trillion. These numbers are published by Gartner as their projections. You see 3 categories there.
IaaS stands for Infrastructure as a Service, largely cloud related. Platform as a Service and
Software as a Service.
If you look at the specific markets we are playing in, India is growing at 31% and we're obviously growing faster than the market, but still a lot more potential to appropriate. Middle East, Africa
is growing at 19%. And SESA, South-East and South Asia, th e new markets that we are getting
into is growing at 23%.
So all in all, all of these markets are offering good double -digit potential just from a m

arket
perspective. And both by way of share and by way of business growth in the market available,
we have a lot of potential. Thanks, Palak. Next one.
This is a very important slide, and Sayantan will deep dive into this more. In the world of
distribution for software and service, and taking these products to many partners and customers,
orchestration is critical. So we become like a conductor of an orch estra that brings many things
together.
On the left side, you see brands and OEMs, and Sayantan will talk about the number of brands and OEMs we engage. ISVs become really important because they become like the blood line
in terms of accelerating workloads and creating a lot of software and serv ices that will
complement the products that come from brands and OEMs.
On the right -hand side, you see the go -to-market. Our sales and solution architects are a key
component of our go-to -market and our channel partners. Again, Sayantan will give you a little
bit more color on the number of partners we have in the types.
On the top, you see, again, a very key ingredient that we are investing in platforms, a range of
platforms, marketplaces, automations and tools and our own academy, which is the training and
skill building programs for both our sales force as well as our partners.
And the bottom piece is going to become important, not as a margin generator, but even as a
creation of stickiness and value creation. So a range of cloud professional services for migration,
modernization, FinOps, DevOps, etcetera, will be critical there. Security services, SOC, MDR,

 VAPT, SOAR and a range of AI services and AI agents. So all of this, Redington is in the middle
of orchestrating to take us through the journey.
If you go forward, Palak to the next slide. Again, this is a slide we have shown quite often in the
last few quarters. The DNA of taking our value add from brands to customers. The top, you see
hardware. bottom, you see software. Again, 2, 3 points I want to make. We have moved from
overcoming market friction with hardware into technology friction with hardware with solutioning and configuration and now into the world of knowledge friction.
There is a big difference in the way we approach the market, whether it's a hardware physical
solution or a nonphysical solution. And we have to start looking at life cycle management, how
to drive consumption, how to drive customer analytics, the Cloud Quarks platform,

marketplaces, etcetera, they'll all come to be important. And that's where the focus on SSG is building on these nuances, building on these platforms. Sayantan will cover in great detail on all of that.

To the next slide, please, Palak. Yes, this is my last slide on this part of the section, very, very important. I wanted to cover this. AI is not a stand -alone piece. We are into 4 businesses. We have MSG, ESG, TS G and SSG. Clearly, in MSG, with premium smartphones and wearables, on-device AI and cloud AI is going to become extremely important.

On the Endpoint Solutions group, with the evolution of PCs and now with the recent announcement of even very high compute edge PCs like the RTX, the edge devices will play a big role on AI, both the hybrid devices as well as the super PCs. The Technology S olutions group is transforming and they -- the Technology Solutions group is transforming with AI, with the GPUs coming out.

Hyperscalers provided the early data centers. The Neo cloud players provided the next set of data centers. We are having the edge data centers and the distributed DCs. Again, AI plays a big role there. Software solutions clearly is taking advantage of all the AI capabilities coming into the market. But the beauty is all of these are going to come together in the world of professional services, in the world of AI agents, in the world of produ

ctized services.

The edge devices, both PCs and smartphones will play an important role in the new ecosystem of Software Solutions Group and data centers. It is all going to become a big large ecosystem where the new world of AI -enabled solutions and services, nothing will be stand-alone. They'll all work together. So that's a big transformation that we see, and it will be really important how we drive SSG going forward and how we drive AI going forward. Thanks, and over to you, Palak.

Palak Agrawal: Thank you, Hari. We'll move to Sayantan next. Sayantan is our Global Head of SSG. He shall be diving more into the business dynamics in this session. Just a brief on him. Sayantan is the President and Global Head of SSG Business Unit, scaling software -led distribution across our regions with a strong focus on software, cloud and security.

 He brings over 2 decades of experience in scaling value side of technology to distribution, driving ecosystem expansion, accelerating cloud adoption and building high- velocity partner networks across our markets. Over to you, Sayantan.

Sayantan Dev: Thank you, Palak, and thank you to everybody attending this call, and a warm welcome again to this meet. Over the next few slides, I will take you through starting from some of the market shifts, which has an impact on our industry and what it means for th e industry in terms of market size and opportunities and what capabilities we are building in SSG to make sure that we are at the center of it and maximizing this opportunity.

Palak, we can move to the next slide. So starting with the key market shifts that we see, there are three very important shifts which is -- which has direct impact on the industry that we serve. So the first one of that is the consumption models moving from perpetual licenses to flexible outcome -based subscriptions. So the customer’s choice of not owning a license, but to subscribe for a service is a major shift.

Second part is about platform -led distribution. We will see a lot more vendors consolidating through the marketplace and the API -first ecosystem. That has an impact on how we go to market and our route to market, and I'll cover that in more detail in the s ubsequent slides. And third, a very important shift in the way software services have been delivered.

So there is a clear shift from a very labor -intensive services delivery to a very highly automated services delivery almost delivered as a software template to a very drag -and-click model. And I'll explain that in a little while, what does that mean?

Yes. Next, Palak. Now all of this and generally, we have an extremely interesting market opportunity ahead of us. We know that most of the business outcomes and the business problems are today getting solved by a digital solution or a software solution. An d then there is a clear adoption of Software as a Service across in all markets, starting from enterprise up to SMB and mid-market and individual users. And that creates an opportunity of about $700 billion by 2028.

Redington advantage here is our reach and our -- we being available in most of the markets, in some cases, very complex markets and geographies. The second important development is the huge opportunity ahead of us in the cloud space.

All of us know that cloud has essentially democratized the access to very high -end computing resources and which means that innovation is now not limited to a few in the enterprise, but new start-ups and ISVs get access to very high -end computing resources . And that has driven a rapid innovation across the industry. And in the AI age, it has a significant importance. And our

advantage in the cloud space, and we will talk about it a little later, is that we have literally put the cart before the horse.
We invested in this business way ahead

of the market, and we have very strong relationships with the key hyperscalers in the market. And the third important area of focus is, of course, cybersecurity. We all know that most businesses are now digital and more and more businesses are increasing their digital assets.

 The reliance on digital assets and the cost of that getting compromised on one hand is much more expensive than it has ever been in the history of the industry. On the other hand, since there is a digital exposure like never before, so the threat surface and the threat vectors, which means the number of ways organization can be attacked is also increasing. Hence, cybersecurity is a boardroom discussion everywhere, which is creating a significant opportunity for integrated security solutions and managed services.

Palak, can we go to the next slide? Yes. So very quickly about how are we transforming from an old model to a new model. Essentially, in one line, it means that we are moving from being a onetime transaction management to a sustainable growth engine. And t here are four key elements to it.

Number one is the platform where we orchestrate at scale through this platform. And the key assets there is our marketplace, the various automation tools and a huge ecosystem built over a period of time.

Number two is, I would emphasize again, the change in the services and the way it is delivered is resulting a serious change and improvement in the time to value for customers. And we are trying to attach and differentiate through investment in services across cloud, security and software.

Number three is the change from one -time transaction to customers' preference to subscribe for services gives us an opportunity to remain involved throughout the subscription life cycle of a customer at multiple touch points. And hence, we -- starting from the transaction, onboarding the customers, helping them adopt better, renew on time and expand the number of services we provide them is what we tend to manage through our life cycle management.

And finally, as we all know, AI has been the most disruptive technology and pervasive today. What we are trying to do through AI is unlock intelligence across and drive outcomes for customers through our AI offerings on one hand, use of advanced and real -time insights, analytics. And thirdly, we are also using AI as a horizontal, adopting AI across all levels of automation.

With this results in a profitable growth engine -- go back, Palak, through growing our ARR base, bundling delivery, helping cross -vendor platforms for solution orchestration and managing renewals and upsell. So essentially, the mantra is own the platform, attach services, manage the life cycle and compound recurring revenue. That's our transformation plan.

Go to the next slide, Palak. Very quickly, a high-level schematic architecture of what we call as a platform. If you look at the diagram, we have the capability layer in the middle where we have marketplace, APIs, billings and analytics. On the back end, w e have connected to all our major vendors through APIs. And on the front end, you have a very seamless, easy-to -use user interface where you have most of your -- you are self -serviced. There is a number of automation tools there and you get real -time insig hts on your commerce.

There are three key objectives we have from the platform -led distribution perspective, which is API-first integration with major vendors and marketplaces, giving white label storefront for our

 partners so that we are making investments for our partners. And thirdly, embedding billing and usage intelligence at every stage.

Next slide, Palak. Now this is how our services and solution or

chestration looks like. If you look at it, essentially, the orchestration for services for us is about aggregating complex vendor solutions and other ISP solutions, removing the complexity, coupling that with services through Redington -led and also our ecosystem -led services and delivering outcome to our customers.

How do we enable that through the four stages of discovering through our platforms, the business outcome customers are seeking, bundling our services and solutions through sales and GTM motions, delivering through a channel -led and marketplace-led executio n and then continue to optimize the usage through our cloud platforms and several other assets like TrackMyCloud, DigiGlass, which is our managed security services. So why this is significant in terms of the services play that we have and what has changed? So services has changed, like I said before, from labor intensive to automated delivery.
Number two is it is more like a software template and with an agent in the background. So these are prebuilt templates with AI agents. At some point, very near in the future, you will find scripts of -- library of scripts of different services at our platform where partners and other service delivery partners should be able to leverage.
There is a clear opportunity shift from service providers to an ecosystem orchestrator. I think Hari explained that in detail, and possibly, we would go into a little more depth. And then -- and hence, the time to achieve all that because of the level of automation, we can scale and productize services to platforms, partners and products to scale profitably.
Next slide, Palak. This is how our customer life cycle management looks like. This is essentially about driving adoption, retaining the customers and helping them renew on time and more importantly, helping them realize the true value of the services they are subscribing for. We
believe that is our true responsibility, and that also helps in demonstrating the true value of the solution we provide. And eventually, that results in renewal and better adoption and possibly expansion of services.
So we are present with our customers from the onboarding stage to activation, then adoption through our digital platforms and our customer success team. Then we help them renew and we have created an automated renewal motion through a set of renewal team and an automated platform, which is called Reonix.
And then like I mentioned before, we have a customer success team working closely with the customer from the time they are onboarded to avail a particular service, helping them at multiple touch points to use the solution better and which helps in value re alization for the customers much better at the same time, results in the renewal automation and expansion of services.
Palak, can we go to the next slide? Now I'll take a little more time on our AI practice. And I would clearly want to emphasize that why AI and its massive disruption is an advantage to us. So when we talk about AI, it's not just about the frontier models or the AI applications, but
delivering AI also requires readiness across infrastructure, data and security.
 And infrastructure, particularly in cloud and also data center infrastructure and what have you.
Now our presence in this market and having invested in these businesses, both in terms of alliance and capabilities over a period of time, clearly is giving us an advantage in the AI age.
Very clearly, I just wanted to -- we are demonstrating high level of capabilities and getting recognized by the alliance partners and the vendors. We have AWS generative AI competency.
And very recently, we have been awarded the frontier designation by Mic rosoft. If for everybody's benefit, I think that is the highest level of partnership.
Microsoft has three levels of p

artnership from solution partners, advanced partners and frontier
partners. Frontier partner designation means that Microsoft actually recognize a very handful of partners across the globe, whom they consider to be future -ready in terms of both AI adoption and taking AI practices through their offerings to the market. So we have the new disruption in the AI age is a clear advantage for Redington.
So we use AI across many different levels. So one is innovation. We'll continue to invest in our AI labs, customer proof of concepts and industry -- building industry use cases; AI solutions in terms of building a catalogue and an exchange through which customers and partners can access those services. I already mentioned about industry solution and tons of AI services getting added to the catalogue of our services. A very evolved go -to-market, a very grounds -up creation of an AI partner program, specifical ly for partners who want to transform or start an AI practice, our MSP motion, which is now very matured, enterprise -level AI adoption.
In terms of platform, we are offering AI solutions through the platform and also massively integrated AI features into our platforms in CQ 2.0, ISV marketplace and our AI solution marketplace. Another very important part is we have, over a period of time, built many communities, be it software builders, be it open source community. And in many cases, we are running the AI councils for many of our vendors. This community is a good place to go to for
delivering state -of-the-art AI solutions to our customers.
And finally, one of the key emphasis Redington will have in a knowledge economy, we'll

continue to invest heavily on our learning and talent. And that's why we formed Redington Academy, and there is a massive calendar that has been rolled out. We are putti ng particular emphasis on AI certifications and credentials and also several practitioner programs.
Palak, can we go to the next slide, please? Here is an interesting stat about how our recurring revenue mix is changing. So we used to be -- about 69% of our revenue used to be recurring revenue in FY23. As we speak about this year, it is already at 74%, a nd we expect this to move to 85% in the next 3 years.
Couple that with the fact that we are investing in our renewal automation as a practice, our renewal rate today is about 85%. Generally, it tends to stabilize around that point or because of competitive pressures who are late entrants into the game. So there is a tendency of renewal rate to either plateau there or go down a little. But we are seeing a clear -cut improvement in the renewal rate, and we predict that it should become 90% in the next 3 years.
 What that means is today, with 74% ARR and 85% retention rate, our banked revenue to the next year is 63.5% already, which will go up to 72% in the next 3 years. That gives us great predictability to this business. So what's driving this shift?
Obviously, we spoke about the market shift to cloud and subscription models. Customers' preference for flexibility, scalability and predictable cost. Vendors are also focusing on subscription- led business for the same reasons and a very strong visibility, predictability and very high customer lifetime value.
Next slide, Palak. These are the capabilities we are investing into the SSG and AI. So I'll very quickly take you through what each of them mean. So CloudQuarks is basically a platform through which we run our cloud commerce and other SSG commerce. Marketplace is literally an extension of the CloudQuarks, but here is a place we are getting buyers to meet sellers, and we are helping them with discovery, solution recommendation, POCs and completing a whole transaction. You'll hear a lot about what we are releasing in marketplace in the next few months.
Redington Academy

is focused on skill building, which is going to be a key differentiator in the coming days, both in terms of skilling our internal resources and the resources in the larger ecosystem of that of our partners. Obviously, we will continue to invest in bringing in new capabilities and our talent. I spoke about building several AI labs where we innovate across different markets. We have a plan to build two in India, one in Dubai and one in Singapore very soon.
In terms of services, I clearly emphasize that there is a massive shift happening in the services. This is actually to the advantage of somebody like us. So we are investing in that business, and this is going to become a significant portion of our busine ss going ahead.
So CIS S is the services capability building organization built out of India, but we have 5 more delivery locations. TrackMyCloud is actually an observability solutions and helping customers efficiently use their subscriptions and cloud.
And DigiGlass, of course, is our managed security services practice. Redington AI Exchange is our marketplace for AI catalogues and AI use cases, both horizontal and vertical. And Reonix is our automation platform to automate our renewals of subscriptions. Next slide, Palak. So these are very quickly -- we follow a framework of the 5 Ps of our capability building. In terms of people, enablement is key.
We already have a very strong partner community globally of around 10,000 partners. And internally, in SSG team, we are 1,000 people organization and growing very fast. We are inventorising all processes, applying AI wherever is possible to automate that to cope up with the speed at which we want to scale and the way at which customers are consuming services.
So we already have 10 -plus automation tools and about 100- plus accelerators built -in. Portfolios are at the center of our business. So we are constantly curating and expanding our comprehensive portfolio of solutions, both in terms of new categories and a lso newer brands in those categories.
As we speak, we have relationship with 130 -plus brands in SSG.
 Platforms, I want to emphasize again, is going to be our key route to market. And we already have 6 -plus platforms within the system, but we are kind of unifying them to make one fabric for going to market because that is the order of the day.

And again, our investment is on professional services, we believe, is going to pay off significantly and also help in building the knowledge friction, addressing that gap that Hari
mentioned about. Currently, we have 500-plus strong PS team and 5-plus del ivery centers.
Next slide, Palak. A quick snapshot of the portfolio that we have. You can see we are working with 50 -plus brands in software, 20- plus brands in cloud and 60-plus brands in security. All the top of the pyramid brands in each of these categories, we have - - not just have a relationship, but it's old and matured, and we are building significant capabilities and around delivering their innovation to the market.
In a nutshell, we have 130- plus vendors that we work with and growing very fast. We work in 40-plus markets across the regions in cloud, software and security and with a one integrated go-to-market, that's why we created a global business unit so that we can create capabilities and leverage that across the market.
Next slide. So I talked about what we are building, and this is a slide to show you that what does it mean and what is its impact on the sustainable growth. So very clearly, we are achieving predictable revenue.
We are already at 74% of our ARR today. Improved customer retention. So we are -- renewal success rate is 85%, already at a good standard, but we want to grow it further to 90% plus. It has scalable margins. So platform -led delivery grows more efficien

tly than labour -intensive
services. So it has scalable margins.
This gives us an opportunity to -- just remember that in an ARR world, every time you close an opportunity, not just the annual revenue model, but you generally, on an average, close about 3x of that opportunity. 85% is our retention rate, as I mentioned. When you attach services to any offering, there is a 60% margin uplift to any solution.
This is time tested. And with already the portfolio and the services and the customer base that we have, we can clearly focusing on this, have an incremental market opportunity of another $2 billion. So what is the strategic outcome of all of that? So SSG is transforming for a transactional distributor into a very high -margin platform -driven service orchestrator.
Next slide, Palak. Finally, this is directionally our path forward. So we will continue to invest in platforms. Our CQ 2.0 got released this year -- early this year. And now we have created an
architecture we can release modules very fast. So the next set of releases will be in September and December.
We continue to work with our partners for their transformation. We will continue to add and curate new categories and vendors and add most of our vendors through APIs, bring them into our platform and marketplace. And finally, the way we measure ourselves is changing. So we
 are going to set ARR milestone and track subscription mix quarterly and possibly reporting back
to the market. Thank you.
Palak Agrawal: Thank you, Sayantan. Moving to the next part we have Kalyan Pola from AWS – sorry we have SVK again for a few -- for some more discussion on business metrics.
S. V. Krishnan: Thanks, Palak. So I'm sure all of you would have got thrilled with what Hari had presented and what Sayantan had said, a lot more to come. We are just going to share with you what is our thought process on investment? How do we expect our profitability to become better? Like what Sayantan said, you can see the 5 -- I mean, key strategies are the 5 Ps, platform, portfolio, professional services, process and people.
All our investments, he has detailed it, so I'm not going to repeat that. All our investments are towards each of these strategies. And you will find many of these -- see, we started this about 2 to 3 years back. You can see on the below some numbers are g iven in terms of investments. Don't take it as hard coded. I need to admit since it's a new business model.
In the past, we haven't tracked some of these investments so meticulously. So these are more indicative. But what is important is year -after -year, this quantum of investment is growing. So whatever results that you have seen, whatever results that you wil l see is in spite of these investments and predominantly, these investments are opex. I mean, only for platforms and certain tools or for the physical assets like the thing AI CoE, it will be a capex model. About 80% to 90% is opex model, which is part of the opex that you see in the quarterly P&L.
And our objective is to make sure that we need to get the payback in between 3 to 5 years period.
We are very focused. There is a very robust cadence that has been put in place in terms of identifying what those investments are, how we will track the retu rns and then make sure that we benefit from those investments. This does not include any possible inorganic initiatives that we might do in the SSG space.
The reason why I'm mentioning we see some gaps. We think there are requirements for inorganic fillip that we need to give to

ensure that the capability is very, very properly set for, I mean,
scale and growth. In that sense, these will not be a bolt -on type of an acquisition. It's more -- I
mean, a smaller type of an acquisition. And we will ensure that there is proper return that'

s in
place.
In our view, as we make these investments, you will see operational leverage where the margins outweigh the costs. The renewal engine, which Sayantan talked about, our objective -- I mean,
the renewal engine has gone live in Middle East today, has already gone live in India last year.
So a lot of work that's going on in terms of tracking some of this. So FY '28, we think about 80 percentage plus of our renewals will get tracked in the system.
And as Sayantan said, our objective is to ensure that the renewals are -- I mean, are more than
95%. Overall, we think in the next 3 years, we should be able to achieve a revenue of about $5 billion with a gross -- I mean, gross margin range of between 5. 5% to 6%.
 Of course, with a positive bias, if tomorrow, the professional services mix become better, this
can definitely be better than 5.5% to 6%. And the PAT percentage, you can see it can be closer
to 2% in this 3- year period. Next slide, Palak. Palak?
Yes. See, the key aspect in the SSG is the process -- I mean, the processes and the way in which
we need to measure, monitor the business is very different from our traditional business. In the traditional business, everything is physical. So all our cont rols starting from revenue recognition,
risk management, everything is built around physical products. Here is a case where it is non-
physical. So the whole organization has to make a fundamental change in terms of how it looks
at this vertical.
The global contracts, as I've said, in the traditional business, it is predominantly market -based.
Every vendor has a relationship at the local level, and these are managed at the country level. But in SSG, this is more global. And hence, we need to be sure that we have adequate capability to manage the business locally, and we are also able to optimize the talent that gets created in
one place.
In the captive delivery center, the global captive delivery center, which Sayantan mentioned, we
have got five of it. While that helps us in terms of optimizing, but there are a lot of regulatory
considerations that we need to keep in mind in terms of cross charge and it needs to meet the
transfer pricing requirements. It has to be arm's length.
So all those models we have -- I mean, we have put in place, I need to tell you, a lot of work has
gotten into it last year. Still certain things are work in progress. We just want to make sure
between last year and current year, we are very well set and geared up in terms of scaling this
business to bigger heights.
Revenue recognition, you all have always seen in the traditional business, when there is an invoice, that invoice becomes a revenue. But in the case of SSG, there are certain specific
categories like renewals and subscriptions, where because of the IFRS d efinition, we can't
recognize the full invoice value as a revenue.
It can only be the spread. So the gross margin will become the revenue here and then everything
else will flow. This is roughly about 5 percentage impact at the SSG level. So what you see as
revenue in the books, vis -a-vis what we invoice, there will be a 5% gap.
So this is another new, I mean, new aspect that we need to keep in mind. Withholding tax has never been an issue, except for the dividend as we are present in multiple countries for every of
our transactions and payments, there are withholding tax reductio n. How do you handle it? Are
there exemptions possible?
Can you go to the income tax department in the respective countries, explain the business model,
get an exemption. If that's not possible, can you go and talk to the vendor in terms of making
use of certain treaties, I mean, DTAAs that are there between various countries by changing the
billing model in terms of giving a tax residency certificates, etcetera, all those becom

es important
here.
 Contract management, what liability that you commit, what liability that you have to agree with
the vendors, how back-to -back it is. So all those governances have been put in place as much as

possible, this is standardized at the global level. Multiyear co ntract, while it gives us predictable
revenue, commercials are locked in, but we need to take a longer credit view, which has not been our practice in the past.
How do we ensure we take a proper credit view? And at the same time, if tomorrow there is a
mishap in the form of a cancellation, how do you ensure there is a back-to -back cancellation?
All these are, I mean, the nuances in the SSG space, services, how do you do stage -wise billing?
How do you agree the scope of work with the customers?
Unbilled has never been a concept before. We will have unbilled revenue, I mean, at any point
in time. Also, since we keep the data of the customers, how do we ensure that we follow the data
protection policies of various countries. So there are a whole host of system changes, approach
and metric that as an organization, we are in the process of changing to make sure we are geared
up to capture as much as possible or maximize this business. This, I think, is going to very clearly
differentiate a traditional distributor with I mean, with an organization like Redington, that will
become a success mantra in our view. Yes, Palak. I'm done. Thank you.
Palak Agrawal: Thank you. Thank you so much, sir. So we shall now move to the next part of the discussion where we have Kalyan Pola from AWS. Kalyan, thank you so much for joining us for this
discussion. Kalyan is a principal Partner Development Manager at AWS, nearly 5 years in this
role where he has been interacting with us across our regions while he primarily manages India
and SAARC. Kalyan has been associated with us in various roles throughout his career,
including IBM and now AWS. Over to you, Kalyan.
Kalyan Pola: Thank you. Thank you, Palak. Good morning, everyone. Good morning, good afternoon. My
name is Kalyan and I'm very excited today to share the story of one of AWS' most transformation
distribution partnership today, which is the collaboration with Redington and I must admit and
say that leadership from both the sides call it as GOAT, which is the greatest of all type partnership.
So this is a decade-old relationship that began way back in 2015 with a single customer and a single partner in India. And fast forward to 2025, we have seen relentless growth jointly along
with Redington. We have scaled to 7,000 customers and more than ab out 850-odd transacting
partners.
So AWS currently works with Redington across regions like India, the Middle East and The
SAARC, right, where they work along with us as a force multiplier in these regions. Extending
the AWS reach into geographies, segments and customer tiers that would ha ve remained
untapped as we speak today. But this journey is not just about numbers. It's about first.
So throughout this partnership, we have jointly driven various initiatives that didn't exist before.
Whether it is a downstream SCA, which is called REAP and cloud starter kits for Tier 2 and Tier
3 cities or the UNNATI, which is Redington's Academy, the U niversity for building AWS skills.
 So if I start with the first initiative, which is the SCA 1 and 2, the Strategic Collaboration
Agreement, this is predominantly for less than 1% of global AWS partners globally. This is a
joint commitment between AWS and Redington, investing in building skills, partner
enablement, partner progression and building the AWS skills.
When it comes to downstream SCA, it is helping the downstream partners on various skil

l set,
cascading the partnership benefits to the downstream partners. This is one of its kind, which is
a blueprint for distributors across APJ and Global today. And the next initiative I would like to
highlight is about the Tier 2 and 3 cities cloud adoption.
So jointly, AWS and Redington has come up with pre -packaged cloud solutions and also
wrapped up with Redington's managed services. This is predominantly to drive cloud adoption
in the Tier 2 and Tier 3 cities, and we have targeted approximately about 30 -plus cities in India.
And the fourth important one is about the Partner University. There is still definitely a skill gap
when it comes to cloud in the country. So Redington and AWS jointly have come together with
this partner university, now it is called Redington Academy, hel ping partners build cloud skills,
not just the sales skills, but also the managed services skills.
And the fifth one is about the GenAI and the Agentic AI motions in this world of agents. There is a first -mover advantage along with Redington, where we have jointly come together in
building a physical experience center, which is upcoming and also to drive Gen AI adoption in
Tier 2 and Tier 3 cities with first- of-its-kind initiatives like lead with cloud.
The Bus yatra, which covered about 3,000 kilometers in India and covering about 18 cities across
India, helping customers to drive or adopt to cloud. And the sixth one is about Greenfield
acceleration. So Redington and AWS are working on joint priorities t o acquire customers at
scale.
And what makes this partnership truly exceptional is about Redington's own transformation,
what we have seen. They didn't just grow on revenue when it comes to AWS partnership. They

have built a dedicated AWS practice, acquired deep technical expertise, in cluding managed
services practice and also the MCP practice and become an AWS premier tier designated partner
there.
Today, they are one of the -- as I mentioned earlier, fewer than 1% of partners globally to enter
into the strategic collaboration agreement with AWS. A multibillion -dollar agreement for about
a 5-year commitment. This commitment is primarily focusing on s egments like partner
enablement, partner progression.
Gen AI adoption and also new customer acquisition across segments like SMB, start -ups and
public sector. So this is what a true partnership looks like and a decade of building together. And
the best is yet to come. As we at AWS says, it's always day 1. And thank you for giving me this
opportunity to represent this partnership on the meeting today. Thank you, Palak.
Palak Agrawal: Thank you so much, Kalyan. We are so pleased to have you here. Now we move to the next part of this discussion where we have a panel of leaders within Redington to talk about GTM strategy,

 professional services and also our role on AI. This shall be moderated by Nehal Sharma. Nehal
started her journey with Redington Gulf Value business in 2011.
She has been instrumental in building and scaling technology distribution and cloud business
across the Middle East and Africa. She has led CSG for M EA before taking on the role of leading
global brand alliances for SSG. She has also played a key role in building platforms like
CloudQuarks and continues to be part of these platforms as they evolve further. Nehal, before
you start, may I ask you one quest ion. What is changing in SSG's business model? And why
should we think this will create higher value than a traditional distribution model?
Nehal Sharma: Thank you, Palak. I think everybody, Hari and Dev and SVK mentioned about orchestration,
right? And particularly where we have changed is from transaction -led to our life cycle led,
which is a very different from linear business model to a circular busines s model. Predominantly
a traditional di

stribution, it monetizes three things.
Product management, credit efficiency and scale efficiency. If you look at from just SSG
perspective, in past 10 years our business model has evolved from a resell, which is taking
product movement to channel. To, let's say co -sell, which is building, having joint GTMs, having
joint pipelines together.
Now today that has become the ecosystem orchestrator, which is about integrations, marketplace, platform scalability, platform enhancements, co -building, co-innovate. So when
you see that, that helps us monetize a very different aspect, which is solution designing,
subscriptions , cloud consumption, renewals, services and upgrading the ecosystem
competencies altogether. All this improves the quality of the business for us, predominantly
leads to expanding the margin pool, increase our revenue recurrence, str engthen the customer
stickiness raise in the wallet share over time.
So this is the era for us to move from a pass -through intermediary to an orchestrator of higher
value, repeatable solutions and outcomes. With that, we have a very exciting and great panel
with us. I have the first question to Mr. Ramesh Natarajan, the CEO of India and Middle East.
He leads the largest and the fastest -growing markets at Redington with a vision for innovation,
digital transformation and inclusive growth.
Throughout his distinguished career, Ramesh's leadership has guided Redington through periods
of dynamic market shifts and technological evolution, consistently building strong partnerships
across vendor and channel ecosystem. His ability to align executio n with strategy has earned
him a widespread respect and recognition for both business performance and people leadership.
So Ramesh, for you I would say, how should we think about the regional nuances between India
and Middle East, Africa? And why do both t hese markets matter to SSG's value creation story?
Ramesh Natarajan: Thanks, Nehal. I think what makes a common denominator for India and the Middle East is both
are growing markets. The ICT growth CAGR that's for India is about close to 11%. And for the
Middle East is also close to about 8% to 10%. and that makes both the markets -- growth markets
at the first place.

 And when it comes to any -- the digital transformation, India is a known story, and I think
everybody is aware. And in the Middle East, the canvas of growth is largely driven by the

national digitalization and the compliance mandate that drives, Now with which SSG becomes
one of the key pivot elements for growth.
Now when I see security, which is becoming pervasive, I think the growth rate of 20% governs both the markets in terms of its significance moving forward. And when it comes to cloud, the
growth rate of close to about 20% to 30%. I think that the India market is growing at the rate of
about 25 percentage. But with the SME taking a scale of growth, that's close to about 35%, 37%,
whereas the Middle East continues to grow at about close to 18 to 20 percentage on the cloud, okay?
And on the software, the infra software and the pieces of software along with the AI that's coming across is going to be the complete pivot for the digital transformation and the AI future world that is disrupting many of the models that has been around. So this makes the nuances of
India and Middle East largely on SSG as a very focused element.
However, while India leads on size, the SMB demand drives a faster growth of adoption on opex
and subscription models, whereas the Middle East has a larger enterprise and the government
growth that is set behind the national digitalization and the complia nce mandate.
Nehal Sharma: Thank you, Ramesh. Our next panelist is Mr. Cem Borhan, who is the CEO for SESA, which is the Southeast and South Asia. He has 15-plus years of experienc

e in technology sales and
distribution. He has built high velocity partner -led ecosystems, leveraging s trategic alliances,
GTM execution and digital transformation to scale both volume and value businesses.
He has focused on expanding software, cloud and the next -gen technology portfolio across
SESA region. So Cem, as SESA undergoes a rapid digital transformation, how is Redington's go-to -market model evolving across the SESA region? And what role do you see us playing
building the organizational capabilities required to capture the future growth across cloud, security, software and AI?
Cem Borhan: Okay. Thank you, Nehal, for the question. So first of all, let me talk about the region. I mean,
the SESA region, which is -- that I'm leading, which is South -East Asia and South Asia. It
represents one of the most attractive growth opportunities within ou r GEOs, right? I mean just a
second ago, Ramesh talked about the mature regions.
So I mean, when compared to some of our mature regions in the market, the region -- this region
remains relatively unpenetrated, like highly fragmented and increasingly focused on digital transformation. So by this, creates a significant runway for our gro wth, especially through our
Software Solutions Group, which is SSG, that is at the center of our expansion strategy.
So we are trying to -- I mean, in our region, we're trying to call this the Redington 3.0 approach,
which is the SSG -led or the software -led approach. So the region, the SESA region is currently
at a critical inflection point, and we're seeing accelerati on and adoption of cloud investments in
cybersecurity, continued enterprise software modernization and now a rapid emerging AI opportunity.
 So as a result, our go-to -market model is evolving from like a traditional distribution approach
to a solution -led or even lifecycle oriented, but mainly the part is the orchestration model. So in
my region, the SSG is leading this transformation in SESA in four key areas. So I'll just mention
about these four key areas now, which are the main pain points of the region, I would say.
The first one, so building the deep technical capabilities across the cloud, cybersecurity,
software, enterprise software and AI. That is the one of the main pain points of the region as
well, creating the capability and the competencies.
Second one is by enabling the partner transformation, helping the ecosystem evolve from a product selling to a solution providing model. That's the second one. The third one is expanding the services -led approach or including the solution designs, the presales deployment supports,
the managed services in general.
So I mean, becoming the MSPs, CSPs or MSSPs as we call it. This is the third one that we are
putting in place. And the final one, the fourth one we're saying is orchestrating the broader
ecosystem, right, bringing the hyperscalers, the OEMs, the ISVs, sta rt-ups, scale-ups and the
channel partners to deliver the outcomes, the customer outcomes as we call it.
So these 4 points for us, by the way, as Redington to capture the growth actually, we're making some targeted investments in this AI and this SSG -led growth. I mean we've talked about a lot
of these in the previous presentations. But specifically, I'm goi ng to be putting the two main
differentiators that are more specific to SESA.
So one is launching the AI center of excellence. And Sayantan has also mentioned, in Singapore,
we call it the Launchpad that will serve a regional hub for innovation, software development and
partner enablement that will lead the region from a hub point of view. And each and every single
country that we are penetrating in the region will have the satellite launch pads, as we call it, within the region so that we can leverage it.
The second one is the

AI exchange apparent the platform to connect the customers, partners,
technology providers and accelerating the adoption of AI use cases or AI agents across the region. So together, these investments in our region is positioning SSG not as a simple growth engine, but as a strategic enabler across Southeast Asia and South Asia region.

So that is going to be driving us through that approach. So as Redington, we cannot approach it from a me-too kind of a distribution model. But instead, we're trying to differentiate ourselves.

So as cloud, security, software and AI continues to converge. And we believe the combination of this ecosystem reach, technical capabilities, execution strength positions us exceptionally well to capture the next phase so that we can be ahead of the curve. That's what we believe, and that's how we are positioning ourselves in the region. Thank you, Nehal over to you.

Nehal Sharma: My next question is to Mr. Sachin Dubey. Sachin is a senior leader heading professional service, which covers cloud, infrastructure, software and security. He brings 25 years of experience with a strong focus on driving growth, innovation and specialized i n building scalable cloud and AI - led services portfolio. So Sachin, why is SSG placing so much emphasis on services? And how will that change the overall economics of business?

Sachin Dubey: Thank you, Nehal. SSG's emphasis on services is a fundamental shift from transaction to transformation -led growth, which you're looking. Services, while growing is 100% rate, but it's not just a revenue add- on when it comes to transformation. It's actually a mechanism which is driving the adoption. It's fast tracking the deployments for our customer.

And in today's world where customers are going for newest technologies, it is helping them to reduce their risk over there. Along with that, it is also ensuring the product renewal for our customers and partners as well.

And all in all, it is having a multiple effect or multilayer effect for all the portfolios which we drive in Redington there. In the AI era, where customers are expecting services as a software, which Sayantan also talked about that.

They want to ensure that the services are focused towards the business outcome, whether it's modernization of their critical workloads, new age technologies like Gen AI adoption or cost takeout, which is shifting the focus from price to value and also ens uring that we improve the wallet share and the customer engagement as well.

Having said that, finally, if you talk about the economics, the SSG services are helping us to drive the margins upward, which SVK also touched upon that. And along with that, improving the revenue quality and finally, having annuity-led growth for us.

Since we're talking about the services, you see in today's world, technology is changing very fast. All the hyperscalers are releasing new functionalities almost every month. There are a lot of things coming on AI. There are a lot of OEM -driven innovations happening over there. So cater to do that, we want to ensure we are serving best -of-breed technology and solutions for our customers and partners.

And that's where we are focusing on the academy and practices, technology practices so that we go deep into the technology from training, skill development. We are focusing on innovation, which could be AI and some of the things we talked about earlier as well as ensuring that we are catering to the entire customers' technology lifecycle journey.

Nehal Sharma: My next question is to Mr. Deepak Puligadda, who's our Global Chief Technology Officer. He is leading the company's technology strategy and driving digital transformation across platforms. He is a tech, finance and a business leader. He focuses on building platforms and most recently, set

ting up our AI practice.

So Mr. Deepak, as SSG evolves into a solution- led services -driven organization, how do you see technology, particularly AI, shaping its future strategy, both in terms of internal transformation and market -facing offerings?

Deepak Puligadda: So thanks, Nehal. As we see it, technology is at the centre stage of all transformation these days, and that's true even for SSG. So for SSG, technology, especially AI will be one of the cornerstones on which the next phase of growth will hinge upon. So there are 2 or 3 important roles that AI will play for SSG.

One is a horizontal. That would mean that we infuse AI into whatever we do to make it better.

We are actually embedding AI into all our core processes and especially on our platform as well as all our functions basically on credit or presale, sales, all th ese are now AI -driven. For that, we

are actually infusing, improving our infrastructure and also investing a lot in terms of security
and on the governance side so that we use AI in a very responsible way.
What it helps us to do is to use AI to make our decisions better, faster and then handle customer
requirements in a much better way. So that's the main thing behind all the horizontal services or
horizontal way of looking at AI. On the vertical side, it's one of the key pillars of all our services,
like how Sayantan presented the whole story and Sachin mentioned about how he's embedding all the AI agents i nto his solutions and services.
So it remains a very core offering on whether it is across cloud or security or even the
professional services that we are doing. So the sole intent out here is to move customers from
mere experimentation to very active and scaled up adoption. So that's what the journey will be.
And the third where I think we've spoken enough about it, our AI exchange. This is where the market orchestration. The role of our orchestrator is what Redi ngton will play.
So there's AI Exchange is one big step in that direction where we are trying to bring the solutions
that ISVs are producing closer to the market and closer to the partners who have, who own the
customers. So this way, the market, the ecosystem play is goin g to become far easier. The benefit
of this is to cut the time to market and also make all these solutions available and democratize the whole ecosystem out here where AI agents will be available to a lot of players.
So this is how I think. So that the entire distribution, I mean, SSG will scale up from just being
a distributor of technology to an orchestrator of AI innovation. So I think that's the big change
that AI is going to play in SSG's case.
Nehal Sharma: Thank you, Deepak. Now my last question is to Mr. Mohammed Sadiq, who is a seasoned leader
with 3 decades of experience in driving value -added distribution and SMB growth with a strong
focus on software, Cloud and solution selling. He brings a proven trac k record in building
scalable partner ecosystems and accelerating adoption of Cloud and digital solutions, particularly across the SMB segment. He joined us recently from Microsoft for his second stint
at Redington to build our AI GTM. So Sadi q, as demand for AI solutions accelerates across
markets, how is Redington positioning its AI go-to -market strategy to capture this opportunity?
And what differentiated offerings are we bringing to our customers and partners at scale?
Mohammed Sadiq: Thanks a lot, Nehal. Completely agree with you that the demand for AI is rapidly growing across
almost every business function of an organization today. And I think the good news is that
customers are moving from POC to actually production environment. So the question that why
AI today is no more rel evant.
The real question is how we can really go and adopt AI in a way that is commercially viable

and
capable of delivering tangible outcomes in a scaled manner. I think the answer to this question
is Redington AI orchestration layer, which is our AI stack. This stack has about 3 foundation
 layers and 4 GTM layer. The 3 foundation layer is basically the AI infra layer, the data layer and
the AI security.
Since your question is more from a perspective of GTM, so let me talk about more from our
GTM strategy, we have 4 key pillars there. And Deepak did spoke about the hero pillar, which
is ISV motion. And at the core of ISV motion is an AI Exchange platform f or us. And as you
rightly said, AI Exchange actually brings together the best of the creators, the builders, and the ISVs, as well as the best of our partner ecosystem, together on one platform, right?
Today, I'm proud to share with you that AI Exchange has more than about 450- plus curated,
ready to deploy AI agents across multiple different industries, multiple different business
functions and, of course, customer personas. I think what I really love ab out this platform is if
you as a customer has a particular business need on AI, we can find, configure and deploy pre -
validated agents in hardly a couple of weeks. You don't need to really wait for months. You don't
need to really build it from the scratch . I think speed is a genuine competitive advantage that we
bring to our partners when we talk about AI Exchange. So that's a key component for our first GTM, right?
The second GTM is hyperscaler. And of course, thanks to Pola he spoke about this. I think we
have a great relationship with our existing customers and who are running either AWS Cloud, Google Cloud or Azure Cloud. We are now trying to drive AI readiness assessment with existing
customers and deploying AI where it moves the needle faster. So hyperscaler becomes the
platform provider, and we become their trusted co -pilots, I would say. Third key motion is a
strategic partnership and a centre of excellence, Sayantan just spoke about it.
Here, we are building for long term. The idea is to create environment where customers and partners can test and build their AI solutions with Redington, right? Fourth, I would say, is a very interesting one, which is S -Devices. Hari just spoke about this. With proliferation of NPU -
enabled devices as well as the way the cost of inferencing is going down, I see a great opportunity for AI workload to move

into the endpoint solutions and without worry of what latency, without worrying about the cost of the tokens. This, I believe, is a fantastic opportunity. We have just
started exploring this opportunity, and I think this is an area to watch out for.
So when I really bring together all these four GTMs, I think that is what is creating a real value proposition for our partners, a clear differentiation for our partner. I believe Nehal, opportunity
is enormous. I think we are at the right time at the righ t place, and we are just getting started.
Thank you.
Nehal Sharma: Absolutely. I think Dev also mentioned that we have always put in our investments much prior to the time. And I think this is where AI and what you mentioned, absolutely. Thank you, everybody. I think we covered a lot about what we want to do, and thank yo u for giving insights
on how we are looking at, critically looking at every areas from a region perspective, GTM perspective and how we are building ourselves. Thank you, everyone.
Palak Agrawal : Thank you, Nehal. Thank you, RN, Cem , Sachin, Deepak and Sadiq. Thank you so much for
sharing valuable insights. We'll now move to the Q&A section. While we take a few minutes

 until the question queue assembles, my request to everybody is to restrict your questions to either

one or two. Also, to put your questions only relevant to the SSG business unit and this topic, we
are a large organization, but this event has been curated specifically for SSG. So please restrict
your questions to SSG business unit. Just give us a few minutes while we reassemble. Thank you.
Question & Answer:
Palak Agrawal: Hi everybody. So once again, we've received some questions which pertain to the hardware side
of the business. We shall not be taking those questions. We have Hari, SVK and Sayantan here
to answer your questions. So let me start from the first one from Sahil Doshi. In the slide on SSG
financial snapshot, difference in net revenue and gross revenue, if you could explain.
S.V. Krishnan: Okay. See, I was giving an example of what happens in the hardware business and what would
happen in the software. Assume, I mean the product pricing is USD100, we add a 5% on top of it, and we invoice the customer USD105. You have got the USD105 as a revenue in the financial
system and the gross margin will be 5 and then everything moves on. That is the case for
predominant part of the SSG business, not all.
There is a portion of the business, which relates to renewal, subscription, the vendor -led
professional services, etcetera, where, I mean, this is pure IFRS rule-based, where we are not supposed to take basis what invoice that we raise. That's we call it as gross revenue. That's how
we track it in the system because we take that exposure with the customer.
The spread, which is the gross margin becomes our revenue. And from there, everything else
gets billed on. This piece, if you take SSG as 100%, this piece is about 5%. So when, I mean,
you see about USD2.2 billion of revenue, actual revenue that we had built to the customer is about USD150 million more, something like that.
Palak Agrawal: Thank you. Gross profit growth is lower than revenue growth. Is this that we are chasing growth
over margins here? Or is there a shift in product mix?
S.V. Krishnan: It is also to do with the product mix. In our view, this will be an interesting space from the
profitability perspective for sure. At the gross margin level, as I had very clearly called out, our
objective is to maintain a 5.5% to 6% of gross margin with a positive bias if the professional
services contribution becomes better. Across all the four business verticals, this is the highest.
And we think as our capability buildup and the quality of offerings becomes better, this has a
chance of becoming even more better in the future years.
V. S. Hariharan: If I can add, see, we are in the initial stages of our journey in the formation of SSG. And we
talked about 4 pillars here. We talked about cloud, security, software and professional services.
Now we are -- we've got some very good capability building and very strong assets and some
more than others. And clearly, there is an opportunity for us to improve in some parts of the
business, and you will see that. And that will drive also a gross margin growth in line with the
revenue growth over time. That will be our intent.

 And in terms of mix, we don't have a paucity of opportunity, but it's how we execute and what
assets we have built. For example, we can grow, I believe, much faster in security than we have
grown. And we can grow much faster in professional services than we have grown. So, all of
these things will change our ability to grow gross margin as fast as revenue. Thank you.
Palak Agrawal: Could you give concentration of vendors, top six vendor contribution to revenue?

V. S. Hariharan: Sayantan. Do you want to pick that up?
Sayantan Dev: Yes. The top 6 vendors contribute about 70% plus of the revenue today. But this is pretty much the trend across the industry. The key here is to continue to add on new categories and new brands

in each of these categories, which we will continue to do that and improve the mix. So, the top 6, 7, 8 vendors, predominantly because of the way they are present in the market and the large landscape of solutions they provide across the 3 segments, they tend to have a more heavy weight in terms of the revenue mix.
V. S. Hariharan: Yes. And if I may add, today, we -- the area on security is probably where we'll have a large number of vendors. If you look at cloud and hyperscaler as well as the software business, clearly, the bigger players will continue to be -- there will be a concentration there. And over time, we will have a longer tail probably in security and software, which will start contributing more. But we are happy basis where the industry is going and the big players are growing or the long tail is growing and really try to bring the best to the market in terms of the balance. We really cannot predict in the next few years where this will head.
Palak Agrawal: Next set of questions come from Hitaindra Pradhan from Maximal Capital. Can you please explain a use case on how a cloud transaction plays out starting RFQ to fulfillment and the role of partner, vendor and us during to fulfillment? What sort of GM we earn? And how does the working capital cycle look like? Subsequently, what is our revenue profile, services, renewal, etcetera?
Sayantan Dev: Good question. I think the -- a cloud life cycle journey is a very typical example of how we map this entire life cycle. In fact, in many cases, it actually starts even before the RFQ is floated because we play a good role in the advisory part of the servi ces with many customers where we assess their existing workloads and create a ROI map for them when we move those workloads to the cloud.
So, the engagement starts even before the RFQ in many cases leading up to choice of partners and different other service providers, then the actual transaction and onboarding on the cloud -- on the platform. And post that, we also have assets built over t ime, for example, TrackMyCloud, which I mentioned during my presentation, which is used to -- as an observability and efficient cloud usage optimization tool.
So, we constantly engage with our customers to make sure that not just -- they are not just only adopting the cloud consumption or a subscription for that matter. At the same time, we are using tools across various elements of FinOps, BillOps, which is nothing but cloud usage optimization and writing policies so that they get the best return on their investments.

 Right up to the renewal cycle where we, again, go back and assess the usage of the services during the period of the subscription, and we do an assessment as to if any mix needs to be changed or we would otherwise renew the subscription as is.
S. V. Krishnan: There was one question about the working capital deployment. It's important to mention, this is not the space where working capital deployment is far too less. It is quite similar to the erstwhile business. Yes, the inventory holding is very marginal, only in some few products like security, etcetera. But otherwise, the AR days is longer when compared to the rest of the business.
So, if you put the math, you will still find the working capital range more or less between our hardware business in SSG. However, because of higher profitability, the return on capital employed is stronger.
Palak Agrawal: Next question, again from Hitaindra Pradhan from Maximal Capital. In SSG, can you please explain the difference between solutions and services? Why services contribution is very low?
And what is the outlook on this?
Sayantan Dev: Yes. So typically, I will take you through what the orchestration role to answer that question.
Now we have moved in SSG from a product delivery to a solution de

livery, which is more about delivering a business outcome to our customer. So, the role that we play here, the solution orchestration role is about aggregating very complex solution from multiple vendors, removing that complexity, coupling that with our services, which is about delivering.
It can be implementation of the individual solution sets. It can be the putting together and the interoperability across different solutions. And finally, what we deliver is a business outcome to our customers, helping them improve their time to value.
V. S. Hariharan: Yes. If I can add, so let me try and answer the question on services, why the contribution is very low. This is one of the areas of focus. Traditionally, we have looked at only cloud as an area for professional services. We are clearly getting into securit y. We're getting into AI. That's one part.
Second part, within cloud itself, we are working on more productized services, which will help us -- allow us to scale up a little bit more. And very importantly, there is a big partner ecosystem.
We work with the partners. We're not trying to replace what the partners are doing. And our role

as a company is to build competency and certification so that we can bring these knowledge where to our partners and complement them.
So whatever services revenue you'll see, there will be almost 8x to 10x of services ecosystem that we are delivering. Clearly, that is an area we're going to scale up big time, go beyond just the cloud professional services. But even within cloud, there w ill be a lot of competency and
productized services will bring to the table. And you'll hear more from us on all of these over time.
Palak Agrawal: Our next question is from Dishant Jain from Quasar Capital. It is a long question, but I'll just reduce and take the last part of it. Can products and services in SSG be replaced by AI? Other than our network of partners, what other moat we have so that we would be able to compete
 better in the market? And is it possible that anybody with huge network would be able to offer these products and services?
Sayantan Dev: Yes. So, to answer in a very short answer to that would be that AI is not replacing the solutions or the services. AI is complementing the services. And most of the products that we deal with come with a lot of AI features, which our vendors are adding to their offerings on one hand. And secondly, AI is also helping big time, enabling us orchestrate these solutions, delivering services through agents and fast tracking the time to market for our vendors and time to value for our customers.
V. S. Hariharan: Yes. There was a question on it about the network. Yes, you're absolutely right. Network is very key. However, what is also very key is a global local. One of the things that Redington prides ourselves in all the 40 markets we are in, we are present very l ocally with local teams. And like in the past, not everything can happen over a platform or an ecosystem. There is a relationship with a local partner.
There is delivery that happens through a local partner, working with a local partner in professional services or in solutions. So clearly, there are many factors involved beyond just having a network or just having a platform or a marketplace because not all of this is going to be just delivered over a platform.
There are going to be local nuances and connections, etcetera. So, it is very important to -- for us to understand that the competency certification developed within our company and the local partners will complement to bring this to our customers.
Palak Agrawal: Next question is from Sahil Doshi from Thinqwise Wealth Managers. SSG has grown from a relatively small business to almost 17% of revenue today and continues to grow significantly faster than the overall b

usiness. What is the medium -term aspiration for SSG as a percentage of revenue and profits?
V. S. Hariharan: Okay. I'll try and answer that question. We were also reflecting over the last couple of years, the SSG percentage could have grown as a larger percentage, but you must understand the markets we are in. Hardware is also growing very rapidly. If you look at FY '26, we talked about 29% or 37% growth depending on whether you look at it from a U.S. dollar terms or rupee terms. Our hardware business has grown at 17%. Globally, the hardware business is actually a degrowth.
If you look at the total distribution marketplace, it is a minus 2% to 3% degrowth. So again, very hard to say this. If I look at the next 3 years, the GPU server market is exploding on the technology solutions side. The edge PCs are exploding. The smartphone business continue to
grow, both on the back of the premiumization in our markets combined with on- device AI.
So, if hardware continues to grow at 15% to 20%, and if our software continues to grow at, let's say, 30% to 35%, our ratios could remain somewhat the same or grow marginally. Obviously,
our aspiration is for SSG to grow faster. But if my hardware is grow ing very well, the ratio could still be in the 17% to 25% range. Our aspiration would be for SSG to be around 25% of our business in the coming years.
 Palak Agrawal: What portion of our revenue is from SMEs? And what is our dependence on large enterprises here?
Sayantan Dev: So, I -- the large play that we have is with the SMEs. So that if we -- there are 2 answers to that.
If we look at the number of transaction mix between large enterprise deals and SME deals, it will be very much lopsided towards SME -- number of transactio ns with SMEs and the number
of customers that we deal with to about 70%, 30%.

However, the enterprise deals are often very large opportunities which if we do a revenue -to-revenue map, that ratio might just flip because there are a few deals that we do at a large enterprise, but many of them are very large deals.

V. S. Hariharan: And typically, what happens is the brands and the OEMs are very engaged with large enterprises directly. So, they bring us in either for fulfillment or to provide a complete solution. Whereas in the case of SMEs, we are engaged more horizontally to bring e verything together. So that's where the difference is. We will probably be engaged in large enterprises as well. And like Sayantan said, they are large-sized deals, but our value -add in the SME space will be much larger.

Palak Agrawal: Continuing on the same, how vulnerable is the cloud and software business to vendors bypassing distributors and selling directly to large enterprise customers?

V. S. Hariharan: Again, if I -- this is what I was alluding to. Clearly, the large enterprises, the OEMs and brands will directly engage them. But increasingly, we are finding, whether it is in software or whether it is in cloud, they are increasingly dependent on distribu tors to be able to be part of the whole value chain and fulfilling because they see us engage in the entire life cycle. They see us as ability to for us to bring services from our partners, ability to bring a full range of solutions. Clearly, brands will b e engaged directly with large customers, but they will look up to us on a variety of other value adds.

S. V. Krishnan: Incidentally, I should mention, this has been the question that I have been hearing for the last 20 years. even in the core hardware business. Just to remind all of you, when we got listed this question came, won't you get disrupted, our revenue was about INR8,600 crores. And we still -- we are alive and kicking, and we feel very -- this I should say thrilled with the opportunity. And the incremental revenue for last year was 2.5x of

the revenue at that time. So, I mean, I think we have, very clearly established ourselves, very highly valued by the brands across the ecosystem and more primarily in SSG.

Palak Agrawal: Next question is from Vivek Ramakrishnan from DSP MF. Will the SSG business transform your balance sheet? Lower working capital, more opex versus capex, is all opex taken through P&L and not capitalized?

S. V. Krishnan: I think we did cover this in the other question. First of all, from a working capital, there is hardly a difference overall, even though intrastate, there is a change between inventory and AR, lower inventory in SSG and more AR in SSG. Opex, capex, even ot herwise, our capex is pretty low. And in this case also, it will continue to be the case. Investments will be there and predominantly;

 the investments will be in opex. And we think, that would be there for the initial 3 to 5 years. Once we have built the capability, we should be able to leverage from there. And I think, you will see better profitability beyond this leverage stage.

Palak Agrawal: Next question is from Tushar Dhonde from Shanghvi Family Office. What sort of managed services are we offering to enterprises? And are we head -on competing with system integrators in this space?

Sayantan Dev: So, we provide managed services largely in the cloud space and also in certain softwares. So, from managing their existing workloads, optimizing their usage, troubleshooting the security aspects of their cloud workloads. So, there's a range of activities. We end -to-end -- we have the capability to end -to-end manage the cloud installations for any customers, if handed over to us. Plus, on the security side, we have developed our brand of managed security services called DigiGlass.

It's been in Middle East for a while, and now launched also in India. Security is becoming a boardroom discussion of vital importance. And the Security services are so fragmented that no organization can manage everything on their own. So, we see a growing trend of customers outsourcing their security services to a specialist -- a third -party specialist. And that brings a very huge opportunity in the managed security services space, and we are continuing to invest heavily, and we are seeing good traction in the marketplace.

V. S. Hariharan: And the second part of the question is, are we head on competing with the system integrators? No, we are not. It is a very complex space, as what Sayantan described, whether it is cloud, whether it is security, whether it is AI. And our role is to build co mpetency and certifications inside and bring those capability and certifications and complementarity to our partners. What they can do, we wi ll not compete.

What they cannot do is where we will complement, and then we will train them over time, that's the intent. And we will obviously take a share of the services, business and the margins based on the value we bring to the table. Our idea and thinking are real ly to build a good slew of delivery partners on services, but it is complex, and it's very -- it requires a lot of depth and

breadth.
Palak Agrawal: Thank you, Hari. Next question is from Pratik Kothari from Unique PMS. Given that, we don't provide credit and do not manage logistics and software, why are the gross margins higher here? Extending this a bit, when a customer renews and goes into year two of billing cycle, why should we still get the same gross margins, that we got, when we first did it for them in year one? Taking analogy from an annuity insurance project where the margin is higher in year one, and then drops.
V. S. Hariharan: This is, I think, an excellent question. I think this is the genesis of SSG. When you think about transacting or working with a customer or a partner on SSG, clearly, since it's a v

ery digitally oriented go -to-market, the question is, why should we appropr iate the margin if we don't bring enough value. In the hardware business, clearly, it is all about inventory management, all about supply chain, logistics and credit. Credit continues to be an important value add here.

But if you look at what we bring digitally and everything that Sayantan went through in the entire life cycle, we are involved in all parts of the life cycle. The brands and the OEMs cannot execute the same. They may be able to do for a handful of partners , for a handful of large customers over their digital platforms, but they really look up to a distributor to be able to do this engagement, from onboarding to management, to bring in other services, the whole renewal cycle, that's where we bring in the val ue.
So, the investments we are making for the life cycle, for the platform, for the marketplace, bringing in multiple services is all about the value add. That's where we appropriate the higher margin. And clearly, since software lends itself from the brands and OEMs, they have a higher margin, their ability to pass on the higher margin to people like us, who are able to deliver value, is where this thing goes. So, the more we are able to deliver value over time to brands and OEMs, the more we will be happy in terms of creating the business stickiness and being able to create the happiness for partner and customer.
A CloudQuarks, for example, where our partners can come on the platform, work with their customers, and we have a white label model of the CloudQuarks where they can interact with their customers, bring them on to the platform, access the different product s, that we will have in our marketplace, all of that lends itself to a game where we bring a lot of value. Sayantan, do you want to add?
Sayantan Dev: Yes, I think you covered most of it. So just, I would like to differentiate between what we do in a SSG world is not just manage those transactions. And hence, it's a very justified question about when we renew, if it is only about managing that transactio n, I would know, the answer like you, Hari, said that we are engaged with the customer at multiple points during their life cycle. And over time, our understanding of our customers has also increased.
OEMs value that because we are investing in customer success, which is about helping customers realize the true value of the services they are subscribing for. Our team of customer success team walks throughout the life cycle, making sure that the customer s are using most of the features that the software promises -- and that helps in a natural renewal or in many cases, upgrade of their services, when it comes to renewal, and that's the value that the customers are paying us.
V. S. Hariharan: And this is actually, the most fundamental question that has been raised. A lot of our peers and distributors in the market engage only in the resell portion of software, and not in the whole life cycle. And all we are investing is really to continually add value to partners and customers, thereby adding value to the brands. And that's why the year two and the year three, it makes sense for them to give us the margins, if we continuously add value.
Palak Agrawal: Next question is from Tarang Agrawal of Old Bridge Asset Management. AWS, Microsoft, Palo Alto are big vendors. How big is Redington for them, in respective market that Redington is operating in?
V. S. Hariharan: I can just start, kick it off and Sayantan can add. So, for cloud players like AWS, Microsoft, clearly, we have created something where in our markets like India and Middle East, we are a

very strong number one. And that's becaus

e of the value add, and the way the systems we have created for tracking and the programs we are driving, the ecosystems we are creating with start - ups, etcetera.

And again, as you go to many other -- many of the brand OEMs we work with, we try to be number one or number two in the market and take a very strong position, because if we are not, then we don't bring enough value and critical mass to our partners and our vendors. But that's a starting point. Clearly, we will not be in the game for vendors and brands where we are number three, number four in the market.

Sayantan Dev: Yes. I think pretty much, we are number one in the vendors that are mentioned here, and the top 6 and a few others, in most of the markets that we operate with them, barring a few. This is primarily because our vendor partners see value in us in understand ing their offerings, and what it takes to help them take to the market, make sure that customers are realizing the true value of their offerings.

For example, our hyperscaler partners have built world-class platforms, and it is our job to make sure that, we are bringing customers to the platform, and not just that, we are making sure that they are making the most of what the platforms have to offer.

V. S. Hariharan: And one last point on that. Some of the players, we do have joint business plans for a year, for three years or even five years. And Kalyan mentioned AWS. So, we have a joint business plan with them. What to strive for over the next few years, we have very clear targets. And that's what makes it a win -win partnership between the brand OEM and us.

Palak Agrawal: Next question is, what is overlap between SSG clients versus ESG, TSG or MSG?

V. S. Hariharan: If I may just kick it off, and Sayantan can jump in. So clearly, there are two parts. The enterprise clients, the mid -market clients, there will be a very large overlap because the people who buy the hardware, buy the cloud, buy the security, buy the softw are. The larger question is go -to-market. And we have started to map that.

What part of our go-to -market does only cloud, meaning our partners who are delivering only cloud, partners who are delivering only security, people who are doing only hardware, and what is the overlap? Because over time, we would love to see partners who are doing a combination, then it becomes easier for us to bring a bunch of categories and brands together and bring value. And that's work in process. But on the client side of things, clearly a very large overlap.

Sayantan Dev: Yes. I'll break that question. I think in one sentence, there is more overlap with our Technology Solution Group partners, because they provide the network storage, server, hardware infrastructure, which goes with some of the softwares that we provide.

There is, again, overlap with a few other MSG and ESG partners as well. A lot of our TSG and ESG partners, particularly reach out to us to help them transform in that journey. And a key objective of us is for SSG and the amount of investment of time and re sources also goes in helping partners transform in their journey. We see a lot of interest from traditional hardware partners to transform into a software play. So that's one part of it.

 But one key element is we also have been working over the years with very specialized set of partners. For example, a born in the cloud partners who has always -- their offerings have been digital- led, cloud -led. So -- and similarly, in the case of security, very specialized managed security partners or partners who are primarily focused in securities. But yes, on the generic enterprise-level partners, there is quite a bit of overlap.

Palak Agrawal: Next is how do you ensure higher renewal rate? More importantly, why would renewal rates be less than 100% if it's a subs

cription -based business, unless the customer is deciding to not pursue?

Sayantan Dev: There are two parts to it. One is there can be -- the customer might want to move into a new category. But most often than not, we see renewals not happening for our services primarily because when the customer has not used the products well. And that's where we are very intentional about creating a customer success team to genuinely help our customers make the most of the services they have subscribed for.

And if I look at the stats, wherever we have done a good job with the customer in helping them adopt more, use more features, that the services or the software provide, more often than not, we end up in a renewal or in some cases, even upgrade their services.

V. S. Hariharan: And truth be told, in a practical situation, there are distributors in the market who just want to compete and win share by giving away even that 5.5% to 6% margin that's available and compete aggressively. That happens time to time, not very often, but that can be another reason for the renewal rates being lower in certain categories.

Palak Agrawal: Okay. The next one is, how does being recognized with the brands like Frontier partners, you mentioned Sayantan earlier, help us with better delivery, optimized delivery to the customers?

Sayantan Dev: Sorry...

V. S. Hariharan: The question is how does being recognized with alliance partners like Microsoft, Frontier

designation. How does it help you in terms of better delivery or better optimization?
Sayantan Dev: So, the Frontier designation is very esteemed badge in the Microsoft community. There is a very handful of partners today globally who has achieved this designation. Like I mentioned before, Microsoft has three levels of partnerships. One is solution partners, advanced partners. Advanced partners represent that community, who has most advanced competencies in what offerings they have today.
But the interesting and the most important part of a Frontier designation is the fact that Microsoft recognizes frontier partners to be the ones who are future -ready, both in terms of how they are adopting artificial intelligence in their internal operatio ns as well as the maturity of their offerings to the market, and how well they are aligned with Microsoft's go -to-market for their AI and generative AI products.
So, it's a new designation, but it's extremely tough to go through that. You really require building competencies and capability across the 360 -degree dimensions of running and going to the
 market. It goes through a rigorous process of audit through Microsoft across, almost 5 to 6 months, auditing different areas. And then a very handful of partners have been -- actually been successful in getting that. So, we are extremely proud of that part nership, and it's now in public domain.
V. S. Hariharan: Honestly, the title is just a vanity, but what goes behind the title? We have earned the title because we have done a number of things right as far Microsoft is concerned. And they bring best practices across the globe, and they measure you against yardsti ck.
So, if you've got those pieces right, that's what earns you the right to do better and be a better, more optimized delivery to the customer. And we have to continually learn from the brands and the OEMs, what they expect from us, and what best practices ar e built globally. That's what we are proud of, and that title comes as a result of the work put in place.
S. V. Krishnan: If I can add, if tomorrow, any of these vendors decide to do any consolidation of their partners, we have a better chance to stay on with them. That's a big advantage in an ecosystem like this.
Palak Agrawal: I know we are hitting the clock, but can we take one last question? So, it is from Nitin Padmanab

han from Investec. What are the gaps that you're trying to fill in the business? What investments are you looking to make in professional services? And how muc h headcount will you grow?
V. S. Hariharan: Okay. Let me kick it off, and Krishnan can jump in. So clearly, there are many, many gaps that we are trying to fill. Sayantan talked about capabilities that we are building. It's not like we have built everything, whether it is CQ, whether it is marketpla ce, whether it is automation, whether it is the renewal engine, whether it is the academy, we are in the beginning of a journey. And SVK showed what we have invested in the last two years and where we are investing this year.
So, it's going to be the next three years is going to be a lot of investment.
Professional services are another area we talked about investment. So clearly, many, many areas we're trying to fill the gaps. Even our presales. We have pre -sales people, but we don't have enough solution architects. We don't have enough practice leads. W e don't have enough domain people working the life cycle. So, there are many, many gaps we're trying to fill, but we have clearly defined the strategy, and we know what needs to be done to be at the forefront of technology and in SSG.
Now what are the investments, we're trying to make in professional services? First step we have taken is to bring all of the professional services in India, for example, under one leader, Sachin, he was there on the podium earlier, where we have practice l eads, delivery people, pre -sales and solution architect. We are identifying where we have gaps. We're actually adding a lot of headcounts this year. Second, we are looking at how to up -skill these people.
Third, we need to really understand our customer domain, our go-to -market, what kind of salespeople we need to have, and what kind of presales and we need to have, what technology partners we need to have, delivery partners we need to have. So, there is a -- it's kind of night and day in terms of where we are moving. We identified it. On a scale of 1 to 10, I can say,
 clearly, we are on a stage where we are 2 to 3, and we really need to get to 8 to 9 on a professional service. It's an exciting area. AI -- and I think Sayantan showed a little bit of where we are.

We are not an IT/ITES company. We are not going to be doing custom services. We are not
going to be doing bespoke services. We're not going after $1 million deals. We're going to be
really creating in the world of AI and cloud and security, productized ser vices that can work for
customers, can be delivered by partners, complement what they already do. So, there is a huge amount of work to be done,
heavy lifting to be done.
And our goal is to really multiply our professional services 7x, 10x over the next few years. And
the actual ecosystem delivery of services will be another 7x, 10x because we are delivering only
a portion of the services, complementing our partners. So, a lot of work to be done. Please don't
assume what we presented today. We are by any means ready. And the next two, three years is
going to be a fantastic journey. We're very excited.
S. V. Krishnan: No, I think you have covered. One thing I thought we need to mention here. This being
predominantly an opex form of an investment, we will be conscious about the profit growth. I
don't want you to think, we will compromise on the overall profit. So, the quarterly -- that
exercise will continue, and we will keep that in mind while we make the investments.
Palak Agrawal: Thank you so much. With this, we end the Q&A session. Whatever questions, I think there's a volley of
questions, that we have with us, and we shall take those offline. I'll now hand over to
Hari to close the event.
V. S. Hariharan: Thank you so much for your engagement today,

and we have promised this for a while, in terms
of having a deep dive into our Software Solutions Group strategy. And it's clearly central to our
strategy. Hardware continues to be very important, but the growth and scale up of SSG, super
important where we are going. We remain very confident in the momentum we've built so far
and the capabilities we are building.
And as Krishnan said, we are always having an eye on P&L and balance sheet as we make these investments, and to make
sure that we get the right ROI. We really look forward to delivering
sustained value creation, and as we deepen our capabilities and partnerships, and look forward
to the next set of discussions with all of you. And thank you so much, and have a good day.
Palak Agrawal: Thank you.
S. V. Krishnan: Thank you.